



iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen

Full prospectus
including Investment Conditions and Articles of Association

External Management Company:

BlackRock Asset Management Deutschland AG

August 2026

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen

Sales Prospectus including Articles of Incorporation and Investment Conditions

External Investment Management Company:

BlackRock Asset Management Deutschland AG

Sub-funds:

**iShares STOXX Global Select Dividend
100 UCITS ETF (DE)
WKN: A0F5UH**

**iShares STOXX Europe 600 Automobiles
& Parts UCITS ETF (DE)
WKN: A0Q4R2**

**iShares STOXX Europe 600 Banks UCITS
ETF (DE)
WKN: A0F5UJ**

**iShares STOXX Europe 600 Basic
Resources UCITS ETF (DE)
WKN: A0F5UK**

**iShares STOXX Europe 600 Chemicals
UCITS ETF (DE)
WKN: A0H08E**

**iShares STOXX Europe 600 Construction
& Materials UCITS ETF (DE)
WKN: A0H08F**

**iShares STOXX Europe 600 Financial
Services UCITS ETF (DE)
WKN: A0H08G**

**iShares STOXX Europe 600 Food &
Beverage UCITS ETF (DE)
WKN: A0H08H**

**iShares STOXX Europe 600 Health Care
UCITS ETF (DE)
WKN: A0Q4R3**

**iShares STOXX Europe 600 Industrial
Goods & Services UCITS ETF (DE)
WKN: A0H08J**

**iShares STOXX Europe 600 Insurance
UCITS ETF (DE)
WKN: A0H08K**

**iShares STOXX Europe 600 Media UCITS
ETF (DE)
WKN: A0H08L**

**iShares STOXX Europe 600 Oil & Gas
UCITS ETF (DE)
WKN: A0H08M**

**iShares STOXX Europe 600 Personal &
Household Goods UCITS ETF (DE)
WKN: A0H08N**

**iShares STOXX Europe 600 Real Estate
UCITS ETF (DE)
WKN: A0Q4R4**

**iShares STOXX Europe 600 Retail UCITS
ETF (DE)
WKN: A0H08P**

**iShares STOXX Europe 600 Technology
UCITS ETF (DE)
WKN: A0H08Q**

**iShares STOXX Europe 600
Telecommunications UCITS ETF (DE)
WKN: A0H08R**

**iShares STOXX Europe 600 Travel &
Leisure UCITS ETF (DE)
WKN: A0H08S**

**iShares STOXX Europe 600 Utilities
UCITS ETF (DE)
WKN: A0Q4R0**

**iShares MSCI Brazil UCITS ETF (DE)
WKN: A0Q4R8**

**iShares Brazil LTN BRL Govt Bond UCITS
ETF (DE)
WKN: A2QP4D**

**iShares Brazil BRL Govt Bond UCITS ETF
(DE)
WKN: A2QP4G**

Information about the external Investment Management Company

Management Company

BlackRock Asset Management
Deutschland AG
Lenbachplatz 1
80333 Munich, Germany
Germany

Tel: +49 (0) 89 42729 - 5858
Fax: +49 (0) 89 42729 - 5958
info@iShares.de
www.iShares.de

AG Munich, HRB 134 527
Liable equity capital
on 1 April 2026: EUR 67 million
Subscribed and paid-in capital
on 1 April 2026: EUR 5 million

Shareholder of BlackRock Asset Management Deutschland AG

BlackRock (Netherlands) B.V.
Amstelplein 1,
1096 HA Amsterdam
Netherlands

Supervisory Board

- Jason Warr,
Global Head of ETF Capital Markets
- Brett Pybus
Head of iShares EMEA Product Strategy
and Global Co-Head of iShares Fixed
Income ETFs
- Michael Rüdiger,
Independent member of supervisory
boards and boards of Foundations

Legal Representatives

Dirk Schmitz
Frankfurt/Main, Germany

Maika Jahn
Frankfurt/Main, Germany

Harald Klug
Munich

Peter Scharl
Munich

Contents

I. GENERAL PART	8	7.3	Strategy for discounting valuations (haircut strategy)	19
1. General provisions	8	7.4	Investment of cash collateral	20
1.1 Sales documents and information disclosure	8	7.5	Custody of securities as collateral	20
1.2 Articles of Incorporation and Investment Conditions and their amendments	9	8. Leverage		20
2. Investment Stock Corporation	9	9. Borrowing		20
2.1 Company, legal form and registered office	9	10. Valuation		20
2.2 Management Board, Supervisory Board	9	10.1 General rules for asset valuation	20	
2.3 Shareholders' capital	10	10.2 Special valuation rules for individual assets	20	
3. Management Company	10	11. Risk warnings		21
4. Depository	11	11.1 General risks of investment in the Fund	21	
4.1 General information	11	11.2 Risk of negative price performance (market risk)	23	
4.2 Company, Legal Form, Registered Office and Main Activities of the Custodian Bank	11	11.3 Risks of limited or increased liquidity of the Fund and risks related to increased issues or redemptions (liquidity risk)	25	
4.3 Sub-custody	11	11.4 Counterparty risks including credit and collection risk	26	
4.4 Liability of the Custodian Bank	12	11.5 Operational and other risks of the Fund	27	
4.5 Currency Hedging	12	12. Shares		30
4.6 Additional information	12	12.1 Company shares and investment shares	30	
4.7 Conflicts of Interest	12	12.2 Issue of shares	30	
5. Sub-funds of the Company and share classes	12	12.3 Redemption of shares	30	
5.1 Sub-funds	12	12.4 Suspension of the issue and redemption of Shares	30	
5.2 Fair treatment of shareholders and share classes	13	12.5 Settlement of issue and redemption of shares	31	
6. Investment objectives, investment principles and investment restrictions	14	13. Liquidity management		31
6.1 Securities	14	14. Exchanges and markets		31
6.2 Money market instruments	15	14.1 General information	31	
6.3 Bank accounts	16	14.2 Function of the Designated Sponsor	32	
6.4 Derivatives	16	14.3 Description of the Authorised Participants	32	
6.5 Other investment instruments	17	14.4 Risks of exchange trading	32	
6.6 Investment fund units	18	14.5 Dealing of shares on the secondary market	32	
6.7 Issuer and investment limits	18	15. Portfolio transparency strategy and indicative net asset value		32
7. Collateral strategy	19	15.1 Portfolio transparency strategy	32	
7.1 Types of eligible collateral	19			
7.2 Level of collateral	19			

15.2	Indicative Net Asset Value	32	22.2	Units held in operating assets (taxpayers resident in Germany)	39
16.	Issue and redemption prices and expenses	33	22.3	Non-resident taxpayers	43
16.1	Issue and redemption prices	33	22.4	Solidarity surcharge	43
16.2	Suspension of calculation of the issue and redemption prices	34	22.5	Church tax	43
16.3	Issue premium	34	22.6	Foreign withholding tax	43
16.4	Redemption fee	34	22.7	Consequences of the merger of investment funds	43
16.5	Redemption fee (liquidity management)	34	22.8	Automatic exchange of information in tax matters	43
16.6	Publication of issue and redemption prices	35	22.9	FATCA and other international reporting systems	43
16.7	Costs incurred on the issue and redemption of shares	35	22.10	Pillar two	44
			22.11	Notice	44
17.	Management and miscellaneous expenses	35	23.	Outsourcing	44
17.1	Fixed fee	35	24.	Annual financial statements and semi-annual reports/auditors	45
17.2	Other expenses	35	25.	Payments to shareholders; distribution of reports and other information	45
17.3	Overheads	35	26.	Sub-funds of the Investment Stock Corporation managed by the Management Company	45
17.4	Composition of the total expense ratio	35	27.	Instruction on the right of revocation under Section 305 KAGB (door-to-door sales)	46
17.5	Alternative statement of costs by third parties	35	28.	Conflicts of interest	46
17.6	Remuneration Policy	35	II.	SPECIAL PART	48
18.	Details on the acquisition of target fund units	36	1.	iShares STOXX Global Select Dividend 100 UCITS ETF (DE)	48
19.	Rules for the calculation and appropriation of income	36	2.	iShares STOXX Europe 600 Automobiles & Parts UCITS ETF (DE)	53
20.	Financial year and appropriation of income	36	3.	iShares STOXX Europe 600 Banks UCITS ETF (DE)	58
20.1	Financial year	36	4.	iShares STOXX Europe 600 Basic Resources UCITS ETF (DE)	63
20.2	Reinvestment	36	5.	iShares STOXX Europe 600 Chemicals UCITS ETF (DE)	68
20.3	Distribution	36			
21.	Liquidation and transfer of the Investment Stock Corporation or of a sub-fund	37			
21.1	Liquidation of the Investment Stock Corporation	37			
21.2	Liquidation of a sub-fund	37			
21.3	Transfer of all assets of a sub-fund	37			
21.4	Transfer of the Investment Stock Corporation	38			
22.	Summary of tax regulations applying to investors	38			
22.1	Shares held in personal assets (taxpayers resident in Germany)	38			

6.	iShares STOXX Europe 600 Construction & Materials UCITS ETF (DE)	73	21.	iShares MSCI Brazil UCITS ETF (DE)	148
7.	iShares STOXX Europe 600 Financial Services UCITS ETF (DE)	78	22.	iShares Brazil LTN BRL Govt Bond UCITS ETF (DE)	153
8.	iShares STOXX Europe 600 Food & Beverage UCITS ETF (DE)	83	23.	iShares Brazil BRL Govt Bond UCITS ETF (DE)	158
9.	iShares STOXX Europe 600 Health Care UCITS ETF (DE)	88	III.	INVESTMENT CONDITIONS	163
10.	iShares STOXX Europe 600 Industrial Goods & Services UCITS ETF (DE)	93	IV.	ARTICLES OF INCORPORATION	331
11.	iShares STOXX Europe 600 Insurance UCITS ETF (DE)	98			
12.	iShares STOXX Europe 600 Media UCITS ETF (DE)	103			
13.	iShares STOXX Europe 600 Oil & Gas UCITS ETF (DE)	108			
14.	iShares STOXX Europe 600 Personal & Household Goods UCITS ETF (DE)	113			
15.	iShares STOXX Europe 600 Real Estate UCITS ETF (DE)	118			
16.	iShares STOXX Europe 600 Retail UCITS ETF (DE)	123			
17.	iShares STOXX Europe 600 Technology UCITS ETF (DE)	128			
18.	iShares STOXX Europe 600 Telecommunications UCITS ETF (DE)	133			
19.	iShares STOXX Europe 600 Travel & Leisure UCITS ETF (DE)	138			
20.	iShares STOXX Europe 600 Utilities UCITS ETF (DE)	143			

The Sales Prospectus, the Articles of Incorporation, the Key Information Document and the Investment Conditions for each sub-fund form the basis for the purchase or sale of shares in iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen (the "Company").

The Articles of Incorporation of the Company and the Investment Conditions of the sub-funds described in this Sales Prospectus are printed in the annex to this Sales Prospectus. This Sales Prospectus is a legally prescribed sales document and is to be provided to those interested in acquiring a fund unit free of charge upon request along with the most recently published annual financial statements and any semi-annual reports published since the annual financial statements. In addition, the Key Information Document for the relevant sub-fund must be provided free of charge in good time before conclusion of the contract. No information or statements deviating from this Sales Prospectus may be issued. Any purchase of shares based on information or statements not contained in the Sales Prospectus or in the Key Information Document is at the sole risk of the investor. This Sales Prospectus is supplemented by the relevant latest annual financial statements and any semi-annual reports published after the annual financial statements.

All publications and promotional literature must be drawn up in German or must include a German translation. The Company shall furthermore conduct all communication with its shareholders in German. Both the legal relationship between the Company and the investor and pre-contractual relationships are governed by German law. The Company's registered office is the place of jurisdiction for any legal actions by the investor against the Company. Investors who are Consumers (see the definition below) and live in another EU country may also bring legal action in the competent court of their place of residence. The enforcement of legal judgements is governed by the German Code of Civil Procedure (Zivilprozessordnung), or where applicable, the German Law on Foreclosures and Compulsory Administration (Gesetz über die Zwangsversteigerung und die Zwangsverwaltung), or the German Insolvency Regulation (Insolvenzordnung). Since the Company is subject to German law, rulings of German courts do not need to be recognised before they are enforced.

To exercise their rights, investors can take legal action in the ordinary courts or, where available, can also attempt a procedure for alternative dispute resolution.

The Company has committed to participating in any dispute resolution procedures brought before a Consumer Arbitration Board. In the event of disputes, consumers can call upon the "Ombudsman for Investment Funds" of the Bundesverband Investment und Asset Management e.V. (BVI) as the competent Consumer Arbitration Board. BlackRock Asset Management Deutschland AG participates in dispute resolution procedures regarding its Funds before this Arbitration Board. The contact details for the "Ombudsman for Investment Funds" are:

Büro der Ombudsstelle
BVI Bundesverband Investment und Asset
Management e.V.

Unter den Linden 42
10117 Berlin
Telephone: +030 6449046-0
Fax: +030 6449046-29

Email: info@ombudsstelle-investmentfonds.de
www.ombudsstelle-investmentfonds.de

Consumers are natural persons who invest in the Fund for a purpose that is primarily associated with neither their commercial nor individual professional activity and who are therefore trading for private purposes.

In the event of any dispute arising from implementation of the provisions in the German Civil Code (BGB) concerning distance-selling contracts for financial services, the parties involved may contact the Arbitration Board of the Deutsche Bundesbank, P.O. Box 11 12 32 in 60047 Frankfurt/Main, tel.: 069 2388-1907 or -1906, fax: 069 2388-1919, schlichtung@bundesbank.de.

Participation in a dispute resolution procedure does not affect the right to resort to the courts.

The Sales Prospectus was drawn up in German and translated into several languages. Only the German version is legally binding.

Unless regulated differently in individual cases, all terms used in this Sales Prospectus correspond to those used in the German Investment Code (KAGB).

Restrictions on the issue of shares:

The distribution of the information contained in this Sales Prospectus and the offer of the shares described in this Sales Prospectus as part of a public sale are only permissible in countries in which a distribution licence has been granted.

In particular, shares may not be distributed in the United States of America or to U.S. citizens. The Company and/or the sub-funds described in this Sales Prospectus are not and will not be registered in accordance with the *United States Investment Company Act* of 1940, as amended. The shares of the sub-funds have not been, and will not be, registered under the *United States Securities Act* of 1933, as amended, or the securities laws of any of the states of the United States. Shares of the sub-funds may not be offered or sold within the United States nor to a U.S. person or for their account. Those interested in acquiring shares may be required to demonstrate that they are not a U.S. person and that they are neither acquiring shares on behalf of U.S. persons nor for resale to U.S. persons. U.S. persons include natural persons if their place of residence is in the United States. U.S. persons may also be persons or corporations if they are, for example, incorporated under the laws of the U.S.A. or a U.S. state, territory or U.S. possession.

I. General Part

The regulations of the General Part of this Sales Prospectus apply to all sub-funds covered in this Sales Prospectus. If different regulations apply to a sub-fund, details are provided in the Special Part of this Sales Prospectus.

1. General provisions

The exclusive object of the Company iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen ("**Investment Stock Corporation**") is to invest and manage its own funds, in accordance with its fixed investment strategy and the principle of risk diversification for collective investment, in accordance with Sections 162 to 213 of the German Investment Code (Kapitalanlagegesetzbuch - "**KAGB**"), and with the respectively applicable Investment Conditions for the benefit of the shareholders.

The KAGB, the Articles of Incorporation – which governs, among other things, the legal relationship between the shareholders and the Investment Stock Corporation – along with the German Investment Tax Act (InvStG), and the Investment Conditions for each sub-fund stipulate the assets in which the Investment Stock Corporation may invest its funds and the provisions it must follow in making such investments. The Articles of Incorporation and the Investment Conditions of an Investment Stock Corporation are subject to the approval of the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht ("**BaFin**")).

1.1 Sales documents and information disclosure

The Sales Prospectus, the Key Information Document for the respective sub-funds, the Articles of Incorporation, the investment conditions for the respective sub-funds as well as the current annual financial statements and semi-annual reports are available free of charge at the Investment Stock Corporation and the Management Company.

Information on the investment restrictions of the risk management of the respective sub-fund, the risk management methods and the latest developments concerning risks and returns of the most important categories of assets of the respective sub-fund may be obtained in electronic form or in writing from the Investment Stock Corporation and the Management Company.

In addition, further information on the composition of the sub-funds or their performance can be found on the Company's website at www.ishares.com.

The Management Company considers many investment risks in its processes. In order to seek the best risk-adjusted returns for clients, the Management Company manages material risks and opportunities that could impact portfolios, including financially material Environmental, Social and/or Governance (ESG) data or other information, where available.

E, S and/or G data or information is defined as any data or information around E, S and/or G issues that could impact a company's ability to perform over time. Companies may self-identify ESG issues as financially material to their business models through external or financial reporting. A portfolio manager may identify ESG issues as financially material to the

investment process because they impact company risk, opportunity, performance, volatility, etc. Examples of environmental issues include, but are not limited to, water use, land use, waste management and climate risk. Examples of social issues include, but are not limited to, human capital management, impacts on the communities in which a company operates, customer loyalty and relationships with regulators. Governance issues are anything related to the core means by which boards can oversee the creation of durable, long-term financial value.

BlackRock defines ESG integration to be the practice of incorporating financially material E, S and/or G data or information into firmwide processes with the objective of enhancing risk adjusted returns of clients' portfolios. See the [BlackRock ESG Integration Statement](#) for further information.

The sub-funds are index funds which track their respective Underlying Index. Each sub-fund is managed with a focus on minimizing its anticipated tracking error versus its Underlying Index. The Company may offer sub-funds with sustainability objectives, which have either the objective to avoid certain issuers or gain exposure to issuers with better ESG ratings, an ESG theme, or to generate positive environmental or social impact (Sustainable Suite) by tracking their underlying indices. The Company also offers sub-funds that do not have any sustainability objectives or other ESG criteria.

BlackRock considers the suitability of sustainability characteristics and risks of a fund when designing the fund and carrying out due diligence on its underlying index as part of index selection. After a fund is launched, BlackRock periodically reviews holdings in issuers that the firm considers to be particularly exposed to elevated E, S and/or G related financially material investment risks through their sector or business practices. As traditional index funds are managed to track an underlying index, BlackRock is restricted from making changes to the fund's portfolio which would deviate from its underlying index or increase its tracking error, notwithstanding the outcome of BlackRock's assessments of the exposure of the fund to sustainability characteristics and risks. Thus, sustainability characteristics and risks post launch of an index fund cannot influence individual security selection unless specifically incorporated into the underlying index.

BlackRock discloses portfolio-level ESG and sustainability related data that is publicly available on product pages of the BlackRock website where permitted by law/regulation so current and prospective investors and investment advisors can view sustainability-related information for a fund.

Unless otherwise stated in sub-fund documentation and included within the respective sub-fund's investment objective and investment policy, ESG integration does not change the sub-fund's investment objective or constrain the Investment Stock Corporation's investable universe, and there is no indication that an ESG or Impact focused investment strategy or any exclusionary screens will be adopted by the sub-fund. Impact investments are investments made with the intention to generate positive, measurable social and /or environmental impact alongside a financial return. Similarly, ESG integration does not determine the extent to which a fund may be impacted by sustainability risks. Please refer to "Sustainability risks" in the section risk warnings of this prospectus.

BlackRock undertakes investment stewardship engagements and proxy voting with the goal of protecting and enhancing the long-term value of the equity sub-funds' assets. Experience shows that sustainable financial performance and value creation are enhanced by sound governance practices, including risk management oversight, board accountability, and compliance with regulations. We focus on board composition, effectiveness and accountability as a top priority. In our experience, high standards of corporate governance are the foundations of board leadership and oversight. BlackRock engages to better understand how boards assess their effectiveness and performance, as well as their position on director responsibilities and commitments, turnover and succession planning, crisis management and diversity.

BlackRock takes a long-term perspective in its investment stewardship work informed by two key characteristics of its business: the majority of its investors are saving for long-term goals, so it presumes they are long-term investors; and the offered strategies vary in respect of investment horizons, which means BlackRock has long-term relationships with its investee companies.

For further detail regarding BlackRock's approach to sustainable investing and investment stewardship are available on the website at www.blackrock.com/corporate/sustainability and <https://www.blackrock.com/corporate/about-us/investment-stewardship#our-responsibility>.

The sub-funds described in this prospectus do all fall under Art. 6 of Regulation (EU) 2019/2088 of the European Parliament and of the Council of 27 November 2019 on sustainability-related disclosures in the financial services sector ("SFDR"). The investments underlying this financial product do not take into account the EU criteria for environmentally sustainable economic activities.

Principal adverse sustainability impacts ("PAI") (as set out in the Regulatory Technical Standards (RTS) under the SFDR) are considered as follows. Portfolio managers have access to a range of data sources, including PAI data, when making decisions on selection of investments. However, whilst BlackRock considers ESG risks for all portfolios and these risks may coincide with environmental or social themes associated with the PAIs, the sub-funds do not commit to considering PAIs in driving the selection of their investments.

The sub-funds do not commit to investing more than 0% of their assets in sustainable investments with an environmental objective aligned with the Regulation (EU) 2020/852 of the European Parliament and of the Council of 18 June 2020 on the establishment of a framework to facilitate sustainable investment, and amending Regulation (EU) 2019/2088 ("Taxonomy Regulation").

1.2 Articles of Incorporation and Investment Conditions and their amendments

The Articles of Incorporation of the Investment Stock Corporation and the Investment Conditions of the sub-funds described in this Sales Prospectus are printed in the annex to this Sales Prospectus.

The Articles of Incorporation may be amended by a resolution of the shareholders' meeting of the Investment Stock Corporation. Amendments to the Articles of Incorporation require the approval of BaFin. All planned amendments shall be published in

the Federal Gazette (Bundesanzeiger) and at the website www.iShares.de.

The Investment Stock Corporation is entitled to change the Investment Conditions of the sub-funds. Amendments to the Investment Conditions also require the approval of BaFin. All planned amendments shall be published in the Federal Gazette (Bundesanzeiger) and also on the website www.iShares.de. Shareholders will additionally be informed via the institution maintaining their custody account by means of a durable medium (e.g. in hard copy or electronically) of any amendments that concern fees and the reimbursement of expenses that may be withdrawn from the respective sub-fund, or the sub-fund's investment principles or significant shareholder rights. This information includes the essential content of the proposed amendments, their background, the rights of shareholders in connection with the amendment and an indication about where and how additional information can be obtained.

Amendments to the Articles of Incorporation and the Investment Conditions shall take effect no earlier than the day after their publication in the Bundesanzeiger. Amendments to rules on fees and reimbursement of expenses shall take effect no earlier than four weeks after their publication in the Bundesanzeiger, unless an earlier date was specified with the consent of BaFin. Amendments to the current investment policies also take effect no earlier than four weeks after their publication in the Bundesanzeiger and are only permitted under the condition that the Investment Stock Corporation offers shareholders the opportunity to exchange their shares at no cost for shares in other investment funds with comparable investment principles, insofar as such investment funds are managed by the Investment Stock Corporation or by another company that is part of the same Group, or the Company offers investors the opportunity to redeem their shares without further costs.

2. Investment Stock Corporation

2.1 Company, legal form and registered office

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen is an externally managed investment stock corporation with sub-funds as defined by Section 108 Paragraph 1 in conjunction with Section 1 Paragraph 13 KAGB with entry in the commercial registry at the municipal court in Munich under HRB 176 566. It is structured in the form of an umbrella construction.

The registered office of the Investment Stock Corporation is at Lenbachplatz 1, 80333 Munich, Germany.

2.2 Management Board, Supervisory Board

The Management Board of the Investment Stock Corporation is run by:

- Dirk Schmitz, born 1971, BlackRock Managing Director, Chair of the Management Board of BlackRock Asset Management Deutschland AG, Chair of the Management Board of iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, previously Head of Global Markets for Germany at Deutsche Bank AG,

- Maika Jahn, born 1983, BlackRock Director, member of the Management Board of iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, Chief Operating Officer (COO) for the Company and for Germany, Austria & Eastern Europe, previously COO and Head of Business Development at DWS Investments,
- Harald Klug, born 1977, BlackRock Managing Director, member of the Management Board of BlackRock Asset Management Deutschland AG, Head of the Institutional Business Customers for Germany, Austria & Eastern Europe, previously Senior Vice President, Executive Office, PIMCO LLC, Newport Beach, CA, USA, and
- Peter Scharl (CFA), born 1977, BlackRock Managing Director, member of the Management Board of BlackRock Asset Management Deutschland AG, Head of the Index Products and Wealth (Retail) Division for Germany, Austria & Eastern Europe, previously Strategy Consultant at UniCredit and Allianz Global Investors.

The members of the Supervisory Board of the Investment Stock Corporation are:

- Barry O'Dwyer (Chairman)
- Caroline Hamilton

Independent member of the Supervisory Board as defined in Section 119 Para. 3 Sentence 2 in connection with Section 18 Para. 3 Sentence 1 KAGB:

- Harald Mährle

2.3 Shareholders' capital

The Investment Stock Corporation was incorporated on 6 June 2008, was entered into the commercial register on 5 December 2008 and is of unlimited duration. The initial shareholders' capital of the Investment Stock Corporation is EUR 300,000.00 and is divided into 3,000 company shares in the form of no-par value registered shares. The Company's shares are held by BlackRock Asset Management Deutschland AG. The Management Board is authorised to increase the shareholders' capital through the issue of new company shares issued as no-par value registered shares, and/or investment shares issued in the form of bearer shares in return for one-time or multiple contributions up to the maximum authorised share capital of EUR 50,000,300,000.00. The shareholders' capital may not fall below EUR 50,000 nor exceed EUR 50,000,300,000.00.

The Investment Stock Corporation is the sole owner of the assets. Shareholders do not have the right of joint ownership of the assets.

3. Management Company

The Investment Stock Corporation has named BlackRock Asset Management Deutschland AG, a stock corporation formed and existing in accordance with the German Stock Corporation Act (AktG), as external management company as defined in Section 112 Paragraph 1 KAGB ("**Management Company**"). BlackRock Asset Management Deutschland AG with registered office at

Lenbachplatz 1, 80333 Munich and recorded in the commercial register of the Munich District Court (Amtsgericht) under the number HRB 134 527, is a capital management company as defined in Section 1 Paragraph 15 KAGB and is subject to the supervision of BaFin. Please refer to page 3 of this Sales Prospectus for more information on the Management Company.

Under its appointment as external management company, the Management Company assumes management of the Investment Stock Corporation. In addition to carrying out general management activities, this management includes the investment and management of the Investment Stock Corporation's assets. The Management Company may outsource individual activities, in particular the asset management of one or more sub-funds.

The Management Company makes all investment decisions for the Investment Stock Corporation at its own discretion while taking into consideration the KAGB as well as the current investment conditions of the respective sub-fund and the investment principles and investment restrictions set out in the Articles of Incorporation. Further, the Management Company represents the Investment Stock Corporation in opening custodian accounts for the authorised assets pursuant to the KAGB, in the management of these assets, as well as in issuing and receiving orders to acquire or dispose of these assets.

Subject to the investment conditions of the respective sub-fund, the Management Company is authorised to have at its disposal in all markets which the Management Company deems appropriate, the assets (in particular to purchase, sell, convert or exchange securities; to exercise, purchase or sell subscription rights; to buy or sell option rights; to conclude forward futures contracts) as well as to carry out all other permissible actions, which the Management Company deems appropriate for the investment or reinvestment of the assets. These transactions are subject to the terms and conditions, practices, customs and legal regulations valid in the respective market.

To avoid contradictory instructions, the Investment Stock Corporation shall not make any independent immediate decisions regarding the management and custody of its assets without previously discussing such a decision with the Management Company.

The Management Company shall continue to provide sales and general management services such as investment advice and legal assistance, to handle legal and commercial issues, process incoming and outgoing mail, carry out risk assessments, accounting, preparation for management and supervisory board meetings, to provide an appraisal of the value of the individual sub-funds and of the value of the shares of the individual sub-funds, as well as to carry out statutory reporting, audits, annual financial statements and auxiliary services pertaining to asset management for the Investment Stock Corporation.

Each calendar year, the Management Company receives a management fee that reflects market conditions for its activities. This fee is established separately for each sub-fund. Details of this fee are provided in the Special Part.

4. Depository

4.1 General information

The KAGB provides for the segregation of duties between the management and the custody of the Investment Fund. The Investment Stock Corporation has commissioned a credit institution as Custodian Bank of the assets of the sub-funds.

The Custodian Bank holds the assets in custody in blocked investment accounts or in blocked accounts. For assets that cannot be held in custody, the Custodian Bank will assess whether the Investment Stock Corporation has acquired ownership of these assets. It monitors whether the rights of the Investment Stock Corporation or the Management Company over the assets comply with the provisions of the KAGB, the Articles of Incorporation and the respective Investment Conditions. The investment in bank deposits with another credit institution is permitted only with the consent of the Custodian Bank. The Custodian Bank must give its consent if the investment is compatible with the Articles of Incorporation, the Investment Conditions and the provisions of the KAGB. The Custodian Bank assumes in particular the issue and redemption of shares of the sub-funds, it ensures that the issue and redemption of shares and the calculation of the net asset value per share meet the requirements of the KAGB, the Articles of Incorporation and the Investment Conditions of each sub-fund, it ensures that the equivalent value for transactions executed for the joint account of the investors is placed in their custody within the usual period, it ensures that the income of the sub-funds is used in accordance with the provisions of the KAGB, the Articles of Incorporation and the Investment Conditions, it monitors them or gives its consent to the taking up of loans on behalf of the sub-funds.

The value of the assets of the respective sub-fund assets as well as the value of the individual shares in the sub-fund assets is calculated by the Custodian Bank with the assistance of the Investment Stock Corporation.

4.2 Company, Legal Form, Registered Office and Main Activities of the Custodian Bank

State Street Bank International GmbH, a German limited liability company under the German Act on Limited Liability Companies (GmbHG), which has its registered office at Hansastrasse 29a, 81373 Munich, Germany, shall act as the Custodian Bank for the sub-funds. The Custodian Bank is a credit institution under German law. Its main activities are deposits and securities transactions.

The Investment Stock Corporation is neither directly nor indirectly connected with the Custodian Bank under corporate law. In the view of the Investment Stock Corporation, there are therefore no conflicts of interest between the Custodian Bank and the Investment Stock Corporation.

4.3 Sub-custody

The Custodian Bank has delegated custody tasks in individual countries to another company (sub-custodian). The non-exhaustive list of sub-custodians for the various countries is currently as follows:

Country	Name of Sub-Custodian
Australia	HSBC Bank, Sydney
Brazil	Citibank N.A., São Paulo
Denmark	Skandinaviska Enskilda Banken AB, Copenhagen
Germany (CBF)	State Street Bank International GmbH, Munich
Euroclear/United States of America	State Street Bank & Trust Company, Boston
Finland	Skandinaviska Enskilda Banken AB (Publ), Helsinki
France/Netherlands /Belgium	BNP Paribas S.A., Paris
Greece	BNP Paribas Securities Services, S.C.A., Athens
Hong Kong	HSBC Ltd., Hong Kong
Israel	Bank Hapoalim B.M., Tel Aviv
Italy	Intesa Sanpaolo S.p.A., Milan
Japan	HSBC Corporation, Tokyo
Canada	State Street Trust Company, Toronto
New Zealand	HSBC Bank, Auckland
Norway	Skandinaviska Enskilda Banken Securities Services, Oslo
Austria	UniCredit Bank Austria AG, Vienna
Poland	Bank Handlowy w Warszawie S.A., Warsaw
Romania	Citibank Europe plc, Bucharest
Sweden	Skandinaviska Enskilda Banken AB, Stockholm
Switzerland	UBS Switzerland AG, Zurich
Singapore	Citibank N.A., Singapore
Slovenia	UniCredit Banka Slovenija, Ljubljana
Spain	Citibank Europe Plc, Dublin
Czech Republic	Československá Obchodní Banka, A.S., Prague
Hungary	UniCredit Bank Hungary Zrt., Budapest
United Kingdom	State Street Bank & Trust Company, UK Branch, Edinburgh

Other sub-custodians in other countries may be requested free of charge at the Company or the Custodian Bank.

Based on the nature of the sub-funds' assets, they may be distributed in one or more sub-custodian(s)

on behalf of the sub-funds. The Investment Stock Corporation itself is not connected to the sub-custodians under corporate law. There are no conflicts of interest between the Custodian Bank and the above sub-custodians.

4.4 Liability of the Custodian Bank

The Custodian Bank is, in principle, responsible for all assets that it holds in custody or that are held in custody by another institution with its consent. In case of loss of such an asset, the Custodian Bank is liable to the relevant sub-fund and its investors, unless the loss is due to events beyond the control of the Custodian Bank. For damages that do not involve the loss of an asset, the Custodian Bank is liable only if it has been at least negligent in failing to comply with its obligations under the provisions of KAGB.

4.5 Currency Hedging

State Street Bank International GmbH has been appointed by the Company to provide currency hedging services for all the Currency Hedged Share Classes pursuant to a currency hedging agreement. This agreement, as may be amended from time to time in accordance with the requirements of the KAGB, respectively the BaFin, sets out the provision of currency hedging services for all Currency Hedged Share Classes. State Street Bank International GmbH will be responsible for carrying out foreign exchange transactions for the Currency Hedged Share Classes according to guidelines determined by the Management Company. State Street Bank International GmbH will employ a hedging methodology which reflects the methodology of the relevant Share Classes (see "Methodology for currency hedging" in the section "Fair treatment of shareholders and share classes").

State Street Bank International GmbH is a limited liability company incorporated in Germany in 1970 and is ultimately a wholly-owned subsidiary of the State Street Corporation.

State Street Corporation is a leading world-wide specialist in providing sophisticated global investors with investment servicing and investment management. State Street Corporation is headquartered in Boston, Massachusetts, USA, and trades on the New York Stock Exchange under the symbol "STT".

4.6 Additional information

The Investment Stock Corporation provides investors on request with information on the latest position of the Custodian Bank and its obligations and on the sub-custodians.

4.7 Conflicts of Interest

The Custodian Bank is part of an international group of companies and businesses that, in the ordinary course of their business, act simultaneously for a large number of clients, as well as for their own account, which may result in actual or potential conflicts. Conflicts of interest arise where the Custodian Bank or its affiliates engage in activities under its contractual and/or regulatory obligations. Such activities may include: (i) providing nominee, administration, registrar and transfer agency, research, agent securities lending, investment management, financial advice and/or other advisory

services; (ii) engaging in banking, sales and trading transactions including foreign exchange, derivative, principal lending, broking, market making or other financial transactions either as principal and in the interests of itself, or for other clients. In connection with the above activities the Custodian Bank or its affiliates: (i) will seek to profit from such activities and are entitled to receive and retain any profits or compensation in any form and are not bound to disclose to the Investment Stock Corporation, the nature or amount of any such profits or compensation including any fee, charge, commission, revenue share, spread, mark-up, mark-down, interest, rebate, discount, or other benefit received in connection with any such activities; (ii) may buy, sell, issue, deal with or hold, securities or other financial products or instruments as principal acting in its own interests, the interests of its affiliates or for its other clients; (iii) may trade in the same or opposite direction to the transactions undertaken, including based upon information in its possession that is not available to the Investment Stock Corporation; (iv) may provide the same or similar services to other clients including competitors of the Investment Stock Corporation; (v) may be granted creditors' rights by the Investment Stock Corporation which it may exercise. The Investment Stock Corporation may use an affiliate of the Custodian Bank to execute foreign exchange, spot or swap transactions for the account of the sub-funds. In such instances the affiliate shall be acting in a principal capacity and not as a broker, agent or fiduciary of the sub-funds. The affiliate will seek to profit from these transactions and is entitled to retain and not disclose any profit to the Investment Stock Corporation. The affiliate shall enter into such transactions on the terms and conditions agreed with the Investment Stock Corporation. Where cash belonging to the sub-funds is deposited with an affiliate of the Custodian Bank being a bank, a potential conflict arises in relation to the interest (if any) which the affiliate may pay or charge to such account and the fees or other benefits which it may derive from holding such cash as banker and not as trustee. The Management Company may also be a client or counterparty of the Custodian Bank or its affiliates. Up-to-date information on the Custodian Bank, its duties, any conflicts that may arise, the safe-keeping functions delegated by the Custodian Bank, the list of delegates and sub-delegates and any conflicts of interest that may arise from such a delegation will be made available to investors on request.

5. Sub-funds of the Company and share classes

5.1 Sub-funds

The Investment Stock Corporation forms multiple sub-funds, which differ at least in their names.

The Management Board may, with the consent of the Supervisory Board, decide to form additional sub-funds at any time. When creating sub-funds of the Company, the following principles shall be observed:

When acquiring and administering assets for account of a sub-fund of the Investment Stock Corporation, the Investment Stock Corporation shall adhere to the investment principles and investment restrictions provided for by the law and in the Articles of Incorporation and the respective

investment conditions. The Management Board of the Investment Stock Corporation shall establish the investment principles and investment restrictions as well as special investment objectives for each sub-fund. Special investment conditions exist for each sub-fund, which are to be approved by BaFin. These conditions, which include the above details as well as additional specific information, are laid down for each sub-fund in the Special Part of the Sales Prospectus.

In accordance with Article 10 Paragraphs 1 and 4 of the Articles of Incorporation, the Management Board is authorised to issue shares that, in terms of the distribution of earnings and assets, grant rights exclusively to the assets of the sub-fund of the Investment Stock Corporation in whose name they have been registered. Shares which, in terms of the distribution of earnings and assets, represent rights to the more than one sub-fund of the Investment Stock Corporation may not be issued.

Each sub-fund is separate from the other sub-funds of the Investment Stock Corporation in terms of assets and of legal liability. With regard to the relationship between the shareholders, each sub-fund shall be regarded as an independent special-purpose entity. The rights of the shareholders and creditors of a sub-fund are limited to the assets of that sub-fund. Only the assets of the sub-fund in question shall be liable for the liabilities of the individual sub-fund. The separation in terms of assets and legal liability of the individual sub-funds from each other also applies in the event of the insolvency of the Investment Stock Corporation or the liquidation of a sub-fund.

One or more sub-funds may be set up for a specified period of time. The term of the individual sub-fund is indicated in the respective investment conditions as set out in Article 16 Paragraph 2(c) of the Articles of Incorporation, which are attached to the Sales Prospectus.

5.2 Fair treatment of shareholders and share classes

According to Section 20 of the Articles of Incorporation, the individual sub-funds may comprise different share classes, i.e. the issued shares have different characteristics depending on the class to which they belong. Details about new share classes that have been formed are contained in the Special Part of this Sales Prospectus.

The share classes may particularly differ from existing share classes with respect to appropriation of income, issue premiums, management fees, minimum investment amount, currency of share value, or a combination of these characteristics.

Due to the different structures, the economic result obtained by an investor with his investment in a sub-fund may vary, depending on the share class of the shares he has acquired.

This applies both to the returns obtained by the investor before income tax and to the returns after income tax. The purchase of assets is permissible only en bloc for the sub-fund as a whole, and not for a single share class or groups of share classes.

An exception to this is currency hedge transactions whose results are allocated to specific share classes and which have no effect on the share price performance of the other share classes. You can find more information on this in 6.4.8 "Currency-hedged share classes".

Nevertheless, the formation of additional share classes does not affect the rights of investors who

have acquired shares in existing share classes. The costs incurred in introducing a share class may only be charged to the investors in this new share class. The Investment Stock Corporation shall treat the investors in the sub-funds fairly. In managing its liquidity risk and in the redemption of shares it may not prioritise the interests of one investor or group of investors over the interests of another investors or group of investors.

Please see "Settlement of issue and redemption of shares" and "Liquidity management" on the methods by which the Investment Stock Corporation ensures the fair treatment of investors.

Currency Hedged Share Classes

The Investment Stock Corporation may issue Currency Hedged Share Classes in a sub-fund which allow the use of hedging transactions to reduce the effect of currency exchange rate fluctuations. For details regarding the hedging methodology please refer to the section below entitled "Methodology for currency hedging".

The Investment Stock Corporation may use derivatives (for example, currency forwards, futures, options and swaps) to hedge the rate of exchange between the currency of all or some of the currencies in which the assets of a sub-fund (including cash and income) are denominated and the share class valuation currency.

The transactions, costs and related liabilities and benefits arising from instruments entered into for the purposes of hedging the currency exposure for the benefit of any particular Currency Hedged Share Classes shall be attributed only to the relevant Currency Hedged Share Classes. Currency exposures of different share classes may not be combined or offset and currency exposures of the assets of a sub-fund may not be allocated to separate share classes.

Methodology for currency hedging

Currency hedging is undertaken for each Currency Hedged Share Class by hedging its underlying portfolio currency exposures that are different from its valuation currency to keep the difference between such underlying portfolio currency exposures and the valuation currency within a pre-determined tolerance. The Management Company will monitor the currency exposure of each Currency Hedged Share Class against the pre-determined tolerances daily and will determine when a currency hedge should be reset and the gain or loss arising from the currency hedge reinvested or settled, while taking into consideration the frequency and associated transaction and reinvestment costs of resetting the currency hedge. Currency hedging is carried out on a best efforts basis and there is no guarantee that the Management Company will be successful in fully hedging the currency risks. This could result in mismatches between the currency position of the relevant sub-fund and the Currency Hedged Share Class.

In the event that, the over-hedged or under-hedged position on any single underlying portfolio currency exposure of a Currency Hedged Share Class exceeds the pre-determined tolerance as at the close of a business day (for example, due to market movement), the hedge in respect of that underlying currency will be reset on the next business day (on which the relevant currency markets are open). Over-hedged positions shall not exceed 105% of the net asset value of the relevant Currency Hedged Share Class and under-hedged positions shall not

fall short of 95% of the portion of the net asset value of the relevant Currency Hedged Share Class that is to be hedged against currency risk. In addition, if the aggregate gain or loss arising from the currency forwards for hedging all the underlying currencies of a Currency Hedged Share Class exceeds the pre-determined tolerance as at the close of a business day, the Management Company will determine on the next business day (on which the relevant currency markets are open) whether some or all of the currency hedges held by that Share Class are required to be reset to reduce the gain or loss if the gain or loss remains outside the tolerance. Applying the above tolerance thresholds will enable the Management Company to better manage the frequency and associated costs arising from FX transactions to effect the hedge for Currency Hedged Share Classes. The pre-determined tolerance threshold for each Currency Hedged Share Class is reviewed by the risk management team.

In relation to the foreign currency hedging component of the Currency Hedged Share Classes, in the event that there is a gain on the foreign currency hedge, no leverage will result from such gain. In the event that there is a loss on the foreign currency hedge, leverage will result in the relevant Currency Hedged Share Classes from such loss. Any leverage will be removed or reduced when the relevant currency hedge is adjusted or reset as required for the relevant Currency Hedged Share Class. The Management Company does not intend to leverage the Currency Hedged Share Classes beyond the tolerance threshold at which point a reset of some or all of the currency hedges for that Currency Hedged Share Class will be triggered. In extreme market circumstances the tolerance threshold may be temporarily breached.

Upon receipt of a subscription in a Currency Hedged Share Class, the Management Company will allocate monies representing the subscription in proportion to the weightings between the securities held by the sub-fund that are attributable to that Share Class and the value of the hedge of that Share Class.

6. Investment objectives, investment principles and investment restrictions

The Investment Stock Corporation stipulates in accordance with the Articles of Incorporation and the relevant legal provisions in the respective investment conditions as defined in Article 16 Para. 2(c) of the Articles of Incorporation the investment objectives to be pursued for a sub-fund and which assets may be acquired for that sub-fund. Information on the assets that may be acquired by the Investment Stock Corporation subject to the respective investment conditions and the generally applicable investment restrictions are provided below. The information on the investment objectives and the investment principles of the individual sub-funds are contained in the Special Part of this Sales Prospectus.

6.1 Securities

1. Provided that the Investment Conditions of each sub-fund do not include any additional restrictions, the Investment Stock Corporation

may, subject to Section 198 KAGB, only acquire securities if:

- a) they are admitted for trading on a stock exchange in a member state of the European Union (EU) or in another state that is a party to the Agreement on the European Economic Area (EEA), or they are admitted for trading or included in another regulated market in one of these states,
- b) are admitted for trading exclusively on a stock exchange outside the member states of the EU or outside other states that are party to the Agreement on the EEA, or they are admitted for trading or included in another regulated market in one of these states, provided the choice of such stock exchange or regulated market is permitted by the German Federal Financial Supervisory Authority (BaFin).¹

New issues of securities may be acquired provided that their issue conditions require that admission to or inclusion in one of the stock exchanges or regulated markets mentioned in a) and b) above be applied for, and that the admission or inclusion takes place within one year after their issue.

2. In this context, the following are also considered securities

- a) Units in closed funds in contractual or legal form, subject to control by the unitholders (so-called corporate control), i.e. the unitholder must have voting rights in relation to the key decisions, as well as the right to control the investment policy through the appropriate mechanisms. The Fund must also be administered and managed by an entity that is subject to the regulations for the protection of investors, unless the fund is established in the form of a company and the asset management activity is not carried out by another legal entity.
- b) Financial instruments that are secured by other assets or linked to the performance of other assets. To the extent that components of derivatives are embedded in such financial instruments, further requirements apply before the Investment Stock Corporation may acquire these as securities.

3. The securities may only be acquired under the following conditions:

- a) The potential loss that each sub-fund could incur may not exceed the purchase price of the security. No additional payment may be required.
- b) A lack of liquidity of the securities acquired by each sub-fund may not result in the sub-fund no longer being able to meet the legal requirements for the redemption of shares. This takes into account the legal option of suspending redemptions in certain cases (see section "Suspension of the issue and redemption of Shares" (Point 12.4)).
- c) A reliable valuation of the security through accurate, reliable and consistent prices must

¹ The list of stock exchanges is published on the BaFin website. www.bafin.de

be available; these must be either market prices or have been provided by a valuation system that is independent of the issuer of the security.

- d) Adequate information on the security through regular, accurate and comprehensive market information on the security or, where applicable, the portfolio that belongs to it – as documented in the security – is available.
 - e) The security is negotiable.
 - f) The purchase of the security is consistent with the investment objectives and the investment strategy of each sub-fund.
 - g) The risks of the security are appropriately captured by the risk management of each sub-fund.
4. Securities may also be purchased in the following form:
- a) Equities to which each sub-fund is entitled in a capital increase from Company assets,
 - b) Securities that are acquired in the exercise of subscription rights belonging to each sub-fund.
5. Subscription rights may also be acquired for each sub-fund in this context, provided the securities from which the subscription rights are derived could be included in each sub-fund.
6. The securities of the Underlying Index change from time to time (a "rebalancing"). The Company may adopt a variety of strategies when investing the assets of a sub-fund to bring it in line with the rebalanced Underlying Index. For example, for equity sub-funds, where a specific security which forms part of the Underlying Index is not available or is not available for the required value or a market for such security does not exist or is restricted, or where acquiring or holding such security is not as cost or tax efficient as acquiring or holding a depository receipt, a sub-fund may hold depository receipts relating to such securities (e.g. American Depositary Receipts ("ADRs") and Global Depositary Receipts ("GDRs")).

6.2 Money market instruments

1. The Company may invest in money market instruments for the account of each sub-fund. Money market instruments are instruments normally traded on the money market as well as interest-bearing securities with a term or residual term of no more than 397 days at the time of their acquisition for each sub-fund. If their term is more than 397 days, their interest rate must be regularly adjusted to reflect current market conditions, at least once in each 397-day period. Money market instruments include instruments whose risk profile corresponds to the risk profile of this type of securities. Money market instruments may be acquired for the sub-funds:
- a) if they are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the EEA, or they are

admitted for trading or included in another regulated market there,

- b) if they are admitted for trading exclusively on a stock exchange outside the member states of the EU or outside other states that are party to the Agreement on the EEA, or they are admitted for trading or included in another regulated market there, provided the choice of such stock exchange or regulated market is permitted by BaFin,
 - c) if they are issued or guaranteed by the EU, the German Federal Government, an investment fund of the German Federal Government, a German federal state, another member state or another central, regional or local authority or by the central bank of an EU member state, the European Central Bank or the European Investment Bank, a non-EU member state or, in case of a federal state, by one of the members making up the federation, or by a public international body to which one or more EU member states belong,
 - d) if they are issued by a company whose securities are traded on the markets referred to in a) and b),
 - e) if they are issued or guaranteed by a credit institution that is subject to supervision that meets the criteria defined by EU law, or a credit institution that is subject to the prudential rules considered by BaFin as equivalent to those laid down in EU law, and which complies with such rules,
 - f) if they are issued by other bodies and the respective issuer is
 - i) a company with equity capital of at least 10 million euros, which prepares and publishes its financial statements according to the EU Directive on the annual accounts of limited liability companies,
 - ii) a legal entity which, within a group of companies comprising one or more listed companies, is responsible for financing this group, or
 - iii) an entity which issues money market instruments that are backed by liabilities through a line of credit granted by a bank. They are products in which loans from banks are securitised (asset-backed securities).
2. All the above money market instruments may only be acquired if they are liquid and their value can be determined accurately at any time. Money market instruments are considered liquid if they can be sold within a sufficiently short time with limited costs. In doing so, the Investment Stock Corporation's obligation to redeem shares in the sub-funds at the request of shareholders and to be able to sell such money market instruments on short notice must be taken into account. An accurate and reliable valuation system must also exist for money market instruments which allows the determination of the net asset value of the money market instrument and that is based on market data or on valuation models, such as systems that carry acquisition costs forward. The liquidity aspect of money market instruments is considered to be met if they are listed on a regulated market

within the EEA or included in or listed on such a market or on a regulated market outside the EEA, provided that BaFin has approved the selection of this market. This does not apply if the Investment Stock Corporation is presented with indications that the money market instruments are not sufficiently liquid.

3. For money market instruments not listed on a stock exchange or admitted to a regulated market for trading (see above under c) to f)), the issue or issuer of such instruments must additionally be subject to regulations concerning deposit and investor protection. For example, information must exist for these money market instruments that is sufficient to allow a proper assessment of the credit risks associated with the instruments and the money market instruments must be freely transferable. Credit risks may be assessed via a credit assessment by a rating agency, for example. The following additional requirements apply to these money market instruments unless they are issued or guaranteed by the European Central Bank or the central bank of a Member State of the European Union:
 - a) If they are issued or guaranteed by one of the bodies listed under c) (with the exception of the European Central Bank), there must be adequate information on the issue or the issuance programme or on the legal and financial situation of the issuer prior to the issue of the money market instrument.
 - b) If they are issued or guaranteed by a credit institution subject to supervision in the EEA (see above under 1. e)), there must be adequate information on the issue or the issuance programme or on the legal and financial situation of the issuer prior to the issue of the money market instrument; this information must be updated regularly and whenever a significant event occurs. In addition, data (e.g. statistics) on the issue or issuance programme must be available which allows the adequate assessment of the credit risks associated with the investment.
 - c) If they are issued by a credit institution that is subject to prudential regulations outside the EEA that are considered by BaFin to be equivalent to those laid down in EU law, one of the following three conditions must be met: (i) The credit institution maintains an office in an OECD country that belongs to the so-called Group of 10 (the group of the most important major industrial countries - G10). (ii) The credit institution has at least an investment-grade rating. "Investment grade" is deemed to be a rating of "BBB" or "Baa" or better as part of a credit check by a rating agency. (iii) An in-depth analysis of the issuer can establish that the supervisory regulations applicable to the credit institution are at least as stringent as those of EU law.
 - d) For other money market instruments not listed on an exchange or admitted to a regulated market for trading (see above under 2.c), d) and f)), adequate information on the issue or the issuance programme and the legal and financial situation of the issuer prior to the issue of the money market

instrument must be available, which is updated regularly and whenever a significant event occurs, and which is reviewed by a qualified, independent third party. In addition, data (e.g. statistics) on the issue or issuance programme must be available which allows the adequate assessment of the credit risks associated with the investment.

6.3 Bank accounts

No more than 5 percent of the value of each sub-fund may be invested in bank accounts with a maturity not exceeding 12 months. These bank accounts must be held on blocked accounts at a credit institution that has its registered office in a member state of the EU or another state that is a party to the Agreement on the EEA, or at a credit institution that has its registered office in a non-member state, provided that it is subject to the prudential rules considered by BaFin to be equivalent to those laid down in EU law. Unless specified otherwise in the Investment Conditions of each sub-fund, these bank accounts may be denominated in foreign currencies.

6.4 Derivatives

Transactions with derivatives may be conducted for account of the sub-funds as part of the investment strategy. For purposes of efficient portfolio management, derivative transactions may be entered into on behalf of the sub-fund. This may on occasion increase the risk of loss for the sub-fund.

A derivative is an instrument whose price is linked to fluctuations in prices or the price expectations for other assets (underlying). The following details relate to both derivatives and financial instruments with a derivative element (hereinafter, referred to collectively as the derivatives).

To calculate the utilisation of the market risk limit, the Investment Stock Corporation applies the "simple" approach as defined in the German regulation on risk management and risk measurement for the use of derivatives, securities lending and repurchasing agreements in investment funds pursuant to the KAGB (hereinafter referred to as "DerivateV"). They add up the total applicable amounts of all derivatives that lead to the increase of the investment level. The market value of the underlying will be taken as a basis for the total applicable amounts of derivatives and financial instruments with derivative components. The total applicable amounts for market risk through the use of derivatives and financial instruments with derivative components cannot exceed the value of the respective sub-fund's assets.

The Investment Stock Corporation may only regularly purchase derivatives if they can, on behalf of the respective sub-fund, acquire the underlying assets of such derivatives or if the risks represented by the underlying assets could have occurred through assets in the investment fund that the Investment Stock Corporation may acquire on behalf of the respective sub-fund. The Investment Stock Corporation may acquire on behalf of the respective sub-fund:

- Basic forms of derivatives pursuant to Section 7 of the Investment Conditions
- Combinations of these derivatives

- Combinations of these derivatives with other assets that may be acquired for the relevant sub-fund

The Investment Stock Corporation can adequately and accurately detect and measure all market risks in the respective sub-fund which are based on the use of derivatives.

A negligible proportion of the investment strategy may be based on a "complex" strategy. The Investment Stock Corporation may also invest a negligible proportion in complex derivatives. A negligible proportion is assumed not to exceed 1% of the value of the respective sub-fund based on the maximum loss.

6.4.1 Futures contracts

Futures contracts may be entered into for account of the sub-funds. Details are laid down in the Special Part of the prospectus as well as in the Investment Conditions.

Futures contracts are agreements which unconditionally bind both contracting partners to buy or sell a certain volume of a given underlying security at a previously agreed price on a specified date (maturity date), or within a specified period.

6.4.2 Option contracts

Option contracts in the form of warrants based on the Underlying Index or on individual securities of the Underlying Index may be entered into for account of the sub-funds.

In option contracts, a third party is granted the right, in exchange for consideration (option premium), to request the delivery or acceptance of assets or the payment of a balancing adjustment at a previously agreed price (underlying price) on a specified date or at the end of a specified period, or to acquire the corresponding option rights.

6.4.3 Swaps

For account of the sub-funds and in the framework of the investment principles

- interest-rate,
- currency,
- interest-currency and
- Credit default swaps transactions related to single underlying instruments (Single Name Credit Default Swaps).

Swaps are agreements whereby the payment flows or risks underlying the transaction are swapped between the contracting parties.

6.4.4 Swaptions

Swaptions are options on swaps. A swaption is the right, but not the obligation, to enter into a swap with precisely specified terms and conditions at a specified point in time or within a specified period. In all other respects the principles described in relation to option contracts apply. Only those swaptions consisting of the options and swaps as described above may be acquired for the account of the sub-funds.

6.4.5 Credit default swaps

Credit default swaps are credit derivatives enabling a potential volume of credit defaults to be transferred to other parties. In return for transfer of the credit default risk, the seller of the risk pays a premium to its contracting partner. Simple standardised credit default swaps which are used to hedge particular credit risks in the respective sub-

fund may be acquired on behalf of the sub-funds. In all other respects the comments on swaps apply accordingly.

6.4.6 Securitised financial instruments

The financial instruments described above may be acquired for the account of the sub-funds if these instruments are securitised. Transactions relating to only partially securitised financial instruments (e.g. bonds with warrants) may also be included. The statements concerning opportunities and risks also apply to such securitised financial instruments; however it should be noted that the risk of loss with securitised financial instruments is limited to the value of the security.

6.4.7 Over-the-counter (OTC) transactions

The Investment Stock Corporation may enter into derivative transactions for the account of the sub-funds that are either admitted for trading on a stock exchange or that are admitted to and included in another regulated market as well as over-the-counter (OTC) derivatives.

Derivatives that are not admitted for trading on a stock exchange or admitted to or included in another regulated market may only be transacted by the Investment Stock Corporation with suitable banks and financial institutions on the basis of standardised master agreements. For derivatives not traded on an exchange, the counterparty risk of a contractual party is limited to 5 percent of the value of each sub-fund. If the counterparty is a credit institution that has its registered office in the EU, in another state that is a party to the Agreement on the EEA or in a state that is not a member of either of those organisations but has a comparable level of supervision, the counterparty risk may total 10 percent of the value of each sub-fund. Derivative transactions traded other than on an exchange that are concluded with a central clearinghouse of a stock exchange or another regulated market are not included when determining these limits if the derivatives are valued daily at market prices with a daily margin settlement. Claims of the sub-funds against an intermediary are counted against the limits, however, even if the derivative is traded on an exchange or on another organised market.

6.4.8 Currency-hedged share classes

The Investment Stock Corporation may enter into derivative transactions to hedge currencies when such transactions have an effect exclusively on certain share classes. Since assets may be acquired that are not denominated in the currency(ies) in which the share classes are denominated, such hedging transactions may serve to avoid or limit share price losses in the event of currency fluctuations. These hedging transactions have no effect on the share price performance of the remaining share classes. Further details about currency-hedged share classes that have been formed are contained in the Special Part of this Sales Prospectus.

6.5 Other investment instruments

The following other investment instruments within the meaning of Section 198 KAGB may be acquired on behalf of the sub-funds, unless specified otherwise in the investment conditions:

- a) Securities not admitted for trading on an exchange or admitted for trading on or included in another regulated market, but which, in principle, meet the criteria for securities. Notwithstanding the traded or admitted securities, the reliable valuation of these securities in the form of a valuation conducted at regular intervals must be available, which is derived from information from the issuer or from competent financial analysis. Adequate information about the non-approved or non-included securities must be available in the form of regular and accurate information on the security or, where applicable, on the portfolio for the Fund to which it belongs as documented in the security.
- b) Money market instruments of issuers that do not satisfy the above requirements, if they are liquid and their value can be determined accurately at any time. Money market instruments are considered liquid if they can be sold within a sufficiently short time with limited costs. In doing so, the Company's obligation to redeem units in the Fund at the request of investors and to be able to sell such money market instruments on short notice must be taken into account. An accurate and reliable valuation system must also exist for money market instruments which allows the determination of the net asset value of the money market instrument and that is based on market data or on valuation models, such as systems that carry acquisition costs forward. The liquidity aspect of money market instruments is considered to be met if they are listed on a regulated market within the EEA or included in or listed on such a market or on a regulated market outside the EEA, provided that BaFin has approved the selection of this market.
- c) New issues of shares whose planned admission to a stock exchange or another regulated market has not yet taken place and where the admission takes place within a year of the issue.
- d) bonds that can be assigned at least twice after acquisition for the Fund and which were granted by one of the following bodies:
 - i) the German Federal Government or one of its special-purpose entities, a German federal state, the EU or a member state of the Organisation for Economic Co-operation and Development (OECD),
 - ii) another domestic local or regional authority, or a regional government or local or regional authority of another member state of the European Union, or another state that is a party to the Agreement on the EEA, provided that claims pursuant to the regulation on prudential requirements for credit institutions and investment firms can be treated in the same manner as a claim against the central government in whose territory the regional government or the local authority is established,
 - iii) another authority or public body with a registered office in Germany or in another Member State of the EU or in another state that is a party to the Agreement on the EEA;
 - iv) Companies that have issued securities that are admitted to trading on a regulated market within the EEA or on another regulated market which satisfies the key requirements of regulated markets as defined in the current version of the Markets in Financial Instruments Directive, or

- v) other debtors, provided that one of the agencies listed in i) to iii) has guaranteed the payment of interest and principal.

6.6 Investment fund units

1. Investments may be made in units of other open-ended domestic and foreign investment funds ("target funds") on behalf of the sub-funds.
2. The target funds may in accordance with their investment conditions or their Articles of Incorporation invest no more than 10 percent in units of other open-ended investment funds. The following additional requirements apply to so-called alternative investment funds ("AIF"):
 - a) The target fund must be authorised under laws which provide that it is subject to supervision for the protection of the investors and that cooperation between BaFin and the supervisory authorities of the target fund is sufficiently ensured.
 - b) The level of investor protection must be equivalent to the level of protection of an investor in a domestic UCITS, in particular with regard to the separation of the administration and custody of assets, borrowing and granting of loans as well as for short sales of securities and money market instruments.
 - c) The business activity of the target fund must be reported in annual and semi-annual reports that enable an assessment to be made of the assets and liabilities, income and operations over the reporting period.
 - d) The target fund must be a mutual fund in which the number of units is not limited in number and investors have a right to redeem the units.

Within the applicable 10% investment limit, the Company may invest all or part of the relevant sub-fund's assets in other funds managed by the Company or an affiliate of the Company.

6.7 Issuer and investment limits

1. Unless specified otherwise in the respective Investment Conditions and in the Special Part of this Sales Prospectus, the following issuer limits apply to each sub-fund.
 - a) Up to 20 percent of the assets of each sub-fund may be invested in securities from a single issuer (debtor).
 - b) The limit specified in No. 1 may be increased to up to 35 percent of the value of each sub-fund for securities from a single issuer (debtor). An investment up to the limit specified in Sentence 1 above is permissible only for one individual issuer (debtor).
 - c) No more than 35 percent of the value of each sub-fund may be invested each in bonds, borrowers' notes and money market instruments of particular public issuers as defined in Section 206 Paragraph 2 KAGB.
 - d) No more than 25 percent of the value of each sub-fund may be invested in
 - aa) mortgage bonds, municipal bonds and debentures issued by any bank domiciled in the EU or in the EEA before the 8 July 2022. A prerequisite is that the assets assumed with the bonds are structured so that they cover the liabilities of the bonds for their entire

term and are designated mainly for repayments and interest payments if the issuer of the bond defaults.

- bb) covered bonds within the meaning of Article 3(1) of Directive (EU) 2019/2162 on the issuance of covered bonds and public supervision of covered bonds issued after 7 July 2022.
- If more than 5 percent of the value of each sub-fund is invested in such bonds in accordance with lit. aa) and bb) from the same issuer, the total value of these bonds may not exceed 80 percent of the value of each sub-fund.
- e) A maximum of 20 percent of the assets of each sub-fund may be invested in a combination of the following assets:
 - aa) securities or money market instruments issued by one and the same institution,
 - bb) deposits at this institution,
 - cc) the weighted counterparty risk of the transactions entered into with this institution in derivatives.
- In the case of particular public issuers as defined in Section 206 Paragraph 2 KAGB, a combination of the assets specified in Sentence 1 may not exceed 35 percent of the value of each sub-fund.
- The respective individual upper limits remain unaffected in both cases.
- f) For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. Futures contracts and option contracts shall be attributed to the issuer limits in accordance with Sections 23 Paragraph 1 DerivateV.
2. Unless specified otherwise in the respective Investment Conditions and in the Special Part of this Sales Prospectus, the following investment limits apply to each sub-fund.
- a) No more than 5 percent of the assets of each sub-fund may be invested in bank accounts and money market instruments in accordance with the investment conditions. A minimum of 95 percent of the sub-funds must be invested in assets based on the Security Index. These assets for each sub-fund are listed under "Replication of the index and priority of direct duplication" in the Special Part for each sub-fund.
 - b) If index certificates or certificates on individual equities may be acquired in order to replicate the respective Underlying Index, no more than 10 percent of the value of each sub-fund may be invested in such certificates as defined under "Replication of the index and priority of direct duplication" in the Special Part for each sub-fund, which are not admitted for official trading on a stock exchange or listed on a regulated market.
 - c) In order to replicate the Underlying Index, up to 10 percent of the value of each sub-fund may be invested in units of other open-ended domestic and foreign investment funds (target funds) as defined in Point 6.6. In doing so, on behalf of each sub-fund no more than 25 percent of the issued units of a target fund may be acquired. In addition, the target funds may in accordance with their Investment Conditions invest up to 10 percent in units of other target funds.

- d) Up to 10 percent of the value of each sub-fund may be invested in other investment instruments pursuant to Point 6.5 on behalf of each sub-fund.

- 3. For the specific issuer and investment limits for the sub-fund iShares Brazil LTN BRL Govt Bond UCITS ETF (DE) please refer to this sub-fund's Investment Conditions and the relevant Special Part in this Sales Prospectus

7. Collateral strategy

In derivatives transactions, the Investment Stock Corporation receives collateral on behalf of the sub-fund in question. The collateral is used to reduce the risk of default of the counterparty of such transactions in whole or in part.

7.1 Types of eligible collateral

If derivative transactions may be concluded for a sub-fund, the Investment Stock Corporation only accepts collateral that satisfies the following criteria set out in Section 27 Paragraph 7 DerivateV:

- Assets that may be acquired for the sub-fund in question in accordance with the KAGB,
- are highly liquid,
- are subject to valuation at least each exchange trading day,
- are issued by issuers with high credit ratings,
- are not issued by issuers who are themselves a party to the contract or a company belonging the group within the meaning of Section 290 of the German Commercial Code (Handelsgesetzbuch),
- they are reasonably risk-diversified in terms of countries, markets and issuers,
- are subject to no significant operational or legal risks in terms of their management and custody,
- will be deposited with a Custodian Bank that is subject to effective public supervision and that is independent of the guarantor or is legally protected in the event of the default of a party, if they are not transferred,
- can be reviewed by the Investment Stock Corporation without the consent of the guarantor,
- can be immediately sold for the sub-fund in question, and
- the guarantor is subject to legal provisions in the event of insolvency.

7.2 Level of collateral

Derivatives transactions must be sufficiently secured to ensure that the capital requirement for the default risk of each counterparty does not exceed 5 percent of the value of the sub-fund in question. If the counterparty is a credit institution that has its registered office in the EU, in another state that is a party to the Agreement on the EEA or in another state which has a comparable level of prudential regulation, the default risk may total 10 percent of the value of the sub-fund in question.

7.3 Strategy for discounting valuations (haircut strategy)

The Investment Stock Corporation has introduced a "haircut" strategy for each asset that it accepts as collateral. A haircut is a discount to the value of collateral which takes into account the deterioration of the valuation or the liquidity profile of the

collateral over time. The haircut strategy takes into account the characteristics of each asset, including the creditworthiness of the issuer of the collateral, the price volatility of the collateral and the results of stress tests that can be performed as part of collateral management. Subject to the existing agreements with the counterparties, which may include minimum amounts for the transfer of collateral, it is the Investment Stock Corporation's intention that any collateral obtained be adjusted in accordance with the haircut strategy by a valuation discount at least equal to the counterparty risk. The haircuts applied to collateral accepted follow the guidelines of the internal policies of the Investment Stock Corporation for the treatment of collateral.

7.4 Investment of cash collateral

Cash collateral in the form of bank deposits may be held in blocked accounts with the Custodian Bank of the sub-fund in question or, with its consent, at another financial institution. The reinvestment may only be made in high-quality government bonds or in money market funds with short maturity structures.

7.5 Custody of securities as collateral

The Investment Stock Corporation may on behalf of the sub-funds accept securities as collateral for transactions in derivatives. If these securities are provided as collateral, they must be held by the Custodian Bank. If the Investment Stock Corporation has received the securities as collateral for derivative transactions, they can also be held in custody at another location, one that is under effective public supervision and independent of the guarantor. Reuse of the securities is not permitted.

8. Leverage

Leverage refers to any method by which the Investment Stock Corporation increases the level of investment of the sub-funds (leverage). Such methods include, in particular, the acquisition of derivatives, and borrowing. The option to use derivatives and engage in borrowing is presented in the sections Derivatives (Point 6.4) and Borrowing (Point 9).

The Investment Stock Corporation may use the methods described above to no more than double the market risk of the Fund. Short-term borrowing is not taken into account when calculating this limit. It limits the use of leverage in the Fund.

9. Borrowing

On behalf of a sub-fund, short-term loans for amounts of up to 10 percent of the sub-fund in question may be subscribed, if the terms of the loan are at market rates and subject to approval of the conditions of the loan by the Custodian Bank.

10. Valuation

10.1 General rules for asset valuation

10.1.1 Assets admitted for trading on a stock exchange or traded on a regulated market

Assets admitted for trading on stock exchanges or admitted to another regulated market or included in

such market as well as subscription rights for the sub-fund are valued at the last available traded price which ensures a reliable valuation, unless otherwise indicated under "Special valuation rules".

10.1.2 Assets not listed on stock exchanges or traded on regulated markets or assets without a tradable value

Assets not admitted for trading on stock exchanges nor admitted to another regulated market or included in such market, or for which no tradable value is available, are valued at current market values, which shall be assessed with due care using appropriate valuation models and taking into consideration current market conditions, unless otherwise indicated under "Special valuation rules".

10.2 Special valuation rules for individual assets

10.2.1 Unlisted bonds and borrowers' notes

For the valuation of bonds not admitted for trading on an exchange or admitted to or included on another official market (e.g. unlisted bonds, commercial paper and certificates of deposit) and for the valuation of borrowers' notes the prices will be based on the prices agreed for comparable bonds and borrowers' notes and, where applicable, the prices of bonds from comparable issuers with a corresponding term and interest rate with, if necessary, a deduction to take into account the reduced saleability.

10.2.2 Money market instruments

In the case of the money market instruments in a sub-fund, interest and related income as well as expenses (e.g. management fees, custodian bank fees, auditors' fees, publication costs etc.) shall be taken into account up to and including the day prior to the value date.

10.2.3 Option rights and futures contracts

The option rights belonging to a sub-fund and the liabilities resulting from option rights granted to a third party which are admitted for trading on a stock exchange or admitted to or included in another regulated market are valued at the last available traded price which ensures a reliable valuation.

The same applies to claims and liabilities resulting from futures contracts sold on behalf of a sub-fund. The initial margins charged to a sub-fund shall be added to the value of the sub-fund in question, including the valuation gains and valuation losses determined on the exchange trading day.

10.2.4 Bank accounts, time deposits and investment units

Bank deposits are, in principle, valued at their nominal value plus accrued interest.

Time deposits are valued at the market price if the time deposit can be terminated at any time and repayment upon termination does not take place at the nominal value plus interest.

Investment fund units are generally valued at their last determined redemption price or the last available traded price which ensures a reliable valuation. If these values are not available, investment fund units are valued at their current market value, assessed with due care using

appropriate valuation models and taking into consideration the current overall market situation.

10.2.5 Assets denominated in foreign currencies

Assets denominated in foreign currencies, where a sub-fund has an alternative reference currency shall be converted to euros on a same-day basis, currently using the afternoon fix (17:00 CET) for the reference currency of the sub-fund from "The WM Company".

11. Risk warnings

Before taking a decision on the purchase of shares in a sub-fund, investors should read the following risk warnings along with the other information contained in this Sales Prospectus carefully and take this into account when making their investment decision. The occurrence of one or more of these risks taken by itself or together with other circumstances may adversely affect the performance of a sub-fund or the assets held in a sub-fund and thus also adversely affect the share value.

If the investor sells shares in a sub-fund at a point in time at which the value of the assets owned by a sub-fund has decreased in relation to the purchase price, the investor may receive only part of the capital invested in the sub-fund or none of it. The investor could even lose part or, in some cases, all of the capital invested in the sub-fund. No guarantee can be given that the Fund will increase in value. However, investor risk is limited to the amount invested. The investor will not be required to make any payments beyond the capital invested.

In addition to the risks and uncertainties described below or elsewhere in this Sales Prospectus, a sub-fund's performance may be adversely affected by various other risks and uncertainties that are not presently known. The order in which the following risks are listed is not a statement about the probability of occurrence nor the extent or significance of the occurrence of individual risks.

11.1 General risks of investment in the Fund

The risks below may adversely affect the share value, the capital invested by the investor, and the length of time the investor planned to hold the investment in the Fund.

11.1.1 Fluctuation of the share value of the sub-fund

The share value of a sub-fund is calculated on the basis of the value of a sub-fund divided by the number of shares in circulation. The value of a sub-fund corresponds to the sum of the market values of all assets in the sub-fund less the sum of the market values of all of the liabilities of the sub-fund in question. The share value of a sub-fund is therefore dependent on the value of the assets held in a sub-fund and the amount of the liabilities in a sub-fund. If the value of these assets falls or the value of the liabilities increases, the sub-fund's share value decreases.

11.1.2 The influence of tax aspects on individual performance

The tax treatment of capital gains depends on the individual circumstances of each investor and may be subject to changes in the future. Investors should contact their personal tax advisor if they have specific questions, especially regarding their individual tax situation.

11.1.3 Suspension of the issue and redemption of shares

The Investment Stock Corporation may temporarily suspend the issue and redemption of shares if exceptional circumstances exist that make suspension necessary, taking into account the interests of the investors. Exceptional circumstances in this context may include: difficulties in the valuation of assets; serious liquidity problems (e.g. margin calls in securities trading, significant investor redemptions) where the sale of assets of a sub-fund would need to be carried out and could lead to liquidity problems for that sub-fund (e.g. significant discounts on the sale of assets, significant dilution effects); a critical cyber incident affecting one or more sub-funds, the Investment Stock Corporation, the Management Company and/or the operational capability of a service provider of the Investment Stock Corporation or the Management Company; unforeseen market closures; trading restrictions; closure of trading venues; a severe financial and/or political crisis; discovery of significant criminal activity; a natural disaster. In addition, BaFin may, after consulting the Investment Stock Corporation or the Management Company, order the Investment Stock Corporation to suspend or resume the issue and redemption of shares if risks to investor protection or financial stability exist that, upon reasonable and balanced consideration, make a suspension or resumption of the issue and redemption of shares necessary. The investor may not redeem their shares during this period. New investors may not acquire shares during this period. Even in the event of a suspension of the issue and redemption of shares, the share value may decrease; e.g. if the Investment Stock Corporation is forced to sell assets below market value during the suspension. The share price after resumption of the issue and redemption of shares may be lower than the price before the suspension. A suspension may be directly followed by the liquidation of the respective sub-fund without resumption of the issue and redemption of shares, e.g. if the Investment Stock Corporation terminates its management of the sub-fund in order to liquidate the sub-fund. For investors, there is therefore the risk that their planned holding period may not be realised and that significant parts of the invested capital may be unavailable to them for an indefinite period or may be entirely lost.

11.1.4 Changes to the Investment Conditions

The Investment Stock Corporation is entitled to amend the Investment Conditions with the approval of BaFin. This may also affect the rights of the investor. For example, the Investment Stock Corporation may change the investment policy of a sub-fund by amending the Investment Conditions or it can increase the expenses to be borne by a sub-fund.

11.1.5 Liquidation of the Fund

The Investment Stock Corporation has the right to terminate the management of a sub-fund. The resolution shall be published in the Federal Gazette and shall also be included in the next annual financial statements or half-yearly report. The Investment Stock Corporation may fully liquidate the sub-fund in question after terminating the management. The right of disposal of such a sub-fund is transferred to the Custodian Bank after a notice period of six months. For the investor, this entails the risk that the holding period planned by the investor will not be realised. In the transition of a sub-fund to the Custodian Bank the sub-fund in question may be charged other taxes than German income taxes. When shares are derecognised from the account of the investor after the liquidation process, the investor may be charged income taxes.

11.1.6 Merger

The Investment Stock Corporation may transfer all assets of a sub-fund to another UCITS. In this event, investors may (i) return their shares, (ii) retain their shares, with the result that they become investors of the receiving UCITS, (iii) or exchange their shares for units/shares of another open-end mutual investment fund with comparable investment principles, provided that the Investment Stock Corporation or a company affiliated with it administers such funds with comparable investment principles. This also applies when the Investment Stock Corporation transfers all of the assets of another investment fund to one of the sub-funds. Investors are thus required to make another investment decision prior to the transfer. Income taxes may apply when the shares are redeemed. When shares are exchanged for units/shares of another investment fund with comparable investment principles, investors may be charged taxes, such as when the value of the units/shares received is higher than the value of the old shares on the date of acquisition.

11.1.7 Transfer to another external investment management company

The Investment Stock Corporation may transfer the external management to another investment management company. The Investment Stock Corporation and the sub-fund remain unchanged, however, as does the position of the investor. Investors must, however, decide in the context of the transfer whether they consider the new investment management company to be as suitable as the previous one. If they no longer wish to remain invested in the sub-fund under the new management, they must redeem their shares. This may incur income taxes.

11.1.8 Profitability and meeting the investment objectives

It cannot be guaranteed that the performance desired by the investor will be achieved. The share value of the sub-funds may fall and result in losses for the investor. No guarantees are made by the Investment Stock Corporation or third parties regarding a specific minimum payment commitment upon redemption or a specific performance of one of the sub-funds. Investors may, therefore, receive back less than they originally invested. An issue premium levied when shares are acquired may

reduce or completely offset performance gains, particularly on short-term investments.

11.1.9 Specific risks of securities index UCITS

If the Underlying Index decreases in value, investors are fully exposed to the risk of falling market prices of their shares. The Investment Stock Corporation will not use hedging transactions to limit losses (no active management).

Temporary unavailability of certain equities on the market or other exceptional circumstances may lead to a deviation from the exact index performance. Furthermore, the sub-funds incur transaction costs and other costs, fees or taxes and duties when tracking the Underlying Index, which are not reflected in calculating the index. As a result, the sub-funds may not be able to replicate completely the performance of the Underlying Index. Exceptional circumstances also include restrictions on buying and selling related to compliance with statutory limits resulting from membership of the BlackRock Group. Furthermore, the composition of the Underlying Index may change over time. There is no guarantee that the Underlying Index will continue to be calculated and published on the basis described in this Sales Prospectus or that no material changes will be made to it.

Although the sub-funds aim to replicate the performance of the respective Underlying Index, there is, however, no guarantee that the sub-funds will achieve an exact replication. The sub-funds may be exposed to the risk of a tracking error, which is the risk that the return may differ slightly from that of the Underlying Index. This tracking error emerges if it is not possible to match the exact composition of the Underlying Index, for example if local market trading restrictions exist, if smaller components are illiquid, if the trade in certain securities that form part of the Underlying Index is temporarily unavailable or interrupted, and/or if legal requirements restrict the acquisition of certain components of the Underlying Index. In addition, the Investment Stock Corporation is dependent on the Licensor licensing the Index for the purposes of using and replicating the Underlying Index. If the Licensor ends or alters an index licence, this will impact the affected sub-fund's ability to continue using and replicating the Underlying Index and to achieve its investment objective. Regardless of market conditions, each sub-fund aims to replicate the performance of its Underlying Index, however the sub-funds do not aim to outperform the Underlying Index.

It cannot be guaranteed that the Licensor structures the Underlying Index correctly or that the Underlying Index is accurately determined, composed or calculated. Although the Licensor provides descriptions of what the Underlying Index aims to achieve, it provides neither guarantee nor liability for the quality, accuracy or completeness of the data that forms the basis of the Underlying Index, nor does it guarantee that the Underlying Index will follow the Index Methodology described. The Investment Stock Corporation's task as set out in this Sales Prospectus is to manage the sub-funds in line with the respective Underlying Index made available to the Investment Stock Corporation. Therefore, the Investment Stock Corporation assumes no warranty or guarantee for error of the Licensor. Errors may occasionally be made with regard to the quality, accuracy and completeness of the data. These may not be noticed or corrected for

a certain period of time, particularly if the indices concerned are less frequently used. Therefore, the gains, losses or costs connected with errors by the Licensor are to be borne by the affected sub-fund and its shareholders. Thus, for example, a period in which the Underlying Index contained incorrect components, the sub-fund, which replicates this published Underlying Index, would hold a market risk position in these components, and a lower market risk position in the components that the Underlying Index should contain. Errors may therefore have positive or negative impacts on the performance of the affected sub-fund and on its shareholders. Shareholders should be fully aware that all gains from errors of the Licensor are retained by the sub-fund and its shareholders and that all losses from errors of the Licensor are borne by the sub-fund and its shareholders.

In addition to planned reweightings and reconstitutions, the Licensor can also carry out additional ad hoc reweightings and reconstitutions of the Underlying Index in order, for example, to correct an error in the selection of the index components. If the Underlying Index is reweighted and reconstituted and the respective sub-fund reweights and reconstitutes its portfolio in order to replicate the Underlying Index, any transaction costs arising from the reweighting and reconstituting of the portfolio (including capital gains tax and transaction taxes) and any market risk positions are borne directly by the sub-fund and its shareholders. Unplanned reweightings and reconstitutions of the Underlying Index may also mean that the respective sub-fund is exposed to the risk of a tracking error. Errors in the Underlying Index and additional ad hoc reweightings and reconstitutions carried out to the Underlying Index by the Licensor may therefore increase the costs and the market risk of the affected sub-fund.

11.1.10 Fund Liability Risk

The Investment Stock Corporation is structured as an umbrella fund with segregated liability between its sub-funds. As a matter of law, the assets of one sub-fund will not be available to meet the liabilities of another. However, the Investment Stock Corporation is a single legal entity that may operate or have assets held on its behalf or be subject to claims in other jurisdictions that may not necessarily recognise such segregation of liability. As at the date of this Prospectus, the Investment Stock Corporation is not aware of any such existing or contingent liability.

11.2 Risk of negative price performance (market risk)

The risks below may have a negative effect on the performance of the sub-funds or the assets held in the individual sub-funds and thus also adversely affect the share value and investors' return on invested capital.

11.2.1 Risk of change in value

The assets in which the Investment Stock Corporation invests on behalf of the sub-funds are subject to risks. Losses may be incurred if the market value of the assets decreases in relation to the purchase price, or spot and forward prices develop differently.

11.2.2 Capital market risk

The price or market value performance of financial products is especially dependent on the performance of the capital markets, which in turn are influenced by the general state of the global economy and by the economic and political conditions in the respective countries. Irrational factors such as sentiment, opinions and rumours have an effect on general price performance, particularly on a stock exchange. Fluctuations in prices and market values may also be due to changes in interest rates, exchange rates or the credit quality of an issuer.

11.2.3 Risk of price changes in equities

Equities are usually subject to strong price fluctuations and thus the risk of price declines. These fluctuations are particularly influenced by the development of the profits of the issuing company as well as the developments in the industry and the overall economic development. The confidence of market participants in a company may also affect the price performance. This is especially true for companies whose shares are admitted only for a shorter period on the stock exchange or other regulated markets; for such shares even slight changes in forecasts may lead to strong price movements. If the portion of freely tradable shares owned by many shareholders (so-called free float) is low, even smaller buy and sell orders of this share can have a major impact on the market price and thus lead to higher price fluctuations.

11.2.4 Risk of changes in interest rates

Investing in fixed-rate securities is associated with the possibility that market interest rates at the time a security is issued may change. If market interest rates rise in comparison with the interest rates at the time of issue, the prices of fixed-rate securities will generally fall. Conversely, if market interest rates fall, the price of fixed-income securities will rise. This price trend means that the current return on a fixed-income security is roughly equivalent to the current market interest rate. The price fluctuations vary significantly, however, depending on the (residual) maturity of the fixed-income securities. Fixed-income securities with shorter maturities generally have lower price risks than fixed-income securities with longer maturities. However, fixed-income securities with shorter maturities generally have lower returns in comparison with fixed-income securities with longer maturities. Money market instruments tend to have lower price risks due to their short maturity not exceeding 397 days. In addition, the interest rates of different interest-rate related financial instruments with similar residual maturities and which are denominated in the same currency may develop differently.

11.2.5 Risk of negative interest on deposits

The Investment Stock Corporation invests the liquid assets of the sub-funds at the depositary or other banks on behalf of the sub-fund. In some cases, an interest rate is agreed for these deposits that is typically based on the European Interbank Offered Rate (Euribor) less a certain margin. If the Euribor falls below the agreed margin, this will cause negative interest on the corresponding account. Depending on developments in the interest rate policy of the European Central Bank, short-,

medium- and long-term bank deposits may have a negative interest.

11.2.6 Risks in connection with derivative transactions

Derivative transactions may be entered into for the sub-funds: The purchase and sale of options and the conclusion of futures contracts or swaps is associated with the following risks:

- Price changes of the underlying instrument can reduce the value of an option right or futures contract. If the value decreases until the derivative becomes worthless, the Investment Stock Corporation may be forced to forfeit the acquired rights. The change in value of the asset underlying a swap may also lead to losses in each sub-fund.
- The leverage effect of options can influence the value of a sub-fund more strongly than is the case with a direct purchase of the underlying assets. The risk of loss cannot be determined when the transaction is concluded.
- There may not be a liquid secondary market for a particular instrument at a given time. It may not be possible to economically neutralise (close) a position in derivatives in certain circumstances.
- The purchase of options is associated with the risk that the option is not exercised because the prices of the underlying assets do not develop as expected, causing the option premium paid by the respective sub-fund to be forfeited. The sale of options entails the risk that the sub-fund in question may be obligated to accept assets at a price higher than the current market price or deliver assets at a price lower than the current market price. The sub-fund in question will then incur a loss amounting to the price difference less the option premium received.
- Futures contracts entail the risk that the Investment Stock Corporation is required to pay the difference between the underlying price at closing and the market price at the time of settlement or maturity on behalf of a sub-fund. This would result in the sub-fund in question suffering losses. The risk of loss cannot be determined when the futures contract is concluded.
- The possible necessity of an offsetting transaction (settlement) is associated with costs.
- The Investment Stock Corporation's forecasts of the future performance of underlying assets, interest rates, exchange rates and foreign exchange markets may prove to be incorrect.
- It may not be possible to buy or sell the assets underlying the derivatives at a favourable time or they may have to be bought or sold at an unfavourable time.
- The use of derivatives could result in losses that are not predictable and could even exceed the margin deposits.

Over-the-counter (OTC) transactions can involve the following risks:

- A regulated market may not exist, making it difficult or impossible for the Investment Stock Corporation to sell financial instruments acquired on the OTC market on behalf of a sub-fund.
- The individual agreement may make it difficult or impossible to conclude an offsetting transaction (settlement) or considerable costs may be associated with such settlement.

11.2.7 Risk of price changes of convertible bonds and bonds with warrants

Convertible bonds and bonds with warrants represent the right to convert the bond into shares or to acquire shares. The development of the value of convertible bonds and bonds with warrants is therefore dependent on the performance of the underlying shares. The risks associated with the performance of the underlying shares may therefore also affect the performance of convertible bonds and bonds with warrants. Bonds with warrants, which give the issuer the right to grant the investor a fixed number of shares in lieu of repayment of the nominal amount (*reverse convertibles*), are dependent to a considerable extent on the corresponding share price.

11.2.8 Risks associated with the receipt of collateral

The Investment Stock Corporation receives collateral for derivative transactions. Derivatives may increase in value. In this case, the collateral received might be insufficient to cover the full amount of the delivery or retransfer claims of the Investment Stock Corporation against the counterparty.

The Investment Stock Corporation may invest cash collateral in blocked accounts, high-quality government bonds or in money market funds with short maturity structures. However, the bank at which the accounts are kept may fail. Government bonds or money market funds may decline in value. When the transaction is concluded, the full amount of the collateral provided might no longer be available, but the Investment Stock Corporation is still required to repay it at its original amount for the sub-fund in question. In this case, the affected sub-fund bears the losses from the collateral.

11.2.9 Inflation risk

All assets are subject to devaluation through inflation. This applies to the assets held in the Fund. The inflation rate may be higher than the increase in value of the sub-funds.

11.2.10 Currency risk

A sub-fund's assets may be invested in currencies other than the sub-fund currency. The sub-fund in question receives income, repayments and proceeds from such investments in the respective currency. If the value of this currency falls in relation to the sub-fund currency, this reduces the value of such investments and thus the value of the assets of the sub-fund in question. Emerging markets may have a higher volatility on the currency market.

11.2.11 Concentration risk

The Underlying Indices of the sub-funds concentrates investments on a particular regional/national market. This makes the sub-funds exclusively dependent on the performance of this regional/national market, and not on the overall market.

11.2.12 Risks associated with investing in investment units

The risks of investment units that are acquired for the sub-funds (called target funds), are closely related to the risks of the assets contained in these funds or the investment strategies they pursue.

However, as the managers of the individual target funds act independently of each other, it may also happen that several target funds have the same or opposite investment strategies. This may result in the accumulation of existing risks, and any opportunities might be offset. It is generally not possible for the Investment Stock Corporation to control the management of the target funds. Their investment decisions do not necessarily have to correspond with the assumptions or expectations of the Investment Stock Corporation. The Investment Stock Corporation will often not be promptly informed of the current composition of the target funds. If the composition does not correspond to its assumptions or expectations, it may react only with a considerable delay by returning target fund units. Furthermore, target funds could temporarily suspend the redemption of units. If this happens, the Investment Stock Corporation is prevented from selling its units in the target fund by returning them to the Management Company or Custodian Bank of the target fund in exchange for the payment of the redemption price.

11.2.13 Risks related to investments in Depository Receipts

ADRs and GDRs are designed to offer exposure to their underlying securities.

In certain situations, the Company may use ADRs and GDRs to provide exposure to underlying securities within the Underlying Index, for example where the underlying securities cannot be, or are unsuitable to be, held directly, where direct access to the underlying securities is restricted or limited or where depository receipts provide a more cost or tax efficient exposure. However, in such cases the Company is unable to guarantee that a similar outcome will be achieved to that if it were possible to hold the securities directly, due to the fact ADRs and GDRs do not always perform in line with the underlying security.

In the event of the suspension or closure of a market(s) on which the underlying securities are traded, there is a risk that the value of the ADR or GDR will not closely reflect the value of the relevant underlying securities. Additionally, there may be some circumstances where the Company cannot, or it is not appropriate to, invest in an ADR or GDR, or the characteristics of the ADR or GDR do not exactly reflect the underlying security.

In the event that a sub-fund invests in depository receipts not contained in the Underlying Index for the reasons set out above, the sub-fund's tracking of the Underlying Index may be impacted, i.e. there is a risk that the sub-fund's return varies from the return of the Underlying Index.

11.2.14 Risks arising from the investment spectrum

With respect to the investment principles and limits stipulated by law and by the Investment Conditions, which provide for a relatively wide investment range for the sub-funds, the actual investment strategy may be focused primarily on acquiring assets in e.g. only a few industries, markets or regions/countries. This focus on a few specific investment sectors may be associated with risks (e.g. narrow market, high degree of fluctuation in certain economic cycles). The annual report provides retrospective information about the investment strategy for the previous reporting year.

11.2.15 Emerging markets

Particular risks are associated with investing in emerging nation markets. The main risks include: generally lower liquidity and less efficient securities markets; generally higher price volatility; exchange rate fluctuations and currency controls; lack of available currency risk hedging instruments; unexpected introduction of restrictions on foreign capital investments; restrictions of the withdrawal of funds or other assets; less publicly available information on issuers; unexpected changes to taxation arrangements; higher transaction and custody costs; processing delays and risk of loss; difficulties in the enforcement of the contractual rights; lower liquidity and lower market capitalisation; less regulated markets, which may lead to greater fluctuations in share prices; other accounting and disclosure standards; government intervention; risk of confiscation; nationalization or seizure of assets or real estate; higher inflation; social, economic and political instability and uncertainty; risk of expropriations and war.

The investments of a sub-fund may be adversely affected by the risks set out above. The value of investments may rise or fall.

11.3 Risks of limited or increased liquidity of the Fund and risks related to increased issues or redemptions (liquidity risk)

The risks below may adversely affect the liquidity of the sub-funds. This could result in the Investment Stock Corporation activating procedures by which, in the case of share issues and/or share redemptions, the Investment Stock Corporation reduces the risk of dilution for investors remaining in the relevant sub-fund, or in the sub-funds being temporarily or permanently unable to meet their payment obligations, or in the Investment Stock Corporation temporarily or permanently being unable to fulfil redemption requests from investors. Investors may be able to acquire shares only at an increased issue price and/or, when redeeming shares, may receive only a reduced redemption price. In addition, investors may not be able to realise their planned holding period and the invested capital or parts thereof may not be available to them for an indefinite period. If liquidity risks occur, the value of the sub-funds and thus the share value could decline, for example if the Investment Stock Corporation is forced, where legally permissible, to sell assets for the relevant sub-funds below market value. If the Investment Stock Corporation is not able to fulfil investors' redemption requests, this may also lead to the suspension of the issue and redemption of shares and, in extreme cases, to the subsequent liquidation of the respective sub-fund.

11.3.1 Risk arising from investing in assets

Assets which are not admitted for official trading on a stock exchange or listed on another regulated market may also be acquired for the sub-funds. It cannot be guaranteed that these assets can be resold without a discount or delay or that they cannot be resold at all. Depending on the market situation, the volume, the timing and budgeted costs, it may only be possible to sell even assets admitted to the stock market at heavy discounts or it may not be possible to sell them at all. Although

only assets which can in principle be liquidated at any time may be acquired for the sub-funds, it cannot be ruled out that it might only be possible, temporarily or permanently, to sell them at a loss.

11.3.2 Risk through borrowing

The Investment Stock Corporation may take out loans on behalf of the sub-funds in accordance with Point 9. "Borrowing". In addition loans with variable interest rates can have a negative effect on the respective sub-fund assets if interest rates rise. If the Investment Stock Corporation is required to repay a loan and cannot do so through follow-up financing or using the liquidity available to the respective sub-fund, it may be forced to realise assets prematurely or in less favourable conditions than intended.

11.3.3 Risks posed by increased issues or redemptions

Subscriptions and redemptions made by investors entering and exiting the sub-funds result in the increased or decreased liquidity of the sub-funds' assets. The inflows and outflows can lead to a net inflow or net outflow of the sub-funds' liquid assets. This net inflow or outflow may cause the Fund Manager to buy or sell assets, which involves transaction costs. This is especially true when the inflows or outflows result in the liquid assets exceeding or falling below the ratio established by the Investment Stock Corporation for the sub-fund in question. The resulting additional transaction costs are charged to the sub-fund in question and may adversely affect the performance of that sub-fund. In the event of inflows, increased fund liquidity can have a negative impact on the performance or tracking error of the respective sub-fund if the Investment Stock Corporation is unable to invest the funds or cannot invest them in a timely manner on appropriate terms.

In order to manage liquidity risks, the Investment Stock Corporation may use procedures to distribute the costs arising from the issue of shares and/or the redemption of shares (e.g. transaction costs due to the necessary sale or purchase of assets of a sub-fund) to the new investors or redeeming investors in a way that is fair to the polluter, thus reducing the risk of dilution for the investors remaining in the sub-fund. For the redeeming investors, there is a risk that when these procedures are applied, the share value will be modified by a factor or a fee will be deducted from the share value, thus reducing the redemption price accordingly. For new investors, there is also the risk that the share value will be modified by a factor when these procedures are applied.

11.3.4 Risk associated with holidays in certain regions/countries

Depending on the investment strategy, investments for the sub-funds may be made particularly in certain regions/countries. Local holidays in these regions/countries may cause divergences between the trading days on stock exchanges in these regions/countries and the sub-funds' valuation dates. On a day that is not a valuation date, the affected sub-fund might not react to market developments in the regions/countries on the same day, or on a valuation date that is not a trading day in these regions/countries, it might not trade on the market there. This may prevent the respective sub-fund from realising assets in the required time. This

may adversely affect the ability of the affected sub-fund to fulfil redemption requests or meet other payment obligations.

11.4 Counterparty risks including credit and collection risk

The risks below may have a negative effect on the performance of the sub-funds and thus also adversely affect the share value and investors' return on invested capital. If the investor sells shares in a sub-fund at a point in time at which a counterparty or central counterparty has defaulted, thus negatively affecting the value of the assets of the sub-fund in question, the investor may receive only part of the capital invested in the sub-fund or none of it.

11.4.1 Risk of settlement default/counterparty risk (except central counterparties)

The default of an issuer or of a contracting party (counterparty) against which a sub-fund has claims may result in losses for the sub-fund in question. Issuer risk describes the effect of the particular developments concerning an issuer which, in addition to the general trends on the capital markets, have an effect on the price of a security. Even if securities are carefully selected, losses may result if issuers become insolvent. The party to an agreement concluded on behalf of a sub-fund may default partially or completely (counterparty risk). This applies to all contracts that are entered into for account of a sub-fund.

Currency forwards used by Currency Hedged Share Classes to hedge their currency risks are not collateralised and the Currency Hedged Share Classes have uncollateralised counterparty exposure to such foreign exchange counterparties in respect of such derivatives, subject to the investment limits for derivatives and subject to Currency Hedged Share Classes not being permitted to have over-hedged positions in excess of 105% of their Net Asset Value. As at the date of this prospectus, State Street Bank International GmbH is the sole counterparty for currency forwards used by Currency Hedged Share Classes. A formal review of each new counterparty is completed and all approved counterparties are monitored and reviewed on an ongoing basis. The Management Company maintains an active oversight of counterparty exposure and the collateral management process.

11.4.2 Risk arising from central counterparties

A central counterparty (CCP) acts as an intermediary institution in certain transactions for a sub-fund, particularly in transactions involving derivative financial instruments. In this case, it acts as a buyer to the seller and the seller to the buyer. A CCP hedges against the risk that its business partners may not be able to provide the agreed services through a series of protection mechanisms that enable it at any time to offset losses from the transactions entered into (e.g. through collateralisation). Despite these protections, the risk that a CCP itself becomes overindebted and defaults cannot be ruled out, which could also affect the claims of the Investment Stock Corporation for a sub-fund. This can result in losses to the sub-fund in question.

11.5 Operational and other risks of the Fund

The risks below may have a negative effect on the performance of the sub-funds and thus also adversely affect the share value and investors' return on invested capital.

11.5.1 Risks posed by criminal actions, irregularities or natural disasters

The sub-funds may become a victim of fraud or other criminal acts. They may suffer losses due to errors by employees of the Investment Stock Corporation, the external Management Company or third parties or be damaged by external events such as natural disasters or pandemics.

11.5.2 Country or transfer risk

There is the risk that, in spite of the ability to pay, a foreign debtor cannot make payments when due or at all or only in another currency because the country in which his registered offices are located lacks the ability to make transfers or the willingness to make transfers, or for similar reasons. For example, payments to which the Investment Stock Corporation has a claim on behalf of a sub-fund might not be made at all or might be made in a currency that is not (or is no longer) convertible owing to currency restrictions, or might be made in another currency. If the debtor pays in another currency, this position is subject to the currency risk presented above.

11.5.3 Legal and political risks

Investments may be made on behalf of the sub-funds in jurisdictions in which German law does not apply, or in case of dispute, the place of jurisdiction is outside Germany. Any resulting rights and obligations of the Investment Stock Corporation for the account of a sub-fund may differ from those in Germany to disadvantage of the sub-fund in question or the investor. The Investment Stock Corporation may recognise political or legal developments, including the amendments to the legal framework, in these jurisdictions too late or not at all, or they may lead to restrictions on assets that can be purchased or that have already been purchased. These consequences may also arise when the legal framework for the Investment Stock Corporation and/or the management of a sub-fund in Germany changes.

11.5.4 Change in the tax environment

The summary of tax regulations in this Sales Prospectus is based on current knowledge of the legal situation. The information is directed towards individuals who have unlimited liability for income tax or corporation tax in Germany. However, we accept no responsibility for any changes in tax treatment as a result of legislative or judicial actions or decrees issued by the tax authorities. The Investment Stock Corporation (or a representative) may file claims on behalf of a sub-fund to recover withholding tax on dividend and interest income (if any) received from issuers in certain countries. Whether or when a sub-fund will receive a withholding tax refund in the future is within the control of the tax authorities in such countries. Where the Company expects to recover withholding tax for a sub-fund based on a continuous assessment of probability of recovery, the net asset value of the respective sub-fund generally includes accruals for such tax refunds. The

Company continues to evaluate tax developments for potential impact to the probability of recovery for the sub-funds. If the likelihood of receiving refunds materially decreases, for example due to a change in tax regulation or approach, accruals in the Fund's net asset value for such refunds may need to be written down partially or in full, which will adversely affect the respective sub-fund's net asset value. Investors in the respective sub-fund at the time an accrual is written down will bear the impact of any resulting reduction in net asset value regardless of whether they were investors during the accrual period. Conversely, if the respective sub-fund receives a tax refund that has not been previously accrued, investors in the respective sub-fund at the time the claim is successful will benefit from any resulting increase in the respective sub-fund's net asset value. Investors who sold their shares prior to such time will not benefit from such net asset value increase.

11.5.5 FATCA and other international reporting systems

Investors should also read the information in section "FATCA and other international reporting systems" under Point 22.9, particularly in relation to the consequences if the Investment Stock Corporation does not meet the conditions of such reporting systems.

11.5.6 Key personnel risk

If a sub-fund's investments perform very well over a certain period of time, this success may be partly due to the aptitude of the traders and so to the correct decisions of its management. However, the composition of the Fund's management may change. New decision-makers may be less successful in their activities.

11.5.7 Custodial risk

When assets are held in custody, especially in foreign countries, there is a risk of loss resulting from the insolvency, or violation of due diligence by the Custodian or force majeure.

11.5.8 Risks of trading and clearing mechanisms (settlement risk)

In the settlement of securities transactions there is the risk that one of the parties fails to pay on time or in accordance with the agreement or does not deliver the securities on time. This settlement risk also exists when trading in other assets for a sub-fund.

11.5.9 Risk of investment restrictions

As a result of the investments of the BlackRock Group, the possible investment strategies of the sub-funds may be subject to investment restrictions. In this connection, the investments of the BlackRock Group are also considered to be investments on behalf of accounts managed by the BlackRock Group.

For example, there may be overall investment limits that may not be exceeded arising from the definition under corporate or supervisory law of the ownership of regulated companies in regulated markets. Violation of these investment limits without the issue of a corresponding authorisation or other regulatory or corporate approval may have disadvantages or transaction restrictions for the BlackRock Group and the Fund.

Reaching any such overall investment limits may have as a result that the sub-fund in question will no longer be in a position, for regulatory or other reasons, to make or sell investments or to exercise the rights of such investments.

In view of possible regulatory restrictions of ownership rights or other restrictions that result from reaching the investment limits, the Investment Stock Corporation is therefore entitled to restrict the acquisition of investments, the disposal of existing investments or the exercise of rights (including voting rights) in any other way.

11.5.10 Sustainability risks

BlackRock defines sustainability risk as an investment risk (probability or uncertainty of occurrence of material losses relative to the expected return of an investment) that arises from environmental, social and/or governance issues. In this assessment, BlackRock focuses on the investment risks that are financially material to the fund. The definition of sustainability risks is not intended to capture the risk that a sub-fund with sustainable characteristics or objectives fails to meet its sustainable commitments.

As with other investment risks and opportunities, the financial materiality of sustainability risks may vary by issuer, sector, product, mandate, and time horizon. See the BlackRock SFDR Sustainability Risk Statement for further information at <https://www.blackrock.com/corporate/literature/continuous-disclosure-and-important-information/sfdr-sustainability-risk-statement.pdf>.

The outcome of the sustainability risk assessment outlined below is an assessment at the sub-fund level with no reference to the Underlying Index of a sub-fund. This is designed to give clients an indication of the total level of sustainability risk they may be exposed to when investing in a particular sub-fund. It is not intended to represent how sustainability risk is managed within our investment processes, as risk is managed within the objective of a sub-fund and typically assessed relative to the Underlying Index of the sub-fund. Like other investment risks, the ability to manage sustainability risk depends on the sub-fund chosen. If a client chooses a product with limited investment discretion - such as an index replicating portfolio - the ability to manage or control the sustainability risk present in the sub-fund will be constrained.

Whilst the impact of sustainability risks may differ from fund to fund, as noted in the risk factors above, all sub-funds may be subject to some aspects of sustainability risk, given sustainability risk may manifest itself through existing other risk types (including, but not limited to, market, liquidity, concentration, credit, asset-liability mismatches etc.).

Sustainability risk may be reflected in two ways: 1) a sub-fund's potential exposure to a sustainability risk event and 2) the potential financial impact to a sub-fund's performance should such a sustainability risk event or factor occur. In assessing the potential impact of sustainability risk, these aspects are considered against the fund characteristics as listed below. Exposure and impact are assessed across a 5-year (or less) time horizon as aligned with the investment horizon of the majority of BlackRock funds.

- **Fund Geographical Focus:** The geographic location of underlying investments may impact the extent to which a sub-fund is

exposed to and impacted by a sustainability risk event or factor. Certain conditions in a geographic location such as the local climate, regulatory environment, economic diversification or level of infrastructure may impact the extent to which a sub-fund is exposed to either the physical impacts of climate change, the risks related to the transition to a lower carbon economy or social and governance risks.

- **Fund liquidity:** funds with lower liquidity may be less able to exit positions impacted by sustainability risks and are therefore both more exposed to sustainability risk events and more likely to be financially impacted by a sustainability risk event if it occurs.
- **Fund Sector Allocation:** Certain sectors are likely to be more exposed to the impacts of sustainability risks. As a result, issuers in such sectors may require significant business model transformation or face decreased demand for their goods or services. These effects could be positive or negative depending on company positioning for the future, current economic activities and ability to manage change. Sub-funds with higher allocation to such sectors, for example, the energy sector, are expected to have higher exposure to sustainability-related risks and also expect a higher impact on financial performance should a sustainability risk event occur. Sub-funds that have lower exposure to these sections are expected to have a lower exposure to sustainability-related risks and are expected to experience a lower impact on financial performance should a sustainability risk event occur.
- **Product design:** Sub-funds with explicit aims to consider environmental or social characteristics, or with explicit sustainability objectives, adopt investment strategies which drive greater exposure to sustainability related themes and therefore have a higher exposure to sustainability risk event. As these sub-funds have greater exposure to sustainability related themes, they can expect a higher financial performance impact should a sustainability risk event occur.

BlackRock classifies each of the above factors and aggregates the factor assessments to a fund-by-fund overall classification of material or not material. As at the date of this prospectus, none of the sub-funds has been classified as falling into the "material" category from a sustainability risk perspective.

While index providers do provide descriptions of what each Underlying Index is designed to achieve, index providers do not generally provide any warranty or accept any liability in relation to the quality, accuracy or completeness of data in respect of their benchmark indices or in their index methodology documents, nor any guarantee that the published indices will be in line with their described benchmark index methodologies. Errors in respect of the quality, accuracy and completeness of the data may occur from time to time and may not be identified and corrected for a period of time, in

particular where the indices are less commonly used.

11.5.11 Specific risks related to investments in currency hedged share classes

a) General information

Investors should be aware that currency hedging may adversely affect the returns on their investment due to transaction costs and spreads, market inefficiency, risk premia and other factors which may be material in the case of certain currencies and/or over the long term.

Currency Hedged Share Classes use forward FX contracts and spot FX contracts to reduce or minimise the risk of currency fluctuations between a Currency Hedged Share Class, its underlying portfolio currency exposures against its valuation currency. In circumstances where the valuation currency of a Currency Hedged Share Class is generally strengthening against the currency exposures being hedged (i.e. the underlying portfolio currency exposures of a Currency Hedged Share Class), currency hedging may protect investors in the relevant Currency Hedged Share Class against such currency movements. However, where the valuation currency of a Currency Hedged Share Class is generally weakening against the currency exposures being hedged, currency hedging may preclude investors from benefiting from such currency movements. Investors should only invest in a Currency Hedged Share Class if they are willing to forego potential gains from appreciations in the underlying portfolio currency exposures of a Currency Hedged Share Class against the Currency Hedged Share Class' valuation currency.

While currency hedging is likely to reduce currency risk in Currency Hedged Share classes, it is unlikely to completely eliminate currency risk.

Currency Hedged Share Classes in non-major currencies may be affected by the fact that capacity of the relevant currency market may be limited, which could reduce the ability of the Currency Hedged Unit Share to reduce its currency risk and the volatility of such Currency Hedged Share Class.

b) Specific risks

Currency Hedged Share Classes use a currency hedging approach whereby the hedge is proportionately adjusted for net subscriptions and redemptions in the relevant Currency Hedged Share Class. An adjustment is made to the hedge to account for the price movements of the underlying securities held for the relevant Currency Hedged Share Class, corporate events affecting such securities, or additions, deletions or any other changes to the underlying portfolio holdings for the Currency Hedged Share Class, however, the hedge will only be reset or adjusted on a monthly basis and as and when a pre-determined tolerance is triggered intra-month, and not whenever there is market movement in the underlying securities. In any event, any over-hedged position arising in a Currency Hedged Share Class will be monitored daily and is not permitted to exceed 105% of the net asset value of that Share Class as prescribed by the UCITS regulations. Under-hedged positions shall not fall short of 95% of the portion of the net asset value of the relevant Currency Hedged Share Class that is to be hedged against currency risk.

The aggregate gain or loss arising from the hedging positions of a Currency Hedged Share Class will be reduced by an adjustment to some or all of the currency hedges only on a monthly basis and as and

when the aggregate exceeds a pre-determined tolerance intra-month as determined by the Management Company, and not whenever there is an aggregate gain or loss. When a gain or loss from a currency hedge is adjusted, either the gain will be reinvested into underlying securities or the underlying securities will be sold to meet the loss. In the event that there is a loss on the foreign currency hedge of the relevant Currency Hedged Share Class prior to an adjustment or reset, the relevant Currency Hedged Share Class will have an exposure to securities which will exceed its net asset value as its net asset value comprises both the value of its underlying securities plus the unrealised loss on its foreign currency hedge. Conversely, in the event that there is a gain on the foreign currency hedge of the relevant Currency Hedged Share Class prior to an adjustment or reset, the relevant Currency Hedged Share Class will have a lower exposure to securities than its net asset value as, in this case, its net asset value will include an unrealised gain on the foreign currency hedge. When the foreign currency hedge is adjusted or reset, any such difference will be materially addressed.

The Management Company will monitor the currency exposure and gain or loss arising from hedge positions of each Currency Hedged Share Class against the pre-determined tolerances daily and will determine when a currency hedge should be reset and the gain or loss arising from the currency forwards reinvested or settled, while taking into consideration the frequency and associated transaction and reinvestment costs of resetting the currency forwards. When a pre-determined tolerance threshold for a Currency Hedged Share Class is triggered as at the close of a business day, the relevant currency hedge will be reset or adjusted only on the next business day (on which the relevant currency markets are open); therefore, there could be a business day's lag prior to the hedge position being reset or adjusted.

The triggers for resetting and adjusting the hedge are pre-determined by the Company and periodically reviewed for appropriateness. Other than this periodic adjustment of the tolerance levels, the Management Company has no discretion to alter or vary the hedging methodology used by the relevant Currency Hedged Share Class (other than in exceptional market circumstances where the Management Company believes that it would be in investors' interests to reset or adjust the hedge before the trigger levels are exceeded, or not reset or adjust the hedge if they are exceeded).

c) Other risks with one or more currency hedged share classes

Currency Hedged Share Classes hedge their currency exposure using forward FX contracts and spot FX contracts. All gains, losses and expenses arising from hedging transactions for a particular Currency Hedged Share Class are attributed only to that Currency Hedged Share Class and should generally be borne only by the investors in that Share Class. However, given that there is no segregation of liabilities between Share Classes under law, there is a risk that, if the assets notionally allocated to a Currency Hedged Share Class are insufficient to meet the losses arising from its hedging transactions (in addition to other fees and expenses attributable to such Share Class), the losses arising from the hedging transactions for such Share Class could affect the net asset value per unit of one or more other Share Classes of the same sub-fund.

12. Shares

12.1 Company shares and investment shares

The Investment Stock Corporation issues company shares and investment shares. Company shares are issued in the form of registered shares. They grant the right of participation in the general shareholders' meeting of the Investment Stock Corporation and a voting right in the general shareholders' meeting. Investment shares are issued in the form of bearer shares. They do not include the right to participation in the general shareholders' meeting of the Investment Stock Corporation or grant voting rights. The rights of the holders of company and investment shares are vested exclusively in global certificates upon the setting up of the Investment Stock Corporation. The global certificates, in which the rights of the investment shareholders are vested, are held at Clearstream Banking Frankfurt, whose registered office is at Neue Börsenstr. 1, 60485 Frankfurt/ Main. Shareholders are not entitled to the delivery of individual share certificates. The acquisition of shares is only possible in conjunction with depository custody.

The Management Board may increase the shareholders' capital of the Investment Stock Corporation through the issue of new company shares and/or investment shares in return for one-time or multiple investments up to the maximum authorised share capital of EUR 50,000,300,000.00. The company and investment shares of the Investment Stock Corporation may grant various rights.

In particular, the shares may represent rights to different sub-funds.

In addition, the shares may have various structural characteristics. Please see Point 5 "Share classes" of this Sales Prospectus for details.

12.2 Issue of shares

Shares may be issued only in return for full payment of the issue price. Contributions in kind are permitted provided it is a case of a permitted merger as defined in Section 190 Paragraphs 1 and 2 KAGB or a conversion into a feeder fund as defined in Section 180 Paragraph 4 KAGB. In all other respects, contributions in kind are not permitted.

In principle, the number of shares issued is not restricted. Shares may be acquired over the stock exchange or from the Designated Sponsors for each respective sub-fund listed in the Special Part. Shares shall be issued by the Custodian Bank at the issue price, which corresponds to the net asset value per share plus an issue premium. The calculation of the net asset value is explained in the section entitled "Issue and redemption prices and expenses". The Company reserves the right to temporarily suspend or terminate the issue of shares.

When purchasing shares directly through the Company or the Custodian Bank – i.e. on the primary market – the issue premiums stipulated in "Overview of existing share classes" in the relevant Special Part of the prospectus are charged. The issue premium does not apply when shares are acquired over an exchange (see Point 14.5).

12.3 Redemption of shares

The Investment Stock Corporation is obliged to redeem the shares for account of the sub-fund at

the currently valid redemption price that corresponds to the share price as at the redemption date, less a redemption fee and/or less any applicable redemption fee (liquidity management). Redemptions via an intermediary third party (e.g. custodian) may trigger additional costs. Shareholders may generally demand the redemption of their shares on any exchange trading day. Redemption orders must be submitted to the Custodian Bank, to the Management Company or to an intermediary third party (e.g. custodian). Shares repurchased by an investor are redeemed for cash. The payment is subject to the condition that investors have previously undergone all necessary checks to establish their identity and prevent money laundering. Redemptions in return for contributions in kind may be offered at the discretion of the Company upon request from an investor.

Repurchase orders are executed by the deadline for trading requests on the trading day on which the shares are returned to the Transfer Agent's account, after deduction of all applicable charges and fees and other reasonable administrative expenses, provided that the completed redemption order has also been received.

When selling shares directly through the Company or the Custodian Bank – i.e. on the primary market – the issue premiums stipulated in "Overview of existing share classes" in the relevant Special Part of the prospectus are charged. The redemption fee does not apply when shares are redeemed over an exchange (see Point 14.5).

12.4 Suspension of the issue and redemption of Shares

The obligation to redeem shares exists only if the redemption does not cause the assets of the Investment Stock Corporation to fall below the amount of the legally prescribed initial capital of EUR 300,000.

The Investment Stock Corporation may temporarily suspend the issue and redemption of shares if exceptional circumstances exist that make suspension necessary, taking into account the interests of the investors. Exceptional circumstances in this context may include:

- unscheduled closure of trading venues on which a substantial part of the securities of the relevant sub-fund is traded;
- trading restrictions;
- difficulties in the valuation of assets; unforeseen market closures;
- serious liquidity problems (e.g. margin calls in securities trading, significant investor redemptions) where the sale of assets of a sub-fund would need to be carried out and could lead to liquidity problems for that sub-fund (e.g. significant discounts on the sale of assets, significant dilution effects);
- a critical cyber incident affecting one or more sub-funds and/or the Management Company and/or the operational capability of a service provider of the Company;
- a severe financial and/or political crisis;
- discovery of significant criminal activity;
- a natural disaster.

In addition, BaFin may, after consulting the Investment Stock Corporation, order the

Investment Stock Corporation to suspend or resume the issue and redemption of shares if risks to investor protection or financial stability exist that, upon reasonable and balanced consideration, make a suspension or resumption of the issue and redemption of shares necessary.

The Investment Stock Corporation reserves the right to issue or redeem shares, or to exchange them, only at the then applicable issue and redemption price once it has sold assets of the relevant sub-fund without delay but with due regard to the interests of all investors. A temporary suspension may be followed directly by the liquidation of the sub-fund without the issue and redemption of shares having been resumed beforehand (see the section entitled "Liquidation and transfer of the Investment Stock Corporation or of a sub-fund" for further details). The Investment Stock Corporation shall immediately report the decision to suspend redemption to BaFin and to each of the relevant bodies of the other member states of the EU or of the other states that are parties to the Agreement on the EEA in which the Company distributes its shares. The Investment Stock Corporation shall inform shareholders of the suspension and resumption of redemption of shares through publication in the Bundesanzeiger and on the Internet at www.iShares.de. Information will also be provided to shareholders via their Custodian by means of a durable medium in hard copy or electronically.

12.5 Settlement of issue and redemption of shares

In principle, purchase and redemption orders received at the Investment Stock Corporation by the order acceptance deadline set by the Investment Stock Corporation or the Custodian will be settled at the issue or redemption price determined on the following trading day. If share redemption is suspended, orders will only be settled on the valuation date following the resumption of share redemption (= settlement date) at the share value determined at that time. If share issuance is suspended, orders will only be settled on the valuation date following the resumption of share issuance (= settlement date) at the share value determined at that time.

13. Liquidity management

1. The Investment Stock Corporation has established written policies and procedures for the sub-funds that enable it to monitor the liquidity risk of the sub-funds and to ensure that the liquidity profile of the sub-funds' investments covers the sub-funds' underlying liabilities. The policies and procedures are as follows:
 - a) The Investment Stock Corporation monitors the liquidity risks which may arise at the level of a sub-fund or the assets. In doing so, it assesses the liquidity of the assets held in the sub-fund in relation to the assets of the respective sub-fund. The liquidity assessment includes an analysis of the trading volume, the complexity of the asset and the number of trading days that are required to dispose of the asset. The Investment Stock Corporation also monitors investments in target funds and their redemption policies and the resulting

potential impact on the liquidity of the sub-funds.

- b) The Investment Stock Corporation monitors the liquidity risks that may arise due to increased redemption requests by investors.
- c) The Investment Stock Corporation has established appropriate liquidity risk limits for the sub-funds. It monitors compliance with such limits and has implemented procedures to be followed in the event that the limits are exceeded or are at risk of being exceeded.
- d) The procedures implemented by the Investment Stock Corporation ensure consistency between the liquidity ratio, the liquidity risk limits and the expected net changes in cash flows.

The Investment Stock Corporation reviews these policies periodically and updates them accordingly.

2. The Investment Stock Corporation regularly (at least annually) conducts stress tests which allow it to assess the liquidity risk of the sub-funds. The Investment Stock Corporation conducts the stress tests on the basis of reliable and current quantitative or, if this is not adequate, qualitative information. If appropriate, the stress tests simulate a lack of liquidity of the assets in the sub-funds. They cover market risks and their effects. They take into account valuation sensitivities under stress conditions. They are carried out taking into account the investment strategy and the liquidity profile of the assets at the frequency appropriate to the type of the respective sub-fund.
3. The subscription and redemption rights under normal and exceptional circumstances, as well as the suspension of subscriptions and redemptions, are described in the section entitled "Suspension of Subscriptions and Redemptions". The use of measures designed to prevent dilution effects in the sub-funds, in particular dual pricing and the imposition of a redemption fee, is described in the section entitled "Subscription and Redemption Price". The risks associated with this are detailed under "Risk warnings – General risks of investment in the Fund – Suspension of the issue and redemption of shares" and under "Risks of limited or increased liquidity of the Fund and risks related to increased issues or redemptions (liquidity risk)".

14. Exchanges and markets

14.1 General information

If the shares of a sub-fund are admitted for official trading on one or more exchanges, these exchanges shall be listed in the Special Part of this Sales Prospectus.

The possibility of shares also being traded on other markets cannot be excluded.

The market price underlying exchange trading or dealing in other markets is not determined exclusively by the value of the assets held in the sub-fund. Supply and demand are also contributing factors. For this reason, the market price may deviate from the calculated price of the shares.

14.2 Function of the Designated Sponsor

The Designated Sponsors, also known as Market Makers or Permanent Liquidity Providers, ensure sufficient liquidity for both buyers and sellers. A Designated Sponsor provides a purchase (bid) price and a sales (offer) price at which shareholders can purchase or sell shares at any time.

14.3 Description of the Authorised Participants

The Authorised Participant is a market maker, Designated Sponsor or market participant or broker which is registered with the Company as an authorised participant and therefore able to subscribe directly to, or redeem directly from, the Company for shares of a sub-fund (i.e. the Primary Market).

14.4 Risks of exchange trading

The obligation of the Designated Sponsors to maintain liquidity is limited to certain volumes (minimum quotation volumes) at maximum spreads. The minimum quotation periods of bid and offer prices do not usually extend to the entire effective trading period. This may lead to a brief interruption in the setting of the price. This can result in the execution of orders that do not meet the quality criteria established for that stock exchange.

14.5 Dealing of shares on the secondary market

Equities may be purchased or sold by all investors on the secondary market either via a recognised stock exchange in which the equities are admitted for trading, or over the counter.

Equities will be listed on one or more recognised stock exchanges. Equities are listed on recognised stock exchanges with a view to allowing investors to buy and sell equities on the secondary market in any amount above a minimum of one equity. This is usually done through a broker/dealer. Market makers (who may be, but are not required to be, Authorised Participants) will provide liquidity and bid and offer prices in accordance with the requirements of the relevant recognised stock exchange in order to encourage the trading of equities on the secondary market.

All investors seeking to buy or sell equities in a fund on the secondary market should submit their orders through their respective broker. Orders for the purchase of equities on the secondary market via the recognised stock exchanges or over the counter may incur brokerage and/or other costs that are not charged by the Company and over which the Company has no control. Information about such fees is publicly available or may be requested from stock brokers via the recognised stock exchanges on which the equities are listed.

No issue premiums or redemption fees apply to shares purchased or sold on an exchange - i.e. in secondary market trade. The price of units traded on the secondary market is determined by the market and the prevailing economic conditions that may affect the value of the underlying assets. The market price of a unit listed or traded on a stock exchange may not reflect the net asset value per unit of a Fund.

The secondary market trading schedule depends on the rules of the stock exchange on which the units are traded or on the terms and conditions of the respective over-the-counter transaction. Further information on the applicable trading schedule, is available from specialist advisors or brokers.

Investors may redeem their shares through an Authorised Participant by selling their shares (directly or via a broker) to the Authorised Participant.

Investors requesting a repurchase of their units may be subject to taxes, including withholding taxes or transaction taxes, where applicable. It is therefore recommended that investors seek professional advice prior to requesting redemption with regard to the tax implications of the redemption under the law of the country in which they may be subject to taxation.

Investors may also redeem their shares directly through the Company or the Custodian Bank i.e. on the primary market (see Section 12.3 "Redemption of shares" for further details).

15. Portfolio transparency strategy and indicative net asset value

15.1 Portfolio transparency strategy

Investors and prospective investors can view a list of the securities held by the sub-fund at the official iShares website (www.iShares.com). This is subject to any applicable restrictions under the license the Investment Stock Corporation has received from the licensor of the underlying index.

15.2 Indicative Net Asset Value

The indicative net asset value of the sub-funds is calculated continuously during trading hours. The indicative net asset value (iNAV®) is the net asset value of a sub-fund calculated in real time (every 15 seconds) during trading hours. The values are intended to provide the shareholders and market participants a continuous indication of the value of a fund. The values are usually calculated on the basis of an assessment of the actual fund portfolio using real-time prices from Tradeweb Markets LLC and other sources.

Tradeweb Markets LLC was appointed by the Company with determining and publishing the iNAV® values of the sub-funds. iNAV® values are distributed via Tradeweb Markets LLC and are displayed on major market data vendor terminals and relevant exchanges as well as on a wide range of websites that display stock market data, including Refinitiv and Bloomberg. There are provisions for the Company to receive payments from the iNAV provider for its engagement in the development and enhancement of service levels.

The iNAV® does not correspond to the value of a share or the price at which the shares can be subscribed or redeemed or bought or sold on an exchange, and must not be understood in this way. In particular, the iNAV® may be used for a sub-fund in which the components of the underlying index or the investments are not actively traded during the period of publication of this iNAV®, may not correspond to the true value of the unit and may therefore be misleading, and should not be relied upon. The lack of provision of iNAV® during the trading period does not in itself result in the

suspension of trading of the units on an exchange. Instead, the regulations of the exchange govern the suspension of trading. The calculation and publication of the iNAV® can include delays in obtaining the prices of the key components which are based on the same components of, for example, the underlying index or the assets themselves, the iNAV® of other exchange-traded funds with the same benchmark index or the same assets. Investors wishing to subscribe or sell shares on an exchange should make their investment decisions not only on the basis of the iNAV® provided, but should also consider other market data, economic and other factors (possibly including information about the Underlying Index or the assets, the key components and financial instruments on which the Underlying Index is based or the assets that the respective sub-fund is permitted to acquire).

Tradeweb Markets LLC exercises reasonable care when sourcing data input and calculating the iNAV® in accordance with the methodologies disclosed on Tradeweb's website.

However, Tradeweb Markets LLC cannot and does not guarantee or represent that the iNAV® is always calculated free of errors or will be accurate. Tradeweb Markets LLC accepts no liability for any direct or indirect losses suffered, incurred or arising from any incorrect calculation of the iNAV® or from the use of the iNAV® by any person. The iNAV® are indicative values and should not be relied on or used by any person for anything other than as a simple indication of the possible value of a share at that time.

The applicable iNAV® calculation methodologies, changes to those methodologies, and decisions regarding the sources of data inputs to the iNAV®, are considered by Tradeweb Markets LLC with best practices and standards in mind. However, Tradeweb Markets LLC does not represent that any of the foregoing will remain consistent in its calculation of the iNAV® and for the avoidance of doubt, shall not be liable for any direct or indirect losses arising from any changes to or decisions made regarding the methodologies or sources of data inputs.

The iNAV® is not a recommendation for investment of whatever nature. In particular, the iNAV® shall not be construed as a recommendation to buy or sell: (i) individual securities, (ii) the constituent basket underlying a given iNAV® or exchange traded fund, or (iii) any exchange traded fund on Tradeweb Markets LLC or on any other relevant exchange or trading platform.

The Company and the sub-funds have no responsibility for the Refinitiv or Bloomberg websites or the dissemination of the various iNAV® on such websites and are not involved in any way in sponsoring, endorsing or otherwise involved in the establishment or maintenance of such websites or the contents thereof.

16. Issue and redemption prices and expenses

16.1 Issue and redemption prices

The value of the assets of the respective sub-fund assets as well as the value of the individual stocks in the sub-fund assets less liabilities ("net asset value") are calculated on each exchange trading day by the Custodian Bank with the participation of the Investment Stock Corporation for the purpose of

calculating the issue and redemption prices for the shares allocated to the respective sub-funds.

The prorated net asset value is determined by dividing the net asset value of the assets of the relevant Sub-fund by the number of shares in issue representing rights to that sub-fund. The prorated net asset value corresponds to the value of the individual shares issued for the relevant sub-fund ("share price"). If different share classes are introduced in accordance with Article 20 of the Articles of Incorporation, then the share price and the issue and redemption prices shall be determined separately for each share class. Asset valuation shall be in accordance with the principles for valuation calculations described above, which are detailed in the KAGB and in the various ordinances issued pursuant to the KAGB (see Point 10).

The Investment Stock Corporation applies Dual Pricing for all share issues and share redemptions on the valuation date.

Dual Pricing is a method for calculating the share price in which the transaction costs triggered by redemptions or issues of shares are allocated to their respective originators. For this purpose, the net asset value is first determined by the value of the assets belonging to the relevant sub-fund less liabilities. Dividing the net asset value so determined by the number of shares issued gives the share value, which is additionally modified by a factor, whereby for issues the factor is added and for redemptions the factor is deducted. The factor takes into account the following liquidity costs:

- the difference between the net asset value of the relevant sub-fund estimated by the Investment Stock Corporation on the basis of bid prices and the net asset value of the relevant sub-fund estimated by the Investment Stock Corporation on the basis of ask prices (spread),
- the explicit transaction costs associated with subscriptions or redemptions that are estimated by the Investment Stock Corporation and are incurred directly by the relevant sub-fund in connection with the purchase or sale of assets, the amount of which is stable and capable of being quantified in advance (e.g. broker commissions, transaction levies, taxes and settlement fees),
- the material market impact of purchases or sales of assets of the relevant sub-fund undertaken to meet such subscriptions or redemptions, estimated to the best of the Investment Stock Corporation's ability.

The factor shall not exceed 2% of the share value. In accordance with Article 14 of the Articles of Incorporation, the issue price is equal to the prorated net asset value of the sub-fund, to which rights are represented by the shares, calculated on each exchange trading day plus any issue premium (see Point 16.3).

In accordance with Article 14 of the Articles of Incorporation, the redemption price is equal to the prorated net asset value of the sub-fund, to which rights are represented by the shares, calculated on each exchange trading day minus any redemption fees (see Points 16.4 and 16.5).

The net asset value, the share value as well as the issue and redemption prices are determined in principle on each exchange trading day. Exchange trading days are those days on which all stock

exchanges or other trading venues relevant for the valuation of the assets belonging to the relevant sub-fund are open. The relevant stock exchanges and other trading venues are listed in the Special Part of this Sales Prospectus for each individual sub-fund. On public holidays under the KAGB that are stock exchange days and 24 and 31 December each year, the Investment Stock Corporation and the Custodian Bank may interrupt their daily price calculation. At present, share prices are not calculated on 1 January, Good Friday, Easter Monday, 1 May, 24 December, Christmas Day, Boxing Day and New Year's Eve. The Investment Stock Corporation reserves the right to decide whether to calculate a net asset value on Easter Monday and New Year's Eve and whether therefore a redemption of shares takes place on these days or not.

16.2 Suspension of calculation of the issue and redemption prices

The Investment Stock Corporation may temporarily suspend calculation of the issue and redemption prices under the same conditions as for the issue and redemption of shares. These conditions are explained in more detail under "Suspension of the issue and redemption of Shares".

16.3 Issue premium

An issue premium of up to 2 percent of the share price may be set for the issue of shares. The Management Board is authorised, with the consent of the Supervisory Board, to set the amount of the premium. This premium is to be specified in the relevant investment conditions as defined in Article 14 Paragraph 2(c) of the Articles of Incorporation and listed in the Special Part of this Sales Prospectus.

This issue premium may reduce or completely offset performance gains, particularly on short-term investments. For this reason, we recommend that shares with an issue premium be purchased as long-term investments. The issue premium is basically a fee for the distribution of the shares. The issue premium is basically a fee for the distribution of the shares of the sub-funds. The Investment Stock Corporation may pass on the issue premium as compensation for services provided by intermediaries.

16.4 Redemption fee

A redemption fee of up to 1 percent of the share price may be set for the redemption of shares. The Management Board is authorised, with the consent of the Supervisory Board, to set the amount of this fee and determine its application. The amount and application of this fee is to be specified in the relevant investment conditions as defined in Article 14 Paragraph 2(c) of the Articles of Incorporation and listed in the Special Part of this Sales Prospectus.

A redemption fee may reduce or completely offset performance gains, particularly on short-term investments. For this reason, we recommend that shares be purchased as long-term investments. The external Management Company shall receive the redemption fee.

16.5 Redemption fee (liquidity management)

The Investment Stock Corporation may charge a redemption fee payable to the relevant sub-fund, which serves to protect the remaining investors from dilution caused by redemptions, taking into account the liquidity costs.

The Investment Stock Corporation may only charge the redemption fee if the redemption requests of investors on a settlement date exceed 75 percent of the net asset value (threshold). The Investment Stock Corporation reviews the threshold regularly based on the investment strategy and liquidity profile of each sub-fund in order to avoid significant dilution effects for the investors remaining in the relevant sub-fund. If the threshold is exceeded, the Investment Stock Corporation decides at its due discretion whether to charge the redemption fee on that settlement date.

If the Investment Stock Corporation decides to charge the redemption fee, it may amount to up to 2% of the sum of gross redemptions. Gross redemptions are the determined outflows from share redemptions without netting against inflows from new share issues on the valuation date. The Investment Stock Corporation determines the specific amount of the fee within this range at its own discretion. The redemption fee so determined applies to all redemption orders for a single valuation date. The Company may charge the redemption fee at different amounts within the defined range on each valuation date, depending on the volume of redemption orders.

The redemption fee takes into account the following estimated liquidity costs associated with the disposal of a corresponding proportion of all assets in the portfolio (pro rata approach):

- the estimated explicit transaction costs directly incurred by the relevant sub-fund in the acquisition or disposal of assets, the amount of which is stable and quantifiable prior to the transaction (e.g. brokerage fees, trading levies, taxes and settlement fees);
- the best possible estimate of the implicit transaction costs indirectly incurred by the relevant sub-fund in the acquisition or disposal of assets, which arise primarily from the bid-ask spread and from significant market impact resulting from the sale of assets carried out to satisfy the redemption orders; these may vary depending on the type of underlying assets and market conditions.

To the extent that the pro rata approach does not represent a fair estimate of the actual liquidity costs, the Investment Stock Corporation may adjust the estimate in order to more accurately reflect the expected liquidity costs of transactions involving selected individual portfolio positions.

The redemption fee has no effect on the calculation of the net asset value of the relevant sub-fund or the share value. The redemption fee is deducted from the share value. The redemption price is therefore determined as the share value less the redemption fee and, where applicable, less a redemption discount (Point 16.4).

16.6 Publication of issue and redemption prices

The issue and redemption prices and, where applicable, the net asset value per unit are published regularly on the website www.iShares.de.

16.7 Costs incurred on the issue and redemption of shares

No additional charges shall be levied for the issue and redemption of shares by the Investment Stock Corporation or the Custodian Bank. Issue and redemption shall take place at the issue price (share price plus any issue premium) and the redemption price (share price less any redemption fee), respectively.

If shares are redeemed via third parties, there may be charges associated with the redemption of shares via third parties. If shares are distributed via third parties, there may also be additional costs beyond the issue price.

17. Management and miscellaneous expenses

17.1 Fixed fee

The external Management Company receives a fixed fee from the sub-fund, the amount of which depends on the respective share class.

The actual amount of the current fixed fee is listed in the "Overview of existing share classes" of the respective sub-fund in the Special Part of this Sales Prospectus.

This fixed fee shall cover services rendered by the external Management Company for the respective sub-fund, including the expenses of the Custodian Bank, legally required printing, mailings, and publications associated with the sub-fund, for annual report audits conducted by auditors of the sub-funds and, as the case maybe, fees in connection with currency hedging transactions for Currency Hedged Share Classes.

The fixed fee is paid in advance in monthly instalments out of the Sub-fund.

17.2 Other expenses

Unless specified otherwise in the investment conditions, in addition to the fixed fee, the following expenses may also be charged to the sub-fund:

- expenses incurred from the purchase and sale of assets;
- customary bank custody and account fees, including, where applicable, customary bank charges for the custody of foreign assets abroad;
- any taxes that may arise in connection with the costs for administration and custody;
- costs for the assertion and enforcement of legal claims by the Investment Stock Corporation for account of the sub-funds and for the defence of claims raised against the Investment Stock Corporation to the detriment of a sub-fund,
- costs of the preparation and use of a durable medium provided for by contract or by law, except in the case of information about mergers of investment funds and except in the case of information about measures in connection with investment limit breaches or calculation errors in the determination of the share value,

- taxes, in particular value added tax, incurred in connection with the expenses to be reimbursed by the fund referred to in the preceding bullet points.

Additional expenses incurred by and charged to the respective sub-fund may be listed in the Special Part of this Sales Prospectus and the respective investment conditions of the sub-funds.

17.3 Overheads

Overheads and other expenses that cannot be attributed to individual sub-funds shall be charged pro-rata to the sub-funds existing at the time of occurrence. The share to be borne by the respective sub-fund is determined as the proportion of the value of the assets belonging to the Sub-fund to the value of the assets of the entire Investment Stock Corporation.

17.4 Composition of the total expense ratio

The management costs incurred by the sub-funds (excluding transaction costs) are disclosed in the annual financial statements and are expressed as the total expense ratio (TER). The TER is composed of:

- The fixed fee for management of the sub-fund in accordance with Point 17.1,
- delivery fees for index adjustments;
- customary bank custody fees, including the customary bank charges for the custody of foreign securities abroad and related taxes, if applicable;
- expenses related to day to day account management.

Not included are costs resulting from the purchase and sale of assets.

Details on the extent to which the regulations on expenses and costs of a sub-fund deviate from this are provided in the Special Part of this Sales Prospectus in the presentation of the relevant sub-fund.

17.5 Alternative statement of costs by third parties

If the investor is advised by third parties when acquiring shares, or these third parties carry out the purchase, they will inform him of any possible costs or expense ratios which are not congruent with the expenses in this Prospectus and Key Information Document and which may exceed the total expense ratio described here. The reason for this may in particular be that the third party includes additional costs relating to their own activities (e.g. brokerage, advice or portfolio management). In addition, they may also take into account one-off costs, such as issuing premiums and normally use alternative calculation or estimation methods for the costs on the Fund's side, particularly the sub-fund's transaction costs.

Deviations in the cost statement may arise in both information provided before conclusion of the contract and in regular cost information on the existing Fund investments in the context of a long-term customer relationship.

17.6 Remuneration Policy

The external Management Company has established a Remuneration Policy that is compatible with and

encourages robust and effective risk management. The Remuneration Policy includes a description of how remuneration and benefits are calculated and identifies the relevant person to whom the corresponding remuneration and benefits are allocated. The Remuneration Policy therefore does not encourage any risk tolerance that is not in line with risk profiles, Investment Conditions or the Investment Stock Corporation's Articles of Incorporation and does not compromise the external Management Company's duty to act in the best interests of the investors. The Remuneration Policy includes fixed and variable components to the salaries and voluntary retirement benefits. The Remuneration Policy applies to employees of the external Management Company, whose activities have a significant impact on the Investment Stock Corporation's risk profile, including the Management Board, risk takers, control functions, and those employees who receive a total remuneration that corresponds to that of the Management Board or risk takers. The Remuneration Policy is available from www.blackrock.com and on request at the external Management Company in hard copy.

18. Details on the acquisition of target fund units

In addition to the fee for managing the sub-fund, a management fee is charged for the other target fund units held by the sub-fund.

If a sub-fund invests in other investment funds, the shareholders of that sub-fund also indirectly bear the pro rata fees and costs charged to this investment fund. Because individual funds are set up in different ways, it is not possible to include a comprehensive presentation of the fees and costs that are charged to other investment funds. The types of fees and costs, however, generally correspond to the types of fees and costs described under Point 17 in this Sales Prospectus. It is also possible that a significant portion of the fees paid will be passed on as a portfolio commission to the brokers of the target fund units.

Issue premiums and redemption fees that have been charged to the Investment Stock Corporation or one of its sub-funds for the purchase and redemption of units in target funds are published in the annual financial statements and semi-annual reports. Also published are the fees charged to the Investment Stock Corporation or one of its sub-funds by a German capital investment company, a foreign management company or a company with which the Investment Stock Corporation or the Management Company is linked by a direct or indirect equity interest as management fees for the shares held in the relevant sub-fund.

19. Rules for the calculation and appropriation of income

The sub-funds earn income in the form of interest, dividends and income from investment units generated during the financial year which are not used to cover costs. Further income can result from the disposal of assets held on behalf of a sub-fund. The Investment Stock Corporation applies a so-called income netting procedure for the sub-funds. This means that the proportional income accruing during the financial year which the acquirer of shares must pay as part of the issue price and which the seller of the shares receives in the form of a

credit as part of the redemption price is continuously netted. The expenses incurred are accounted for in the calculation of the income netting procedure.

The income netting procedure serves to adjust for fluctuations in the relationship between income and other assets, which are caused by net inflow or outflow funds resulting from the sale or redemption of shares. Otherwise, every net inflow of funds would reduce the return on net assets of the respective sub-fund and every outflow would increase those returns.

The overall effect of the income netting procedure is that the income per share shown in the annual report is not influenced by the number of shares in circulation. In income netting, it is accepted that investors who buy units shortly before the distribution or dividend reinvestment date are liable to pay taxes on the portion of the issue price attributed to income, despite the fact that the capital paid in by them did not contribute to the returns.

20. Financial year and appropriation of income

20.1 Financial year

The financial year of the Investment Stock Corporation and all its sub-funds begins on 1 March and ends on the last day of February.

20.2 Reinvestment

For reinvesting share classes, the interest, dividends and other income, taking into account the appropriate income netting, as well as the capital gains that have accrued for account of the Sub-fund during the financial year are reinvested in the Sub-fund, net of costs.

The overview of existing share classes in the Special Part of this Sales Prospectus shows which share classes are reinvesting.

20.3 Distribution

For distributing share classes, the Investment Stock Corporation distributes, net of costs, the interest, dividends and other income from investment fund shares received for account of a sub-fund, taking into account the appropriate income netting. Capital gains and other income - taking into account the appropriate income equalisation - can also be used for distributions.

The final distribution takes place within four months of the financial year-end. In addition, the Investment Stock Corporation may carry out interim distributions during the year.

The interim distribution amount is at the discretion of the Investment Stock Corporation. The Company is not obliged to distribute all distributable income accumulated up to the date of the interim distribution; it may carry ordinary income forward to the next interim distribution date.

Interim distributions are intended to minimise any discrepancy between the performance of the Sub-fund and that of the Underlying Index.

The overview of existing share classes in the Special Part of this Sales Prospectus shows which share classes are distributing.

21. Liquidation and transfer of the Investment Stock Corporation or of a sub-fund

21.1 Liquidation of the Investment Stock Corporation

The general provisions of the German Stock Corporation Act (Aktiengesetz) apply to the liquidation of the Investment Stock Corporation. Specifically, this means that:

The Investment Stock Corporation may be liquidated by a resolution of the Shareholders' meeting (which requires a $\frac{3}{4}$ majority of the shareholders' capital with voting rights represented when the resolution is made), by the initiation of insolvency proceedings concerning the assets of the Investment Stock Corporation or by the resolution that the initiation of insolvency proceedings be rejected for lack of assets.

The Investment Stock Corporation is wound up following its liquidation unless insolvency proceedings concerning the assets of the Investment Stock Corporation have been initiated. If the Investment Stock Corporation is liquidated, its liquidation is entered into the commercial registry. The members of the Management Board are responsible as administrators for the winding up of the company. The issue and redemption of shares is discontinued. The administrators shall request that the creditors notify them of any claims arising from the liquidation of the Investment Stock Corporation. All planned amendments shall be published in the Federal Gazette (Bundesanzeiger) and at the website www.iShares.de. The administrators shall end the current business, collect receivables, convert the remaining assets into cash and satisfy the creditors. The assets of the Investment Stock Corporation remaining after settling liabilities shall be distributed to shareholders. When the liquidation has been completed and all accounts settled, the administrators shall record the conclusion of the liquidation in the commercial registry. The Investment Stock Corporation is then deleted. The separation in terms of assets and legal liability of the individual sub-funds from each other also applies in the event of the insolvency of the Investment Stock Corporation. After the creditors have been satisfied, the assets of the relevant sub-fund are then distributed only to the shareholders of that sub-fund.

21.2 Liquidation of a sub-fund

The shareholders of a sub-fund are not entitled to demand the liquidation of the sub-fund. However, the Investment Stock Corporation may liquidate a sub-fund via a resolution of the Management Board with the approval of the Supervisory Board or the Custodian Bank. This liquidation resolution shall take effect six months after its publication in the Bundesanzeiger. The liquidation resolution must also be included in the next annual financial statement or semi-annual report. Information about the cancellation will also be provided to shareholders via their Custodian by means of a durable medium (e.g., in hard copy or electronically). When the liquidation resolution becomes effective, the ownership of the assets of the sub-fund is transferred to the Custodian Bank named for the sub-fund. The Custodian Bank disposes of the assets and returns the proceeds, less costs still to be paid

by the sub-fund and the costs arising from the liquidation, to the shareholders in proportion to their holdings. The amount of the shareholders' claim to the proceeds of the liquidation is based on the level of their holdings in the sub-fund. The Custodian Bank is authorised to deposit the proceeds of liquidation not collected upon completion of the liquidation proceedings for the benefit of the entitled shareholders with an appropriate depository. If the Custodian Bank waives the right to take back the uncollected proceeds of the liquidation from the depository, the Custodian Bank shall, in accordance with Section 378 of the German Civil Code (Bürgerliches Gesetzbuch), be considered to have fulfilled its obligations to shareholders who have not collected the proceeds of liquidation.

On the day on which the liquidation resolution becomes effective, the Investment Stock Corporation shall prepare a liquidation report for the sub-fund that meets the requirements of an annual financial statement. The liquidation report shall be reviewed by an auditor. The liquidation report shall be published in the Bundesanzeiger no later than three months after the reporting date. While the Custodian Bank liquidates the sub-fund, it shall prepare a liquidation report annually, and on the date on which the liquidation is completed, that meets the requirements of an annual report. These reports are to be published in the Bundesanzeiger no later than three months after the reporting date.

21.3 Transfer of all assets of a sub-fund

All the assets of a sub-fund may be transferred at the end of the financial year ("transfer date") to another sub-fund of the Investment Stock Corporation or to another investment stock corporation or an investment fund or an EU UCITS. A different transfer date may be specified with the consent of BaFin. All the assets of that sub-fund or investment fund may also be transferred at the end of the financial year or on the transfer date of another sub-fund or investment fund that is managed by the Management Company to a sub-fund of the Investment Stock Corporation.

The investment policies and limits, the issue premium or redemption fees and – if individual sub-funds are not being merged into a joint sub-fund with different share classes – the fees to be paid to the management company and the Custodian Bank of the other sub-fund may not deviate significantly from those of the sub-fund being merged.

No fewer than 37 working days before the planned transfer date, shareholders shall receive information from their Custodian Banks in hard copy or electronically on the reasons for the merger, its potential impact on investors, their rights in connection with the merger and significant aspects of the procedure to the shareholders. Shareholders will also receive the Key Information Document of the receiving investment fund.

Shareholders have until five working days before the scheduled transfer date to redeem their units without a redemption fee or to exchange their units for units of another investment fund or a foreign investment fund that is also managed by the Investment Stock Corporation or a company from the same Group and which has a similar investment policy to that of the sub-fund.

On the transfer date, the values of the acquiring and the transferring sub-funds are calculated, the exchange ratio is established, and the entire procedure is reviewed by an auditor. The exchange

ratio is determined based on the ratio between the net asset value per share/unit of the transferring investment fund and that of the receiving investment fund as of the date of the transfer. The shareholder receives the number of shares/units in the new investment fund whose value corresponds to the value of the shares in the transferring sub-fund. Shareholders in the transferring sub-fund also have the option of having up to 10 percent of the value of their shares paid out in cash. If the transfer takes place during the current financial year of the transferring sub-fund, the management company must draw up an interim report that meets the requirements of an annual report on the transfer date.

The Investment Stock Corporation shall announce in the Bundesanzeiger and at www.iShares.de when the sub-fund has absorbed another investment fund and the transfer comes into force. If a sub-fund is absorbed in a transfer, the company that manages the absorbing fund or the newly created fund makes this announcement.

All the assets of one sub-fund may only be transferred to another investment fund with the authorisation of BaFin.

21.4 Transfer of the Investment Stock Corporation

The Investment Stock Corporation may transfer the management and disposal rights over itself to another external investment management company. The transfer is subject to the prior approval of BaFin. The approved transfer shall be published in the Bundesanzeiger and in the annual financial statements or the semi-annual report of the Investment Stock Corporation as well as in the electronic publication media described in this prospectus. The point at which the transfer is effective is determined by the contractual agreement between the Investment Stock Corporation and the new external investment management company. The transfer may not, however, take effect any earlier than three months after its publication in the Bundesanzeiger. All rights and obligations of the previous external investment management company in relation to the Investment Stock Corporation shall then be transferred to the new external investment management company.

22. Summary of tax regulations applying to investors

All statements regarding tax regulations apply exclusively to investors who are fully taxable in Germany. Investors with unlimited tax liability are hereinafter also referred to as German tax residents. We recommend that, before acquiring shares in the sub-fund described in this Sales Prospectus, foreign investors consult their tax advisors in order to clarify possible tax implications arising in their own country of residence as a result of the acquisition of shares. Foreign investors are investors who are not subject to unlimited taxation. In the following, these are also referred to as non-residents for tax purposes.

As a special purpose fund (Zweckvermögen), the sub-funds are in principle exempt from German corporation tax and trade tax. However, they are partially subject to corporation tax through their German income from investments and other German income in the context of limited income tax liability, with the exception of gains from the sale of units to corporate entities. The tax rate is 15%. If

the taxable income is taxed by deducting capital gains tax, the tax rate of 15% already includes the solidarity surcharge.

However, investment income is regarded as capital income (Einkünfte aus Kapitalvermögen) for income tax purposes at the level of private investors to the extent that this income, together with other capital income, exceeds the annual saver's allowance of EUR 1,000 (for single persons or spouses who file their tax returns individually) or EUR 2,000 (for spouses who file their tax returns jointly). Capital income is generally subject to withholding tax of 25 percent (plus solidarity surcharge and any applicable church tax). Capital income also includes any income from investment funds (investment income), i.e. distributions from the sub-funds, advance lump sums and gains from the sale of shares. Under certain conditions, investors can receive a flat-rate portion of this investment income tax-free (so-called partial exemption).

The tax deducted generally has a compensatory effect (so-called Abgeltungssteuer (withholding tax)) on individual investors and as a result investment income does not normally have to be declared on the income tax return. When the tax is withheld, the Custodian Bank will generally already have offset losses and taken foreign withholding taxes originating from direct investment into account.

However, the tax deducted does not have a compensatory effect if the personal income tax rate is lower than the withholding rate of 25 percent. In this case, investment income may be declared on the income tax return. The tax authorities then apply the lower personal income tax rate and offset the tax withheld against the personal tax debt (so-called "assessment on the basis of the most favourable provision for the taxpayer").

If investment income is not subject to the withholding tax (e.g. because profit from the sale of a stock was generated at a foreign Custodian Bank), this should be indicated in the tax return. The investment income is then also subject to the withholding tax rate of 25 percent or the lower personal tax rate.

If the shares are included in operating assets (Betriebsvermögen), the income will be taxable as operating income (Betriebseinnahmen).

22.1 Shares held in personal assets (taxpayers resident in Germany)

22.1.1 Distributions

Distributions from the sub-funds are generally taxable.

However, since the sub-funds meet the tax criteria for equity funds (with the exception of iShares STOXX Europe 600 Real Estate UCITS ETF (DE)), 30 per cent of the distributions are tax-free.

The taxable distributions are generally subject to withholding tax of 25 percent (plus solidarity surcharge and any applicable church tax).

The withholding tax will not apply if the investor is resident in Germany for tax purposes and submits an application for a tax allowance (Freistellungsauftrag), provided that the taxable income concerned does not exceed EUR 1,000 (for single persons or spouses assessed separately) or EUR 2,000 (for spouses assessed jointly). The same applies to those who submit a tax exemption certificate for persons who are not expected to be subject to income tax.

If a German investor's shares are held in a German securities account, the Custodian Bank maintaining the account will not, in its capacity as the paying agent, withhold tax if it is presented, before the specified distribution date, with an exemption application (completed using official forms) for a sufficient amount, or with a non-assessment certificate that has been issued by the tax authorities for a maximum period of three years. In this case, the gross amount of the distribution will be credited to the investor.

22.1.2 Advance lump sums

The advance lump sum is the amount by which the distributions made by the sub-funds within a calendar year fall below the base income for that calendar year. The base income is calculated by multiplying the share redemption price at the start of a calendar year by 70 percent of the base interest rate as derived from the yield on public-sector bonds that can be obtained over the long term. The base income is limited to the excess amount: this is calculated as the redemption price between the first and last price established in the calendar year, plus distributions within the calendar year. In the year in which the shares are acquired, the advance lump sum is reduced by one twelfth for each full month preceding the month of acquisition. The advance lump sum is considered to have been received on the first working day of the following calendar year. Advance lump sums are generally subject to tax. However, since the sub-funds meet the tax criteria for equity funds (with the exception of iShares STOXX Europe 600 Real Estate UCITS ETF (DE)), 30 per cent of the advance lump sums are tax-free. The taxable advance lump sums are generally subject to withholding tax of 25 percent (plus solidarity surcharge and any applicable church tax). The withholding tax will not apply if the investor is resident in Germany for tax purposes and submits an application for a tax allowance (Freistellungsauftrag), provided that the taxable income concerned does not exceed EUR 1,000 (for single persons or spouses assessed separately) or EUR 2,000 (for spouses assessed jointly). The same applies to those who submit a tax exemption certificate for persons who are not expected to be subject to income tax.

If a German investor's units are held in a German securities account, the Custodian Bank maintaining the account will not, in its capacity as the paying agent, withhold tax if it is presented, before the point of accrual, with an exemption application (completed using official forms) for a sufficient amount, or with a non-assessment certificate that has been issued by the tax authorities for a maximum period of three years. Tax is not payable in this case. Otherwise, the investor must make the amount of tax payable available to the German Custodian Bank. In order to do so, the Custodian Bank may collect the amount of tax payable from an account that it maintains in the name of the investor, without the investor's consent being required. Unless the investor raises an objection before receipt of the advance lump sum, the Custodian Bank may collect the amount of tax payable from an account held in the name of the investor insofar as any overdraft facility agreed with the investor has not been used for this account. If investors fail to comply with their obligation to make the amount of tax payable available to the German Custodian Bank, the Custodian Bank must notify the competent tax office in this respect. In these

circumstances, investors must declare the advance lump sum in their income tax return.

22.1.3 Capital gains at investor level

If an investor sells shares in sub-funds, any capital gains will be subject to withholding tax of 25 percent.

However, since the sub-funds meet the tax criteria for equity funds (with the exception of iShares STOXX Europe 600 Real Estate UCITS ETF (DE)), 30 per cent of the capital gains are tax-free.

If the shares are held in a German securities account, the Custodian Bank maintaining the account will withhold the withholding tax, taking any partial exemptions into account. The 25 percent withholding tax (plus solidarity surcharge and, where applicable, church tax) can be avoided upon submission of an application for tax allowance made out in a sufficiently high amount or a tax exemption certificate. If such shares are sold by a private investor at a loss, then the loss is netted with other positive investment income. If the shares are held in a German custody account and positive investment income was generated at the same Custodian Bank in the same calendar year, the Custodian Bank shall offset the loss.

When calculating the amount of the capital gain, the advance lump sums applied during the investment period shall be deducted from the gain.

22.2 Units held in operating assets (taxpayers resident in Germany)

22.2.1 Reimbursement of the Fund's corporation tax

Any corporation tax accrued at the sub-funds level may be reimbursed to the sub-funds for forwarding to a single investor, if the investor is a German corporation, association of persons or asset pool which, under the Articles of Incorporation, the foundation deed or other constitution and on the basis of the actual management, solely and directly serves non-profit, charitable or church purposes, or a foundation under public law which solely and directly serves non-profit or charitable purposes, or a legal entity under public law which solely and directly serves church purposes; this does not apply if the shares are held in a business operation. This also applies to comparable non-German investors with their domicile or registered office and management in a foreign state providing administrative and debt enforcement assistance.

A prerequisite for this is that such investors file a corresponding application and calculate the corporation tax accrued on a pro rata basis for the investment period. In addition, the investor must be a beneficial owner of the shares under civil law for at least three months before accrual of the sub-fund's income that is subject to corporation tax, without there being any obligation to transfer the shares to another person. Another basic requirement for reimbursement is that, with regard to the corporation tax on German dividends and income from German participation rights that are similar to share capital payable at the sub-fund level, German equities and German participation rights that are similar to share capital were held by the sub-fund as the beneficial owner continuously for 45 days within a period ranging from 45 days before the maturity date for the capital yield income to 45 days after this date and, during these 45 days,

there were continuous risks of a change in minimum values of 70 percent (so-called 45-day rule).

Proof of tax exemption and a document issued by the Custodian Bank maintaining the securities account as confirmation of the investment unit holdings must be enclosed with the application. The confirmation of the investment unit holdings is a certificate (completed using official forms) specifying the number of shares held continuously by the investor during the calendar year. It must also include the date and volume of purchases and sales of shares during the calendar year.

Any corporation tax accrued at the level of a sub-fund may also be reimbursed to the sub-fund for forwarding to an investor, if the sub-fund shares are held within the framework of retirement provision or basic pension agreements, which are certified in accordance with the German Retirement Provision Agreements Certification Act (Altersvorsorgeverträge-Zertifizierungsgesetz). This requires the provider of a retirement provision or basic pension agreement to disclose to the sub-fund within a month after their financial year-end when and to what extent shares were acquired or sold. The above 45-day rule must also be taken into account.

The sub-fund or the Investment Stock Corporation is under no obligation to obtain a reimbursement of the corresponding corporation tax for forwarding to investors.

It may be worthwhile engaging the services of a tax advisor due to the highly complex nature of the regulations.

22.2.2 Distributions

The Fund's distributions are generally subject to income or corporation tax and trade tax.

However, since the sub-funds meet the tax criteria for equity funds (with the exception of iShares STOXX Europe 600 Real Estate UCITS ETF (DE)), 60 percent of distributions are tax-free for the purposes of income tax and 30 percent are tax-free for the purposes of trade tax if the shares are held by natural persons as part of business assets. In the case of taxable corporations, 80 percent of distributions are generally tax-free for the purposes of corporation tax and 40 percent are tax-free for the purposes of trade tax. For corporations that are life or health insurance companies or pension funds in which the shares are attributable to the investment scheme or credit institutions and for which the units are to be allocated to the trading portfolio within the meaning of Section 340e (3) German Commercial Code or are to be reported as current assets at the time of addition to the operating assets, 30 percent of distributions are tax-free for the purposes of corporation tax and 15 percent are tax-free for the purposes of trade tax.

The distributions are generally subject to withholding tax of 25 percent (plus solidarity surcharge).

As the sub-funds meet the requirements of equity funds (with the exception of the iShares STOXX Europe 600 Real Estate UCITS ETF (DE)), the partial exemption of 30 per cent is taken into account when calculating the tax deduction.

22.2.3 Advance lump sums

The advance lump sum is the amount by which the distributions made by the sub-funds within a calendar year fall below the base income for that calendar year. The base income is calculated by

multiplying the share redemption price at the start of a calendar year by 70 percent of the base interest rate as derived from the yield on public-sector bonds that can be obtained over the long term. The base income is limited to the excess amount: this is calculated as the redemption price between the first and last price established in the calendar year, plus distributions within the calendar year. In the year in which the shares are acquired, the advance lump sum is reduced by one twelfth for each full month preceding the month of acquisition. The advance lump sum is considered to have been received on the first working day of the following calendar year. Advance lump sums are generally subject to income or corporation tax and trade tax.

However, since the sub-funds meet the tax criteria for equity funds (with the exception of iShares STOXX Europe 600 Real Estate UCITS ETF (DE)), 60 percent of advance lump sums are tax-free for the purposes of income tax and 30 percent are tax-free for the purposes of trade tax if the units are held by natural persons as part of business assets. In the case of taxable corporations, 80 percent of advance lump sums are generally tax-free for the purposes of corporation tax and 40 percent are tax-free for the purposes of trade tax. For corporations that are life or health insurance companies or pension funds in which the Fund units belong to the investment scheme or credit institutions and for which the units are to be allocated to the trading portfolio within the meaning of Section 340e (3) German Commercial Code or are to be reported as current assets at the time of addition to the operating assets, 30 percent of advance lump sums are tax-free for the purposes of corporation tax and 15 percent are tax-free for the purposes of trade tax.

The advance lump sums are generally subject to withholding tax of 25 percent (plus solidarity surcharge).

As the sub-funds meet the requirements for equity funds (with the exception of iShares STOXX Europe 600 Real Estate UCITS ETF (DE)), the partial exemption of 30 per cent is taken into account when calculating the tax deduction.

22.2.4 Capital gains at investor level

Gains from the sale of shares are generally subject to income or corporation tax and trade tax. When calculating the amount of the capital gain, the advance lump sums applied during the investment period shall be deducted from the gain.

However, since the sub-funds meet the tax criteria for equity funds (with the exception of the iShares STOXX Europe 600 Real Estate UCITS ETF (DE)), 60 percent of capital gains are tax-free for the purposes of income tax and 30 percent are tax-free for the purposes of trade tax if the shares are held by natural persons as part of business assets. In the case of taxable corporations, 80 percent of capital gains are generally tax-free for the purposes of corporation tax and 40 percent are tax-free for the purposes of trade tax. For corporations that are life or health insurance companies or pension funds in which the shares belong to the investment scheme or credit institutions and for which the units are to be allocated to the trading portfolio within the meaning of Section 340e (3) German Commercial Code or are to be reported as current assets at the time of addition to the operating assets, 30 percent of capital gains are tax-free for the purposes of corporation tax and 15 percent are tax-free for the purposes of trade tax. In the event of a loss on

disposal, the loss in the amount of the applicable partial exemption is not deductible at investor level. Gains from the sale of units are generally not subject to withholding tax.

22.2.5 Negative taxable income

It is not possible to allocate negative taxable income of a sub-fund to the investor.

22.2.6 Taxation during winding-up process

During the winding-up of a sub-fund, distributions in a calendar year shall be deemed to be a tax-free repayment of capital to the extent that the last redemption price fixed in that calendar year is lower than the amortised cost.

22.2.7 Summary table for typical business investor groups

	Distributions	Advance lump sums	Capital gains
German investors			
Sole traders	<u>Capital gains tax:</u> 25% (the partial exemption for equity funds of 30% is taken into account)		<u>Capital gains tax:</u> Exemption
	<u>Material taxation:</u> Income tax and trade tax; if applicable, taking partial exemptions into account (equity funds 60% for income tax/30% for trade tax)		
Corporations subject to regular taxation (typically industrial companies; banks, unless units are held in the trading portfolio; property insurance companies)	<u>Capital gains tax:</u> Exemption in the case of banks, otherwise 25% (the partial exemption for equity funds of 30% is taken into account)		<u>Capital gains tax:</u> Exemption
	<u>Material taxation:</u> Corporation tax and trade tax; if applicable, taking partial exemptions into account (equity funds 80% for corporation tax/40% for trade tax)		
Life and health insurance companies and pension funds in which the shares belong to the investment scheme	<u>Capital gains tax:</u> Exemption		
	<u>material taxation:</u> Corporation tax and trade tax, unless a reserve for premium refunds is included on the commercial balance sheet, which must also be recognised for tax purposes, if applicable taking partial exemptions into account (equity funds 30% for corporation tax/ 15% for trade tax)		
Banks holding the shares in their trading portfolio	<u>Capital gains tax:</u> Exemption		
	<u>material taxation:</u> Corporation tax and trade tax; if applicable, taking partial exemptions into account (equity funds 30% for corporation tax/15% for trade tax)		
Tax-exempt non-profit, charitable or church investors (in particular churches, not-for-profit foundations)	<u>Capital gains tax:</u> Exemption		
	<u>material taxation:</u> Tax-free – additionally, the corporation tax incurred at the Fund level may under certain requirements be refunded upon request		
Other tax-exempt investors (in particular pension funds, funeral expenses funds and relief funds, provided the requirements stipulated in the German Corporation Tax Act (Körperschaftsteuergesetz) have been met)	<u>Capital gains tax:</u> Exemption		
	<u>material taxation:</u> Tax-exempt		

German safe custody is assumed. A solidarity surcharge is levied as a supplementary tax on the capital gains tax, income tax and corporation tax. Creditable foreign withholding tax may be deducted as income-related expenses at the investment fund level; in this case, withholding by the investor is not possible. For the exemption from capital gains tax, it may be required that non-assessment certificates be submitted to the Custodian Bank in good time.

22.3 Non-resident taxpayers

If a non-resident taxpayer holds shares at a German Custodian Bank, no tax is deducted from distributions, advance lump sums and gains from the sale of shares, provided investors can present evidence of their non-residency. If the Custodian Bank has no knowledge of the investor's status as a non-resident or if proof of such non-resident status is not provided on time, the foreign investor must apply for a tax rebate in accordance with the German Fiscal Code (Abgabenordnung – AO)². The competent tax office is the tax office of the credit institution maintaining the custody account.

22.4 Solidarity surcharge

A solidarity surcharge of 5.5 percent is levied on the withholding tax payable on distributions, advance lump sums and gains from the sale of shares.

22.5 Church tax

If the income tax is already paid by means of the withholding tax deducted by the German Custodian Bank (withholding agent), the applicable church tax will be levied regularly in addition to the withholding tax, pursuant to the church tax rate for the religious community to which the church tax payer belongs. The church tax is taken into account as a special expense at the time of the deduction of the withholding tax.

22.6 Foreign withholding tax

Some foreign income earned by the Fund is subject to withholding taxes retained in the country of origin. Investors may not take this withholding tax into account to reduce their tax liability.

22.7 Consequences of the merger of investment funds

If a German investment fund is merged with another German investment fund, for which the same rate of partial exemption applies, this does not result in the disclosure of unrealised gains either for the investors or for the investment funds concerned, i.e. such a transaction is not relevant for tax purposes. If the investors of the transferring investment fund receive a cash payment in a merger plan,³ it is treated as a distribution.

22.8 Automatic exchange of information in tax matters

The significance of the automatic exchange of information to combat cross-border tax fraud and tax evasion has greatly increased at international level in recent years. The OECD has, among other things, published a global standard for the automatic exchange of information on financial accounts in tax matters (Common Reporting Standard, hereinafter "CRS").

The CRS was integrated into Directive 2011/16/EU at the end of 2014 with Council Directive 2014/107/EU of 9 December 2014 on the obligation

to exchange information automatically in tax matters. The participating states (all member states of the EU as well as several third states) now apply the CRS. Germany transposed the CRS into German law with the Financial Account Information Exchange Act of 21 December 2015.

The CRS requires the relevant financial institutions (mainly credit institutions) to obtain certain information about their clients. If the clients (natural persons or legal entities) are persons subject to reporting requirements who are resident in other participating countries (this does not include, for example, listed corporations or financial institutions), their accounts and securities accounts are classified as subject to mandatory reporting. The reporting financial institutions will then provide certain information to their home tax authorities for each reportable account. The latter will then transmit the information to the customer's home tax authority.

The information to be transmitted essentially consists of the personal data of the reporting client (name, address, tax identification number, date and place of birth (for individuals), country of residence) as well as information on the accounts and securities accounts (e.g. account number, account balance or account value, total gross amount of income such as interest, dividends or distributions from investment funds, total gross proceeds from the sale or redemption of financial assets (including fund units)).

Specifically, this applies to reportable investors who have an account and/or custody account with a credit institution domiciled in a participating state. Therefore, German credit institutions will report information about investors resident in other participating states to the Federal Central Tax Office, which will forward the information to the respective tax authorities of the investor's country of residence. Accordingly, credit institutions in other participating countries will report information about investors resident in Germany to their respective home tax authorities, which will forward the information to the Federal Central Tax Office. Finally, it is possible that credit institutions domiciled in other participating states may report information about investors domiciled in other participating states to their respective home tax authorities, which will forward the information to the respective tax authorities of the investor's domicile states.

22.9 FATCA and other international reporting systems

The agreement between the USA and the Federal Republic of Germany to promote tax honesty in international circumstances and to implement FATCA (the "USA-Germany Agreement") was agreed with the objective of implementing the provisions of the Foreign Account Tax Compliance Act of the U.S. Hiring Incentives to Restore Employment Act ("FATCA") in Germany. FATCA stipulates a reporting system and potential withholding tax of 30 per cent on certain payments that are carried out by US sources or sources attributable to it or in relation to US assets to be

² Section 37 Paragraph 2 of the German Fiscal Code (Abgabenordnung – AO).

³ Section 190 Paragraph 2 No. 2 of the German Investment Code (KAGB).

paid to certain categories of recipients, including a financial institution not domiciled in the USA (a "Foreign Financial Institution" or "FFI") that does not meet FATCA provisions and is not otherwise tax-exempt. Certain financial institutions ("Reporting Financial Institutions") must in accordance with the USA-Germany Agreement report certain information on their US account holders to the German Federal Tax Office (which in turn forwards the information to the US tax authority). However, it is not currently assumed that the Investment Stock Corporation represents a "Reporting Financial Institution" according to this definition, as it is expected that the respective sub-funds represent FFIs and therefore meet the FATCA provisions. If the sub-funds do not meet any of the FATCA provisions for FFIs, the Investment Stock Corporation intends to ensure that the sub-funds are handled in a FATCA-compliant manner by meeting the requirements of the reporting system that is the subject of the USA-Germany Agreement. However, it cannot be guaranteed that the sub-funds will be able to meet the FATCA provisions, and if the sub-funds are not able to do so, a 30% withholding tax may be charged on payments that the sub-funds receive from US sources or sources attributable to the US or in relation to US assets, which may reduce the amounts available for the sub-funds to pay the investors.

A number of countries have concluded multilateral agreements which are based on the Common Reporting Standard for the Automatic Exchange of Financial Account Information, which was published by the Organisation for Economic Co-operation and Development (OECD). Following their implementation in German law, certain financial institutions (also known as "Reporting Financial Institutions") are obliged to provide German tax authorities with certain information on investors from those countries that are the parties to these agreements. (The German tax authorities will forward this information to the relevant tax authorities in turn). Currently, it is not expected that the sub-funds will be qualified as reporting financial institutions.

In view of the above, investors in the sub-funds are obliged to make available to the Investment Stock Corporation certain information necessary to meet the requirements of the reporting system. Please note that the Investment Stock Corporation has mandated that US persons may not hold any shares in the sub-funds.

22.10 Pillar two

The OECD has issued work relating to the introduction of a system ensuring a minimum level of taxation for multinational enterprises ("Pillar Two"). The Pillar Two rules⁴ aim to ensure that large multinational enterprise (MNE) groups pay a minimum level of tax on the income arising in each of the jurisdictions where they operate, by imposing a top-up tax whenever the effective tax rate,

determined on a jurisdictional basis, is below the minimum rate specified in Pillar Two.

If an investor entity or, where applicable, its ultimate parent entity consolidates (or is deemed to consolidate) the Company or a sub-fund in its consolidated financial statements ("Consolidated Financial Statements"), there is a risk that the Company or a sub-fund may become subject to Pillar Two tax.

If the Company or a sub-fund falls within the scope of Pillar Two, the effective tax rates within its structure could increase due to higher amounts of tax being due or the possible denial of deductions. Tax compliance costs may also increase, which could adversely affect returns to the investors. In the event the Company or a sub-fund becomes liable for any Pillar Two tax, this may reduce the amounts available for distribution to the investors.

Each investor agrees to indemnify the Company or a sub-fund, on demand, for any Pillar Two tax liability and tax compliance costs that may be incurred by the Company or a sub-fund as a result of a (deemed) consolidation in the Consolidated Financial Statements relating to that investor.

To the extent that any Pillar Two tax liability arises at the level of an investor entity or, where applicable, the MNE group to which it belongs, as a result of the investment in the Company or a sub-fund, such liability shall be borne solely by the investor giving rise to it (and not borne by the Company or a sub-fund or any other investor). Investors are responsible for assessing their own Pillar Two tax position in connection with their investment in the Company or a sub-fund, including whether they may be required to consolidate the Company or a sub-fund on a line-by-line basis in their Consolidated Financial Statements. Investors must notify BlackRock as soon as any such (deemed) consolidation requirement is identified.

BlackRock reserves the right to redeem the investment of any investor if such investment gives rise to additional Pillar Two tax at the level of the Company or a sub-fund and/or results in additional filing or compliance obligations for the Company or a sub-fund.

22.11 Notice

The information on taxes is based on current tax law and regulations. The information is directed towards individuals who have unlimited liability for income tax or corporation tax in Germany. However, we accept no responsibility for any changes in tax treatment as a result of legislative or judicial actions or decrees issued by the tax authorities.

23. Outsourcing

The Management Company has outsourced the following activities to other companies:

- Swap collateral management, BlackRock Investment Management (UK) Ltd.,
- IT support, BlackRock Investment Management (UK) Ltd.,

⁴ The OECD's 2021 "Tax Challenges Arising from Digitalisation of the Economy – Global Anti-Base Erosion Model Rules (Pillar Two): Inclusive Framework on BEPS" (the Model Rules) and Council Directive (EU) 2022/2523 of 14 December 2022 on ensuring a global minimum level of taxation for multinational enterprise groups and large-scale domestic groups in the EU (the Pillar Two Directive),

together with any current or future similar or related legislation in respect of any EU or non-EU jurisdiction and, in each case, any current or future legislation, regulations, guidance or official interpretations in connection therewith.

- Internal audit, BlackRock Investment Management (UK) Ltd.,
- Compliance monitoring, BlackRock Investment Management (UK) Ltd.,
- Counterparty risk, BlackRock Investment Management (UK) Ltd.,
- CMC accounting and finance, BlackRock Investment Management (UK) Ltd.,
- Middle office (including trade operations, corporate actions), BlackRock Investment Management (UK) Ltd.,
- Fund administration, State Street Bank International GmbH,
- Collateral management (securities lending), State Street Bank International GmbH,
- Control function for Fund administration / collateral management (securities lending), BlackRock Investment Management (UK) Ltd.,
- Securities lending, BlackRock Institutional Trust Company, N.A.,
- EMIR Reporting, BlackRock Investment Management (UK) Ltd.,
- Trading and collateral management for futures transactions, BlackRock Investment Management (UK) Ltd.,
- Portfolio management of the fixed income funds, BlackRock Investment Management (UK) Ltd.,
- Index licensing, BlackRock Fund Advisors,
- Management of securities master data, BlackRock Investment Management (UK) Ltd.,
- Management of information security processes, BlackRock Investment Management (UK) Ltd.,
- Management of risks within the field of IT, counterparties and investments, BlackRock Investment Management (UK) Ltd.,
- Currency hedging transactions for currency hedged unit classes, State Street Bank International GmbH,
- Management of Fund registrations and listings, BlackRock Asset Management Ireland Ltd.,
- Compliance Background Screening, BlackRock Hungary kft,
- Compliance Training, BlackRock Financial Management Inc.,
- Corporate Tax and Treasury, BlackRock Investment Management (UK) Ltd.,
- Provision and support of IT infrastructure, BlackRock Aladdin (eFront) SAS.

24. Annual financial statements and semi-annual reports/auditors

The annual financial statements and semi-annual reports of the sub-funds may be obtained at the Investment Stock Corporation, the Management Company and the Custodian Bank and are published online in the Bundesanzeiger and at www.iShares.de. PricewaterhouseCoopers GmbH Wirtschaftsprüfungsgesellschaft, Munich, has been appointed to audit the individual sub-funds and its annual financial statements.

25. Payments to shareholders; distribution of reports and other information

The contract with the Custodian Bank ensures that shareholders receive any distributions and that shares can be redeemed. The shareholder information mentioned in this Sales Prospectus can be obtained free of charge at the Investment Stock Corporation, the Management Company and the Custodian Bank.

26. Sub-funds of the Investment Stock Corporation managed by the Management Company

iShares STOXX Global Select Dividend 100 UCITS ETF (DE)

iShares STOXX Europe 600 Automobiles & Parts UCITS ETF (DE)

iShares STOXX Europe 600 Banks UCITS ETF (DE)

iShares STOXX Europe 600 Basic Resources UCITS ETF (DE)

iShares STOXX Europe 600 Chemicals UCITS ETF (DE)

iShares STOXX Europe 600 Construction & Materials UCITS ETF (DE)

iShares STOXX Europe 600 Financial Services UCITS ETF (DE)

iShares STOXX Europe 600 Food & Beverage UCITS ETF (DE)

iShares STOXX Europe 600 Health Care UCITS ETF (DE)

iShares STOXX Europe 600 Industrial Goods & Services UCITS ETF (DE)

iShares STOXX Europe 600 Insurance UCITS ETF (DE)

iShares STOXX Europe 600 Media UCITS ETF (DE)

iShares STOXX Europe 600 Oil & Gas UCITS ETF (DE)

iShares STOXX Europe 600 Personal & Household Goods UCITS ETF (DE)

iShares STOXX Europe 600 Real Estate UCITS ETF (DE)

iShares STOXX Europe 600 Retail UCITS ETF (DE)

iShares STOXX Europe 600 Technology UCITS ETF (DE)

iShares STOXX Europe 600 Telecommunications UCITS ETF (DE)

iShares STOXX Europe 600 Travel & Leisure UCITS ETF (DE)

iShares STOXX Europe 600 Utilities UCITS ETF (DE)

iShares MSCI Brazil UCITS ETF (DE)

iShares Brazil LTN BRL Govt Bond UCITS ETF (DE)

iShares Brazil BRL Govt Bond UCITS ETF (DE)

27. Instruction on the right of revocation under Section 305 KAGB (door-to-door sales)

If the purchase of units/shares in open-ended investment funds is transacted on the basis of verbal negotiations outside of the permanent business premises of the party selling the units/shares or brokering their sale, then the purchaser has the right to revoke his purchase agreement by written notice and without stating reasons within a period of two weeks. The purchaser is informed of the right of revocation in the copy or purchase invoice. The right of revocation applies even if the party selling the units/shares or brokering their sale does not have any permanent business premises. No right of revocation exists if the seller proves that either (i) the purchaser is not a natural person carrying out the transaction with an aim that cannot be associated with their professional activity (a Consumer) or (ii) the negotiations were entered into on the initiative of the purchaser, i.e. if the seller sought to conduct negotiations on the grounds of a previous request by the purchaser. For contracts that are concluded exclusively via distance communication (e.g. letters, phone calls, e-mails) there is no right of revocation (distance selling).

28. Conflicts of interest

Relationships within the BlackRock Group.

Parent holding company of the Company is BlackRock, Inc., a company incorporated in Delaware, U.S.

It is possible that the Investment Stock Corporation or any other company in the BlackRock Group and its managing directors participate in the sub-funds or in transaction for or with the sub-funds, or that any other relationship with other people, leading to a potential conflict with their obligations to the investment stock corporation.

Conflicts of interest may arise, for example, because the relevant company of the BlackRock Group:

- (a) enters into transactions for other customers;
- (b) has directors or employees who are the directors or shareholders of a company, or deal in securities of that company or are otherwise involved in that company, the securities of which are held or traded by the Investment Stock Corporation in its own name or in the name of a third party;
- (c) profits, under certain circumstances, from a commission, a fee, a price premium or price discount that is not paid by the Investment Stock Corporation in connection with an investment transaction;
- (d) is active as an agent for the Investment Stock Corporation with respect to transactions in which it occurs simultaneously as an agent for their other own customers;
- (e) acts as principal for its own account with investments and/or currencies with the Investment Stock Corporation or its shareholders;
- (f) enters into transactions in units of an undertaking for collective investment or of another company for which one of the companies of the BlackRock Group acts as a manager, operator, bank, consultant or trustee;

(g) also settles transactions for the Investment Stock Corporation that are in connection with placements and/or new issues through one of its other affiliates acting as principal for its own account or receiving a broker commission.

Certain securities may be – as described above – considered suitable as actual or potential investments both for the Fund and for other investment funds of the Investment Stock Corporation as well as of the sub-funds and customers of other companies in the BlackRock Group.

Because of different investment objectives and other factors, a particular security may be purchased for one or one or more of these investment funds or customers but sold for others. If the purchases or sales of securities on behalf of the sub-funds or those customers are pending valuation at about the same time, such transactions, to the extent practicable, will be settled in a way that is appropriate for all participating investment funds or customers. There may be cases in which the purchase or sale of securities on behalf of one or more funds or customers of the BlackRock Group are disadvantageous for other funds or customers of the BlackRock Group.

The following should be considered with regard to BlackRock Funds, even though the information is not necessarily relevant to the investment funds managed by the Investment Stock Corporation.

If opposing positions (i.e. long and short) are established, held or settled for the same securities at the same time for different funds or customers, this could damage the interests of the funds and/or customers on one side or the other. For BlackRock, this could represent a conflict of interest, especially if BlackRock or the participating portfolio manager receives a higher fee for one activity compared to another. This activity may result from the fact that the securities of different portfolio management teams will be assessed differently, or that risk management strategies are implemented and certain guidelines and procedures do not generally apply in these situations.

This conflict can also arise if within the same portfolio management teams there are long-only mandates and long-short mandates or short-only mandates or in the implementation of risk management strategies. If there are mandates of this type within the same portfolio management team, short positions for a security in some portfolios for which there are long-positions in other portfolios, or long positions for a security in some portfolios for which there are short positions in other portfolios, may only be settled in accordance with established guidelines and procedures.

This is to ensure that an appropriate fiduciary principle prevails and that counteracting transactions are carried out in such a way that no particular customer group is systematically given preference or put at a disadvantage. The BlackRock Compliance Group monitors these guidelines and procedures and can require changes or the discontinuation of certain activities in order to keep conflicts to a minimum. Exceptions to these

guidelines and procedures are subject to approval by the Compliance Group.

Different views regarding the short and long-term performance of a security that would justify entering into different positions for the same securities at the same time would, for example, fall under the fiduciary principle. For long-only accounts in this sense, it might be inappropriate to sell the security, while it might be useful for short-term oriented accounts with a short mandate to take a short-term short position in the security. The attempt to neutralise the impact of the performance of a specific line of a company by establishing an opposing position in another company whose business is essentially comparable with the relevant segment can also be based on this principle.

Due to the efforts of BlackRock to handle such conflicts effectively, customers may not be able to take advantage of certain investment options, or it may be that BlackRock settles transactions in a different way than if these conflicts did not exist. This in turn can affect investment performance.

The companies of the BlackRock Group may, with respect to the BlackRock funds (or parts of a BlackRock fund) for which they provide investment management and advisory services, contract with brokers (including, but not restricted to brokers that are associated with BlackRock), that directly or through a third party or comparable relations provide research or execution services for BlackRock. The requirement is that in the view of the BlackRock Group they represent a legally defensible and appropriate support for the relevant companies in the BlackRock Group in investment decision processes or execution of orders and it can reasonably be expected that the Investment Stock Corporation as a whole benefits from the provision of these services and this benefits the performance of the BlackRock Funds. These research or execution services include – where authorised under the applicable laws – research on companies, industries and securities, economic and financial information and analysis, and software for quantitative analysis. The results received through these research or execution services may be used not only for the account whose commissions have been used to pay for these services, but are also for other customer accounts of the BlackRock Group. For the avoidance of doubt, such goods and services do not include travel, accommodation, entertainment, general administrative goods or services, computer hardware, general office equipment or premises, membership fees, employee salaries or direct money payments. If BlackRock uses the money from commission payments from their customers for the provision of research or execution services, the companies of the BlackRock Group do not have to pay for those products and services themselves. Companies of the BlackRock Group may make use of research or execution services that fall within the scope of order execution, clearing fall and/or settlement services of a specific broker/dealer. If a company of the BlackRock Group uses research or execution services on this basis, the same conflicts may exist as those in connection with the provision of such services through agreements with third parties. For example, the research is effectively paid for by the customer commissions, which are also used to pay for the clearing and execution services

provided by the broker/dealer. They are therefore not paid by that company of the BlackRock Group.

Each company of the BlackRock Group may, subject to the best execution principle, endeavour to implement these orders through brokers that provide research or execution services within the scope of such agreements. This ensures the continuous provision of research or execution services that the company of the BlackRock Group is certain are useful for their investment decision and order fulfilment processes. A company in the BlackRock Group may pay higher fees or apparently higher fees than they would otherwise have paid to obtain research or execution services, if this company in the BlackRock Group determines in good faith that the commission paid is appropriate in relation to value of the research or execution services provided. BlackRock Group believes that its investment research and order execution processes will be improved if commission money is used for the provision of research or execution services. At the same time, this improves the prospects for higher investment returns.

BlackRock Group, without prior notice to customers of the BlackRock Group, may decide to change the agreements described above, or decide to bind themselves to varying degrees by the extent allowed by the applicable laws.

Definitions for the following terms mentioned in this number:

“BlackRock Funds”: Funds managed by the BlackRock Group but not by BlackRock Asset Management Deutschland AG.

“BlackRock Group”: Companies of BlackRock, Inc. and its subsidiaries and persons affiliated with the Company.

II. Special Part

1. iShares STOXX Global Select Dividend 100 UCITS ETF (DE)

1.1 Overview of existing share classes of the iShares STOXX Global Select Dividend 100 UCITS ETF (DE)

Share class name	iShares STOXX Global Select Dividend 100 UCITS ETF (DE) EUR (Dist)
German Securities Code (WKN) / ISIN	WKN A0F5UH / ISIN DE000A0F5UH1
Listed on a stock exchange	yes
Level of management fee	0.45% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	distributing
Transactions in securities lending and repurchase agreements	no

Share class name	iShares STOXX Global Select Dividend 100 UCITS ETF (DE) EUR Hedged (Acc)
German Securities Code (WKN) / ISIN	WKN A2QP4F / ISIN DE000A2QP4F7
Listed on a stock exchange	yes
Level of management fee	0.47% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	accumulating
Transactions in securities lending and repurchase agreements	no

1.2 Exchanges

The shares of the Sub-fund are admitted for (official) trading on the following stock exchanges:

Frankfurt Stock Exchange

Deutsche Börse AG
Börsenplatz 4
60485 Frankfurt/Main, Germany
Telephone: +49 (0) 69 - 211 - 0
Fax: +49 (0) 69 - 211 - 12005

SIX Swiss Exchange

SIX Swiss Exchange AG
Pfingstweidstrasse 110
8021 Zurich, Switzerland
Telephone: +41 (0) 58 - 399 - 5454
Fax: +41 (0) 58 - 499 - 5455

The possibility of shares also being traded on other markets cannot be excluded.

In all other respects, the information under Point 9 of the General Part shall apply.

1.3 Designated Sponsors

Designated Sponsor(s) for listing on the Frankfurt Stock Exchange: can be checked under www.boerse-frankfurt.de

Market Maker for Listing on the SIX Swiss Exchange: can be checked www.six-group.com

In all other respects, the provisions under Point 9 of the General Part shall apply.

1.4 Licensor and licence agreement

1.4.1 Licensor and licence agreement

The STOXX® Global Select Dividend 100 (hereinafter referred to as the "Underlying Index") is a registered trademark of STOXX Ltd. (hereinafter referred to as the "Licensor") and is thus protected against unauthorised use. The Licensor grants licences for the use of the Underlying Index as a benchmark for capital market products.

The Management Company has been granted the right to use the Underlying Index of the sub-fund.

1.4.2 Disclaimer of liability by the Licensor

The Sub-fund is not sponsored, promoted, sold or distributed by the Licensor. Aside from the licensing of the Underlying Index and the permitted use of the trademark in connection with naming the Sub-fund, the Licensor has no connection whatsoever with the Company.

The Licensor gives no guarantee of the accuracy or the completeness of the Underlying Index and the data contained therein. It assumes no liability for errors, omissions or interruptions to the Underlying Index. The Licensor gives no direct or indirect guarantee concerning the results achieved by the Company through the use of the Underlying Index or of the other data contained therein. The Licensor provides no direct or indirect guarantee and assumes no liability as regards the marketability, suitability or use for a specific purpose of the Underlying Index or the data contained therein.

Notwithstanding any of the above, the Licensor shall under no circumstances accept responsibility for any damages caused by or in connection with the Underlying Index or the Sub-fund it underlies. This disclaimer of liability also applies to indirect losses, special damages or consequential losses (including loss of profits) in relation to the Underlying Index or the Sub-fund it underlies, even if the Licensor has been made aware of the assertion of such a claim. No third party shall benefit from any contracts or agreements between the Licensor and the Company.

1.5 Launch date, term and investment objective of the Sub-fund

1.5.1 Launch date and term

The sub-fund was launched on 25 September 2009 and is of unlimited duration.

The investors own an equity interest in the assets of the Sub-fund as co-owners in proportion to the number of shares held.

1.5.2 Investment objective

The objective of the Sub-fund is to achieve the same investment performance as the Underlying Index. For this purpose, it shall track the Underlying Index as closely and as completely as possible.

The Investment Fund shall adopt a passive management strategy to achieve these objectives. In contrast to the active management approach, the

Underlying Index is used as the basis for making decisions on the purchase and sale of assets and their respective weightings in the Sub-fund. The passive management strategy and the trading of shares on an exchange have the effect of limiting management fees and transaction costs charged to the Sub-fund.

The description of the investment objective, investment policy and the Underlying Index applies to all share classes offered. The currency-hedged share class aims to reduce the impact of exchange rate fluctuations between the underlying portfolio currency positions of the sub-fund and the valuation currency of the currency-hedged share class on returns of the Underlying Index for investors in the currency-hedged share class by entering into foreign exchange contracts for currency hedging.

1.5.3 Achievability of the investment objective

One obstacle to replicating the performance of the Underlying Index is the fact that the Underlying Index is a statistical model based on certain assumptions. It is assumed, for example, that no transaction costs will be incurred when securities are purchased or sold. In addition, management fees and some tax payments are deducted from the Sub-fund share price, whereas they do not apply at all to the Underlying Index.

Detailed information about the Underlying Index may be obtained in printed or electronic form from the Company or from the Licensor.

NO ASSURANCE CAN BE GIVEN THAT THE INVESTMENT OBJECTIVES WILL ACTUALLY BE ACHIEVED.

1.6 Investment principles

1.6.1 General information

The Company may only acquire the following assets on behalf of the sub-fund:

- a) Securities pursuant to Section 193 KAGB,
 - b) Money market instruments pursuant to Section 194 KAGB,
 - c) Bank accounts pursuant to Section 195 KAGB,
 - d) Derivatives pursuant to Section 197 KAGB,
 - e) Other investment instruments pursuant to Section 198 KAGB,
 - f) Investment units pursuant to Section 196 KAGB, if they are oriented towards replicating the Underlying Index, while maintaining an appropriate risk diversification. Any restrictions on the eligibility result from the "Investment Conditions".
- The Underlying Index is recognised by BaFin and meets the following requirements of the KAGB:
- The composition of the index is sufficiently diversified.
 - The index represents an adequate benchmark for the market to which it relates.
 - The index is published in an appropriate manner.

In addition, and in accordance with Regulation (EU) 2016/1011 of the European Parliament and of the Council, the Licensor is entered with the European

Securities and Markets Authority (ESMA) in a public register of administrators and benchmarks.

The ESMA public register of administrators and benchmarks can be consulted at www.esma.europa.eu.

In addition, the Company has drawn up a contingency plan in which it sets out measures it would take if the underlying index were to change significantly or cease to be provided.

Details of the equities included in the Underlying Index are also contained in the most recent annual financial statement or semi-annual report published for the sub-fund.

Because of the relationship between the Sub-fund and the Underlying Index and because certain issuer and investment limits may be exceeded as a result, the principle of risk diversification finds only limited application.

1.6.2 Description of the Index

The STOXX® Global Select Dividend 100 Index measures the performance of 30 securities included in the STOXX® Europe Select Dividend 30 Index, the STOXX® North America Select Dividend 40 Index and the STOXX® Asia/Pacific Select Dividend 30 Index that pay the highest dividends and that satisfy certain criteria. The index includes companies that at the time of inclusion have paid dividends in four of five calendar years, whose dividend growth rate was not negative in the past five years, whose ratio of dividends to earnings per share is 60 percent (80 percent for the Asia-Pacific region) or less, and which meet the criteria for trading volume. The index is weighted according to net dividend yield, with individual companies being limited to 10 percent. The index is reweighted annually, and the selection is subject to guidelines that favour the components that were included in the index before the reweighting. In addition, the index is subject to quarterly and ongoing reviews that allow a company to be removed at the discretion of the index provider if it no longer meets the original selection criteria. The inclusion and weighting criteria may be changed by the index provider. Further details on the Underlying Index (including its components) are available on the website of the index provider at www.stoxx.com.

1.6.3 Effects of index adjustments

In order to replicate the Underlying Index as closely as possible, fund management must replicate all changes in the composition and weighting of the Underlying Index for the Sub-fund.

Fund management may, at its discretion, determine the timeframes in which the sub-fund will be adjusted and whether an adjustment is appropriate in view of the investment objective.

1.6.4 Replication of the index and priority of direct duplication

To replicate the Underlying Index, only the following assets may be acquired:

- securities included in the Security Index or introduced to it following a change to the index (index securities),
- securities issued on the Underlying Index (index certificates),

- securities issued on individual stocks of the Underlying Index (certificates on individual securities),
- futures contracts on the Underlying Index (index futures),
- futures contracts on individual stocks of the Underlying Index (futures on individual securities),
- warrants on the Underlying Index (index warrants),
- warrants on individual stocks of the Underlying Index (warrants on individual securities), and
- Investment fund units pursuant to Section 9 of the Investment Conditions

In replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in index securities over investments in other assets listed above approved for use in replicating indices. The Underlying Index may only be replicated using assets that indirectly replicate the index for purposes of maintaining the investment restrictions listed in the second sentence under Point 1.7.2. Outside the limit of the duplication percentage laid down in Point 1.6.5 the Company, for the account of the Sub-Fund, may invest up to 5 percent of the value of the Sub-Fund in basic forms of derivatives as defined in Section 7 para. 2 of the Investment Conditions, particularly future contracts on securities in the meaning of Section 4 of the Investment Conditions, money market instruments in the meaning of Section 5 of the Investment Conditions, investment fund units in the meaning of Section 9 of the Investment Conditions, recognised financial indices, interest rates, exchange rates or currencies which are not contained in the Underlying Index.

1.6.5 Duplication percentage

In order to replicate the Underlying Index, the duplication percentage must not be less than 95 percent of the total assets in the sub-fund as defined in Point 1.6.4. Futures contracts shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach in accordance with the regulation on risk management and risk measurement for the use of derivatives, securities lending and repurchasing agreements in investment funds pursuant to KAGB (hereinafter referred to as "DerivateV"). The duplication percentage reflects the proportion of the above-named securities, certificates, futures contracts, warrants and investment fund units in the sub-fund which matches the weighting of the Underlying Index.

1.6.6 Expected tracking error

The tracking error is defined as the annualised standard deviation of the difference between the returns of a fund and the underlying index. The expected tracking error of the sub-fund refers to the net monthly total returns of the sub-fund and the Underlying Index over a period of three years.

This figure is often of particular interest to investors who trade regularly with index investment assets and hold shares in investment funds only a few days or weeks. For long-term investors with a longer investment horizon the tracking difference between the sub-fund and the underlying index over the intended investment horizon is usually more important. The tracking difference measures the

actual difference between the returns of a fund and the returns of the index (i.e., how accurately a fund replicates its underlying index). The tracking error, however, measures the increase and decrease of the tracking difference (i.e. the volatility of the tracking difference). Investors should take both figures into consideration when evaluating an index investment fund.

The tracking error may depend on the sampling methodology selected by the index investment fund. In general, historical data provide evidence that synthetic replication generates a lower tracking error than physical replication, but the same data also often suggest that physical replication generates a lower tracking difference than synthetic replication.

The expected tracking error is based on the expected volatility of the deviations between the returns of the sub-fund and the returns of the Underlying Index. Liquidity management, transaction costs for index adjustments as well as differences between the sub-fund and the Underlying Index in the valuation methodology and the valuation date may also have an effect on the tracking error and the difference between the returns of the sub-fund and the Underlying Index. The effects can be positive or negative depending on the underlying circumstances.

The sub-fund may also have a tracking error as a result of withholding taxes payable by the sub-fund on investment income. The extent of the tracking error resulting from withholding taxes depends on various factors such as refund requests made by the sub-fund to different tax authorities or tax relief for the sub-fund under a double taxation agreement.

Until 16 August 2013, the sub-fund was rated on the basis of prices of the securities held in the sub-fund at 17:45 CET, while the underlying index was valued based on closing prices. A large proportion of the expected tracking error specified is thus due to the time difference between the valuation dates. The Company expects that the values of the tracking error, caused by changing the valuation of sub-fund assets to closing prices, will fall in future.

The expected tracking error for the sub-fund is: 0.40 per cent

Investors should note that these are only estimated values for the tracking error under normal market conditions and are therefore not to be understood as fixed limits.

1.7 Issuer and investment limits

1.7.1 Issuer limits

The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and the Investment Conditions.

The Company may invest up to 20 percent of the assets of the sub-fund in securities from a single issuer (debtor). The limit may be increased to up to 35 percent of the value of the sub-fund for securities from a single issuer (debtor). This increase in the limit up to 35 percent is permissible only for one individual issuer (debtor).

For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index

securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.

1.7.2 Investment restrictions

The Company may invest no more than 5 percent of the value of the sub-fund in bank accounts and money market instruments in accordance with the "General Investment Conditions". A minimum of 95 percent of the sub-fund must be invested in assets based on the Security Index, as defined in Point 1.6.4.

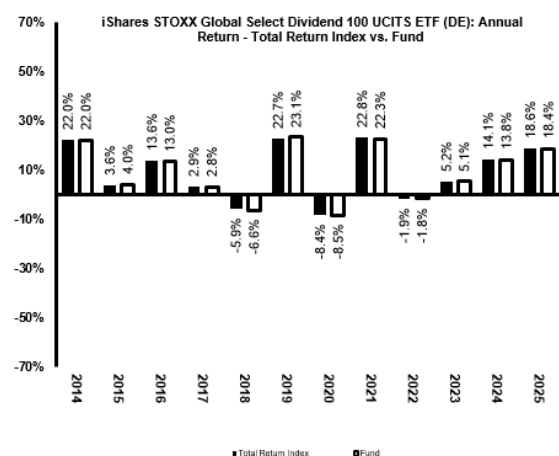
At least 70 percent of the value of the sub-fund shall on an ongoing basis be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds. In determining the volume of assets invested in the aforementioned shares, loans are to be deducted in proportion to the shares' portion of the value of all assets.

If the sub-fund is invested in investment fund units in accordance with Point 6.6, which are valued at least once a week, the Company will base its compliance with the equity fund capital participation quota by the sub-fund on the capital participation quotas published daily by the target investment funds and include them in the calculation of the equity fund capital participation quota for funds.

If in order to replicate the Underlying Index, the Company acquires index certificates or certificates on individual equities as defined in Point 1.6.4, no more than 10 percent of the value of sub-fund assets may be invested in such certificates as defined in Point 1.6.4, which are not admitted for official trading on a stock exchange or listed on a regulated market.

In order to replicate the Underlying Index the Company may invest up to 10 percent of the value of the sub-fund in units of other open-ended domestic and foreign investment funds (target funds) as defined in Point 6.6 of the General Part of this Sales Prospectus. In doing so, the Company may acquire on behalf of the sub-fund no more than 25 percent of the issued units or shares of a target fund. In addition, the target funds may in accordance with their Investment Conditions invest up to 10 percent in units or shares of other target funds. Please see 6.6 of the General Part of this Sales Prospectus for more information.

1.8 Performance



Source: STOXX Ltd./ BlackRock Asset Management Deutschland AG

Past performance of the Sub-fund is not a predictor of future results for the Sub-fund.

1.9 Explanation of the risk profile of the Fund

The risk profile is based on a return and risk scale of 1 to 7, where 1 indicates a fairly low risk, but also typically lower returns, and 7 indicates a fairly high risk, but also typically higher returns.

The Fund is currently in category 3 because of the nature of its investments, which include the risks listed below.

The indicator is based on historical data and may not be a reliable indication of the future risk profile of the Fund. The risk category shown is not guaranteed and may change over time. The relevant current categorisation can be found in the Key Information Document. The lowest category cannot be equated with a risk-free investment. These factors may affect the value of investments or result in losses.

The investment risk is concentrated in specific sectors, countries, currencies or companies. Consequently, the Fund is more sensitive to localised economic, market, political, sustainability-related or regulatory events.

The value of equities and equity-related securities may be adversely affected by daily price movements on the stock exchanges. Other influencing factors include political and economic news, corporate earnings and significant corporate events.

Specific risks that are not captured in an appropriate manner by the risk indicator include counterparty risk.

1.10 Profile of a typical investor

The Fund is aimed at all types of investors seeking to improve or optimise their assets. Investors must be willing and able to accept significant fluctuations in the value of the shares and the possibility of a significant loss of capital. The Fund is suitable for

medium- and long-term investment, though the Fund may also be suitable for shorter term exposure to the Underlying Index.

1.11 Management and miscellaneous expenses

The actual amount of the fixed fee is listed in the "Overview of existing share classes" in the Special Part of the Sales Prospectus.

2. iShares STOXX Europe 600 Automobiles & Parts UCITS ETF (DE)

2.1 Overview of existing share classes of the iShares STOXX Europe 600 Automobiles & Parts UCITS ETF (DE)

Share class name	iShares STOXX Europe 600 Automobiles & Parts UCITS ETF (DE) EUR (Dist)
German Securities Code (WKN) / ISIN	WKN A0Q4R2 / ISIN DE000A0Q4R28
Listed on a stock exchange	yes
Level of management fee	0.45% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	distributing
Transactions in securities lending and repurchase agreements	no

Share class name	iShares STOXX Europe 600 Automobiles & Parts UCITS ETF (DE) EUR (Acc)
German Securities Code (WKN) / ISIN	WKN A2QP4A / ISIN DE000A2QP4A8
Listed on a stock exchange	yes
Level of management fee	0.45% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	accumulating
Transactions in securities lending and repurchase agreements	no

2.2 Exchanges

The shares of the Sub-fund are admitted for (official) trading on the following stock exchanges:

Frankfurt Stock Exchange

Deutsche Börse AG
Börsenplatz 4
60485 Frankfurt/Main, Germany
Telephone: +49 (0) 69 - 211 - 0
Fax: +49 (0) 69 - 211 - 12005

BX Swiss

BX Swiss AG
Talstrasse 70
8001 Zürich, Schweiz
Telephone: +41 (0) 31 - 329 - 4040

The possibility of shares also being traded on other markets cannot be excluded.

In all other respects, the information under Point 9 of the General Part shall apply.

2.3 Designated Sponsors

Designated Sponsor(s) for listing on the Frankfurt Stock Exchange: can be checked under www.boerse-frankfurt.de

Market Maker for Listing on the BX Swiss: can be checked under www.bxswiss.com

In all other respects, the provisions under Point 9 of the General Part shall apply.

2.4 Licensor and licence agreement

2.4.1 Licensor and licence agreement

STOXX® Europe 600 Automobiles & Parts (hereinafter referred to as the "Underlying Index") is a registered trademark of STOXX Ltd. (hereinafter referred to as the "Licensor") and is thus protected against unauthorised use. The Licensor grants licences for the use of the Underlying Index as a benchmark for capital market products.

The Management Company has been granted the right to use the Underlying Index of the sub-fund.

2.4.2 Disclaimer of liability by the Licensor

The Sub-fund is not sponsored, promoted, sold or distributed by the Licensor. Aside from the licensing of the Underlying Index and the permitted use of the trademark in connection with naming the Sub-fund, the Licensor has no connection whatsoever with the Company.

The Licensor gives no guarantee of the accuracy or the completeness of the Underlying Index and the data contained therein. It assumes no liability for errors, omissions or interruptions to the Underlying Index. The Licensor gives no direct or indirect guarantee concerning the results achieved by the Company through the use of the Underlying Index or of the other data contained therein. The Licensor provides no direct or indirect guarantee and assumes no liability as regards the marketability, suitability or use for a specific purpose of the Underlying Index or the data contained therein.

Notwithstanding any of the above, the Licensor shall under no circumstances accept responsibility for any damages caused by or in connection with the Underlying Index or the Sub-fund it underlies. This disclaimer of liability also applies to indirect losses, special damages or consequential losses (including loss of profits) in relation to the Underlying Index or the Sub-fund it underlies, even if the Licensor has been made aware of the assertion of such a claim. No third party shall benefit from any contracts or agreements between the Licensor and the Company.

2.5 Launch date, term and investment objective of the Sub-fund

2.5.1 Launch date and term

The sub-fund was launched on 31 May 2011 and is of unlimited duration.

The investors own an equity interest in the assets of the Sub-fund as co-owners in proportion to the number of shares held.

2.5.2 Investment objective

The objective of the Sub-fund is to achieve the same investment performance as the Underlying Index. For this purpose, it shall track the Underlying Index as closely and as completely as possible.

The Investment Fund shall adopt a passive management strategy to achieve these objectives. In contrast to the active management approach, the Underlying Index is used as the basis for making decisions on the purchase and sale of assets and their respective weightings in the Sub-fund. The passive management strategy and the trading of shares on an exchange have the effect of limiting

management fees and transaction costs charged to the Sub-fund.

2.5.3 Achievability of the investment objective

One obstacle to replicating the performance of the Underlying Index is the fact that the Underlying Index is a statistical model based on certain assumptions. It is assumed, for example, that no transaction costs will be incurred when securities are purchased or sold. In addition, management fees and some tax payments are deducted from the Sub-fund share price, whereas they do not apply at all to the Underlying Index.

Detailed information about the Underlying Index may be obtained in printed or electronic form from the Company or from the Licensor.

NO ASSURANCE CAN BE GIVEN THAT THE INVESTMENT OBJECTIVES WILL ACTUALLY BE ACHIEVED.

2.6 Investment principles

2.6.1 General information

The Company may only acquire the following assets on behalf of the sub-fund:

- a) Securities pursuant to Section 193 KAGB,
 - b) Money market instruments pursuant to Section 194 KAGB,
 - c) Bank accounts pursuant to Section 195 KAGB,
 - d) Derivatives pursuant to Section 197 KAGB,
 - e) Other investment instruments pursuant to Section 198 KAGB,
 - f) Investment units pursuant to Section 196 KAGB, if they are oriented towards replicating the Underlying Index, while maintaining an appropriate risk diversification. Any restrictions on the eligibility result from the "Investment Conditions".
- The Underlying Index is recognised by BaFin and meets the following requirements of the KAGB:
- The composition of the index is sufficiently diversified.
 - The index represents an adequate benchmark for the market to which it relates.
 - The index is published in an appropriate manner.

In addition, and in accordance with Regulation (EU) 2016/1011 of the European Parliament and of the Council, the Licensor is entered with the European Securities and Markets Authority (ESMA) in a public register of administrators and benchmarks.

The ESMA public register of administrators and benchmarks can be consulted at www.esma.europa.eu.

In addition, the Company has drawn up a contingency plan in which it sets out measures it would take if the underlying index were to change significantly or cease to be provided.

Details of the equities included in the Underlying Index are also contained in the most recent annual financial statement or semi-annual report published for the sub-fund.

Because of the relationship between the Sub-fund and the Underlying Index and because certain issuer and investment limits may be exceeded as a result, the principle of risk diversification finds only limited application.

2.6.2 Description of the Index

The STOXX® Europe 600 Automobiles & Parts Index measures the performance of the European automotive and supplier sector according to the definition of the Industry Classification Benchmark (ICB) and is part of the STOXX® Europe 600 Index. This index includes 600 of the largest securities from 17 European countries. The index is reweighted quarterly, and its components are weighted according to the free-float market capitalisation and limited in order to maintain conformity with UCITS diversity standards. The free-float market capitalisation is the market value of all shares of a company in free circulation available at any time. Further details on the Underlying Index (including its components) are available on the website of the index provider at www.stoxx.com.

2.6.3 Effects of index adjustments

In order to replicate the Underlying Index as closely as possible, fund management must replicate all changes in the composition and weighting of the Underlying Index for the Sub-fund.

Fund management may, at its discretion, determine the timeframes in which sub-funds should be adjusted and whether an adjustment is appropriate in view of the investment objective.

2.6.4 Replication of the index and priority of direct duplication

To replicate the Underlying Index, only the following assets may be acquired:

- securities included in the Security Index or introduced to it following a change to the index (index securities),
- securities issued on the Underlying Index (index certificates),
- securities issued on individual stocks of the Underlying Index (certificates on individual securities),
- futures contracts on the Underlying Index (index futures),
- futures contracts on individual stocks of the Underlying Index (futures on individual securities),
- warrants on the Underlying Index (index warrants),
- warrants on individual stocks of the Underlying Index (warrants on individual securities), and
- Investment fund units pursuant to Section 9 of the Investment Conditions

In replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in index securities over investments in other assets listed above approved for use in replicating indices. The Underlying Index may only be replicated using assets that indirectly replicate the index for purposes of maintaining the investment restrictions listed in the second sentence under Point 2.7.2.

2.6.5 Duplication percentage

In order to replicate the Underlying Index, the duplication percentage must not be less than 95 percent of the total assets in the sub-fund as defined in Point 2.6.4. Futures contracts shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach in accordance with the regulation on risk

management and risk measurement for the use of derivatives, securities lending and repurchasing agreements in investment funds pursuant to KAGB (hereinafter referred to as "DerivateV"). The duplication percentage reflects the proportion of the above-named securities, certificates, futures contracts, warrants and investment fund units in the sub-fund which matches the weighting of the Underlying Index.

2.6.6 Expected tracking error

The tracking error is defined as the annualised standard deviation of the difference between the returns of a fund and the underlying index. The expected tracking error of the sub-fund refers to the net monthly total returns of the sub-fund and the Underlying Index over a period of three years.

This figure is often of particular interest to investors who trade regularly with index investment assets and hold shares in investment funds only a few days or weeks. For long-term investors with a longer investment horizon the tracking difference between the sub-fund and the underlying index over the intended investment horizon is usually more important. The tracking difference measures the actual difference between the returns of a fund and the returns of the index (i.e., how accurately a fund replicates its underlying index). The tracking error, however, measures the increase and decrease of the tracking difference (i.e. the volatility of the tracking difference). Investors should take both figures into consideration when evaluating an index investment fund.

The tracking error may depend on the sampling methodology selected by the index investment fund. In general, historical data provide evidence that synthetic replication generates a lower tracking error than physical replication, but the same data also often suggest that physical replication generates a lower tracking difference than synthetic replication.

The expected tracking error is based on the expected volatility of the deviations between the returns of the sub-fund and the returns of the Underlying Index. Liquidity management, transaction costs for index adjustments as well as differences between the sub-fund and the Underlying Index in the valuation methodology and the valuation date may also have an effect on the tracking error and the difference between the returns of the sub-fund and the Underlying Index. The effects can be positive or negative depending on the underlying circumstances.

The sub-fund may also have a tracking error as a result of withholding taxes payable by the sub-fund on investment income. The extent of the tracking error resulting from withholding taxes depends on various factors such as refund requests made by the sub-fund to different tax authorities or tax relief for the sub-fund under a double taxation agreement. The expected tracking error for the sub-fund is: 0.50 percent

Investors should note that these are only estimated values for the tracking error under normal market conditions and are therefore not to be understood as fixed limits.

2.7 Issuer and investment limits

2.7.1 Issuer limits

The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and the Investment Conditions.

The Company may invest up to 20 percent of the assets of the sub-fund in securities from a single issuer (debtor). The limit may be increased to up to 35 percent of the value of the sub-fund for securities from a single issuer (debtor). This increase in the limit up to 35 percent is permissible only for one individual issuer (debtor).

For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.

2.7.2 Investment restrictions

The Company may invest no more than 5 percent of the value of the sub-fund in bank accounts and money market instruments in accordance with the "General Investment Conditions". A minimum of 95 percent of the sub-fund must be invested in assets based on the Security Index, as defined in Point 2.6.4.

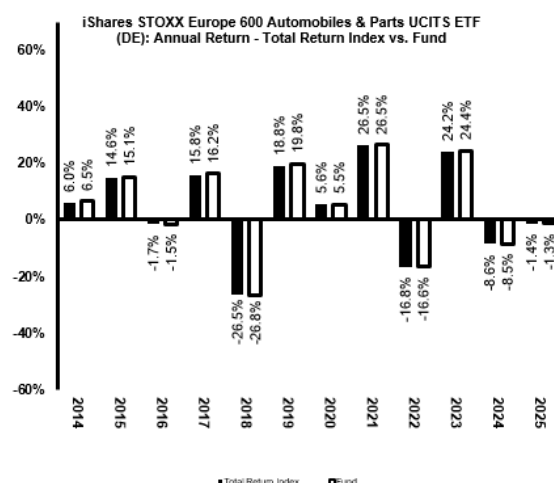
At least 85 percent of the value of the sub-fund shall on an ongoing basis be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds. In determining the volume of assets invested in the aforementioned shares, loans are to be deducted in proportion to the shares' portion of the value of all assets.

If the sub-fund is invested in investment fund units in accordance with Point 6.6, which are valued at least once a week, the Company will base its compliance with the equity fund capital participation quota by the sub-fund on the capital participation quotas published daily by the target investment funds and include them in the calculation of the equity fund capital participation quota for funds.

If in order to replicate the Underlying Index, the Company acquires index certificates or certificates on individual equities as defined in Point 2.6.4, no more than 10 percent of the value of sub-fund assets may be invested in such certificates as defined in Point 2.6.4, which are not admitted for official trading on a stock exchange or listed on a regulated market.

In order to replicate the Underlying Index the Company may invest up to 10 percent of the value of the sub-fund in units of other open-ended domestic and foreign investment funds (target funds) as defined in Point 6.6 of the General Part of this Sales Prospectus. In doing so, the Company may acquire on behalf of the sub-fund no more than 25 percent of the issued units or shares of a target fund. In addition, the target funds may in accordance with their Investment Conditions invest up to 10 percent in units or shares of other target funds. Please see 6.6 of the General Part of this Sales Prospectus for more information.

2.8 Performance



Source: STOXX Ltd./ BlackRock Asset Management Deutschland AG

The performance shown corresponds to the performance of the investment fund iShares STOXX Europe 600 Automobiles & Parts (DE) through 31 May 2011, which also replicated the STOXX Europe 600 Automobiles & Parts Index (price index) and whose assets were transferred at the end of the day on 31 May 2011 pursuant to Section 40 InvG in conjunction with Section 14 InvStG to the sub-fund iShares STOXX Europe 600 Automobiles & Parts UCITS ETF (DE) (formerly iShares STOXX Europe 600 Automobiles & Parts (DE)).

Past performance of the Sub-fund is not a predictor of future results for the Sub-fund.

2.9 Explanation of the risk profile of the Fund

The risk profile is based on a return and risk scale of 1 to 7, where 1 indicates a fairly low risk, but also typically lower returns, and 7 indicates a fairly high risk, but also typically higher returns.

The Fund is currently in category 5 because of the nature of its investments, which include the risks listed below.

The indicator is based on historical data and may not be a reliable indication of the future risk profile of the Fund. The risk category shown is not guaranteed and may change over time. The relevant current categorisation can be found in the Key Information Document. The lowest category cannot be equated with a risk-free investment. These factors may affect the value of investments or result in losses.

The investment risk is concentrated in specific sectors, countries, currencies or companies. Consequently, the Fund is more sensitive to localised economic, market, political, sustainability-related or regulatory events.

The value of equities and equity-related securities may be adversely affected by daily price movements on the stock exchanges. Other influencing factors include political and economic news, corporate earnings and significant corporate events.

Specific risks that are not captured in an appropriate manner by the risk indicator include counterparty risk.

2.10 Profile of a typical investor

The Fund is aimed at all types of investors seeking to improve or optimise their assets. Investors must be willing and able to accept significant fluctuations in the value of the shares and the possibility of a significant loss of capital. The Fund is suitable for medium- and long-term investment, though the Fund may also be suitable for shorter term exposure to the Underlying Index.

2.11 Management and miscellaneous expenses

The actual amount of the current fixed fee is listed in the "Overview of Existing Share Classes" in the Special Part of this Sales Prospectus.

3. iShares STOXX Europe 600 Banks UCITS ETF (DE)

3.1 Overview of existing share classes of the iShares STOXX Europe 600 Banks UCITS ETF (DE)

Share class name	iShares STOXX Europe 600 Banks UCITS ETF (DE)
German Securities Code (WKN) / ISIN	WKN A0F5UJ / ISIN DE000A0F5UJ7
Listed on a stock exchange	yes
Level of management fee	0.45% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	distributing
Transactions in securities lending and repurchase agreements	no

3.2 Exchanges

The shares of the Sub-fund are admitted for (official) trading on the following stock exchanges:

Frankfurt Stock Exchange

Deutsche Börse AG
Börsenplatz 4
60485 Frankfurt/Main, Germany
Telephone: +49 (0) 69 - 211 - 0
Fax: +49 (0) 69 - 211 - 12005

SIX Swiss Exchange

SIX Swiss Exchange AG
Pfingstweidstrasse 110
8021 Zurich, Switzerland
Telephone: +41 (0) 58 - 399 - 5454
Fax: +41 (0) 58 - 499 - 5455

Bolsa Mexicana de Valores

Bolsa Mexicana de Valores S.A.B. de C.V.
Av. Paseo de la Reforma 255 Juárez Cuauhtémoc 06500
Ciudad de México, D. F., Mexico
Telephone: +52 (0) 55 5342 - 9000
Fax: +52 (0) 555 726 6805

The possibility of shares also being traded on other markets cannot be excluded.

In all other respects, the information under Point 9 of the General Part shall apply.

3.3 Designated Sponsors

Designated Sponsor(s) for listing on the Frankfurt Stock Exchange: can be checked under www.boerse-frankfurt.de

Market Maker for Listing on the SIX Swiss Exchange: can be checked www.six-group.com

In all other respects, the provisions under Point 9 of the General Part shall apply.

3.4 Licensor and licence agreement

3.4.1 Licensor and licence agreement

STOXX® Europe 600 Banks (hereinafter referred to as the "Underlying Index") is a registered trademark of STOXX Ltd. (hereinafter referred to as the "Licensor") and is thus protected against unauthorised use. The Licensor grants licences for the use of the Underlying Index as a benchmark for capital market products.

The Management Company has been granted the right to use the Underlying Index of the sub-fund.

3.4.2 Disclaimer of liability by the Licensor

The Sub-fund is not sponsored, promoted, sold or distributed by the Licensor. Aside from the licensing of the Underlying Index and the permitted use of the trademark in connection with naming the Sub-fund, the Licensor has no connection whatsoever with the Company.

The Licensor gives no guarantee of the accuracy or the completeness of the Underlying Index and the data contained therein. It assumes no liability for errors, omissions or interruptions to the Underlying Index. The Licensor gives no direct or indirect guarantee concerning the results achieved by the Company through the use of the Underlying Index or of the other data contained therein. The Licensor provides no direct or indirect guarantee and assumes no liability as regards the marketability, suitability or use for a specific purpose of the Underlying Index or the data contained therein.

Notwithstanding any of the above, the Licensor shall under no circumstances accept responsibility for any damages caused by or in connection with the Underlying Index or the Sub-fund it underlies. This disclaimer of liability also applies to indirect losses, special damages or consequential losses (including loss of profits) in relation to the Underlying Index or the Sub-fund it underlies, even if the Licensor has been made aware of the assertion of such a claim. No third party shall benefit from any contracts or agreements between the Licensor and the Company.

3.5 Launch date, term and investment objective of the Sub-fund

3.5.1 Launch date and term

The sub-fund was launched on 31 May 2011 and is of unlimited duration.

The investors own an equity interest in the assets of the Sub-fund as co-owners in proportion to the number of shares held.

3.5.2 Investment objective

The objective of the Sub-fund is to achieve the same investment performance as the Underlying Index. For this purpose, it shall track the Underlying Index as closely and as completely as possible.

The Investment Fund shall adopt a passive management strategy to achieve these objectives. In contrast to the active management approach, the Underlying Index is used as the basis for making decisions on the purchase and sale of assets and their respective weightings in the Sub-fund. The passive management strategy and the trading of shares on an exchange have the effect of limiting

management fees and transaction costs charged to the Sub-fund.

3.5.3 Achievability of the investment objective

One obstacle to replicating the performance of the Underlying Index is the fact that the Underlying Index is a statistical model based on certain assumptions. It is assumed, for example, that no transaction costs will be incurred when securities are purchased or sold. In addition, management fees and some tax payments are deducted from the Sub-fund share price, whereas they do not apply at all to the Underlying Index.

Detailed information about the Underlying Index may be obtained in printed or electronic form from the Company or from the Licensor.

NO ASSURANCE CAN BE GIVEN THAT THE INVESTMENT OBJECTIVES WILL ACTUALLY BE ACHIEVED.

3.6 Investment principles

3.6.1 General information

The Company may only acquire the following assets on behalf of the sub-fund:

- a) Securities pursuant to Section 193 KAGB,
- b) Money market instruments pursuant to Section 194 KAGB,
- c) Bank accounts pursuant to Section 195 KAGB,
- d) Derivatives pursuant to Section 197 KAGB,
- e) Other investment instruments pursuant to Section 198 KAGB,
- f) Investment units pursuant to Section 196 KAGB, if they are oriented towards replicating the Underlying Index, while maintaining an appropriate risk diversification. Any restrictions on the eligibility result from the "Investment Conditions".

The Underlying Index is recognised by BaFin and meets the following requirements of the KAGB:

- The composition of the index is sufficiently diversified.
- The index represents an adequate benchmark for the market to which it relates.
- The index is published in an appropriate manner.

In addition, and in accordance with Regulation (EU) 2016/1011 of the European Parliament and of the Council (Benchmark Regulation), the Licensor is entered with the European Securities and Markets Authority (ESMA) in a public register of administrators and benchmarks. At the time of this prospectus the Underlying Index is subject to the Benchmark Regulation.

The ESMA public register of administrators and benchmarks can be consulted at www.esma.europa.eu.

In addition, the Company has drawn up a contingency plan in which it sets out measures it would take if the underlying index were to change significantly or cease to be provided.

Details of the equities included in the Underlying Index are also contained in the most recent annual financial statement or semi-annual report published for the sub-fund.

Because of the relationship between the Sub-fund and the Underlying Index and because certain issuer and investment limits may be exceeded as a result, the principle of risk diversification finds only limited application.

3.6.2 Description of the Index

The STOXX® Europe 600 Banks Index measures the performance of the European banking sector according to the definition of the Industry Classification Benchmark (ICB) and is part of the STOXX® Europe 600 Index. This index includes 600 of the largest securities from 17 European countries. The index is reweighted quarterly, and its components are weighted according to the free-float market capitalisation and limited in order to maintain conformity with UCITS diversity standards. The free-float market capitalisation is the market value of all shares of a company in free circulation available at any time. Further details on the Underlying Index (including its components) are available on the website of the index provider at www.stoxx.com.

3.6.3 Effects of index adjustments

In order to replicate the Underlying Index as closely as possible, fund management must replicate all changes in the composition and weighting of the Underlying Index for the Sub-fund.

Fund management may, at its discretion, determine the timeframes in which the sub-fund will be adjusted and whether an adjustment is appropriate in view of the investment objective.

3.6.4 Replication of the index and priority of direct duplication

To replicate the Underlying Index, only the following assets may be acquired:

- securities included in the Security Index or introduced to it following a change to the index (index securities),
- securities issued on the Underlying Index (index certificates),
- securities issued on individual stocks of the Underlying Index (certificates on individual securities),
- futures contracts on the Underlying Index (index futures),
- futures contracts on individual stocks of the Underlying Index (futures on individual securities),
- warrants on the Underlying Index (index warrants),
- warrants on individual stocks of the Underlying Index (warrants on individual securities), and
- Investment fund units pursuant to Section 9 of the Investment Conditions

In replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in index securities over investments in other assets listed above approved for use in replicating indices. The Underlying Index may only be replicated using assets that indirectly replicate the index for purposes of maintaining the investment restrictions listed in the second sentence under Point 3.7.2.

3.6.5 Duplication percentage

In order to replicate the Underlying Index, the duplication percentage must not be less than 95 percent of the total assets in the sub-fund as defined in Point 3.6.4. Futures contracts shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach in accordance with the regulation on risk

management and risk measurement for the use of derivatives, securities lending and repurchasing agreements in investment funds pursuant to KAGB (hereinafter referred to as "DerivateV"). The duplication percentage reflects the proportion of the above-named securities, certificates, futures contracts, warrants and investment fund units in the sub-fund which matches the weighting of the Underlying Index.

3.6.6 Expected tracking error

The tracking error is defined as the annualised standard deviation of the difference between the returns of a fund and the underlying index. The expected tracking error of the sub-fund refers to the net monthly total returns of the sub-fund and the Underlying Index over a period of three years.

This figure is often of particular interest to investors who trade regularly with index investment assets and hold shares in investment funds only a few days or weeks. For long-term investors with a longer investment horizon the tracking difference between the sub-fund and the underlying index over the intended investment horizon is usually more important. The tracking difference measures the actual difference between the returns of a fund and the returns of the index (i.e., how accurately a fund replicates its underlying index). The tracking error, however, measures the increase and decrease of the tracking difference (i.e. the volatility of the tracking difference). Investors should take both figures into consideration when evaluating an index investment fund.

The tracking error may depend on the sampling methodology selected by the index investment fund. In general, historical data provide evidence that synthetic replication generates a lower tracking error than physical replication, but the same data also often suggest that physical replication generates a lower tracking difference than synthetic replication.

The expected tracking error is based on the expected volatility of the deviations between the returns of the sub-fund and the returns of the Underlying Index. Liquidity management, transaction costs for index adjustments as well as differences between the sub-fund and the Underlying Index in the valuation methodology and the valuation date may also have an effect on the tracking error and the difference between the returns of the sub-fund and the Underlying Index. The effects can be positive or negative depending on the underlying circumstances.

The sub-fund may also have a tracking error as a result of withholding taxes payable by the sub-fund on investment income. The extent of the tracking error resulting from withholding taxes depends on various factors such as refund requests made by the sub-fund to different tax authorities or tax relief for the sub-fund under a double taxation agreement. The expected tracking error for the sub-fund is: 0.50 percent

Investors should note that these are only estimated values for the tracking error under normal market conditions and are therefore not to be understood as fixed limits.

3.7 Issuer and investment limits

3.7.1 Issuer limits

The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and the Investment Conditions.

The Company may invest up to 20 percent of the assets of the sub-fund in securities from a single issuer (debtor). The limit may be increased to up to 35 percent of the value of the sub-fund for securities from a single issuer (debtor). This increase in the limit up to 35 percent is permissible only for one individual issuer (debtor).

For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.

3.7.2 Investment restrictions

The Company may invest no more than 5 percent of the value of the sub-fund in bank accounts and money market instruments in accordance with the "General Investment Conditions". A minimum of 95 percent of the sub-fund must be invested in assets based on the Security Index, as defined in Point 3.6.4.

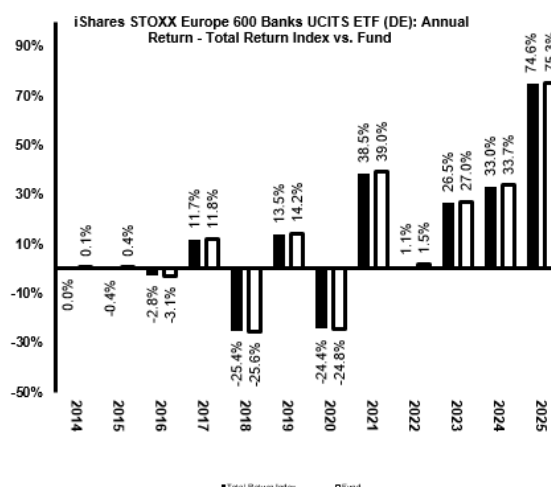
At least 85 percent of the value of the sub-fund shall on an ongoing basis be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds. In determining the volume of assets invested in the aforementioned shares, loans are to be deducted in proportion to the shares' portion of the value of all assets.

If the sub-fund is invested in investment fund units in accordance with Point 6.6, which are valued at least once a week, the Company will base its compliance with the equity fund capital participation quota by the sub-fund on the capital participation quotas published daily by the target investment funds and include them in the calculation of the equity fund capital participation quota for funds.

If in order to replicate the Underlying Index, the Company acquires index certificates or certificates on individual equities as defined in Point 3.6.4, no more than 10 percent of the value of sub-fund assets may be invested in such certificates as defined in Point 3.6.4, which are not admitted for official trading on a stock exchange or listed on a regulated market.

In order to replicate the Underlying Index the Company may invest up to 10 percent of the value of the sub-fund in units of other open-ended domestic and foreign investment funds (target funds) as defined in Point 6.6 of the General Part of this Sales Prospectus. In doing so, the Company may acquire on behalf of the sub-fund no more than 25 percent of the issued units or shares of a target fund. In addition, the target funds may in accordance with their Investment Conditions invest up to 10 percent in units or shares of other target funds. Please see 6.6 of the General Part of this Sales Prospectus for more information.

3.8 Performance



Source: STOXX Ltd./ BlackRock Asset Management Deutschland AG

The performance shown corresponds to the performance of the investment fund iShares STOXX Europe 600 Banks (DE) through 31 May 2011, which also replicated the STOXX Europe 600 Banks Index (price index) and whose assets were transferred at the end of the day on 31 May 2011 pursuant to Section 40 InvStG in conjunction with Section 14 InvG to the sub-fund iShares STOXX Europe 600 Banks UCITS ETF (DE) (formerly iShares STOXX Europe 600 Banks (DE)).

Past performance of the Sub-fund is not a predictor of future results for the Sub-fund.

3.9 Explanation of the risk profile of the Fund

The risk profile is based on a return and risk scale of 1 to 7, where 1 indicates a fairly low risk, but also typically lower returns, and 7 indicates a fairly high risk, but also typically higher returns.

The Fund is currently in category 5 because of the nature of its investments, which include the risks listed below.

The indicator is based on historical data and may not be a reliable indication of the future risk profile of the Fund. The risk category shown is not guaranteed and may change over time. The relevant current categorisation can be found in the Key Information Document. The lowest category cannot be equated with a risk-free investment. These factors may affect the value of investments or result in losses.

The investment risk is concentrated in specific sectors, countries, currencies or companies. Consequently, the Fund is more sensitive to localised economic, market, political, sustainability-related or regulatory events.

The value of equities and equity-related securities may be adversely affected by daily price movements on the stock exchanges. Other influencing factors include political and economic news, corporate earnings and significant corporate events.

Specific risks that are not captured in an appropriate manner by the risk indicator include counterparty risk.

3.10 Profile of a typical investor

The Fund is aimed at all types of investors seeking to improve or optimise their assets. Investors must be willing and able to accept significant fluctuations in the value of the shares and the possibility of a significant loss of capital. The Fund is suitable for medium- and long-term investment, though the Fund may also be suitable for shorter term exposure to the Underlying Index.

3.11 Management and miscellaneous expenses

The actual amount of the fixed fee is listed in the "Overview of existing share classes" in the Special Part of the Sales Prospectus.

4. iShares STOXX Europe 600 Basic Resources UCITS ETF (DE)

4.1 Overview of existing share classes of the iShares STOXX Europe 600 Basic Resources UCITS ETF (DE)

Share class name	iShares STOXX Europe 600 Basic Resources UCITS ETF (DE)
German Securities Code (WKN) / ISIN	WKN A0F5UK / ISIN DE000A0F5UK5
Listed on a stock exchange	yes
Level of management fee	0.45% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	distributing
Transactions in securities lending and repurchase agreements	no

4.2 Exchanges

The shares of the Sub-fund are admitted for (official) trading on the following stock exchanges:

Frankfurt Stock Exchange

Deutsche Börse AG
Börsenplatz 4
60485 Frankfurt/Main, Germany
Telephone: +49 (0) 69 - 211 - 0
Fax: +49 (0) 69 - 211 - 12005

BX Swiss

BX Swiss AG
Talstrasse 70
8001 Zürich, Schweiz
Telephone: +41 (0) 31 - 329 - 4040

The possibility of shares also being traded on other markets cannot be excluded.

In all other respects, the information under Point 9 of the General Part shall apply.

4.3 Designated Sponsors

Designated Sponsor(s) for listing on the Frankfurt Stock Exchange: can be checked under www.boerse-frankfurt.de

Market Maker for Listing on the BX Swiss: can be checked under www.bxswiss.com

In all other respects, the provisions under Point 9 of the General Part shall apply.

4.4 Licensor and licence agreement

4.4.1 Licensor and licence agreement

STOXX® Europe 600 Basic Resources (hereinafter referred to as the "Underlying Index") is a registered trademark of STOXX Ltd. (hereinafter referred to as the "Licensor") and is thus protected against unauthorised use. The Licensor grants licences for the use of the Underlying Index as a benchmark for capital market products.

The Management Company has been granted the right to use the Underlying Index of the sub-fund.

4.4.2 Disclaimer of liability by the Licensor

The Sub-fund is not sponsored, promoted, sold or distributed by the Licensor. Aside from the licensing of the Underlying Index and the permitted use of the trademark in connection with naming the Sub-fund, the Licensor has no connection whatsoever with the Company.

The Licensor gives no guarantee of the accuracy or the completeness of the Underlying Index and the data contained therein. It assumes no liability for errors, omissions or interruptions to the Underlying Index. The Licensor gives no direct or indirect guarantee concerning the results achieved by the Company through the use of the Underlying Index or of the other data contained therein. The Licensor provides no direct or indirect guarantee and assumes no liability as regards the marketability, suitability or use for a specific purpose of the Underlying Index or the data contained therein.

Notwithstanding any of the above, the Licensor shall under no circumstances accept responsibility for any damages caused by or in connection with the Underlying Index or the Sub-fund it underlies. This disclaimer of liability also applies to indirect losses, special damages or consequential losses (including loss of profits) in relation to the Underlying Index or the Sub-fund it underlies, even if the Licensor has been made aware of the assertion of such a claim. No third party shall benefit from any contracts or agreements between the Licensor and the Company.

4.5 Launch date, term and investment objective of the Sub-fund

4.5.1 Launch date and term

The sub-fund was launched on 31 May 2011 and is of unlimited duration.

The investors own an equity interest in the assets of the Sub-fund as co-owners in proportion to the number of shares held.

4.5.2 Investment objective

The objective of the Sub-fund is to achieve the same investment performance as the Underlying Index. For this purpose, it shall track the Underlying Index as closely and as completely as possible.

The Investment Fund shall adopt a passive management strategy to achieve these objectives. In contrast to the active management approach, the Underlying Index is used as the basis for making decisions on the purchase and sale of assets and their respective weightings in the Sub-fund. The passive management strategy and the trading of shares on an exchange have the effect of limiting

management fees and transaction costs charged to the Sub-fund.

4.5.3 Achievability of the investment objective

One obstacle to replicating the performance of the Underlying Index is the fact that the Underlying Index is a statistical model based on certain assumptions. It is assumed, for example, that no transaction costs will be incurred when securities are purchased or sold. In addition, management fees and some tax payments are deducted from the Sub-fund share price, whereas they do not apply at all to the Underlying Index.

Detailed information about the Underlying Index may be obtained in printed or electronic form from the Company or from the Licensor.

NO ASSURANCE CAN BE GIVEN THAT THE INVESTMENT OBJECTIVES WILL ACTUALLY BE ACHIEVED.

4.6 Investment principles

4.6.1 General information

The Company may only acquire the following assets on behalf of the sub-fund:

- a) Securities pursuant to Section 193 KAGB,
 - b) Money market instruments pursuant to Section 194 KAGB,
 - c) Bank accounts pursuant to Section 195 KAGB,
 - d) Derivatives pursuant to Section 197 KAGB,
 - e) Other investment instruments pursuant to Section 198 KAGB,
 - f) Investment units pursuant to Section 196 KAGB, if they are oriented towards replicating the Underlying Index, while maintaining an appropriate risk diversification. Any restrictions on the eligibility result from the "Investment Conditions".
- The Underlying Index is recognised by BaFin and meets the following requirements of the KAGB:
- The composition of the index is sufficiently diversified.
 - The index represents an adequate benchmark for the market to which it relates.
 - The index is published in an appropriate manner.

In addition, and in accordance with Regulation (EU) 2016/1011 of the European Parliament and of the Council, the Licensor is entered with the European Securities and Markets Authority (ESMA) in a public register of administrators and benchmarks.

The ESMA public register of administrators and benchmarks can be consulted at www.esma.europa.eu.

In addition, the Company has drawn up a contingency plan in which it sets out measures it would take if the underlying index were to change significantly or cease to be provided.

Details of the equities included in the Underlying Index are also contained in the most recent annual financial statement or semi-annual report published for the sub-fund.

Because of the relationship between the Sub-fund and the Underlying Index and because certain issuer and investment limits may be exceeded as a result, the principle of risk diversification finds only limited application.

4.6.2 Description of the Index

The STOXX® Europe 600 Basic Resources Index measures the performance of the European commodities sector according to the definition of the Industry Classification Benchmark (ICB) and is part of the STOXX® Europe 600 Index. This index includes 600 of the largest securities from 17 European countries. The index is reweighted quarterly, and its components are weighted according to the free-float market capitalisation and limited in order to maintain conformity with UCITS diversity standards. The free-float market capitalisation is the market value of all shares of a company in free circulation available at any time. Further details on the Underlying Index (including its components) are available on the website of the index provider at www.stoxx.com.

4.6.3 Effects of index adjustments

In order to replicate the Underlying Index as closely as possible, fund management must replicate all changes in the composition and weighting of the Underlying Index for the Sub-fund.

Fund management may, at its discretion, determine the timeframes in which sub-funds should be adjusted and whether an adjustment is appropriate in view of the investment objective.

4.6.4 Replication of the index and priority of direct duplication

To replicate the Underlying Index, only the following assets may be acquired:

- securities included in the Security Index or introduced to it following a change to the index (index securities),
- securities issued on the Underlying Index (index certificates),
- securities issued on individual stocks of the Underlying Index (certificates on individual securities),
- futures contracts on the Underlying Index (index futures),
- futures contracts on individual stocks of the Underlying Index (futures on individual securities),
- warrants on the Underlying Index (index warrants),
- warrants on individual stocks of the Underlying Index (warrants on individual securities), and
- Investment fund units pursuant to Section 9 of the Investment Conditions

In replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in index securities over investments in other assets listed above approved for use in replicating indices. The Underlying Index may only be replicated using assets that indirectly replicate the index for purposes of maintaining the investment restrictions listed in the second sentence under Point 4.7.2.

4.6.5 Duplication percentage

In order to replicate the Underlying Index, the duplication percentage must not be less than 95 percent of the total assets in the sub-fund as defined in Point 4.6.4. Futures contracts shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach in accordance with the regulation on risk

management and risk measurement for the use of derivatives, securities lending and repurchasing agreements in investment funds pursuant to KAGB (hereinafter referred to as "DerivateV"). The duplication percentage reflects the proportion of the above-named securities, certificates, futures contracts, warrants and investment fund units in the sub-fund which matches the weighting of the Underlying Index.

4.6.6 Expected tracking error

The tracking error is defined as the annualised standard deviation of the difference between the returns of a fund and the underlying index. The expected tracking error of the sub-fund refers to the net monthly total returns of the sub-fund and the Underlying Index over a period of three years.

This figure is often of particular interest to investors who trade regularly with index investment assets and hold shares in investment funds only a few days or weeks. For long-term investors with a longer investment horizon the tracking difference between the sub-fund and the underlying index over the intended investment horizon is usually more important. The tracking difference measures the actual difference between the returns of a fund and the returns of the index (i.e., how accurately a fund replicates its underlying index). The tracking error, however, measures the increase and decrease of the tracking difference (i.e. the volatility of the tracking difference). Investors should take both figures into consideration when evaluating an index investment fund.

The tracking error may depend on the sampling methodology selected by the index investment fund. In general, historical data provide evidence that synthetic replication generates a lower tracking error than physical replication, but the same data also often suggest that physical replication generates a lower tracking difference than synthetic replication.

The expected tracking error is based on the expected volatility of the deviations between the returns of the sub-fund and the returns of the Underlying Index. Liquidity management, transaction costs for index adjustments as well as differences between the sub-fund and the Underlying Index in the valuation methodology and the valuation date may also have an effect on the tracking error and the difference between the returns of the sub-fund and the Underlying Index. The effects can be positive or negative depending on the underlying circumstances.

The sub-fund may also have a tracking error as a result of withholding taxes payable by the sub-fund on investment income. The extent of the tracking error resulting from withholding taxes depends on various factors such as refund requests made by the sub-fund to different tax authorities or tax relief for the sub-fund under a double taxation agreement. The expected tracking error for the sub-fund is: 0.30 percent

Investors should note that these are only estimated values for the tracking error under normal market conditions and are therefore not to be understood as fixed limits.

4.7 Issuer and investment limits

4.7.1 Issuer limits

The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and the Investment Conditions.

The Company may invest up to 20 percent of the assets of the sub-fund in securities from a single issuer (debtor). The limit may be increased to up to 35 percent of the value of the sub-fund for securities from a single issuer (debtor). This increase in the limit up to 35 percent is permissible only for one individual issuer (debtor).

For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.

4.7.2 Investment restrictions

The Company may invest no more than 5 percent of the value of the sub-fund in bank accounts and money market instruments in accordance with the "General Investment Conditions". A minimum of 95 percent of the sub-fund must be invested in assets based on the Security Index, as defined in Point 4.6.4.

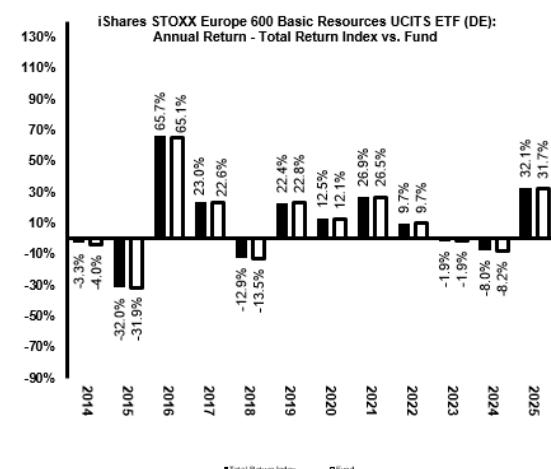
At least 85 percent of the value of the sub-fund shall on an ongoing basis be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds. In determining the volume of assets invested in the aforementioned shares, loans are to be deducted in proportion to the shares' portion of the value of all assets.

If the sub-fund is invested in investment fund units in accordance with Point 6.6, which are valued at least once a week, the Company will base its compliance with the equity fund capital participation quota by the sub-fund on the capital participation quotas published daily by the target investment funds and include them in the calculation of the equity fund capital participation quota for funds.

If in order to replicate the Underlying Index, the Company acquires index certificates or certificates on individual equities as defined in Point 4.6.4, no more than 10 percent of the value of sub-fund assets may be invested in such certificates as defined in Point 4.6.4, which are not admitted for official trading on a stock exchange or listed on a regulated market.

In order to replicate the Underlying Index the Company may invest up to 10 percent of the value of the sub-fund in units of other open-ended domestic and foreign investment funds (target funds) as defined in Point 6.6 of the General Part of this Sales Prospectus. In doing so, the Company may acquire on behalf of the sub-fund no more than 25 percent of the issued units or shares of a target fund. In addition, the target funds may in accordance with their Investment Conditions invest up to 10 percent in units or shares of other target funds. Please see 6.6 of the General Part of this Sales Prospectus for more information.

4.8 Performance



Source: STOXX Ltd./ BlackRock Asset Management Deutschland AG

The performance shown corresponds to the performance of the investment fund iShares STOXX Europe 600 Basic Resources (DE) through 31 May 2011, which also replicated the STOXX Europe 600 Basic Resources Index (price index) and whose assets were transferred at the end of the day on 31 May 2011 pursuant to Section 40 InvG in conjunction with Section 14 InvStG to the sub-fund iShares STOXX Europe 600 Basic Resources UCITS ETF (DE) (formerly iShares STOXX Europe 600 Basic Resources (DE)).

Past performance of the Sub-fund is not a predictor of future results for the Sub-fund.

4.9 Explanation of the risk profile of the Fund

The risk profile is based on a return and risk scale of 1 to 7, where 1 indicates a fairly low risk, but also typically lower returns, and 7 indicates a fairly high risk, but also typically higher returns.

The Fund is currently in category 5 because of the nature of its investments, which include the risks listed below.

The indicator is based on historical data and may not be a reliable indication of the future risk profile of the Fund. The risk category shown is not guaranteed and may change over time. The relevant current categorisation can be found in the Key Information Document. The lowest category cannot be equated with a risk-free investment. These factors may affect the value of investments or result in losses.

The investment risk is concentrated in specific sectors, countries, currencies or companies. Consequently, the Fund is more sensitive to localised economic, market, political, sustainability-related or regulatory events.

The value of equities and equity-related securities may be adversely affected by daily price movements on the stock exchanges. Other influencing factors include political and economic news, corporate earnings and significant corporate events.

Investments in commodities are subject to global demand, tax laws, government regulations, and changes to price and supply.

Specific risks that are not captured in an appropriate manner by the risk indicator include counterparty risk.

4.10 Profile of a typical investor

The Fund is aimed at all types of investors seeking to improve or optimise their assets. Investors must be willing and able to accept significant fluctuations in the value of the shares and the possibility of a significant loss of capital. The Fund is suitable for medium- and long-term investment, though the Fund may also be suitable for shorter term exposure to the Underlying Index.

4.11 Management and miscellaneous expenses

The actual amount of the fixed fee is listed in the "Overview of existing share classes" in the Special Part of the Sales Prospectus.

5. iShares STOXX Europe 600 Chemicals UCITS ETF (DE)

5.1 Overview of existing share classes of the iShares STOXX Europe 600 Chemicals UCITS ETF (DE)

Share class name	iShares STOXX Europe 600 Chemicals UCITS ETF (DE)
German Securities Code (WKN) / ISIN	WKN A0H08E / ISIN DE000A0H08E0
Listed on a stock exchange	yes
Level of management fee	0.45% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	distributing
Transactions in securities lending and repurchase agreements	no

5.2 Exchanges

The shares of the Sub-fund are admitted for (official) trading on the following stock exchanges:

Frankfurt Stock Exchange

Deutsche Börse AG
Börsenplatz 4
60485 Frankfurt/Main, Germany
Telephone: +49 (0) 69 - 211 - 0
Fax: +49 (0) 69 - 211 - 12005

BX Swiss

BX Swiss AG
Talstrasse 70
8001 Zürich, Schweiz
Telephone: +41 (0) 31 - 329 - 4040

The possibility of shares also being traded on other markets cannot be excluded.

In all other respects, the information under Point 9 of the General Part shall apply.

5.3 Designated Sponsors

Designated Sponsor(s) for listing on the Frankfurt Stock Exchange: can be checked under www.boerse-frankfurt.de

Market Maker for Listing on the BX Swiss: can be checked under www.bxswiss.com

In all other respects, the presentations under Point 9 of the General Part shall apply.

5.4 Licensor and licence agreement

5.4.1 Licensor and licence agreement

STOXX® Europe 600 Chemicals (hereinafter referred to as the "Underlying Index") is a registered trademark of STOXX Ltd. (hereinafter referred to as the "Licensor") and is thus protected against unauthorised use. The Licensor grants licences for the use of the Underlying Index as a benchmark for capital market products.

The Management Company has been granted the right to use the Underlying Index of the sub-fund.

5.4.2 Disclaimer of liability by the Licensor

The Sub-fund is not sponsored, promoted, sold or distributed by the Licensor. Aside from the licensing of the Underlying Index and the permitted use of the trademark in connection with naming the Sub-fund, the Licensor has no connection whatsoever with the Company.

The Licensor gives no guarantee of the accuracy or the completeness of the Underlying Index and the data contained therein. It assumes no liability for errors, omissions or interruptions to the Underlying Index. The Licensor gives no direct or indirect guarantee concerning the results achieved by the Company through the use of the Underlying Index or of the other data contained therein. The Licensor provides no direct or indirect guarantee and assumes no liability as regards the marketability, suitability or use for a specific purpose of the Underlying Index or the data contained therein.

Notwithstanding any of the above, the Licensor shall under no circumstances accept responsibility for any damages caused by or in connection with the Underlying Index or the Sub-fund it underlies. This disclaimer of liability also applies to indirect losses, special damages or consequential losses (including loss of profits) in relation to the Underlying Index or the Sub-fund it underlies, even if the Licensor has been made aware of the assertion of such a claim. No third party shall benefit from any contracts or agreements between the Licensor and the Company.

5.5 Launch date, term and investment objective of the Sub-fund

5.5.1 Launch date and term

The sub-fund was launched on 31 May 2011 and is of unlimited duration.

The investors own an equity interest in the assets of the Sub-fund as co-owners in proportion to the number of shares held.

5.5.2 Investment objective

The objective of the Sub-fund is to achieve the same investment performance as the Underlying Index. For this purpose, it shall track the Underlying Index as closely and as completely as possible.

The Investment Fund shall adopt a passive management strategy to achieve these objectives. In contrast to the active management approach, the Underlying Index is used as the basis for making decisions on the purchase and sale of assets and their respective weightings in the Sub-fund. The passive management strategy and the trading of shares on an exchange have the effect of limiting

management fees and transaction costs charged to the Sub-fund.

5.5.3 Achievability of the investment objective

One obstacle to replicating the performance of the Underlying Index is the fact that the Underlying Index is a statistical model based on certain assumptions. It is assumed, for example, that no transaction costs will be incurred when securities are purchased or sold. In addition, management fees and some tax payments are deducted from the Sub-fund share price, whereas they do not apply at all to the Underlying Index.

Detailed information about the Underlying Index may be obtained in printed or electronic form from the Company or from the Licensor.

NO ASSURANCE CAN BE GIVEN THAT THE INVESTMENT OBJECTIVES WILL ACTUALLY BE ACHIEVED.

5.6 Investment principles

5.6.1 General information

The Company may only acquire the following assets on behalf of the sub-fund:

- a) Securities pursuant to Section 193 KAGB,
 - b) Money market instruments pursuant to Section 194 KAGB,
 - c) Bank accounts pursuant to Section 195 KAGB,
 - d) Derivatives pursuant to Section 197 KAGB,
 - e) Other investment instruments pursuant to Section 198 KAGB,
 - f) Investment units pursuant to Section 196 KAGB, if they are oriented towards replicating the Underlying Index, while maintaining an appropriate risk diversification. Any restrictions on the eligibility result from the "Investment Conditions".
- The Underlying Index is recognised by BaFin and meets the following requirements of the KAGB:
- The composition of the index is sufficiently diversified.
 - The index represents an adequate benchmark for the market to which it relates.
 - The index is published in an appropriate manner.

In addition, and in accordance with Regulation (EU) 2016/1011 of the European Parliament and of the Council, the Licensor is entered with the European Securities and Markets Authority (ESMA) in a public register of administrators and benchmarks.

The ESMA public register of administrators and benchmarks can be consulted at www.esma.europa.eu.

In addition, the Company has drawn up a contingency plan in which it sets out measures it would take if the underlying index were to change significantly or cease to be provided.

Details of the equities included in the Underlying Index are also contained in the most recent annual financial statement or semi-annual report published for the sub-fund.

Because of the relationship between the Sub-fund and the Underlying Index and because certain issuer and investment limits may be exceeded as a result, the principle of risk diversification finds only limited application.

5.6.2 Description of the Index

The STOXX® Europe 600 Chemicals Index measures the performance of the European chemical sector according to the definition of the Industry Classification Benchmark (ICB) and is part of the STOXX® Europe 600 Index. This index includes 600 of the largest securities from 17 European countries. The index is reweighted quarterly, and its components are weighted according to the free-float market capitalisation and limited in order to maintain conformity with UCITS diversity standards. The free-float market capitalisation is the market value of all shares of a company in free circulation available at any time. Further details on the Underlying Index (including its components) are available on the website of the index provider at www.stoxx.com.

5.6.3 Effects of index adjustments

In order to replicate the Underlying Index as closely as possible, fund management must replicate all changes in the composition and weighting of the Underlying Index for the Sub-fund.

Fund management may, at its discretion, determine the timeframes in which sub-funds should be adjusted and whether an adjustment is appropriate in view of the investment objective.

5.6.4 Replication of the index and priority of direct duplication

To replicate the Underlying Index, only the following assets may be acquired:

- securities included in the Security Index or introduced to it following a change to the index (index securities),
- securities issued on the Underlying Index (index certificates),
- securities issued on individual stocks of the Underlying Index (certificates on individual securities),
- futures contracts on the Underlying Index (index futures),
- futures contracts on individual stocks of the Underlying Index (futures on individual securities),
- warrants on the Underlying Index (index warrants),
- warrants on individual stocks of the Underlying Index (warrants on individual securities), and
- Investment fund units pursuant to Section 9 of the Investment Conditions

In replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in index securities over investments in other assets listed above approved for use in replicating indices. The Underlying Index may only be replicated using assets that indirectly replicate the index for purposes of maintaining the investment restrictions listed in the second sentence under Point 5.7.2.

5.6.5 Duplication percentage

In order to replicate the Underlying Index, the duplication percentage must not be less than 95 percent of the total assets in the sub-fund as defined in Point 5.6.4. Futures contracts shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach in accordance with the regulation on risk

management and risk measurement for the use of derivatives, securities lending and repurchasing agreements in investment funds pursuant to KAGB (hereinafter referred to as "DerivateV"). The duplication percentage reflects the proportion of the above-named securities, certificates, futures contracts, warrants and investment fund units in the sub-fund which matches the weighting of the Underlying Index.

5.6.6 Expected tracking error

The tracking error is defined as the annualised standard deviation of the difference between the returns of a fund and the underlying index. The expected tracking error of the sub-fund refers to the net monthly total returns of the sub-fund and the Underlying Index over a period of three years.

This figure is often of particular interest to investors who trade regularly with index investment assets and hold shares in investment funds only a few days or weeks. For long-term investors with a longer investment horizon the tracking difference between the sub-fund and the underlying index over the intended investment horizon is usually more important. The tracking difference measures the actual difference between the returns of a fund and the returns of the index (i.e., how accurately a fund replicates its underlying index). The tracking error, however, measures the increase and decrease of the tracking difference (i.e. the volatility of the tracking difference). Investors should take both figures into consideration when evaluating an index investment fund.

The tracking error may depend on the sampling methodology selected by the index investment fund. In general, historical data provide evidence that synthetic replication generates a lower tracking error than physical replication, but the same data also often suggest that physical replication generates a lower tracking difference than synthetic replication.

The expected tracking error is based on the expected volatility of the deviations between the returns of the sub-fund and the returns of the Underlying Index. Liquidity management, transaction costs for index adjustments as well as differences between the sub-fund and the Underlying Index in the valuation methodology and the valuation date may also have an effect on the tracking error and the difference between the returns of the sub-fund and the Underlying Index. The effects can be positive or negative depending on the underlying circumstances.

The sub-fund may also have a tracking error as a result of withholding taxes payable by the sub-fund on investment income. The extent of the tracking error resulting from withholding taxes depends on various factors such as refund requests made by the sub-fund to different tax authorities or tax relief for the sub-fund under a double taxation agreement. The expected tracking error for the sub-fund is: 0.30 percent

Investors should note that these are only estimated values for the tracking error under normal market conditions and are therefore not to be understood as fixed limits.

5.7 Issuer and investment limits

5.7.1 Issuer limits

The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and the Investment Conditions.

The Company may invest up to 20 percent of the assets of the sub-fund in securities from a single issuer (debtor). The limit may be increased to up to 35 percent of the value of the sub-fund for securities from a single issuer (debtor). This increase in the limit up to 35 percent is permissible only for one individual issuer (debtor).

For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.

5.7.2 Investment restrictions

The Company may invest no more than 5 percent of the value of the sub-fund in bank accounts and money market instruments in accordance with the "General Investment Conditions". A minimum of 95 percent of the sub-fund must be invested in assets based on the Security Index, as defined in Point 5.6.4.

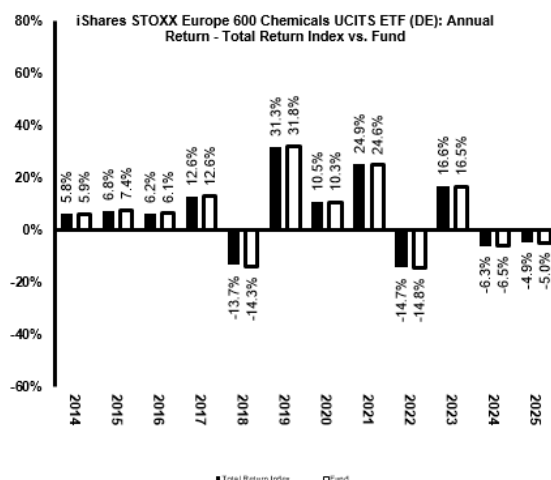
At least 85 percent of the value of the sub-fund shall on an ongoing basis be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds. In determining the volume of assets invested in the aforementioned shares, loans are to be deducted in proportion to the shares' portion of the value of all assets.

If the sub-fund is invested in investment fund units in accordance with Point 6.6, which are valued at least once a week, the Company will base its compliance with the equity fund capital participation quota by the sub-fund on the capital participation quotas published daily by the target investment funds and include them in the calculation of the equity fund capital participation quota for funds.

If in order to replicate the Underlying Index, the Company acquires index certificates or certificates on individual equities as defined in Point 5.6.4, no more than 10 percent of the value of sub-fund assets may be invested in such certificates as defined in Point 5.6.4, which are not admitted for official trading on a stock exchange or listed on a regulated market.

In order to replicate the Underlying Index the Company may invest up to 10 percent of the value of the sub-fund in units of other open-ended domestic and foreign investment funds (target funds) as defined in Point 6.6 of the General Part of this Sales Prospectus. In doing so, the Company may acquire on behalf of the sub-fund no more than 25 percent of the issued units or shares of a target fund. In addition, the target funds may in accordance with their Investment Conditions invest up to 10 percent in units or shares of other target funds. Please see 6.6 of the General Part of this Sales Prospectus for more information.

5.8 Performance



Source: STOXX Ltd./ BlackRock Asset Management Deutschland AG

The performance shown corresponds to the performance of the investment fund iShares STOXX Europe 600 Chemicals (DE) through 31 May 2011, which also replicated the STOXX Europe 600 Chemicals Index (price index) and whose assets were transferred at the end of the day on 31 May 2011 pursuant to Section 40 InvG in conjunction with Section 14 InvStG to the sub-fund iShares STOXX Europe 600 Chemicals UCITS ETF (DE) (formerly iShares STOXX Europe 600 Chemicals (DE)).

Past performance of the Sub-fund is not a predictor of future results for the Sub-fund.

5.9 Explanation of the risk profile of the Fund

The risk profile is based on a return and risk scale of 1 to 7, where 1 indicates a fairly low risk, but also typically lower returns, and 7 indicates a fairly high risk, but also typically higher returns.

The Fund is currently in category 4 because of the nature of its investments, which include the risks listed below.

The indicator is based on historical data and may not be a reliable indication of the future risk profile of the Fund. The risk category shown is not guaranteed and may change over time. The relevant current categorisation can be found in the Key Information Document. The lowest category cannot be equated with a risk-free investment. These factors may affect the value of investments or result in losses.

The investment risk is concentrated in specific sectors, countries, currencies or companies. Consequently, the Fund is more sensitive to localised economic, market, political, sustainability-related or regulatory events.

The value of equities and equity-related securities may be adversely affected by daily price movements on the stock exchanges. Other influencing factors include political and economic news, corporate earnings and significant corporate events.

Specific risks that are not captured in an appropriate manner by the risk indicator include counterparty risk.

5.10 Profile of a typical investor

The Fund is aimed at all types of investors seeking to improve or optimise their assets. Investors must be willing and able to accept significant fluctuations in the value of the shares and the possibility of a significant loss of capital. The Fund is suitable for medium- and long-term investment, though the Fund may also be suitable for shorter term exposure to the Underlying Index.

5.11 Management and miscellaneous expenses

The actual amount of the fixed fee is listed in the "Overview of existing share classes" in the Special Part of the Sales Prospectus.

6. iShares STOXX Europe 600 Construction & Materials UCITS ETF (DE)

6.1 Overview of existing share classes of the iShares STOXX Europe 600 Construction & Materials UCITS ETF (DE)

Share class name	iShares STOXX Europe 600 Construction & Materials UCITS ETF (DE)
German Securities Code (WKN) / ISIN	WKN A0H08F / ISIN DE000A0H08F7
Listed on a stock exchange	yes
Level of management fee	0.45% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	distributing
Transactions in securities lending and repurchase agreements	no

6.2 Exchanges

The shares of the Sub-fund are admitted for (official) trading on the following stock exchanges:

Frankfurt Stock Exchange

Deutsche Börse AG
Börsenplatz 4
60485 Frankfurt/Main, Germany
Telephone: +49 (0) 69 - 211 - 0
Fax: +49 (0) 69 - 211 - 12005

BX Swiss

BX Swiss AG
Talstrasse 70
8001 Zürich, Schweiz
Telephone: +41 (0) 31 - 329 - 4040

The possibility of shares also being traded on other markets cannot be excluded.

In all other respects, the information under Point 9 of the General Part shall apply.

6.3 Designated Sponsors

Designated Sponsor(s) for listing on the Frankfurt Stock Exchange: can be checked under www.boerse-frankfurt.de

Market Maker for Listing on the BX Swiss: can be checked under www.bxswiss.com

In all other respects, the provisions under Point 9 of the General Part shall apply.

6.4 Licensor and licence agreement

6.4.1 Licensor and licence agreement

STOXX® Europe 600 Construction & Materials (hereinafter referred to as the "Underlying Index") is a registered trademark of STOXX Ltd. (hereinafter referred to as the "Licensor") and is thus protected against unauthorised use. The Licensor grants licences for the use of the Underlying Index as a benchmark for capital market products.

The Management Company has been granted the right to use the Underlying Index of the sub-fund.

6.4.2 Disclaimer of liability by the Licensor

The Sub-fund is not sponsored, promoted, sold or distributed by the Licensor. Aside from the licensing of the Underlying Index and the permitted use of the trademark in connection with naming the Sub-fund, the Licensor has no connection whatsoever with the Company.

The Licensor gives no guarantee of the accuracy or the completeness of the Underlying Index and the data contained therein. It assumes no liability for errors, omissions or interruptions to the Underlying Index. The Licensor gives no direct or indirect guarantee concerning the results achieved by the Company through the use of the Underlying Index or of the other data contained therein. The Licensor provides no direct or indirect guarantee and assumes no liability as regards the marketability, suitability or use for a specific purpose of the Underlying Index or the data contained therein.

Notwithstanding any of the above, the Licensor shall under no circumstances accept responsibility for any damages caused by or in connection with the Underlying Index or the Sub-fund it underlies. This disclaimer of liability also applies to indirect losses, special damages or consequential losses (including loss of profits) in relation to the Underlying Index or the Sub-fund it underlies, even if the Licensor has been made aware of the assertion of such a claim. No third party shall benefit from any contracts or agreements between the Licensor and the Company.

6.5 Launch date, term and investment objective of the Sub-fund

6.5.1 Launch date and term

The sub-fund was launched on 31 May 2011 and is of unlimited duration.

The investors own an equity interest in the assets of the Sub-fund as co-owners in proportion to the number of shares held.

6.5.2 Investment objective

The objective of the Sub-fund is to achieve the same investment performance as the Underlying Index. For this purpose, it shall track the Underlying Index as closely and as completely as possible.

The Investment Fund shall adopt a passive management strategy to achieve these objectives. In contrast to the active management approach, the Underlying Index is used as the basis for making decisions on the purchase and sale of assets and their respective weightings in the Sub-fund. The passive management strategy and the trading of shares on an exchange have the effect of limiting

management fees and transaction costs charged to the Sub-fund.

6.5.3 Achievability of the investment objective

One obstacle to replicating the performance of the Underlying Index is the fact that the Underlying Index is a statistical model based on certain assumptions. It is assumed, for example, that no transaction costs will be incurred when securities are purchased or sold. In addition, management fees and some tax payments are deducted from the Sub-fund share price, whereas they do not apply at all to the Underlying Index.

Detailed information about the Underlying Index may be obtained in printed or electronic form from the Company or from the Licensor.

NO ASSURANCE CAN BE GIVEN THAT THE INVESTMENT OBJECTIVES WILL ACTUALLY BE ACHIEVED.

6.6 Investment principles

6.6.1 General information

The Company may only acquire the following assets on behalf of the sub-fund:

- a) Securities pursuant to Section 193 KAGB,
- b) Money market instruments pursuant to Section 194 KAGB,
- c) Bank accounts pursuant to Section 195 KAGB,
- d) Derivatives pursuant to Section 197 KAGB,
- e) Other investment instruments pursuant to Section 198 KAGB,
- f) Investment units pursuant to Section 196 KAGB, if they are oriented towards replicating the Underlying Index, while maintaining an appropriate risk diversification. Any restrictions on the eligibility result from the "Investment Conditions".

The Underlying Index is recognised by BaFin and meets the following requirements of the KAGB:

- The composition of the index is sufficiently diversified.
- The index represents an adequate benchmark for the market to which it relates.
- The index is published in an appropriate manner.

In addition, and in accordance with Regulation (EU) 2016/1011 of the European Parliament and of the Council, the Licensor is entered with the European Securities and Markets Authority (ESMA) in a public register of administrators and benchmarks.

The ESMA public register of administrators and benchmarks can be consulted at www.esma.europa.eu.

In addition, the Company has drawn up a contingency plan in which it sets out measures it would take if the underlying index were to change significantly or cease to be provided.

Details of the equities included in the Underlying Index are also contained in the most recent annual financial statement or semi-annual report published for the sub-fund.

Because of the relationship between the Sub-fund and the Underlying Index and because certain issuer and investment limits may be exceeded as a result, the principle of risk diversification finds only limited application.

6.6.2 Description of the Index

The STOXX® Europe 600 Construction & Materials Index measures the performance of the European construction and commodity sector according to the definition of the Industry Classification Benchmark (ICB) and is part of the STOXX® Europe 600 Index. This index includes 600 of the largest securities from 17 European countries. The index is reweighted quarterly, and its components are weighted according to the free-float market capitalisation and limited in order to maintain conformity with UCITS diversity standards. The free-float market capitalisation is the market value of all shares of a company in free circulation available at any time. Further details on the Underlying Index (including its components) are available on the website of the index provider at www.stoxx.com.

6.6.3 Effects of index adjustments

In order to replicate the Underlying Index as closely as possible, fund management must replicate all changes in the composition and weighting of the Underlying Index for the Sub-fund.

Fund management may, at its discretion, determine the timeframes in which sub-funds should be adjusted and whether an adjustment is appropriate in view of the investment objective.

6.6.4 Replication of the index and priority of direct duplication

To replicate the Underlying Index, only the following assets may be acquired:

- securities included in the Security Index or introduced to it following a change to the index (index securities),
- securities issued on the Underlying Index (index certificates),
- securities issued on individual stocks of the Underlying Index (certificates on individual securities),
- futures contracts on the Underlying Index (index futures),
- futures contracts on individual stocks of the Underlying Index (futures on individual securities),
- warrants on the Underlying Index (index warrants),
- warrants on individual stocks of the Underlying Index (warrants on individual securities), and
- Investment fund units pursuant to Section 9 of the Investment Conditions

In replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in index securities over investments in other assets listed above approved for use in replicating indices. The Underlying Index may only be replicated using assets that indirectly replicate the index for purposes of maintaining the investment restrictions listed in the second sentence under Point 6.7.2.

6.6.5 Duplication percentage

In order to replicate the Underlying Index, the duplication percentage must not be less than 95 percent of the total assets in the sub-fund as defined in Point 6.6.4. Futures contracts shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach in accordance with the regulation on risk

management and risk measurement for the use of derivatives, securities lending and repurchasing agreements in investment funds pursuant to KAGB (hereinafter referred to as "DerivateV"). The duplication percentage reflects the proportion of the above-named securities, certificates, futures contracts, warrants and investment fund units in the sub-fund which matches the weighting of the Underlying Index.

6.6.6 Expected tracking error

The tracking error is defined as the annualised standard deviation of the difference between the returns of a fund and the underlying index. The expected tracking error of the sub-fund refers to the net monthly total returns of the sub-fund and the Underlying Index over a period of three years.

This figure is often of particular interest to investors who trade regularly with index investment assets and hold shares in investment funds only a few days or weeks. For long-term investors with a longer investment horizon the tracking difference between the sub-fund and the underlying index over the intended investment horizon is usually more important. The tracking difference measures the actual difference between the returns of a fund and the returns of the index (i.e., how accurately a fund replicates its underlying index). The tracking error, however, measures the increase and decrease of the tracking difference (i.e. the volatility of the tracking difference). Investors should take both figures into consideration when evaluating an index investment fund.

The tracking error may depend on the sampling methodology selected by the index investment fund. In general, historical data provide evidence that synthetic replication generates a lower tracking error than physical replication, but the same data also often suggest that physical replication generates a lower tracking difference than synthetic replication.

The expected tracking error is based on the expected volatility of the deviations between the returns of the sub-fund and the returns of the Underlying Index. Liquidity management, transaction costs for index adjustments as well as differences between the sub-fund and the Underlying Index in the valuation methodology and the valuation date may also have an effect on the tracking error and the difference between the returns of the sub-fund and the Underlying Index. The effects can be positive or negative depending on the underlying circumstances.

The sub-fund may also have a tracking error as a result of withholding taxes payable by the sub-fund on investment income. The extent of the tracking error resulting from withholding taxes depends on various factors such as refund requests made by the sub-fund to different tax authorities or tax relief for the sub-fund under a double taxation agreement. The expected tracking error for the sub-fund is: 0.40 percent

Investors should note that these are only estimated values for the tracking error under normal market conditions and are therefore not to be understood as fixed limits.

6.7 Issuer and investment limits

6.7.1 Issuer limits

The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and the Investment Conditions.

The Company may invest up to 20 percent of the assets of the sub-fund in securities from a single issuer (debtor). The limit may be increased to up to 35 percent of the value of the sub-fund for securities from a single issuer (debtor). This increase in the limit up to 35 percent is permissible only for one individual issuer (debtor).

For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.

6.7.2 Investment restrictions

The Company may invest no more than 5 percent of the value of the sub-fund in bank accounts and money market instruments in accordance with the "General Investment Conditions". A minimum of 95 percent of the sub-fund must be invested in assets based on the Security Index, as defined in Point 6.6.4.

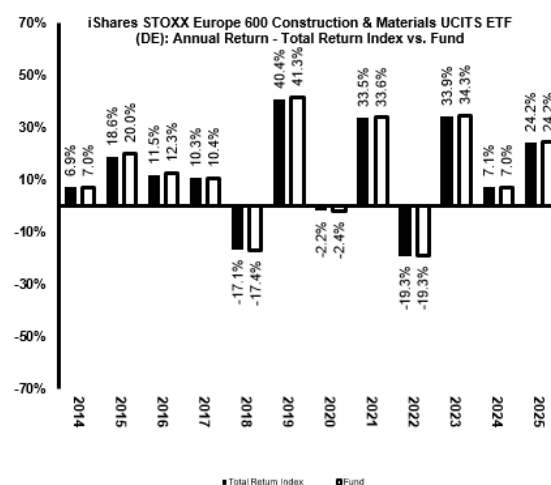
At least 85 percent of the value of the sub-fund shall on an ongoing basis be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds. In determining the volume of assets invested in the aforementioned shares, loans are to be deducted in proportion to the shares' portion of the value of all assets.

If the sub-fund is invested in investment fund units in accordance with Point 6.6, which are valued at least once a week, the Company will base its compliance with the equity fund capital participation quota by the sub-fund on the capital participation quotas published daily by the target investment funds and include them in the calculation of the equity fund capital participation quota for funds.

If in order to replicate the Underlying Index, the Company acquires index certificates or certificates on individual equities as defined in Point 6.6.4, no more than 10 percent of the value of sub-fund assets may be invested in such certificates as defined in Point 6.6.4, which are not admitted for official trading on a stock exchange or listed on a regulated market.

In order to replicate the Underlying Index the Company may invest up to 10 percent of the value of the sub-fund in units of other open-ended domestic and foreign investment funds (target funds) as defined in Point 6.6 of the General Part of this Sales Prospectus. In doing so, the Company may acquire on behalf of the sub-fund no more than 25 percent of the issued units or shares of a target fund. In addition, the target funds may in accordance with their Investment Conditions invest up to 10 percent in units or shares of other target funds. Please see 6.6 of the General Part of this Sales Prospectus for more information.

6.8 Performance



Source: STOXX Ltd./ BlackRock Asset Management Deutschland AG

The performance shown corresponds to the performance of the investment fund iShares STOXX Europe 600 Construction & Materials (DE) through 31 May 2011, which also replicated the STOXX Europe 600 Construction & Materials Index (price index) and whose assets were transferred at the end of the day on 31 May 2011 pursuant to Section 40 InvG in conjunction with Section 14 InvStG to the sub-fund iShares STOXX Europe 600 Construction & Materials UCITS ETF (DE) (formerly iShares STOXX Europe 600 Construction & Materials (DE)).

Past performance of the Sub-fund is not a predictor of future results for the Sub-fund.

6.9 Explanation of the risk profile of the Fund

The risk profile is based on a return and risk scale of 1 to 7, where 1 indicates a fairly low risk, but also typically lower returns, and 7 indicates a fairly high risk, but also typically higher returns.

The Fund is currently in category 5 because of the nature of its investments, which include the risks listed below.

The indicator is based on historical data and may not be a reliable indication of the future risk profile of the Fund. The risk category shown is not guaranteed and may change over time. The relevant current categorisation can be found in the Key Information Document. The lowest category cannot be equated with a risk-free investment. These factors may affect the value of investments or result in losses.

The investment risk is concentrated in specific sectors, countries, currencies or companies. Consequently, the Fund is more sensitive to localised economic, market, political, sustainability-related or regulatory events.

The value of equities and equity-related securities may be adversely affected by daily price movements on the stock exchanges. Other influencing factors include political and economic news, corporate earnings and significant corporate events.

Specific risks that are not captured in an appropriate manner by the risk indicator include counterparty risk.

6.10 Profile of a typical investor

The Fund is aimed at all types of investors seeking to improve or optimise their assets. Investors must be willing and able to accept significant fluctuations in the value of the shares and the possibility of a significant loss of capital. The Fund is suitable for medium- and long-term investment, though the Fund may also be suitable for shorter term exposure to the Underlying Index.

6.11 Management and miscellaneous expenses

The actual amount of the fixed fee is listed in the "Overview of existing share classes" in the Special Part of the Sales Prospectus.

7. iShares STOXX Europe 600 Financial Services UCITS ETF (DE)

7.1 Overview of existing share classes of the iShares STOXX Europe 600 Financial Services UCITS ETF (DE)

Share class name	iShares STOXX Europe 600 Financial Services UCITS ETF (DE)
German Securities Code (WKN) / ISIN	WKN A0H08G / ISIN DE000A0H08G5
Listed on a stock exchange	yes
Level of management fee	0.45% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	distributing
Transactions in securities lending and repurchase agreements	no

7.2 Exchanges

The shares of the Sub-fund are admitted for (official) trading on the following stock exchanges:

Frankfurt Stock Exchange

Deutsche Börse AG
Börsenplatz 4
60485 Frankfurt/Main, Germany
Telephone: +49 (0) 69 - 211 - 0
Fax: +49 (0) 69 - 211 - 12005

BX Swiss

BX Swiss AG
Talstrasse 70
8001 Zürich, Schweiz
Telephone: +41 (0) 31 - 329 - 4040

The possibility of shares also being traded on other markets cannot be excluded.

In all other respects, the information under Point 9 of the General Part shall apply.

7.3 Designated Sponsors

Designated Sponsor(s) for listing on the Frankfurt Stock Exchange: can be checked under www.boerse-frankfurt.de

Market Maker for Listing on the BX Swiss: can be checked under www.bxswiss.com

In all other respects, the provisions under Point 9 of the General Part shall apply.

7.4 Licensor and licence agreement

7.4.1 Licensor and licence agreement

STOXX® Europe 600 Financial Services (hereinafter referred to as the "Underlying Index") is a registered trademark of STOXX Ltd. (hereinafter referred to as the "Licensor") and is thus protected against unauthorised use. The Licensor grants licences for the use of the Underlying Index as a benchmark for capital market products.

The Management Company has been granted the right to use the Underlying Index of the sub-fund.

7.4.2 Disclaimer of liability by the Licensor

The Sub-fund is not sponsored, promoted, sold or distributed by the Licensor. Aside from the licensing of the Underlying Index and the permitted use of the trademark in connection with naming the Sub-fund, the Licensor has no connection whatsoever with the Company.

The Licensor gives no guarantee of the accuracy or the completeness of the Underlying Index and the data contained therein. It assumes no liability for errors, omissions or interruptions to the Underlying Index. The Licensor gives no direct or indirect guarantee concerning the results achieved by the Company through the use of the Underlying Index or of the other data contained therein. The Licensor provides no direct or indirect guarantee and assumes no liability as regards the marketability, suitability or use for a specific purpose of the Underlying Index or the data contained therein.

Notwithstanding any of the above, the Licensor shall under no circumstances accept responsibility for any damages caused by or in connection with the Underlying Index or the Sub-fund it underlies. This disclaimer of liability also applies to indirect losses, special damages or consequential losses (including loss of profits) in relation to the Underlying Index or the Sub-fund it underlies, even if the Licensor has been made aware of the assertion of such a claim. No third party shall benefit from any contracts or agreements between the Licensor and the Company.

7.5 Launch date, term and investment objective of the Sub-fund

7.5.1 Launch date and term

The sub-fund was launched on 31 May 2011 and is of unlimited duration.

The investors own an equity interest in the assets of the Sub-fund as co-owners in proportion to the number of shares held.

7.5.2 Investment objective

The objective of the Sub-fund is to achieve the same investment performance as the Underlying Index. For this purpose, it shall track the Underlying Index as closely and as completely as possible.

The Investment Fund shall adopt a passive management strategy to achieve these objectives. In contrast to the active management approach, the Underlying Index is used as the basis for making decisions on the purchase and sale of assets and their respective weightings in the Sub-fund. The passive management strategy and the trading of shares on an exchange have the effect of limiting

management fees and transaction costs charged to the Sub-fund.

7.5.3 Achievability of the investment objective

One obstacle to replicating the performance of the Underlying Index is the fact that the Underlying Index is a statistical model based on certain assumptions. It is assumed, for example, that no transaction costs will be incurred when securities are purchased or sold. In addition, management fees and some tax payments are deducted from the Sub-fund share price, whereas they do not apply at all to the Underlying Index.

Detailed information about the Underlying Index may be obtained in printed or electronic form from the Company or from the Licensor.

NO ASSURANCE CAN BE GIVEN THAT THE INVESTMENT OBJECTIVES WILL ACTUALLY BE ACHIEVED.

7.6 Investment principles

7.6.1 General information

The Company may only acquire the following assets on behalf of the sub-fund:

- a) Securities pursuant to Section 193 KAGB,
- b) Money market instruments pursuant to Section 194 KAGB,
- c) Bank accounts pursuant to Section 195 KAGB,
- d) Derivatives pursuant to Section 197 KAGB,
- e) Other investment instruments pursuant to Section 198 KAGB,
- f) Investment units pursuant to Section 196 KAGB, if they are oriented towards replicating the Underlying Index, while maintaining an appropriate risk diversification. Any restrictions on the eligibility result from the "Investment Conditions".

The Underlying Index is recognised by BaFin and meets the following requirements of the KAGB:

- The composition of the index is sufficiently diversified.
- The index represents an adequate benchmark for the market to which it relates.
- The index is published in an appropriate manner.

In addition, and in accordance with Regulation (EU) 2016/1011 of the European Parliament and of the Council, the Licensor is entered with the European Securities and Markets Authority (ESMA) in a public register of administrators and benchmarks.

The ESMA public register of administrators and benchmarks can be consulted at www.esma.europa.eu.

In addition, the Company has drawn up a contingency plan in which it sets out measures it would take if the underlying index were to change significantly or cease to be provided.

Details of the equities included in the Underlying Index are also contained in the most recent annual financial statement or semi-annual report published for the sub-fund.

Because of the relationship between the Sub-fund and the Underlying Index and because certain issuer and investment limits may be exceeded as a result, the principle of risk diversification finds only limited application.

7.6.2 Description of the Index

The STOXX® Europe 600 Financial Services Index measures the performance of the European financial services sector according to the definition of the Industry Classification Benchmark (ICB) and is part of the STOXX® Europe 600 Index. This index includes 600 of the largest securities from 17 European countries. The index is reweighted quarterly, and its components are weighted according to the free-float market capitalisation and limited in order to maintain conformity with UCITS diversity standards. The free-float market capitalisation is the market value of all shares of a company in free circulation available at any time. Further details on the Underlying Index (including its components) are available on the website of the index provider at www.stoxx.com.

7.6.3 Effects of index adjustments

In order to replicate the Underlying Index as closely as possible, fund management must replicate all changes in the composition and weighting of the Underlying Index for the Sub-fund.

Fund management may, at its discretion, determine the timeframes in which the sub-fund will be adjusted and whether an adjustment is appropriate in view of the investment objective.

7.6.4 Replication of the index and priority of direct duplication

To replicate the Underlying Index, only the following assets may be acquired:

- securities included in the Security Index or introduced to it following a change to the index (index securities),
- securities issued on the Underlying Index (index certificates),
- securities issued on individual stocks of the Underlying Index (certificates on individual securities),
- futures contracts on the Underlying Index (index futures),
- futures contracts on individual stocks of the Underlying Index (futures on individual securities),
- warrants on the Underlying Index (index warrants),
- warrants on individual stocks of the Underlying Index (warrants on individual securities), and
- Investment fund units pursuant to Section 9 of the Investment Conditions

In replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in index securities over investments in other assets listed above approved for use in replicating indices. The Underlying Index may only be replicated using assets that indirectly replicate the index for purposes of maintaining the investment restrictions listed in the second sentence under Point 7.7.2. Outside the limit of the duplication percentage laid down in Point 7.6.5 the Company, for the account of the Sub-Fund, may invest up to 5 percent of the value of the Sub-Fund in basic forms of derivatives as defined in Section 7 para. 2 of the Investment Conditions, particularly future contracts on securities in the meaning of Section 4 of the Investment Conditions, money market instruments in the meaning of Section 5 of the Investment Conditions, investment fund units in

the meaning of Section 9 of the Investment Conditions, recognised financial indices, interest rates, exchange rates or currencies which are not contained in the Underlying Index.

7.6.5 Duplication percentage

In order to replicate the Underlying Index, the duplication percentage must not be less than 95 percent of the total assets in the sub-fund as defined in Point 3.6.4. Futures contracts shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach in accordance with the regulation on risk management and risk measurement for the use of derivatives, securities lending and repurchasing agreements in investment funds pursuant to KAGB (hereinafter referred to as "DerivateV"). The duplication percentage reflects the proportion of the above-named securities, certificates, futures contracts, warrants and investment fund units in the sub-fund which matches the weighting of the Underlying Index.

7.6.6 Expected tracking error

The tracking error is defined as the annualised standard deviation of the difference between the returns of a fund and the underlying index. The expected tracking error of the sub-fund refers to the net monthly total returns of the sub-fund and the Underlying Index over a period of three years.

This figure is often of particular interest to investors who trade regularly with index investment assets and hold shares in investment funds only a few days or weeks. For long-term investors with a longer investment horizon the tracking difference between the sub-fund and the underlying index over the intended investment horizon is usually more important. The tracking difference measures the actual difference between the returns of a fund and the returns of the index (i.e., how accurately a fund replicates its underlying index). The tracking error, however, measures the increase and decrease of the tracking difference (i.e. the volatility of the tracking difference). Investors should take both figures into consideration when evaluating an index investment fund.

The tracking error may depend on the sampling methodology selected by the index investment fund. In general, historical data provide evidence that synthetic replication generates a lower tracking error than physical replication, but the same data also often suggest that physical replication generates a lower tracking difference than synthetic replication.

The expected tracking error is based on the expected volatility of the deviations between the returns of the sub-fund and the returns of the Underlying Index. Liquidity management, transaction costs for index adjustments as well as differences between the sub-fund and the Underlying Index in the valuation methodology and the valuation date may also have an effect on the tracking error and the difference between the returns of the sub-fund and the Underlying Index. The effects can be positive or negative depending on the underlying circumstances.

The sub-fund may also have a tracking error as a result of withholding taxes payable by the sub-fund on investment income. The extent of the tracking error resulting from withholding taxes depends on

various factors such as refund requests made by the sub-fund to different tax authorities or tax relief for the sub-fund under a double taxation agreement. The expected tracking error for the sub-fund is: 0.50 percent

Investors should note that these are only estimated values for the tracking error under normal market conditions and are therefore not to be understood as fixed limits.

7.7 Issuer and investment limits

7.7.1 Issuer limits

The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and the Investment Conditions.

The Company may invest up to 20 percent of the assets of the sub-fund in securities from a single issuer (debtor). The limit may be increased to up to 35 percent of the value of the sub-fund for securities from a single issuer (debtor). This increase in the limit up to 35 percent is permissible only for one individual issuer (debtor).

For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.

7.7.2 Investment restrictions

The Company may invest no more than 5 percent of the value of the sub-fund in bank accounts and money market instruments in accordance with the "General Investment Conditions". A minimum of 95 percent of the sub-fund must be invested in assets based on the Security Index, as defined in Point 7.6.4.

At least 80 percent of the value of the sub-fund shall on an ongoing basis be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds. In determining the volume of assets invested in the aforementioned shares, loans are to be deducted in proportion to the shares' portion of the value of all assets.

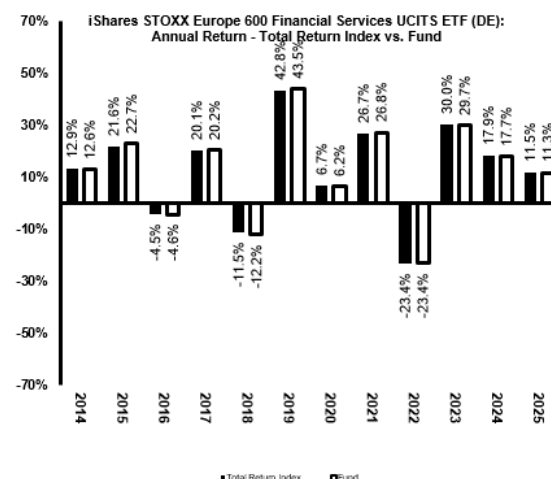
If the sub-fund is invested in investment fund units in accordance with Point 6.6, which are valued at least once a week, the Company will base its compliance with the equity fund capital participation quota by the sub-fund on the capital participation quotas published daily by the target investment funds and include them in the calculation of the equity fund capital participation quota for funds.

If in order to replicate the Underlying Index, the Company acquires index certificates or certificates on individual equities as defined in Point 7.6.4, no more than 10 percent of the value of sub-fund assets may be invested in such certificates as defined in Point 7.6.4, which are not admitted for official trading on a stock exchange or listed on a regulated market.

In order to replicate the Underlying Index the Company may invest up to 10 percent of the value of the sub-fund in units of other open-ended

domestic and foreign investment funds (target funds) as defined in Point 6.6 of the General Part of this Sales Prospectus. In doing so, the Company may acquire on behalf of the sub-fund no more than 25 percent of the issued units or shares of a target fund. In addition, the target funds may in accordance with their Investment Conditions invest up to 10 percent in units or shares of other target funds. Please see 6.6 of the General Part of this Sales Prospectus for more information.

7.8 Performance



Source: STOXX Ltd./ BlackRock Asset Management Deutschland AG

The performance shown corresponds to the performance of the investment fund iShares STOXX Europe 600 Financial Services (DE) through 31 May 2011, which also replicated the STOXX Europe 600 Financial Services Index (price index) and whose assets were transferred at the end of the day on 31 May 2011 pursuant to Section 40 InvStG in conjunction with Section 14 InvG to the sub-fund iShares STOXX Europe 600 Financial Services UCITS ETF (DE) (formerly iShares STOXX Europe 600 Financial Services (DE)).

Past performance of the Sub-fund is not a predictor of future results for the Sub-fund.

7.9 Explanation of the risk profile of the Fund

The risk profile is based on a return and risk scale of 1 to 7, where 1 indicates a fairly low risk, but also typically lower returns, and 7 indicates a fairly high risk, but also typically higher returns.

The Fund is currently in category 5 because of the nature of its investments, which include the risks listed below.

The indicator is based on historical data and may not be a reliable indication of the future risk profile of the Fund. The risk category shown is not guaranteed and may change over time. The relevant current categorisation can be found in the Key Information Document. The lowest category cannot be equated with a risk-free investment. These factors may affect the value of investments or result in losses. The investment risk is concentrated in specific sectors, countries, currencies or companies. Consequently, the Fund is more sensitive to localised economic, market, political, sustainability-related or regulatory events.

The value of equities and equity-related securities may be adversely affected by daily price movements on the stock exchanges. Other influencing factors include political and economic news, corporate earnings and significant corporate events.

Specific risks that are not captured in an appropriate manner by the risk indicator include counterparty risk.

7.10 Profile of a typical investor

The Fund is aimed at all types of investors seeking to improve or optimise their assets. Investors must be willing and able to accept significant fluctuations in the value of the shares and the possibility of a significant loss of capital. The Fund is suitable for medium- and long-term investment, though the Fund may also be suitable for shorter term exposure to the Underlying Index.

7.11 Management and miscellaneous expenses

The actual amount of the fixed fee is listed in the "Overview of existing share classes" in the Special Part of the Sales Prospectus.

8. iShares STOXX Europe 600 Food & Beverage UCITS ETF (DE)

8.1 Overview of existing share classes of the iShares STOXX Europe 600 Food & Beverage UCITS ETF (DE)

Share class name	iShares STOXX Europe 600 Food & Beverage UCITS ETF (DE)
German Securities Code (WKN) / ISIN	WKN A0H08H / ISIN DE000A0H08H3
Listed on a stock exchange	yes
Level of management fee	0.45% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	distributing
Transactions in securities lending and repurchase agreements	no

8.2 Exchanges

The shares of the Sub-fund are admitted for (official) trading on the following stock exchanges:

Frankfurt Stock Exchange

Deutsche Börse AG
Börsenplatz 4
60485 Frankfurt/Main, Germany
Telephone: +49 (0) 69 - 211 - 0
Fax: +49 (0) 69 - 211 - 12005

BX Swiss

BX Swiss AG
Talstrasse 70
8001 Zürich, Schweiz
Telephone: +41 (0) 31 - 329 - 4040

The possibility of shares also being traded on other markets cannot be excluded.

In all other respects, the information under Point 9 of the General Part shall apply.

8.3 Designated Sponsors

Designated Sponsor(s) for listing on the Frankfurt Stock Exchange: can be checked under www.boerse-frankfurt.de

Market Maker for Listing on the BX Swiss: can be checked under www.bxswiss.com

In all other respects, the provisions under Point 9 of the General Part shall apply.

8.4 Licensor and licence agreement

8.4.1 Licensor and licence agreement

STOXX® Europe 600 Food & Beverage (hereinafter referred to as the "Underlying Index") is a registered trademark of STOXX Ltd. (hereinafter referred to as the "Licensor") and is thus protected against unauthorised use. The Licensor grants licences for the use of the Underlying Index as a benchmark for capital market products.

The Management Company has been granted the right to use the Underlying Index of the sub-fund.

8.4.2 Disclaimer of liability by the Licensor

The Sub-fund is not sponsored, promoted, sold or distributed by the Licensor. Aside from the licensing of the Underlying Index and the permitted use of the trademark in connection with naming the Sub-fund, the Licensor has no connection whatsoever with the Company.

The Licensor gives no guarantee of the accuracy or the completeness of the Underlying Index and the data contained therein. It assumes no liability for errors, omissions or interruptions to the Underlying Index. The Licensor gives no direct or indirect guarantee concerning the results achieved by the Company through the use of the Underlying Index or of the other data contained therein. The Licensor provides no direct or indirect guarantee and assumes no liability as regards the marketability, suitability or use for a specific purpose of the Underlying Index or the data contained therein.

Notwithstanding any of the above, the Licensor shall under no circumstances accept responsibility for any damages caused by or in connection with the Underlying Index or the Sub-fund it underlies. This disclaimer of liability also applies to indirect losses, special damages or consequential losses (including loss of profits) in relation to the Underlying Index or the Sub-fund it underlies, even if the Licensor has been made aware of the assertion of such a claim. No third party shall benefit from any contracts or agreements between the Licensor and the Company.

8.5 Launch date, term and investment objective of the Sub-fund

8.5.1 Launch date and term

The sub-fund was launched on 31 May 2011 and is of unlimited duration.

The investors own an equity interest in the assets of the Sub-fund as co-owners in proportion to the number of shares held.

8.5.2 Investment objective

The objective of the Sub-fund is to achieve the same investment performance as the Underlying Index. For this purpose, it shall track the Underlying Index as closely and as completely as possible.

The Investment Fund shall adopt a passive management strategy to achieve these objectives. In contrast to the active management approach, the Underlying Index is used as the basis for making decisions on the purchase and sale of assets and their respective weightings in the Sub-fund. The passive management strategy and the trading of shares on an exchange have the effect of limiting

management fees and transaction costs charged to the Sub-fund.

8.5.3 Achievability of the investment objective

One obstacle to replicating the performance of the Underlying Index is the fact that the Underlying Index is a statistical model based on certain assumptions. It is assumed, for example, that no transaction costs will be incurred when securities are purchased or sold. In addition, management fees and some tax payments are deducted from the Sub-fund share price, whereas they do not apply at all to the Underlying Index.

Detailed information about the Underlying Index may be obtained in printed or electronic form from the Company or from the Licensor.

NO ASSURANCE CAN BE GIVEN THAT THE INVESTMENT OBJECTIVES WILL ACTUALLY BE ACHIEVED.

8.6 Investment principles

8.6.1 General information

The Company may only acquire the following assets on behalf of the sub-fund:

- a) Securities pursuant to Section 193 KAGB,
- b) Money market instruments pursuant to Section 194 KAGB,
- c) Bank accounts pursuant to Section 195 KAGB,
- d) Derivatives pursuant to Section 197 KAGB,
- e) Other investment instruments pursuant to Section 198 KAGB,
- f) Investment units pursuant to Section 196 KAGB, if they are oriented towards replicating the Underlying Index, while maintaining an appropriate risk diversification. Any restrictions on the eligibility result from the "Investment Conditions".

The Underlying Index is recognised by BaFin and meets the following requirements of the KAGB:

- The composition of the index is sufficiently diversified.
- The index represents an adequate benchmark for the market to which it relates.
- The index is published in an appropriate manner.

In addition, and in accordance with Regulation (EU) 2016/1011 of the European Parliament and of the Council, the Licensor is entered with the European Securities and Markets Authority (ESMA) in a public register of administrators and benchmarks.

The ESMA public register of administrators and benchmarks can be consulted at www.esma.europa.eu.

In addition, the Company has drawn up a contingency plan in which it sets out measures it would take if the underlying index were to change significantly or cease to be provided.

Details of the equities included in the Underlying Index are also contained in the most recent annual financial statement or semi-annual report published for the sub-fund.

Because of the relationship between the Sub-fund and the Underlying Index and because certain issuer and investment limits may be exceeded as a result, the principle of risk diversification finds only limited application.

8.6.2 Description of the Index

The STOXX® Europe 600 Food & Beverage Index measures the performance of the European food and beverage sector according to the definition of the Industry Classification Benchmark (ICB) and is part of the STOXX® Europe 600 Index. This index includes 600 of the largest securities from 17 European countries. The index is reweighted quarterly, and its components are weighted according to the free-float market capitalisation and limited in order to maintain conformity with UCITS diversity standards. The free-float market capitalisation is the market value of all shares of a company in free circulation available at any time. Further details on the Underlying Index (including its components) are available on the website of the index provider at www.stoxx.com.

8.6.3 Effects of index adjustments

In order to replicate the Underlying Index as closely as possible, fund management must replicate all changes in the composition and weighting of the Underlying Index for the Sub-fund.

Fund management may, at its discretion, determine the timeframes in which the sub-fund will be adjusted and whether an adjustment is appropriate in view of the investment objective.

8.6.4 Replication of the index and priority of direct duplication

To replicate the Underlying Index, only the following assets may be acquired:

- securities included in the Security Index or introduced to it following a change to the index (index securities),
- securities issued on the Underlying Index (index certificates),
- securities issued on individual stocks of the Underlying Index (certificates on individual securities),
- futures contracts on the Underlying Index (index futures),
- futures contracts on individual stocks of the Underlying Index (futures on individual securities),
- warrants on the Underlying Index (index warrants),
- warrants on individual stocks of the Underlying Index (warrants on individual securities), and
- Investment fund units pursuant to Section 9 of the Investment Conditions

In replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in index securities over investments in other assets listed above approved for use in replicating indices. The Underlying Index may only be replicated using assets that indirectly replicate the index for purposes of maintaining the investment restrictions listed in the second sentence under Point 8.7.2.

8.6.5 Duplication percentage

In order to replicate the Underlying Index, the duplication percentage must not be less than 95 percent of the total assets in the sub-fund as defined in Point 8.6.4. Futures contracts shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach in accordance with the regulation on risk

management and risk measurement for the use of derivatives, securities lending and repurchasing agreements in investment funds pursuant to KAGB (hereinafter referred to as "DerivateV"). The duplication percentage reflects the proportion of the above-named securities, certificates, futures contracts, warrants and investment fund units in the sub-fund which matches the weighting of the Underlying Index.

8.6.6 Expected tracking error

The tracking error is defined as the annualised standard deviation of the difference between the returns of a fund and the underlying index. The expected tracking error of the sub-fund refers to the net monthly total returns of the sub-fund and the Underlying Index over a period of three years.

This figure is often of particular interest to investors who trade regularly with index investment assets and hold shares in investment funds only a few days or weeks. For long-term investors with a longer investment horizon the tracking difference between the sub-fund and the underlying index over the intended investment horizon is usually more important. The tracking difference measures the actual difference between the returns of a fund and the returns of the index (i.e., how accurately a fund replicates its underlying index). The tracking error, however, measures the increase and decrease of the tracking difference (i.e. the volatility of the tracking difference). Investors should take both figures into consideration when evaluating an index investment fund.

The tracking error may depend on the sampling methodology selected by the index investment fund. In general, historical data provide evidence that synthetic replication generates a lower tracking error than physical replication, but the same data also often suggest that physical replication generates a lower tracking difference than synthetic replication.

The expected tracking error is based on the expected volatility of the deviations between the returns of the sub-fund and the returns of the Underlying Index. Liquidity management, transaction costs for index adjustments as well as differences between the sub-fund and the Underlying Index in the valuation methodology and the valuation date may also have an effect on the tracking error and the difference between the returns of the sub-fund and the Underlying Index. The effects can be positive or negative depending on the underlying circumstances.

The sub-fund may also have a tracking error as a result of withholding taxes payable by the sub-fund on investment income. The extent of the tracking error resulting from withholding taxes depends on various factors such as refund requests made by the sub-fund to different tax authorities or tax relief for the sub-fund under a double taxation agreement.

The expected tracking error for the sub-fund is: 0.40 percent

Investors should note that these are only estimated values for the tracking error under normal market conditions and are therefore not to be understood as fixed limits.

8.7 Issuer and investment limits

8.7.1 Issuer limits

The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and the Investment Conditions.

The Company may invest up to 20 percent of the assets of the sub-fund in securities from a single issuer (debtor). The limit may be increased to up to 35 percent of the value of the sub-fund for securities from a single issuer (debtor). This increase in the limit up to 35 percent is permissible only for one individual issuer (debtor).

For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.

8.7.2 Investment restrictions

The Company may invest no more than 5 percent of the value of the sub-fund in bank accounts and money market instruments in accordance with the "General Investment Conditions". A minimum of 95 percent of the sub-fund must be invested in assets based on the Security Index, as defined in Point 8.6.4.

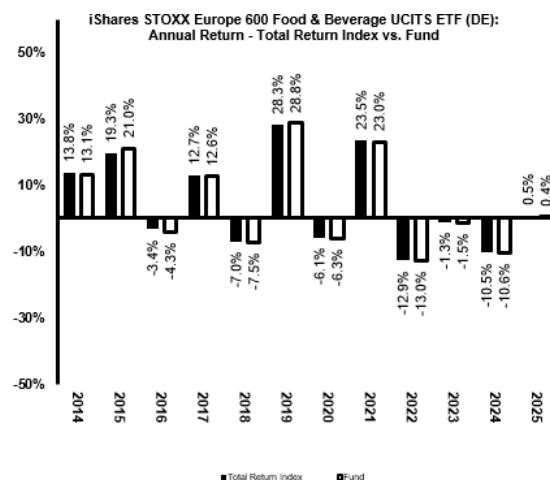
At least 75 percent of the value of the sub-fund shall on an ongoing basis be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds. In determining the volume of assets invested in the aforementioned shares, loans are to be deducted in proportion to the shares' portion of the value of all assets.

If the sub-fund is invested in investment fund units in accordance with Point 6.6, which are valued at least once a week, the Company will base its compliance with the equity fund capital participation quota by the sub-fund on the capital participation quotas published daily by the target investment funds and include them in the calculation of the equity fund capital participation quota for funds.

If in order to replicate the Underlying Index, the Company acquires index certificates or certificates on individual equities as defined in Point 8.6.4, no more than 10 percent of the value of sub-fund assets may be invested in such certificates as defined in Point 8.6.4, which are not admitted for official trading on a stock exchange or listed on a regulated market.

In order to replicate the Underlying Index the Company may invest up to 10 percent of the value of the sub-fund in units of other open-ended domestic and foreign investment funds (target funds) as defined in Point 6.6 of the General Part of this Sales Prospectus. In doing so, the Company may acquire on behalf of the sub-fund no more than 25 percent of the issued units or shares of a target fund. In addition, the target funds may in accordance with their Investment Conditions invest up to 10 percent in units or shares of other target funds. Please see 6.6 of the General Part of this Sales Prospectus for more information.

8.8 Performance



Source: STOXX Ltd./ BlackRock Asset Management Deutschland AG

The performance shown corresponds to the performance of the investment fund iShares STOXX Europe 600 Food & Beverage (DE) through 31 May 2011, which also replicated the STOXX Europe 600 Food & Beverage Index (price index) and whose assets were transferred at the end of the day on 31 May 2011 pursuant to Section 40 InvG in conjunction with Section 14 InvStG to the sub-fund iShares STOXX Europe 600 Food & Beverage UCITS ETF (DE) (formerly iShares STOXX Europe 600 Food & Beverage (DE)).

Past performance of the Sub-fund is not a predictor of future results for the Sub-fund.

8.9 Explanation of the risk profile of the Fund

The risk profile is based on a return and risk scale of 1 to 7, where 1 indicates a fairly low risk, but also typically lower returns, and 7 indicates a fairly high risk, but also typically higher returns.

The Fund is currently in category 4 because of the nature of its investments, which include the risks listed below.

The indicator is based on historical data and may not be a reliable indication of the future risk profile of the Fund. The risk category shown is not guaranteed and may change over time. The relevant current categorisation can be found in the Key Information Document. The lowest category cannot be equated with a risk-free investment. These factors may affect the value of investments or result in losses.

The investment risk is concentrated in specific sectors, countries, currencies or companies. Consequently, the Fund is more sensitive to localised economic, market, political, sustainability-related or regulatory events.

The value of equities and equity-related securities may be adversely affected by daily price movements on the stock exchanges. Other influencing factors include political and economic news, corporate earnings and significant corporate events.

Specific risks that are not captured in an appropriate manner by the risk indicator include counterparty risk.

8.10 Profile of a typical investor

The Fund is aimed at all types of investors seeking to improve or optimise their assets. Investors must be willing and able to accept significant fluctuations in the value of the shares and the possibility of a significant loss of capital. The Fund is suitable for medium- and long-term investment, though the Fund may also be suitable for shorter term exposure to the Underlying Index.

8.11 Management and miscellaneous expenses

The actual amount of the current fixed fee is listed in the "Overview of Existing Share Classes" in the Special Part of this Sales Prospectus.

9. iShares STOXX Europe 600 Health Care UCITS ETF (DE)

9.1 Overview of existing share classes of the iShares STOXX Europe 600 Health Care (DE)

Share class name	iShares STOXX Europe 600 Health Care UCITS ETF (DE)
German Securities Code (WKN) / ISIN	WKN A0Q4R3 / ISIN DE000A0Q4R36
Listed on a stock exchange	yes
Level of management fee	0.45% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	distributing
Transactions in securities lending and repurchase agreements	no

9.2 Exchanges

The shares of the Sub-fund are admitted for (official) trading on the following stock exchanges:

Frankfurt Stock Exchange

Deutsche Börse AG
Börsenplatz 4
60485 Frankfurt/Main, Germany
Telephone: +49 (0) 69 - 211 - 0
Fax: +49 (0) 69 - 211 - 12005

SIX Swiss Exchange

SIX Swiss Exchange AG
Pfingstweidstrasse 110
8021 Zurich, Switzerland
Telephone: +41 (0) 58 - 399 - 5454
Fax: +41 (0) 58 - 499 - 5455

The possibility of shares also being traded on other markets cannot be excluded.

In all other respects, the information under Point 9 of the General Part shall apply.

9.3 Designated Sponsors

Designated Sponsor(s) for listing on the Frankfurt Stock Exchange: can be checked under www.boerse-frankfurt.de

Market Maker for Listing on the SIX Swiss Exchange: can be checked www.six-group.com

In all other respects, the provisions under Point 9 of the General Part shall apply.

9.4 Licensor and licence agreement

9.4.1 Licensor and licence agreement

The STOXX® Europe 600 Health Care (hereinafter referred to as the "Underlying Index") is a registered trademark of STOXX Ltd. (hereinafter referred to as the "Licensor") and is thus protected against unauthorised use. The Licensor grants licences for the use of the Underlying Index as a benchmark for capital market products.

The Management Company has been granted the right to use the Underlying Index of the sub-fund.

9.4.2 Disclaimer of liability by the Licensor

The Sub-fund is not sponsored, promoted, sold or distributed by the Licensor. Aside from the licensing of the Underlying Index and the permitted use of the trademark in connection with naming the Sub-fund, the Licensor has no connection whatsoever with the Company.

The Licensor gives no guarantee of the accuracy or the completeness of the Underlying Index and the data contained therein. It assumes no liability for errors, omissions or interruptions to the Underlying Index. The Licensor gives no direct or indirect guarantee concerning the results achieved by the Company through the use of the Underlying Index or of the other data contained therein. The Licensor provides no direct or indirect guarantee and assumes no liability as regards the marketability, suitability or use for a specific purpose of the Underlying Index or the data contained therein.

Notwithstanding any of the above, the Licensor shall under no circumstances accept responsibility for any damages caused by or in connection with the Underlying Index or the Sub-fund it underlies. This disclaimer of liability also applies to indirect losses, special damages or consequential losses (including loss of profits) in relation to the Underlying Index or the Sub-fund it underlies, even if the Licensor has been made aware of the assertion of such a claim. No third party shall benefit from any contracts or agreements between the Licensor and the Company.

9.5 Launch date, term and investment objective of the Sub-fund

9.5.1 Launch date and term

The sub-fund was launched on 31 May 2011 and is of unlimited duration.

The investors own an equity interest in the assets of the Sub-fund as co-owners in proportion to the number of shares held.

9.5.2 Investment objective

The objective of the Sub-fund is to achieve the same investment performance as the Underlying Index. For this purpose, it shall track the Underlying Index as closely and as completely as possible.

The Investment Fund shall adopt a passive management strategy to achieve these objectives. In contrast to the active management approach, the Underlying Index is used as the basis for making decisions on the purchase and sale of assets and their respective weightings in the Sub-fund. The passive management strategy and the trading of shares on an exchange have the effect of limiting

management fees and transaction costs charged to the Sub-fund.

9.5.3 Achievability of the investment objective

One obstacle to replicating the performance of the Underlying Index is the fact that the Underlying Index is a statistical model based on certain assumptions. It is assumed, for example, that no transaction costs will be incurred when securities are purchased or sold. In addition, management fees and some tax payments are deducted from the Sub-fund share price, whereas they do not apply at all to the Underlying Index.

Detailed information about the Underlying Index may be obtained in printed or electronic form from the Company or from the Licensor.

NO ASSURANCE CAN BE GIVEN THAT THE INVESTMENT OBJECTIVES WILL ACTUALLY BE ACHIEVED.

9.6 Investment principles

9.6.1 General information

The Company may only acquire the following assets on behalf of the sub-fund:

- a) Securities pursuant to Section 193 KAGB,
 - b) Money market instruments pursuant to Section 194 KAGB,
 - c) Bank accounts pursuant to Section 195 KAGB,
 - d) Derivatives pursuant to Section 197 KAGB,
 - e) Other investment instruments pursuant to Section 198 KAGB,
 - f) Investment units pursuant to Section 196 KAGB, if they are oriented towards replicating the Underlying Index, while maintaining an appropriate risk diversification. Any restrictions on the eligibility result from the "Investment Conditions".
- The Underlying Index is recognised by BaFin and meets the following requirements of the KAGB:
- The composition of the index is sufficiently diversified.
 - The index represents an adequate benchmark for the market to which it relates.
 - The index is published in an appropriate manner.

In addition, and in accordance with Regulation (EU) 2016/1011 of the European Parliament and of the Council, the Licensor is entered with the European Securities and Markets Authority (ESMA) in a public register of administrators and benchmarks.

The ESMA public register of administrators and benchmarks can be consulted at www.esma.europa.eu.

In addition, the Company has drawn up a contingency plan in which it sets out measures it would take if the underlying index were to change significantly or cease to be provided.

Details of the equities included in the Underlying Index are also contained in the most recent annual financial statement or semi-annual report published for the sub-fund.

Because of the relationship between the Sub-fund and the Underlying Index and because certain issuer and investment limits may be exceeded as a result, the principle of risk diversification finds only limited application.

9.6.2 Description of the Index

The STOXX® Europe 600 Health Care Index measures the performance of the European healthcare sector according to the definition of the Industry Classification Benchmark (ICB) and is part of the STOXX® Europe 600 Index. This index includes 600 of the largest securities from 17 European countries. The index is reweighted quarterly, and its components are weighted according to the free-float market capitalisation and limited in order to maintain conformity with UCITS diversity standards. The free-float market capitalisation is the market value of all shares of a company in free circulation available at any time. Further details on the Underlying Index (including its components) are available on the website of the index provider at www.stoxx.com.

9.6.3 Effects of index adjustments

In order to replicate the Underlying Index as closely as possible, fund management must replicate all changes in the composition and weighting of the Underlying Index for the Sub-fund.

Fund management may, at its discretion, determine the timeframes in which the sub-fund will be adjusted and whether an adjustment is appropriate in view of the investment objective.

9.6.4 Replication of the index and priority of direct duplication

To replicate the Underlying Index, only the following assets may be acquired:

- securities included in the Security Index or introduced to it following a change to the index (index securities),
- securities issued on the Underlying Index (index certificates),
- securities issued on individual stocks of the Underlying Index (certificates on individual securities),
- futures contracts on the Underlying Index (index futures),
- futures contracts on individual stocks of the Underlying Index (futures on individual securities),
- warrants on the Underlying Index (index warrants),
- warrants on individual stocks of the Underlying Index (warrants on individual securities), and
- Investment fund units pursuant to Section 9 of the Investment Conditions

In replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in index securities over investments in other assets listed above approved for use in replicating indices. The Underlying Index may only be replicated using assets that indirectly replicate the index for purposes of maintaining the investment restrictions listed in the second sentence under Point 9.7.2.

9.6.5 Duplication percentage

In order to replicate the Underlying Index, the duplication percentage must not be less than 95 percent of the total assets in the sub-fund as defined in Point 9.6.4. Futures contracts shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach in accordance with the regulation on risk

management and risk measurement for the use of derivatives, securities lending and repurchasing agreements in investment funds pursuant to KAGB (hereinafter referred to as "DerivateV"). The duplication percentage reflects the proportion of the above-named securities, certificates, futures contracts, warrants and investment fund units in the sub-fund which matches the weighting of the Underlying Index.

9.6.6 Expected tracking error

The tracking error is defined as the annualised standard deviation of the difference between the returns of a fund and the underlying index. The expected tracking error of the sub-fund refers to the net monthly total returns of the sub-fund and the Underlying Index over a period of three years.

This figure is often of particular interest to investors who trade regularly with index investment assets and hold shares in investment funds only a few days or weeks. For long-term investors with a longer investment horizon the tracking difference between the sub-fund and the underlying index over the intended investment horizon is usually more important. The tracking difference measures the actual difference between the returns of a fund and the returns of the index (i.e., how accurately a fund replicates its underlying index). The tracking error, however, measures the increase and decrease of the tracking difference (i.e. the volatility of the tracking difference). Investors should take both figures into consideration when evaluating an index investment fund.

The tracking error may depend on the sampling methodology selected by the index investment fund. In general, historical data provide evidence that synthetic replication generates a lower tracking error than physical replication, but the same data also often suggest that physical replication generates a lower tracking difference than synthetic replication.

The expected tracking error is based on the expected volatility of the deviations between the returns of the sub-fund and the returns of the Underlying Index. Liquidity management, transaction costs for index adjustments as well as differences between the sub-fund and the Underlying Index in the valuation methodology and the valuation date may also have an effect on the tracking error and the difference between the returns of the sub-fund and the Underlying Index. The effects can be positive or negative depending on the underlying circumstances.

The sub-fund may also have a tracking error as a result of withholding taxes payable by the sub-fund on investment income. The extent of the tracking error resulting from withholding taxes depends on various factors such as refund requests made by the sub-fund to different tax authorities or tax relief for the sub-fund under a double taxation agreement. The expected tracking error for the sub-fund is: 0.40 percent

Investors should note that these are only estimated values for the tracking error under normal market conditions and are therefore not to be understood as fixed limits.

9.7 Issuer and investment limits

9.7.1 Issuer limits

The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and the Investment Conditions.

The Company may invest up to 20 percent of the assets of the sub-fund in securities from a single issuer (debtor). The limit may be increased to up to 35 percent of the value of the sub-fund for securities from a single issuer (debtor). This increase in the limit up to 35 percent is permissible only for one individual issuer (debtor).

For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.

9.7.2 Investment restrictions

The Company may invest no more than 5 percent of the value of the sub-fund in bank accounts and money market instruments in accordance with the "General Investment Conditions". A minimum of 95 percent of the sub-fund must be invested in assets based on the Security Index, as defined in Point 9.6.4.

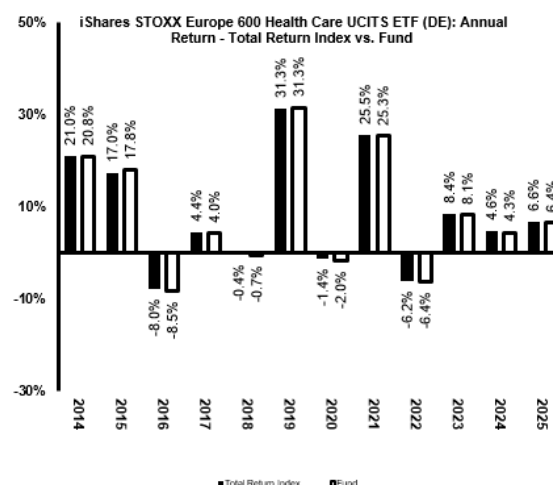
At least 70 percent of the value of the sub-fund shall on an ongoing basis be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds. In determining the volume of assets invested in the aforementioned shares, loans are to be deducted in proportion to the shares' portion of the value of all assets.

If the sub-fund is invested in investment fund units in accordance with Point 6.6, which are valued at least once a week, the Company will base its compliance with the equity fund capital participation quota by the sub-fund on the capital participation quotas published daily by the target investment funds and include them in the calculation of the equity fund capital participation quota for funds.

If in order to replicate the Underlying Index, the Company acquires index certificates or certificates on individual equities as defined in Point 9.6.4, no more than 10 percent of the value of sub-fund assets may be invested in such certificates as defined in Point 9.6.4, which are not admitted for official trading on a stock exchange or listed on a regulated market.

In order to replicate the Underlying Index the Company may invest up to 10 percent of the value of the sub-fund in units of other open-ended domestic and foreign investment funds (target funds) as defined in Point 6.6 of the General Part of this Sales Prospectus. In doing so, the Company may acquire on behalf of the sub-fund no more than 25 percent of the issued units or shares of a target fund. In addition, the target funds may in accordance with their Investment Conditions invest up to 10 percent in units or shares of other target funds. Please see 6.6 of the General Part of this Sales Prospectus for more information.

9.8 Performance



Source: STOXX Ltd./ BlackRock Asset Management Deutschland AG

The performance shown corresponds to the performance of the investment fund iShares STOXX Europe 600 Health Care (DE) through 31 May 2011, which also replicated the STOXX Europe 600 Health Care Index (price index) and whose assets were transferred at the end of the day on 31 May 2011 pursuant to Section 40 InvG in conjunction with Section 14 InvStG to the sub-fund iShares STOXX Europe 600 Health Care UCITS ETF (DE) (formerly iShares STOXX Europe 600 Health Care (DE)).

Past performance of the Sub-fund is not a predictor of future results for the Sub-fund.

9.9 Explanation of the risk profile of the Fund

The risk profile is based on a return and risk scale of 1 to 7, where 1 indicates a fairly low risk, but also typically lower returns, and 7 indicates a fairly high risk, but also typically higher returns.

The Fund is currently in category 4 because of the nature of its investments, which include the risks listed below.

The indicator is based on historical data and may not be a reliable indication of the future risk profile of the Fund. The risk category shown is not guaranteed and may change over time. The relevant current categorisation can be found in the Key Information Document. The lowest category cannot be equated with a risk-free investment. These factors may affect the value of investments or result in losses.

The investment risk is concentrated in specific sectors, countries, currencies or companies. Consequently, the Fund is more sensitive to localised economic, market, political, sustainability-related or regulatory events.

The value of equities and equity-related securities may be adversely affected by daily price movements on the stock exchanges. Other influencing factors include political and economic news, corporate earnings and significant corporate events.

Specific risks that are not captured in an appropriate manner by the risk indicator include counterparty risk.

9.10 Profile of a typical investor

The Fund is aimed at all types of investors seeking to improve or optimise their assets. Investors must be willing and able to accept significant fluctuations in the value of the shares and the possibility of a significant loss of capital. The Fund is suitable for medium- and long-term investment, though the Fund may also be suitable for shorter term exposure to the Underlying Index.

9.11 Management and miscellaneous expenses

The actual amount of the fixed fee is listed in the "Overview of existing share classes" in the Special Part of the Sales Prospectus.

10. iShares STOXX Europe 600 Industrial Goods & Services UCITS ETF (DE)

10.1 Overview of existing share classes of the iShares STOXX Europe 600 Industrial Goods & Services UCITS ETF (DE)

Share class name	iShares STOXX Europe 600 Industrial Goods & Services UCITS ETF (DE)
German Securities Code (WKN) / ISIN	WKN A0H08J / ISIN DE000A0H08J9
Listed on a stock exchange	yes
Level of management fee	0.45% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	distributing
Transactions in securities lending and repurchase agreements	no

10.2 Exchanges

The shares of the Sub-fund are admitted for (official) trading on the following stock exchanges:

Frankfurt Stock Exchange

Deutsche Börse AG
Börsenplatz 4
60485 Frankfurt/Main, Germany
Telephone: +49 (0) 69 - 211 - 0
Fax: +49 (0) 69 - 211 - 12005

BX Swiss

BX Swiss AG
Talstrasse 70
8001 Zürich, Schweiz
Telephone: +41 (0) 31 - 329 - 4040

Bolsa Mexicana de Valores

Bolsa Mexicana de Valores S.A.B. de C.V.
Av. Paseo de la Reforma 255 Juárez Cuauhtémoc 06500
Ciudad de México, D. F., Mexico
Telephone: +52 (0) 55 5342 - 9000
Fax: +52 (0) 555 726 6805

The possibility of shares also being traded on other markets cannot be excluded.

In all other respects, the information under Point 9 of the General Part shall apply.

10.3 Designated Sponsors

Designated Sponsor(s) for listing on the Frankfurt Stock Exchange: can be checked under www.boerse-frankfurt.de

Market Maker for Listing on the BX Swiss: can be checked under www.bxswiss.com

In all other respects, the provisions under Point 9 of the General Part shall apply.

10.4 Licensor and licence agreement

10.4.1 Licensor and licence agreement

STOXX® Europe 600 Industrial Goods & Services (hereinafter referred to as the "Underlying Index") is a registered trademark of STOXX Ltd. (hereinafter referred to as the "Licensor") and is thus protected against unauthorised use. The Licensor grants licences for the use of the Underlying Index as a benchmark for capital market products.

The Management Company has been granted the right to use the Underlying Index of the sub-fund.

10.4.2 Disclaimer of liability by the Licensor

The Sub-fund is not sponsored, promoted, sold or distributed by the Licensor. Aside from the licensing of the Underlying Index and the permitted use of the trademark in connection with naming the Sub-fund, the Licensor has no connection whatsoever with the Company.

The Licensor gives no guarantee of the accuracy or the completeness of the Underlying Index and the data contained therein. It assumes no liability for errors, omissions or interruptions to the Underlying Index. The Licensor gives no direct or indirect guarantee concerning the results achieved by the Company through the use of the Underlying Index or of the other data contained therein. The Licensor provides no direct or indirect guarantee and assumes no liability as regards the marketability, suitability or use for a specific purpose of the Underlying Index or the data contained therein.

Notwithstanding any of the above, the Licensor shall under no circumstances accept responsibility for any damages caused by or in connection with the Underlying Index or the Sub-fund it underlies. This disclaimer of liability also applies to indirect losses, special damages or consequential losses (including loss of profits) in relation to the Underlying Index or the Sub-fund it underlies, even if the Licensor has been made aware of the assertion of such a claim. No third party shall benefit from any contracts or agreements between the Licensor and the Company.

10.5 Launch date, term and investment objective of the Sub-fund

10.5.1 Launch date and term

The sub-fund was launched on 31 May 2011 and is of unlimited duration.

The investors own an equity interest in the assets of the Sub-fund as co-owners in proportion to the number of shares held.

10.5.2 Investment objective

The objective of the Sub-fund is to achieve the same investment performance as the Underlying Index. For this purpose, it shall track the Underlying Index as closely and as completely as possible.

The Investment Fund shall adopt a passive management strategy to achieve these objectives. In contrast to the active management approach, the Underlying Index is used as the basis for making decisions on the purchase and sale of assets and their respective weightings in the Sub-fund. The passive management strategy and the trading of shares on an exchange have the effect of limiting

management fees and transaction costs charged to the Sub-fund.

10.5.3 Achievability of the investment objective

One obstacle to replicating the performance of the Underlying Index is the fact that the Underlying Index is a statistical model based on certain assumptions. It is assumed, for example, that no transaction costs will be incurred when securities are purchased or sold. In addition, management fees and some tax payments are deducted from the Sub-fund share price, whereas they do not apply at all to the Underlying Index.

Detailed information about the Underlying Index may be obtained in printed or electronic form from the Company or from the Licensor.

NO ASSURANCE CAN BE GIVEN THAT THE INVESTMENT OBJECTIVES WILL ACTUALLY BE ACHIEVED.

10.6 Investment principles

10.6.1 General information

The Company may only acquire the following assets on behalf of the sub-fund:

- a) Securities pursuant to Section 193 KAGB,
- b) Money market instruments pursuant to Section 194 KAGB,
- c) Bank accounts pursuant to Section 195 KAGB,
- d) Derivatives pursuant to Section 197 KAGB,
- e) Other investment instruments pursuant to Section 198 KAGB,
- f) Investment units pursuant to Section 196 KAGB, if they are oriented towards replicating the Underlying Index, while maintaining an appropriate risk diversification. Any restrictions on the eligibility result from the "Investment Conditions".

The Underlying Index is recognised by BaFin and meets the following requirements of the KAGB:

- The composition of the index is sufficiently diversified.
- The index represents an adequate benchmark for the market to which it relates.
- The index is published in an appropriate manner.

In addition, and in accordance with Regulation (EU) 2016/1011 of the European Parliament and of the Council, the Licensor is entered with the European Securities and Markets Authority (ESMA) in a public register of administrators and benchmarks.

The ESMA public register of administrators and benchmarks can be consulted at www.esma.europa.eu.

In addition, the Company has drawn up a contingency plan in which it sets out measures it would take if the underlying index were to change significantly or cease to be provided.

Details of the equities included in the Underlying Index are also contained in the most recent annual financial statement or semi-annual report published for the sub-fund.

Because of the relationship between the Sub-fund and the Underlying Index and because certain issuer and investment limits may be exceeded as a result, the principle of risk diversification finds only limited application.

10.6.2 Description of the Index

The STOXX® Europe 600 Industrial Goods & Services Index measures the performance of the European industrial goods & services sector according to the definition of the Industry Classification Benchmark (ICB) and is part of the STOXX® Europe 600 Index. This index includes 600 of the largest securities from 17 European countries. The index is reweighted quarterly, and its components are weighted according to the free-float market capitalisation and limited in order to maintain conformity with UCITS diversity standards. The free-float market capitalisation is the market value of all shares of a company in free circulation available at any time. Further details on the Underlying Index (including its components) are available on the website of the index provider at www.stoxx.com.

10.6.3 Effects of index adjustments

In order to replicate the Underlying Index as closely as possible, fund management must replicate all changes in the composition and weighting of the Underlying Index for the Sub-fund.

Fund management may, at its discretion, determine the timeframes in which the sub-fund will be adjusted and whether an adjustment is appropriate in view of the investment objective.

10.6.4 Replication of the index and priority of direct duplication

To replicate the Underlying Index, only the following assets may be acquired:

- securities included in the Security Index or introduced to it following a change to the index (index securities),
- securities issued on the Underlying Index (index certificates),
- securities issued on individual stocks of the Underlying Index (certificates on individual securities),
- futures contracts on the Underlying Index (index futures),
- futures contracts on individual stocks of the Underlying Index (futures on individual securities),
- warrants on the Underlying Index (index warrants),
- warrants on individual stocks of the Underlying Index (warrants on individual securities), and
- Investment fund units pursuant to Section 9 of the Investment Conditions

In replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in index securities over investments in other assets listed above approved for use in replicating indices. The Underlying Index may only be replicated using assets that indirectly replicate the index for purposes of maintaining the investment restrictions listed in the second sentence under Point 10.7.2.

10.6.5 Duplication percentage

In order to replicate the Underlying Index, the duplication percentage must not be less than 95 percent of the total assets in the sub-fund as defined in Point 10.6.4. Futures contracts shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach in accordance with the regulation on risk

management and risk measurement for the use of derivatives, securities lending and repurchasing agreements in investment funds pursuant to KAGB (hereinafter referred to as "DerivateV"). The duplication percentage reflects the proportion of the above-named securities, certificates, futures contracts, warrants and investment fund units in the sub-fund which matches the weighting of the Underlying Index.

10.6.6 Expected tracking error

The tracking error is defined as the annualised standard deviation of the difference between the returns of a fund and the underlying index. The expected tracking error of the sub-fund refers to the net monthly total returns of the sub-fund and the Underlying Index over a period of three years.

This figure is often of particular interest to investors who trade regularly with index investment assets and hold shares in investment funds only a few days or weeks. For long-term investors with a longer investment horizon the tracking difference between the sub-fund and the underlying index over the intended investment horizon is usually more important. The tracking difference measures the actual difference between the returns of a fund and the returns of the index (i.e., how accurately a fund replicates its underlying index). The tracking error, however, measures the increase and decrease of the tracking difference (i.e. the volatility of the tracking difference). Investors should take both figures into consideration when evaluating an index investment fund.

The tracking error may depend on the sampling methodology selected by the index investment fund. In general, historical data provide evidence that synthetic replication generates a lower tracking error than physical replication, but the same data also often suggest that physical replication generates a lower tracking difference than synthetic replication.

The expected tracking error is based on the expected volatility of the deviations between the returns of the sub-fund and the returns of the Underlying Index. Liquidity management, transaction costs for index adjustments as well as differences between the sub-fund and the Underlying Index in the valuation methodology and the valuation date may also have an effect on the tracking error and the difference between the returns of the sub-fund and the Underlying Index. The effects can be positive or negative depending on the underlying circumstances.

The sub-fund may also have a tracking error as a result of withholding taxes payable by the sub-fund on investment income. The extent of the tracking error resulting from withholding taxes depends on various factors such as refund requests made by the sub-fund to different tax authorities or tax relief for the sub-fund under a double taxation agreement.

The expected tracking error for the sub-fund is: 0.30 percent

Investors should note that these are only estimated values for the tracking error under normal market conditions and are therefore not to be understood as fixed limits.

10.7 Issuer and investment limits

10.7.1 Issuer limits

The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and the Investment Conditions.

The Company may invest up to 20 percent of the assets of the sub-fund in securities from a single issuer (debtor). The limit may be increased to up to 35 percent of the value of the sub-fund for securities from a single issuer (debtor). This increase in the limit up to 35 percent is permissible only for one individual issuer (debtor).

For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.

10.7.2 Investment restrictions

The Company may invest no more than 5 percent of the value of the sub-fund in bank accounts and money market instruments in accordance with the "General Investment Conditions". A minimum of 95 percent of the sub-fund must be invested in assets based on the Security Index, as defined in Point 10.6.4.

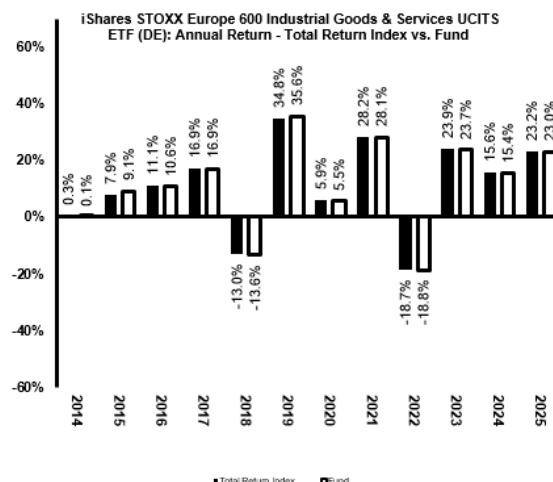
At least 85 percent of the value of the sub-fund shall on an ongoing basis be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds. In determining the volume of assets invested in the aforementioned shares, loans are to be deducted in proportion to the shares' portion of the value of all assets.

If the sub-fund is invested in investment fund units in accordance with Point 6.6, which are valued at least once a week, the Company will base its compliance with the equity fund capital participation quota by the sub-fund on the capital participation quotas published daily by the target investment funds and include them in the calculation of the equity fund capital participation quota for funds.

If in order to replicate the Underlying Index, the Company acquires index certificates or certificates on individual equities as defined in Point 10.6.4, no more than 10 percent of the value of sub-fund assets may be invested in such certificates as defined in Point 10.6.4, which are not admitted for official trading on a stock exchange or listed on a regulated market.

In order to replicate the Underlying Index the Company may invest up to 10 percent of the value of the sub-fund in units of other open-ended domestic and foreign investment funds (target funds) as defined in Point 6.6 of the General Part of this Sales Prospectus. In doing so, the Company may acquire on behalf of the sub-fund no more than 25 percent of the issued units or shares of a target fund. In addition, the target funds may in accordance with their Investment Conditions invest up to 10 percent in units or shares of other target funds. Please see 6.6 of the General Part of this Sales Prospectus for more information.

10.8 Performance



Source: STOXX Ltd./ BlackRock Asset Management Deutschland AG

The performance shown corresponds to the performance of the investment fund iShares STOXX Europe 600 Industrial Goods & Services (DE) through 31 May 2011, which also replicated the STOXX Europe 600 Industrial Goods & Services Index (price index) and whose assets were transferred at the end of the day on 31 May 2011 pursuant to Section 40 InvG in conjunction with Section 14 InvStG to the sub-fund iShares STOXX Europe 600 Industrial Goods & Services UCITS ETF (DE) (formerly iShares STOXX Europe 600 Industrial Goods & Services (DE)).

Past performance of the Sub-fund is not a predictor of future results for the Sub-fund.

10.9 Explanation of the risk profile of the Fund

The risk profile is based on a return and risk scale of 1 to 7, where 1 indicates a fairly low risk, but also typically lower returns, and 7 indicates a fairly high risk, but also typically higher returns.

The Fund is currently in category 5 because of the nature of its investments, which include the risks listed below.

The indicator is based on historical data and may not be a reliable indication of the future risk profile of the Fund. The risk category shown is not guaranteed and may change over time. The relevant current categorisation can be found in the Key Information Document. The lowest category cannot be equated with a risk-free investment. These factors may affect the value of investments or result in losses.

The investment risk is concentrated in specific sectors, countries, currencies or companies. Consequently, the Fund is more sensitive to localised economic, market, political, sustainability-related or regulatory events.

The value of equities and equity-related securities may be adversely affected by daily price movements on the stock exchanges. Other influencing factors include political and economic news, corporate earnings and significant corporate events.

Specific risks that are not captured in an appropriate manner by the risk indicator include counterparty risk.

10.10 Profile of a typical investor

The Fund is aimed at all types of investors seeking to improve or optimise their assets. Investors must be willing and able to accept significant fluctuations in the value of the shares and the possibility of a significant loss of capital. The Fund is suitable for medium- and long-term investment, though the Fund may also be suitable for shorter term exposure to the Underlying Index.

10.11 Management and miscellaneous expenses

The actual amount of the fixed fee is listed in the "Overview of existing share classes" in the Special Part of the Sales Prospectus.

11. iShares STOXX Europe 600 Insurance UCITS ETF (DE)

11.1 Overview of existing share classes of the iShares STOXX Europe 600 Insurance UCITS ETF (DE)

Share class name	iShares STOXX Europe 600 Insurance UCITS ETF (DE)
German Securities Code (WKN) / ISIN	WKN A0H08K / ISIN DE000A0H08K7
Listed on a stock exchange	yes
Level of management fee	0.45% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	distributing
Transactions in securities lending and repurchase agreements	no

11.2 Exchanges

The shares of the Sub-fund are admitted for (official) trading on the following stock exchanges:

Frankfurt Stock Exchange

Deutsche Börse AG
Börsenplatz 4
60485 Frankfurt/Main, Germany
Telephone: +49 (0) 69 - 211 - 0
Fax: +49 (0) 69 - 211 - 12005

BX Swiss AG

BX Swiss AG
Talstrasse 70
8001 Zurich, Switzerland
Telephone: +41 (0) 31 - 329 - 4040

The possibility of shares also being traded on other markets cannot be excluded.

In all other respects, the information under Point 9 of the General Part shall apply.

11.3 Designated Sponsors

Designated Sponsor(s) for listing on the Frankfurt Stock Exchange: can be checked under www.boerse-frankfurt.de

Market Maker for Listing on the BX Swiss: can be checked www.bxswiss.com

In all other respects, the provisions under Point 9 of the General Part shall apply.

11.4 Licensor and licence agreement

11.4.1 Licensor and licence agreement

The STOXX® Europe 600 Insurance (hereinafter referred to as the "Underlying Index") is a registered trademark of STOXX Ltd. (hereinafter referred to as the "Licensor") and is thus protected against unauthorised use. The Licensor grants licences for the use of the Underlying Index as a benchmark for capital market products.

The Management Company has been granted the right to use the Underlying Index of the sub-fund.

11.4.2 Disclaimer of liability by the Licensor

The Sub-fund is not sponsored, promoted, sold or distributed by the Licensor. Aside from the licensing of the Underlying Index and the permitted use of the trademark in connection with naming the Sub-fund, the Licensor has no connection whatsoever with the Company.

The Licensor gives no guarantee of the accuracy or the completeness of the Underlying Index and the data contained therein. It assumes no liability for errors, omissions or interruptions to the Underlying Index. The Licensor gives no direct or indirect guarantee concerning the results achieved by the Company through the use of the Underlying Index or of the other data contained therein. The Licensor provides no direct or indirect guarantee and assumes no liability as regards the marketability, suitability or use for a specific purpose of the Underlying Index or the data contained therein.

Notwithstanding any of the above, the Licensor shall under no circumstances accept responsibility for any damages caused by or in connection with the Underlying Index or the Sub-fund it underlies. This disclaimer of liability also applies to indirect losses, special damages or consequential losses (including loss of profits) in relation to the Underlying Index or the Sub-fund it underlies, even if the Licensor has been made aware of the assertion of such a claim. No third party shall benefit from any contracts or agreements between the Licensor and the Company.

11.5 Launch date, term and investment objective of the Sub-fund

11.5.1 Launch date and term

The sub-fund was launched on 31 May 2011 and is of unlimited duration.

The investors own an equity interest in the assets of the Sub-fund as co-owners in proportion to the number of shares held.

11.5.2 Investment objective

The objective of the Sub-fund is to achieve the same investment performance as the Underlying Index. For this purpose, it shall track the Underlying Index as closely and as completely as possible.

The Investment Fund shall adopt a passive management strategy to achieve these objectives. In contrast to the active management approach, the Underlying Index is used as the basis for making decisions on the purchase and sale of assets and their respective weightings in the Sub-fund. The passive management strategy and the trading of shares on an exchange have the effect of limiting

management fees and transaction costs charged to the Sub-fund.

11.5.3 Achievability of the investment objective

One obstacle to replicating the performance of the Underlying Index is the fact that the Underlying Index is a statistical model based on certain assumptions. It is assumed, for example, that no transaction costs will be incurred when securities are purchased or sold. In addition, management fees and some tax payments are deducted from the Sub-fund share price, whereas they do not apply at all to the Underlying Index.

Detailed information about the Underlying Index may be obtained in printed or electronic form from the Company or from the Licensor.

NO ASSURANCE CAN BE GIVEN THAT THE INVESTMENT OBJECTIVES WILL ACTUALLY BE ACHIEVED.

11.6 Investment principles

11.6.1 General information

The Company may only acquire the following assets on behalf of the sub-fund:

- a) Securities pursuant to Section 193 KAGB,
 - b) Money market instruments pursuant to Section 194 KAGB,
 - c) Bank accounts pursuant to Section 195 KAGB,
 - d) Derivatives pursuant to Section 197 KAGB,
 - e) Other investment instruments pursuant to Section 198 KAGB,
 - f) Investment units pursuant to Section 196 KAGB, if they are oriented towards replicating the Underlying Index, while maintaining an appropriate risk diversification. Any restrictions on the eligibility result from the "Investment Conditions".
- The Underlying Index is recognised by BaFin and meets the following requirements of the KAGB:
- The composition of the index is sufficiently diversified.
 - The index represents an adequate benchmark for the market to which it relates.
 - The index is published in an appropriate manner.

In addition, and in accordance with Regulation (EU) 2016/1011 of the European Parliament and of the Council, the Licensor is entered with the European Securities and Markets Authority (ESMA) in a public register of administrators and benchmarks.

The ESMA public register of administrators and benchmarks can be consulted at www.esma.europa.eu.

In addition, the Company has drawn up a contingency plan in which it sets out measures it would take if the underlying index were to change significantly or cease to be provided.

Details of the equities included in the Underlying Index are also contained in the most recent annual financial statement or semi-annual report published for the sub-fund.

Because of the relationship between the Sub-fund and the Underlying Index and because certain issuer and investment limits may be exceeded as a result, the principle of risk diversification finds only limited application.

11.6.2 Description of the Index

The STOXX® Europe 600 Insurance Index measures the performance of the European insurance industry according to the definition of the Industry Classification Benchmark (ICB) and is part of the STOXX® Europe 600 Index. This index includes 600 of the largest securities from 17 European countries. The index is reweighted quarterly, and its components are weighted according to the free-float market capitalisation and limited in order to maintain conformity with UCITS diversity standards. The free-float market capitalisation is the market value of all shares of a company in free circulation available at any time. Further details on the Underlying Index (including its components) are available on the website of the index provider at www.stoxx.com.

11.6.3 Effects of index adjustments

In order to replicate the Underlying Index as closely as possible, fund management must replicate all changes in the composition and weighting of the Underlying Index for the Sub-fund.

Fund management may, at its discretion, determine the timeframes in which the sub-fund will be adjusted and whether an adjustment is appropriate in view of the investment objective.

11.6.4 Replication of the index and priority of direct duplication

To replicate the Underlying Index, only the following assets may be acquired:

- securities included in the Security Index or introduced to it following a change to the index (index securities),
- securities issued on the Underlying Index (index certificates),
- securities issued on individual stocks of the Underlying Index (certificates on individual securities),
- futures contracts on the Underlying Index (index futures),
- futures contracts on individual stocks of the Underlying Index (futures on individual securities),
- warrants on the Underlying Index (index warrants),
- warrants on individual stocks of the Underlying Index (warrants on individual securities), and
- Investment fund units pursuant to Section 9 of the Investment Conditions

In replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in index securities over investments in other assets listed above approved for use in replicating indices. The Underlying Index may only be replicated using assets that indirectly replicate the index for purposes of maintaining the investment restrictions listed in the second sentence under Point 11.7.2.

11.6.5 Duplication percentage

In order to replicate the Underlying Index, the duplication percentage must not be less than 95 percent of the total assets in the sub-fund as defined in Point 11.6.4. Futures contracts shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach in accordance with the regulation on risk

management and risk measurement for the use of derivatives, securities lending and repurchasing agreements in investment funds pursuant to KAGB (hereinafter referred to as "DerivateV"). The duplication percentage reflects the proportion of the above-named securities, certificates, futures contracts, warrants and investment fund units in the sub-fund which matches the weighting of the Underlying Index.

11.6.6 Expected tracking error

The tracking error is defined as the annualised standard deviation of the difference between the returns of a fund and the underlying index. The expected tracking error of the sub-fund refers to the net monthly total returns of the sub-fund and the Underlying Index over a period of three years.

This figure is often of particular interest to investors who trade regularly with index investment assets and hold shares in investment funds only a few days or weeks. For long-term investors with a longer investment horizon the tracking difference between the sub-fund and the underlying index over the intended investment horizon is usually more important. The tracking difference measures the actual difference between the returns of a fund and the returns of the index (i.e., how accurately a fund replicates its underlying index). The tracking error, however, measures the increase and decrease of the tracking difference (i.e. the volatility of the tracking difference). Investors should take both figures into consideration when evaluating an index investment fund.

The tracking error may depend on the sampling methodology selected by the index investment fund. In general, historical data provide evidence that synthetic replication generates a lower tracking error than physical replication, but the same data also often suggest that physical replication generates a lower tracking difference than synthetic replication.

The expected tracking error is based on the expected volatility of the deviations between the returns of the sub-fund and the returns of the Underlying Index. Liquidity management, transaction costs for index adjustments as well as differences between the sub-fund and the Underlying Index in the valuation methodology and the valuation date may also have an effect on the tracking error and the difference between the returns of the sub-fund and the Underlying Index. The effects can be positive or negative depending on the underlying circumstances.

The sub-fund may also have a tracking error as a result of withholding taxes payable by the sub-fund on investment income. The extent of the tracking error resulting from withholding taxes depends on various factors such as refund requests made by the sub-fund to different tax authorities or tax relief for the sub-fund under a double taxation agreement. The expected tracking error for the sub-fund is: 0.65 percent

Investors should note that these are only estimated values for the tracking error under normal market conditions and are therefore not to be understood as fixed limits.

11.7 Issuer and investment limits

11.7.1 Issuer limits

The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and the Investment Conditions.

The Company may invest up to 20 percent of the assets of the sub-fund in securities from a single issuer (debtor). The limit may be increased to up to 35 percent of the value of the sub-fund for securities from a single issuer (debtor). This increase in the limit up to 35 percent is permissible only for one individual issuer (debtor).

For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.

11.7.2 Investment restrictions

The Company may invest no more than 5 percent of the value of the sub-fund in bank accounts and money market instruments in accordance with the "General Investment Conditions". A minimum of 95 percent of the sub-fund must be invested in assets based on the Security Index, as defined in Point 11.6.4.

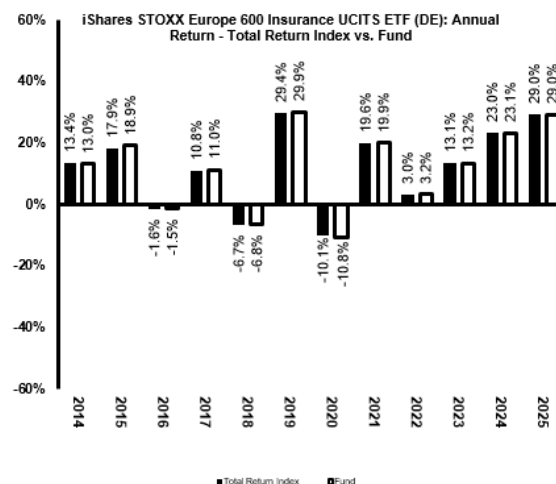
At least 85 percent of the value of the sub-fund shall on an ongoing basis be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds. In determining the volume of assets invested in the aforementioned shares, loans are to be deducted in proportion to the shares' portion of the value of all assets.

If the sub-fund is invested in investment fund units in accordance with Point 6.6, which are valued at least once a week, the Company will base its compliance with the equity fund capital participation quota by the sub-fund on the capital participation quotas published daily by the target investment funds and include them in the calculation of the equity fund capital participation quota for funds.

If in order to replicate the Underlying Index, the Company acquires index certificates or certificates on individual equities as defined in Point 11.6.4, no more than 10 percent of the value of sub-fund assets may be invested in such certificates as defined in Point 11.6.4, which are not admitted for official trading on a stock exchange or listed on a regulated market.

In order to replicate the Underlying Index the Company may invest up to 10 percent of the value of the sub-fund in units of other open-ended domestic and foreign investment funds (target funds) as defined in Point 6.6 of the General Part of this Sales Prospectus. In doing so, the Company may acquire on behalf of the sub-fund no more than 25 percent of the issued units or shares of a target fund. In addition, the target funds may in accordance with their Investment Conditions invest up to 10 percent in units or shares of other target funds. Please see 6.6 of the General Part of this Sales Prospectus for more information.

11.8 Performance



Source: STOXX Ltd./ BlackRock Asset Management Deutschland AG

The performance shown corresponds to the performance of the investment fund iShares STOXX Europe 600 Insurance (DE) through 31 May 2011, which also replicated the STOXX Europe 600 Insurance Index (price index) and whose assets were transferred at the end of the day on 31 May 2011 pursuant to Section 40 InvG in conjunction with Section 14 InvStG to the sub-fund iShares STOXX Europe 600 Insurance UCITS ETF (DE) (formerly iShares STOXX Europe 600 Insurance (DE)).

Past performance of the Sub-fund is not a predictor of future results for the Sub-fund.

11.9 Explanation of the risk profile of the Fund

The risk profile is based on a return and risk scale of 1 to 7, where 1 indicates a fairly low risk, but also typically lower returns, and 7 indicates a fairly high risk, but also typically higher returns.

The Fund is currently in category 5 because of the nature of its investments, which include the risks listed below.

The indicator is based on historical data and may not be a reliable indication of the future risk profile of the Fund. The risk category shown is not guaranteed and may change over time. The relevant current categorisation can be found in the Key Information Document. The lowest category cannot be equated with a risk-free investment. These factors may affect the value of investments or result in losses.

The investment risk is concentrated in specific sectors, countries, currencies or companies. Consequently, the Fund is more sensitive to localised economic, market, political, sustainability-related or regulatory events.

The value of equities and equity-related securities may be adversely affected by daily price movements on the stock exchanges. Other influencing factors include political and economic news, corporate earnings and significant corporate events.

Specific risks that are not captured in an appropriate manner by the risk indicator include counterparty risk.

11.10 Profile of a typical investor

The Fund is aimed at all types of investors seeking to improve or optimise their assets. Investors must be willing and able to accept significant fluctuations in the value of the shares and the possibility of a significant loss of capital. The Fund is suitable for medium- and long-term investment, though the Fund may also be suitable for shorter term exposure to the Underlying Index.

11.11 Management and miscellaneous expenses

The actual amount of the fixed fee is listed in the "Overview of existing share classes" in the Special Part of the Sales Prospectus.

12. iShares STOXX Europe 600 Media UCITS ETF (DE)

12.1 Overview of existing share classes of the iShares STOXX Europe 600 Media UCITS ETF (DE)

Share class name	iShares STOXX Europe 600 Media UCITS ETF (DE)
German Securities Code (WKN) / ISIN	WKN A0H08L / ISIN DE000A0H08L5
Listed on a stock exchange	yes
Level of management fee	0.45% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	distributing
Transactions in securities lending and repurchase agreements	no

12.2 Exchanges

The shares of the Sub-fund are admitted for (official) trading on the following stock exchanges:

Frankfurt Stock Exchange

Deutsche Börse AG
Börsenplatz 4
60485 Frankfurt/Main, Germany
Telephone: +49 (0) 69 - 211 - 0
Fax: +49 (0) 69 - 211 - 12005

BX Swiss

BX Swiss AG
Talstrasse 70
8001 Zürich, Schweiz
Telephone: +41 (0) 31 - 329 - 4040

The possibility of shares also being traded on other markets cannot be excluded.

In all other respects, the information under Point 9 of the General Part shall apply.

12.3 Designated Sponsors

Designated Sponsor(s) for listing on the Frankfurt Stock Exchange: can be checked under www.boerse-frankfurt.de

Market Maker for Listing on the BX Swiss: can be checked under www.bxswiss.com

In all other respects, the provisions under Point 9 of the General Part shall apply.

12.4 Licensor and licence agreement

12.4.1 Licensor and licence agreement

The STOXX® Europe 600 Media (hereinafter referred to as the "Underlying Index") is a registered trademark of STOXX Ltd. (hereinafter referred to as the "Licensor") and is thus protected against unauthorised use. The Licensor grants licences for the use of the Underlying Index as a benchmark for capital market products.

The Management Company has been granted the right to use the Underlying Index of the sub-fund.

12.4.2 Disclaimer of liability by the Licensor

The Sub-fund is not sponsored, promoted, sold or distributed by the Licensor. Aside from the licensing of the Underlying Index and the permitted use of the trademark in connection with naming the Sub-fund, the Licensor has no connection whatsoever with the Company.

The Licensor gives no guarantee of the accuracy or the completeness of the Underlying Index and the data contained therein. It assumes no liability for errors, omissions or interruptions to the Underlying Index. The Licensor gives no direct or indirect guarantee concerning the results achieved by the Company through the use of the Underlying Index or of the other data contained therein. The Licensor provides no direct or indirect guarantee and assumes no liability as regards the marketability, suitability or use for a specific purpose of the Underlying Index or the data contained therein.

Notwithstanding any of the above, the Licensor shall under no circumstances accept responsibility for any damages caused by or in connection with the Underlying Index or the Sub-fund it underlies. This disclaimer of liability also applies to indirect losses, special damages or consequential losses (including loss of profits) in relation to the Underlying Index or the Sub-fund it underlies, even if the Licensor has been made aware of the assertion of such a claim. No third party shall benefit from any contracts or agreements between the Licensor and the Company.

12.5 Launch date, term and investment objective of the Sub-fund

12.5.1 Launch date and term

The sub-fund was launched on 31 May 2011 and is of unlimited duration.

The investors own an equity interest in the assets of the Sub-fund as co-owners in proportion to the number of shares held.

12.5.2 Investment objective

The objective of the Sub-fund is to achieve the same investment performance as the Underlying Index. For this purpose, it shall track the Underlying Index as closely and as completely as possible.

The Investment Fund shall adopt a passive management strategy to achieve these objectives. In contrast to the active management approach, the Underlying Index is used as the basis for making decisions on the purchase and sale of assets and their respective weightings in the Sub-fund. The passive management strategy and the trading of shares on an exchange have the effect of limiting

management fees and transaction costs charged to the Sub-fund.

12.5.3 Achievability of the investment objective

One obstacle to replicating the performance of the Underlying Index is the fact that the Underlying Index is a statistical model based on certain assumptions. It is assumed, for example, that no transaction costs will be incurred when securities are purchased or sold. In addition, management fees and some tax payments are deducted from the Sub-fund share price, whereas they do not apply at all to the Underlying Index.

Detailed information about the Underlying Index may be obtained in printed or electronic form from the Company or from the Licensor.

NO ASSURANCE CAN BE GIVEN THAT THE INVESTMENT OBJECTIVES WILL ACTUALLY BE ACHIEVED.

12.6 Investment principles

12.6.1 General information

The Company may only acquire the following assets on behalf of the sub-fund:

- a) Securities pursuant to Section 193 KAGB,
 - b) Money market instruments pursuant to Section 194 KAGB,
 - c) Bank accounts pursuant to Section 195 KAGB,
 - d) Derivatives pursuant to Section 197 KAGB,
 - e) Other investment instruments pursuant to Section 198 KAGB,
 - f) Investment units pursuant to Section 196 KAGB, if they are oriented towards replicating the Underlying Index, while maintaining an appropriate risk diversification. Any restrictions on the eligibility result from the "Investment Conditions".
- The Underlying Index is recognised by BaFin and meets the following requirements of the KAGB:
- The composition of the index is sufficiently diversified.
 - The index represents an adequate benchmark for the market to which it relates.
 - The index is published in an appropriate manner.

In addition, and in accordance with Regulation (EU) 2016/1011 of the European Parliament and of the Council, the Licensor is entered with the European Securities and Markets Authority (ESMA) in a public register of administrators and benchmarks.

The ESMA public register of administrators and benchmarks can be consulted at www.esma.europa.eu.

In addition, the Company has drawn up a contingency plan in which it sets out measures it would take if the underlying index were to change significantly or cease to be provided.

Details of the equities included in the Underlying Index are also contained in the most recent annual financial statement or semi-annual report published for the sub-fund.

Because of the relationship between the Sub-fund and the Underlying Index and because certain issuer and investment limits may be exceeded as a result, the principle of risk diversification finds only limited application.

12.6.2 Description of the Index

The STOXX® Europe 600 Media Index measures the performance of the European media industry according to the definition of the Industry Classification Benchmark (ICB) and is part of the STOXX® Europe 600 Index. This index includes 600 of the largest securities from 17 European countries. The index is reweighted quarterly, and its components are weighted according to the free-float market capitalisation and limited in order to maintain conformity with UCITS diversity standards. The free-float market capitalisation is the market value of all shares of a company in free circulation available at any time. Further details on the Underlying Index (including its components) are available on the website of the index provider at www.stoxx.com.

12.6.3 Effects of index adjustments

In order to replicate the Underlying Index as closely as possible, fund management must replicate all changes in the composition and weighting of the Underlying Index for the Sub-fund.

Fund management may, at its discretion, determine the timeframes in which the sub-fund will be adjusted and whether an adjustment is appropriate in view of the investment objective.

12.6.4 Replication of the index and priority of direct duplication

To replicate the Underlying Index, only the following assets may be acquired:

- securities included in the Security Index or introduced to it following a change to the index (index securities),
- securities issued on the Underlying Index (index certificates),
- securities issued on individual stocks of the Underlying Index (certificates on individual securities),
- futures contracts on the Underlying Index (index futures),
- futures contracts on individual stocks of the Underlying Index (futures on individual securities),
- warrants on the Underlying Index (index warrants),
- warrants on individual stocks of the Underlying Index (warrants on individual securities), and
- Investment fund units pursuant to Section 9 of the Investment Conditions

In replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in index securities over investments in other assets listed above approved for use in replicating indices. The Underlying Index may only be replicated using assets that indirectly replicate the index for purposes of maintaining the investment restrictions listed in the second sentence under Point 12.7.2.

12.6.5 Duplication percentage

In order to replicate the Underlying Index, the duplication percentage must not be less than 95 percent of the total assets in the sub-fund as defined in Point 12.6.4. Futures contracts shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach in accordance with the regulation on risk

management and risk measurement for the use of derivatives, securities lending and repurchasing agreements in investment funds pursuant to KAGB (hereinafter referred to as "DerivateV"). The duplication percentage reflects the proportion of the above-named securities, certificates, futures contracts, warrants and investment fund units in the sub-fund which matches the weighting of the Underlying Index.

12.6.6 Expected tracking error

The tracking error is defined as the annualised standard deviation of the difference between the returns of a fund and the underlying index. The expected tracking error of the sub-fund refers to the net monthly total returns of the sub-fund and the Underlying Index over a period of three years.

This figure is often of particular interest to investors who trade regularly with index investment assets and hold shares in investment funds only a few days or weeks. For long-term investors with a longer investment horizon the tracking difference between the sub-fund and the underlying index over the intended investment horizon is usually more important. The tracking difference measures the actual difference between the returns of a fund and the returns of the index (i.e., how accurately a fund replicates its underlying index). The tracking error, however, measures the increase and decrease of the tracking difference (i.e. the volatility of the tracking difference). Investors should take both figures into consideration when evaluating an index investment fund.

The tracking error may depend on the sampling methodology selected by the index investment fund. In general, historical data provide evidence that synthetic replication generates a lower tracking error than physical replication, but the same data also often suggest that physical replication generates a lower tracking difference than synthetic replication.

The expected tracking error is based on the expected volatility of the deviations between the returns of the sub-fund and the returns of the Underlying Index. Liquidity management, transaction costs for index adjustments as well as differences between the sub-fund and the Underlying Index in the valuation methodology and the valuation date may also have an effect on the tracking error and the difference between the returns of the sub-fund and the Underlying Index. The effects can be positive or negative depending on the underlying circumstances.

The sub-fund may also have a tracking error as a result of withholding taxes payable by the sub-fund on investment income. The extent of the tracking error resulting from withholding taxes depends on various factors such as refund requests made by the sub-fund to different tax authorities or tax relief for the sub-fund under a double taxation agreement.

The expected tracking error for the sub-fund is: 1.90 percent

Investors should note that these are only estimated values for the tracking error under normal market conditions and are therefore not to be understood as fixed limits.

12.7 Issuer and investment limits

12.7.1 Issuer limits

The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and the Investment Conditions.

The Company may invest up to 20 percent of the assets of the sub-fund in securities from a single issuer (debtor). The limit may be increased to up to 35 percent of the value of the sub-fund for securities from a single issuer (debtor). This increase in the limit up to 35 percent is permissible only for one individual issuer (debtor).

For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.

12.7.2 Investment restrictions

The Company may invest no more than 5 percent of the value of the sub-fund in bank accounts and money market instruments in accordance with the "General Investment Conditions". A minimum of 95 percent of the sub-fund must be invested in assets based on the Security Index, as defined in Point 12.6.4.

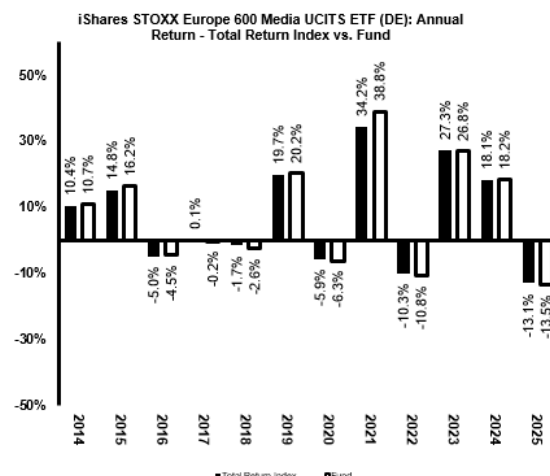
At least 85 percent of the value of the sub-fund shall on an ongoing basis be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds. In determining the volume of assets invested in the aforementioned shares, loans are to be deducted in proportion to the shares' portion of the value of all assets.

If the sub-fund is invested in investment fund units in accordance with Point 6.6, which are valued at least once a week, the Company will base its compliance with the equity fund capital participation quota by the sub-fund on the capital participation quotas published daily by the target investment funds and include them in the calculation of the equity fund capital participation quota for funds.

If in order to replicate the Underlying Index, the Company acquires index certificates or certificates on individual equities as defined in Point 12.6.4, no more than 10 percent of the value of sub-fund assets may be invested in such certificates as defined in Point 12.6.4, which are not admitted for official trading on a stock exchange or listed on a regulated market.

In order to replicate the Underlying Index the Company may invest up to 10 percent of the value of the sub-fund in units of other open-ended domestic and foreign investment funds (target funds) as defined in Point 6.6 of the General Part of this Sales Prospectus. In doing so, the Company may acquire on behalf of the sub-fund no more than 25 percent of the issued units or shares of a target fund. In addition, the target funds may in accordance with their Investment Conditions invest up to 10 percent in units or shares of other target funds. Please see 6.6 of the General Part of this Sales Prospectus for more information.

12.8 Performance



Source: STOXX Ltd./ BlackRock Asset Management Deutschland AG

The performance shown corresponds to the performance of the investment fund iShares STOXX Europe 600 Media (DE) through 31 May 2011, which also replicated the STOXX Europe 600 Media Index (price index) and whose assets were transferred at the end of the day on 31 May 2011 pursuant to Section 40 InvG in conjunction with Section 14 InvStG to the sub-fund iShares STOXX Europe 600 Media UCITS ETF (DE) (formerly Shares STOXX Europe 600 Media (DE)).

Past performance of the Sub-fund is not a predictor of future results for the Sub-fund.

12.9 Explanation of the risk profile of the Fund

The risk profile is based on a return and risk scale of 1 to 7, where 1 indicates a fairly low risk, but also typically lower returns, and 7 indicates a fairly high risk, but also typically higher returns.

The Fund is currently in category 4 because of the nature of its investments, which include the risks listed below.

The indicator is based on historical data and may not be a reliable indication of the future risk profile of the Fund. The risk category shown is not guaranteed and may change over time. The relevant current categorisation can be found in the Key Information Document. The lowest category cannot be equated with a risk-free investment. These factors may affect the value of investments or result in losses.

The investment risk is concentrated in specific sectors, countries, currencies or companies. Consequently, the Fund is more sensitive to localised economic, market, political, sustainability-related or regulatory events.

The value of equities and equity-related securities may be adversely affected by daily price movements on the stock exchanges. Other influencing factors include political and economic news, corporate earnings and significant corporate events.

Specific risks that are not captured in an appropriate manner by the risk indicator include counterparty risk.

12.10 Profile of a typical investor

The Fund is aimed at all types of investors seeking to improve or optimise their assets. Investors must be willing and able to accept significant fluctuations in the value of the shares and the possibility of a significant loss of capital. The Fund is suitable for medium- and long-term investment, though the Fund may also be suitable for shorter term exposure to the Underlying Index.

12.11 Management and miscellaneous expenses

The actual amount of the fixed fee is listed in the "Overview of existing share classes" in the Special Part of the Sales Prospectus.

13. iShares STOXX Europe 600 Oil & Gas UCITS ETF (DE)

13.1 Overview of existing share classes of the iShares STOXX Europe 600 Oil & Gas UCITS ETF (DE)

Share class name	iShares STOXX Europe 600 Oil & Gas UCITS ETF (DE)
German Securities Code (WKN) / ISIN	WKN A0H08M / ISIN DE000A0H08M3
Listed on a stock exchange	yes
Level of management fee	0.45% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	distributing
Transactions in securities lending and repurchase agreements	no

13.2 Exchanges

The shares of the Sub-fund are admitted for (official) trading on the following stock exchanges:

Frankfurt Stock Exchange

Deutsche Börse AG
Börsenplatz 4
60485 Frankfurt/Main, Germany
Telephone: +49 (0) 69 - 211 - 0
Fax: +49 (0) 69 - 211 - 12005

SIX Swiss Exchange

SIX Swiss Exchange AG
Pfingstweidstrasse 110
8021 Zurich, Switzerland
Telephone: +41 (0) 58 - 399 - 5454
Fax: +41 (0) 58 - 499 - 5455

The possibility of shares also being traded on other markets cannot be excluded.

In all other respects, the information under Point 9 of the General Part shall apply.

13.3 Designated Sponsors

Designated Sponsor(s) for listing on the Frankfurt Stock Exchange: can be checked under www.boerse-frankfurt.de

Market Maker for Listing on the SIX Swiss Exchange: can be checked www.six-group.com

In all other respects, the provisions under Point 9 of the General Part shall apply.

13.4 Licensor and licence agreement

13.4.1 Licensor and licence agreement

The STOXX® Europe 600 Oil & Gas (hereinafter referred to as the "Underlying Index") is a registered trademark of STOXX Ltd. (hereinafter referred to as the "Licensor") and is thus protected against unauthorised use. The Licensor grants licences for the use of the Underlying Index as a benchmark for capital market products.

The Management Company has been granted the right to use the Underlying Index of the sub-fund.

13.4.2 Disclaimer of liability by the Licensor

The Sub-fund is not sponsored, promoted, sold or distributed by the Licensor. Aside from the licensing of the Underlying Index and the permitted use of the trademark in connection with naming the Sub-fund, the Licensor has no connection whatsoever with the Company.

The Licensor gives no guarantee of the accuracy or the completeness of the Underlying Index and the data contained therein. It assumes no liability for errors, omissions or interruptions to the Underlying Index. The Licensor gives no direct or indirect guarantee concerning the results achieved by the Company through the use of the Underlying Index or of the other data contained therein. The Licensor provides no direct or indirect guarantee and assumes no liability as regards the marketability, suitability or use for a specific purpose of the Underlying Index or the data contained therein.

Notwithstanding any of the above, the Licensor shall under no circumstances accept responsibility for any damages caused by or in connection with the Underlying Index or the Sub-fund it underlies. This disclaimer of liability also applies to indirect losses, special damages or consequential losses (including loss of profits) in relation to the Underlying Index or the Sub-fund it underlies, even if the Licensor has been made aware of the assertion of such a claim. No third party shall benefit from any contracts or agreements between the Licensor and the Company.

13.5 Launch date, term and investment objective of the Sub-fund

13.5.1 Launch date and term

The sub-fund was launched on 31 May 2011 and is of unlimited duration.

The investors own an equity interest in the assets of the Sub-fund as co-owners in proportion to the number of shares held.

13.5.2 Investment objective

The objective of the Sub-fund is to achieve the same investment performance as the Underlying Index. For this purpose, it shall track the Underlying Index as closely and as completely as possible.

The Investment Fund shall adopt a passive management strategy to achieve these objectives. In contrast to the active management approach, the Underlying Index is used as the basis for making decisions on the purchase and sale of assets and their respective weightings in the Sub-fund. The passive management strategy and the trading of shares on an exchange have the effect of limiting

management fees and transaction costs charged to the Sub-fund.

13.5.3 Achievability of the investment objective

One obstacle to replicating the performance of the Underlying Index is the fact that the Underlying Index is a statistical model based on certain assumptions. It is assumed, for example, that no transaction costs will be incurred when securities are purchased or sold. In addition, management fees and some tax payments are deducted from the Sub-fund share price, whereas they do not apply at all to the Underlying Index.

Detailed information about the Underlying Index may be obtained in printed or electronic form from the Company or from the Licensor.

NO ASSURANCE CAN BE GIVEN THAT THE INVESTMENT OBJECTIVES WILL ACTUALLY BE ACHIEVED.

13.6 Investment principles

13.6.1 General information

The Company may only acquire the following assets on behalf of the sub-fund:

- a) Securities pursuant to Section 193 KAGB,
- b) Money market instruments pursuant to Section 194 KAGB,
- c) Bank accounts pursuant to Section 195 KAGB,
- d) Derivatives pursuant to Section 197 KAGB,
- e) Other investment instruments pursuant to Section 198 KAGB,
- f) Investment units pursuant to Section 196 KAGB, if they are oriented towards replicating the Underlying Index, while maintaining an appropriate risk diversification. Any restrictions on the eligibility result from the "Investment Conditions".

The Underlying Index is recognised by BaFin and meets the following requirements of the KAGB:

- The composition of the index is sufficiently diversified.
- The index represents an adequate benchmark for the market to which it relates.
- The index is published in an appropriate manner.

In addition, and in accordance with Regulation (EU) 2016/1011 of the European Parliament and of the Council, the Licensor is entered with the European Securities and Markets Authority (ESMA) in a public register of administrators and benchmarks.

The ESMA public register of administrators and benchmarks can be consulted at www.esma.europa.eu.

In addition, the Company has drawn up a contingency plan in which it sets out measures it would take if the underlying index were to change significantly or cease to be provided.

Details of the equities included in the Underlying Index are also contained in the most recent annual financial statement or semi-annual report published for the sub-fund.

Because of the relationship between the Sub-fund and the Underlying Index and because certain issuer and investment limits may be exceeded as a result, the principle of risk diversification finds only limited application.

13.6.2 Description of the Index

The STOXX® Europe 600 Oil & Gas Index measures the performance of the European oil and gas sector according to the definition of the Industry Classification Benchmark (ICB) and is part of the STOXX® Europe 600 Index. This index includes 600 of the largest securities from 17 European countries. The index is reweighted quarterly, and its components are weighted according to the free-float market capitalisation and limited in order to maintain conformity with UCITS diversity standards. The free-float market capitalisation is the market value of all shares of a company in free circulation available at any time. Further details on the Underlying Index (including its components) are available on the website of the index provider at www.stoxx.com.

13.6.3 Effects of index adjustments

In order to replicate the Underlying Index as closely as possible, fund management must replicate all changes in the composition and weighting of the Underlying Index for the Sub-fund.

Fund management may, at its discretion, determine the timeframes in which the sub-fund will be adjusted and whether an adjustment is appropriate in view of the investment objective.

13.6.4 Replication of the index and priority of direct duplication

To replicate the Underlying Index, only the following assets may be acquired:

- securities included in the Security Index or introduced to it following a change to the index (index securities),
- securities issued on the Underlying Index (index certificates),
- securities issued on individual stocks of the Underlying Index (certificates on individual securities),
- futures contracts on the Underlying Index (index futures),
- futures contracts on individual stocks of the Underlying Index (futures on individual securities),
- warrants on the Underlying Index (index warrants),
- warrants on individual stocks of the Underlying Index (warrants on individual securities), and
- Investment fund units pursuant to Section 9 of the Investment Conditions

In replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in index securities over investments in other assets listed above approved for use in replicating indices. The Underlying Index may only be replicated using assets that indirectly replicate the index for purposes of maintaining the investment restrictions listed in the second sentence under Point 13.7.2.

13.6.5 Duplication percentage

In order to replicate the Underlying Index, the duplication percentage must not be less than 95 percent of the total assets in the sub-fund as defined in Point 13.6.4. Futures contracts shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach in accordance with the regulation on risk

management and risk measurement for the use of derivatives, securities lending and repurchasing agreements in investment funds pursuant to KAGB (hereinafter referred to as "DerivateV"). The duplication percentage reflects the proportion of the above-named securities, certificates, futures contracts, warrants and investment fund units in the sub-fund which matches the weighting of the Underlying Index.

13.6.6 Expected tracking error

The tracking error is defined as the annualised standard deviation of the difference between the returns of a fund and the underlying index. The expected tracking error of the sub-fund refers to the net monthly total returns of the sub-fund and the Underlying Index over a period of three years.

This figure is often of particular interest to investors who trade regularly with index investment assets and hold shares in investment funds only a few days or weeks. For long-term investors with a longer investment horizon the tracking difference between the sub-fund and the underlying index over the intended investment horizon is usually more important. The tracking difference measures the actual difference between the returns of a fund and the returns of the index (i.e., how accurately a fund replicates its underlying index). The tracking error, however, measures the increase and decrease of the tracking difference (i.e. the volatility of the tracking difference). Investors should take both figures into consideration when evaluating an index investment fund.

The tracking error may depend on the sampling methodology selected by the index investment fund. In general, historical data provide evidence that synthetic replication generates a lower tracking error than physical replication, but the same data also often suggest that physical replication generates a lower tracking difference than synthetic replication.

The expected tracking error is based on the expected volatility of the deviations between the returns of the sub-fund and the returns of the Underlying Index. Liquidity management, transaction costs for index adjustments as well as differences between the sub-fund and the Underlying Index in the valuation methodology and the valuation date may also have an effect on the tracking error and the difference between the returns of the sub-fund and the Underlying Index. The effects can be positive or negative depending on the underlying circumstances.

The sub-fund may also have a tracking error as a result of withholding taxes payable by the sub-fund on investment income. The extent of the tracking error resulting from withholding taxes depends on various factors such as refund requests made by the sub-fund to different tax authorities or tax relief for the sub-fund under a double taxation agreement. The expected tracking error for the sub-fund is: 0.40 percent

Investors should note that these are only estimated values for the tracking error under normal market conditions and are therefore not to be understood as fixed limits.

13.7 Issuer and investment limits

13.7.1 Issuer limits

The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and the Investment Conditions.

The Company may invest up to 20 percent of the assets of the sub-fund in securities from a single issuer (debtor). The limit may be increased to up to 35 percent of the value of the sub-fund for securities from a single issuer (debtor). This increase in the limit up to 35 percent is permissible only for one individual issuer (debtor).

For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.

13.7.2 Investment restrictions

The Company may invest no more than 5 percent of the value of the sub-fund in bank accounts and money market instruments in accordance with the "General Investment Conditions". A minimum of 95 percent of the sub-fund must be invested in assets based on the Security Index, as defined in Point 13.6.4.

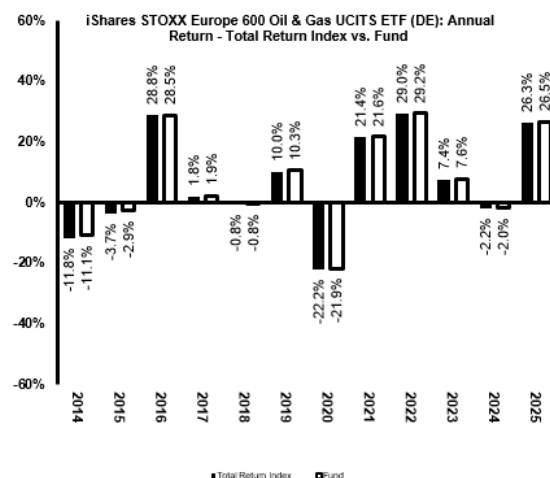
At least 75 percent of the value of the sub-fund shall on an ongoing basis be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds. In determining the volume of assets invested in the aforementioned shares, loans are to be deducted in proportion to the shares' portion of the value of all assets.

If the sub-fund is invested in investment fund units in accordance with Point 6.6, which are valued at least once a week, the Company will base its compliance with the equity fund capital participation quota by the sub-fund on the capital participation quotas published daily by the target investment funds and include them in the calculation of the equity fund capital participation quota for funds.

If in order to replicate the Underlying Index, the Company acquires index certificates or certificates on individual equities as defined in Point 13.6.4, no more than 10 percent of the value of sub-fund assets may be invested in such certificates as defined in Point 13.6.4, which are not admitted for official trading on a stock exchange or listed on a regulated market.

In order to replicate the Underlying Index the Company may invest up to 10 percent of the value of the sub-fund in units of other open-ended domestic and foreign investment funds (target funds) as defined in Point 6.6 of the General Part of this Sales Prospectus. In doing so, the Company may acquire on behalf of the sub-fund no more than 25 percent of the issued units or shares of a target fund. In addition, the target funds may in accordance with their Investment Conditions invest up to 10 percent in units or shares of other target funds. Please see 6.6 of the General Part of this Sales Prospectus for more information.

13.8 Performance



Source: STOXX Ltd./ BlackRock Asset Management Deutschland AG

The performance shown corresponds to the performance of the investment fund iShares STOXX Europe 600 Oil & Gas (DE) through 31 May 2011, which also replicated the STOXX Europe 600 Oil & Gas Index (price index) and whose assets were transferred at the end of the day on 31 May 2011 pursuant to Section 40 InvG in conjunction with Section 14 InvStG to the sub-fund iShares STOXX Europe 600 Oil & Gas UCITS ETF (DE) (formerly iShares STOXX Europe 600 Oil & Gas (DE)).

Past performance of the Sub-fund is not a predictor of future results for the Sub-fund.

13.9 Explanation of the risk profile of the Fund

The risk profile is based on a return and risk scale of 1 to 7, where 1 indicates a fairly low risk, but also typically lower returns, and 7 indicates a fairly high risk, but also typically higher returns.

The Fund is currently in category 5 because of the nature of its investments, which include the risks listed below.

The indicator is based on historical data and may not be a reliable indication of the future risk profile of the Fund. The risk category shown is not guaranteed and may change over time. The relevant current categorisation can be found in the Key Information Document. The lowest category cannot be equated with a risk-free investment. These factors may affect the value of investments or result in losses.

The investment risk is concentrated in specific sectors, countries, currencies or companies. Consequently, the Fund is more sensitive to localised economic, market, political, sustainability-related or regulatory events.

The value of equities and equity-related securities may be adversely affected by daily price movements on the stock exchanges. Other influencing factors include political and economic news, corporate earnings and significant corporate events.

Investments in energy securities are subject to global demand, tax laws, government regulations, and changes to price and supply.

Specific risks that are not captured in an appropriate manner by the risk indicator include counterparty risk.

13.10 Profile of a typical investor

The Fund is aimed at all types of investors seeking to improve or optimise their assets. Investors must be willing and able to accept significant fluctuations in the value of the shares and the possibility of a significant loss of capital. The Fund is suitable for medium- and long-term investment, though the Fund may also be suitable for shorter term exposure to the Underlying Index.

13.11 Management and miscellaneous expenses

The actual amount of the fixed fee is listed in the "Overview of existing share classes" in the Special Part of the Sales Prospectus.

14. iShares STOXX Europe 600 Personal & Household Goods UCITS ETF (DE)

14.1 Overview of existing share classes of the iShares STOXX Europe 600 Personal & Household Goods UCITS ETF (DE)

Share class name	iShares STOXX Europe 600 Personal & Household Goods UCITS ETF (DE)
German Securities Code (WKN) / ISIN	WKN A0H08N / ISIN DE000A0H08N1
Listed on a stock exchange	yes
Level of management fee	0.45% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	distributing
Transactions in securities lending and repurchase agreements	no

14.2 Exchanges

The shares of the Sub-fund are admitted for (official) trading on the following stock exchanges:

Frankfurt Stock Exchange

Deutsche Börse AG
Börsenplatz 4
60485 Frankfurt/Main, Germany
Telephone: +49 (0) 69 - 211 - 0
Fax: +49 (0) 69 - 211 - 12005

BX Swiss

BX Swiss AG
Talstrasse 70
8001 Zürich, Schweiz
Telephone: +41 (0) 31 - 329 - 4040

The possibility of shares also being traded on other markets cannot be excluded.

In all other respects, the information under Point 9 of the General Part shall apply.

14.3 Designated Sponsors

Designated Sponsor(s) for listing on the Frankfurt Stock Exchange: can be checked under www.boerse-frankfurt.de

Market Maker for Listing on the BX Swiss: can be checked under www.bxswiss.com

In all other respects, the provisions under Point 9 of the General Part shall apply.

14.4 Licensor and licence agreement

14.4.1 Licensor and licence agreement

STOXX® Europe 600 Personal & Household Goods (hereinafter referred to as the "Underlying Index") is a registered trademark of STOXX Ltd. (hereinafter referred to as the "Licensor") and is thus protected against unauthorised use. The Licensor grants licences for the use of the Underlying Index as a benchmark for capital market products.

The Management Company has been granted the right to use the Underlying Index of the sub-fund.

14.4.2 Disclaimer of liability by the Licensor

The Sub-fund is not sponsored, promoted, sold or distributed by the Licensor. Aside from the licensing of the Underlying Index and the permitted use of the trademark in connection with naming the Sub-fund, the Licensor has no connection whatsoever with the Company.

The Licensor gives no guarantee of the accuracy or the completeness of the Underlying Index and the data contained therein. It assumes no liability for errors, omissions or interruptions to the Underlying Index. The Licensor gives no direct or indirect guarantee concerning the results achieved by the Company through the use of the Underlying Index or of the other data contained therein. The Licensor provides no direct or indirect guarantee and assumes no liability as regards the marketability, suitability or use for a specific purpose of the Underlying Index or the data contained therein.

Notwithstanding any of the above, the Licensor shall under no circumstances accept responsibility for any damages caused by or in connection with the Underlying Index or the Sub-fund it underlies. This disclaimer of liability also applies to indirect losses, special damages or consequential losses (including loss of profits) in relation to the Underlying Index or the Sub-fund it underlies, even if the Licensor has been made aware of the assertion of such a claim. No third party shall benefit from any contracts or agreements between the Licensor and the Company.

14.5 Launch date, term and investment objective of the Sub-fund

14.5.1 Launch date and term

The sub-fund was launched on 31 May 2011 and is of unlimited duration.

The investors own an equity interest in the assets of the Sub-fund as co-owners in proportion to the number of shares held.

14.5.2 Investment objective

The objective of the Sub-fund is to achieve the same investment performance as the Underlying Index. For this purpose, it shall track the Underlying Index as closely and as completely as possible.

The Investment Fund shall adopt a passive management strategy to achieve these objectives. In contrast to the active management approach, the Underlying Index is used as the basis for making decisions on the purchase and sale of assets and their respective weightings in the Sub-fund. The passive management strategy and the trading of shares on an exchange have the effect of limiting

management fees and transaction costs charged to the Sub-fund.

14.5.3 Achievability of the investment objective

One obstacle to replicating the performance of the Underlying Index is the fact that the Underlying Index is a statistical model based on certain assumptions. It is assumed, for example, that no transaction costs will be incurred when securities are purchased or sold. In addition, management fees and some tax payments are deducted from the Sub-fund share price, whereas they do not apply at all to the Underlying Index.

Detailed information about the Underlying Index may be obtained in printed or electronic form from the Company or from the Licensor.

NO ASSURANCE CAN BE GIVEN THAT THE INVESTMENT OBJECTIVES WILL ACTUALLY BE ACHIEVED.

14.6 Investment principles

14.6.1 General information

The Company may only acquire the following assets on behalf of the sub-fund:

- a) Securities pursuant to Section 193 KAGB,
- b) Money market instruments pursuant to Section 194 KAGB,
- c) Bank accounts pursuant to Section 195 KAGB,
- d) Derivatives pursuant to Section 197 KAGB,
- e) Other investment instruments pursuant to Section 198 KAGB,
- f) Investment units pursuant to Section 196 KAGB, if they are oriented towards replicating the Underlying Index, while maintaining an appropriate risk diversification. Any restrictions on the eligibility result from the "Investment Conditions".

The Underlying Index is recognised by BaFin and meets the following requirements of the KAGB:

- The composition of the index is sufficiently diversified.
- The index represents an adequate benchmark for the market to which it relates.
- The index is published in an appropriate manner.

In addition, and in accordance with Regulation (EU) 2016/1011 of the European Parliament and of the Council, the Licensor is entered with the European Securities and Markets Authority (ESMA) in a public register of administrators and benchmarks.

The ESMA public register of administrators and benchmarks can be consulted at www.esma.europa.eu.

In addition, the Company has drawn up a contingency plan in which it sets out measures it would take if the underlying index were to change significantly or cease to be provided.

Details of the equities included in the Underlying Index are also contained in the most recent annual financial statement or semi-annual report published for the sub-fund.

Because of the relationship between the Sub-fund and the Underlying Index and because certain issuer and investment limits may be exceeded as a result, the principle of risk diversification finds only limited application.

14.6.2 Description of the Index

The STOXX® Europe 600 Personal & Household Goods Index measures the performance of the European consumer goods sector according to the definition of the Industry Classification Benchmark (ICB) and is part of the STOXX® Europe 600 Index. This index includes 600 of the largest securities from 17 European countries. The index is reweighted quarterly, and its components are weighted according to the free-float market capitalisation and limited in order to maintain conformity with UCITS diversity standards. The free-float market capitalisation is the market value of all shares of a company in free circulation available at any time. Further details on the Underlying Index (including its components) are available on the website of the index provider at www.stoxx.com.

14.6.3 Effects of index adjustments

In order to replicate the Underlying Index as closely as possible, fund management must replicate all changes in the composition and weighting of the Underlying Index for the Sub-fund.

Fund management may, at its discretion, determine the timeframes in which the sub-fund will be adjusted and whether an adjustment is appropriate in view of the investment objective.

14.6.4 Replication of the index and priority of direct duplication

To replicate the Underlying Index, only the following assets may be acquired:

- securities included in the Security Index or introduced to it following a change to the index (index securities),
- securities issued on the Underlying Index (index certificates),
- securities issued on individual stocks of the Underlying Index (certificates on individual securities),
- futures contracts on the Underlying Index (index futures),
- futures contracts on individual stocks of the Underlying Index (futures on individual securities),
- warrants on the Underlying Index (index warrants),
- warrants on individual stocks of the Underlying Index (warrants on individual securities), and
- Investment fund units pursuant to Section 9 of the Investment Conditions

In replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in index securities over investments in other assets listed above approved for use in replicating indices. The Underlying Index may only be replicated using assets that indirectly replicate the index for purposes of maintaining the investment restrictions listed in the second sentence under Point 14.7.2.

14.6.5 Duplication percentage

In order to replicate the Underlying Index, the duplication percentage must not be less than 95 percent of the total assets in the sub-fund as defined in Point 14.6.4. Futures contracts shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach in accordance with the regulation on risk

management and risk measurement for the use of derivatives, securities lending and repurchasing agreements in investment funds pursuant to KAGB (hereinafter referred to as "DerivateV"). The duplication percentage reflects the proportion of the above-named securities, certificates, futures contracts, warrants and investment fund units in the sub-fund which matches the weighting of the Underlying Index.

14.6.6 Expected tracking error

The tracking error is defined as the annualised standard deviation of the difference between the returns of a fund and the underlying index. The expected tracking error of the sub-fund refers to the net monthly total returns of the sub-fund and the Underlying Index over a period of three years.

This figure is often of particular interest to investors who trade regularly with index investment assets and hold shares in investment funds only a few days or weeks. For long-term investors with a longer investment horizon the tracking difference between the sub-fund and the underlying index over the intended investment horizon is usually more important. The tracking difference measures the actual difference between the returns of a fund and the returns of the index (i.e., how accurately a fund replicates its underlying index). The tracking error, however, measures the increase and decrease of the tracking difference (i.e. the volatility of the tracking difference). Investors should take both figures into consideration when evaluating an index investment fund.

The tracking error may depend on the sampling methodology selected by the index investment fund. In general, historical data provide evidence that synthetic replication generates a lower tracking error than physical replication, but the same data also often suggest that physical replication generates a lower tracking difference than synthetic replication.

The expected tracking error is based on the expected volatility of the deviations between the returns of the sub-fund and the returns of the Underlying Index. Liquidity management, transaction costs for index adjustments as well as differences between the sub-fund and the Underlying Index in the valuation methodology and the valuation date may also have an effect on the tracking error and the difference between the returns of the sub-fund and the Underlying Index. The effects can be positive or negative depending on the underlying circumstances.

The sub-fund may also have a tracking error as a result of withholding taxes payable by the sub-fund on investment income. The extent of the tracking error resulting from withholding taxes depends on various factors such as refund requests made by the sub-fund to different tax authorities or tax relief for the sub-fund under a double taxation agreement.

The expected tracking error for the sub-fund is: 0.30 percent

Investors should note that these are only estimated values for the tracking error under normal market conditions and are therefore not to be understood as fixed limits.

14.7 Issuer and investment limits

14.7.1 Issuer limits

The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and the Investment Conditions.

The Company may invest up to 20 percent of the assets of the sub-fund in securities from a single issuer (debtor). The limit may be increased to up to 35 percent of the value of the sub-fund for securities from a single issuer (debtor). This increase in the limit up to 35 percent is permissible only for one individual issuer (debtor).

For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.

14.7.2 Investment restrictions

The Company may invest no more than 5 percent of the value of the sub-fund in bank accounts and money market instruments in accordance with the "General Investment Conditions". A minimum of 95 percent of the sub-fund must be invested in assets based on the Security Index, as defined in Point 14.6.4.

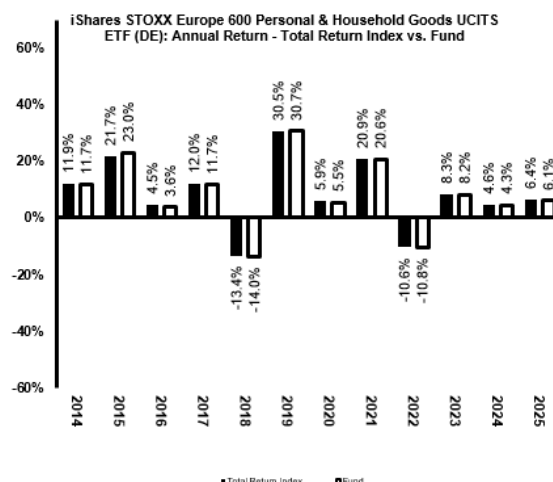
At least 85 percent of the value of the sub-fund shall on an ongoing basis be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds. In determining the volume of assets invested in the aforementioned shares, loans are to be deducted in proportion to the shares' portion of the value of all assets.

If the sub-fund is invested in investment fund units in accordance with Point 6.6, which are valued at least once a week, the Company will base its compliance with the equity fund capital participation quota by the sub-fund on the capital participation quotas published daily by the target investment funds and include them in the calculation of the equity fund capital participation quota for funds.

If in order to replicate the Underlying Index, the Company acquires index certificates or certificates on individual equities as defined in Point 14.6.4, no more than 10 percent of the value of sub-fund assets may be invested in such certificates as defined in Point 14.6.4, which are not admitted for official trading on a stock exchange or listed on a regulated market.

In order to replicate the Underlying Index the Company may invest up to 10 percent of the value of the sub-fund in units of other open-ended domestic and foreign investment funds (target funds) as defined in Point 6.6 of the General Part of this Sales Prospectus. In doing so, the Company may acquire on behalf of the sub-fund no more than 25 percent of the issued units or shares of a target fund. In addition, the target funds may in accordance with their Investment Conditions invest up to 10 percent in units or shares of other target funds. Please see 6.6 of the General Part of this Sales Prospectus for more information.

14.8 Performance



Source: STOXX Ltd./ BlackRock Asset Management Deutschland AG

The performance shown corresponds to the performance of the investment fund iShares STOXX Europe 600 Personal & Household Goods (DE) through 31 May 2011, which also replicated the STOXX Europe 600 Personal & Household Goods Index (price index) and whose assets were transferred at the end of the day on 31 May 2011 pursuant to Section 40 InvG in conjunction with Section 14 InvG to the sub-fund iShares STOXX Europe 600 Personal & Household Goods UCITS ETF (DE) (formerly iShares STOXX Europe 600 Personal & Household Goods (DE)).

Past performance of the Sub-fund is not a predictor of future results for the Sub-fund.

14.9 Explanation of the risk profile of the Fund

The risk profile is based on a return and risk scale of 1 to 7, where 1 indicates a fairly low risk, but also typically lower returns, and 7 indicates a fairly high risk, but also typically higher returns.

The Fund is currently in category 4 because of the nature of its investments, which include the risks listed below.

The indicator is based on historical data and may not be a reliable indication of the future risk profile of the Fund. The risk category shown is not guaranteed and may change over time. The relevant current categorisation can be found in the Key Information Document. The lowest category cannot be equated with a risk-free investment. These factors may affect the value of investments or result in losses.

The investment risk is concentrated in specific sectors, countries, currencies or companies. Consequently, the Fund is more sensitive to localised economic, market, political, sustainability-related or regulatory events.

The value of equities and equity-related securities may be adversely affected by daily price movements on the stock exchanges. Other influencing factors include political and economic news, corporate earnings and significant corporate events.

Specific risks that are not captured in an appropriate manner by the risk indicator include counterparty risk.

14.10 Profile of a typical investor

The Fund is aimed at all types of investors seeking to improve or optimise their assets. Investors must be willing and able to accept significant fluctuations in the value of the shares and the possibility of a significant loss of capital. The Fund is suitable for medium- and long-term investment, though the Fund may also be suitable for shorter term exposure to the Underlying Index.

14.11 Management and miscellaneous expenses

The actual amount of the fixed fee is listed in the "Overview of existing share classes" in the Special Part of the Sales Prospectus.

15. iShares STOXX Europe 600 Real Estate UCITS ETF (DE)

15.1 Overview of existing share classes of the iShares STOXX Europe 600 Real Estate UCITS ETF (DE)

Share class name	iShares STOXX Europe 600 Real Estate UCITS ETF (DE)
German Securities Code (WKN) / ISIN	WKN A0Q4R4 / ISIN DE000A0Q4R44
Listed on a stock exchange	yes
Level of management fee	0.45% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	distributing
Transactions in securities lending and repurchase agreements	no

15.2 Exchanges

The shares of the Sub-fund are admitted for (official) trading on the following stock exchanges:

Frankfurt Stock Exchange

Deutsche Börse AG
Börsenplatz 4
60485 Frankfurt/Main, Germany
Telephone: +49 (0) 69 - 211 - 0
Fax: +49 (0) 69 - 211 - 12005

BX Swiss

BX Swiss AG
Talstrasse 70
8001 Zürich, Schweiz
Telephone: +41 (0) 31 - 329 - 4040

The possibility of shares also being traded on other markets cannot be excluded.

In all other respects, the information under Point 9 of the General Part shall apply.

15.3 Designated Sponsors

Designated Sponsor(s) for listing on the Frankfurt Stock Exchange: can be checked under www.boerse-frankfurt.de

Market Maker for Listing on the BX Swiss: can be checked under www.bxswiss.com

In all other respects, the provisions under Point 9 of the General Part shall apply.

15.4 Licensor and licence agreement

15.4.1 Licensor and licence agreement

The STOXX® Europe 600 Real Estate (hereinafter referred to as the "Underlying Index") is a registered trademark of STOXX Ltd. (hereinafter referred to as the "Licensor") and is thus protected against unauthorised use. The Licensor grants licences for the use of the Underlying Index as a benchmark for capital market products.

The Management Company has been granted the right to use the Underlying Index of the sub-fund.

15.4.2 Disclaimer of liability by the Licensor

The Sub-fund is not sponsored, promoted, sold or distributed by the Licensor. Aside from the licensing of the Underlying Index and the permitted use of the trademark in connection with naming the Sub-fund, the Licensor has no connection whatsoever with the Company.

The Licensor gives no guarantee of the accuracy or the completeness of the Underlying Index and the data contained therein. It assumes no liability for errors, omissions or interruptions to the Underlying Index. The Licensor gives no direct or indirect guarantee concerning the results achieved by the Company through the use of the Underlying Index or of the other data contained therein. The Licensor provides no direct or indirect guarantee and assumes no liability as regards the marketability, suitability or use for a specific purpose of the Underlying Index or the data contained therein.

Notwithstanding any of the above, the Licensor shall under no circumstances accept responsibility for any damages caused by or in connection with the Underlying Index or the Sub-fund it underlies. This disclaimer of liability also applies to indirect losses, special damages or consequential losses (including loss of profits) in relation to the Underlying Index or the Sub-fund it underlies, even if the Licensor has been made aware of the assertion of such a claim. No third party shall benefit from any contracts or agreements between the Licensor and the Company.

15.5 Launch date, term and investment objective of the Sub-fund

15.5.1 Launch date and term

The sub-fund was launched on 31 May 2011 and is of unlimited duration.

The investors own an equity interest in the assets of the Sub-fund as co-owners in proportion to the number of shares held.

15.5.2 Investment objective

The objective of the Sub-fund is to achieve the same investment performance as the Underlying Index. For this purpose, it shall track the Underlying Index as closely and as completely as possible.

The Investment Fund shall adopt a passive management strategy to achieve these objectives. In contrast to the active management approach, the Underlying Index is used as the basis for making decisions on the purchase and sale of assets and their respective weightings in the Sub-fund. The passive management strategy and the trading of shares on an exchange have the effect of limiting

management fees and transaction costs charged to the Sub-fund.

15.5.3 Achievability of the investment objective

One obstacle to replicating the performance of the Underlying Index is the fact that the Underlying Index is a statistical model based on certain assumptions. It is assumed, for example, that no transaction costs will be incurred when securities are purchased or sold. In addition, management fees and some tax payments are deducted from the Sub-fund share price, whereas they do not apply at all to the Underlying Index.

Detailed information about the Underlying Index may be obtained in printed or electronic form from the Company or from the Licensor.

NO ASSURANCE CAN BE GIVEN THAT THE INVESTMENT OBJECTIVES WILL ACTUALLY BE ACHIEVED.

15.6 Investment principles

15.6.1 General information

The Company may only acquire the following assets on behalf of the sub-fund:

- a) Securities pursuant to Section 193 KAGB,
- b) Money market instruments pursuant to Section 194 KAGB,
- c) Bank accounts pursuant to Section 195 KAGB,
- d) Derivatives pursuant to Section 197 KAGB,
- e) Other investment instruments pursuant to Section 198 KAGB,
- f) Investment units pursuant to Section 196 KAGB, if they are oriented towards replicating the Underlying Index, while maintaining an appropriate risk diversification. Any restrictions on the eligibility result from the "Investment Conditions".

The Underlying Index is recognised by BaFin and meets the following requirements of the KAGB:

- The composition of the index is sufficiently diversified.
- The index represents an adequate benchmark for the market to which it relates.
- The index is published in an appropriate manner.

In addition, and in accordance with Regulation (EU) 2016/1011 of the European Parliament and of the Council, the Licensor is entered with the European Securities and Markets Authority (ESMA) in a public register of administrators and benchmarks.

The ESMA public register of administrators and benchmarks can be consulted at www.esma.europa.eu.

In addition, the Company has drawn up a contingency plan in which it sets out measures it would take if the underlying index were to change significantly or cease to be provided.

Details of the equities included in the Underlying Index are also contained in the most recent annual financial statement or semi-annual report published for the sub-fund.

Because of the relationship between the Sub-fund and the Underlying Index and because certain issuer and investment limits may be exceeded as a result, the principle of risk diversification finds only limited application.

15.6.2 Description of the Index

The STOXX® Europe 600 Real Estate Index measures the performance of the European real estate sector according to the definition of the Industry Classification Benchmark (ICB) and is part of the STOXX® Europe 600 Index. This index includes 600 of the largest securities from 17 European countries. The index is reweighted quarterly, and its components are weighted according to the free-float market capitalisation and limited in order to maintain conformity with UCITS diversity standards. The free-float market capitalisation is the market value of all shares of a company in free circulation available at any time. Further details on the Underlying Index (including its components) are available on the website of the index provider at www.stoxx.com.

15.6.3 Effects of index adjustments

In order to replicate the Underlying Index as closely as possible, fund management must replicate all changes in the composition and weighting of the Underlying Index for the Sub-fund.

Fund management may, at its discretion, determine the timeframes in which the sub-fund will be adjusted and whether an adjustment is appropriate in view of the investment objective.

15.6.4 Replication of the index and priority of direct duplication

To replicate the Underlying Index, only the following assets may be acquired:

- securities included in the Security Index or introduced to it following a change to the index (index securities),
- securities issued on the Underlying Index (index certificates),
- securities issued on individual stocks of the Underlying Index (certificates on individual securities),
- futures contracts on the Underlying Index (index futures),
- futures contracts on individual stocks of the Underlying Index (futures on individual securities),
- warrants on the Underlying Index (index warrants),
- warrants on individual stocks of the Underlying Index (warrants on individual securities), and
- Investment fund units pursuant to Section 9 of the Investment Conditions

In replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in index securities over investments in other assets listed above approved for use in replicating indices. The Underlying Index may only be replicated using assets that indirectly replicate the index for purposes of maintaining the investment restrictions listed in the second sentence under Point 15.7.2.

15.6.5 Duplication percentage

In order to replicate the Underlying Index, the duplication percentage must not be less than 95 percent of the total assets in the sub-fund as defined in Point 15.6.4. Futures contracts shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach in accordance with the regulation on risk

management and risk measurement for the use of derivatives, securities lending and repurchasing agreements in investment funds pursuant to KAGB (hereinafter referred to as "DerivateV"). The duplication percentage reflects the proportion of the above-named securities, certificates, futures contracts, warrants and investment fund units in the sub-fund which matches the weighting of the Underlying Index.

15.6.6 Expected tracking error

The tracking error is defined as the annualised standard deviation of the difference between the returns of a fund and the underlying index. The expected tracking error of the sub-fund refers to the net monthly total returns of the sub-fund and the Underlying Index over a period of three years.

This figure is often of particular interest to investors who trade regularly with index investment assets and hold shares in investment funds only a few days or weeks. For long-term investors with a longer investment horizon the tracking difference between the sub-fund and the underlying index over the intended investment horizon is usually more important. The tracking difference measures the actual difference between the returns of a fund and the returns of the index (i.e., how accurately a fund replicates its underlying index). The tracking error, however, measures the increase and decrease of the tracking difference (i.e. the volatility of the tracking difference). Investors should take both figures into consideration when evaluating an index investment fund.

The tracking error may depend on the sampling methodology selected by the index investment fund. In general, historical data provide evidence that synthetic replication generates a lower tracking error than physical replication, but the same data also often suggest that physical replication generates a lower tracking difference than synthetic replication.

The expected tracking error is based on the expected volatility of the deviations between the returns of the sub-fund and the returns of the Underlying Index. Liquidity management, transaction costs for index adjustments as well as differences between the sub-fund and the Underlying Index in the valuation methodology and the valuation date may also have an effect on the tracking error and the difference between the returns of the sub-fund and the Underlying Index. The effects can be positive or negative depending on the underlying circumstances.

The sub-fund may also have a tracking error as a result of withholding taxes payable by the sub-fund on investment income. The extent of the tracking error resulting from withholding taxes depends on various factors such as refund requests made by the sub-fund to different tax authorities or tax relief for the sub-fund under a double taxation agreement. The expected tracking error for the sub-fund is: 0.40 percent

Investors should note that these are only estimated values for the tracking error under normal market conditions and are therefore not to be understood as fixed limits.

15.7 Issuer and investment limits

15.7.1 Issuer limits

The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and the Investment Conditions.

The Company may invest up to 20 percent of the assets of the sub-fund in securities from a single issuer (debtor). The limit may be increased to up to 35 percent of the value of the sub-fund for securities from a single issuer (debtor). This increase in the limit up to 35 percent is permissible only for one individual issuer (debtor).

For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.

15.7.2 Investment restrictions

The Company may invest no more than 5 percent of the value of the sub-fund in bank accounts and money market instruments in accordance with the "General Investment Conditions". A minimum of 95 percent of the sub-fund must be invested in assets based on the Security Index, as defined in Point 15.6.4.

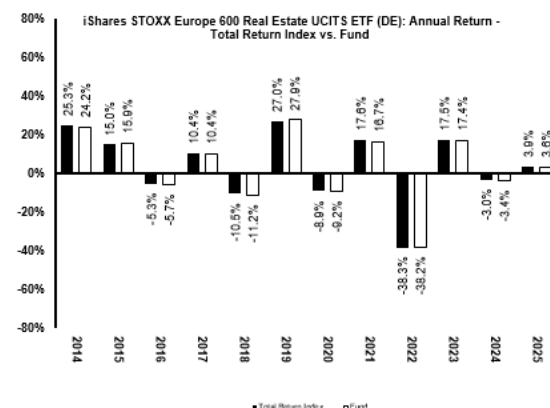
In determining the volume of assets invested in shares that are permitted for official trading on a stock exchange or another organised market or included in these, loans are to be deducted in proportion to the shares' portion of the value of all assets.

If the sub-fund is invested in investment fund units in accordance with Point 6.6, which are valued at least once a week, the Company will base its compliance with the equity fund capital participation quota by the sub-fund on the capital participation quotas published daily by the target investment funds and include them in the calculation of the equity fund capital participation quota for funds.

If in order to replicate the Underlying Index, the Company acquires index certificates or certificates on individual equities as defined in Point 15.6.4, no more than 10 percent of the value of sub-fund assets may be invested in such certificates as defined in Point 15.6.4, which are not admitted for official trading on a stock exchange or listed on a regulated market.

In order to replicate the Underlying Index the Company may invest up to 10 percent of the value of the sub-fund in units of other open-ended domestic and foreign investment funds (target funds) as defined in Point 6.6 of the General Part of this Sales Prospectus. In doing so, the Company may acquire on behalf of the sub-fund no more than 25 percent of the issued units or shares of a target fund. In addition, the target funds may in accordance with their Investment Conditions invest up to 10 percent in units or shares of other target funds. Please see 6.6 of the General Part of this Sales Prospectus for more information.

15.8 Performance



Source: STOXX Ltd./ BlackRock Asset Management Deutschland AG

The performance shown corresponds to the performance of the investment fund iShares STOXX Europe 600 Real Estate (DE) through 31 May 2011, which also replicated the STOXX Europe 600 Real Estate Index (price index) and whose assets were transferred at the end of the day on 31 May 2011 pursuant to Section 40 InvG in conjunction with Section 14 InvG to the sub-fund iShares STOXX Europe 600 Real Estate UCITS ETF (DE) (formerly iShares STOXX Europe 600 Real Estate (DE)).

Past performance of the Sub-fund is not a predictor of future results for the Sub-fund.

15.9 Explanation of the risk profile of the Fund

The risk profile is based on a return and risk scale of 1 to 7, where 1 indicates a fairly low risk, but also typically lower returns, and 7 indicates a fairly high risk, but also typically higher returns.

The Fund is currently in category 5 because of the nature of its investments, which include the risks listed below.

The indicator is based on historical data and may not be a reliable indication of the future risk profile of the Fund. The risk category shown is not guaranteed and may change over time. The relevant current categorisation can be found in the Key Information Document. The lowest category cannot be equated with a risk-free investment. These factors may affect the value of investments or result in losses.

The investment risk is concentrated in specific sectors, countries, currencies or companies. Consequently, the Fund is more sensitive to localised economic, market, political, sustainability-related or regulatory events.

The value of equities and equity-related securities may be adversely affected by daily price movements on the stock exchanges. Other influencing factors include political and economic news, corporate earnings and significant corporate events.

The general performance of the equity markets and the real estate sector can impact investments in real estate stocks. Variable interest rates may have particular impact on the value of real estate property in which a real estate company invests.

Specific risks that are not captured in an appropriate manner by the risk indicator include counterparty risk.

15.10 Profile of a typical investor

The Fund is aimed at all types of investors seeking to improve or optimise their assets. Investors must be willing and able to accept significant fluctuations in the value of the shares and the possibility of a significant loss of capital. The Fund is suitable for medium- and long-term investment, though the Fund may also be suitable for shorter term exposure to the Underlying Index.

15.11 Management and miscellaneous expenses

The actual amount of the fixed fee is listed in the "Overview of existing share classes" in the Special Part of the Sales Prospectus.

16. iShares STOXX Europe 600 Retail UCITS ETF (DE)

16.1 Overview of existing share classes of the iShares STOXX Europe 600 Retail UCITS ETF (DE)

Share class name	iShares STOXX Europe 600 Retail UCITS ETF (DE)
German Securities Code (WKN) / ISIN	WKN A0H08P / ISIN DE000A0H08P6
Listed on a stock exchange	yes
Level of management fee	0.45% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	distributing
Transactions in securities lending and repurchase agreements	no

16.2 Exchanges

The shares of the Sub-fund are admitted for (official) trading on the following stock exchanges:

Frankfurt Stock Exchange

Deutsche Börse AG
Börsenplatz 4
60485 Frankfurt/Main, Germany
Telephone: +49 (0) 69 - 211 - 0
Fax: +49 (0) 69 - 211 - 12005

BX Swiss

BX Swiss AG
Talstrasse 70
8001 Zürich, Schweiz
Telephone: +41 (0) 31 - 329 - 4040

The possibility of shares also being traded on other markets cannot be excluded.

In all other respects, the information under Point 9 of the General Part shall apply.

16.3 Designated Sponsors

Designated Sponsor(s) for listing on the Frankfurt Stock Exchange: can be checked under www.boerse-frankfurt.de

Market Maker for Listing on the BX Swiss: can be checked under www.bxswiss.com

In all other respects, the provisions under Point 9 of the General Part shall apply.

16.4 Licensor and licence agreement

16.4.1 Licensor and licence agreement

The STOXX® Europe 600 Retail (hereinafter referred to as the "Underlying Index") is a registered trademark of STOXX Ltd. (hereinafter referred to as the "Licensor") and is thus protected against unauthorised use. The Licensor grants licences for the use of the Underlying Index as a benchmark for capital market products.

The Management Company has been granted the right to use the Underlying Index of the sub-fund.

16.4.2 Disclaimer of liability by the Licensor

The Sub-fund is not sponsored, promoted, sold or distributed by the Licensor. Aside from the licensing of the Underlying Index and the permitted use of the trademark in connection with naming the Sub-fund, the Licensor has no connection whatsoever with the Company.

The Licensor gives no guarantee of the accuracy or the completeness of the Underlying Index and the data contained therein. It assumes no liability for errors, omissions or interruptions to the Underlying Index. The Licensor gives no direct or indirect guarantee concerning the results achieved by the Company through the use of the Underlying Index or of the other data contained therein. The Licensor provides no direct or indirect guarantee and assumes no liability as regards the marketability, suitability or use for a specific purpose of the Underlying Index or the data contained therein.

Notwithstanding any of the above, the Licensor shall under no circumstances accept responsibility for any damages caused by or in connection with the Underlying Index or the Sub-fund it underlies. This disclaimer of liability also applies to indirect losses, special damages or consequential losses (including loss of profits) in relation to the Underlying Index or the Sub-fund it underlies, even if the Licensor has been made aware of the assertion of such a claim. No third party shall benefit from any contracts or agreements between the Licensor and the Company.

16.5 Launch date, term and investment objective of the Sub-fund

16.5.1 Launch date and term

The sub-fund was launched on 31 May 2011 and is of unlimited duration.

The investors own an equity interest in the assets of the Sub-fund as co-owners in proportion to the number of shares held.

16.5.2 Investment objective

The objective of the Sub-fund is to achieve the same investment performance as the Underlying Index. For this purpose, it shall track the Underlying Index as closely and as completely as possible.

The Investment Fund shall adopt a passive management strategy to achieve these objectives. In contrast to the active management approach, the Underlying Index is used as the basis for making decisions on the purchase and sale of assets and their respective weightings in the Sub-fund. The passive management strategy and the trading of shares on an exchange have the effect of limiting

management fees and transaction costs charged to the Sub-fund.

16.5.3 Achievability of the investment objective

One obstacle to replicating the performance of the Underlying Index is the fact that the Underlying Index is a statistical model based on certain assumptions. It is assumed, for example, that no transaction costs will be incurred when securities are purchased or sold. In addition, management fees and some tax payments are deducted from the Sub-fund share price, whereas they do not apply at all to the Underlying Index.

Detailed information about the Underlying Index may be obtained in printed or electronic form from the Company or from the Licensor.

NO ASSURANCE CAN BE GIVEN THAT THE INVESTMENT OBJECTIVES WILL ACTUALLY BE ACHIEVED.

16.6 Investment principles

16.6.1 General information

The Company may only acquire the following assets on behalf of the sub-fund:

- a) Securities pursuant to Section 193 KAGB,
 - b) Money market instruments pursuant to Section 194 KAGB,
 - c) Bank accounts pursuant to Section 195 KAGB,
 - d) Derivatives pursuant to Section 197 KAGB,
 - e) Other investment instruments pursuant to Section 198 KAGB,
 - f) Investment units pursuant to Section 196 KAGB, if they are oriented towards replicating the Underlying Index, while maintaining an appropriate risk diversification. Any restrictions on the eligibility result from the "Investment Conditions".
- The Underlying Index is recognised by BaFin and meets the following requirements of the KAGB:
- The composition of the index is sufficiently diversified.
 - The index represents an adequate benchmark for the market to which it relates.
 - The index is published in an appropriate manner.

In addition, and in accordance with Regulation (EU) 2016/1011 of the European Parliament and of the Council, the Licensor is entered with the European Securities and Markets Authority (ESMA) in a public register of administrators and benchmarks.

The ESMA public register of administrators and benchmarks can be consulted at www.esma.europa.eu.

In addition, the Company has drawn up a contingency plan in which it sets out measures it would take if the underlying index were to change significantly or cease to be provided.

Details of the equities included in the Underlying Index are also contained in the most recent annual financial statement or semi-annual report published for the sub-fund.

Because of the relationship between the Sub-fund and the Underlying Index and because certain issuer and investment limits may be exceeded as a result, the principle of risk diversification finds only limited application.

16.6.2 Description of the Index

The STOXX® Europe 600 Retail Index measures the performance of the European retail industry according to the definition of the Industry Classification Benchmark (ICB) and is part of the STOXX® Europe 600 Index. This index includes 600 of the largest securities from 17 European countries. The index is reweighted quarterly, and its components are weighted according to the free-float market capitalisation and limited in order to maintain conformity with UCITS diversity standards. The free-float market capitalisation is the market value of all shares of a company in free circulation available at any time. Further details on the Underlying Index (including its components) are available on the website of the index provider at www.stoxx.com.

16.6.3 Effects of index adjustments

In order to replicate the Underlying Index as closely as possible, fund management must replicate all changes in the composition and weighting of the Underlying Index for the Sub-fund.

Fund management may, at its discretion, determine the timeframes in which the sub-fund will be adjusted and whether an adjustment is appropriate in view of the investment objective.

16.6.4 Replication of the index and priority of direct duplication

To replicate the Underlying Index, only the following assets may be acquired:

- securities included in the Security Index or introduced to it following a change to the index (index securities),
- securities issued on the Underlying Index (index certificates),
- securities issued on individual stocks of the Underlying Index (certificates on individual securities),
- futures contracts on the Underlying Index (index futures),
- futures contracts on individual stocks of the Underlying Index (futures on individual securities),
- warrants on the Underlying Index (index warrants),
- warrants on individual stocks of the Underlying Index (warrants on individual securities), and
- Investment fund units pursuant to Section 9 of the Investment Conditions

In replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in index securities over investments in other assets listed above approved for use in replicating indices. The Underlying Index may only be replicated using assets that indirectly replicate the index for purposes of maintaining the investment restrictions listed in the second sentence under Point 16.7.2.

16.6.5 Duplication percentage

In order to replicate the Underlying Index, the duplication percentage must not be less than 95 percent of the total assets in the sub-fund as defined in Point 16.6.4. Futures contracts shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach in accordance with the regulation on risk

management and risk measurement for the use of derivatives, securities lending and repurchasing agreements in investment funds pursuant to KAGB (hereinafter referred to as "DerivateV"). The duplication percentage reflects the proportion of the above-named securities, certificates, futures contracts, warrants and investment fund units in the sub-fund which matches the weighting of the Underlying Index.

16.6.6 Expected tracking error

The tracking error is defined as the annualised standard deviation of the difference between the returns of a fund and the underlying index. The expected tracking error of the sub-fund refers to the net monthly total returns of the sub-fund and the Underlying Index over a period of three years.

This figure is often of particular interest to investors who trade regularly with index investment assets and hold shares in investment funds only a few days or weeks. For long-term investors with a longer investment horizon the tracking difference between the sub-fund and the underlying index over the intended investment horizon is usually more important. The tracking difference measures the actual difference between the returns of a fund and the returns of the index (i.e., how accurately a fund replicates its underlying index). The tracking error, however, measures the increase and decrease of the tracking difference (i.e. the volatility of the tracking difference). Investors should take both figures into consideration when evaluating an index investment fund.

The tracking error may depend on the sampling methodology selected by the index investment fund. In general, historical data provide evidence that synthetic replication generates a lower tracking error than physical replication, but the same data also often suggest that physical replication generates a lower tracking difference than synthetic replication.

The expected tracking error is based on the expected volatility of the deviations between the returns of the sub-fund and the returns of the Underlying Index. Liquidity management, transaction costs for index adjustments as well as differences between the sub-fund and the Underlying Index in the valuation methodology and the valuation date may also have an effect on the tracking error and the difference between the returns of the sub-fund and the Underlying Index. The effects can be positive or negative depending on the underlying circumstances.

The sub-fund may also have a tracking error as a result of withholding taxes payable by the sub-fund on investment income. The extent of the tracking error resulting from withholding taxes depends on various factors such as refund requests made by the sub-fund to different tax authorities or tax relief for the sub-fund under a double taxation agreement.

The expected tracking error for the sub-fund is: 0.30 percent

Investors should note that these are only estimated values for the tracking error under normal market conditions and are therefore not to be understood as fixed limits.

16.7 Issuer and investment limits

16.7.1 Issuer limits

The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and the Investment Conditions.

The Company may invest up to 20 percent of the assets of the sub-fund in securities from a single issuer (debtor). The limit may be increased to up to 35 percent of the value of the sub-fund for securities from a single issuer (debtor). This increase in the limit up to 35 percent is permissible only for one individual issuer (debtor).

For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.

16.7.2 Investment restrictions

The Company may invest no more than 5 percent of the value of the sub-fund in bank accounts and money market instruments in accordance with the "General Investment Conditions". A minimum of 95 percent of the sub-fund must be invested in assets based on the Security Index, as defined in Point 16.6.4.

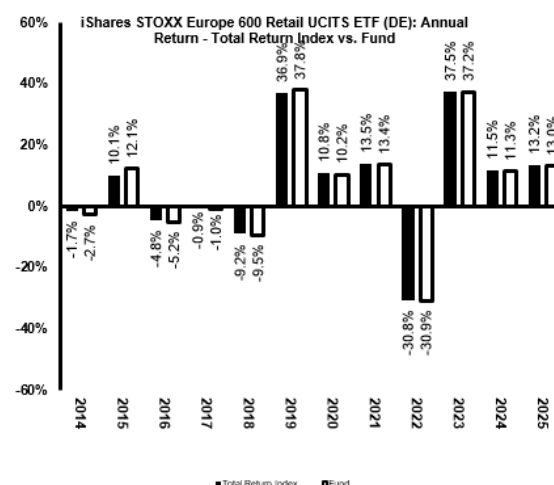
At least 85 percent of the value of the sub-fund shall on an ongoing basis be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds. In determining the volume of assets invested in the aforementioned shares, loans are to be deducted in proportion to the shares' portion of the value of all assets.

If the sub-fund is invested in investment fund units in accordance with Point 6.6, which are valued at least once a week, the Company will base its compliance with the equity fund capital participation quota by the sub-fund on the capital participation quotas published daily by the target investment funds and include them in the calculation of the equity fund capital participation quota for funds.

If in order to replicate the Underlying Index, the Company acquires index certificates or certificates on individual equities as defined in Point 16.6.4, no more than 10 percent of the value of sub-fund assets may be invested in such certificates as defined in Point 16.6.4, which are not admitted for official trading on a stock exchange or listed on a regulated market.

In order to replicate the Underlying Index the Company may invest up to 10 percent of the value of the sub-fund in units of other open-ended domestic and foreign investment funds (target funds) as defined in Point 6.6 of the General Part of this Sales Prospectus. In doing so, the Company may acquire on behalf of the sub-fund no more than 25 percent of the issued units or shares of a target fund. In addition, the target funds may in accordance with their Investment Conditions invest up to 10 percent in units or shares of other target funds. Please see 6.6 of the General Part of this Sales Prospectus for more information.

16.8 Performance



Source: STOXX Ltd./ BlackRock Asset Management Deutschland AG

The performance shown corresponds to the performance of the investment fund iShares STOXX Europe 600 Retail (DE) through 31 May 2011, which also replicated the STOXX Europe 600 Retail Index (price index) and whose assets were transferred at the end of the day on 31 May 2011 pursuant to Section 40 InvG in conjunction with Section 14 InvStG to the sub-fund iShares STOXX Europe 600 Retail UCITS ETF (DE) (formerly iShares STOXX Europe 600 Retail (DE)).

Past performance of the Sub-fund is not a predictor of future results for the Sub-fund.

16.9 Explanation of the risk profile of the Fund

The risk profile is based on a return and risk scale of 1 to 7, where 1 indicates a fairly low risk, but also typically lower returns, and 7 indicates a fairly high risk, but also typically higher returns.

The Fund is currently in category 5 because of the nature of its investments, which include the risks listed below.

The indicator is based on historical data and may not be a reliable indication of the future risk profile of the Fund. The risk category shown is not guaranteed and may change over time. The relevant current categorisation can be found in the Key Information Document. The lowest category cannot be equated with a risk-free investment. These factors may affect the value of investments or result in losses.

The investment risk is concentrated in specific sectors, countries, currencies or companies. Consequently, the Fund is more sensitive to localised economic, market, political, sustainability-related or regulatory events.

The value of equities and equity-related securities may be adversely affected by daily price movements on the stock exchanges. Other influencing factors include political and economic news, corporate earnings and significant corporate events.

Specific risks that are not captured in an appropriate manner by the risk indicator include counterparty risk.

16.10 Profile of a typical investor

The Fund is aimed at all types of investors seeking to improve or optimise their assets. Investors must be willing and able to accept significant fluctuations in the value of the shares and the possibility of a significant loss of capital. The Fund is suitable for medium- and long-term investment, though the Fund may also be suitable for shorter term exposure to the Underlying Index.

16.11 Management and miscellaneous expenses

The actual amount of the current fixed fee is listed in the "Overview of Existing Share Classes" in the Special Part of this Sales Prospectus.

17. iShares STOXX Europe 600 Technology UCITS ETF (DE)

17.1 Overview of existing share classes of the iShares STOXX Europe 600 Technology UCITS ETF (DE)

Share class name	iShares STOXX Europe 600 Technology UCITS ETF (DE) EUR (Dist)
German Securities Code (WKN) / ISIN	WKN A0H08Q / ISIN DE000A0H08Q4
Listed on a stock exchange	yes
Level of management fee	0.45% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	distributing
Transactions in securities lending and repurchase agreements	no

Share class name	iShares STOXX Europe 600 Technology UCITS ETF (DE) EUR (Acc)
German Securities Code (WKN) / ISIN	WKN A2QP39 / ISIN DE000A2QP398
Listed on a stock exchange	yes
Level of management fee	0.45% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	accumulating
Transactions in securities lending and repurchase agreements	no

17.2 Exchanges

The shares of the Sub-fund are admitted for (official) trading on the following stock exchanges:

Frankfurt Stock Exchange

Deutsche Börse AG
Börsenplatz 4
60485 Frankfurt/Main, Germany
Telephone: +49 (0) 69 - 211 - 0
Fax: +49 (0) 69 - 211 - 12005

BX Swiss

BX Swiss AG
Talstrasse 70
8001 Zürich, Schweiz
Telephone: +41 (0) 31 - 329 - 4040

The possibility of shares also being traded on other markets cannot be excluded.

In all other respects, the information under Point 9 of the General Part shall apply.

17.3 Designated Sponsors

Designated Sponsor(s) for listing on the Frankfurt Stock Exchange: can be checked under www.boerse-frankfurt.de

Market Maker for Listing on the BX Swiss: can be checked under www.bxswiss.com

In all other respects, the provisions under Point 9 of the General Part shall apply.

17.4 Licensor and licence agreement

17.4.1 Licensor and licence agreement

The STOXX® Europe 600 Technology (hereinafter referred to as the "Underlying Index") is a registered trademark of STOXX Ltd. (hereinafter referred to as the "Licensor") and is thus protected against unauthorised use. The Licensor grants licences for the use of the Underlying Index as a benchmark for capital market products.

The Management Company has been granted the right to use the Underlying Index of the sub-fund.

17.4.2 Disclaimer of liability by the Licensor

The Sub-fund is not sponsored, promoted, sold or distributed by the Licensor. Aside from the licensing of the Underlying Index and the permitted use of the trademark in connection with naming the Sub-fund, the Licensor has no connection whatsoever with the Company.

The Licensor gives no guarantee of the accuracy or the completeness of the Underlying Index and the data contained therein. It assumes no liability for errors, omissions or interruptions to the Underlying Index. The Licensor gives no direct or indirect guarantee concerning the results achieved by the Company through the use of the Underlying Index or of the other data contained therein. The Licensor provides no direct or indirect guarantee and assumes no liability as regards the marketability, suitability or use for a specific purpose of the Underlying Index or the data contained therein.

Notwithstanding any of the above, the Licensor shall under no circumstances accept responsibility for any damages caused by or in connection with the Underlying Index or the Sub-fund it underlies. This disclaimer of liability also applies to indirect losses, special damages or consequential losses (including loss of profits) in relation to the Underlying Index or the Sub-fund it underlies, even if the Licensor has been made aware of the assertion of such a claim. No third party shall benefit from any contracts or agreements between the Licensor and the Company.

17.5 Launch date, term and investment objective of the Sub-fund

17.5.1 Launch date and term

The sub-fund was launched on 31 May 2011 and is of unlimited duration.

The investors own an equity interest in the assets of the Sub-fund as co-owners in proportion to the number of shares held.

17.5.2 Investment objective

The objective of the Sub-fund is to achieve the same investment performance as the Underlying Index. For this purpose, it shall track the Underlying Index as closely and as completely as possible.

The Investment Fund shall adopt a passive management strategy to achieve these objectives. In contrast to the active management approach, the Underlying Index is used as the basis for making decisions on the purchase and sale of assets and their respective weightings in the Sub-fund. The passive management strategy and the trading of shares on an exchange have the effect of limiting

management fees and transaction costs charged to the Sub-fund.

17.5.3 Achievability of the investment objective

One obstacle to replicating the performance of the Underlying Index is the fact that the Underlying Index is a statistical model based on certain assumptions. It is assumed, for example, that no transaction costs will be incurred when securities are purchased or sold. In addition, management fees and some tax payments are deducted from the Sub-fund share price, whereas they do not apply at all to the Underlying Index.

Detailed information about the Underlying Index may be obtained in printed or electronic form from the Company or from the Licensor.

NO ASSURANCE CAN BE GIVEN THAT THE INVESTMENT OBJECTIVES WILL ACTUALLY BE ACHIEVED.

17.6 Investment principles

17.6.1 General information

The Company may only acquire the following assets on behalf of the sub-fund:

- a) Securities pursuant to Section 193 KAGB,
- b) Money market instruments pursuant to Section 194 KAGB,
- c) Bank accounts pursuant to Section 195 KAGB,
- d) Derivatives pursuant to Section 197 KAGB,
- e) Other investment instruments pursuant to Section 198 KAGB,
- f) Investment units pursuant to Section 196 KAGB, if they are oriented towards replicating the Underlying Index, while maintaining an appropriate risk diversification. Any restrictions on the eligibility result from the "Investment Conditions".

The Underlying Index is recognised by BaFin and meets the following requirements of the KAGB:

- The composition of the index is sufficiently diversified.
- The index represents an adequate benchmark for the market to which it relates.
- The index is published in an appropriate manner.

In addition, and in accordance with Regulation (EU) 2016/1011 of the European Parliament and of the Council, the Licensor is entered with the European Securities and Markets Authority (ESMA) in a public register of administrators and benchmarks.

The ESMA public register of administrators and benchmarks can be consulted at www.esma.europa.eu.

In addition, the Company has drawn up a contingency plan in which it sets out measures it would take if the underlying index were to change significantly or cease to be provided.

Details of the equities included in the Underlying Index are also contained in the most recent annual financial statement or semi-annual report published for the sub-fund.

Because of the relationship between the Sub-fund and the Underlying Index and because certain issuer and investment limits may be exceeded as a result, the principle of risk diversification finds only limited application.

17.6.2 Description of the Index

The STOXX® Europe 600 Technology Index measures the performance of the European technology sector according to the definition of the Industry Classification Benchmark (ICB) and is part of the STOXX® Europe 600 Index. This index includes 600 of the largest securities from 17 European countries. The index is reweighted quarterly, and its components are weighted according to the free-float market capitalisation and limited in order to maintain conformity with UCITS diversity standards. The free-float market capitalisation is the market value of all shares of a company in free circulation available at any time. Further details on the Underlying Index (including its components) are available on the website of the index provider at www.stoxx.com.

17.6.3 Effects of index adjustments

In order to replicate the Underlying Index as closely as possible, fund management must replicate all changes in the composition and weighting of the Underlying Index for the Sub-fund.

Fund management may, at its discretion, determine the timeframes in which the sub-fund will be adjusted and whether an adjustment is appropriate in view of the investment objective.

17.6.4 Replication of the index and priority of direct duplication

To replicate the Underlying Index, only the following assets may be acquired:

- securities included in the Security Index or introduced to it following a change to the index (index securities),
- securities issued on the Underlying Index (index certificates),
- securities issued on individual stocks of the Underlying Index (certificates on individual securities),
- futures contracts on the Underlying Index (index futures),
- futures contracts on individual stocks of the Underlying Index (futures on individual securities),
- warrants on the Underlying Index (index warrants),
- warrants on individual stocks of the Underlying Index (warrants on individual securities), and
- Investment fund units pursuant to Section 9 of the Investment Conditions

In replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in index securities over investments in other assets listed above approved for use in replicating indices. The Underlying Index may only be replicated using assets that indirectly replicate the index for purposes of maintaining the investment restrictions listed in the second sentence under Point 17.7.2.

17.6.5 Duplication percentage

In order to replicate the Underlying Index, the duplication percentage must not be less than 95 percent of the total assets in the sub-fund as defined in Point 17.6.4. Futures contracts shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach in accordance with the regulation on risk

management and risk measurement for the use of derivatives, securities lending and repurchasing agreements in investment funds pursuant to KAGB (hereinafter referred to as "DerivateV"). The duplication percentage reflects the proportion of the above-named securities, certificates, futures contracts, warrants and investment fund units in the sub-fund which matches the weighting of the Underlying Index.

17.6.6 Expected tracking error

The tracking error is defined as the annualised standard deviation of the difference between the returns of a fund and the underlying index. The expected tracking error of the sub-fund refers to the net monthly total returns of the sub-fund and the Underlying Index over a period of three years.

This figure is often of particular interest to investors who trade regularly with index investment assets and hold shares in investment funds only a few days or weeks. For long-term investors with a longer investment horizon the tracking difference between the sub-fund and the underlying index over the intended investment horizon is usually more important. The tracking difference measures the actual difference between the returns of a fund and the returns of the index (i.e., how accurately a fund replicates its underlying index). The tracking error, however, measures the increase and decrease of the tracking difference (i.e. the volatility of the tracking difference). Investors should take both figures into consideration when evaluating an index investment fund.

The tracking error may depend on the sampling methodology selected by the index investment fund. In general, historical data provide evidence that synthetic replication generates a lower tracking error than physical replication, but the same data also often suggest that physical replication generates a lower tracking difference than synthetic replication.

The expected tracking error is based on the expected volatility of the deviations between the returns of the sub-fund and the returns of the Underlying Index. Liquidity management, transaction costs for index adjustments as well as differences between the sub-fund and the Underlying Index in the valuation methodology and the valuation date may also have an effect on the tracking error and the difference between the returns of the sub-fund and the Underlying Index. The effects can be positive or negative depending on the underlying circumstances.

The sub-fund may also have a tracking error as a result of withholding taxes payable by the sub-fund on investment income. The extent of the tracking error resulting from withholding taxes depends on various factors such as refund requests made by the sub-fund to different tax authorities or tax relief for the sub-fund under a double taxation agreement. The expected tracking error for the sub-fund is: 0.30 percent

Investors should note that these are only estimated values for the tracking error under normal market conditions and are therefore not to be understood as fixed limits.

17.7 Issuer and investment limits

17.7.1 Issuer limits

The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and the Investment Conditions.

The Company may invest up to 20 percent of the assets of the sub-fund in securities from a single issuer (debtor). The limit may be increased to up to 35 percent of the value of the sub-fund for securities from a single issuer (debtor). This increase in the limit up to 35 percent is permissible only for one individual issuer (debtor).

For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.

17.7.2 Investment restrictions

The Company may invest no more than 5 percent of the value of the sub-fund in bank accounts and money market instruments in accordance with the "General Investment Conditions". A minimum of 95 percent of the sub-fund must be invested in assets based on the Security Index, as defined in Point 17.6.4.

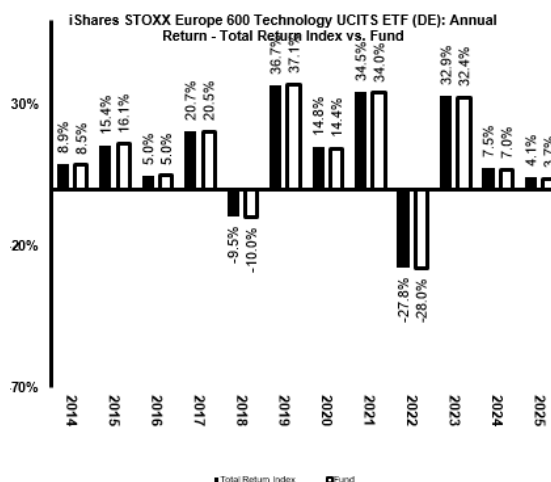
At least 85 percent of the value of the sub-fund shall on an ongoing basis be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds. In determining the volume of assets invested in the aforementioned shares, loans are to be deducted in proportion to the shares' portion of the value of all assets.

If the sub-fund is invested in investment fund units in accordance with Point 6.6, which are valued at least once a week, the Company will base its compliance with the equity fund capital participation quota by the sub-fund on the capital participation quotas published daily by the target investment funds and include them in the calculation of the equity fund capital participation quota for funds.

If in order to replicate the Underlying Index, the Company acquires index certificates or certificates on individual equities as defined in Point 17.6.4, no more than 10 percent of the value of sub-fund assets may be invested in such certificates as defined in Point 17.6.4, which are not admitted for official trading on a stock exchange or listed on a regulated market.

In order to replicate the Underlying Index the Company may invest up to 10 percent of the value of the sub-fund in units of other open-ended domestic and foreign investment funds (target funds) as defined in Point 6.6 of the General Part of this Sales Prospectus. In doing so, the Company may acquire on behalf of the sub-fund no more than 25 percent of the issued units or shares of a target fund. In addition, the target funds may in accordance with their Investment Conditions invest up to 10 percent in units or shares of other target funds. Please see 6.6 of the General Part of this Sales Prospectus for more information.

17.8 Performance



Source: STOXX Ltd./ BlackRock Asset Management Deutschland AG

The performance shown corresponds to the performance of the investment fund iShares STOXX Europe 600 Technology (DE) through 31 May 2011, which also replicated the STOXX Europe 600 Technology Index (price index) and whose assets were transferred at the end of the day on 31 May 2011 pursuant to Section 40 InvG in conjunction with Section 14 InvStG to the sub-fund iShares STOXX Europe 600 Technology UCITS ETF (DE) (formerly iShares STOXX Europe 600 Technology (DE)).

Past performance of the Sub-fund is not a predictor of future results for the Sub-fund.

17.9 Explanation of the risk profile of the Fund

The risk profile is based on a return and risk scale of 1 to 7, where 1 indicates a fairly low risk, but also typically lower returns, and 7 indicates a fairly high risk, but also typically higher returns.

The Fund is currently in category 5 because of the nature of its investments, which include the risks listed below.

The indicator is based on historical data and may not be a reliable indication of the future risk profile of the Fund. The risk category shown is not guaranteed and may change over time. The relevant current categorisation can be found in the Key Information Document. The lowest category cannot be equated with a risk-free investment. These factors may affect the value of investments or result in losses.

The investment risk is concentrated in specific sectors, countries, currencies or companies. Consequently, the Fund is more sensitive to localised economic, market, political, sustainability-related or regulatory events.

The value of equities and equity-related securities may be adversely affected by daily price movements on the stock exchanges. Other influencing factors include political and economic news, corporate earnings and significant corporate events.

Specific risks that are not captured in an appropriate manner by the risk indicator include counterparty risk.

17.10 Profile of a typical investor

The Fund is aimed at all types of investors seeking to improve or optimise their assets. Investors must be willing and able to accept significant fluctuations in the value of the shares and the possibility of a significant loss of capital. The Fund is suitable for medium- and long-term investment, though the Fund may also be suitable for shorter term exposure to the Underlying Index.

17.11 Management and miscellaneous expenses

The actual amount of the fixed fee is listed in the "Overview of existing share classes" in the Special Part of the Sales Prospectus.

18. iShares STOXX Europe 600 Telecommunications UCITS ETF (DE)

18.1 Overview of existing share classes of the iShares STOXX Europe 600 Telecommunications UCITS ETF (DE)

Share class name	iShares STOXX Europe 600 Telecommunications UCITS ETF (DE)
German Securities Code (WKN) / ISIN	WKN A0H08R / ISIN DE000A0H08R2
Listed on a stock exchange	yes
Level of management fee	0.45% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	distributing
Transactions in securities lending and repurchase agreements	no

18.2 Exchanges

The shares of the Sub-fund are admitted for (official) trading on the following stock exchanges:

Frankfurt Stock Exchange

Deutsche Börse AG
Börsenplatz 4
60485 Frankfurt/Main, Germany
Telephone: +49 (0) 69 - 211 - 0
Fax: +49 (0) 69 - 211 - 12005

BX Swiss AG

BX Swiss AG
Talstrasse 70
8001 Zurich, Switzerland
Telephone: +41 (0) 31 - 329 - 4040

The possibility of shares also being traded on other markets cannot be excluded.

In all other respects, the information under Point 9 of the General Part shall apply.

18.3 Designated Sponsors

Designated Sponsor(s) for listing on the Frankfurt Stock Exchange: can be checked under www.boerse-frankfurt.de

Market Maker for Listing on the BX Swiss: can be checked www.bxswiss.com

In all other respects, the provisions under Point 9 of the General Part shall apply.

18.4 Licensor and licence agreement

18.4.1 Licensor and licence agreement

The STOXX® Europe 600 Telecommunications (hereinafter referred to as the "Underlying Index") is a registered trademark of STOXX Ltd. (hereinafter referred to as the "Licensor") and is thus protected against unauthorised use. The Licensor grants licences for the use of the Underlying Index as a benchmark for capital market products.

The Management Company has been granted the right to use the Underlying Index of the sub-fund.

18.4.2 Disclaimer of liability by the Licensor

The Sub-fund is not sponsored, promoted, sold or distributed by the Licensor. Aside from the licensing of the Underlying Index and the permitted use of the trademark in connection with naming the Sub-fund, the Licensor has no connection whatsoever with the Company.

The Licensor gives no guarantee of the accuracy or the completeness of the Underlying Index and the data contained therein. It assumes no liability for errors, omissions or interruptions to the Underlying Index. The Licensor gives no direct or indirect guarantee concerning the results achieved by the Company through the use of the Underlying Index or of the other data contained therein. The Licensor provides no direct or indirect guarantee and assumes no liability as regards the marketability, suitability or use for a specific purpose of the Underlying Index or the data contained therein.

Notwithstanding any of the above, the Licensor shall under no circumstances accept responsibility for any damages caused by or in connection with the Underlying Index or the Sub-fund it underlies. This disclaimer of liability also applies to indirect losses, special damages or consequential losses (including loss of profits) in relation to the Underlying Index or the Sub-fund it underlies, even if the Licensor has been made aware of the assertion of such a claim. No third party shall benefit from any contracts or agreements between the Licensor and the Company.

18.5 Launch date, term and investment objective of the Sub-fund

18.5.1 Launch date and term

The sub-fund was launched on 31 May 2011 and is of unlimited duration.

The investors own an equity interest in the assets of the Sub-fund as co-owners in proportion to the number of shares held.

18.5.2 Investment objective

The objective of the Sub-fund is to achieve the same investment performance as the Underlying Index. For this purpose, it shall track the Underlying Index as closely and as completely as possible.

The Investment Fund shall adopt a passive management strategy to achieve these objectives. In contrast to the active management approach, the Underlying Index is used as the basis for making decisions on the purchase and sale of assets and their respective weightings in the Sub-fund. The passive management strategy and the trading of shares on an exchange have the effect of limiting

management fees and transaction costs charged to the Sub-fund.

18.5.3 Achievability of the investment objective

One obstacle to replicating the performance of the Underlying Index is the fact that the Underlying Index is a statistical model based on certain assumptions. It is assumed, for example, that no transaction costs will be incurred when securities are purchased or sold. In addition, management fees and some tax payments are deducted from the Sub-fund share price, whereas they do not apply at all to the Underlying Index.

Detailed information about the Underlying Index may be obtained in printed or electronic form from the Company or from the Licensor.

NO ASSURANCE CAN BE GIVEN THAT THE INVESTMENT OBJECTIVES WILL ACTUALLY BE ACHIEVED.

18.6 Investment principles

18.6.1 General information

The Company may only acquire the following assets on behalf of the sub-fund:

- a) Securities pursuant to Section 193 KAGB,
- b) Money market instruments pursuant to Section 194 KAGB,
- c) Bank accounts pursuant to Section 195 KAGB,
- d) Derivatives pursuant to Section 197 KAGB,
- e) Other investment instruments pursuant to Section 198 KAGB,
- f) Investment units pursuant to Section 196 KAGB, if they are oriented towards replicating the Underlying Index, while maintaining an appropriate risk diversification. Any restrictions on the eligibility result from the "Investment Conditions".

The Underlying Index is recognised by BaFin and meets the following requirements of the KAGB:

- The composition of the index is sufficiently diversified.
- The index represents an adequate benchmark for the market to which it relates.
- The index is published in an appropriate manner.

In addition, and in accordance with Regulation (EU) 2016/1011 of the European Parliament and of the Council, the Licensor is entered with the European Securities and Markets Authority (ESMA) in a public register of administrators and benchmarks.

The ESMA public register of administrators and benchmarks can be consulted at www.esma.europa.eu.

In addition, the Company has drawn up a contingency plan in which it sets out measures it would take if the underlying index were to change significantly or cease to be provided.

Details of the equities included in the Underlying Index are also contained in the most recent annual financial statement or semi-annual report published for the sub-fund.

Because of the relationship between the Sub-fund and the Underlying Index and because certain issuer and investment limits may be exceeded as a result, the principle of risk diversification finds only limited application.

18.6.2 Description of the Index

The STOXX® Europe 600 Telecommunications Index measures the performance of the European telecommunications sector according to the definition of the Industry Classification Benchmark (ICB) and is part of the STOXX® Europe 600 Index. This index includes 600 of the largest securities from 17 European countries. The index is reweighted quarterly, and its components are weighted according to the free-float market capitalisation and limited in order to maintain conformity with UCITS diversity standards. The free-float market capitalisation is the market value of all shares of a company in free circulation available at any time. Further details on the Underlying Index (including its components) are available on the website of the index provider at www.stoxx.com.

18.6.3 Effects of index adjustments

In order to replicate the Underlying Index as closely as possible, fund management must replicate all changes in the composition and weighting of the Underlying Index for the Sub-fund.

Fund management may, at its discretion, determine the timeframes in which the sub-fund will be adjusted and whether an adjustment is appropriate in view of the investment objective.

18.6.4 Replication of the index and priority of direct duplication

To replicate the Underlying Index, only the following assets may be acquired:

- securities included in the Security Index or introduced to it following a change to the index (index securities),
- securities issued on the Underlying Index (index certificates),
- securities issued on individual stocks of the Underlying Index (certificates on individual securities),
- futures contracts on the Underlying Index (index futures),
- futures contracts on individual stocks of the Underlying Index (futures on individual securities),
- warrants on the Underlying Index (index warrants),
- warrants on individual stocks of the Underlying Index (warrants on individual securities), and
- Investment fund units pursuant to Section 9 of the Investment Conditions

In replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in index securities over investments in other assets listed above approved for use in replicating indices. The Underlying Index may only be replicated using assets that indirectly replicate the index for purposes of maintaining the investment restrictions listed in the second sentence under Point 18.7.2.

18.6.5 Duplication percentage

In order to replicate the Underlying Index, the duplication percentage must not be less than 95 percent of the total assets in the sub-fund as defined in Point 18.6.4. Futures contracts shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach in accordance with the regulation on risk

management and risk measurement for the use of derivatives, securities lending and repurchasing agreements in investment funds pursuant to KAGB (hereinafter referred to as "DerivateV"). The duplication percentage reflects the proportion of the above-named securities, certificates, futures contracts, warrants and investment fund units in the sub-fund which matches the weighting of the Underlying Index.

18.6.6 Expected tracking error

The tracking error is defined as the annualised standard deviation of the difference between the returns of a fund and the underlying index. The expected tracking error of the sub-fund refers to the net monthly total returns of the sub-fund and the Underlying Index over a period of three years.

This figure is often of particular interest to investors who trade regularly with index investment assets and hold shares in investment funds only a few days or weeks. For long-term investors with a longer investment horizon the tracking difference between the sub-fund and the underlying index over the intended investment horizon is usually more important. The tracking difference measures the actual difference between the returns of a fund and the returns of the index (i.e., how accurately a fund replicates its underlying index). The tracking error, however, measures the increase and decrease of the tracking difference (i.e. the volatility of the tracking difference). Investors should take both figures into consideration when evaluating an index investment fund.

The tracking error may depend on the sampling methodology selected by the index investment fund. In general, historical data provide evidence that synthetic replication generates a lower tracking error than physical replication, but the same data also often suggest that physical replication generates a lower tracking difference than synthetic replication.

The expected tracking error is based on the expected volatility of the deviations between the returns of the sub-fund and the returns of the Underlying Index. Liquidity management, transaction costs for index adjustments as well as differences between the sub-fund and the Underlying Index in the valuation methodology and the valuation date may also have an effect on the tracking error and the difference between the returns of the sub-fund and the Underlying Index. The effects can be positive or negative depending on the underlying circumstances.

The sub-fund may also have a tracking error as a result of withholding taxes payable by the sub-fund on investment income. The extent of the tracking error resulting from withholding taxes depends on various factors such as refund requests made by the sub-fund to different tax authorities or tax relief for the sub-fund under a double taxation agreement. The expected tracking error for the sub-fund is: 0.30 percent

Investors should note that these are only estimated values for the tracking error under normal market conditions and are therefore not to be understood as fixed limits.

18.7 Issuer and investment limits

18.7.1 Issuer limits

The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and the Investment Conditions.

The Company may invest up to 20 percent of the assets of the sub-fund in securities from a single issuer (debtor). The limit may be increased to up to 35 percent of the value of the sub-fund for securities from a single issuer (debtor). This increase in the limit up to 35 percent is permissible only for one individual issuer (debtor).

For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.

18.7.2 Investment restrictions

The Company may invest no more than 5 percent of the value of the sub-fund in bank accounts and money market instruments in accordance with the "General Investment Conditions". A minimum of 95 percent of the sub-fund must be invested in assets based on the Security Index, as defined in Point 18.6.4.

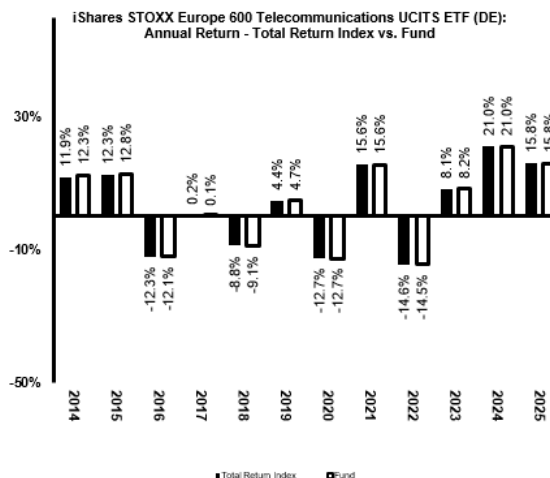
At least 85 percent of the value of the sub-fund shall on an ongoing basis be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds. In determining the volume of assets invested in the aforementioned shares, loans are to be deducted in proportion to the shares' portion of the value of all assets.

If the sub-fund is invested in investment fund units in accordance with Point 6.6, which are valued at least once a week, the Company will base its compliance with the equity fund capital participation quota by the sub-fund on the capital participation quotas published daily by the target investment funds and include them in the calculation of the equity fund capital participation quota for funds.

If in order to replicate the Underlying Index, the Company acquires index certificates or certificates on individual equities as defined in Point 18.6.4, no more than 10 percent of the value of sub-fund assets may be invested in such certificates as defined in Point 18.6.4, which are not admitted for official trading on a stock exchange or listed on a regulated market.

In order to replicate the Underlying Index the Company may invest up to 10 percent of the value of the sub-fund in units of other open-ended domestic and foreign investment funds (target funds) as defined in Point 6.6 of the General Part of this Sales Prospectus. In doing so, the Company may acquire on behalf of the sub-fund no more than 25 percent of the issued units or shares of a target fund. In addition, the target funds may in accordance with their Investment Conditions invest up to 10 percent in units or shares of other target funds. Please see 6.6 of the General Part of this Sales Prospectus for more information.

18.8 Performance



Source: STOXX Ltd./ BlackRock Asset Management Deutschland AG

The performance shown corresponds to the performance of the investment fund iShares STOXX Europe 600 Telecommunications (DE) through 31 May 2011, which also replicated the STOXX Europe 600 Telecommunications Index (price index) and whose assets were transferred at the end of the day on 31 May 2011 pursuant to Section 40 InvG in conjunction with Section 14 InvStG to the sub-fund iShares STOXX Europe 600 Telecommunications UCITS ETF (DE) (formerly iShares STOXX Europe 600 Telecommunications (DE)).

Past performance of the Sub-fund is not a predictor of future results for the Sub-fund.

18.9 Explanation of the risk profile of the Fund

The risk profile is based on a return and risk scale of 1 to 7, where 1 indicates a fairly low risk, but also typically lower returns, and 7 indicates a fairly high risk, but also typically higher returns.

The Fund is currently in category 4 because of the nature of its investments, which include the risks listed below.

The indicator is based on historical data and may not be a reliable indication of the future risk profile of the Fund. The risk category shown is not guaranteed and may change over time. The relevant current categorisation can be found in the Key Information Document. The lowest category cannot be equated with a risk-free investment. These factors may affect the value of investments or result in losses.

The investment risk is concentrated in specific sectors, countries, currencies or companies. Consequently, the Fund is more sensitive to localised economic, market, political, sustainability-related or regulatory events.

The value of equities and equity-related securities may be adversely affected by daily price movements on the stock exchanges. Other influencing factors include political and economic news, corporate earnings and significant corporate events.

Specific risks that are not captured in an appropriate manner by the risk indicator include counterparty risk.

18.10 Profile of a typical investor

The Fund is aimed at all types of investors seeking to improve or optimise their assets. Investors must be willing and able to accept significant fluctuations in the value of the shares and the possibility of a significant loss of capital. The Fund is suitable for medium- and long-term investment, though the Fund may also be suitable for shorter term exposure to the Underlying Index.

18.11 Management and miscellaneous expenses

The actual amount of the fixed fee is listed in the "Overview of existing share classes" in the Special Part of the Sales Prospectus.

19. iShares STOXX Europe 600 Travel & Leisure UCITS ETF (DE)

19.1 Overview of existing share classes of the iShares STOXX Europe 600 Travel & Leisure UCITS ETF (DE)

Share class name	iShares STOXX Europe 600 Travel & Leisure UCITS ETF (DE)
German Securities Code (WKN) / ISIN	WKN A0H08S / ISIN DE000A0H08S0
Listed on a stock exchange	yes
Level of management fee	0.45% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	distributing
Transactions in securities lending and repurchase agreements	no

19.2 Exchanges

The shares of the Sub-fund are admitted for (official) trading on the following stock exchanges:

Frankfurt Stock Exchange

Deutsche Börse AG
Börsenplatz 4
60485 Frankfurt/Main, Germany
Telephone: +49 (0) 69 - 211 - 0
Fax: +49 (0) 69 - 211 - 12005

BX Swiss

BX Swiss AG
Talstrasse 70
8001 Zürich, Schweiz
Telephone: +41 (0) 31 - 329 - 4040

The possibility of shares also being traded on other markets cannot be excluded.

In all other respects, the information under Point 9 of the General Part shall apply.

19.3 Designated Sponsors

Designated Sponsor(s) for listing on the Frankfurt Stock Exchange: can be checked under www.boerse-frankfurt.de

Market Maker for Listing on the BX Swiss: can be checked under www.bxswiss.com

In all other respects, the provisions under Point 9 of the General Part shall apply.

19.4 Licensor and licence agreement

19.4.1 Licensor and licence agreement

The STOXX® Europe 600 Travel & Leisure (hereinafter referred to as the "Underlying Index") is a registered trademark of STOXX Ltd. (hereinafter referred to as the "Licensor") and is thus protected against unauthorised use. The Licensor grants licences for the use of the Underlying Index as a benchmark for capital market products.

The Management Company has been granted the right to use the Underlying Index of the sub-fund.

19.4.2 Disclaimer of liability by the Licensor

The Sub-fund is not sponsored, promoted, sold or distributed by the Licensor. Aside from the licensing of the Underlying Index and the permitted use of the trademark in connection with naming the Sub-fund, the Licensor has no connection whatsoever with the Company.

The Licensor gives no guarantee of the accuracy or the completeness of the Underlying Index and the data contained therein. It assumes no liability for errors, omissions or interruptions to the Underlying Index. The Licensor gives no direct or indirect guarantee concerning the results achieved by the Company through the use of the Underlying Index or of the other data contained therein. The Licensor provides no direct or indirect guarantee and assumes no liability as regards the marketability, suitability or use for a specific purpose of the Underlying Index or the data contained therein.

Notwithstanding any of the above, the Licensor shall under no circumstances accept responsibility for any damages caused by or in connection with the Underlying Index or the Sub-fund it underlies. This disclaimer of liability also applies to indirect losses, special damages or consequential losses (including loss of profits) in relation to the Underlying Index or the Sub-fund it underlies, even if the Licensor has been made aware of the assertion of such a claim. No third party shall benefit from any contracts or agreements between the Licensor and the Company.

19.5 Launch date, term and investment objective of the Sub-fund

19.5.1 Launch date and term

The sub-fund was launched on 31 May 2011 and is of unlimited duration.

The investors own an equity interest in the assets of the Sub-fund as co-owners in proportion to the number of shares held.

19.5.2 Investment objective

The objective of the Sub-fund is to achieve the same investment performance as the Underlying Index. For this purpose, it shall track the Underlying Index as closely and as completely as possible.

The Investment Fund shall adopt a passive management strategy to achieve these objectives. In contrast to the active management approach, the Underlying Index is used as the basis for making decisions on the purchase and sale of assets and their respective weightings in the Sub-fund. The passive management strategy and the trading of shares on an exchange have the effect of limiting

management fees and transaction costs charged to the Sub-fund.

19.5.3 Achievability of the investment objective

One obstacle to replicating the performance of the Underlying Index is the fact that the Underlying Index is a statistical model based on certain assumptions. It is assumed, for example, that no transaction costs will be incurred when securities are purchased or sold. In addition, management fees and some tax payments are deducted from the Sub-fund share price, whereas they do not apply at all to the Underlying Index.

Detailed information about the Underlying Index may be obtained in printed or electronic form from the Company or from the Licensor.

NO ASSURANCE CAN BE GIVEN THAT THE INVESTMENT OBJECTIVES WILL ACTUALLY BE ACHIEVED.

19.6 Investment principles

19.6.1 General information

The Company may only acquire the following assets on behalf of the sub-fund:

- a) Securities pursuant to Section 193 KAGB,
- b) Money market instruments pursuant to Section 194 KAGB,
- c) Bank accounts pursuant to Section 195 KAGB,
- d) Derivatives pursuant to Section 197 KAGB,
- e) Other investment instruments pursuant to Section 198 KAGB,
- f) Investment units pursuant to Section 196 KAGB, if they are oriented towards replicating the Underlying Index, while maintaining an appropriate risk diversification. Any restrictions on the eligibility result from the "Investment Conditions".

The Underlying Index is recognised by BaFin and meets the following requirements of the KAGB:

- The composition of the index is sufficiently diversified.
- The index represents an adequate benchmark for the market to which it relates.
- The index is published in an appropriate manner.

In addition, and in accordance with Regulation (EU) 2016/1011 of the European Parliament and of the Council, the Licensor is entered with the European Securities and Markets Authority (ESMA) in a public register of administrators and benchmarks.

The ESMA public register of administrators and benchmarks can be consulted at www.esma.europa.eu.

In addition, the Company has drawn up a contingency plan in which it sets out measures it would take if the underlying index were to change significantly or cease to be provided.

Details of the equities included in the Underlying Index are also contained in the most recent annual financial statement or semi-annual report published for the sub-fund.

Because of the relationship between the Sub-fund and the Underlying Index and because certain issuer and investment limits may be exceeded as a result, the principle of risk diversification finds only limited application.

19.6.2 Description of the Index

The STOXX® Europe 600 Travel & Leisure Index measures the performance of the European travel and leisure sector according to the definition of the Industry Classification Benchmark (ICB) and is part of the STOXX® Europe 600 Index. This index includes 600 of the largest securities from 17 European countries. The index is reweighted quarterly, and its components are weighted according to the free-float market capitalisation and limited in order to maintain conformity with UCITS diversity standards. The free-float market capitalisation is the market value of all shares of a company in free circulation available at any time. Further details on the Underlying Index (including its components) are available on the website of the index provider at www.stoxx.com.

19.6.3 Effects of index adjustments

In order to replicate the Underlying Index as closely as possible, fund management must replicate all changes in the composition and weighting of the Underlying Index for the Sub-fund.

Fund management may, at its discretion, determine the timeframes in which the sub-fund will be adjusted and whether an adjustment is appropriate in view of the investment objective.

19.6.4 Replication of the index and priority of direct duplication

To replicate the Underlying Index, only the following assets may be acquired:

- securities included in the Security Index or introduced to it following a change to the index (index securities),
- securities issued on the Underlying Index (index certificates),
- securities issued on individual stocks of the Underlying Index (certificates on individual securities),
- futures contracts on the Underlying Index (index futures),
- futures contracts on individual stocks of the Underlying Index (futures on individual securities),
- warrants on the Underlying Index (index warrants),
- warrants on individual stocks of the Underlying Index (warrants on individual securities), and
- Investment fund units pursuant to Section 9 of the Investment Conditions

In replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in index securities over investments in other assets listed above approved for use in replicating indices. The Underlying Index may only be replicated using assets that indirectly replicate the index for purposes of maintaining the investment restrictions listed in the second sentence under Point 19.7.2.

19.6.5 Duplication percentage

In order to replicate the Underlying Index, the duplication percentage must not be less than 95 percent of the total assets in the sub-fund as defined in Point 19.6.4. Futures contracts shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach in accordance with the regulation on risk

management and risk measurement for the use of derivatives, securities lending and repurchasing agreements in investment funds pursuant to KAGB (hereinafter referred to as "DerivateV"). The duplication percentage reflects the proportion of the above-named securities, certificates, futures contracts, warrants and investment fund units in the sub-fund which matches the weighting of the Underlying Index.

19.6.6 Expected tracking error

The tracking error is defined as the annualised standard deviation of the difference between the returns of a fund and the underlying index. The expected tracking error of the sub-fund refers to the net monthly total returns of the sub-fund and the Underlying Index over a period of three years.

This figure is often of particular interest to investors who trade regularly with index investment assets and hold shares in investment funds only a few days or weeks. For long-term investors with a longer investment horizon the tracking difference between the sub-fund and the underlying index over the intended investment horizon is usually more important. The tracking difference measures the actual difference between the returns of a fund and the returns of the index (i.e., how accurately a fund replicates its underlying index). The tracking error, however, measures the increase and decrease of the tracking difference (i.e. the volatility of the tracking difference). Investors should take both figures into consideration when evaluating an index investment fund.

The tracking error may depend on the sampling methodology selected by the index investment fund. In general, historical data provide evidence that synthetic replication generates a lower tracking error than physical replication, but the same data also often suggest that physical replication generates a lower tracking difference than synthetic replication.

The expected tracking error is based on the expected volatility of the deviations between the returns of the sub-fund and the returns of the Underlying Index. Liquidity management, transaction costs for index adjustments as well as differences between the sub-fund and the Underlying Index in the valuation methodology and the valuation date may also have an effect on the tracking error and the difference between the returns of the sub-fund and the Underlying Index. The effects can be positive or negative depending on the underlying circumstances.

The sub-fund may also have a tracking error as a result of withholding taxes payable by the sub-fund on investment income. The extent of the tracking error resulting from withholding taxes depends on various factors such as refund requests made by the sub-fund to different tax authorities or tax relief for the sub-fund under a double taxation agreement. The expected tracking error for the sub-fund is: 0.40 percent

Investors should note that these are only estimated values for the tracking error under normal market conditions and are therefore not to be understood as fixed limits.

19.7 Issuer and investment limits

19.7.1 Issuer limits

The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and the Investment Conditions.

The Company may invest up to 20 percent of the assets of the sub-fund in securities from a single issuer (debtor). The limit may be increased to up to 35 percent of the value of the sub-fund for securities from a single issuer (debtor). This increase in the limit up to 35 percent is permissible only for one individual issuer (debtor).

For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.

19.7.2 Investment restrictions

The Company may invest no more than 5 percent of the value of the sub-fund in bank accounts and money market instruments in accordance with the "General Investment Conditions". A minimum of 95 percent of the sub-fund must be invested in assets based on the Security Index, as defined in Point 19.6.4.

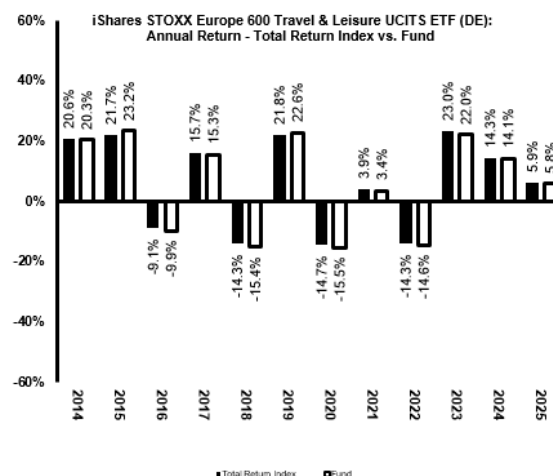
At least 85 percent of the value of the sub-fund shall on an ongoing basis be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds. In determining the volume of assets invested in the aforementioned shares, loans are to be deducted in proportion to the shares' portion of the value of all assets.

If the sub-fund is invested in investment fund units in accordance with Point 6.6, which are valued at least once a week, the Company will base its compliance with the equity fund capital participation quota by the sub-fund on the capital participation quotas published daily by the target investment funds and include them in the calculation of the equity fund capital participation quota for funds.

If in order to replicate the Underlying Index, the Company acquires index certificates or certificates on individual equities as defined in Point 19.6.4, no more than 10 percent of the value of sub-fund assets may be invested in such certificates as defined in Point 19.6.4, which are not admitted for official trading on a stock exchange or listed on a regulated market.

In order to replicate the Underlying Index the Company may invest up to 10 percent of the value of the sub-fund in units of other open-ended domestic and foreign investment funds (target funds) as defined in Point 6.6 of the General Part of this Sales Prospectus. In doing so, the Company may acquire on behalf of the sub-fund no more than 25 percent of the issued units or shares of a target fund. In addition, the target funds may in accordance with their Investment Conditions invest up to 10 percent in units or shares of other target funds. Please see 6.6 of the General Part of this Sales Prospectus for more information.

19.8 Performance



Source: STOXX Ltd./ BlackRock Asset Management Deutschland AG

The performance shown corresponds to the performance of the investment fund iShares STOXX Europe 600 Travel & Leisure (DE) through 31 May 2011, which also replicated the STOXX Europe 600 Travel & Leisure Index (price index) and whose assets were transferred at the end of the day on 31 May 2011 pursuant to Section 40 InvG in conjunction with Section 14 InvStG to the sub-fund iShares STOXX Europe 600 Travel & Leisure UCITS ETF (DE) (formerly iShares STOXX Europe 600 Travel & Leisure (DE)).

Past performance of the Sub-fund is not a predictor of future results for the Sub-fund.

19.9 Explanation of the risk profile of the Fund

The risk profile is based on a return and risk scale of 1 to 7, where 1 indicates a fairly low risk, but also typically lower returns, and 7 indicates a fairly high risk, but also typically higher returns.

The Fund is currently in category 5 because of the nature of its investments, which include the risks listed below.

The indicator is based on historical data and may not be a reliable indication of the future risk profile of the Fund. The risk category shown is not guaranteed and may change over time. The relevant current categorisation can be found in the Key Information Document. The lowest category cannot be equated with a risk-free investment. These factors may affect the value of investments or result in losses.

The investment risk is concentrated in specific sectors, countries, currencies or companies. Consequently, the Fund is more sensitive to localised economic, market, political, sustainability-related or regulatory events.

The value of equities and equity-related securities may be adversely affected by daily price movements on the stock exchanges. Other influencing factors include political and economic news, corporate earnings and significant corporate events.

Specific risks that are not captured in an appropriate manner by the risk indicator include counterparty risk.

19.10 Profile of a typical investor

The Fund is aimed at all types of investors seeking to improve or optimise their assets. Investors must be willing and able to accept significant fluctuations in the value of the shares and the possibility of a significant loss of capital. The Fund is suitable for medium- and long-term investment, though the Fund may also be suitable for shorter term exposure to the Underlying Index.

19.11 Management and miscellaneous expenses

The actual amount of the current fixed fee is listed in the "Overview of Existing Share Classes" in the Special Part of this Sales Prospectus.

20. iShares STOXX Europe 600 Utilities UCITS ETF (DE)

20.1 Overview of existing share classes of the iShares STOXX Europe Utilities UCITS ETF (DE)

Share class name	iShares STOXX Europe 600 Utilities UCITS ETF (DE)
German Securities Code (WKN) / ISIN	WKN A0Q4R0 / ISIN DE000A0Q4R02
Listed on a stock exchange	yes
Level of management fee	0.45% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	distributing
Transactions in securities lending and repurchase agreements	no

20.2 Exchanges

The shares of the Sub-fund are admitted for (official) trading on the following stock exchanges:

Frankfurt Stock Exchange

Deutsche Börse AG
Börsenplatz 4
60485 Frankfurt/Main, Germany
Telephone: +49 (0) 69 - 211 - 0
Fax: +49 (0) 69 - 211 - 12005

BX Swiss

BX Swiss AG
Talstrasse 70
8001 Zürich, Schweiz
Telephone: +41 (0) 31 - 329 - 4040

The possibility of shares also being traded on other markets cannot be excluded.

In all other respects, the information under Point 9 of the General Part shall apply.

20.3 Designated Sponsors

Designated Sponsor(s) for listing on the Frankfurt Stock Exchange: can be checked under www.boerse-frankfurt.de

Market Maker for Listing on the BX Swiss: can be checked under www.bxswiss.com

In all other respects, the provisions under Point 9 of the General Part shall apply.

20.4 Licensor and licence agreement

20.4.1 Licensor and licence agreement

The STOXX® Europe 600 Utilities (hereinafter referred to as the "Underlying Index") is a registered trademark of STOXX Ltd. (hereinafter referred to as the "Licensor") and is thus protected against unauthorised use. The Licensor grants licences for the use of the Underlying Index as a benchmark for capital market products.

The Management Company has been granted the right to use the Underlying Index of the sub-fund.

20.4.2 Disclaimer of liability by the Licensor

The Sub-fund is not sponsored, promoted, sold or distributed by the Licensor. Aside from the licensing of the Underlying Index and the permitted use of the trademark in connection with naming the Sub-fund, the Licensor has no connection whatsoever with the Company.

The Licensor gives no guarantee of the accuracy or the completeness of the Underlying Index and the data contained therein. It assumes no liability for errors, omissions or interruptions to the Underlying Index. The Licensor gives no direct or indirect guarantee concerning the results achieved by the Company through the use of the Underlying Index or of the other data contained therein. The Licensor provides no direct or indirect guarantee and assumes no liability as regards the marketability, suitability or use for a specific purpose of the Underlying Index or the data contained therein.

Notwithstanding any of the above, the Licensor shall under no circumstances accept responsibility for any damages caused by or in connection with the Underlying Index or the Sub-fund it underlies. This disclaimer of liability also applies to indirect losses, special damages or consequential losses (including loss of profits) in relation to the Underlying Index or the Sub-fund it underlies, even if the Licensor has been made aware of the assertion of such a claim. No third party shall benefit from any contracts or agreements between the Licensor and the Company.

20.5 Launch date, term and investment objective of the Sub-fund

20.5.1 Launch date and term

The sub-fund was launched on 31 May 2011 and is of unlimited duration.

The investors own an equity interest in the assets of the Sub-fund as co-owners in proportion to the number of shares held.

20.5.2 Investment objective

The objective of the Sub-fund is to achieve the same investment performance as the Underlying Index. For this purpose, it shall track the Underlying Index as closely and as completely as possible.

The Investment Fund shall adopt a passive management strategy to achieve these objectives. In contrast to the active management approach, the Underlying Index is used as the basis for making decisions on the purchase and sale of assets and their respective weightings in the Sub-fund. The passive management strategy and the trading of shares on an exchange have the effect of limiting

management fees and transaction costs charged to the Sub-fund.

20.5.3 Achievability of the investment objective

One obstacle to replicating the performance of the Underlying Index is the fact that the Underlying Index is a statistical model based on certain assumptions. It is assumed, for example, that no transaction costs will be incurred when securities are purchased or sold. In addition, management fees and some tax payments are deducted from the Sub-fund share price, whereas they do not apply at all to the Underlying Index.

Detailed information about the Underlying Index may be obtained in printed or electronic form from the Company or from the Licensor.

NO ASSURANCE CAN BE GIVEN THAT THE INVESTMENT OBJECTIVES WILL ACTUALLY BE ACHIEVED.

20.6 Investment principles

20.6.1 General information

The Company may only acquire the following assets on behalf of the sub-fund:

- a) Securities pursuant to Section 193 KAGB,
 - b) Money market instruments pursuant to Section 194 KAGB,
 - c) Bank accounts pursuant to Section 195 KAGB,
 - d) Derivatives pursuant to Section 197 KAGB,
 - e) Other investment instruments pursuant to Section 198 KAGB,
 - f) Investment units pursuant to Section 196 KAGB, if they are oriented towards replicating the Underlying Index, while maintaining an appropriate risk diversification. Any restrictions on the eligibility result from the "Investment Conditions".
- The Underlying Index is recognised by BaFin and meets the following requirements of the KAGB:
- The composition of the index is sufficiently diversified.
 - The index represents an adequate benchmark for the market to which it relates.
 - The index is published in an appropriate manner.

In addition, and in accordance with Regulation (EU) 2016/1011 of the European Parliament and of the Council, the Licensor is entered with the European Securities and Markets Authority (ESMA) in a public register of administrators and benchmarks.

The ESMA public register of administrators and benchmarks can be consulted at www.esma.europa.eu.

In addition, the Company has drawn up a contingency plan in which it sets out measures it would take if the underlying index were to change significantly or cease to be provided.

Details of the equities included in the Underlying Index are also contained in the most recent annual financial statement or semi-annual report published for the sub-fund.

Because of the relationship between the Sub-fund and the Underlying Index and because certain issuer and investment limits may be exceeded as a result, the principle of risk diversification finds only limited application.

20.6.2 Description of the Index

The STOXX® Europe 600 Utilities Index measures the performance of the European utilities sector according to the definition of the Industry Classification Benchmark (ICB) and is part of the STOXX® Europe 600 Index. This index includes 600 of the largest securities from 17 European countries. The index is reweighted quarterly, and its components are weighted according to the free-float market capitalisation and limited in order to maintain conformity with UCITS diversity standards. The free-float market capitalisation is the market value of all shares of a company in free circulation available at any time. Further details on the Underlying Index (including its components) are available on the website of the index provider at www.stoxx.com.

20.6.3 Effects of index adjustments

In order to replicate the Underlying Index as closely as possible, fund management must replicate all changes in the composition and weighting of the Underlying Index for the Sub-fund.

Fund management may, at its discretion, determine the timeframes in which the sub-fund will be adjusted and whether an adjustment is appropriate in view of the investment objective.

20.6.4 Replication of the index and priority of direct duplication

To replicate the Underlying Index, only the following assets may be acquired:

- securities included in the Security Index or introduced to it following a change to the index (index securities),
- securities issued on the Underlying Index (index certificates),
- securities issued on individual stocks of the Underlying Index (certificates on individual securities),
- futures contracts on the Underlying Index (index futures),
- futures contracts on individual stocks of the Underlying Index (futures on individual securities),
- warrants on the Underlying Index (index warrants),
- warrants on individual stocks of the Underlying Index (warrants on individual securities), and
- Investment fund units pursuant to Section 9 of the Investment Conditions

In replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in index securities over investments in other assets listed above approved for use in replicating indices. The Underlying Index may only be replicated using assets that indirectly replicate the index for purposes of maintaining the investment restrictions listed in the second sentence under Point 20.7.2.

20.6.5 Duplication percentage

In order to replicate the Underlying Index, the duplication percentage must not be less than 95 percent of the total assets in the sub-fund as defined in Point 20.6.4. Futures contracts shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach in accordance with the regulation on risk

management and risk measurement for the use of derivatives, securities lending and repurchasing agreements in investment funds pursuant to KAGB (hereinafter referred to as "DerivateV"). The duplication percentage reflects the proportion of the above-named securities, certificates, futures contracts, warrants and investment fund units in the sub-fund which matches the weighting of the Underlying Index.

20.6.6 Expected tracking error

The tracking error is defined as the annualised standard deviation of the difference between the returns of a fund and the underlying index. The expected tracking error of the sub-fund refers to the net monthly total returns of the sub-fund and the Underlying Index over a period of three years.

This figure is often of particular interest to investors who trade regularly with index investment assets and hold shares in investment funds only a few days or weeks. For long-term investors with a longer investment horizon the tracking difference between the sub-fund and the underlying index over the intended investment horizon is usually more important. The tracking difference measures the actual difference between the returns of a fund and the returns of the index (i.e., how accurately a fund replicates its underlying index). The tracking error, however, measures the increase and decrease of the tracking difference (i.e. the volatility of the tracking difference). Investors should take both figures into consideration when evaluating an index investment fund.

The tracking error may depend on the sampling methodology selected by the index investment fund. In general, historical data provide evidence that synthetic replication generates a lower tracking error than physical replication, but the same data also often suggest that physical replication generates a lower tracking difference than synthetic replication.

The expected tracking error is based on the expected volatility of the deviations between the returns of the sub-fund and the returns of the Underlying Index. Liquidity management, transaction costs for index adjustments as well as differences between the sub-fund and the Underlying Index in the valuation methodology and the valuation date may also have an effect on the tracking error and the difference between the returns of the sub-fund and the Underlying Index. The effects can be positive or negative depending on the underlying circumstances.

The sub-fund may also have a tracking error as a result of withholding taxes payable by the sub-fund on investment income. The extent of the tracking error resulting from withholding taxes depends on various factors such as refund requests made by the sub-fund to different tax authorities or tax relief for the sub-fund under a double taxation agreement. The expected tracking error for the sub-fund is: 0.40 percent

Investors should note that these are only estimated values for the tracking error under normal market conditions and are therefore not to be understood as fixed limits.

20.7 Issuer and investment limits

20.7.1 Issuer limits

The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and the Investment Conditions.

The Company may invest up to 20 percent of the assets of the sub-fund in securities from a single issuer (debtor). The limit may be increased to up to 35 percent of the value of the sub-fund for securities from a single issuer (debtor). This increase in the limit up to 35 percent is permissible only for one individual issuer (debtor).

For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.

20.7.2 Investment restrictions

The Company may invest no more than 5 percent of the value of the sub-fund in bank accounts and money market instruments in accordance with the "General Investment Conditions". A minimum of 95 percent of the sub-fund must be invested in assets based on the Security Index, as defined in Point 20.6.4.

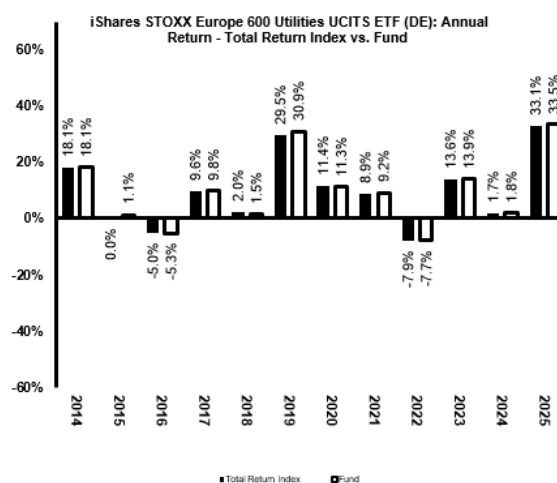
At least 70 percent of the value of the sub-fund shall on an ongoing basis be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds. In determining the volume of assets invested in the aforementioned shares, loans are to be deducted in proportion to the shares' portion of the value of all assets.

If the sub-fund is invested in investment fund units in accordance with Point 6.6, which are valued at least once a week, the Company will base its compliance with the equity fund capital participation quota by the sub-fund on the capital participation quotas published daily by the target investment funds and include them in the calculation of the equity fund capital participation quota for funds.

If in order to replicate the Underlying Index, the Company acquires index certificates or certificates on individual equities as defined in Point 20.6.4, no more than 10 percent of the value of sub-fund assets may be invested in such certificates as defined in Point 20.6.4, which are not admitted for official trading on a stock exchange or listed on a regulated market.

In order to replicate the Underlying Index the Company may invest up to 10 percent of the value of the sub-fund in units of other open-ended domestic and foreign investment funds (target funds) as defined in Point 6.6 of the General Part of this Sales Prospectus. In doing so, the Company may acquire on behalf of the sub-fund no more than 25 percent of the issued units or shares of a target fund. In addition, the target funds may in accordance with their Investment Conditions invest up to 10 percent in units or shares of other target funds. Please see 6.6 of the General Part of this Sales Prospectus for more information.

20.8 Performance



Source: STOXX Ltd./ BlackRock Asset Management Deutschland AG

The performance shown corresponds to the performance of the investment fund iShares STOXX Europe 600 Utilities (DE) through 31 May 2011, which also replicated the STOXX Europe 600 Utilities Index (price index) and whose assets were transferred at the end of the day on 31 May 2011 pursuant to Section 40 InvG in conjunction with Section 14 InvStG to the sub-fund iShares STOXX Europe 600 Utilities UCITS ETF (DE) (formerly iShares STOXX Europe 600 Utilities (DE)).

Past performance of the Sub-fund is not a predictor of future results for the Sub-fund.

20.9 Explanation of the risk profile of the Fund

The risk profile is based on a return and risk scale of 1 to 7, where 1 indicates a fairly low risk, but also typically lower returns, and 7 indicates a fairly high risk, but also typically higher returns.

The Fund is currently in category 4 because of the nature of its investments, which include the risks listed below.

The indicator is based on historical data and may not be a reliable indication of the future risk profile of the Fund. The risk category shown is not guaranteed and may change over time. The relevant current categorisation can be found in the Key Information Document. The lowest category cannot be equated with a risk-free investment. These factors may affect the value of investments or result in losses.

The investment risk is concentrated in specific sectors, countries, currencies or companies. Consequently, the Fund is more sensitive to localised economic, market, political, sustainability-related or regulatory events.

The value of equities and equity-related securities may be adversely affected by daily price movements on the stock exchanges. Other influencing factors include political and economic news, corporate earnings and significant corporate events.

Specific risks that are not captured in an appropriate manner by the risk indicator include counterparty risk.

20.10 Profile of a typical investor

The Fund is aimed at all types of investors seeking to improve or optimise their assets. Investors must be willing and able to accept significant fluctuations in the value of the shares and the possibility of a significant loss of capital. The Fund is suitable for medium- and long-term investment, though the Fund may also be suitable for shorter term exposure to the Underlying Index.

20.11 Management and miscellaneous expenses

The actual amount of the fixed fee is listed in the "Overview of existing share classes" in the Special Part of the Sales Prospectus.

21. iShares MSCI Brazil UCITS ETF (DE)

21.1 Overview of existing share classes of the iShares MSCI Brazil UCITS ETF (DE)

Share class name	iShares MSCI Brazil UCITS ETF (DE)
German Securities Code (WKN) / ISIN	WKN A0Q4R8 / ISIN DE000A0Q4R85
Listed on a stock exchange	yes
Level of management fee	0.25% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	accumulating
Fund currency	USD
Transactions in securities lending and repurchase agreements	no

21.2 Exchanges

The shares of the Sub-fund are admitted for (official) trading on the following stock exchanges:

Frankfurt Stock Exchange

Deutsche Börse AG
Börsenplatz 4
60485 Frankfurt/Main, Germany
Telephone: +49 (0) 69 - 211 - 0
Fax: +49 (0) 69 - 211 - 12005

SIX Swiss Exchange

SIX Swiss Exchange
Pfingstweidstrasse 110
8021 Zurich, Switzerland
Telephone: +41 (0) 58 - 399 - 5454
Fax: +41 (0) 58 - 499 - 5455

Bolsa Mexicana de Valores

Bolsa Mexicana de Valores S.A.B. de C.V.
Av. Paseo de la Reforma 255 Juárez Cuauhtémoc 06500
Ciudad de México, D. F., Mexico
Telephone: +52 (0) 55 5342 - 9000
Fax: +52 (0) 555 726 6805

Borsa Italiana

Borsa Italiana
Piazza degli Affari 6
20123 Mailand, Italy
Telephone: +39 (0) 2 724261
Fax: +39 (0) 2 72004333

The possibility of shares also being traded on other markets cannot be excluded.

In all other respects, the information under Point 9 of the General Part shall apply.

21.3 Designated Sponsors

Designated Sponsor(s) for listing on the Frankfurt Stock Exchange: can be checked under www.boerse-frankfurt.de

Market Maker for Listing on the Borsa Italiana: can be checked under www.borsaitaliana.it

Market Maker for Listing on the SIX Swiss Exchange: can be checked under www.six-group.com

In all other respects, the provisions under Point 9 of the General Part shall apply.

21.4 Licensor and licence agreement

21.4.1 Licensor and licence agreement

The MSCI Brazil Index Net USD (hereinafter referred to as the "Underlying Index") is a registered trademark of MSCI Inc. (hereinafter referred to as the "Licensor") and is thus protected against unauthorised use. The Licensor grants licences for the use of the Underlying Index as a benchmark for capital market products.

The Management Company has been granted the right to use the Underlying Index of the sub-fund.

21.4.2 Disclaimer of liability by the Licensor

The sub-fund is neither sponsored, promoted, sold nor marketed by the Licensor, its affiliated companies, its information providers or any other party involved in or connected with the compilation, calculation or creation of the MSCI Indices (collective referred to as "the MSCI Parties").

The Underlying Index is the exclusive property of the Licensor. MSCI and the MSCI index names are service marks of the Licensor or its affiliated companies. The MSCI Parties give no explicit or implied assurance or warranty to the Management Company, the shareholders of the sub-fund or any other natural or legal person as to the advisability of an investment in funds in general or in the sub-fund in particular, or in relation to the ability of an MSCI index to replicate the performance of the corresponding share market. The Licensor or its affiliated companies are the Licensors of certain marks, service marks and trade names, and of the Underlying Index, which is determined, compiled and calculated by the Licensor without consideration of the sub-fund, Management Company, or shareholders of the sub-fund, or any other natural or legal person. None of the MSCI Parties are obliged to take account of the requirements of the Management Company, shareholders of the sub-fund or any other natural or legal person when determining, composing or calculating the Underlying Index. No MSCI Party was involved in nor responsible for setting the deadlines, prices or quantities of the issue of shares in the sub-fund, nor determining or calculating the formula or consideration used for the redemption of shares in the sub-fund. In addition, the MSCI Parties are not subject to any obligation or liability to the Management Company, the shareholders of the sub-fund or any other natural or legal person regarding the management, marketing, or offer of the sub-fund.

Although information to be included in the Underlying Index or applied when calculating it is obtained by the Licensor from sources that the Licensor considers reliable, none of the MSCI Parties guarantee the authenticity, accuracy and/or completeness of the Underlying Index or the data contained therein. The MSCI Parties grant no explicit or implied warranty with regards the results that the Management Company, the shareholders of the sub-fund or any other natural or legal person could achieve by using the Underlying Index or the data contained therein. None of the MSCI Parties are liable for errors, omissions or gaps within or in connection with the Underlying Index or data contained therein. The MSCI Parties give no explicit or implied warranty in terms of the Underlying Index

and the data contained therein and hereby expressly exclude any warranty regarding its marketability or suitability for a particular purpose. Without restriction to the above, in no circumstances are the MSCI Parties liable for direct, indirect, or specific claims, damages, consequential damages or other damages (including lost profits) even if notice was given of the possibility of such damages.

No purchaser, seller or shareholder of the sub-fund, or other natural or legal person should use a trade name, a trademark or service mark of the Licensor or make reference to it in order to sponsor, promote, sell or market the sub-fund, without beforehand contacting the Licensor to confirm whether the Licensor's permission is required to do so. Under no circumstances may a natural or legal person claim to have a connection with the Licensor without obtaining written permission from the Licensor beforehand.

The Investment Stock Corporation and the Management Company (together the "Responsible Parties") give no guarantee of the accuracy and/or completeness of descriptions regarding the Underlying Index or the data contained therein, and the Responsible Parties are not liable for errors, omissions or gaps contained therein. The authorised Responsible Parties give no guarantee, explicit or implied, to the sub-fund, the shareholders of the sub-fund or any other natural or legal persons with regards the Underlying Index.

The Licensor gives no warranty, explicit or implied, and expressly excludes any warranty regarding the marketability or suitability for a particular purpose or particular usage in relation to the Underlying Index, or the strategy or data contained therein. Notwithstanding the above, the Licensor is under no circumstances liable for indirect or specific claims, damages, consequential damages or for loss of profit, even if notice of the possibility of such damages was given.

21.5 Launch date, term and investment objective of the Sub-fund

21.5.1 Launch date and term

The sub-fund was launched on 24 October 2018 and is of unlimited duration.

The investors own an equity interest in the assets of the Sub-fund as co-owners in proportion to the number of shares held.

21.5.2 Investment objective

The objective of the Sub-fund is to achieve the same investment performance as the Underlying Index. For this purpose, it shall track the Underlying Index as closely and as completely as possible.

The Investment Fund shall adopt a passive management strategy to achieve these objectives. In contrast to the active management approach, the Underlying Index is used as the basis for making decisions on the purchase and sale of assets and their respective weightings in the Sub-fund. The passive management strategy and the trading of shares on an exchange have the effect of limiting management fees and transaction costs charged to the Sub-fund.

21.5.3 Achievability of the investment objective

One obstacle to replicating the performance of the Underlying Index is the fact that the Underlying Index is a statistical model based on certain assumptions. It is assumed, for example, that no transaction costs will be incurred when securities are purchased or sold. In addition, management fees and some tax payments are deducted from the sub-fund share price, whereas they do not apply to the Underlying Index.

Detailed information about the Underlying Index may be obtained in printed or electronic form from the Company or from the Licensors.

NO ASSURANCE CAN BE GIVEN THAT THE INVESTMENT OBJECTIVES WILL ACTUALLY BE ACHIEVED.

21.6 Investment principles

21.6.1 General information

The Company may only acquire the following assets on behalf of the sub-fund:

- a) Securities pursuant to Section 193 KAGB,
- b) Money market instruments pursuant to Section 194 KAGB,
- c) Bank accounts pursuant to Section 195 KAGB,
- d) Derivatives pursuant to Section 197 KAGB,
- e) Other investment instruments pursuant to Section 198 KAGB,
- f) Investment units pursuant to Section 196 KAGB, if they are oriented towards replicating the Underlying Index, while maintaining an appropriate risk diversification. Any restrictions on the eligibility result from the "Investment Conditions".

The Underlying Index is recognised by BaFin and meets the following requirements of the KAGB:

- The composition of the index is sufficiently diversified.
- The index represents an adequate benchmark for the market to which it relates.
- The index is published in an appropriate manner.

In addition, and in accordance with Regulation (EU) 2016/1011 of the European Parliament and of the Council, the Licensors are entered with the European Securities and Markets Authority (ESMA) in a public register of administrators and benchmarks.

The ESMA public register of administrators and benchmarks can be consulted at www.esma.europa.eu.

In addition, the Company has drawn up a contingency plan in which it sets out measures it would take if the underlying index were to change significantly or cease to be provided.

Details of the equities included in the Underlying Index are also contained in the most recent annual financial statement or semi-annual report published for the sub-fund.

Because of the relationship between the Sub-fund and the Underlying Index and because certain issuer and investment limits may be exceeded as a result, the principle of risk diversification finds only limited application.

21.6.2 Description of the Index

The MSCI Brazil Index Net USD measures, based on the MSCI's criteria for size, liquidity and free float, the performance of companies with high and medium market capitalisation in the Brazilian equity

market. The Underlying Index is weighted on market capitalisation and is reviewed quarterly and reweighted and recomposed half-yearly. The free-float market capitalisation is the market value of all shares of a company in free circulation available at any time. Further details on the Underlying Index (including its components) are available on the website of the index provider at <https://www.msci.com/constituents>.

21.6.3 Effects of index adjustments

In order to replicate the Underlying Index as closely as possible, fund management must replicate all changes in the composition and weighting of the Underlying Index for the Sub-fund.

Fund management may, at its discretion, determine the timeframes in which sub-funds should be adjusted and whether an adjustment is appropriate in view of the investment objective.

21.6.4 Replication of the index and priority of direct duplication

To replicate the Underlying Index, only the following assets may be acquired:

- Securities, including Depositary Receipts (particularly ADRs and GDRs) included in the Security Index or introduced to it following a change to the index (index securities),
- securities issued on the Underlying Index (index certificates),
- securities issued on individual stocks of the Underlying Index (certificates on individual securities),
- futures contracts on the Underlying Index (index futures),
- futures contracts on individual stocks of the Underlying Index (futures on individual securities),
- warrants on the Underlying Index (index warrants),
- warrants on individual stocks of the Underlying Index (warrants on individual securities), and
- Investment fund units pursuant to Section 9 of the Investment Conditions

In replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in index securities over investments in other assets listed above approved for use in replicating indices. The Underlying Index may only be replicated using assets that indirectly replicate the index for purposes of maintaining the investment restrictions listed in the second sentence under Point 21.7.2. Outside the limit of the duplication percentage laid down in Point 21.6.5 the Company, for the account of the Sub-Fund, may invest up to 5 percent of the value of the Sub-Fund in basic forms of derivatives as defined in Section 7 para. 2 of the Investment Conditions, particularly future contracts on securities in the meaning of Section 4 of the Investment Conditions, money market instruments in the meaning of Section 5 of the Investment Conditions, investment fund units in the meaning of Section 9 of the Investment Conditions, recognised financial indices, interest rates, exchange rates or currencies which are not contained in the Underlying Index.

21.6.5 Duplication percentage

In order to replicate the Underlying Index, the duplication percentage must not be less than 95 percent of the total assets in the sub-fund as defined in Point 21.6.4. Futures contracts shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach in accordance with the regulation on risk management and risk measurement for the use of derivatives, securities lending and repurchasing agreements in investment funds pursuant to KAGB (hereinafter referred to as "DerivateV"). The duplication percentage reflects the proportion of the above-named securities, certificates, futures contracts, warrants and investment fund units in the sub-fund which matches the weighting of the Underlying Index.

21.6.6 Expected tracking error

The tracking error is defined as the annualised standard deviation of the difference between the returns of a fund and the underlying index. The expected tracking error of the sub-fund refers to the net monthly total returns of the sub-fund and the Underlying Index over a period of three years.

This figure is often of particular interest to investors who trade regularly with index investment assets and hold shares in investment funds only a few days or weeks. For long-term investors with a longer investment horizon the tracking difference between the sub-fund and the underlying index over the intended investment horizon is usually more important. The tracking difference measures the actual difference between the returns of a fund and the returns of the index (i.e., how accurately a fund replicates its underlying index). The tracking error, however, measures the increase and decrease of the tracking difference (i.e. the volatility of the tracking difference). Investors should take both figures into consideration when evaluating an index investment fund.

The tracking error may depend on the sampling methodology selected by the index investment fund. In general, historical data provide evidence that synthetic replication generates a lower tracking error than physical replication, but the same data also often suggest that physical replication generates a lower tracking difference than synthetic replication.

The expected tracking error is based on the expected volatility of the deviations between the returns of the sub-fund and the returns of the Underlying Index. Liquidity management, transaction costs for index adjustments as well as differences between the sub-fund and the Underlying Index in the valuation methodology and the valuation date may also have an effect on the tracking error and the difference between the returns of the sub-fund and the Underlying Index. The effects can be positive or negative depending on the underlying circumstances.

The sub-fund may also have a tracking error as a result of withholding taxes payable by the sub-fund on investment income. The extent of the tracking error resulting from withholding taxes depends on various factors such as refund requests made by the sub-fund to different tax authorities or tax relief for the sub-fund under a double taxation agreement.

The expected tracking error for the sub-fund is: 0.30 percent

Investors should note that these are only estimated values for the tracking error under normal market conditions and are therefore not to be understood as fixed limits.

21.7 Issuer and investment limits

21.7.1 Issuer limits

The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and the Investment Conditions.

The Company may invest up to 20 percent of the assets of the sub-fund in securities from a single issuer (debtor). The limit may be increased to up to 35 percent of the value of the sub-fund for securities from a single issuer (debtor). This increase in the limit up to 35 percent is permissible only for one individual issuer (debtor).

For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.

21.7.2 Investment restrictions

The Company may invest no more than 5 percent of the value of the sub-fund in bank accounts and money market instruments in accordance with the "General Investment Conditions". A minimum of 95 percent of the sub-fund must be invested in assets based on the Security Index, as defined in Point 21.6.4.

At least 51 percent of the value of the sub-fund shall on an ongoing basis be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds. In determining the volume of assets invested in the aforementioned shares, loans are to be deducted in proportion to the shares' portion of the value of all assets.

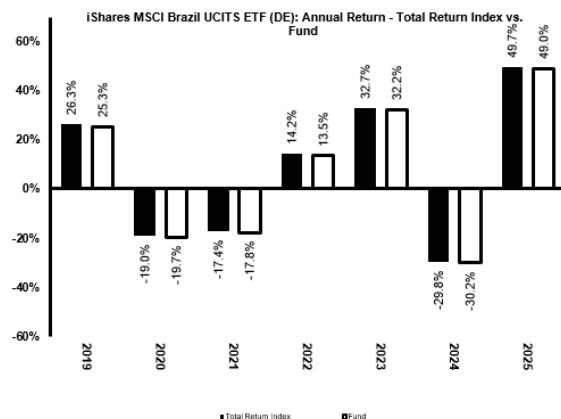
If the sub-fund is invested in investment fund units in accordance with Point 6.6, which are valued at least once a week, the Company will base its compliance with the equity fund capital participation quota by the sub-fund on the capital participation quotas published daily by the target investment funds and include them in the calculation of the equity fund capital participation quota for funds.

If in order to replicate the Underlying Index, the Company acquires index certificates or certificates on individual equities as defined in Point 21.6.4, no more than 10 percent of the value of sub-fund assets may be invested in such certificates as defined in Point 21.6.4, which are not admitted for official trading on a stock exchange or listed on a regulated market.

In order to replicate the Underlying Index the Company may invest up to 10 percent of the value of the sub-fund in units of other open-ended domestic and foreign investment funds (target funds) as defined in Point 6.6 of the General Part of this Sales Prospectus. In doing so, the Company

may acquire on behalf of the sub-fund no more than 25 percent of the issued units or shares of a target fund. In addition, the target funds may in accordance with their Investment Conditions invest up to 10 percent in units or shares of other target funds. Please see 6.6 of the General Part of this Sales Prospectus for more information.

21.8 Performance



Source: Bloomberg/ BlackRock Asset Management Deutschland AG

Past performance of the Sub-fund is not a predictor of future results for the Sub-fund.

21.9 Explanation of the risk profile of the Fund

The risk profile is based on a return and risk scale of 1 to 7, where 1 indicates a fairly low risk, but also typically lower returns, and 7 indicates a fairly high risk, but also typically higher returns.

The Fund is currently in category 6 because of the nature of its investments, which include the risks listed below.

The indicator is based on historical data and may not be a reliable indication of the future risk profile of the Fund. The risk category shown is not guaranteed and may change over time. The relevant current categorisation can be found in the Key Information Document. The lowest category cannot be equated with a risk-free investment. These factors may affect the value of investments or result in losses. Emerging markets are generally more sensitive to economic and political conditions than developed markets. Other factors include greater "liquidity

risk", restrictions on investment in or transfer of assets, failed or delayed delivery of securities or payments to the sub-fund and sustainability-related risks.

The investment risk is concentrated in specific sectors, countries, currencies or companies. Consequently, the sub-fund is more sensitive to any localised economic, market, political, sustainability-related or regulatory events.

Currency risk: The sub-fund invests in other currencies. Exchange rate changes therefore have an effect on the value of investments.

The value of equities and equity-related securities may be adversely affected by daily price movements on the stock exchanges. Other influencing factors include political and economic news, corporate earnings and significant corporate events.

Specific risks that are not captured in an appropriate manner by the risk indicator include counterparty and liquidity risk.

21.10 Profile of a typical investor

The sub-fund is aimed at all types of investors seeking to improve or optimise their assets. Investors must be willing and able to accept significant fluctuations in the value of the shares and the possibility of a significant loss of capital. The sub-fund is suitable for medium- and long-term investment, though the sub-fund may also be suitable for shorter term exposure to the Underlying Index.

21.11 Management and miscellaneous expenses

The actual amount of the current fixed fee is listed in the "Overview of Existing Share Classes" in the Special Part of this Sales Prospectus.

21.12 Deviating valuation dates

Point 16.1 of the General Section describes the valuation and thus issue and redemption dates applicable to all sub-funds.

In addition to the days specified therein, for this sub-fund, which relates exclusively to the Brazilian market, the Investment Stock Corporation and the Custodian may also refrain from calculating issue and redemption prices on stock exchange holidays in Brazil. However, the Investment Stock Corporation reserves the right to calculate the net asset value for these days as well, but no issue or redemption of units will take place on these days.

22. iShares Brazil LTN BRL Govt Bond UCITS ETF (DE)

22.1 Overview of existing share classes of the iShares Brazil LTN BRL Govt Bond UCITS ETF (DE)

Share class name	iShares Brazil LTN BRL Govt Bond UCITS ETF (DE) USD (Acc)
German Securities Code (WKN) / ISIN	WKN A2QP4D / ISIN DE000A2QP4D2
Listed on a stock exchange	yes
Level of management fee	0.32% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	accumulating
Fund currency	USD
Transactions in securities lending and repurchase agreements	no

22.2 Exchanges

The shares of the Sub-fund are admitted for (official) trading on the following stock exchanges:

Euronext Amsterdam

Euronext Amsterdam N.V.
Beursplein 5
1012 JW Amsterdam /The Netherlands
Telephone: +31 20 721 4444

SIX Swiss Exchange

SIX Swiss Exchange
Pfingstweidstrasse 110
8021 Zurich, Switzerland
Telephone: +41 (0) 58 - 399 - 5454
Fax: +41 (0) 58 - 499 - 5455

Bolsa Mexicana de Valores

Bolsa Mexicana de Valores S.A.B. de C.V.
Av. Paseo de la Reforma 255 Juárez Cuauhtémoc 06500
Ciudad de México, D. F., Mexico
Telephone: +52 (0) 55 5342 - 9000
Fax: +52 (0) 555 726 6805

The possibility of shares also being traded on other markets cannot be excluded.

In all other respects, the information under Point 9 of the General Part shall apply.

22.3 Designated Sponsors

Designated Sponsor(s) for listing on the Euronext Amsterdam: can be checked under www.euronext.com/en/markets/amsterdam

Market Maker for Listing on the SIX Swiss Exchange: can be checked under www.six-group.com

In all other respects, the provisions under Point 9 of the General Part shall apply.

22.4 Licensor and licence agreement

22.4.1 Licensor and licence agreement

The J.P. Morgan Brazilian Zero-Coupon (LTN) Bond Index (hereinafter referred to as the "Underlying Index") is a registered trademark of J.P. Morgan Securities LLC (hereinafter referred to as the "Licensor") and is thus protected against unauthorised use. The Licensor grants licences for the use of the Underlying Index as a benchmark for capital market products.

The Management Company has been granted the right to use the Underlying Index of the sub-fund.

22.4.2 Disclaimer of liability by the Licensor

Copyright 2026 JPMorgan Chase & Co. All rights reserved. J.P. Morgan is the marketing name for JPMorgan Chase & Co., and its subsidiaries and affiliates worldwide. J.P. Morgan Securities LLC ("JPMS") is a member of NYSE and SIPC. The sub-fund is not sponsored, endorsed, sold or promoted by J.P. Morgan Securities LLC.

J.P. Morgan makes no representation or warranty, express or implied, to the owners of the sub-fund or any member of the public regarding the advisability of investing in securities generally, or in the sub-fund particularly, or the ability of the Underlying Index to track general bond market performance. As to the sub-fund, JPMS's only relationship to BlackRock is the licensing of the Underlying Index which is determined, composed and calculated by JPMS without regard to BlackRock or the sub-fund. JPMS has no obligation to take the needs of BlackRock Funds Advisors ("BFA") or its affiliates or the owners of the sub-fund into consideration in determining, composing or calculating the Underlying Index. JPMS is not responsible for, nor has it participated in, any aspect of the structuring of any attribute of the sub-fund, the determination of the timing of the offering of the sub-fund, the pricing of the sub-fund, or in the manner of operation of the sub-fund. JPMS has no obligation or liability in connection with the administration, marketing or trading of the sub-fund. All information provided herein regarding the Underlying Index or any other index provided by JPMS (collectively, the "Indexes"), including without limitation, the levels of the Indexes, is provided for informational purposes only. The Indexes are the exclusive property of JPMS, and JPMS retains all property rights therein. JPMS DOES NOT WARRANT THE AVAILABILITY, SEQUENCE, TIMELINESS, QUALITY, ACCURACY AND/OR THE COMPLETENESS OF THE UNDERLYING INDEX AND/OR THE FUND AND/OR ANY DATA INCLUDED THEREIN, OR OTHERWISE OBTAINED BY BFA OR ITS AFFILIATES, OWNERS OF THE FUND, OR BY ANY OTHER PERSON OR ENTITY, FROM ANY USE OF THE UNDERLYING INDEX AND/OR THE FUND, INCLUDING BUT NOT LIMITED TO, REGARDING THE ADVISABILITY OF INVESTING IN SECURITIES OR FUND GENERALLY AND/OR THE FUND SPECIFICALLY, OR THE ABILITY OF ANY OF THE INDEXES TO TRACK INVESTMENT OPPORTUNITIES IN THE FINANCIAL MARKETS OR OTHERWISE ACHIEVE THEIR OBJECTIVE. THE PROVISION OF THE UNDERLYING INDEX IS NOT INTENDED TO BE, IS NOT REGARDED AS, AND DOES NOT INCLUDE ANY, TAX, LEGAL, ACCOUNTING, ACTUARIAL, RETIREMENT, FINANCIAL, INVESTMENT, OR OTHER

PROFESSIONAL ADVICE. YOU MUST EXERCISE YOUR OWN INDEPENDENT JUDGMENT WHEN MAKING ANY INVESTMENT DECISION. THERE ARE NO REPRESENTATIONS OR WARRANTIES WHICH EXTEND BEYOND THE DESCRIPTION ON THE FACE OF THE UNDERLYING INDEX AND/OR THE FUND, IF ANY. ALL WARRANTIES AND REPRESENTATIONS OF ANY KIND WITH REGARD TO THE UNDERLYING INDEX AND/OR THE FUND, ARE DISCLAIMED INCLUDING ANY IMPLIED WARRANTIES OF MERCHANTABILITY, QUALITY, ACCURACY, FITNESS FOR A PARTICULAR PURPOSE AND/OR AGAINST INFRINGEMENT AND/OR WARRANTIES AS TO ANY RESULTS TO BE OBTAINED BY AND/OR FROM THE USE OF THE UNDERLYING INDEX AND/OR THE USE AND/OR THE PURCHASE OF THE FUND. WITHOUT LIMITING ANY OF THE FOREGOING, IN NO EVENT SHALL JPMS HAVE ANY LIABILITY FOR ANY DIRECT, INDIRECT, SPECIAL, PUNITIVE, CONSEQUENTIAL OR ANY OTHER DAMAGES (INCLUDING LOST PROFITS) TO ANY PERSON, INCLUDING BUT NOT LIMITED TO, FOR ANY STATEMENTS CONTAINED IN ANY OFFERING DOCUMENT OR ANY OTHER MATERIALS USED TO DESCRIBE THE UNDERLYING INDEX AND/OR THE FUND, ANY ERROR IN THE PRICING OR OTHERWISE, OF THE UNDERLYING INDEX AND/OR THE FUND AND JPMS SHALL NOT BE UNDER ANY OBLIGATION TO ADVISE ANY PERSON OF ANY ERROR THEREIN.

The Investment Stock Corporation and the Management Company (together the "Responsible Parties") give no guarantee of the accuracy and/or completeness of descriptions regarding the Underlying Index or the data contained therein, and the Responsible Parties are not liable for errors, omissions or gaps contained therein. The authorised Responsible Parties give no guarantee, explicit or implied, to the sub-fund, the shareholders of the sub-fund or any other natural or legal persons with regards the Underlying Index.

The Licensor gives no warranty, explicit or implied, and expressly excludes any warranty regarding the marketability or suitability for a particular purpose or particular usage in relation to the Underlying Index, or the strategy or data contained therein. Notwithstanding the above, the Licensor is under no circumstances liable for indirect or specific claims, damages, consequential damages or for loss of profit, even if notice of the possibility of such damages was given.

22.5 Launch date, term and investment objective of the Sub-fund

22.5.1 Launch date and term

The sub-fund was launched on 26 September 2025 and is of unlimited duration.

The investors own an equity interest in the assets of the sub-fund as co-owners in proportion to the number of shares held.

22.5.2 Investment objective

The objective of the sub-fund is to achieve the same investment performance as the Underlying Index. For this purpose, it shall track the Underlying Index as closely and as completely as possible.

The sub-fund shall adopt a passive management strategy to achieve these objectives. In contrast to the active management approach, the Underlying Index is used as the basis for making decisions on

the purchase and sale of assets and their respective weightings in the Sub-fund. The passive management strategy and the trading of shares on an exchange have the effect of limiting management fees and transaction costs charged to the sub-fund. The securities in the Underlying Index are all issued by a single issuer, the State of Brazil. Thus, the sub-fund does not meet the requirements of section 209 KAGB for a securities-index UCITS fund. Nevertheless, the Sub-fund aims to reflect the performance of the Underlying Index as accurately as possible.

22.5.3 Achievability of the investment objective

One obstacle to replicating the performance of the Underlying Index is the fact that the Underlying Index is a statistical model based on certain assumptions. It is assumed, for example, that no transaction costs will be incurred when securities are purchased or sold. In addition, management fees and some tax payments are deducted from the sub-fund share price, whereas they do not apply to the Underlying Index.

Detailed information about the Underlying Index may be obtained in printed or electronic form from the Company or from the Licensor.

NO ASSURANCE CAN BE GIVEN THAT THE INVESTMENT OBJECTIVES WILL ACTUALLY BE ACHIEVED.

22.6 Investment principles

22.6.1 General information

The Company may only acquire the following assets on behalf of the sub-fund:

- a) Securities pursuant to Section 193 KAGB,
 - b) Money market instruments pursuant to Section 194 KAGB,
 - c) Bank accounts pursuant to Section 195 KAGB,
 - d) Derivatives pursuant to Section 197 KAGB,
- if they are oriented towards replicating the Underlying Index, while maintaining an appropriate risk diversification. Any restrictions on the eligibility result from the "Investment Conditions".
- The Underlying Index is recognised by BaFin and meets the following requirements of the KAGB:
- The composition of the index is sufficiently diversified.
 - The index represents an adequate benchmark for the market to which it relates.
 - The index is published in an appropriate manner.

In addition, and in accordance with Regulation (EU) 2016/1011 of the European Parliament and of the Council, the Licensor may file by 31 December 2025 a request with the European Securities and Markets Authority (ESMA) to be entered in a public register of administrators and benchmarks. When this prospectus was most recently revised, the Licensor was not yet entered in the public register of administrators and benchmarks with the ESMA. The ESMA public register of administrators and benchmarks can be consulted at www.esma.europa.eu.

In addition, the Company has drawn up a contingency plan in which it sets out measures it would take if the underlying index were to change significantly or cease to be provided.

Details of the equities included in the Underlying Index are also contained in the most recent annual financial statement or semi-annual report published for the sub-fund.

Because of the relationship between the Sub-fund and the Underlying Index and because certain issuer and investment limits may be exceeded as a result, the principle of risk diversification finds only limited application.

Important note: The sub-Fund is not a money market fund. The sub-Fund is not therefore subject to the requirements of BaFin or Regulation (EU) 2017/1131 of the European Parliament and of the Council of 14 June 2017 on money market funds that govern the quality, maturity, liquidity and other features of securities that money market funds may purchase. Under normal circumstances, the sub-Fund's investments may be more susceptible than those of a money market fund to credit risk, interest rate risk, valuation risk and other risks relevant to the sub-Fund's investments. The sub-fund does not seek to maintain a stable net asset value of USD 1.00 per share.

22.6.2 Description of the Index

The J.P. Morgan Brazilian Zero-Coupon (LTN) Bond Index aims to track the performance of eligible zero coupon (LTN) BRL-denominated government bonds. Securities must have at least US\$1 billion face amount outstanding and greater than 1 year to maturity at inclusion to be eligible. The index will maintain a minimum of six securities, to achieve this, additional fixed coupon bonds may become eligible. The index utilizes a traditional market-capitalization weighting methodology, with returns and statistics available since December 31, 2019. The index caps any security whose weight is greater than 25%, redistributing the excess across the rest of the index on a pro-rata basis. The Underlying Index rebalances on the last business day of each month in accordance with the Brazilian bond market holiday calendar. Bonds comprising the indices are required to have more than 6 months remaining to maturity on rebalance day for inclusion in the Underlying Index. The Underlying Index is weighted by the component securities' market capitalization (dirty price times par outstanding). The weights change monthly on each rebalance day, and those weights remain active for the remainder of that month. Further details on the Underlying Index (including its components) are available on the website of the index provider at <https://www.jpmorgan.com/insights/global-research/index-research>.

22.6.3 Effects of index adjustments

In order to replicate the Underlying Index as closely as possible, the fund management shall replicate all changes in the composition and weighting of the Underlying Index for the Sub-fund. Fund management may, at its discretion, determine the timeframes in which sub-funds should be adjusted and whether an adjustment is appropriate in view of the investment objective.

22.6.4 Expected tracking error

The tracking error is defined as the annualised standard deviation of the difference between the returns of a fund and the underlying index. The expected tracking error of the sub-fund refers to the net monthly total returns of the sub-fund and the Underlying Index over a period of three years.

This figure is often of particular interest to investors who trade regularly with index investment assets and hold shares in investment funds only a few days or weeks. For long-term investors with a longer investment horizon the tracking difference between the sub-fund and the underlying index over the intended investment horizon is usually more important. The tracking difference measures the actual difference between the returns of a fund and the returns of the index (i.e., how accurately a fund replicates its underlying index). The tracking error, however, measures the increase and decrease of the tracking difference (i.e. the volatility of the tracking difference). Investors should take both figures into consideration when evaluating an index investment fund.

The tracking error may depend on the sampling methodology selected by the index investment fund. In general, historical data provide evidence that synthetic replication generates a lower tracking error than physical replication, but the same data also often suggest that physical replication generates a lower tracking difference than synthetic replication.

The expected tracking error is based on the expected volatility of the deviations between the returns of the sub-fund and the returns of the Underlying Index. Liquidity management, transaction costs for index adjustments as well as differences between the sub-fund and the Underlying Index in the valuation methodology and the valuation date may also have an effect on the tracking error and the difference between the returns of the sub-fund and the Underlying Index. The effects can be positive or negative depending on the underlying circumstances.

The sub-fund may also have a tracking error as a result of withholding taxes payable by the sub-fund on investment income. The extent of the tracking error resulting from withholding taxes depends on various factors such as refund requests made by the sub-fund to different tax authorities or tax relief for the sub-fund under a double taxation agreement.

The expected tracking error for the sub-fund is: 0.35 percent

Investors should note that these are only estimated values for the tracking error under normal market conditions and are therefore not to be understood as fixed limits.

22.7 Issuer and investment limits

22.7.1 Issuer limits

The Management Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and the Investment Conditions.

The Management Company may invest up to 10 percent of the value of the sub-fund in securities and money market instruments from a single issuer (debtor). At the same time, the total value of the securities and money market instruments of these

issuers (debtors) may not exceed 40 percent of the value of the sub-fund. In addition, only 5 percent of the value of the sub-fund may be invested in securities and money market instruments from a single issuer (debtor).

The Management Company may invest no more than 35 percent of the value of the sub-fund each in bonds, borrowers' notes and money market instruments of particular public issuers as defined in Section 206 Paragraph 2 KAGB.

The Management Company may invest up to 25 percent of the value of the sub-fund in mortgage bonds, municipal bonds and debentures issued by any bank domiciled in an EU member state or in another state that is a party to the Agreement on the EEA. A prerequisite is that the assets assumed with the bonds are structured so that they cover the liabilities of the bonds for their entire term and are designated mainly for repayments and interest payments if the issuer of the bond defaults. If more than 5 percent of the value of the sub-fund is invested in such bonds from the same issuer, the total value of these bonds may not exceed 80 percent of the value of the sub-fund.

The Management Company may invest no more than 20 percent of the value of the sub-fund in a combination of the following assets:

- a) securities or money market instruments issued by one and the same institution,
- b) deposits at this institution,
- c) the weighted counterparty risk of the transactions entered into with this institution in derivatives.

In the case of particular public issuers as defined in Section 206 Paragraph 2 KAGB, a combination of the assets specified in Sentence 1 may not exceed 35 percent of the value of the sub-fund.

The respective individual upper limits remain unaffected in both cases.

The Management Company may invest more than 35 percent of the value of the sub-fund in bonds, borrowers' notes and money market instruments of the Federative State of Brazil.

Insofar as use is made of this possibility, the securities/money market instruments held in the sub-fund must originate from at least six different issues, whereby no more than 30 percent of the value of the sub-fund may be held in a single issue. The sub-fund may also be invested fully in bonds from one of the specified issuers.

22.7.2 Investment restrictions

The acquisition of investment fund units pursuant to Section 196 KAGB and other investment instruments pursuant to Section 198 KAGB is excluded.

The Management Company may only invest up to 20 percent of the value of the UCITS sub-fund in bank deposits with the same credit institution in accordance with Section 195 KAGB.

Short-term borrowing for the sub-fund is restricted to maximum 10 percent of the value of the sub-fund and is subject to the further requirements set out in the Investment Conditions.

22.8 Performance

Newly launched fund. Past performance is therefore not available.

Past performance of the sub-fund is not a predictor of future results for the sub-fund.

22.9 Explanation of the risk profile of the Fund

The risk profile is based on a return and risk scale of 1 to 7, where 1 indicates a fairly low risk, but also typically lower returns, and 7 indicates a fairly high risk, but also typically higher returns.

The Fund is currently in category 3 because of the nature of its investments, which include the risks listed below.

The indicator is based on historical data and may not be a reliable indication of the future risk profile of the Fund. The risk category shown is not guaranteed and may change over time. The relevant current categorisation can be found in the Key Information Document. The lowest category cannot be equated with a risk-free investment. These factors may affect the value of investments or result in losses.

Emerging markets are generally more sensitive to economic and political conditions than developed markets. Other factors include greater "liquidity risk", restrictions on investment in or transfer of assets, failed or delayed delivery of securities or payments to the sub-fund and sustainability-related risks.

The investment risk is concentrated in specific sectors, countries, currencies or companies. Consequently, the sub-fund is more sensitive to any localised economic, market, political, sustainability-related or regulatory events.

Currency risk: The sub-fund invests in other currencies. Exchange rate changes therefore have an effect on the value of investments.

Investments in government bonds may be affected by the perceived stability of the country concerned and by proposed or actual credit rating downgrades. Specific risks that are not captured in an appropriate manner by the risk indicator include counterparty and liquidity risk.

22.10 Profile of a typical investor

The sub-fund is aimed at all types of investors seeking to improve or optimise their assets. Investors must be willing and able to accept significant fluctuations in the value of the shares and the possibility of a significant loss of capital. The sub-fund is suitable for medium- and long-term investment, though the sub-fund may also be

suitable for shorter term exposure to the Underlying Index.

22.11 Management and miscellaneous expenses

The actual amount of the current fixed fee is listed in the "Overview of Existing Share Classes" in the Special Part of this Sales Prospectus.

22.12 Deviating valuation dates

Point 16.1 of the General Section describes the valuation and thus issue and redemption dates applicable to all sub-funds.

In addition to the days specified therein, for this sub-fund, which relates exclusively to the Brazilian market, the Investment Stock Corporation and the Custodian may also refrain from calculating issue and redemption prices on stock exchange holidays in Brazil. However, the Investment Stock Corporation reserves the right to calculate the net asset value for these days as well, but no issue or redemption of units will take place on these days.

23. iShares Brazil BRL Govt Bond UCITS ETF (DE)

23.1 Overview of existing share classes of the iShares Brazil BRL Govt Bond UCITS ETF (DE)

Share class name	iShares Brazil BRL Govt Bond UCITS ETF (DE) USD (Acc)
German Securities Code (WKN) / ISIN	WKN A2QP4G / ISIN DE000A2QP4G5
Listed on a stock exchange	yes
Level of management fee	0.32% p.a.
Level of issue premium	2%; no issue premium if purchased via stock exchange
Level of redemption fee	1%; no redemption fee if sold via stock exchange
Minimum investment amount	none
Appropriation of income	accumulating
Fund currency	USD
Transactions in securities lending and repurchase agreements	no

23.2 Exchanges

The shares of the Sub-fund are admitted for (official) trading on the following stock exchanges:

Euronext Amsterdam

Euronext Amsterdam N.V.
Beursplein 5
1012 JW Amsterdam /The Netherlands
Telephone: +31 20 721 4444

The possibility of shares also being traded on other markets cannot be excluded.

In all other respects, the information under Point 9 of the General Part shall apply.

23.3 Designated Sponsors

Designated Sponsor(s) for listing on the Euronext Amsterdam: can be checked under www.euronext.com/en/markets/amsterdam

In all other respects, the provisions under Point 9 of the General Part shall apply.

23.4 Licensor and licence agreement

23.4.1 Licensor and licence agreement

The J.P. Morgan GBI-EM Brazil Custom Index (hereinafter referred to as the "Underlying Index") is a registered trademark of J.P. Morgan Securities LLC (hereinafter referred to as the "Licensor") and is thus protected against unauthorised use. The Licensor grants licences for the use of the Underlying Index as a benchmark for capital market products.

The Management Company has been granted the right to use the Underlying Index of the sub-fund.

23.4.2 Disclaimer of liability by the Licensor

Copyright 2026 JPMorgan Chase & Co. All rights reserved. J.P. Morgan is the marketing name for JPMorgan Chase & Co., and its subsidiaries and affiliates worldwide. J.P. Morgan Securities LLC ("JPMS") is a member of NYSE and SIPC. The sub-fund is not sponsored, endorsed, sold or promoted by J.P. Morgan Securities LLC.

J.P. Morgan makes no representation or warranty, express or implied, to the owners of the sub-fund or any member of the public regarding the advisability of investing in securities generally, or in the sub-fund particularly, or the ability of the Underlying Index to track general bond market performance. As to the sub-fund, JPMS's only relationship to BlackRock is the licensing of the Underlying Index which is determined, composed and calculated by JPMS without regard to BlackRock or the sub-fund. JPMS has no obligation to take the needs of BlackRock Funds Advisors ("BFA") or its affiliates or the owners of the sub-fund into consideration in determining, composing or calculating the Underlying Index. JPMS is not responsible for, nor has it participated in, any aspect of the structuring of any attribute of the sub-fund, the determination of the timing of the offering of the sub-fund, the pricing of the sub-fund, or in the manner of operation of the sub-fund. JPMS has no obligation or liability in connection with the administration, marketing or trading of the sub-fund. All information provided herein regarding the Underlying Index or any other index provided by JPMS (collectively, the "Indexes"), including without limitation, the levels of the Indexes, is provided for informational purposes only. The Indexes are the exclusive property of JPMS, and JPMS retains all property rights therein.

JPMS DOES NOT WARRANT THE AVAILABILITY, SEQUENCE, TIMELINESS, QUALITY, ACCURACY AND/OR THE COMPLETENESS OF THE UNDERLYING INDEX AND/OR THE FUND AND/OR ANY DATA INCLUDED THEREIN, OR OTHERWISE OBTAINED BY BFA OR ITS AFFILIATES, OWNERS OF THE FUND, OR BY ANY OTHER PERSON OR ENTITY, FROM ANY USE OF THE UNDERLYING INDEX AND/OR THE FUND, INCLUDING BUT NOT LIMITED TO, REGARDING THE ADVISABILITY OF INVESTING IN SECURITIES OR FUND GENERALLY AND/OR THE FUND SPECIFICALLY, OR THE ABILITY OF ANY OF THE INDEXES TO TRACK INVESTMENT OPPORTUNITIES IN THE FINANCIAL MARKETS OR OTHERWISE ACHIEVE THEIR OBJECTIVE. THE PROVISION OF THE UNDERLYING INDEX IS NOT INTENDED TO BE, IS NOT REGARDED AS, AND DOES NOT INCLUDE ANY, TAX, LEGAL, ACCOUNTING, ACTUARIAL,

RETIREMENT, FINANCIAL, INVESTMENT, OR OTHER PROFESSIONAL ADVICE. YOU MUST EXERCISE YOUR OWN INDEPENDENT JUDGMENT WHEN MAKING ANY INVESTMENT DECISION. THERE ARE NO REPRESENTATIONS OR WARRANTIES WHICH EXTEND BEYOND THE DESCRIPTION ON THE FACE OF THE UNDERLYING INDEX AND/OR THE FUND, IF ANY. ALL WARRANTIES AND REPRESENTATIONS OF ANY KIND WITH REGARD TO THE UNDERLYING INDEX AND/OR THE FUND, ARE DISCLAIMED INCLUDING ANY IMPLIED WARRANTIES OF MERCHANTABILITY, QUALITY, ACCURACY, FITNESS FOR A PARTICULAR PURPOSE AND/OR AGAINST INFRINGEMENT AND/OR WARRANTIES AS TO ANY RESULTS TO BE OBTAINED BY AND/OR FROM THE USE OF THE UNDERLYING INDEX AND/OR THE USE AND/OR THE PURCHASE OF THE FUND. WITHOUT LIMITING ANY OF THE FOREGOING, IN NO EVENT SHALL JPMS HAVE ANY LIABILITY FOR ANY DIRECT, INDIRECT, SPECIAL, PUNITIVE, CONSEQUENTIAL OR ANY OTHER DAMAGES (INCLUDING LOST PROFITS) TO ANY PERSON, INCLUDING BUT NOT LIMITED TO, FOR ANY STATEMENTS CONTAINED IN ANY OFFERING DOCUMENT OR ANY OTHER MATERIALS USED TO DESCRIBE THE UNDERLYING INDEX AND/OR THE FUND, ANY ERROR IN THE PRICING OR OTHERWISE, OF THE UNDERLYING INDEX AND/OR THE FUND AND JPMS SHALL NOT BE UNDER ANY OBLIGATION TO ADVISE ANY PERSON OF ANY ERROR THEREIN.

The Investment Stock Corporation and the Management Company (together the "Responsible Parties") give no guarantee of the accuracy and/or completeness of descriptions regarding the Underlying Index or the data contained therein, and the Responsible Parties are not liable for errors, omissions or gaps contained therein. The authorised Responsible Parties give no guarantee, explicit or implied, to the sub-fund, the shareholders of the sub-fund or any other natural or legal persons with regards the Underlying Index.

The Licensor gives no warranty, explicit or implied, and expressly excludes any warranty regarding the marketability or suitability for a particular purpose or particular usage in relation to the Underlying Index, or the strategy or data contained therein. Notwithstanding the above, the Licensor is under no circumstances liable for indirect or specific claims, damages, consequential damages or for loss of profit, even if notice of the possibility of such damages was given.

23.5 Launch date, term and investment objective of the Sub-fund

23.5.1 Launch date and term

The sub-fund will be launched on or around 14 August 2026 and is of unlimited duration. The investors own an equity interest in the assets of the sub-fund as co-owners in proportion to the number of shares held.

23.5.2 Investment objective

The objective of the sub-fund is to achieve the same investment performance as the Underlying Index. For this purpose, it shall track the Underlying Index as closely and as completely as possible.

The sub-fund shall adopt a passive management strategy to achieve these objectives. In contrast to the active management approach, the Underlying Index is used as the basis for making decisions on the purchase and sale of assets and their respective weightings in the Sub-fund. The passive management strategy and the trading of shares on an exchange have the effect of limiting management fees and transaction costs charged to the sub-fund. The securities in the Underlying Index are all issued by a single issuer, the State of Brazil. Thus, the sub-fund does not meet the requirements of section 209 KAGB for a securities-index UCITS fund. Nevertheless, the Sub-fund aims to reflect the performance of the Underlying Index as accurately as possible.

23.5.3 Achievability of the investment objective

One obstacle to replicating the performance of the Underlying Index is the fact that the Underlying Index is a statistical model based on certain assumptions. It is assumed, for example, that no transaction costs will be incurred when securities are purchased or sold. In addition, management fees and some tax payments are deducted from the sub-fund share price, whereas they do not apply to the Underlying Index.

Detailed information about the Underlying Index may be obtained in printed or electronic form from the Company or from the Licensor.

NO ASSURANCE CAN BE GIVEN THAT THE INVESTMENT OBJECTIVES WILL ACTUALLY BE ACHIEVED.

23.6 Investment principles

23.6.1 General information

The Company may only acquire the following assets on behalf of the sub-fund:

- a) Securities pursuant to Section 193 KAGB,
- b) Money market instruments pursuant to Section 194 KAGB,
- c) Bank accounts pursuant to Section 195 KAGB,
- d) Derivatives pursuant to Section 197 KAGB,

if they are oriented towards replicating the Underlying Index, while maintaining an appropriate risk diversification. Any restrictions on the eligibility result from the "Investment Conditions".

The Underlying Index is recognised by BaFin and meets the following requirements of the KAGB:

- The composition of the index is sufficiently diversified.
- The index represents an adequate benchmark for the market to which it relates.
- The index is published in an appropriate manner.

In addition, and in accordance with Regulation (EU) 2016/1011 of the European Parliament and of the Council, the Licensor may file by 31 December 2025 a request with the European Securities and Markets Authority (ESMA) to be entered in a public register of administrators and benchmarks. When this

prospectus was most recently revised, the Licensor was not yet entered in the public register of administrators and benchmarks with the ESMA.

The ESMA public register of administrators and benchmarks can be consulted at www.esma.europa.eu.

In addition, the Company has drawn up a contingency plan in which it sets out measures it would take if the underlying index were to change significantly or cease to be provided.

Details of the equities included in the Underlying Index are also contained in the most recent annual financial statement or semi-annual report published for the sub-fund.

Because of the relationship between the Sub-fund and the Underlying Index and because certain issuer and investment limits may be exceeded as a result, the principle of risk diversification finds only limited application.

Important note: The sub-Fund is not a money market fund. The sub-Fund is not therefore subject to the requirements of BaFin or Regulation (EU) 2017/1131 of the European Parliament and of the Council of 14 June 2017 on money market funds that govern the quality, maturity, liquidity and other features of securities that money market funds may purchase. Under normal circumstances, the sub-Fund's investments may be more susceptible than those of a money market fund to credit risk, interest rate risk, valuation risk and other risks relevant to the sub-Fund's investments. The sub-fund does not seek to maintain a stable net asset value of USD 1.00 per share.

23.6.2 Description of the Index

The J.P. Morgan GBI-EM Brazil Custom Index is designed to track the performance of eligible BRL denominated zero coupon (LTN), fixed coupon (NTN-F) global government bonds and Brazil dual-currency Global Bonds. Securities must have at least US\$1 billion face amount outstanding (or \$500mn for Global Bonds) and greater than 2.5 years to maturity at inclusion to be eligible. The index will maintain a minimum of six securities; to achieve this, the index maturity and amount outstanding constraints can be relaxed. The index utilizes a traditional market-capitalization weighting methodology, with returns and statistics available since December 2015. The index caps any security whose weight is greater than 25%, redistributing the excess across the rest of the index on a pro-rata basis. The Underlying Index rebalances on the last business day of each month in accordance with the Brazilian bond market holiday calendar. Bonds comprising the indices are required to have more than 6 months remaining to maturity on rebalance day for inclusion in the Underlying Index. The Underlying Index is weighted by the component securities' market capitalization (dirty price times par outstanding). The weights change monthly on each rebalance day, and those weights remain active for the remainder of that month. Further details on the Underlying Index (including its components) are available on the website of the index provider at

<https://www.jpmorgan.com/insights/global-research/index-research>.

23.6.3 Effects of index adjustments

In order to replicate the Underlying Index as closely as possible, the is that fund management shall replicate all changes in the composition and weighting of the Underlying Index for the Sub-fund.

Fund management may, at its discretion, determine the timeframes in which sub-funds should be adjusted and whether an adjustment is appropriate in view of the investment objective.

23.6.4 Expected tracking error

The tracking error is defined as the annualised standard deviation of the difference between the returns of a fund and the underlying index. The expected tracking error of the sub-fund refers to the net monthly total returns of the sub-fund and the Underlying Index over a period of three years.

This figure is often of particular interest to investors who trade regularly with index investment assets and hold shares in investment funds only a few days or weeks. For long-term investors with a longer investment horizon the tracking difference between the sub-fund and the underlying index over the intended investment horizon is usually more important. The tracking difference measures the actual difference between the returns of a fund and the returns of the index (i.e., how accurately a fund replicates its underlying index). The tracking error, however, measures the increase and decrease of the tracking difference (i.e. the volatility of the tracking difference). Investors should take both figures into consideration when evaluating an index investment fund.

The tracking error may depend on the sampling methodology selected by the index investment fund. In general, historical data provide evidence that synthetic replication generates a lower tracking error than physical replication, but the same data also often suggest that physical replication generates a lower tracking difference than synthetic replication.

The expected tracking error is based on the expected volatility of the deviations between the returns of the sub-fund and the returns of the Underlying Index. Liquidity management, transaction costs for index adjustments as well as differences between the sub-fund and the Underlying Index in the valuation methodology and the valuation date may also have an effect on the tracking error and the difference between the returns of the sub-fund and the Underlying Index. The effects can be positive or negative depending on the underlying circumstances.

The sub-fund may also have a tracking error as a result of withholding taxes payable by the sub-fund on investment income. The extent of the tracking error resulting from withholding taxes depends on various factors such as refund requests made by the sub-fund to different tax authorities or tax relief for the sub-fund under a double taxation agreement.

The expected tracking error for the sub-fund is: 0.35 percent

Investors should note that these are only estimated values for the tracking error under normal market conditions and are therefore not to be understood as fixed limits.

23.7 Issuer and investment limits

23.7.1 Issuer limits

The Management Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and the Investment Conditions.

The Management Company may invest up to 10 percent of the value of the sub-fund in securities and money market instruments from a single issuer (debtor). At the same time, the total value of the securities and money market instruments of these issuers (debtors) may not exceed 40 percent of the value of the sub-fund. In addition, only 5 percent of the value of the sub-fund may be invested in securities and money market instruments from a single issuer (debtor).

The Management Company may invest no more than 35 percent of the value of the sub-fund each in bonds, borrowers' notes and money market instruments of particular public issuers as defined in Section 206 Paragraph 2 KAGB.

The Management Company may invest up to 25 percent of the value of the sub-fund in mortgage bonds, municipal bonds and debentures issued by any bank domiciled in an EU member state or in another state that is a party to the Agreement on the EEA. A prerequisite is that the assets assumed with the bonds are structured so that they cover the liabilities of the bonds for their entire term and are designated mainly for repayments and interest payments if the issuer of the bond defaults. If more than 5 percent of the value of the sub-fund is invested in such bonds from the same issuer, the total value of these bonds may not exceed 80 percent of the value of the sub-fund.

The Management Company may invest no more than 20 percent of the value of the sub-fund in a combination of the following assets:

- a) securities or money market instruments issued by one and the same institution,
- b) deposits at this institution,
- c) the weighted counterparty risk of the transactions entered into with this institution in derivatives.

In the case of particular public issuers as defined in Section 206 Paragraph 2 KAGB, a combination of the assets specified in Sentence 1 may not exceed 35 percent of the value of the sub-fund.

The respective individual upper limits remain unaffected in both cases.

The Management Company may invest more than 35 percent of the value of the sub-fund in bonds, borrowers' notes and money market instruments of the Federative State of Brazil.

Insofar as use is made of this possibility, the securities/money market instruments held in the

sub-fund must originate from at least six different issues, whereby no more than 30 percent of the value of the sub-fund may be held in a single issue. The sub-fund may also be invested fully in bonds from one of the specified issuers.

23.7.2 Investment restrictions

The acquisition of investment fund units pursuant to Section 196 KAGB and other investment instruments pursuant to Section 198 KAGB is excluded.

The Management Company may only invest up to 20 percent of the value of the UCITS sub-fund in bank deposits with the same credit institution in accordance with Section 195 KAGB.

Short-term borrowing for the sub-fund is restricted to maximum 10 percent of the value of the sub-fund and is subject to the further requirements set out in the Investment Conditions.

23.8 Performance

Newly launched fund. Past performance is therefore not available.

Past performance of the sub-fund is not a predictor of future results for the sub-fund.

23.9 Explanation of the risk profile of the Fund

The risk profile is based on a return and risk scale of 1 to 7, where 1 indicates a fairly low risk, but also typically lower returns, and 7 indicates a fairly high risk, but also typically higher returns.

The Fund is currently in category 3 because of the nature of its investments, which include the risks listed below.

The indicator is based on historical data and may not be a reliable indication of the future risk profile of the Fund. The risk category shown is not guaranteed and may change over time. The relevant current categorisation can be found in the Key Information Document. The lowest category cannot be equated with a risk-free investment. These factors may affect the value of investments or result in losses.

Emerging markets are generally more sensitive to economic and political conditions than developed markets. Other factors include greater "liquidity risk", restrictions on investment in or transfer of assets, failed or delayed delivery of securities or payments to the sub-fund and sustainability-related risks.

The investment risk is concentrated in specific sectors, countries, currencies or companies. Consequently, the sub-fund is more sensitive to any localised economic, market, political, sustainability-related or regulatory events.

Currency risk: The sub-fund invests in other currencies. Exchange rate changes therefore have an effect on the value of investments.

Investments in government bonds may be affected by the perceived stability of the country concerned and by proposed or actual credit rating downgrades.

Specific risks that are not captured in an appropriate manner by the risk indicator include counterparty and liquidity risk.

23.10 Profile of a typical investor

The sub-fund is aimed at all types of investors seeking to improve or optimise their assets. Investors must be willing and able to accept significant fluctuations in the value of the shares and the possibility of a significant loss of capital. The sub-fund is suitable for medium- and long-term investment, though the sub-fund may also be suitable for shorter term exposure to the Underlying Index.

23.11 Management and miscellaneous expenses

The actual amount of the current fixed fee is listed in the "Overview of Existing Share Classes" in the Special Part of this Sales Prospectus.

In addition to this fixed fee, for this UCITS sub-fund in accordance with its Investment Conditions, the following expenses are not covered by the fixed fee:

- a) Expenses resulting from the purchase and sale of assets (transaction costs),
- b) Customary bank account and custody fees, including the customary bank charges for the custody of foreign assets abroad
- c) Expenses incurred in the assertion and enforcement of the legal claims by the Company on behalf of the UCITS sub-fund and the defence against claims brought against the Company in relation to the UCITS sub-fund,
- d) Expenses for creating and using a durable medium provided for by contract or law, with the exception of expenses for providing information in the case of fund mergers and with the exception of information on measures connected with violations of investment limits or errors in calculating the net asset value per share;
- e) Costs for legal and tax advice with regard to the UCITS sub-fund;
- f) Taxes, in particular VAT, incurred in connection with the expenses referred to in points (a) to (e) above and to be reimbursed by the UCITS sub-fund.

Such expenses may be charged to the UCITS sub-fund in addition to the fixed fee.

23.12 Deviating valuation dates

Point 16.1 of the General Section describes the valuation and thus issue and redemption dates applicable to all sub-funds.

In addition to the days specified therein, for this sub-fund, which relates exclusively to the Brazilian market, the Investment Stock Corporation and the Custodian may also refrain from calculating issue and redemption prices on stock exchange holidays in Brazil. However, the Investment Stock Corporation reserves the right to calculate the net asset value for these days as well, but no issue or redemption of units will take place on these days.

III. Investment Conditions

Investment Conditions

governing the legal relationship between the shareholders and

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, Munich, (hereinafter referred to as the "**Company**")

externally managed by

BlackRock Asset Management Deutschland AG, Munich, (hereinafter referred to as the "**Management Company**")

for the UCITS-compliant securities sub-fund

iShares STOXX Europe 600 Automobiles & Parts UCITS ETF (DE), (hereinafter "**UCITS sub-fund**")

These investment conditions are valid only in combination with the Articles of Incorporation of the Company.

INVESTMENT POLICIES AND RESTRICTIONS

§ 1 Assets and investment objective

The Company may acquire the following assets for the UCITS sub-fund:

- a) securities pursuant to Section 4 of these Investment Conditions,
- b) money market instruments pursuant to Section 5 of these Investment Conditions,
- c) bank accounts pursuant to Section 6 of these Investment Conditions,
- d) derivatives pursuant to Section 7 of these Investment Conditions,
- e) other investment instruments pursuant to Section 8 of these Investment Conditions,
- f) Investment fund units pursuant to Section 9 of these Investment Conditions

The purpose of the equity and equity index certificate selection for the UCITS sub-fund is to replicate the STOXX Europe 600 Automobiles & Parts (price index) (hereinafter referred to as the "Underlying Index") while maintaining an appropriate diversification of risk.

§ 2 Depository

1. The Company shall appoint a credit institution as Custodian Bank for the UCITS sub-fund; the Custodian Bank shall act independently of the Company and exclusively in the interests of the shareholders.

2. The tasks and duties of the Custodian Bank are governed by the custodian agreement concluded with the Company, in accordance with the KAGB, the Articles of Incorporation and the Investment Conditions.
3. The Custodian Bank may outsource custodial tasks to another company (sub-custodian) pursuant to Section 73 KAGB. Please refer to the Sales Prospectus for details.
4. The Custodian Bank shall be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for the loss of a financial instrument pursuant to Section 72 Paragraph 1 Sentence 1 held in custody by the Custodian Bank or by a sub-custodian to whom the custody of financial instruments has been transferred according to Section 73 Paragraph 1 KAGB. The Custodian Bank is not liable if it can prove that the loss is due to external events whose consequences were unavoidable despite all reasonable countermeasures. Further claims arising out of the provisions of civil law on the basis of contracts or torts are not affected. The Custodian Bank shall also be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for all other losses that they incur if the Custodian Bank fails to meet its obligations under the provisions of the KAGB, whether negligently or intentionally. The Custodian Bank's liability remains unaffected by any transfer of custody tasks referred to in Paragraph 3, sentence 1.

§ 3 Investment principles

1. The Company may only acquire such assets on behalf of the UCITS sub-fund that are designed to replicate a certain security index ("Security Index") approved by the Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin) while still maintaining appropriate diversification of risk. The Security Index is approved specifically if
 - a) its composition is sufficiently diversified,
 - b) it represents an adequate benchmark for the market to which it relates; and
 - c) it has been published in an appropriate manner.
2. The UCITS sub-fund may only acquire securities included in the Security Index or introduced to it following a change thereto ("Index Securities"), securities that are issued on these Index Securities or on the Underlying Index, and derivatives on securities, money market instruments, investment fund units pursuant to Section 9, recognised financial indices, interest rates, foreign exchange rates or currencies in which the UCITS sub-fund may invest as provided for in the Investment Conditions. When replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in Index Securities over investments in any other assets mentioned in Sentence 1 above that are approved for use in replicating indices. The Underlying Index may

be replicated using securities, derivatives that indirectly replicate the index only for purposes of maintaining the investment restrictions listed in Section 10 Paragraph 7.

3. In order to replicate the Security Index, the duplication percentage may not be less than 95 percent of the total assets in the UCITS sub-fund as defined in the first sentence of Paragraph 2 above. Derivatives shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach provided for in the "ordinance on risk management and risk measurement in the use of derivatives, securities lending and repurchase agreements in investment funds" ("DerivateV") issued pursuant to Section 197 Paragraph 3 of the German Investment Code (KAGB).
4. The duplication percentage reflects the proportion of securities and derivatives according to Section 197 Paragraph 1 KAGB in the UCITS Fund that corresponds with the Security Index in terms of weighting. The duplication percentage is defined as being equal to 100 less one half of the sum of the differences between the weighting of the securities in the index and the applicable weighting of the securities included in the total assets of the UCITS sub-fund, totalled for all securities and applicable values of derivatives according to Section 197 Paragraph 1 KAGB in the UCITS sub-fund and for all securities in the index.

$$DG = 100\% - \frac{\sum_{i=1}^n |W_i^I - W_i^F|}{2}$$

DG	=	duplication percentage in %
n	=	number of share types in the Fund and index (upper summation limit)
I	=	index
F	=	Fund
W_i^I	=	w e i g h t i n g o f e q u i t y i i n i n d e x I i n %
W_i^F	=	w e i g h t i n g o f e q u i t y i t o b e i n c l u d e d i n t h e e q u i t y p o r t i o n o f t h e F u n d i n %
$\sum$	=	s u m s y m b o l
i	=	s u m m a t i o n i n d e x ; r e p r e s e n t s t h e i n d i v i d u a l s h a r e t y p e s o f i = 1 (l o w e r s u m m a t i o n s l i m i t) b i s i = n (u p p e r s u m m a t i o n l i m i t)

§ 4 Securities

1. The Company may only acquire securities on behalf of the UCITS sub-fund if:
 - a) they are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) they are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in one of these states, provided the choice of such stock exchange or regulated market is permitted by BaFin,⁵
 - c) their terms of issue require application for admission to official trading on one of the stock exchanges permitted under a) and b) or for inclusion in one of the regulated markets permitted under a) and b), and admission or inclusion on these markets takes place within one year after their issue,
 - d) they are equities to which the UCITS sub-fund is entitled in an issuer's capital increase from company assets;
 - e) they are acquired in exercising subscription rights belonging to the UCITS sub-fund,
 - f) they are financial instruments that meet the criteria listed in Section 193 Paragraph 1 Sentence 1 No. 8 KAGB.
2. Securities may only be acquired in accordance with Paragraph 1 letters a) to c) if additionally the requirements of Section 193 Paragraph 1 Sentence 2 KAGB are met. Subscription rights arising from securities which may be acquired under this Section, Section 4, may also be acquired.

§ 5 Money market instruments

1. The Company may acquire on behalf of the UCITS sub-fund instruments normally dealt in on the money market and interest-bearing securities with a residual term of no more than 397 days at the time of their acquisition or whose interest rate, in accordance with the issue conditions, is regularly – and at least once each 397-day period – adjusted to reflect current market conditions or whose risk profile corresponds to the risk profile of this type of security (money market instruments). The money market instruments may also be denominated in foreign currency. Money

⁵ The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

market instruments may only be acquired if they

- a) are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market there, provided the choice of such stock exchange or regulated market is permitted by BaFin,⁶
 - c) are issued or guaranteed by the European Union, the German Federal Government, a special-purpose fund of the German Federal Government, a German federal state, another member state or another central, regional or local authority or by the central bank of a European Union member state, the European Central Bank or the European Investment Bank, a non-EU member state or, in case of a federal state, by one of the members making up the federation, or by a public international body to which one or more EU member states belong,
 - d) are issued by a company whose securities are traded on the markets referred to in a) and b),
 - e) if they are issued or guaranteed by a credit institution that is subject to supervision that meets the criteria defined by European Union law, or a credit institution that is subject to the prudential rules considered by BaFin as equivalent to those laid down in European Union law, and which complies with such rules, or
 - f) are issued by other bodies and comply with the requirements of Section 194 Paragraph 1 No. 6 KAGB.
2. Money market instruments as defined in Paragraph 1 may only be acquired if they comply with the requirements of Section 194 Paragraphs 2 and 3 KAGB.

§ 6 Bank accounts

The Company may also hold, on behalf of the UCITS sub-fund, bank accounts containing deposits with a maturity not exceeding twelve months. The accounts, which must be in the form of blocked accounts, may be maintained at a credit institution that has its registered office in a member state of the European Union or another state that is a party to the Agreement on the European Economic Area.

These accounts may also be maintained by a credit institution that has its registered office in a non-member state, provided that it is subject to the prudential rules considered by BaFin as equivalent to those laid down in the law of the European Union. The bank accounts may also be denominated in foreign currency.

§ 7 Derivatives

1. Unless specified otherwise in Paragraph 8, in managing the UCITS sub-fund, the Company may acquire derivatives in accordance with Section 197 Paragraph 1 Sentence 1 KAGB and financial instruments with derivative components in accordance with Section 197 Paragraph 1 Sentence 2 KAGB. It may – depending on the type and extent of derivatives and financial instruments with derivative components used – use either the simple or qualified approach within the meaning of DerivateV provided for in Section 197 Paragraph 3 KAGB when calculating the market risk limits established under Section 197 Paragraph 2 KAGB on the use of derivatives and financial instruments with derivative components; details are discussed in the Sales Prospectus.
2. If the Company uses the simple approach, it may only make regular use of the following basic forms of derivatives, financial instruments with a derivative component or combinations of these derivatives, financial instruments with a derivative component or combinations of underlying securities permitted under Section 197 Paragraph 1 Sentence 1 KAGB in the UCITS sub-fund. Complex derivatives based on permitted underlying securities pursuant to Section 197 Paragraph 1 sentence 1 KAGB may only be used for a negligible proportion. The weighted market risk attributable to the UCITS sub-fund, to be calculated as provided for in Section 16 DerivateV, may at no time exceed the value of the UCITS sub-fund.
The basic forms of derivatives are:
 - a) Forward contracts on the underlying values pursuant to Section 197 Paragraph 1 KAGB with the exception of investment units pursuant to Section 196 KAGB;
 - b) Options or warrants on the underlying securities pursuant to Section 197 Paragraph 1 KAGB with the exception of investment fund units pursuant to Section 196 KAGB and on futures contracts as defined in a), if they have the following characteristics:
 - aa) exercising is possible either during the entire term or at the end of the term and
 - bb) at the time of being exercised, the option value is linearly based on the positive or negative difference between the underlying price and the

⁶ The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

market price of the underlying security and becomes nil if the difference has the other leading sign;

- c) Interest rate swaps, currency swaps or interest rate/currency swaps;
 - d) Options on swaps according to letter c), to the extent that they display the characteristics described in letter b) under letters aa) and bb) (swaptions);
 - e) Credit default swaps related to single underlying instruments (Single Name Credit Default Swaps).
3. If the Company uses the qualified approach, it may invest, subject to a suitable risk management system, in any financial instruments with a derivative component or derivatives that are derived from an underlying security that is permitted under Section 197 Paragraph 1 Sentence 1 KAGB.
- The potential risk amount for the market risk ("risk exposure") attributable to the UCITS sub-fund may at no time exceed two times the potential risk amount for the market risk of the associated benchmark assets pursuant to Section 9 DerivateV. Alternatively, the risk exposure may at no time exceed 20 percent of the value of the UCITS sub-fund.
4. In these transactions, the Company may under no circumstances deviate from the investment principles and limits listed in the Articles of Incorporation, these Investment Conditions or in the Sales Prospectus.
5. The Company will use the derivatives and financial instruments with a derivative component for the purpose of efficient portfolio management and to produce additional returns, when and to the extent that it considers this to be in the interests of the investors.
- No transactions with derivatives may be undertaken for purposes of hedging.
6. In calculating the market risk limit for the use of derivatives and financial instruments with a derivative component, the company may at any time switch between the simple and the qualified approach pursuant to § 6 Sentence 3 DerivateV. The change does not require the approval of BaFin. However, the company must report the change to BaFin without delay and announce it in the next semi-annual or annual report.
7. The Company will observe the guidelines of DerivateV when derivatives and financial instruments with derivative components are used.
8. In derogation of Paragraph 1, the Company may – subject to a suitable risk management system – only use futures contracts that are based on the Underlying Index and futures contracts that are based on individual stocks of the Underlying Index as well as warrants that are based on the Underlying Index and warrants that are based on individual stocks of the Underlying Index for the UCITS sub-fund.

§ 8 Other investment instruments

The Company may on behalf of the UCITS sub-fund acquire other investment instruments up to 10 percent of the value of the UCITS sub-fund pursuant to Section 198 KAGB.

§ 9 Investment fund units

1. The Company may, on behalf of the UCITS sub-fund, acquire units in investment funds pursuant to Directive 2009/65/EC (UCITS). Units in other domestic investment funds and joint-stock investment companies with variable capital and units in EU alternative investment funds and foreign open-ended alternative investment funds may be acquired if they meet the requirements of § 196 Para. 1 sentence 2 KAGB.
2. For account of the UCITS sub-fund, the company may only acquire units of domestic investment funds and joint-stock investment companies with variable capital, open-ended EU AIF and foreign open-ended AIF if, in accordance with the investment conditions or the Articles of Incorporation of the investment management company, the joint-stock investment company with variable capital, the EU investment fund, the EU management company, the foreign AIF or the foreign AIF management company, a total not exceeding 10 percent of the value of their assets may be invested in units of other domestic investment funds, joint-stock investment companies with variable capital, open-ended EU investment funds or foreign open-ended AIFs.

§ 10 Issuer and investment limits

1. The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and these Investment Conditions.
2. The Company may invest up to 20 percent of the assets of the UCITS sub-fund in securities from a single issuer (debtor).
3. The limit specified in Paragraph 2 may be increased to up to 35 percent of the value of the UCITS sub-fund for securities from a single issuer. An investment up to the limit specified in Sentence 1 above is permissible only for one individual issuer (debtor).
4. For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.
5. The Company may invest no more than 5 percent of the value of the UCITS sub-fund in bank accounts and money market instruments as defined in Sections 5 and 6.

6. The Company may invest no more than 10 percent of the value of the UCITS sub-fund in units of investment funds pursuant to Section 3 Paragraph 2 and Section 9. When doing so, the Company may acquire on behalf of the UCITS sub-fund no more than 25 percent of issued units of another open-ended domestic, EU or foreign investment fund that invests in assets in accordance with the principle of risk diversification as defined in Sections 192 to 198 KAGB.
7. A minimum of 95 percent of the UCITS sub-fund must be invested in assets based on the Security Index pursuant to Section 3 Paragraph 2 Sentence 1. At least 85 percent of the value of the UCITS sub-fund shall be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds.

§ 11 Loans

Short-term borrowing by the Company on the account of the UCITS sub-fund of amounts of up to 10 percent of the value of the UCITS sub-fund is permissible if the terms of the borrowing are at market rates and the Custodian Bank approves the borrowing.

SHARE CLASSES

§ 12 Share classes

1. Share classes as defined in Section 20 of the Articles of Incorporation may be formed for the UCITS sub-fund; these differ with respect to appropriation of income, issue premiums, redemption fees, management fees, minimum investment amount, currency, net asset value per share, or a combination of these characteristics. The creation of share classes is permitted at any time and is at the discretion of the Company.
2. The net asset value per share is calculated separately for each share class by allocating the costs of launching new share classes, the distributions (including any taxes that may be payable from the fund's assets), the management fee including income adjustment if applicable, exclusively to this share class.
3. The existing share classes are listed individually in the Sales Prospectus and in the annual and semi-annual reports. The structural characteristics defining the share classes (appropriation of income, issue premiums, redemption fees, management fees, currency, minimum investment amount, or a combination of these characteristics) are described in detail in the Sales Prospectus and in the annual and semi-annual reports.

ISSUE AND REDEMPTION OF SHARES/EXPENSES

§ 13 Issue and redemption of shares, fees

1. The Company indicates the issue premiums and redemption fees charged for each share class in the Sales Prospectus, the Key Information Document and in the annual and semi-annual reports.
2. For the calculation of share issue and redemption prices, the market values of the assets (net asset value) belonging to the UCITS sub-fund less borrowings undertaken and other liabilities (net asset value) is determined and divided by the number of shares in circulation (share value). If special share classes for the UCITS sub-fund are introduced in accordance with Section 12, then the net asset value per share and the issue and redemption prices for each share class shall be determined separately. The assets are valued in accordance with Sections 168 and 169 KAGB and the German Capital Investment Accounting and Valuation Ordinance ("KARBV").
3. The issue price corresponds to the net asset value per share at the issue date, plus any issue premium pursuant to Paragraph 4. The redemption price corresponds to the net asset value per share at the redemption date, plus any redemption fees pursuant to Paragraph 5.
4. Depending on the share class, the issue premium per share is up to 2 percent of the net asset value per share. The Company is free to charge a lower issue premium for one or more share classes, or all of them.
5. Depending on the share class, the redemption fee per share is up to 1 percent of the net asset value per share. The Company is free to charge a lower redemption fee for one or more share classes, or all of them. The Management Company shall receive the redemption fee.
6. The settlement date for issue and redemption orders is no later than the next valuation date following the receipt of the issue or redemption order. If the Company suspends the redemption of shares in accordance with Section 11 paragraph 6 of the Articles of Incorporation, the settlement date for such redemption orders is the valuation day following the resumption.
7. Issue and redemption prices will be determined on each exchange trading day. On public holidays under the KAGB that are stock exchange days and 24 and 31 December every year, the Company and the Custodian Bank may interrupt their daily price calculation; details are discussed in the Sales Prospectus.
8. The Company applies the Dual Pricing method when determining the issue and redemption prices. This means that, deviating from paragraph 2 sentence 1, a modified net asset value per share must be calculated in addition to the net asset value. For this purpose, for each issue and redemption of shares, the net asset value per share is adjusted by a factor

that reflects liquidity costs. The Company explains the procedure used to calculate the modified net asset value per share in the Sales Prospectus.

9. The Company may charge a redemption fee (Rückgabegebühr). The redemption fee is calculated on the basis of gross redemptions and amounts to up to 2 per cent of gross redemptions. The Sales Prospectus contains a description of the option and the conditions for a redemption fee.

§ 14 Expenses and services included

1. For managing the UCITS sub-fund, the Management Company receives from the assets of the UCITS sub-fund a fee of up to 0.45 percent per annum depending on the share class, based on the net asset value of the UCITS sub-fund determined each exchange trading day. The Management Company is free to charge a lower management fee for one or more share classes, or all of them. The management fee will be paid in advance in monthly instalments out of the UCITS sub-fund. The Company indicates the management fee charged for each share class in the Sales Prospectus and in the annual and semi-annual reports.
2. The management fee specified in Paragraph 1 shall cover services rendered by the Management Company for the UCITS sub-fund, including the expenses of the Custodian Bank, legally required printing, mailings, and publications associated with the UCITS sub-fund, and for annual report audits conducted by auditors of the Company.
3. The following expenses are not covered by Paragraph 1:
 - a) Expenses resulting from the purchase and sale of assets (transaction costs),
 - b) Customary bank custody fees, including the customary bank charges for the custody of foreign securities abroad and related taxes, if applicable,
 - c) Customary expenses related to day-to-day account management,
 - d) Expenses incurred in the assertion and enforcement of the legal claims of the UCITS sub-fund,
 - e) Expenses for providing information to investors of the UCITS sub-fund by means of a durable medium, with the exception of expenses for providing information in the case of fund mergers and with the exception of information on measures connected with violations of investment limits or errors in calculating the net asset value per share.

Such expenses may be charged to the UCITS sub-fund in addition to the management fee charged in accordance with Paragraph 1.

4. The Company has to publish in the annual report and in the semi-annual report the

amount of the issue premiums and redemption fees that have been charged to the UCITS sub-fund during the reporting period for the purchase and redemption of shares as defined in Section 9. When units are purchased that are managed, directly or indirectly, by the Management Company itself or by any other company with which the Management Company is affiliated through a significant direct or indirect equity interest, the Management Company or the other company may not levy issue premiums or redemption fees for the purchase or redemption. The Company publishes in the annual report and in the semi-annual report the fees charged as management fees for the units held in the UCITS sub-fund when such fees are charged by the Management Company, by another investment management company, a joint-stock investment company or another company with which the Management Company is affiliated through a significant direct or indirect equity interest, or by a foreign investment company, including its management company.

APPROPRIATION OF INCOME, TERM AND FINANCIAL YEAR

§ 15 Distribution

1. For distributing share classes, the Company distributes, net of costs, the interest, dividends and other income from investment fund shares received for account of the UCITS sub-fund, taking into account the appropriate income netting. Capital gains and other income - taking into account the appropriate income equalisation - can also be used for distributions.
2. The final distribution takes place within four months of the financial year-end. In addition, the Company may carry out interim distributions during the year.
3. The interim distribution amount is at the discretion of the Company. The Company is not obliged to distribute all distributable income pursuant to Paragraph 1 accumulated up to the date of the interim distribution; it may carry ordinary income forward to the next distribution date.
4. Interim distributions are intended to minimise any discrepancy between the performance of the UCITS sub-fund and that of the Underlying Index.
5. Distributable income pursuant to Paragraph 1 may be carried forward for distribution in subsequent financial years if the amount of the income carried forward does not exceed 15 percent of the respective value of the UCITS sub-fund at the end of the financial year. Income from short financial years may be carried forward in its entirety.
6. In the interests of maintaining equity, some income, or in exceptional cases, all income,

may be set aside for accumulation in the UCITS sub-fund.

7. If no share classes are created, the income will be distributed.

§ 16 Reinvestment

For reinvesting share classes, the Company invests the interest, dividends and other income of the UCITS sub-fund, taking into account the appropriate income netting, as well as the realised capital gains that have accrued for account of the sub-fund during the financial year in the UCITS sub-fund, net of costs.

§ 17 Financial year and accounting

1. The financial year of the UCITS sub-fund begins on 1 March of each calendar year and ends on the last day of February.
2. The company publishes an annual financial statement with a management report no later than four months after the end of the financial year in accordance with § 120 Para. 1, 2 and 6 Sentence 3 in conjunction with § 123 Para. 1 No. 1 KAGB.
3. The Company publishes a semi-annual report no later than two months after the end of the first half of the financial year in accordance with Section 122 Paragraph 1 Sentence 4 in conjunction with Section 103 and Section 107 Paragraph 1 Sentence 2 KAGB.

§ 18 Liquidation of the sub-fund

1. The Company may liquidate the UCITS sub-fund pursuant to Section 19 of the Articles of Incorporation. This liquidation resolution shall take effect six months after its publication in the Bundesanzeiger. The shareholders must be informed by the Company immediately by means of a durable medium as defined in Section 167 KAGB of the announcement of a termination in accordance with Sentence 2.
2. The Company must prepare a liquidation report for the period ending on the date on which its right to manage lapses pursuant to Section 117 Paragraph 8 Sentence 4, 100 Paragraph 1 KAGB; this liquidation report must fulfil the requirements of an annual report in accordance with Section 120 Paragraph 1.
3. Net liquidation proceeds not collected by shareholders upon completion of the liquidation proceedings may be deposited with an appropriate depository for the benefit of the entitled shareholders.

§ 19 Change of the external investment management company and the depository

1. The company may transfer the management and disposal rights over the company to another external investment management

company. The transfer is subject to the prior approval of BaFin.

2. The approved transfer shall be published in the Bundesanzeiger and in the annual financial statements or the semi-annual report. Investors must be informed immediately by means of a durable medium of the announcement of a transfer in accordance with sentence 1. The transfer shall take effect no earlier than three months after its publication in the Bundesanzeiger.
3. The company may change the depository for the UCITS sub-fund. The change must be approved by BaFin.

§ 20 Changes to the Investment Conditions

1. The Company is entitled to change the Investment Conditions.
2. Amendments to the Investment Conditions require the prior approval of BaFin.
3. All planned amendments shall be published in the Bundesanzeiger and, in addition, in a financial or daily newspaper with sufficient circulation or in the electronic information media designated in the Sales Prospectus. The planned changes and their effective dates must be stated in any publication made in accordance with Sentence 1 above. In the event of amendments to costs detrimental to investors as defined in Section 162 Paragraph 2 (11) KAGB, amendments to the investment principles of the UCITS Fund as defined in Section 163 Paragraph 3 KAGB or amendments related to significant investor rights, investors must be informed simultaneously with the publication pursuant to Sentence 1 of the significant contents of the proposed amendments to the Investment Conditions and the background thereto, as well as information on their rights pursuant to Section 163 Paragraph 3 KAGB by means of a durable medium and in an understandable way in accordance with Section 163 Paragraph 4 KAGB.
4. The amendments enter into force at the earliest on the day after their publication in the Bundesanzeiger; amendments to costs and to the investment principles, however, do not enter into force until three months after the corresponding publication. With the consent of the BaFin, an earlier date may be determined, insofar as this concerns a change in costs that benefits the investors.

§ 21 Place of performance

The place of performance is the registered office of the Company.

§ 22 Name

The rights of shareholders who acquired shares originally named "iShares STOXX Europe 600 Automobiles & Parts (DE)" remain unaffected.

Investment Conditions

governing the legal relationship between the shareholders and

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, Munich, (hereinafter referred to as the "**Company**")

externally managed by

BlackRock Asset Management Deutschland AG, Munich, (hereinafter referred to as the "**Management Company**")

for the UCITS-compliant securities sub-fund

iShares STOXX Europe 600 Banks UCITS ETF (DE), (hereinafter referred to as the "**UCITS sub-fund**")

These investment conditions are valid only in combination with the Articles of Incorporation of the Company.

INVESTMENT POLICIES AND RESTRICTIONS

§ 1 Assets and investment objective

The Company may acquire the following assets for the UCITS sub-fund:

- a) securities pursuant to Section 4 of these Investment Conditions,
- b) money market instruments pursuant to Section 5 of these Investment Conditions,
- c) bank accounts pursuant to Section 6 of these Investment Conditions,
- d) derivatives pursuant to Section 7 of these Investment Conditions,
- e) other investment instruments pursuant to Section 8 of these Investment Conditions,
- f) Investment fund units pursuant to Section 9 of these Investment Conditions

The purpose of the equity and equity index certificate selection for the UCITS sub-fund is to replicate the STOXX Europe 600 Banks (price index) (hereinafter referred to as the "Underlying Index") while maintaining an appropriate diversification of risk.

§ 2 Depository

1. The Company shall appoint a credit institution as Custodian Bank for the UCITS sub-fund; the Custodian Bank shall act independently of the Company and exclusively in the interests of the shareholders.
2. The tasks and duties of the Custodian Bank are governed by the custodian agreement

concluded with the Company, in accordance with the KAGB, the Articles of Incorporation and the Investment Conditions.

3. The Custodian Bank may outsource custodial tasks to another company (sub-custodian) pursuant to Section 73 KAGB. Please refer to the Sales Prospectus for details.
4. The Custodian Bank shall be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for the loss of a financial instrument pursuant to Section 72 Paragraph 1 Sentence 1 held in custody by the Custodian Bank or by a sub-custodian to whom the custody of financial instruments has been transferred according to Section 73 Paragraph 1 KAGB. The Custodian Bank is not liable if it can prove that the loss is due to external events whose consequences were unavoidable despite all reasonable countermeasures. Further claims arising out of the provisions of civil law on the basis of contracts or torts are not affected. The Custodian Bank shall also be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for all other losses that they incur if the Custodian Bank fails to meet its obligations under the provisions of the KAGB, whether negligently or intentionally. The Custodian Bank's liability remains unaffected by any transfer of custody tasks referred to in Paragraph 3, sentence 1.

§ 3 Investment principles

1. The Company may only acquire such assets on behalf of the UCITS sub-fund that are designed to replicate a certain security index ("Security Index") approved by the Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin) while still maintaining appropriate diversification of risk. The Security Index is approved specifically if
 - a) its composition is sufficiently diversified,
 - b) it represents an adequate benchmark for the market to which it relates; and
 - c) it has been published in an appropriate manner.
2. The UCITS sub-fund may only acquire securities included in the Security Index or introduced to it following a change thereto ("Index Securities"), securities that are issued on these Index Securities or on the Underlying Index, and derivatives on securities, money market instruments, investment fund units pursuant to Section 9, recognised financial indices, interest rates, foreign exchange rates or currencies in which the UCITS sub-fund may invest as provided for in the Investment Conditions. When replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in Index Securities over investments in any other assets mentioned in Sentence 1 above that are approved for use in replicating indices. The Underlying Index may be replicated using securities, derivatives that

indirectly replicate the index only for purposes of maintaining the investment restrictions listed in Section 10 Paragraph 7.

3. In order to replicate the Security Index, the duplication percentage may not be less than 95 percent of the total assets in the UCITS sub-fund as defined in the first sentence of Paragraph 2 above. Derivatives shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach provided for in the "ordinance on risk management and risk measurement in the use of derivatives, securities lending and repurchase agreements in investment funds" ("DerivateV") issued pursuant to Section 197 Paragraph 3 of the German Investment Code (KAGB).
4. The duplication percentage reflects the proportion of securities and derivatives according to Section 197 Paragraph 1 KAGB in the UCITS Fund that corresponds with the Security Index in terms of weighting. The duplication percentage is defined as being equal to 100 less one half of the sum of the differences between the weighting of the securities in the index and the applicable weighting of the securities included in the total assets of the UCITS sub-fund, totalled for all securities and applicable values of derivatives according to Section 197 Paragraph 1 KAGB in the UCITS sub-fund and for all securities in the index.

$$DG = 100\% - \frac{\sum_{i=1}^n |W_i^I - W_i^F|}{2}$$

DG	=	duplication percentage in %
n	=	number of share types in the Fund and index (upper summation limit)
I	=	index
F	=	Fund
W_i^I	=	weighting of equity i in index I in %
W_i^F	=	weighting of equity i to be included in the equity portion of the Fund in %
$\sum$	=	sum symbol
i	=	summation index; represents the individual share types of i = 1 (lower summations limit) bis i = n (upper summation limit)

§ 4 Securities

1. The Company may only acquire securities on behalf of the UCITS sub-fund if:
 - a) they are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) they are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in one of these states, provided the choice of such stock exchange or regulated market is permitted by BaFin,⁷
 - c) their terms of issue require application for admission to official trading on one of the stock exchanges permitted under a) and b) or for inclusion in one of the regulated markets permitted under a) and b), and admission or inclusion on these markets takes place within one year after their issue,
 - d) they are equities to which the UCITS sub-fund is entitled in an issuer's capital increase from company assets;
 - e) they are acquired in exercising subscription rights belonging to the UCITS sub-fund,
 - f) they are financial instruments that meet the criteria listed in Section 193 Paragraph 1 Sentence 1 No. 8 KAGB.
2. Securities may only be acquired in accordance with Paragraph 1 letters a) to c) if additionally the requirements of Section 193 Paragraph 1 Sentence 2 KAGB are met. Subscription rights arising from securities which may be acquired under this Section, Section 4, may also be acquired.

§ 5 Money market instruments

1. The Company may acquire on behalf of the UCITS sub-fund instruments normally dealt in on the money market and interest-bearing securities with a residual term of no more than 397 days at the time of their acquisition or whose interest rate, in accordance with the issue conditions, is regularly – and at least once each 397-day period – adjusted to reflect current market conditions or whose risk profile corresponds to the risk profile of this type of security (money market instruments). The money market instruments may also be denominated in foreign currency. Money

⁷ The list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB is published on the BaFin website. www.bafin.de

market instruments may only be acquired if they

- a) are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market there, provided the choice of such stock exchange or regulated market is permitted by BaFin,⁸
 - c) are issued or guaranteed by the European Union, the German Federal Government, a special-purpose fund of the German Federal Government, a German federal state, another member state or another central, regional or local authority or by the central bank of a European Union member state, the European Central Bank or the European Investment Bank, a non-EU member state or, in case of a federal state, by one of the members making up the federation, or by a public international body to which one or more EU member states belong,
 - d) are issued by a company whose securities are traded on the markets referred to in a) and b),
 - e) if they are issued or guaranteed by a credit institution that is subject to supervision that meets the criteria defined by European Union law, or a credit institution that is subject to the prudential rules considered by BaFin as equivalent to those laid down in European Union law, and which complies with such rules, or
 - f) are issued by other bodies and comply with the requirements of Section 194 Paragraph 1 Sentence 1 No. 6 KAGB.
2. Money market instruments as defined in Paragraph 1 may only be acquired if they comply with the requirements of Section 194 Paragraphs 2 and 3 KAGB.

§ 6 Bank accounts

The Company may also hold, on behalf of the UCITS sub-fund, bank accounts containing deposits with a maturity not exceeding twelve months. The accounts, which must be in the form of blocked accounts, may be maintained at a credit institution that has its registered office in a member state of the European Union or another state that is a party to the Agreement on the European Economic Area.

These accounts may also be maintained by a credit institution that has its registered office in a non-member state, provided that it is subject to the prudential rules considered by BaFin as equivalent to those laid down in the law of the European Union. The bank accounts may also be denominated in foreign currency.

§ 7 Derivatives

1. Unless specified otherwise in Paragraph 8, in managing the UCITS sub-fund, the Company may acquire derivatives in accordance with Section 197 Paragraph 1 Sentence 1 KAGB and financial instruments with derivative components in accordance with Section 197 Paragraph 1 Sentence 2 KAGB. It may – depending on the type and extent of derivatives and financial instruments with derivative components used – use either the simple or qualified approach within the meaning of DerivateV provided for in Section 197 Paragraph 3 KAGB when calculating the market risk limits established under Section 197 Paragraph 2 KAGB on the use of derivatives and financial instruments with derivative components; details are discussed in the Sales Prospectus.
2. If the Company uses the simple approach, it may only make regular use of the following basic forms of derivatives, financial instruments with a derivative component or combinations of these derivatives, financial instruments with a derivative component or combinations of underlying securities permitted under Section 197 Paragraph 1 Sentence 1 KAGB in the UCITS sub-fund. Complex derivatives based on permitted underlying securities pursuant to Section 197 Paragraph 1 sentence 1 KAGB may only be used for a negligible proportion. The weighted market risk attributable to the UCITS sub-fund, to be calculated as provided for in Section 16 DerivateV, may at no time exceed the value of the UCITS sub-fund. The basic forms of derivatives are:
 - a) Forward contracts on the underlying values pursuant to Section 197 Paragraph 1 KAGB with the exception of investment units pursuant to Section 196 KAGB;
 - b) Options or warrants on the underlying securities pursuant to Section 197 Paragraph 1 KAGB with the exception of investment fund units pursuant to Section 196 KAGB and on futures contracts as defined in a), if they have the following characteristics:
 - aa) exercising is possible either during the entire term or at the end of the term and
 - bb) at the time of being exercised, the option value is linearly based on the positive or negative difference between the underlying price and the

⁸ The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

market price of the underlying security and becomes nil if the difference has the other leading sign;

- c) Interest rate swaps, currency swaps or interest rate/currency swaps;
 - d) Options on swaps according to letter c), to the extent that they display the characteristics described in letter b) under letters aa) and bb) (swaptions);
 - e) Credit default swaps related to single underlying instruments (Single Name Credit Default Swaps).
3. If the Company uses the qualified approach, it may invest, subject to a suitable risk management system, in any financial instruments with a derivative component or derivatives that are derived from an underlying security that is permitted under Section 197 Paragraph 1 Sentence 1 KAGB.
- The potential risk amount for the market risk ("risk exposure") attributable to the UCITS sub-fund may at no time exceed two times the potential risk amount for the market risk of the associated benchmark assets pursuant to Section 9 DerivateV. Alternatively, the risk exposure may at no time exceed 20 percent of the value of the UCITS sub-fund.
4. In these transactions, the Company may under no circumstances deviate from the investment principles and limits listed in the Articles of Incorporation, these Investment Conditions or in the Sales Prospectus.
5. The Company will use the derivatives and financial instruments with a derivative component for the purpose of efficient portfolio management and to produce additional returns, when and to the extent that it considers this to be in the interests of the investors.
- No transactions with derivatives may be undertaken for purposes of hedging.
6. In calculating the market risk limit for the use of derivatives and financial instruments with a derivative component, the company may at any time switch between the simple and the qualified approach pursuant to § 6 Sentence 3 DerivateV. The change does not require the approval of BaFin. However, the company must report the change to BaFin without delay and announce it in the next semi-annual or annual report.
7. The Company will observe the guidelines of DerivateV when derivatives and financial instruments with derivative components are used.
8. In derogation of Paragraph 1, the Company may – subject to a suitable risk management system – only use futures contracts that are based on the Underlying Index and futures contracts that are based on individual stocks of the Underlying Index as well as warrants that are based on the Underlying Index and warrants that are based on individual stocks of the Underlying Index for the UCITS sub-fund.

§ 8 Other investment instruments

The Company may on behalf of the UCITS sub-fund acquire other investment instruments up to 10 percent of the value of the UCITS sub-fund pursuant to Section 198 KAGB.

§ 9 Investment fund units

1. The Company may, on behalf of the UCITS sub-fund, acquire units in investment funds pursuant to Directive 2009/65/EC (UCITS). Units in other domestic investment funds and joint-stock investment companies with variable capital and units in EU alternative investment funds and foreign open-ended alternative investment funds may be acquired if they meet the requirements of § 196 Para. 1 sentence 2 KAGB.
2. For account of the UCITS sub-fund, the company may only acquire units of domestic investment funds and joint-stock investment companies with variable capital, open-ended EU AIF and foreign open-ended AIF if, in accordance with the investment conditions or the Articles of Incorporation of the investment management company, the joint-stock investment company with variable capital, the EU investment fund, the EU management company, the foreign AIF or the foreign AIF management company, a total not exceeding 10 percent of the value of their assets may be invested in units of other domestic investment funds, joint-stock investment companies with variable capital, open-ended EU investment funds or foreign open-ended AIFs.

§ 10 Issuer and investment limits

1. The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and these Investment Conditions.
2. The Company may invest up to 20 percent of the assets of the UCITS sub-fund in securities from a single issuer (debtor).
3. The limit specified in Paragraph 2 may be increased to up to 35 percent of the value of the UCITS sub-fund for securities from a single issuer. An investment up to the limit specified in Sentence 1 above is permissible only for one individual issuer (debtor).
4. For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.
5. The Company may invest no more than 5 percent of the value of the UCITS sub-fund in bank accounts and money market instruments as defined in Sections 5 and 6.

6. The Company may invest no more than 10 percent of the value of the UCITS sub-fund in units of investment funds pursuant to Section 3 Paragraph 2 and Section 9. When doing so, the Company may acquire on behalf of the UCITS sub-fund no more than 25 percent of issued units of another open-ended domestic, EU or foreign investment fund that invests in assets in accordance with the principle of risk diversification as defined in Sections 192 to 198 KAGB.
7. A minimum of 95 percent of the UCITS sub-fund must be invested in assets based on the Security Index pursuant to Section 3 Paragraph 2 Sentence 1. At least 85 percent of the value of the UCITS sub-fund shall be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds.

§ 11 Loans

Short-term borrowing by the Company on the account of the UCITS sub-fund of amounts of up to 10 percent of the value of the UCITS sub-fund is permissible if the terms of the borrowing are at market rates and the Custodian Bank approves the borrowing.

SHARE CLASSES

§ 12 Share classes

1. Share classes as defined in Section 20 of the Articles of Incorporation may be formed for the UCITS sub-fund; these differ with respect to appropriation of income, issue premiums, redemption fees, management fees, minimum investment amount, currency, net asset value per share, or a combination of these characteristics. The creation of share classes is permitted at any time and is at the discretion of the Company.
2. The net asset value per share is calculated separately for each share class by allocating the costs of launching new share classes, the distributions (including any taxes that may be payable from the fund's assets), the management fee including income adjustment if applicable, exclusively to this share class.
3. The existing share classes are listed individually in the Sales Prospectus and in the annual and semi-annual reports. The structural characteristics defining the share classes (appropriation of income, issue premiums, redemption fees, management fees, currency, minimum investment amount, or a combination of these characteristics) are described in detail in the Sales Prospectus and in the annual and semi-annual reports.

ISSUE AND REDEMPTION OF SHARES/EXPENSES

§ 13 Issue and redemption of shares, fees

1. The Company indicates the issue premiums and redemption fees charged for each share class in the Sales Prospectus, the Key Information Document and in the annual and semi-annual reports.
2. For the calculation of share issue and redemption prices, the market values of the assets (net asset value) belonging to the UCITS sub-fund less borrowings undertaken and other liabilities (net asset value) is determined and divided by the number of shares in circulation (share value). If special share classes for the UCITS sub-fund are introduced in accordance with Section 12, then the net asset value per share and the issue and redemption prices for each share class shall be determined separately. The assets are valued in accordance with Sections 168 and 169 KAGB and the German Capital Investment Accounting and Valuation Ordinance ("KARBV").
3. The issue price corresponds to the net asset value per share at the issue date, plus any issue premium pursuant to Paragraph 4. The redemption price corresponds to the net asset value per share at the redemption date, plus any redemption fees pursuant to Paragraph 5.
4. Depending on the share class, the issue premium per share is up to 2 percent of the net asset value per share. The Company is free to charge a lower issue premium for one or more share classes, or all of them.
5. Depending on the share class, the redemption fee per share is up to 1 percent of the net asset value per share. The Company is free to charge a lower redemption fee for one or more share classes, or all of them. The Management Company shall receive the redemption fee.
6. The settlement date for issue and redemption orders is no later than the next valuation date following the receipt of the issue or redemption order. If the Company suspends the redemption of shares in accordance with Section 11 paragraph 6 of the Articles of Incorporation, the settlement date for such redemption orders is the valuation day following the resumption.
7. Issue and redemption prices will be determined on each exchange trading day. On public holidays under the KAGB that are stock exchange days and 24 and 31 December every year, the Company and the Custodian Bank may interrupt their daily price calculation; details are discussed in the Sales Prospectus.
8. The Company applies the Dual Pricing method when determining the issue and redemption prices. This means that, deviating from paragraph 2 sentence 1, a modified net asset value per share must be calculated in addition to the net asset value. For this purpose, for each issue and redemption of shares, the net asset value per share is adjusted by a factor

that reflects liquidity costs. The Company explains the procedure used to calculate the modified net asset value per share in the Sales Prospectus.

9. The Company may charge a redemption fee (Rückgabegebühr). The redemption fee is calculated on the basis of gross redemptions and amounts to up to 2 per cent of gross redemptions. The Sales Prospectus contains a description of the option and the conditions for a redemption fee.

§ 14 Expenses and services included

1. For managing the UCITS sub-fund, the Management Company receives from the assets of the UCITS sub-fund a fee of up to 0.45 percent per annum depending on the share class, based on the net asset value of the UCITS sub-fund determined each exchange trading day. The Management Company is free to charge a lower management fee for one or more share classes, or all of them. The management fee will be paid in advance in monthly instalments out of the UCITS sub-fund. The Company indicates the management fee charged for each share class in the Sales Prospectus and in the annual and semi-annual reports.
2. The management fee specified in Paragraph 1 shall cover services rendered by the Management Company for the UCITS sub-fund, including the expenses of the Custodian Bank, legally required printing, mailings, and publications associated with the UCITS sub-fund, and for annual report audits conducted by auditors of the Company.
3. The following expenses are not covered by Paragraph 1:
 - a) Expenses resulting from the purchase and sale of assets (transaction costs),
 - b) Customary bank custody fees, including the customary bank charges for the custody of foreign securities abroad and related taxes, if applicable,
 - c) Customary expenses related to day-to-day account management,
 - d) Expenses incurred in the assertion and enforcement of the legal claims of the UCITS sub-fund,
 - e) Expenses for providing information to investors of the UCITS sub-fund by means of a durable medium, with the exception of expenses for providing information in the case of fund mergers and with the exception of information on measures connected with violations of investment limits or errors in calculating the net asset value per share.

Such expenses may be charged to the UCITS sub-fund in addition to the management fee charged in accordance with Paragraph 1.

4. The Company has to publish in the annual report and in the semi-annual report the

amount of the issue premiums and redemption fees that have been charged to the UCITS sub-fund during the reporting period for the purchase and redemption of shares as defined in Section 9. When units are purchased that are managed, directly or indirectly, by the Management Company itself or by any other company with which the Management Company is affiliated through a significant direct or indirect equity interest, the Management Company or the other company may not levy issue premiums or redemption fees for the purchase or redemption. The Company publishes in the annual report and in the semi-annual report the fees charged as management fees for the units held in the UCITS sub-fund when such fees are charged by the Management Company, by another investment management company, a joint-stock investment company or another company with which the Management Company is affiliated through a significant direct or indirect equity interest, or by a foreign investment company, including its management company.

APPROPRIATION OF INCOME, TERM AND FINANCIAL YEAR

§ 15 Distribution

1. For distributing share classes, the Company distributes, net of costs, the interest, dividends and other income from investment fund shares received for account of the UCITS sub-fund, taking into account the appropriate income netting. Capital gains and other income - taking into account the appropriate income equalisation - can also be used for distributions.
2. The final distribution takes place within four months of the financial year-end. In addition, the Company may carry out interim distributions during the year.
3. The interim distribution amount is at the discretion of the Company. The Company is not obliged to distribute all distributable income pursuant to Paragraph 1 accumulated up to the date of the interim distribution; it may carry ordinary income forward to the next distribution date.
4. Interim distributions are intended to minimise any discrepancy between the performance of the UCITS sub-fund and that of the Underlying Index.
5. Distributable income pursuant to Paragraph 1 may be carried forward for distribution in subsequent financial years if the amount of the income carried forward does not exceed 15 percent of the respective value of the UCITS sub-fund at the end of the financial year. Income from short financial years may be carried forward in its entirety.
6. In the interests of maintaining equity, some income, or in exceptional cases, all income,

may be set aside for accumulation in the UCITS sub-fund.

7. If no share classes are created, the income will be distributed.

§ 16 Reinvestment

For reinvesting share classes, the Company invests the interest, dividends and other income of the UCITS sub-fund, taking into account the appropriate income netting, as well as the realised capital gains that have accrued for account of the sub-fund during the financial year in the UCITS sub-fund, net of costs.

§ 17 Financial year and accounting

1. The financial year of the UCITS sub-fund begins on 1 March of each calendar year and ends on the last day of February.
2. The company publishes an annual financial statement with a management report no later than four months after the end of the financial year in accordance with § 120 Para. 1, 2 and 6 Sentence 3 in conjunction with § 123 Para. 1 No. 1 KAGB.
3. The Company publishes a semi-annual report no later than two months after the end of the first half of the financial year in accordance with Section 122 Paragraph 1 Sentence 4 in conjunction with Section 103 and Section 107 Paragraph 1 Sentence 2 KAGB.

§ 18 Liquidation of the sub-fund

1. The Company may liquidate the UCITS sub-fund pursuant to Section 19 of the Articles of Incorporation. This liquidation resolution shall take effect six months after its publication in the Bundesanzeiger. The shareholders must be informed by the Company immediately by means of a durable medium as defined in Section 167 KAGB of the announcement of a termination in accordance with Sentence 2.
2. The Company must prepare a liquidation report for the period ending on the date on which its right to manage lapses pursuant to Section 117 Paragraph 8 Sentence 4, 100 Paragraph 1 KAGB; this liquidation report must fulfil the requirements of an annual report in accordance with Section 120 Paragraph 1.
3. Net liquidation proceeds not collected by shareholders upon completion of the liquidation proceedings may be deposited with an appropriate depository for the benefit of the entitled shareholders.

§ 19 Change of the external investment management company and the depository

1. The company may transfer the management and disposal rights over the company to another external investment management

company. The transfer is subject to the prior approval of BaFin.

2. The approved transfer shall be published in the Bundesanzeiger and in the annual financial statements or the semi-annual report. Investors must be informed immediately by means of a durable medium of the announcement of a transfer in accordance with sentence 1. The transfer shall take effect no earlier than three months after its publication in the Bundesanzeiger.
3. The company may change the depository for the UCITS sub-fund. The change must be approved by BaFin.

§ 20 Changes to the Investment Conditions

1. The Company is entitled to change the Investment Conditions.
2. Amendments to the Investment Conditions require the prior approval of BaFin.
3. All planned amendments shall be published in the Bundesanzeiger and, in addition, in a financial or daily newspaper with sufficient circulation or in the electronic information media designated in the Sales Prospectus. The planned changes and their effective dates must be stated in any publication made in accordance with Sentence 1 above. In the event of amendments to costs detrimental to investors as defined in Section 162 Paragraph 2 (11) KAGB, amendments to the investment principles of the UCITS Fund as defined in Section 163 Paragraph 3 KAGB or amendments related to significant investor rights, investors must be informed simultaneously with the publication pursuant to Sentence 1 of the significant contents of the proposed amendments to the Investment Conditions and the background thereto, as well as information on their rights pursuant to Section 163 Paragraph 3 KAGB by means of a durable medium and in an understandable way in accordance with Section 163 Paragraph 4 KAGB.
4. The amendments enter into force at the earliest on the day after their publication in the Bundesanzeiger; amendments to costs and to the investment principles, however, do not enter into force until three months after the corresponding publication. With the consent of the BaFin, an earlier date may be determined, insofar as this concerns a change in costs that benefits the investors.

§ 21 Place of performance

The place of performance is the registered office of the Company.

§ 22 Name

The rights of shareholders who acquired shares originally named "iShares STOXX Europe 600 Banks (DE)" remain unaffected.

Investment Conditions

governing the legal relationship between the shareholders and

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, Munich, (hereinafter referred to as the "**Company**") externally managed by

BlackRock Asset Management Deutschland AG, Munich, (hereinafter referred to as the "**Management Company**")

for the UCITS-compliant securities sub-fund

iShares STOXX Europe 600 Basic Resources UCITS ETF (DE), (hereinafter referred to as the "**UCITS sub-fund**")

These investment conditions are valid only in combination with the Articles of Incorporation of the Company.

INVESTMENT POLICIES AND RESTRICTIONS

§ 1 Assets and investment objective

The Company may acquire the following assets for the UCITS sub-fund:

- a) securities pursuant to Section 4 of these Investment Conditions,
- b) money market instruments pursuant to Section 5 of these Investment Conditions,
- c) bank accounts pursuant to Section 6 of these Investment Conditions,
- d) derivatives pursuant to Section 7 of these Investment Conditions,
- e) other investment instruments pursuant to Section 8 of these Investment Conditions,
- f) Investment fund units pursuant to Section 9 of these Investment Conditions

The purpose of the equity and equity index certificate selection for the UCITS sub-fund is to replicate the STOXX Europe 600 Basic Resources (price index) (hereinafter referred to as the "Underlying Index") while maintaining an appropriate diversification of risk.

§ 2 Depository

1. The Company shall appoint a credit institution as Custodian Bank for the UCITS sub-fund; the Custodian Bank shall act independently of the Company and exclusively in the interests of the shareholders.
2. The tasks and duties of the Custodian Bank are governed by the custodian agreement concluded with the Company, in accordance

with the KAGB, the Articles of Incorporation and the Investment Conditions.

3. The Custodian Bank may outsource custodial tasks to another company (sub-custodian) pursuant to Section 73 KAGB. Please refer to the Sales Prospectus for details.
4. The Custodian Bank shall be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for the loss of a financial instrument pursuant to Section 72 Paragraph 1 Sentence 1 held in custody by the Custodian Bank or by a sub-custodian to whom the custody of financial instruments has been transferred according to Section 73 Paragraph 1 KAGB. The Custodian Bank is not liable if it can prove that the loss is due to external events whose consequences were unavoidable despite all reasonable countermeasures. Further claims arising out of the provisions of civil law on the basis of contracts or torts are not affected. The Custodian Bank shall also be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for all other losses that they incur if the Custodian Bank fails to meet its obligations under the provisions of the KAGB, whether negligently or intentionally. The Custodian Bank's liability remains unaffected by any transfer of custody tasks referred to in Paragraph 3, sentence 1.

§ 3 Investment principles

1. The Company may only acquire such assets on behalf of the UCITS sub-fund that are designed to replicate a certain security index ("Security Index") approved by the Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin) while still maintaining appropriate diversification of risk. The Security Index is approved specifically if
 - a) its composition is sufficiently diversified,
 - b) it represents an adequate benchmark for the market to which it relates; and
 - c) it has been published in an appropriate manner.
2. The UCITS sub-fund may only acquire securities included in the Security Index or introduced to it following a change thereto ("Index Securities"), securities that are issued on these Index Securities or on the Underlying Index, and derivatives on securities, money market instruments, investment fund units pursuant to Section 9, recognised financial indices, interest rates, foreign exchange rates or currencies in which the UCITS sub-fund may invest as provided for in the Investment Conditions. When replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in Index Securities over investments in any other assets mentioned in Sentence 1 above that are approved for use in replicating indices. The Underlying Index may be replicated using securities, derivatives that indirectly replicate the index only for purposes

of maintaining the investment restrictions listed in Section 10 Paragraph 7.

3. In order to replicate the Security Index, the duplication percentage may not be less than 95 percent of the total assets in the UCITS sub-fund as defined in the first sentence of Paragraph 2 above. Derivatives shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach provided for in the "ordinance on risk management and risk measurement in the use of derivatives, securities lending and repurchase agreements in investment funds" ("DerivateV") issued pursuant to Section 197 Paragraph 3 of the German Investment Code (KAGB).
4. The duplication percentage reflects the proportion of securities and derivatives according to Section 197 Paragraph 1 KAGB in the UCITS sub-fund that corresponds with the Security Index in terms of weighting. The duplication percentage is defined as being equal to 100 less one half of the sum of the differences between the weighting of the securities in the index and the applicable weighting of the securities included in the total assets of the UCITS sub-fund, totalled for all securities and applicable values of derivatives according to Section 197 Paragraph 1 KAGB in the UCITS sub-fund and for all securities in the index.

$$DG = 100\% - \frac{\sum_{i=1}^n |W_i^I - W_i^F|}{2}$$

DG	=	duplication percentage in %
n	=	number of share types in the Fund and index (upper summation limit)
I	=	index
F	=	Fund
W_i^I	=	weighting of equity i in index I in %
W_i^F	=	weighting of equity i to be included in the equity portion of the Fund in %
$\sum$	=	sum symbol
i	=	summation index; represents the individual share types of i = 1 (lower summations limit) bis i = n (upper summation limit)

§ 4 Securities

1. The Company may only acquire securities on behalf of the UCITS sub-fund if:
 - a) they are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) they are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in one of these states, provided the choice of such stock exchange or regulated market is permitted by BaFin,⁹
 - c) their terms of issue require application for admission to official trading on one of the stock exchanges permitted under a) and b) or for inclusion in one of the regulated markets permitted under a) and b), and admission or inclusion on these markets takes place within one year after their issue,
 - d) they are equities to which the UCITS sub-fund is entitled in an issuer's capital increase from company assets;
 - e) they are acquired in exercising subscription rights belonging to the UCITS sub-fund,
 - f) they are financial instruments that meet the criteria listed in Section 193 Paragraph 1 Sentence 1 No. 8 KAGB.
2. Securities may only be acquired in accordance with Paragraph 1 letters a) to c) if additionally the requirements of Section 193 Paragraph 1 Sentence 2 KAGB are met. Subscription rights arising from securities which may be acquired under this Section, Section 4, may also be acquired.

§ 5 Money market instruments

1. The Company may acquire on behalf of the UCITS sub-fund instruments normally dealt in on the money market and interest-bearing securities with a residual term of no more than 397 days at the time of their acquisition or whose interest rate, in accordance with the issue conditions, is regularly – and at least once each 397-day period – adjusted to reflect current market conditions or whose risk profile corresponds to the risk profile of this type of security (money market instruments). The money market instruments may also be denominated in foreign currency. Money market instruments may only be acquired if they

⁹ The list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB is published on the BaFin website. www.bafin.de

- a) are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market there, provided the choice of such stock exchange or regulated market is permitted by BaFin,¹⁰
 - c) are issued or guaranteed by the European Union, the German Federal Government, a special-purpose fund of the German Federal Government, a German federal state, another member state or another central, regional or local authority or by the central bank of a European Union member state, the European Central Bank or the European Investment Bank, a non-EU member state or, in case of a federal state, by one of the members making up the federation, or by a public international body to which one or more EU member states belong,
 - d) are issued by a company whose securities are traded on the markets referred to in a) and b),
 - e) if they are issued or guaranteed by a credit institution that is subject to supervision that meets the criteria defined by European Union law, or a credit institution that is subject to the prudential rules considered by BaFin as equivalent to those laid down in European Union law, and which complies with such rules, or
 - f) are issued by other bodies and comply with the requirements of Section 194 Paragraph 1 Sentence 1 No. 6 KAGB.
2. Money market instruments as defined in Paragraph 1 may only be acquired if they comply with the requirements of Section 194 Paragraphs 2 and 3 KAGB.

§ 6 Bank accounts

The Company may also hold, on behalf of the UCITS sub-fund, bank accounts containing deposits with a maturity not exceeding twelve months. The accounts, which must be in the form of blocked accounts, may be maintained at a credit institution that has its registered office in a member state of the European Union or another state that is a party to the Agreement on the European Economic Area. These accounts may also be maintained by a credit institution that has its registered office in a non-member state, provided that it is subject to the

prudential rules considered by BaFin as equivalent to those laid down in the law of the European Union. The bank accounts may also be denominated in foreign currency.

§ 7 Derivatives

1. Unless specified otherwise in Paragraph 8, in managing the UCITS sub-fund, the Company may acquire derivatives in accordance with Section 197 Paragraph 1 Sentence 1 KAGB and financial instruments with derivative components in accordance with Section 197 Paragraph 1 Sentence 2 KAGB. It may – depending on the type and extent of derivatives and financial instruments with derivative components used – use either the simple or qualified approach within the meaning of DerivateV provided for in Section 197 Paragraph 3 KAGB when calculating the market risk limits established under Section 197 Paragraph 2 KAGB on the use of derivatives and financial instruments with derivative components; details are discussed in the Sales Prospectus.
2. If the Company uses the simple approach, it may only make regular use of the following basic forms of derivatives, financial instruments with a derivative component or combinations of these derivatives, financial instruments with a derivative component or combinations of underlying securities permitted under Section 197 Paragraph 1 Sentence 1 KAGB in the UCITS sub-fund. Complex derivatives based on permitted underlying securities pursuant to Section 197 Paragraph 1 sentence 1 KAGB may only be used for a negligible proportion. The weighted market risk attributable to the UCITS sub-fund, to be calculated as provided for in Section 16 DerivateV, may at no time exceed the value of the UCITS sub-fund. The basic forms of derivatives are:
 - a) Forward contracts on the underlying values pursuant to Section 197 Paragraph 1 KAGB with the exception of investment units pursuant to Section 196 KAGB;
 - b) Options or warrants on the underlying securities pursuant to Section 197 Paragraph 1 KAGB with the exception of investment fund units pursuant to Section 196 KAGB and on futures contracts as defined in a), if they have the following characteristics:
 - aa) Exercising is possible either during the entire term or at the end of the term and
 - bb) At the time of being exercised, the option value is linearly based on the positive or negative difference between the underlying price and the market price of the underlying

¹⁰ The list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB is published on the BaFin website. www.bafin.de

security and becomes nil if the difference has the other leading sign;

- c) Interest rate swaps, currency swaps or interest rate/currency swaps;
 - d) Options on swaps according to letter c), to the extent that they display the characteristics described in letter b) under letters aa) and bb) (swaptions);
 - e) Credit default swaps related to single underlying instruments (Single Name Credit Default Swaps).
3. If the Company uses the qualified approach, it may invest, subject to a suitable risk management system, in any financial instruments with a derivative component or derivatives that are derived from an underlying security that is permitted under Section 197 Paragraph 1 Sentence 1 KAGB.

The potential risk amount for the market risk ("risk exposure") attributable to the UCITS sub-fund may at no time exceed two times the potential risk amount for the market risk of the associated benchmark assets pursuant to Section 9 DerivateV. Alternatively, the risk exposure may at no time exceed 20 percent of the value of the UCITS sub-fund.

- 4. In these transactions, the Company may under no circumstances deviate from the investment principles and limits listed in the Articles of Incorporation, these Investment Conditions or in the Sales Prospectus.
- 5. The Company will use the derivatives and financial instruments with a derivative component for the purpose of efficient portfolio management and to produce additional returns, when and to the extent that it considers this to be in the interests of the investors.

No transactions with derivatives may be undertaken for purposes of hedging.
- 6. In calculating the market risk limit for the use of derivatives and financial instruments with a derivative component, the company may at any time switch between the simple and the qualified approach pursuant to § 6 Sentence 3 DerivateV. The change does not require the approval of BaFin. However, the company must report the change to BaFin without delay and announce it in the next semi-annual or annual report.
- 7. The Company will observe the guidelines of DerivateV when derivatives and financial instruments with derivative components are used.
- 8. In derogation of Paragraph 1, the Company may – subject to a suitable risk management system – only use futures contracts that are based on the Underlying Index and futures contracts that are based on individual stocks of the Underlying Index as well as warrants that are based on the Underlying Index and warrants that are based on individual stocks of the Underlying Index for the UCITS sub-fund.

§ 8 Other investment instruments

The Company may on behalf of the UCITS sub-fund acquire other investment instruments up to 10 percent of the value of the UCITS sub-fund pursuant to Section 198 KAGB.

§ 9 Investment fund units

- 1. The Company may, on behalf of the UCITS sub-fund, acquire units in investment funds pursuant to Directive 2009/65/EC (UCITS). Units in other domestic investment funds and joint-stock investment companies with variable capital and units in EU alternative investment funds and foreign open-ended alternative investment funds may be acquired if they meet the requirements of § 196 Para. 1 sentence 2 KAGB.
- 2. For account of the UCITS sub-fund, the company may only acquire units of domestic investment funds and joint-stock investment companies with variable capital, open-ended EU AIF and foreign open-ended AIF if, in accordance with the investment conditions or the Articles of Incorporation of the investment management company, the joint-stock investment company with variable capital, the EU investment fund, the EU management company, the foreign AIF or the foreign AIF management company, a total not exceeding 10 percent of the value of their assets may be invested in units of other domestic investment funds, joint-stock investment companies with variable capital, open-ended EU investment funds or foreign open-ended AIFs.

§ 10 Issuer and investment limits

- 1. The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and these Investment Conditions.
- 2. The Company may invest up to 20 percent of the assets of the UCITS sub-fund in securities from a single issuer (debtor).
- 3. The limit specified in Paragraph 2 may be increased to up to 35 percent of the value of the UCITS sub-fund for securities from a single issuer. An investment up to the limit specified in Sentence 1 above is permissible only for one individual issuer (debtor).
- 4. For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.
- 5. The Company may invest no more than 5 percent of the value of the UCITS sub-fund in bank accounts and money market instruments as defined in Sections 5 and 6.
- 6. The Company may invest no more than 10 percent of the value of the UCITS sub-fund in units of investment funds pursuant to Section 3 Paragraph 2 and Section 9. When

doing so, the Company may acquire on behalf of the UCITS sub-fund no more than 25 percent of issued units of another open-ended domestic, EU or foreign investment fund that invests in assets in accordance with the principle of risk diversification as defined in Sections 192 to 198 KAGB.

7. A minimum of 95 percent of the UCITS sub-fund must be invested in assets based on the Security Index pursuant to Section 3 Paragraph 2 Sentence 1. At least 85 percent of the value of the UCITS sub-fund shall be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds.

§ 11 Loans

Short-term borrowing by the Company on the account of the UCITS sub-fund of amounts of up to 10 percent of the value of the UCITS sub-fund is permissible if the terms of the borrowing are at market rates and the Custodian Bank approves the borrowing.

SHARE CLASSES

§ 12 Share classes

1. Share classes as defined in Section 20 of the Articles of Incorporation may be formed for the UCITS sub-fund; these differ with respect to appropriation of income, issue premiums, redemption fees, management fees, minimum investment amount, net asset value per share reference currency, net asset value per share, the conclusion of currency hedging transactions or a combination of these characteristics. The creation of share classes is permitted at any time and is at the discretion of the Company.
2. The net asset value per share is calculated separately for each share class by allocating the costs of launching new share classes, the distributions (including any taxes that may be payable from the fund's assets), the management fee including income adjustment if applicable, exclusively to this share class.
3. The existing share classes are listed individually in the Sales Prospectus and in the annual and semi-annual reports. The structural characteristics defining the share classes (appropriation of income, issue premiums, redemption fees, management fees, currency, minimum investment amount, or a combination of these characteristics) are described in detail in the Sales Prospectus and in the annual and semi-annual reports.

ISSUE AND REDEMPTION OF SHARES/EXPENSES

§ 13 Issue and redemption of shares, fees

1. The Company indicates the issue premiums and redemption fees charged for each share class in the Sales Prospectus, the Key Information Document and in the annual and semi-annual reports.
2. For the calculation of share issue and redemption prices, the market values of the assets (net asset value) belonging to the UCITS sub-fund less borrowings undertaken and other liabilities (net asset value) is determined and divided by the number of shares in circulation (share value). If special share classes for the UCITS sub-fund are introduced in accordance with Section 12, then the net asset value per share and the issue and redemption prices for each share class shall be determined separately. The assets are valued in accordance with Sections 168 and 169 KAGB and the German Capital Investment Accounting and Valuation Ordinance ("KARBV").
3. The issue price corresponds to the net asset value per share at the issue date, plus any issue premium pursuant to Paragraph 4. The redemption price corresponds to the net asset value per share at the redemption date, plus any redemption fees pursuant to Paragraph 5.
4. Depending on the share class, the issue premium per share is up to 2 percent of the net asset value per share. The Company is free to charge a lower issue premium for one or more share classes, or all of them.
5. Depending on the share class, the redemption fee per share is up to 1 percent of the net asset value per share. The Company is free to charge a lower redemption fee for one or more share classes, or all of them. The Management Company shall receive the redemption fee.
6. The settlement date for issue and redemption orders is no later than the next valuation date following the receipt of the issue or redemption order. If the Company suspends the redemption of shares in accordance with Section 11 paragraph 6 of the Articles of Incorporation, the settlement date for such redemption orders is the valuation day following the resumption.
7. Issue and redemption prices will be determined on each exchange trading day. On public holidays under the KAGB that are stock exchange days and 24 and 31 December every year, the Company and the Custodian Bank may interrupt their daily price calculation; details are discussed in the Sales Prospectus.
8. The Company applies the Dual Pricing method when determining the issue and redemption prices. This means that, deviating from paragraph 2 sentence 1, a modified net asset value per share must be calculated in addition to the net asset value. For this purpose, for each issue and redemption of shares, the net asset value per share is adjusted by a factor

that reflects liquidity costs. The Company explains the procedure used to calculate the modified net asset value per share in the Sales Prospectus.

9. The Company may charge a redemption fee (Rückgabegebühr). The redemption fee is calculated on the basis of gross redemptions and amounts to up to 2 per cent of gross redemptions. The Sales Prospectus contains a description of the option and the conditions for a redemption fee.

§ 14 Expenses and services included

1. For managing the UCITS sub-fund, the Management Company receives from the assets of the UCITS sub-fund a fee of up to 0.45 percent per annum depending on the share class, based on the net asset value of the UCITS sub-fund determined each exchange trading day. The Management Company is free to charge a lower management fee for one or more share classes, or all of them. The management fee will be paid in advance in monthly instalments out of the UCITS sub-fund. The Company indicates the management fee charged for each share class in the Sales Prospectus and in the annual and semi-annual reports.
2. The management fee specified in Paragraph 1 shall cover services rendered by the Management Company for the UCITS sub-fund, including the expenses of the Custodian Bank, legally required printing, mailings, and publications associated with the UCITS sub-fund, and for annual report audits conducted by auditors of the Company.
3. The following expenses are not covered by Paragraph 1:
 - a) Expenses resulting from the purchase and sale of assets (transaction costs),
 - b) Customary bank custody fees, including the customary bank charges for the custody of foreign securities abroad and related taxes, if applicable,
 - c) Customary expenses related to day-to-day account management,
 - d) Expenses incurred in the assertion and enforcement of the legal claims of the UCITS sub-fund,
 - e) Expenses for providing information to investors of the UCITS sub-fund by means of a durable medium, with the exception of expenses for providing information in the case of fund mergers and with the exception of information on measures connected with violations of investment limits or errors in calculating the net asset value per share.

Such expenses may be charged to the UCITS sub-fund in addition to the management fee charged in accordance with Paragraph 1.

4. The Company has to publish in the annual report and in the semi-annual report the

amount of the issue premiums and redemption fees that have been charged to the UCITS sub-fund during the reporting period for the purchase and redemption of shares as defined in Section 9. When units are purchased that are managed, directly or indirectly, by the Management Company itself or by any other company with which the Management Company is affiliated through a significant direct or indirect equity interest, the Management Company or the other company may not levy issue premiums or redemption fees for the purchase or redemption. The Company publishes in the annual report and in the semi-annual report the fees charged as management fees for the units held in the UCITS sub-fund when such fees are charged by the Management Company, by another investment management company, a joint-stock investment company or another company with which the Management Company is affiliated through a significant direct or indirect equity interest, or by a foreign investment company, including its management company.

APPROPRIATION OF INCOME, TERM AND FINANCIAL YEAR

§ 15 Distribution

1. For distributing share classes, the Company distributes, net of costs, the interest, dividends and other income from investment fund shares received for account of the UCITS sub-fund, taking into account the appropriate income netting. Capital gains and other income - taking into account the appropriate income equalisation - can also be used for distributions.
2. The final distribution takes place within four months of the financial year-end. In addition, the Company may carry out interim distributions during the year.
3. The interim distribution amount is at the discretion of the Company. The Company is not obliged to distribute all distributable income pursuant to Paragraph 1 accumulated up to the date of the interim distribution; it may carry ordinary income forward to the next distribution date.
4. Interim distributions are intended to minimise any discrepancy between the performance of the UCITS sub-fund and that of the Underlying Index.
5. Distributable income pursuant to Paragraph 1 may be carried forward for distribution in subsequent financial years if the amount of the income carried forward does not exceed 15 percent of the respective value of the UCITS sub-fund at the end of the financial year. Income from short financial years may be carried forward in its entirety.
6. In the interests of maintaining equity, some income, or in exceptional cases, all income,

may be set aside for accumulation in the UCITS sub-fund.

7. If no share classes are created, the income will be distributed.

§ 16 Reinvestment

For reinvesting share classes, the Company invests the interest, dividends and other income of the UCITS sub-fund, taking into account the appropriate income netting, as well as the realised capital gains that have accrued for account of the sub-fund during the financial year in the UCITS sub-fund, net of costs.

§ 17 Financial year and accounting

1. The financial year of the UCITS sub-fund begins on 1 March of each calendar year and ends on the last day of February.
2. The company publishes an annual financial statement with a management report no later than four months after the end of the financial year in accordance with § 120 Para. 1, 2 and 6 Sentence 3 in conjunction with § 123 Para. 1 No. 1 KAGB.
3. The Company publishes a semi-annual report no later than two months after the end of the first half of the financial year in accordance with Section 122 Paragraph 1 Sentence 4 in conjunction with Section 103 and Section 107 Paragraph 1 Sentence 2 KAGB.

§ 18 Liquidation of the sub-fund

1. The Company may liquidate the UCITS sub-fund pursuant to Section 19 of the Articles of Incorporation. This liquidation resolution shall take effect six months after its publication in the Bundesanzeiger. The shareholders must be informed by the Company immediately by means of a durable medium as defined in Section 167 KAGB of the announcement of a termination in accordance with Sentence 2.
2. The Company must prepare a liquidation report for the period ending on the date on which its right to manage lapses pursuant to Section 117 Paragraph 8 Sentence 4, 100 Paragraph 1 KAGB; this liquidation report must fulfil the requirements of an annual report in accordance with Section 120 Paragraph 1.
3. Net liquidation proceeds not collected by shareholders upon completion of the liquidation proceedings may be deposited with an appropriate depository for the benefit of the entitled shareholders.

§ 19 Change of the external investment management company and the depository

1. The company may transfer the management and disposal rights over the company to another external investment management

company. The transfer is subject to the prior approval of BaFin.

2. The approved transfer shall be published in the Bundesanzeiger and in the annual financial statements or the semi-annual report. Investors must be informed immediately by means of a durable medium of the announcement of a transfer in accordance with sentence 1. The transfer shall take effect no earlier than three months after its publication in the Bundesanzeiger.
3. The company may change the depository for the UCITS sub-fund. The change must be approved by BaFin.

§ 20 Changes to the Investment Conditions

1. The Company is entitled to change the Investment Conditions.
2. Amendments to the Investment Conditions require the prior approval of BaFin.
3. All planned amendments shall be published in the Bundesanzeiger and, in addition, in a financial or daily newspaper with sufficient circulation or in the electronic information media designated in the Sales Prospectus. The planned changes and their effective dates must be stated in any publication made in accordance with Sentence 1 above. In the event of amendments to costs detrimental to investors as defined in Section 162 Paragraph 2 (11) KAGB, amendments to the investment principles of the UCITS Fund as defined in Section 163 Paragraph 3 KAGB or amendments related to significant investor rights, investors must be informed simultaneously with the publication pursuant to Sentence 1 of the significant contents of the proposed amendments to the Investment Conditions and the background thereto, as well as information on their rights pursuant to Section 163 Paragraph 3 KAGB by means of a durable medium and in an understandable way in accordance with Section 163 Paragraph 4 KAGB.
4. The amendments enter into force at the earliest on the day after their publication in the Bundesanzeiger; amendments to costs and to the investment principles, however, do not enter into force until three months after the corresponding publication. With the consent of the BaFin, an earlier date may be determined, insofar as this concerns a change in costs that benefits the investors.

§ 21 Place of performance

The place of performance is the registered office of the Company.

§ 22 Name

The rights of shareholders who acquired shares originally named "iShares STOXX Europe 600 Basic Resources (DE)" remain unaffected.

Investment Conditions

governing the legal relationship between the shareholders and

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, Munich, (hereinafter referred to as the "**Company**")

externally managed by

BlackRock Asset Management Deutschland AG, Munich, (hereinafter referred to as the "**Management Company**")

for the UCITS-compliant securities sub-fund

iShares STOXX Europe 600 Chemicals UCITS ETF (DE), (hereinafter referred to as the "**UCITS sub-fund**")

These investment conditions are valid only in combination with the Articles of Incorporation of the Company.

INVESTMENT POLICIES AND RESTRICTIONS

§ 1 Assets and investment objective

The Company may acquire the following assets for the UCITS sub-fund:

- a) securities pursuant to Section 4 of these Investment Conditions,
- b) money market instruments pursuant to Section 5 of these Investment Conditions,
- c) bank accounts pursuant to Section 6 of these Investment Conditions,
- d) derivatives pursuant to Section 7 of these Investment Conditions,
- e) other investment instruments pursuant to Section 8 of these Investment Conditions,
- f) Investment fund units pursuant to Section 9 of these Investment Conditions

The purpose of the equity and equity index certificate selection for the UCITS sub-fund is to replicate the STOXX Europe 600 Chemicals (price index) (hereinafter referred to as the "Underlying Index") while maintaining an appropriate diversification of risk.

§ 2 Depository

1. The Company shall appoint a credit institution as Custodian Bank for the UCITS sub-fund; the Custodian Bank shall act independently of the Company and exclusively in the interests of the shareholders.
2. The tasks and duties of the Custodian Bank are governed by the custodian agreement

concluded with the Company, in accordance with the KAGB, the Articles of Incorporation and the Investment Conditions.

3. The Custodian Bank may outsource custodial tasks to another company (sub-custodian) pursuant to Section 73 KAGB. Please refer to the Sales Prospectus for details.
4. The Custodian Bank shall be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for the loss of a financial instrument pursuant to Section 72 Paragraph 1 Sentence 1 held in custody by the Custodian Bank or by a sub-custodian to whom the custody of financial instruments has been transferred according to Section 73 Paragraph 1 KAGB. The Custodian Bank is not liable if it can prove that the loss is due to external events whose consequences were unavoidable despite all reasonable countermeasures. Further claims arising out of the provisions of civil law on the basis of contracts or torts are not affected. The Custodian Bank shall also be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for all other losses that they incur if the Custodian Bank fails to meet its obligations under the provisions of the KAGB, whether negligently or intentionally. The Custodian Bank's liability remains unaffected by any transfer of custody tasks referred to in Paragraph 3, sentence 1.

§ 3 Investment principles

1. The Company may only acquire such assets on behalf of the UCITS sub-fund that are designed to replicate a certain security index ("Security Index") approved by the Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin) while still maintaining appropriate diversification of risk. The Security Index is approved specifically if
 - a) its composition is sufficiently diversified,
 - b) it represents an adequate benchmark for the market to which it relates; and
 - c) it has been published in an appropriate manner.
2. The UCITS sub-fund may only acquire securities included in the Security Index or introduced to it following a change thereto ("Index Securities"), securities that are issued on these Index Securities or on the Underlying Index, and derivatives on securities, money market instruments, investment fund units pursuant to Section 9, recognised financial indices, interest rates, foreign exchange rates or currencies in which the UCITS sub-fund may invest as provided for in the Investment Conditions. When replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in Index Securities over investments in any other assets mentioned in Sentence 1 above that are approved for use in replicating indices. The Underlying Index may be replicated using securities, derivatives that

indirectly replicate the index only for purposes of maintaining the investment restrictions listed in Section 10 Paragraph 7.

3. In order to replicate the Security Index, the duplication percentage may not be less than 95 percent of the total assets in the UCITS sub-fund as defined in the first sentence of Paragraph 2 above. Derivatives shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach provided for in the "ordinance on risk management and risk measurement in the use of derivatives, securities lending and repurchase agreements in investment funds" ("DerivateV") issued pursuant to Section 197 Paragraph 3 of the German Investment Code (KAGB).
4. The duplication percentage reflects the proportion of securities and derivatives according to Section 197 Paragraph 1 KAGB in the UCITS Fund that corresponds with the Security Index in terms of weighting. The duplication percentage is defined as being equal to 100 less one half of the sum of the differences between the weighting of the securities in the index and the applicable weighting of the securities included in the total assets of the UCITS sub-fund, totalled for all securities and applicable values of derivatives according to Section 197 Paragraph 1 KAGB in the UCITS sub-fund and for all securities in the index.

$$DG = 100\% - \frac{\sum_{i=1}^n |W_i^I - W_i^F|}{2}$$

DG	=	duplication percentage in %
n	=	number of share types in the Fund and index (upper summation limit)
I	=	index
F	=	Fund
W_i^I	=	weighting of equity i in index I in %
W_i^F	=	weighting of equity i to be included in the equity portion of the Fund in %
$\sum$	=	sum symbol
i	=	summation index; represents the individual share types of i = 1 (lower summations limit) bis i = n (upper summation limit)

§ 4 Securities

1. The Company may only acquire securities on behalf of the UCITS sub-fund if:
 - a) they are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) they are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in one of these states, provided the choice of such stock exchange or regulated market is permitted by BaFin,¹¹
 - c) their terms of issue require application for admission to official trading on one of the stock exchanges permitted under a) and b) or for inclusion in one of the regulated markets permitted under a) and b), and admission or inclusion on these markets takes place within one year after their issue,
 - d) they are equities to which the UCITS sub-fund is entitled in an issuer's capital increase from company assets;
 - e) they are acquired in exercising subscription rights belonging to the UCITS sub-fund,
 - f) they are financial instruments that meet the criteria listed in Section 193 Paragraph 1 Sentence 1 No. 8 KAGB.
2. Securities may only be acquired in accordance with Paragraph 1 letters a) to c) if additionally the requirements of Section 193 Paragraph 1 Sentence 2 KAGB are met. Subscription rights arising from securities which may be acquired under this Section, Section 4, may also be acquired.

§ 5 Money market instruments

1. The Company may acquire on behalf of the UCITS sub-fund instruments normally dealt in on the money market and interest-bearing securities with a residual term of no more than 397 days at the time of their acquisition or whose interest rate, in accordance with the issue conditions, is regularly – and at least once each 397-day period – adjusted to reflect current market conditions or whose risk profile corresponds to the risk profile of this type of security (money market instruments). The money market instruments may also be denominated in foreign currency. Money

¹¹ The list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB is published on the BaFin website. www.bafin.de

market instruments may only be acquired if they

- a) are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market there, provided the choice of such stock exchange or regulated market is permitted by BaFin,¹²
 - c) are issued or guaranteed by the European Union, the German Federal Government, a special-purpose fund of the German Federal Government, a German federal state, another member state or another central, regional or local authority or by the central bank of a European Union member state, the European Central Bank or the European Investment Bank, a non-EU member state or, in case of a federal state, by one of the members making up the federation, or by a public international body to which one or more EU member states belong,
 - d) are issued by a company whose securities are traded on the markets referred to in a) and b),
 - e) if they are issued or guaranteed by a credit institution that is subject to supervision that meets the criteria defined by European Union law, or a credit institution that is subject to the prudential rules considered by BaFin as equivalent to those laid down in European Union law, and which complies with such rules, or
 - f) are issued by other bodies and comply with the requirements of Section 194 Paragraph 1 Sentence 1 No. 6 KAGB.
2. Money market instruments as defined in Paragraph 1 may only be acquired if they comply with the requirements of Section 194 Paragraphs 2 and 3 KAGB.

§ 6 Bank accounts

The Company may also hold, on behalf of the UCITS sub-fund, bank accounts containing deposits with a maturity not exceeding twelve months. The accounts, which must be in the form of blocked accounts, may be maintained at a credit institution that has its registered office in a member state of the European Union or another state that is a party to the Agreement on the European Economic Area.

These accounts may also be maintained by a credit institution that has its registered office in a non-member state, provided that it is subject to the prudential rules considered by BaFin as equivalent to those laid down in the law of the European Union. The bank accounts may also be denominated in foreign currency.

§ 7 Derivatives

1. Unless specified otherwise in Paragraph 8, in managing the UCITS sub-fund, the Company may acquire derivatives in accordance with Section 197 Paragraph 1 Sentence 1 KAGB and financial instruments with derivative components in accordance with Section 197 Paragraph 1 Sentence 2 KAGB. It may – depending on the type and extent of derivatives and financial instruments with derivative components used – use either the simple or qualified approach within the meaning of DerivateV provided for in Section 197 Paragraph 3 KAGB when calculating the market risk limits established under Section 197 Paragraph 2 KAGB on the use of derivatives and financial instruments with derivative components; details are discussed in the Sales Prospectus.
2. If the Company uses the simple approach, it may only make regular use of the following basic forms of derivatives, financial instruments with a derivative component or combinations of these derivatives, financial instruments with a derivative component or combinations of underlying securities permitted under Section 197 Paragraph 1 Sentence 1 KAGB in the UCITS sub-fund. Complex derivatives based on permitted underlying securities pursuant to Section 197 Paragraph 1 sentence 1 KAGB may only be used for a negligible proportion. The weighted market risk attributable to the UCITS sub-fund, to be calculated as provided for in Section 16 DerivateV, may at no time exceed the value of the UCITS sub-fund.
The basic forms of derivatives are:
 - a) Forward contracts on the underlying values pursuant to Section 197 Paragraph 1 KAGB with the exception of investment units pursuant to Section 196 KAGB;
 - b) Options or warrants on the underlying securities pursuant to Section 197 Paragraph 1 KAGB with the exception of investment fund units pursuant to Section 196 KAGB and on futures contracts as defined in a), if they have the following characteristics:
 - aa) exercising is possible either during the entire term or at the end of the term and
 - bb) at the time of being exercised, the option value is linearly based on the positive or negative difference between the underlying price and the

¹² The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

market price of the underlying security and becomes nil if the difference has the other leading sign;

- c) Interest rate swaps, currency swaps or interest rate/currency swaps;
- d) Options on swaps according to letter c), to the extent that they display the characteristics described in letter b) under letters aa) and bb) (swaptions);
- e) Credit default swaps related to single underlying instruments (Single Name Credit Default Swaps).

3. If the Company uses the qualified approach, it may invest, subject to a suitable risk management system, in any financial instruments with a derivative component or derivatives that are derived from an underlying security that is permitted under Section 197 Paragraph 1 Sentence 1 KAGB.

The potential risk amount for the market risk ("risk exposure") attributable to the UCITS sub-fund may at no time exceed two times the potential risk amount for the market risk of the associated benchmark assets pursuant to Section 9 DerivateV. Alternatively, the risk exposure may at no time exceed 20 percent of the value of the UCITS sub-fund.

4. In these transactions, the Company may under no circumstances deviate from the investment principles and limits listed in the Articles of Incorporation, these Investment Conditions or in the Sales Prospectus.
5. The Company will use the derivatives and financial instruments with a derivative component for the purpose of efficient portfolio management and to produce additional returns, when and to the extent that it considers this to be in the interests of the investors.

No transactions with derivatives may be undertaken for purposes of hedging.

6. In calculating the market risk limit for the use of derivatives and financial instruments with a derivative component, the company may at any time switch between the simple and the qualified approach pursuant to § 6 Sentence 3 DerivateV. The change does not require the approval of BaFin. However, the company must report the change to BaFin without delay and announce it in the next semi-annual or annual report.
7. The Company will observe the guidelines of DerivateV when derivatives and financial instruments with derivative components are used.
8. In derogation of Paragraph 1, the Company may – subject to a suitable risk management system – only use futures contracts that are based on the Underlying Index and futures contracts that are based on individual stocks of the Underlying Index as well as warrants that are based on the Underlying Index and warrants that are based on individual stocks of the Underlying Index for the UCITS sub-fund.

§ 8 Other investment instruments

The Company may on behalf of the UCITS sub-fund acquire other investment instruments up to 10 percent of the value of the UCITS sub-fund pursuant to Section 198 KAGB.

§ 9 Investment fund units

1. The Company may, on behalf of the UCITS sub-fund, acquire units in investment funds pursuant to Directive 2009/65/EC (UCITS). Units in other domestic investment funds and joint-stock investment companies with variable capital and units in EU alternative investment funds and foreign open-ended alternative investment funds may be acquired if they meet the requirements of § 196 Para. 1 sentence 2 KAGB.
2. For account of the UCITS sub-fund, the company may only acquire units of domestic investment funds and joint-stock investment companies with variable capital, open-ended EU AIF and foreign open-ended AIF if, in accordance with the investment conditions or the Articles of Incorporation of the investment management company, the joint-stock investment company with variable capital, the EU investment fund, the EU management company, the foreign AIF or the foreign AIF management company, a total not exceeding 10 percent of the value of their assets may be invested in units of other domestic investment funds, joint-stock investment companies with variable capital, open-ended EU investment funds or foreign open-ended AIFs.

§ 10 Issuer and investment limits

1. The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and these Investment Conditions.
2. The Company may invest up to 20 percent of the assets of the UCITS sub-fund in securities from a single issuer (debtor).
3. The limit specified in Paragraph 2 may be increased to up to 35 percent of the value of the UCITS sub-fund for securities from a single issuer. An investment up to the limit specified in Sentence 1 above is permissible only for one individual issuer (debtor).
4. For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.
5. The Company may invest no more than 5 percent of the value of the UCITS sub-fund in bank accounts and money market instruments as defined in Sections 5 and 6.

6. The Company may invest no more than 10 percent of the value of the UCITS sub-fund in units of investment funds pursuant to Section 3 Paragraph 2 and Section 9. When doing so, the Company may acquire on behalf of the UCITS sub-fund no more than 25 percent of issued units of another open-ended domestic, EU or foreign investment fund that invests in assets in accordance with the principle of risk diversification as defined in Sections 192 to 198 KAGB.
7. A minimum of 95 percent of the UCITS sub-fund must be invested in assets based on the Security Index pursuant to Section 3 Paragraph 2 Sentence 1. At least 85 percent of the value of the UCITS sub-fund shall be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds.

§ 11 Loans

Short-term borrowing by the Company on the account of the UCITS sub-fund of amounts of up to 10 percent of the value of the UCITS sub-fund is permissible if the terms of the borrowing are at market rates and the Custodian Bank approves the borrowing.

SHARE CLASSES

§ 12 Share classes

1. Share classes as defined in Section 20 of the Articles of Incorporation may be formed for the UCITS sub-fund; these differ with respect to appropriation of income, issue premiums, redemption fees, management fees, minimum investment amount, currency, net asset value per share, or a combination of these characteristics. The creation of share classes is permitted at any time and is at the discretion of the Company.
2. The net asset value per share is calculated separately for each share class by allocating the costs of launching new share classes, the distributions (including any taxes that may be payable from the fund's assets), the management fee including income adjustment if applicable, exclusively to this share class.
3. The existing share classes are listed individually in the Sales Prospectus and in the annual and semi-annual reports. The structural characteristics defining the share classes (appropriation of income, issue premiums, redemption fees, management fees, currency, minimum investment amount, or a combination of these characteristics) are described in detail in the Sales Prospectus and in the annual and semi-annual reports.

ISSUE AND REDEMPTION OF SHARES/EXPENSES

§ 13 Issue and redemption of shares, fees

1. The Company indicates the issue premiums and redemption fees charged for each share class in the Sales Prospectus, the Key Information Document and in the annual and semi-annual reports.
2. For the calculation of share issue and redemption prices, the market values of the assets (net asset value) belonging to the UCITS sub-fund less borrowings undertaken and other liabilities (net asset value) is determined and divided by the number of shares in circulation (share value). If special share classes for the UCITS sub-fund are introduced in accordance with Section 12, then the net asset value per share and the issue and redemption prices for each share class shall be determined separately. The assets are valued in accordance with Sections 168 and 169 KAGB and the German Capital Investment Accounting and Valuation Ordinance ("KARBV").
3. The issue price corresponds to the net asset value per share at the issue date, plus any issue premium pursuant to Paragraph 4. The redemption price corresponds to the net asset value per share at the redemption date, plus any redemption fees pursuant to Paragraph 5.
4. Depending on the share class, the issue premium per share is up to 2 percent of the net asset value per share. The Company is free to charge a lower issue premium for one or more share classes, or all of them.
5. Depending on the share class, the redemption fee per share is up to 1 percent of the net asset value per share. The Company is free to charge a lower redemption fee for one or more share classes, or all of them. The Management Company shall receive the redemption fee.
6. The settlement date for issue and redemption orders is no later than the next valuation date following the receipt of the issue or redemption order. If the Company suspends the redemption of shares in accordance with Section 11 paragraph 6 of the Articles of Incorporation, the settlement date for such redemption orders is the valuation day following the resumption.
7. Issue and redemption prices will be determined on each exchange trading day. On public holidays under the KAGB that are stock exchange days and 24 and 31 December every year, the Company and the Custodian Bank may interrupt their daily price calculation; details are discussed in the Sales Prospectus.
8. The Company applies the Dual Pricing method when determining the issue and redemption prices. This means that, deviating from paragraph 2 sentence 1, a modified net asset value per share must be calculated in addition to the net asset value. For this purpose, for each issue and redemption of shares, the net asset value per share is adjusted by a factor

that reflects liquidity costs. The Company explains the procedure used to calculate the modified net asset value per share in the Sales Prospectus.

9. The Company may charge a redemption fee (Rückgabegebühr). The redemption fee is calculated on the basis of gross redemptions and amounts to up to 2 per cent of gross redemptions. The Sales Prospectus contains a description of the option and the conditions for a redemption fee.

§ 14 Expenses and services included

1. For managing the UCITS sub-fund, the Management Company receives from the assets of the UCITS sub-fund a fee of up to 0.45 percent per annum depending on the share class, based on the net asset value of the UCITS sub-fund determined each exchange trading day. The Management Company is free to charge a lower management fee for one or more share classes, or all of them. The management fee will be paid in advance in monthly instalments out of the UCITS sub-fund. The Company indicates the management fee charged for each share class in the Sales Prospectus and in the annual and semi-annual reports.
2. The management fee specified in Paragraph 1 shall cover services rendered by the Management Company for the UCITS sub-fund, including the expenses of the Custodian Bank, legally required printing, mailings, and publications associated with the UCITS sub-fund, and for annual report audits conducted by auditors of the Company.
3. The following expenses are not covered by Paragraph 1:
 - a) Expenses resulting from the purchase and sale of assets (transaction costs),
 - b) Customary bank custody fees, including the customary bank charges for the custody of foreign securities abroad and related taxes, if applicable,
 - c) Customary expenses related to day-to-day account management,
 - d) Expenses incurred in the assertion and enforcement of the legal claims of the UCITS sub-fund,
 - e) Expenses for providing information to investors of the UCITS sub-fund by means of a durable medium, with the exception of expenses for providing information in the case of fund mergers and with the exception of information on measures connected with violations of investment limits or errors in calculating the net asset value per share.

Such expenses may be charged to the UCITS sub-fund in addition to the management fee charged in accordance with Paragraph 1.

4. The Company has to publish in the annual report and in the semi-annual report the

amount of the issue premiums and redemption fees that have been charged to the UCITS sub-fund during the reporting period for the purchase and redemption of shares as defined in Section 9. When units are purchased that are managed, directly or indirectly, by the Management Company itself or by any other company with which the Management Company is affiliated through a significant direct or indirect equity interest, the Management Company or the other company may not levy issue premiums or redemption fees for the purchase or redemption. The Company publishes in the annual report and in the semi-annual report the fees charged as management fees for the units held in the UCITS sub-fund when such fees are charged by the Management Company, by another investment management company, a joint-stock investment company or another company with which the Management Company is affiliated through a significant direct or indirect equity interest, or by a foreign investment company, including its management company.

APPROPRIATION OF INCOME, TERM AND FINANCIAL YEAR

§ 15 Distribution

1. For distributing share classes, the Company distributes, net of costs, the interest, dividends and other income from investment fund shares received for account of the UCITS sub-fund, taking into account the appropriate income netting. Capital gains and other income - taking into account the appropriate income equalisation - can also be used for distributions.
2. The final distribution takes place within four months of the financial year-end. In addition, the Company may carry out interim distributions during the year.
3. The interim distribution amount is at the discretion of the Company. The Company is not obliged to distribute all distributable income pursuant to Paragraph 1 accumulated up to the date of the interim distribution; it may carry ordinary income forward to the next distribution date.
4. Interim distributions are intended to minimise any discrepancy between the performance of the UCITS sub-fund and that of the Underlying Index.
5. Distributable income pursuant to Paragraph 1 may be carried forward for distribution in subsequent financial years if the amount of the income carried forward does not exceed 15 percent of the respective value of the UCITS sub-fund at the end of the financial year. Income from short financial years may be carried forward in its entirety.
6. In the interests of maintaining equity, some income, or in exceptional cases, all income,

may be set aside for accumulation in the UCITS sub-fund.

7. If no share classes are created, the income will be distributed.

§ 16 Reinvestment

For reinvesting share classes, the Company invests the interest, dividends and other income of the UCITS sub-fund, taking into account the appropriate income netting, as well as the realised capital gains that have accrued for account of the sub-fund during the financial year in the UCITS sub-fund, net of costs.

§ 17 Financial year and accounting

1. The financial year of the UCITS sub-fund begins on 1 March of each calendar year and ends on the last day of February.
2. The company publishes an annual financial statement with a management report no later than four months after the end of the financial year in accordance with § 120 Para. 1, 2 and 6 Sentence 3 in conjunction with § 123 Para. 1 No. 1 KAGB.
3. The Company publishes a semi-annual report no later than two months after the end of the first half of the financial year in accordance with Section 122 Paragraph 1 Sentence 4 in conjunction with Section 103 and Section 107 Paragraph 1 Sentence 2 KAGB.

§ 18 Liquidation of the sub-fund

1. The Company may liquidate the UCITS sub-fund pursuant to Section 19 of the Articles of Incorporation. This liquidation resolution shall take effect six months after its publication in the Bundesanzeiger. The shareholders must be informed by the Company immediately by means of a durable medium as defined in Section 167 KAGB of the announcement of a termination in accordance with Sentence 2.
2. The Company must prepare a liquidation report for the period ending on the date on which its right to manage lapses pursuant to Section 117 Paragraph 8 Sentence 4, 100 Paragraph 1 KAGB; this liquidation report must fulfil the requirements of an annual report in accordance with Section 120 Paragraph 1.
3. Net liquidation proceeds not collected by shareholders upon completion of the liquidation proceedings may be deposited with an appropriate depository for the benefit of the entitled shareholders.

§ 19 Change of the external investment management company and the depository

1. The company may transfer the management and disposal rights over the company to another external investment management

company. The transfer is subject to the prior approval of BaFin.

2. The approved transfer shall be published in the Bundesanzeiger and in the annual financial statements or the semi-annual report. Investors must be informed immediately by means of a durable medium of the announcement of a transfer in accordance with sentence 1. The transfer shall take effect no earlier than three months after its publication in the Bundesanzeiger.
3. The company may change the depository for the UCITS sub-fund. The change must be approved by BaFin.

§ 20 Changes to the Investment Conditions

1. The Company is entitled to change the Investment Conditions.
2. Amendments to the Investment Conditions require the prior approval of BaFin.
3. All planned amendments shall be published in the Bundesanzeiger and, in addition, in a financial or daily newspaper with sufficient circulation or in the electronic information media designated in the Sales Prospectus. The planned changes and their effective dates must be stated in any publication made in accordance with Sentence 1 above. In the event of amendments to costs detrimental to investors as defined in Section 162 Paragraph 2 (11) KAGB, amendments to the investment principles of the UCITS Fund as defined in Section 163 Paragraph 3 KAGB or amendments related to significant investor rights, investors must be informed simultaneously with the publication pursuant to Sentence 1 of the significant contents of the proposed amendments to the Investment Conditions and the background thereto, as well as information on their rights pursuant to Section 163 Paragraph 3 KAGB by means of a durable medium and in an understandable way in accordance with Section 163 Paragraph 4 KAGB.
4. The amendments enter into force at the earliest on the day after their publication in the Bundesanzeiger; amendments to costs and to the investment principles, however, do not enter into force until three months after the corresponding publication. With the consent of the BaFin, an earlier date may be determined, insofar as this concerns a change in costs that benefits the investors.

§ 21 Place of performance

The place of performance is the registered office of the Company.

§ 22 Name

The rights of shareholders who acquired shares originally named "iShares STOXX Europe 600 Chemicals (DE)" remain unaffected.

Investment Conditions

governing the legal relationship between the shareholders and

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, Munich, (hereinafter referred to as the "**Company**")

externally managed by

BlackRock Asset Management Deutschland AG, Munich, (hereinafter referred to as the "**Management Company**")

for the UCITS-compliant securities sub-fund

iShares STOXX Europe 600 Construction & Materials UCITS ETF (DE), (hereinafter referred to as the "**UCITS sub-fund**")

These investment conditions are valid only in combination with the Articles of Incorporation of the Company.

INVESTMENT POLICIES AND RESTRICTIONS

§ 1 Assets and investment objective

The Company may acquire the following assets for the UCITS sub-fund:

- a) securities pursuant to Section 4 of these Investment Conditions,
- b) money market instruments pursuant to Section 5 of these Investment Conditions,
- c) bank accounts pursuant to Section 6 of these Investment Conditions,
- d) derivatives pursuant to Section 7 of these Investment Conditions,
- e) other investment instruments pursuant to Section 8 of these Investment Conditions,
- f) Investment fund units pursuant to Section 9 of these Investment Conditions

The purpose of the equity and equity index certificate selection for the UCITS sub-fund is to replicate the STOXX Europe 600 Construction & Materials (price index) (hereinafter referred to as the "Underlying Index") while maintaining an appropriate diversification of risk.

§ 2 Depository

1. The Company shall appoint a credit institution as Custodian Bank for the UCITS sub-fund; the Custodian Bank shall act independently of the Company and exclusively in the interests of the shareholders.
2. The tasks and duties of the Custodian Bank are governed by the custodian agreement

concluded with the Company, in accordance with the KAGB, the Articles of Incorporation and the Investment Conditions.

3. The Custodian Bank may outsource custodial tasks to another company (sub-custodian) pursuant to Section 73 KAGB. Please refer to the Sales Prospectus for details.
4. The Custodian Bank shall be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for the loss of a financial instrument pursuant to Section 72 Paragraph 1 Sentence 1 held in custody by the Custodian Bank or by a sub-custodian to whom the custody of financial instruments has been transferred according to Section 73 Paragraph 1 KAGB. The Custodian Bank is not liable if it can prove that the loss is due to external events whose consequences were unavoidable despite all reasonable countermeasures. Further claims arising out of the provisions of civil law on the basis of contracts or torts are not affected. The Custodian Bank shall also be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for all other losses that they incur if the Custodian Bank fails to meet its obligations under the provisions of the KAGB, whether negligently or intentionally. The Custodian Bank's liability remains unaffected by any transfer of custody tasks referred to in Paragraph 3, sentence 1.

§ 3 Investment principles

1. The Company may only acquire such assets on behalf of the UCITS sub-fund that are designed to replicate a certain security index ("Security Index") approved by the Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin) while still maintaining appropriate diversification of risk. The Security Index is approved specifically if
 - a) its composition is sufficiently diversified,
 - b) it represents an adequate benchmark for the market to which it relates; and
 - c) it has been published in an appropriate manner.
2. The UCITS sub-fund may only acquire securities included in the Security Index or introduced to it following a change thereto ("Index Securities"), securities that are issued on these Index Securities or on the Underlying Index, and derivatives on securities, money market instruments, investment fund units pursuant to Section 9, recognised financial indices, interest rates, foreign exchange rates or currencies in which the UCITS sub-fund may invest as provided for in the Investment Conditions. When replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in Index Securities over investments in any other assets mentioned in Sentence 1 above that are approved for use in replicating indices. The Underlying Index may be replicated using securities, derivatives that

indirectly replicate the index only for purposes of maintaining the investment restrictions listed in Section 10 Paragraph 7.

3. In order to replicate the Security Index, the duplication percentage may not be less than 95 percent of the total assets in the UCITS sub-fund as defined in the first sentence of Paragraph 2 above. Derivatives shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach provided for in the "ordinance on risk management and risk measurement in the use of derivatives, securities lending and repurchase agreements in investment funds" ("DerivateV") issued pursuant to Section 197 Paragraph 3 of the German Investment Code (KAGB).
4. The duplication percentage reflects the proportion of securities and derivatives according to Section 197 Paragraph 1 KAGB in the UCITS Fund that corresponds with the Security Index in terms of weighting. The duplication percentage is defined as being equal to 100 less one half of the sum of the differences between the weighting of the securities in the index and the applicable weighting of the securities included in the total assets of the UCITS sub-fund, totalled for all securities and applicable values of derivatives according to Section 197 Paragraph 1 KAGB in the UCITS sub-fund and for all securities in the index.

$$DG = 100\% - \frac{\sum_{i=1}^n |W_i^I - W_i^F|}{2}$$

DG	=	duplication percentage in %
n	=	number of share types in the Fund and index (upper summation limit)
I	=	index
F	=	Fund
W_i^I	=	weighting of equity i in index I in %
W_i^F	=	weighting of equity i to be included in the equity portion of the Fund in %
$\sum$	=	sum symbol
i	=	summation index; represents the individual share types of i = 1 (lower summations limit) bis i = n (upper summation limit)

§ 4 Securities

1. The Company may only acquire securities on behalf of the UCITS sub-fund if:
 - a) they are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) they are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in one of these states, provided the choice of such stock exchange or regulated market is permitted by BaFin,¹³
 - c) their terms of issue require application for admission to official trading on one of the stock exchanges permitted under a) and b) or for inclusion in one of the regulated markets permitted under a) and b), and admission or inclusion on these markets takes place within one year after their issue,
 - d) they are equities to which the UCITS sub-fund is entitled in an issuer's capital increase from company assets;
 - e) they are acquired in exercising subscription rights belonging to the UCITS sub-fund,
 - f) they are financial instruments that meet the criteria listed in Section 193 Paragraph 1 Sentence 1 No. 8 KAGB.
2. Securities may only be acquired in accordance with Paragraph 1 letters a) to c) if additionally the requirements of Section 193 Paragraph 1 Sentence 2 KAGB are met. Subscription rights arising from securities which may be acquired under this Section, Section 4, may also be acquired.

§ 5 Money market instruments

1. The Company may acquire on behalf of the UCITS sub-fund instruments normally dealt in on the money market and interest-bearing securities with a residual term of no more than 397 days at the time of their acquisition or whose interest rate, in accordance with the issue conditions, is regularly – and at least once each 397-day period – adjusted to reflect current market conditions or whose risk profile corresponds to the risk profile of this type of security (money market instruments). The money market instruments may also be denominated in foreign currency. Money

¹³ The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

market instruments may only be acquired if they

- a) are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market there, provided the choice of such stock exchange or regulated market is permitted by BaFin,¹⁴
 - c) are issued or guaranteed by the European Union, the German Federal Government, a special-purpose fund of the German Federal Government, a German federal state, another member state or another central, regional or local authority or by the central bank of a European Union member state, the European Central Bank or the European Investment Bank, a non-EU member state or, in case of a federal state, by one of the members making up the federation, or by a public international body to which one or more EU member states belong,
 - d) are issued by a company whose securities are traded on the markets referred to in a) and b),
 - e) if they are issued or guaranteed by a credit institution that is subject to supervision that meets the criteria defined by European Union law, or a credit institution that is subject to the prudential rules considered by BaFin as equivalent to those laid down in European Union law, and which complies with such rules, or
 - f) are issued by other bodies and comply with the requirements of Section 194 Paragraph 1 Sentence 1 No. 6 KAGB.
2. Money market instruments as defined in Paragraph 1 may only be acquired if they comply with the requirements of Section 194 Paragraphs 2 and 3 KAGB.

§ 6 Bank accounts

The Company may also hold, on behalf of the UCITS sub-fund, bank accounts containing deposits with a maturity not exceeding twelve months. The accounts, which must be in the form of blocked accounts, may be maintained at a credit institution that has its registered office in a member state of the European Union or another state that is a party to the Agreement on the European Economic Area.

These accounts may also be maintained by a credit institution that has its registered office in a non-member state, provided that it is subject to the prudential rules considered by BaFin as equivalent to those laid down in the law of the European Union. The bank accounts may also be denominated in foreign currency.

§ 7 Derivatives

1. Unless specified otherwise in Paragraph 8, in managing the UCITS sub-fund, the Company may acquire derivatives in accordance with Section 197 Paragraph 1 Sentence 1 KAGB and financial instruments with derivative components in accordance with Section 197 Paragraph 1 Sentence 2 KAGB. It may – depending on the type and extent of derivatives and financial instruments with derivative components used – use either the simple or qualified approach within the meaning of DerivateV provided for in Section 197 Paragraph 3 KAGB when calculating the market risk limits established under Section 197 Paragraph 2 KAGB on the use of derivatives and financial instruments with derivative components; details are discussed in the Sales Prospectus.
2. If the Company uses the simple approach, it may only make regular use of the following basic forms of derivatives, financial instruments with a derivative component or combinations of these derivatives, financial instruments with a derivative component or combinations of underlying securities permitted under Section 197 Paragraph 1 Sentence 1 KAGB in the UCITS sub-fund. Complex derivatives based on permitted underlying securities pursuant to Section 197 Paragraph 1 sentence 1 KAGB may only be used for a negligible proportion. The weighted market risk attributable to the UCITS sub-fund, to be calculated as provided for in Section 16 DerivateV, may at no time exceed the value of the UCITS sub-fund. The basic forms of derivatives are:
 - a) Forward contracts on the underlying values pursuant to Section 197 Paragraph 1 KAGB with the exception of investment units pursuant to Section 196 KAGB;
 - b) Options or warrants on the underlying securities pursuant to Section 197 Paragraph 1 KAGB with the exception of investment fund units pursuant to Section 196 KAGB and on futures contracts as defined in a), if they have the following characteristics:
 - aa) exercising is possible either during the entire term or at the end of the term and
 - bb) at the time of being exercised, the option value is linearly based on the positive or negative difference between the underlying price and the

¹⁴ The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

market price of the underlying security and becomes nil if the difference has the other leading sign;

- c) Interest rate swaps, currency swaps or interest rate/currency swaps;
 - d) Options on swaps according to letter c), to the extent that they display the characteristics described in letter b) under letters aa) and bb) (swaptions);
 - e) Credit default swaps related to single underlying instruments (Single Name Credit Default Swaps).
3. If the Company uses the qualified approach, it may invest, subject to a suitable risk management system, in any financial instruments with a derivative component or derivatives that are derived from an underlying security that is permitted under Section 197 Paragraph 1 Sentence 1 KAGB.
- The potential risk amount for the market risk ("risk exposure") attributable to the UCITS sub-fund may at no time exceed two times the potential risk amount for the market risk of the associated benchmark assets pursuant to Section 9 DerivateV. Alternatively, the risk exposure may at no time exceed 20 percent of the value of the UCITS sub-fund.
4. In these transactions, the Company may under no circumstances deviate from the investment principles and limits listed in the Articles of Incorporation, these Investment Conditions or in the Sales Prospectus.
5. The Company will use the derivatives and financial instruments with a derivative component for the purpose of efficient portfolio management and to produce additional returns, when and to the extent that it considers this to be in the interests of the investors.
- No transactions with derivatives may be undertaken for purposes of hedging.
6. In calculating the market risk limit for the use of derivatives and financial instruments with a derivative component, the company may at any time switch between the simple and the qualified approach pursuant to § 6 Sentence 3 DerivateV. The change does not require the approval of BaFin. However, the company must report the change to BaFin without delay and announce it in the next semi-annual or annual report.
7. The Company will observe the guidelines of DerivateV when derivatives and financial instruments with derivative components are used.
8. In derogation of Paragraph 1, the Company may – subject to a suitable risk management system – only use futures contracts that are based on the Underlying Index and futures contracts that are based on individual stocks of the Underlying Index as well as warrants that are based on the Underlying Index and warrants that are based on individual stocks of the Underlying Index for the UCITS sub-fund.

§ 8 Other investment instruments

The Company may on behalf of the UCITS sub-fund acquire other investment instruments up to 10 percent of the value of the UCITS sub-fund pursuant to Section 198 KAGB.

§ 9 Investment fund units

1. The Company may, on behalf of the UCITS sub-fund, acquire units in investment funds pursuant to Directive 2009/65/EC (UCITS). Units in other domestic investment funds and joint-stock investment companies with variable capital and units in EU alternative investment funds and foreign open-ended alternative investment funds may be acquired if they meet the requirements of § 196 Para. 1 sentence 2 KAGB.
2. For account of the UCITS sub-fund, the company may only acquire units of domestic investment funds and joint-stock investment companies with variable capital, open-ended EU AIF and foreign open-ended AIF if, in accordance with the investment conditions or the Articles of Incorporation of the investment management company, the joint-stock investment company with variable capital, the EU investment fund, the EU management company, the foreign AIF or the foreign AIF management company, a total not exceeding 10 percent of the value of their assets may be invested in units of other domestic investment funds, joint-stock investment companies with variable capital, open-ended EU investment funds or foreign open-ended AIFs.

§ 10 Issuer and investment limits

1. The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and these Investment Conditions.
2. The Company may invest up to 20 percent of the assets of the UCITS sub-fund in securities from a single issuer (debtor).
3. The limit specified in Paragraph 2 may be increased to up to 35 percent of the value of the UCITS sub-fund for securities from a single issuer. An investment up to the limit specified in Sentence 1 above is permissible only for one individual issuer (debtor).
4. For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.
5. The Company may invest no more than 5 percent of the value of the UCITS sub-fund in bank accounts and money market instruments as defined in Sections 5 and 6.

6. The Company may invest no more than 10 percent of the value of the UCITS sub-fund in units of investment funds pursuant to Section 3 Paragraph 2 and Section 9. When doing so, the Company may acquire on behalf of the UCITS sub-fund no more than 25 percent of issued units of another open-ended domestic, EU or foreign investment fund that invests in assets in accordance with the principle of risk diversification as defined in Sections 192 to 198 KAGB.
7. A minimum of 95 percent of the UCITS sub-fund must be invested in assets based on the Security Index pursuant to Section 3 Paragraph 2 Sentence 1. At least 85 percent of the value of the UCITS sub-fund shall be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds.

§ 11 Loans

Short-term borrowing by the Company on the account of the UCITS sub-fund of amounts of up to 10 percent of the value of the UCITS sub-fund is permissible if the terms of the borrowing are at market rates and the Custodian Bank approves the borrowing.

SHARE CLASSES

§ 12 Share classes

1. Share classes as defined in Section 20 of the Articles of Incorporation may be formed for the UCITS sub-fund; these differ with respect to appropriation of income, issue premiums, redemption fees, management fees, minimum investment amount, currency, net asset value per share, or a combination of these characteristics. The creation of share classes is permitted at any time and is at the discretion of the Company.
2. The net asset value per share is calculated separately for each share class by allocating the costs of launching new share classes, the distributions (including any taxes that may be payable from the fund's assets), the management fee including income adjustment if applicable, exclusively to this share class.
3. The existing share classes are listed individually in the Sales Prospectus and in the annual and semi-annual reports. The structural characteristics defining the share classes (appropriation of income, issue premiums, redemption fees, management fees, currency, minimum investment amount, or a combination of these characteristics) are described in detail in the Sales Prospectus and in the annual and semi-annual reports.

ISSUE AND REDEMPTION OF SHARES/EXPENSES

§ 13 Issue and redemption of shares, fees

1. The Company indicates the issue premiums and redemption fees charged for each share class in the Sales Prospectus, the Key Information Document and in the annual and semi-annual reports.
2. For the calculation of share issue and redemption prices, the market values of the assets (net asset value) belonging to the UCITS sub-fund less borrowings undertaken and other liabilities (net asset value) is determined and divided by the number of shares in circulation (share value). If special share classes for the UCITS sub-fund are introduced in accordance with Section 12, then the net asset value per share and the issue and redemption prices for each share class shall be determined separately. The assets are valued in accordance with Sections 168 and 169 KAGB and the German Capital Investment Accounting and Valuation Ordinance ("KARBV").
3. The issue price corresponds to the net asset value per share at the issue date, plus any issue premium pursuant to Paragraph 4. The redemption price corresponds to the net asset value per share at the redemption date, plus any redemption fees pursuant to Paragraph 5.
4. Depending on the share class, the issue premium per share is up to 2 percent of the net asset value per share. The Company is free to charge a lower issue premium for one or more share classes, or all of them.
5. Depending on the share class, the redemption fee per share is up to 1 percent of the net asset value per share. The Company is free to charge a lower redemption fee for one or more share classes, or all of them. The Management Company shall receive the redemption fee.
6. The settlement date for issue and redemption orders is no later than the next valuation date following the receipt of the issue or redemption order. If the Company suspends the redemption of shares in accordance with Section 11 paragraph 6 of the Articles of Incorporation, the settlement date for such redemption orders is the valuation day following the resumption.
7. Issue and redemption prices will be determined on each exchange trading day. On public holidays under the KAGB that are stock exchange days and 24 and 31 December every year, the Company and the Custodian Bank may interrupt their daily price calculation; details are discussed in the Sales Prospectus.
8. The Company applies the Dual Pricing method when determining the issue and redemption prices. This means that, deviating from paragraph 2 sentence 1, a modified net asset value per share must be calculated in addition to the net asset value. For this purpose, for each issue and redemption of shares, the net asset value per share is adjusted by a factor

that reflects liquidity costs. The Company explains the procedure used to calculate the modified net asset value per share in the Sales Prospectus.

9. The Company may charge a redemption fee (Rückgabegebühr). The redemption fee is calculated on the basis of gross redemptions and amounts to up to 2 per cent of gross redemptions. The Sales Prospectus contains a description of the option and the conditions for a redemption fee.

§ 14 Expenses and services included

1. For managing the UCITS sub-fund, the Management Company receives from the assets of the UCITS sub-fund a fee of up to 0.45 percent per annum depending on the share class, based on the net asset value of the UCITS sub-fund determined each exchange trading day. The Management Company is free to charge a lower management fee for one or more share classes, or all of them. The management fee will be paid in advance in monthly instalments out of the UCITS sub-fund. The Company indicates the management fee charged for each share class in the Sales Prospectus and in the annual and semi-annual reports.
2. The management fee specified in Paragraph 1 shall cover services rendered by the Management Company for the UCITS sub-fund, including the expenses of the Custodian Bank, legally required printing, mailings, and publications associated with the UCITS sub-fund, and for annual report audits conducted by auditors of the Company.
3. The following expenses are not covered by Paragraph 1:
 - a) Expenses resulting from the purchase and sale of assets (transaction costs),
 - b) Customary bank custody fees, including the customary bank charges for the custody of foreign securities abroad and related taxes, if applicable,
 - c) Customary expenses related to day-to-day account management,
 - d) Expenses incurred in the assertion and enforcement of the legal claims of the UCITS sub-fund,
 - e) Expenses for providing information to investors of the UCITS sub-fund by means of a durable medium, with the exception of expenses for providing information in the case of fund mergers and with the exception of information on measures connected with violations of investment limits or errors in calculating the net asset value per share.

Such expenses may be charged to the UCITS sub-fund in addition to the management fee charged in accordance with Paragraph 1.

4. The Company has to publish in the annual report and in the semi-annual report the

amount of the issue premiums and redemption fees that have been charged to the UCITS sub-fund during the reporting period for the purchase and redemption of shares as defined in Section 9. When units are purchased that are managed, directly or indirectly, by the Management Company itself or by any other company with which the Management Company is affiliated through a significant direct or indirect equity interest, the Management Company or the other company may not levy issue premiums or redemption fees for the purchase or redemption. The Company publishes in the annual report and in the semi-annual report the fees charged as management fees for the units held in the UCITS sub-fund when such fees are charged by the Management Company, by another investment management company, a joint-stock investment company or another company with which the Management Company is affiliated through a significant direct or indirect equity interest, or by a foreign investment company, including its management company.

APPROPRIATION OF INCOME, TERM AND FINANCIAL YEAR

§ 15 Distribution

1. For distributing share classes, the Company distributes, net of costs, the interest, dividends and other income from investment fund shares received for account of the UCITS sub-fund, taking into account the appropriate income netting. Capital gains and other income - taking into account the appropriate income equalisation - can also be used for distributions.
2. The final distribution takes place within four months of the financial year-end. In addition, the Company may carry out interim distributions during the year.
3. The interim distribution amount is at the discretion of the Company. The Company is not obliged to distribute all distributable income pursuant to Paragraph 1 accumulated up to the date of the interim distribution; it may carry ordinary income forward to the next distribution date.
4. Interim distributions are intended to minimise any discrepancy between the performance of the UCITS sub-fund and that of the Underlying Index.
5. Distributable income pursuant to Paragraph 1 may be carried forward for distribution in subsequent financial years if the amount of the income carried forward does not exceed 15 percent of the respective value of the UCITS sub-fund at the end of the financial year. Income from short financial years may be carried forward in its entirety.
6. In the interests of maintaining equity, some income, or in exceptional cases, all income,

may be set aside for accumulation in the UCITS sub-fund.

7. If no share classes are created, the income will be distributed.

§ 16 Reinvestment

For reinvesting share classes, the Company invests the interest, dividends and other income of the UCITS sub-fund, taking into account the appropriate income netting, as well as the realised capital gains that have accrued for account of the sub-fund during the financial year in the UCITS sub-fund, net of costs.

§ 17 Financial year and accounting

1. The financial year of the UCITS sub-fund begins on 1 March of each calendar year and ends on the last day of February.
2. The company publishes an annual financial statement with a management report no later than four months after the end of the financial year in accordance with § 120 Para. 1, 2 and 6 Sentence 3 in conjunction with § 123 Para. 1 No. 1 KAGB.
3. The Company publishes a semi-annual report no later than two months after the end of the first half of the financial year in accordance with Section 122 Paragraph 1 Sentence 4 in conjunction with Section 103 and Section 107 Paragraph 1 Sentence 2 KAGB.

§ 18 Liquidation of the sub-fund

1. The Company may liquidate the UCITS sub-fund pursuant to Section 19 of the Articles of Incorporation. This liquidation resolution shall take effect six months after its publication in the Bundesanzeiger. The shareholders must be informed by the Company immediately by means of a durable medium as defined in Section 167 KAGB of the announcement of a termination in accordance with Sentence 2.
2. The Company must prepare a liquidation report for the period ending on the date on which its right to manage lapses pursuant to Section 117 Paragraph 8 Sentence 4, 100 Paragraph 1 KAGB; this liquidation report must fulfil the requirements of an annual report in accordance with Section 120 Paragraph 1.
3. Net liquidation proceeds not collected by shareholders upon completion of the liquidation proceedings may be deposited with an appropriate depository for the benefit of the entitled shareholders.

§ 19 Change of the external investment management company and the depository

1. The company may transfer the management and disposal rights over the company to another external investment management

company. The transfer is subject to the prior approval of BaFin.

2. The approved transfer shall be published in the Bundesanzeiger and in the annual financial statements or the semi-annual report. Investors must be informed immediately by means of a durable medium of the announcement of a transfer in accordance with sentence 1. The transfer shall take effect no earlier than three months after its publication in the Bundesanzeiger.
3. The company may change the depository for the UCITS sub-fund. The change must be approved by BaFin.

§ 20 Changes to the Investment Conditions

1. The Company is entitled to change the Investment Conditions.
2. Amendments to the Investment Conditions require the prior approval of BaFin.
3. All planned amendments shall be published in the Bundesanzeiger and, in addition, in a financial or daily newspaper with sufficient circulation or in the electronic information media designated in the Sales Prospectus. The planned changes and their effective dates must be stated in any publication made in accordance with Sentence 1 above. In the event of amendments to costs detrimental to investors as defined in Section 162 Paragraph 2 (11) KAGB, amendments to the investment principles of the UCITS Fund as defined in Section 163 Paragraph 3 KAGB or amendments related to significant investor rights, investors must be informed simultaneously with the publication pursuant to Sentence 1 of the significant contents of the proposed amendments to the Investment Conditions and the background thereto, as well as information on their rights pursuant to Section 163 Paragraph 3 KAGB by means of a durable medium and in an understandable way in accordance with Section 163 Paragraph 4 KAGB.
4. The amendments enter into force at the earliest on the day after their publication in the Bundesanzeiger; amendments to costs and to the investment principles, however, do not enter into force until three months after the corresponding publication. With the consent of the BaFin, an earlier date may be determined, insofar as this concerns a change in costs that benefits the investors.

§ 21 Place of performance

The place of performance is the registered office of the Company.

§ 22 Name

The rights of shareholders who acquired shares originally named "iShares STOXX Europe 600 Construction & Materials (DE)" remain unaffected.

Investment Conditions

governing the legal relationship between the shareholders and

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, Munich, (hereinafter referred to as the "**Company**")

externally managed by

BlackRock Asset Management Deutschland AG, Munich, (hereinafter referred to as the "**Management Company**")

for the UCITS-compliant securities sub-fund

iShares STOXX Europe 600 Financial Services UCITS ETF (DE), (hereinafter referred to as the "**UCITS sub-fund**")

These investment conditions are valid only in combination with the Articles of Incorporation of the Company.

INVESTMENT POLICIES AND RESTRICTIONS

§ 1 Assets and investment objective

The Company may acquire the following assets for the UCITS sub-fund:

- a) securities pursuant to Section 4 of these Investment Conditions,
- b) money market instruments pursuant to Section 5 of these Investment Conditions,
- c) bank accounts pursuant to Section 6 of these Investment Conditions,
- d) derivatives pursuant to Section 7 of these Investment Conditions,
- e) other investment instruments pursuant to Section 8 of these Investment Conditions,
- f) Investment fund units pursuant to Section 9 of these Investment Conditions

The purpose of the equity and equity index certificate selection for the UCITS sub-fund is to replicate the STOXX Europe 600 Financial Services (price index) (hereinafter referred to as the "Underlying Index") while maintaining an appropriate diversification of risk.

§ 2 Depository

1. The Company shall appoint a credit institution as Custodian Bank for the UCITS sub-fund; the Custodian Bank shall act independently of the Company and exclusively in the interests of the shareholders.
2. The tasks and duties of the Custodian Bank are governed by the custodian agreement

concluded with the Company, in accordance with the KAGB, the Articles of Incorporation and the Investment Conditions.

3. The Custodian Bank may outsource custodial tasks to another company (sub-custodian) pursuant to Section 73 KAGB. Please refer to the Sales Prospectus for details.
4. The Custodian Bank shall be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for the loss of a financial instrument pursuant to Section 72 Paragraph 1 Sentence 1 held in custody by the Custodian Bank or by a sub-custodian to whom the custody of financial instruments has been transferred according to Section 73 Paragraph 1 KAGB. The Custodian Bank is not liable if it can prove that the loss is due to external events whose consequences were unavoidable despite all reasonable countermeasures. Further claims arising out of the provisions of civil law on the basis of contracts or torts are not affected. The Custodian Bank shall also be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for all other losses that they incur if the Custodian Bank fails to meet its obligations under the provisions of the KAGB, whether negligently or intentionally. The Custodian Bank's liability remains unaffected by any transfer of custody tasks referred to in Paragraph 3, sentence 1.

§ 3 Investment principles

1. The Company may only acquire such assets on behalf of the UCITS sub-fund that are designed to replicate a certain security index ("Security Index") approved by the Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin) while still maintaining appropriate diversification of risk. The Security Index is approved specifically if
 - a) its composition is sufficiently diversified,
 - b) it represents an adequate benchmark for the market to which it relates; and
 - c) it has been published in an appropriate manner.
2. The UCITS sub-fund may only acquire securities included in the Underlying Index or introduced to it following a change thereto ("Index Securities"), securities that are issued on these Index Securities or on the Underlying Index, and derivatives on securities, money market instruments, investment fund units pursuant to Section 9, recognised financial indices, interest rates, foreign exchange rates or currencies in which the UCITS sub-fund may invest as provided for in the Investment Conditions. When replicating the Underlying Index, within the meaning of a direct duplication of the Underlying Index, priority shall be given to investments in Index Securities over investments in any other assets mentioned in Sentence 1 above that are approved for use in replicating indices. The Underlying Index may be replicated using

securities, derivatives that indirectly replicate the index only for purposes of maintaining the investment restrictions listed in Section 10 Paragraph 7 Sentence 1. Outside the limit laid down in Section 10 Paragraph 7 Sentence 1 the Company, for the account of the UCITS sub-fund, may also invest up to 5 percent of the value of the UCITS sub-fund in basic forms of derivatives as defined in Section 7 para. 2, particularly future contracts on securities in the meaning of Section 4, money market instruments in the meaning of Section 5, investment fund units in the meaning of Section 9, recognised financial indices, interest rates, exchange rates or currencies which are not contained in the Underlying Index..

3. In order to replicate the Underlying Index, the duplication percentage may not be less than 95 percent of the total assets in the UCITS sub-fund as defined in the first sentence of Paragraph 2 above. Derivatives shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach provided for in the "ordinance on risk management and risk measurement in the use of derivatives, securities lending and repurchase agreements in investment funds" ("DerivateV") issued pursuant to Section 197 Paragraph 3 of the German Investment Code (KAGB).
4. The duplication percentage reflects the proportion of securities and derivatives according to Section 197 Paragraph 1 KAGB in the UCITS Fund that corresponds with the Underlying Index in terms of weighting. The duplication percentage is defined as being equal to 100 less one half of the sum of the differences between the weighting of the securities in the Underlying Index and the applicable weighting of the securities included in the total assets of the UCITS sub-fund, totalled for all securities and applicable values of derivatives according to Section 197 Paragraph 1 KAGB in the UCITS sub-fund and for all securities in the Underlying Index.

$$DG = 100\% - \frac{\sum_{i=1}^n |w_i^I - w_i^F|}{2}$$

DG	=	duplication percentage in %
n	=	number of share types in the Fund and index (upper summation limit)
I	=	index
F	=	Fund
W_i^I	=	weighting of equity i in index I in %
W_i^F	=	weighting of equity i to be included in the equity portion of the Fund in %
Σ	=	sum symbol
i	=	summation index; represents the individual share types of i = 1 (lower summations limit) bis i = n (upper summation limit)

§ 4 Securities

1. The Company may only acquire securities on behalf of the UCITS sub-fund if:
 - a) they are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) they are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in one of these states, provided the choice of such stock exchange or regulated market is permitted by BaFin,¹⁵
 - c) their terms of issue require application for admission to official trading on one of the stock exchanges permitted under a) and b) or for inclusion in one of the regulated markets permitted under a) and b), and admission or inclusion on these markets takes place within one year after their issue,
 - d) they are equities to which the UCITS sub-fund is entitled in an issuer's capital increase from company assets;

¹⁵ The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

- e) they are acquired in exercising subscription rights belonging to the UCITS sub-fund,
 - f) they are financial instruments that meet the criteria listed in Section 193 Paragraph 1 Sentence 1 No. 8 KAGB.
2. Securities may only be acquired in accordance with Paragraph 1 letters a) to c) if additionally the requirements of Section 193 Paragraph 1 Sentence 2 KAGB are met. Subscription rights arising from securities which may be acquired under this Section, Section 4, may also be acquired.

§ 5 Money market instruments

1. The Company may acquire on behalf of the UCITS sub-fund instruments normally dealt in on the money market and interest-bearing securities with a residual term of no more than 397 days at the time of their acquisition or whose interest rate, in accordance with the issue conditions, is regularly – and at least once each 397-day period – adjusted to reflect current market conditions or whose risk profile corresponds to the risk profile of this type of security (money market instruments). The money market instruments may also be denominated in foreign currency. Money market instruments may only be acquired if they
- a) are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market there, provided the choice of such stock exchange or regulated market is permitted by BaFin,¹⁶
 - c) are issued or guaranteed by the European Union, the German Federal Government, a special-purpose fund of the German Federal Government, a German federal state, another member state or another central, regional or local authority or by the central bank of a European Union member state, the European Central Bank or the European Investment Bank, a non-EU member state or, in case of a federal state, by one of the members making up the federation, or by a public international body to which one or more EU member states belong,

- d) are issued by a company whose securities are traded on the markets referred to in a) and b),
- e) if they are issued or guaranteed by a credit institution that is subject to supervision that meets the criteria defined by European Union law, or a credit institution that is subject to the prudential rules considered by BaFin as equivalent to those laid down in European Union law, and which complies with such rules, or
- f) are issued by other bodies and comply with the requirements of Section 194 Paragraph 1 Sentence 1 No. 6 KAGB.

2. Money market instruments as defined in Paragraph 1 may only be acquired if they comply with the requirements of Section 194 Paragraphs 2 and 3 KAGB.

§ 6 Bank accounts

The Company may also hold, on behalf of the UCITS sub-fund, bank accounts containing deposits with a maturity not exceeding twelve months. The accounts, which must be in the form of blocked accounts, may be maintained at a credit institution that has its registered office in a member state of the European Union or another state that is a party to the Agreement on the European Economic Area. These accounts may also be maintained by a credit institution that has its registered office in a non-member state, provided that it is subject to the prudential rules considered by BaFin as equivalent to those laid down in the law of the European Union. The bank accounts may also be denominated in foreign currency.

§ 7 Derivatives

1. Unless specified otherwise in Paragraph 8, in managing the UCITS sub-fund, the Company may acquire derivatives in accordance with Section 197 Paragraph 1 Sentence 1 KAGB and financial instruments with derivative components in accordance with Section 197 Paragraph 1 Sentence 2 KAGB. It may – depending on the type and extent of derivatives and financial instruments with derivative components used – use either the simple or qualified approach within the meaning of DerivateV provided for in Section 197 Paragraph 3 KAGB when calculating the market risk limits established under Section 197 Paragraph 2 KAGB on the use of derivatives and financial instruments with derivative components; details are discussed in the Sales Prospectus.
2. If the Company uses the simple approach, it may only make regular use of the following basic forms of derivatives, financial instruments with a derivative component or combinations of these derivatives, financial instruments with a derivative component or combinations of underlying securities

¹⁶ The list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB is published on the BaFin website. www.bafin.de

permitted under Section 197 Paragraph 1 Sentence 1 KAGB in the UCITS sub-fund. Complex derivatives based on permitted underlying securities pursuant to Section 197 Paragraph 1 sentence 1 KAGB may only be used for a negligible proportion. The weighted market risk attributable to the UCITS sub-fund, to be calculated as provided for in Section 16 DerivateV, may at no time exceed the value of the UCITS sub-fund. The basic forms of derivatives are:

- a) Forward contracts on the underlying values pursuant to Section 197 Paragraph 1 KAGB with the exception of investment units pursuant to Section 196 KAGB;
 - b) Options or warrants on the underlying securities pursuant to Section 197 Paragraph 1 KAGB with the exception of investment fund units pursuant to Section 196 KAGB and on futures contracts as defined in a), if they have the following characteristics:
 - aa) exercising is possible either during the entire term or at the end of the term and
 - bb) at the time of being exercised, the option value is linearly based on the positive or negative difference between the underlying price and the market price of the underlying security and becomes nil if the difference has the other leading sign;
 - c) Interest rate swaps, currency swaps or interest rate/currency swaps;
 - d) Options on swaps according to letter c), to the extent that they display the characteristics described in letter b) under letters aa) and bb) (swaptions);
 - e) Credit default swaps related to single underlying instruments (Single Name Credit Default Swaps).
3. If the Company uses the qualified approach, it may invest, subject to a suitable risk management system, in any financial instruments with a derivative component or derivatives that are derived from an underlying security that is permitted under Section 197 Paragraph 1 Sentence 1 KAGB.
- The potential risk amount for the market risk ("risk exposure") attributable to the UCITS sub-fund may at no time exceed two times the potential risk amount for the market risk of the associated benchmark assets pursuant to Section 9 DerivateV. Alternatively, the risk exposure may at no time exceed 20 percent of the value of the UCITS sub-fund.
4. In these transactions, the Company may under no circumstances deviate from the investment principles and limits listed in the Articles of Incorporation, these Investment Conditions or in the Sales Prospectus.
 5. The Company will use the derivatives and financial instruments with a derivative component for the purpose of efficient portfolio management and to produce

additional returns, when and to the extent that it considers this to be in the interests of the investors.

No transactions with derivatives may be undertaken for purposes of hedging.

6. In calculating the market risk limit for the use of derivatives and financial instruments with a derivative component, the company may at any time switch between the simple and the qualified approach pursuant to § 6 Sentence 3 DerivateV. The change does not require the approval of BaFin. However, the company must report the change to BaFin without delay and announce it in the next semi-annual or annual report.
7. The Company will observe the guidelines of DerivateV when derivatives and financial instruments with derivative components are used.
8. In derogation of Paragraph 1, the Company may – subject to a suitable risk management system – only use futures contracts that are based on the Underlying Index and futures contracts that are based on individual stocks of the Underlying Index as well as warrants that are based on the Underlying Index and warrants that are based on individual stocks of the Underlying Index for the UCITS sub-fund. Outside the limit laid down in Section 10 Paragraph 7 Sentence 1 the Company, for the account of the UCITS sub-fund, may also invest up to 5 percent of the value of the UCITS sub-fund in basic forms of derivatives as defined in Section 7 para. 2, particularly future contracts and warrants on securities in the meaning of Section 4, money market instruments in the meaning of Section 5, investment fund units in the meaning of Section 9, recognised financial indices, interest rates, exchange rates or currencies which are not contained in the Underlying Index.

§ 8 Other investment instruments

The Company may on behalf of the UCITS sub-fund acquire other investment instruments up to 10 percent of the value of the UCITS sub-fund pursuant to Section 198 KAGB.

§ 9 Investment fund units

1. The Company may, on behalf of the UCITS sub-fund, acquire units in investment funds pursuant to Directive 2009/65/EC (UCITS). Units in other domestic investment funds and joint-stock investment companies with variable capital and units in EU alternative investment funds and foreign open-ended alternative investment funds may be acquired if they meet the requirements of § 196 Para. 1 sentence 2 KAGB.
2. For account of the UCITS sub-fund, the company may only acquire units of domestic investment funds and joint-stock investment companies with variable capital, open-ended EU AIF and foreign open-ended AIF if, in accordance with the investment conditions or

the Articles of Incorporation of the investment management company, the joint-stock investment company with variable capital, the EU investment fund, the EU management company, the foreign AIF or the foreign AIF management company, a total not exceeding 10 percent of the value of their assets may be invested in units of other domestic investment funds, joint-stock investment companies with variable capital, open-ended EU investment funds or foreign open-ended AIFs.

§ 10 Issuer and investment limits

1. The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and these Investment Conditions.
2. The Company may invest up to 20 percent of the assets of the UCITS sub-fund in securities from a single issuer (debtor).
3. The limit specified in Paragraph 2 may be increased to up to 35 percent of the value of the UCITS sub-fund for securities from a single issuer. An investment up to the limit specified in Sentence 1 above is permissible only for one individual issuer (debtor).
4. For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.
5. The Company may invest no more than 5 percent of the value of the UCITS sub-fund in bank accounts and money market instruments as defined in Sections 5 and 6.
6. The Company may invest no more than 10 percent of the value of the UCITS sub-fund in units of investment funds pursuant to Section 3 Paragraph 2 and Section 9. When doing so, the Company may acquire on behalf of the UCITS sub-fund no more than 25 percent of issued units of another open-ended domestic, EU or foreign investment fund that invests in assets in accordance with the principle of risk diversification as defined in Sections 192 to 198 KAGB.
7. The Company must invest a minimum of 95 percent of the value of the UCITS sub-fund in assets based on the Underlying Index pursuant to Section 3 Paragraph 2 Sentence 1. At least 80 percent of the value of the UCITS sub-fund shall be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds.

§ 11 Loans

Short-term borrowing by the Company on the account of the UCITS sub-fund of amounts of up to

10 percent of the value of the UCITS sub-fund is permissible if the terms of the borrowing are at market rates and the Custodian Bank approves the borrowing.

SHARE CLASSES

§ 12 Share classes

1. Share classes as defined in Section 20 of the Articles of Incorporation may be formed for the UCITS sub-fund; these may particularly differ with respect to appropriation of income, issue premiums, redemption fees, management fees, minimum investment amount, currency of the share value, or a combination of these characteristics. The creation of share classes is permitted at any time and is at the discretion of the Company.
2. The net asset value per share is calculated separately for each share class by allocating the costs of launching new share classes, the distributions (including any taxes that may be payable from the fund's assets), the management fee including income adjustment if applicable, exclusively to this share class.
3. The existing share classes are listed individually in the Sales Prospectus and in the annual and semi-annual reports. The structural characteristics defining the share classes (particularly appropriation of income, issue premiums, redemption fees, management fees, currency of the share value, minimum investment amount, or a combination of these characteristics) are described in detail in the Sales Prospectus and in the annual and semi-annual reports.

ISSUE AND REDEMPTION OF SHARES/EXPENSES

§ 13 Issue and redemption of shares, fees

1. The Company indicates the issue premiums and redemption fees charged for each share class in the Sales Prospectus, the Key Information Document and in the annual and semi-annual reports.
2. For the calculation of share issue and redemption prices, the market values of the assets (net asset value) belonging to the UCITS sub-fund less borrowings undertaken and other liabilities (net asset value) is determined and divided by the number of shares in circulation (share value). If special share classes for the UCITS sub-fund are introduced in accordance with Section 12, then the net asset value per share and the issue and redemption prices for each share class shall be determined separately. The assets are valued in accordance with Sections 168 and 169 KAGB and the German Capital Investment Accounting and Valuation Ordinance ("KARBV").

3. The issue price corresponds to the net asset value per share at the issue date, plus any issue premium pursuant to Paragraph 4. The redemption price corresponds to the net asset value per share at the redemption date, plus any redemption fees pursuant to Paragraph 5.
4. Depending on the share class, the issue premium per share is up to 2 percent of the net asset value per share. The Company is free to charge a lower issue premium for one or more share classes, or all of them.
5. Depending on the share class, the redemption fee per share is up to 1 percent of the net asset value per share. The Company is free to charge a lower redemption fee for one or more share classes, or all of them. The Management Company shall receive the redemption fee.
6. The settlement date for issue and redemption orders is no later than the next valuation date following the receipt of the issue or redemption order. If the Company suspends the redemption of shares in accordance with Section 11 paragraph 6 of the Articles of Incorporation, the settlement date for such redemption orders is the valuation day following the resumption.
7. Issue and redemption prices will be determined on each exchange trading day. On public holidays under the KAGB that are stock exchange days and 24 and 31 December every year, the Company and the Custodian Bank may interrupt their daily price calculation; details are discussed in the Sales Prospectus.
8. The Company applies the Dual Pricing method when determining the issue and redemption prices. This means that, deviating from paragraph 2 sentence 1, a modified net asset value per share must be calculated in addition to the net asset value. For this purpose, for each issue and redemption of shares, the net asset value per share is adjusted by a factor that reflects liquidity costs. The Company explains the procedure used to calculate the modified net asset value per share in the Sales Prospectus.
9. The Company may charge a redemption fee (Rückgabegebühr). The redemption fee is calculated on the basis of gross redemptions and amounts to up to 2 per cent of gross redemptions. The Sales Prospectus contains a description of the option and the conditions for a redemption fee.

§ 14 Expenses and services included

1. For managing the UCITS sub-fund, the Management Company receives from the assets of the UCITS sub-fund a fee of up to 0.45 percent per annum depending on the share class, based on the net asset value of the UCITS sub-fund determined each exchange trading day. The Management Company is free to charge a lower management fee for one or more share classes, or all of them. The management fee

will be paid in advance in monthly instalments out of the UCITS sub-fund. The Company indicates the management fee charged for each share class in the Sales Prospectus and in the annual and semi-annual reports.

2. The management fee specified in Paragraph 1 shall cover services rendered by the Management Company for the UCITS sub-fund, including the expenses of the Custodian Bank, legally required printing, mailings, and publications associated with the UCITS sub-fund, and for annual report audits conducted by auditors of the Company.
3. The following expenses are not covered by Paragraph 1:
 - a) Expenses resulting from the purchase and sale of assets (transaction costs),
 - b) Customary bank custody fees, including the customary bank charges for the custody of foreign securities abroad and related taxes, if applicable,
 - c) Customary expenses related to day-to-day account management,
 - d) Expenses incurred in the assertion and enforcement of the legal claims of the UCITS sub-fund,
 - e) Expenses for providing information to investors of the UCITS sub-fund by means of a durable medium, with the exception of expenses for providing information in the case of fund mergers and with the exception of information on measures connected with violations of investment limits or errors in calculating the net asset value per share.

Such expenses may be charged to the UCITS sub-fund in addition to the management fee charged in accordance with Paragraph 1.

4. The Company has to publish in the annual report and in the semi-annual report the amount of the issue premiums and redemption fees that have been charged to the UCITS sub-fund during the reporting period for the purchase and redemption of shares as defined in Section 9. When units are purchased that are managed, directly or indirectly, by the Management Company itself or by any other company with which the Management Company is affiliated through a significant direct or indirect equity interest, the Management Company or the other company may not levy issue premiums or redemption fees for the purchase or redemption. The Company publishes in the annual report and in the semi-annual report the fees charged as management fees for the units held in the UCITS sub-fund when such fees are charged by the Management Company, by another investment management company, a joint-stock investment company or another company with which the Management Company is affiliated through a significant direct or indirect equity interest, or by a foreign investment company, including its management company.

APPROPRIATION OF INCOME, TERM AND FINANCIAL YEAR

§ 15 Distribution

1. For distributing share classes, the Company distributes, net of costs, the interest, dividends and other income from investment fund shares received for account of the UCITS sub-fund, taking into account the appropriate income netting. Capital gains and other income - taking into account the appropriate income equalisation - can also be used for distributions. In addition, bank accounts in accordance with Section 1 lit. c) available on the day of distribution may also be distributed from the UCITS sub-fund (contribution from the UCITS sub-fund/distribution of assets).
2. The final distribution takes place within four months of the financial year-end. In addition, the Company may carry out interim distributions during the year.
3. The interim distribution amount is at the discretion of the Company. The Company is not obliged to distribute all distributable income pursuant to Paragraph 1 accumulated up to the date of the interim distribution; it may carry ordinary income forward to the next distribution date.
4. Interim distributions are intended to minimise any discrepancy between the performance of the UCITS sub-fund and that of the Underlying Index.
5. Distributable income pursuant to Paragraph 1 may be carried forward for distribution in subsequent financial years if the amount of the income carried forward does not exceed 15 percent of the respective value of the UCITS sub-fund at the end of the financial year. Income from short financial years may be carried forward in its entirety.
6. In the interests of maintaining equity, some income, or in exceptional cases, all income, may be set aside for accumulation in the UCITS sub-fund.
7. If no share classes are created, the income will be distributed.

§ 16 Reinvestment

For reinvesting share classes, the Company invests the interest, dividends and other income of the UCITS sub-fund, taking into account the appropriate income netting, as well as the realised capital gains that have accrued for account of the sub-fund during the financial year in the UCITS sub-fund, net of costs.

§ 17 Financial year and accounting

1. The financial year of the UCITS sub-fund begins on 1 March of each calendar year and ends on the last day of February.

2. The company publishes an annual financial statement with a management report no later than four months after the end of the financial year in accordance with § 120 Para. 1, 2 and 6 Sentence 3 in conjunction with § 123 Para. 1 No. 1 KAGB.
3. The Company publishes a semi-annual report no later than two months after the end of the first half of the financial year in accordance with Section 122 Paragraph 1 Sentence 4 in conjunction with Section 103 and Section 107 Paragraph 1 Sentence 2 KAGB.

§ 18 Liquidation of the sub-fund

1. The Company may liquidate the UCITS sub-fund pursuant to Section 19 of the Articles of Incorporation. This liquidation resolution shall take effect six months after its publication in the Bundesanzeiger. The shareholders must be informed by the Company immediately by means of a durable medium as defined in Section 167 KAGB of the announcement of a termination in accordance with Sentence 2.
2. The Company must prepare a liquidation report for the period ending on the date on which its right to manage lapses pursuant to Section 117 Paragraph 8 Sentence 4, 100 Paragraph 1 KAGB; this liquidation report must fulfil the requirements of an annual report in accordance with Section 120 Paragraph 1.
3. Net liquidation proceeds not collected by shareholders upon completion of the liquidation proceedings may be deposited with an appropriate depository for the benefit of the entitled shareholders.

§ 19 Change of the external investment management company and the depository

1. The company may transfer the management and disposal rights over the company to another external investment management company. The transfer is subject to the prior approval of BaFin.
2. The approved transfer shall be published in the Bundesanzeiger and in the annual financial statements or the semi-annual report as well as in the electronic medium mentioned in the prospectus. The transfer shall take effect no earlier than three months after its publication in the Bundesanzeiger.
3. The company may change the depository for the UCITS sub-fund. The change must be approved by BaFin.

§ 20 Changes to the Investment Conditions

1. The Company is entitled to change the Investment Conditions.
2. Amendments to the Investment Conditions require the prior approval of BaFin.

3. All planned amendments shall be published in the Bundesanzeiger and, in addition, in a financial or daily newspaper with sufficient circulation or in the electronic information media designated in the Sales Prospectus. The planned changes and their effective dates must be stated in any publication made in accordance with Sentence 1 above. In the event of disadvantageous amendments to costs as defined in Section 162 Paragraph 2 (11) KAGB or disadvantageous amendments related to significant investor rights as well as in case of amendments of the investment principles of the UCITS sub-fund as defined in Section 163 Paragraph 3 KAGB, investors must be informed simultaneously with the publication pursuant to Sentence 1 of the significant contents of the proposed amendments to the Investment Conditions and the background thereto by means of a durable medium and in an understandable way. Additionally, in case of amendments of the latest investment principles, investors have to be informed about their rights according to Section 163 Paragraph 3 KAGB.
4. The amendments enter into force at the earliest on the day after their publication in the Bundesanzeiger; amendments to costs and to the investment principles, however, do not enter into force until four weeks after the corresponding publication.

§ 21 Place of performance

The place of performance is the registered office of the Company.

§ 22 Name

The rights of shareholders who acquired shares originally named "iShares STOXX Europe 600 Financial Services (DE)" remain unaffected.

§ 23 Dispute resolution procedure

1. The Company has undertaken to participate in dispute resolution proceedings before a consumer arbitration board. In the event of disputes, consumers may call upon the ombudsman's office for investment funds of the BVI Bundesverband Investment und Asset Management e.V. (BVI) as the competent consumer arbitration body. The Company participates in dispute resolution proceedings before this arbitration board.
2. The contact details are: Office of the Ombudsstelle of the BVI Bundesverband Investment und Asset Management e.V., Unter den Linden 42, 10117 Berlin, www.ombudsstelle-investmentfonds.de.

Investment Conditions

governing the legal relationship between the shareholders and

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, Munich, (hereinafter referred to as the "**Company**")

externally managed by

BlackRock Asset Management Deutschland AG, Munich, (hereinafter referred to as the "**Management Company**")

for the UCITS-compliant securities sub-fund

iShares STOXX Europe 600 Food & Beverage UCITS ETF (DE), (hereinafter referred to as the "**UCITS sub-fund**")

These investment conditions are valid only in combination with the Articles of Incorporation of the Company.

INVESTMENT POLICIES AND RESTRICTIONS

§ 1 Assets and investment objective

The Company may acquire the following assets for the UCITS sub-fund:

- a) securities pursuant to Section 4 of these Investment Conditions,
- b) money market instruments pursuant to Section 5 of these Investment Conditions,
- c) bank accounts pursuant to Section 6 of these Investment Conditions,
- d) derivatives pursuant to Section 7 of these Investment Conditions,
- e) other investment instruments pursuant to Section 8 of these Investment Conditions,
- f) Investment fund units pursuant to Section 9 of these Investment Conditions

The purpose of the equity and equity index certificate selection for the UCITS sub-fund is to replicate the STOXX Europe 600 Food & Beverage (price index) (hereinafter referred to as the "Underlying Index") while maintaining an appropriate diversification of risk.

§ 2 Depository

1. The Company shall appoint a credit institution as Custodian Bank for the UCITS sub-fund; the Custodian Bank shall act independently of the Company and exclusively in the interests of the shareholders.
2. The tasks and duties of the Custodian Bank are governed by the custodian agreement

concluded with the Company, in accordance with the KAGB, the Articles of Incorporation and the Investment Conditions.

3. The Custodian Bank may outsource custodial tasks to another company (sub-custodian) pursuant to Section 73 KAGB. Please refer to the Sales Prospectus for details.
4. The Custodian Bank shall be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for the loss of a financial instrument pursuant to Section 72 Paragraph 1 Sentence 1 held in custody by the Custodian Bank or by a sub-custodian to whom the custody of financial instruments has been transferred according to Section 73 Paragraph 1 KAGB. The Custodian Bank is not liable if it can prove that the loss is due to external events whose consequences were unavoidable despite all reasonable countermeasures. Further claims arising out of the provisions of civil law on the basis of contracts or torts are not affected. The Custodian Bank shall also be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for all other losses that they incur if the Custodian Bank fails to meet its obligations under the provisions of the KAGB, whether negligently or intentionally. The Custodian Bank's liability remains unaffected by any transfer of custody tasks referred to in Paragraph 3, sentence 1.

§ 3 Investment principles

1. The Company may only acquire such assets on behalf of the UCITS sub-fund that are designed to replicate a certain security index ("Security Index") approved by the Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin) while still maintaining appropriate diversification of risk. The Security Index is approved specifically if
 - a) its composition is sufficiently diversified,
 - b) it represents an adequate benchmark for the market to which it relates; and
 - c) it has been published in an appropriate manner.
2. The UCITS sub-fund may only acquire securities included in the Security Index or introduced to it following a change thereto ("Index Securities"), securities that are issued on these Index Securities or on the Underlying Index, and derivatives on securities, money market instruments, investment fund units pursuant to Section 9, recognised financial indices, interest rates, foreign exchange rates or currencies in which the UCITS sub-fund may invest as provided for in the Investment Conditions. When replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in Index Securities over investments in any other assets mentioned in Sentence 1 above that are approved for use in replicating indices. The Underlying Index may be replicated using securities, derivatives that

indirectly replicate the index only for purposes of maintaining the investment restrictions listed in Section 10 Paragraph 7.

3. In order to replicate the Security Index, the duplication percentage may not be less than 95 percent of the total assets in the UCITS sub-fund as defined in the first sentence of Paragraph 2 above. Derivatives shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach provided for in the "ordinance on risk management and risk measurement in the use of derivatives, securities lending and repurchase agreements in investment funds" ("DerivateV") issued pursuant to Section 197 Paragraph 3 of the German Investment Code (KAGB).
4. The duplication percentage reflects the proportion of securities and derivatives according to Section 197 Paragraph 1 KAGB in the UCITS Fund that corresponds with the Security Index in terms of weighting. The duplication percentage is defined as being equal to 100 less one half of the sum of the differences between the weighting of the securities in the index and the applicable weighting of the securities included in the total assets of the UCITS sub-fund, totalled for all securities and applicable values of derivatives according to Section 197 Paragraph 1 KAGB in the UCITS sub-fund and for all securities in the index.

$$DG = 100\% - \frac{\sum_{i=1}^n |w_i^I - w_i^F|}{2}$$

DG	=	duplication percentage in %
n	=	number of share types in the Fund and index (upper summation limit)
I	=	index
F	=	Fund
w_i^I	=	weighting of equity i in index I in %
w_i^F	=	weighting of equity i to be included in the equity portion of the Fund in %
$\sum$	=	sum symbol
i	=	summation index; represents the individual share types of i = 1 (lower summations limit) bis i = n (upper summation limit)

§ 4 Securities

1. The Company may only acquire securities on behalf of the UCITS sub-fund if:
 - a) they are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) they are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in one of these states, provided the choice of such stock exchange or regulated market is permitted by BaFin,¹⁷
 - c) their terms of issue require application for admission to official trading on one of the stock exchanges permitted under a) and b) or for inclusion in one of the regulated markets permitted under a) and b), and admission or inclusion on these markets takes place within one year after their issue,
 - d) they are equities to which the UCITS sub-fund is entitled in an issuer's capital increase from company assets;
 - e) they are acquired in exercising subscription rights belonging to the UCITS sub-fund,
 - f) they are financial instruments that meet the criteria listed in Section 193 Paragraph 1 Sentence 1 No. 8 KAGB.
2. Securities may only be acquired in accordance with Paragraph 1 letters a) to c) if additionally the requirements of Section 193 Paragraph 1 Sentence 2 KAGB are met. Subscription rights arising from securities which may be acquired under this Section, Section 4, may also be acquired.

§ 5 Money market instruments

1. The Company may acquire on behalf of the UCITS sub-fund instruments normally dealt in on the money market and interest-bearing securities with a residual term of no more than 397 days at the time of their acquisition or whose interest rate, in accordance with the issue conditions, is regularly – and at least once each 397-day period – adjusted to reflect current market conditions or whose risk profile corresponds to the risk profile of this type of security (money market instruments). The money market instruments may also be denominated in foreign currency. Money

¹⁷ The list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB is published on the BaFin website. www.bafin.de

market instruments may only be acquired if they

- a) are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market there, provided the choice of such stock exchange or regulated market is permitted by BaFin,¹⁸
 - c) are issued or guaranteed by the European Union, the German Federal Government, a special-purpose fund of the German Federal Government, a German federal state, another member state or another central, regional or local authority or by the central bank of a European Union member state, the European Central Bank or the European Investment Bank, a non-EU member state or, in case of a federal state, by one of the members making up the federation, or by a public international body to which one or more EU member states belong,
 - d) are issued by a company whose securities are traded on the markets referred to in a) and b),
 - e) if they are issued or guaranteed by a credit institution that is subject to supervision that meets the criteria defined by European Union law, or a credit institution that is subject to the prudential rules considered by BaFin as equivalent to those laid down in European Union law, and which complies with such rules, or
 - f) are issued by other bodies and comply with the requirements of Section 194 Paragraph 1 Sentence 1 No. 6 KAGB.
2. Money market instruments as defined in Paragraph 1 may only be acquired if they comply with the requirements of Section 194 Paragraphs 2 and 3 KAGB.

§ 6 Bank accounts

The Company may also hold, on behalf of the UCITS sub-fund, bank accounts containing deposits with a maturity not exceeding twelve months. The accounts, which must be in the form of blocked accounts, may be maintained at a credit institution that has its registered office in a member state of the European Union or another state that is a party to the Agreement on the European Economic Area.

These accounts may also be maintained by a credit institution that has its registered office in a non-member state, provided that it is subject to the prudential rules considered by BaFin as equivalent to those laid down in the law of the European Union. The bank accounts may also be denominated in foreign currency.

§ 7 Derivatives

1. Unless specified otherwise in Paragraph 8, in managing the UCITS sub-fund, the Company may acquire derivatives in accordance with Section 197 Paragraph 1 Sentence 1 KAGB and financial instruments with derivative components in accordance with Section 197 Paragraph 1 Sentence 2 KAGB. It may – depending on the type and extent of derivatives and financial instruments with derivative components used – use either the simple or qualified approach within the meaning of DerivateV provided for in Section 197 Paragraph 3 KAGB when calculating the market risk limits established under Section 197 Paragraph 2 KAGB on the use of derivatives and financial instruments with derivative components; details are discussed in the Sales Prospectus.
2. If the Company uses the simple approach, it may only make regular use of the following basic forms of derivatives, financial instruments with a derivative component or combinations of these derivatives, financial instruments with a derivative component or combinations of underlying securities permitted under Section 197 Paragraph 1 Sentence 1 KAGB in the UCITS sub-fund. Complex derivatives based on permitted underlying securities pursuant to Section 197 Paragraph 1 sentence 1 KAGB may only be used for a negligible proportion. The weighted market risk attributable to the UCITS sub-fund, to be calculated as provided for in Section 16 DerivateV, may at no time exceed the value of the UCITS sub-fund. The basic forms of derivatives are:
 - a) Forward contracts on the underlying values pursuant to Section 197 Paragraph 1 KAGB with the exception of investment units pursuant to Section 196 KAGB;
 - b) Options or warrants on the underlying securities pursuant to Section 197 Paragraph 1 KAGB with the exception of investment fund units pursuant to Section 196 KAGB and on futures contracts as defined in a), if they have the following characteristics:
 - aa) exercising is possible either during the entire term or at the end of the term and
 - bb) at the time of being exercised, the option value is linearly based on the positive or negative difference between the underlying price and the

¹⁸ The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

market price of the underlying security and becomes nil if the difference has the other leading sign;

- c) Interest rate swaps, currency swaps or interest rate/currency swaps;
 - d) Options on swaps according to letter c), to the extent that they display the characteristics described in letter b) under letters aa) and bb) (swaptions);
 - e) Credit default swaps related to single underlying instruments (Single Name Credit Default Swaps).
3. If the Company uses the qualified approach, it may invest, subject to a suitable risk management system, in any financial instruments with a derivative component or derivatives that are derived from an underlying security that is permitted under Section 197 Paragraph 1 Sentence 1 KAGB.
- The potential risk amount for the market risk ("risk exposure") attributable to the UCITS sub-fund may at no time exceed two times the potential risk amount for the market risk of the associated benchmark assets pursuant to Section 9 DerivateV. Alternatively, the risk exposure may at no time exceed 20 percent of the value of the UCITS sub-fund.
4. In these transactions, the Company may under no circumstances deviate from the investment principles and limits listed in the Articles of Incorporation, these Investment Conditions or in the Sales Prospectus.
5. The Company will use the derivatives and financial instruments with a derivative component for the purpose of efficient portfolio management and to produce additional returns, when and to the extent that it considers this to be in the interests of the investors.
- No transactions with derivatives may be undertaken for purposes of hedging.
6. In calculating the market risk limit for the use of derivatives and financial instruments with a derivative component, the company may at any time switch between the simple and the qualified approach pursuant to § 6 Sentence 3 DerivateV. The change does not require the approval of BaFin. However, the company must report the change to BaFin without delay and announce it in the next semi-annual or annual report.
7. The Company will observe the guidelines of DerivateV when derivatives and financial instruments with derivative components are used.
8. In derogation of Paragraph 1, the Company may – subject to a suitable risk management system – only use futures contracts that are based on the Underlying Index and futures contracts that are based on individual stocks of the Underlying Index as well as warrants that are based on the Underlying Index and warrants that are based on individual stocks of the Underlying Index for the UCITS sub-fund.

§ 8 Other investment instruments

The Company may on behalf of the UCITS sub-fund acquire other investment instruments up to 10 percent of the value of the UCITS sub-fund pursuant to Section 198 KAGB.

§ 9 Investment fund units

1. The Company may, on behalf of the UCITS sub-fund, acquire units in investment funds pursuant to Directive 2009/65/EC (UCITS). Units in other domestic investment funds and joint-stock investment companies with variable capital and units in EU alternative investment funds and foreign open-ended alternative investment funds may be acquired if they meet the requirements of § 196 Para. 1 sentence 2 KAGB.
2. For account of the UCITS sub-fund, the company may only acquire units of domestic investment funds and joint-stock investment companies with variable capital, open-ended EU AIF and foreign open-ended AIF if, in accordance with the investment conditions or the Articles of Incorporation of the investment management company, the joint-stock investment company with variable capital, the EU investment fund, the EU management company, the foreign AIF or the foreign AIF management company, a total not exceeding 10 percent of the value of their assets may be invested in units of other domestic investment funds, joint-stock investment companies with variable capital, open-ended EU investment funds or foreign open-ended AIFs.

§ 10 Issuer and investment limits

1. The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and these Investment Conditions.
2. The Company may invest up to 20 percent of the assets of the UCITS sub-fund in securities from a single issuer (debtor).
3. The limit specified in Paragraph 2 may be increased to up to 35 percent of the value of the UCITS sub-fund for securities from a single issuer. An investment up to the limit specified in Sentence 1 above is permissible only for one individual issuer (debtor).
4. For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.
5. The Company may invest no more than 5 percent of the value of the UCITS sub-fund in bank accounts and money market instruments as defined in Sections 5 and 6.

6. The Company may invest no more than 10 percent of the value of the UCITS sub-fund in units of investment funds pursuant to Section 3 Paragraph 2 and Section 9. When doing so, the Company may acquire on behalf of the UCITS sub-fund no more than 25 percent of issued units of another open-ended domestic, EU or foreign investment fund that invests in assets in accordance with the principle of risk diversification as defined in Sections 192 to 198 KAGB.
7. A minimum of 95 percent of the UCITS sub-fund must be invested in assets based on the Security Index pursuant to Section 3 Paragraph 2 Sentence 1. At least 75 percent of the value of the UCITS sub-fund shall be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds.

§ 11 Loans

Short-term borrowing by the Company on the account of the UCITS sub-fund of amounts of up to 10 percent of the value of the UCITS sub-fund is permissible if the terms of the borrowing are at market rates and the Custodian Bank approves the borrowing.

SHARE CLASSES

§ 12 Share classes

1. Share classes as defined in Section 20 of the Articles of Incorporation may be formed for the UCITS sub-fund; these differ with respect to appropriation of income, issue premiums, redemption fees, management fees, minimum investment amount, currency, net asset value per share, or a combination of these characteristics. The creation of share classes is permitted at any time and is at the discretion of the Company.
2. The net asset value per share is calculated separately for each share class by allocating the costs of launching new share classes, the distributions (including any taxes that may be payable from the fund's assets), the management fee including income adjustment if applicable, exclusively to this share class.
3. The existing share classes are listed individually in the Sales Prospectus and in the annual and semi-annual reports. The structural characteristics defining the share classes (appropriation of income, issue premiums, redemption fees, management fees, currency, minimum investment amount, or a combination of these characteristics) are described in detail in the Sales Prospectus and in the annual and semi-annual reports.

ISSUE AND REDEMPTION OF SHARES/EXPENSES

§ 13 Issue and redemption of shares, fees

1. The Company indicates the issue premiums and redemption fees charged for each share class in the Sales Prospectus, the Key Information Document and in the annual and semi-annual reports.
2. For the calculation of share issue and redemption prices, the market values of the assets (net asset value) belonging to the UCITS sub-fund less borrowings undertaken and other liabilities (net asset value) is determined and divided by the number of shares in circulation (share value). If special share classes for the UCITS sub-fund are introduced in accordance with Section 12, then the net asset value per share and the issue and redemption prices for each share class shall be determined separately. The assets are valued in accordance with Sections 168 and 169 KAGB and the German Capital Investment Accounting and Valuation Ordinance ("KARBV").
3. The issue price corresponds to the net asset value per share at the issue date, plus any issue premium pursuant to Paragraph 4. The redemption price corresponds to the net asset value per share at the redemption date, plus any redemption fees pursuant to Paragraph 5.
4. Depending on the share class, the issue premium per share is up to 2 percent of the net asset value per share. The Company is free to charge a lower issue premium for one or more share classes, or all of them.
5. Depending on the share class, the redemption fee per share is up to 1 percent of the net asset value per share. The Company is free to charge a lower redemption fee for one or more share classes, or all of them. The Management Company shall receive the redemption fee.
6. The settlement date for issue and redemption orders is no later than the next valuation date following the receipt of the issue or redemption order. If the Company suspends the redemption of shares in accordance with Section 11 paragraph 6 of the Articles of Incorporation, the settlement date for such redemption orders is the valuation day following the resumption.
7. Issue and redemption prices will be determined on each exchange trading day. On public holidays under the KAGB that are stock exchange days and 24 and 31 December every year, the Company and the Custodian Bank may interrupt their daily price calculation; details are discussed in the Sales Prospectus.
8. The Company applies the Dual Pricing method when determining the issue and redemption prices. This means that, deviating from paragraph 2 sentence 1, a modified net asset value per share must be calculated in addition to the net asset value. For this purpose, for each issue and redemption of shares, the net asset value per share is adjusted by a factor

that reflects liquidity costs. The Company explains the procedure used to calculate the modified net asset value per share in the Sales Prospectus.

9. The Company may charge a redemption fee (Rückgabegebühr). The redemption fee is calculated on the basis of gross redemptions and amounts to up to 2 per cent of gross redemptions. The Sales Prospectus contains a description of the option and the conditions for a redemption fee.

§ 14 Expenses and services included

1. For managing the UCITS sub-fund, the Management Company receives from the assets of the UCITS sub-fund a fee of up to 0.45 percent per annum depending on the share class, based on the net asset value of the UCITS sub-fund determined each exchange trading day. The Management Company is free to charge a lower management fee for one or more share classes, or all of them. The management fee will be paid in advance in monthly instalments out of the UCITS sub-fund. The Company indicates the management fee charged for each share class in the Sales Prospectus and in the annual and semi-annual reports.
2. The management fee specified in Paragraph 1 shall cover services rendered by the Management Company for the UCITS sub-fund, including the expenses of the Custodian Bank, legally required printing, mailings, and publications associated with the UCITS sub-fund, and for annual report audits conducted by auditors of the Company.
3. The following expenses are not covered by Paragraph 1:
 - a) Expenses resulting from the purchase and sale of assets (transaction costs),
 - b) Customary bank custody fees, including the customary bank charges for the custody of foreign securities abroad and related taxes, if applicable,
 - c) Customary expenses related to day-to-day account management,
 - d) Expenses incurred in the assertion and enforcement of the legal claims of the UCITS sub-fund,
 - e) Expenses for providing information to investors of the UCITS sub-fund by means of a durable medium, with the exception of expenses for providing information in the case of fund mergers and with the exception of information on measures connected with violations of investment limits or errors in calculating the net asset value per share.

Such expenses may be charged to the UCITS sub-fund in addition to the management fee charged in accordance with Paragraph 1.

4. The Company has to publish in the annual report and in the semi-annual report the

amount of the issue premiums and redemption fees that have been charged to the UCITS sub-fund during the reporting period for the purchase and redemption of shares as defined in Section 9. When units are purchased that are managed, directly or indirectly, by the Management Company itself or by any other company with which the Management Company is affiliated through a significant direct or indirect equity interest, the Management Company or the other company may not levy issue premiums or redemption fees for the purchase or redemption. The Company publishes in the annual report and in the semi-annual report the fees charged as management fees for the units held in the UCITS sub-fund when such fees are charged by the Management Company, by another investment management company, a joint-stock investment company or another company with which the Management Company is affiliated through a significant direct or indirect equity interest, or by a foreign investment company, including its management company.

APPROPRIATION OF INCOME, TERM AND FINANCIAL YEAR

§ 15 Distribution

1. For distributing share classes, the Company distributes, net of costs, the interest, dividends and other income from investment fund shares received for account of the UCITS sub-fund, taking into account the appropriate income netting. Capital gains and other income - taking into account the appropriate income equalisation - can also be used for distributions.
2. The final distribution takes place within four months of the financial year-end. In addition, the Company may carry out interim distributions during the year.
3. The interim distribution amount is at the discretion of the Company. The Company is not obliged to distribute all distributable income pursuant to Paragraph 1 accumulated up to the date of the interim distribution; it may carry ordinary income forward to the next distribution date.
4. Interim distributions are intended to minimise any discrepancy between the performance of the UCITS sub-fund and that of the Underlying Index.
5. Distributable income pursuant to Paragraph 1 may be carried forward for distribution in subsequent financial years if the amount of the income carried forward does not exceed 15 percent of the respective value of the UCITS sub-fund at the end of the financial year. Income from short financial years may be carried forward in its entirety.
6. In the interests of maintaining equity, some income, or in exceptional cases, all income,

may be set aside for accumulation in the UCITS sub-fund.

7. If no share classes are created, the income will be distributed.

§ 16 Reinvestment

For reinvesting share classes, the Company invests the interest, dividends and other income of the UCITS sub-fund, taking into account the appropriate income netting, as well as the realised capital gains that have accrued for account of the sub-fund during the financial year in the UCITS sub-fund, net of costs.

§ 17 Financial year and accounting

1. The financial year of the UCITS sub-fund begins on 1 March of each calendar year and ends on the last day of February.
2. The company publishes an annual financial statement with a management report no later than four months after the end of the financial year in accordance with § 120 Para. 1, 2 and 6 Sentence 3 in conjunction with § 123 Para. 1 No. 1 KAGB.
3. The Company publishes a semi-annual report no later than two months after the end of the first half of the financial year in accordance with Section 122 Paragraph 1 Sentence 4 in conjunction with Section 103 and Section 107 Paragraph 1 Sentence 2 KAGB.

§ 18 Liquidation of the sub-fund

1. The Company may liquidate the UCITS sub-fund pursuant to Section 19 of the Articles of Incorporation. This liquidation resolution shall take effect six months after its publication in the Bundesanzeiger. The shareholders must be informed by the Company immediately by means of a durable medium as defined in Section 167 KAGB of the announcement of a termination in accordance with Sentence 2.
2. The Company must prepare a liquidation report for the period ending on the date on which its right to manage lapses pursuant to Section 117 Paragraph 8 Sentence 4, 100 Paragraph 1 KAGB; this liquidation report must fulfil the requirements of an annual report in accordance with Section 120 Paragraph 1.
3. Net liquidation proceeds not collected by shareholders upon completion of the liquidation proceedings may be deposited with an appropriate depository for the benefit of the entitled shareholders.

§ 19 Change of the external investment management company and the depository

1. The company may transfer the management and disposal rights over the company to another external investment management

company. The transfer is subject to the prior approval of BaFin.

2. The approved transfer shall be published in the Bundesanzeiger and in the annual financial statements or the semi-annual report. Investors must be informed immediately by means of a durable medium of the announcement of a transfer in accordance with sentence 1. The transfer shall take effect no earlier than three months after its publication in the Bundesanzeiger.
3. The company may change the depository for the UCITS sub-fund. The change must be approved by BaFin.

§ 20 Changes to the Investment Conditions

1. The Company is entitled to change the Investment Conditions.
2. Amendments to the Investment Conditions require the prior approval of BaFin.
3. All planned amendments shall be published in the Bundesanzeiger and, in addition, in a financial or daily newspaper with sufficient circulation or in the electronic information media designated in the Sales Prospectus. The planned changes and their effective dates must be stated in any publication made in accordance with Sentence 1 above. In the event of amendments to costs detrimental to investors as defined in Section 162 Paragraph 2 (11) KAGB, amendments to the investment principles of the UCITS Fund as defined in Section 163 Paragraph 3 KAGB or amendments related to significant investor rights, investors must be informed simultaneously with the publication pursuant to Sentence 1 of the significant contents of the proposed amendments to the Investment Conditions and the background thereto, as well as information on their rights pursuant to Section 163 Paragraph 3 KAGB by means of a durable medium and in an understandable way in accordance with Section 163 Paragraph 4 KAGB.
4. The amendments enter into force at the earliest on the day after their publication in the Bundesanzeiger; amendments to costs and to the investment principles, however, do not enter into force until three months after the corresponding publication. With the consent of the BaFin, an earlier date may be determined, insofar as this concerns a change in costs that benefits the investors.

§ 21 Place of performance

The place of performance is the registered office of the Company.

§ 22 Name

The rights of shareholders who acquired shares originally named "iShares STOXX Europe 600 Food & Beverage (DE)" remain unaffected.

Investment Conditions

governing the legal relationship between the shareholders and

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, Munich, (hereinafter referred to as the "**Company**")

externally managed by

BlackRock Asset Management Deutschland AG, Munich, (hereinafter referred to as the "**Management Company**")

for the UCITS-compliant securities sub-fund

iShares STOXX Global Select Dividend 100 UCITS ETF (DE), (hereinafter referred to as the "**UCITS sub-fund**")

These investment conditions are valid only in combination with the Articles of Incorporation of the Company.

INVESTMENT POLICIES AND RESTRICTIONS

§ 1 Assets and investment objective

The Company may acquire the following assets for the UCITS sub-fund:

- a) securities pursuant to Section 4 of these Investment Conditions,
- b) money market instruments pursuant to Section 5 of these Investment Conditions,
- c) bank accounts pursuant to Section 6 of these Investment Conditions,
- d) derivatives pursuant to Section 7 of these Investment Conditions,
- e) other investment instruments pursuant to Section 8 of these Investment Conditions,
- f) Investment fund units pursuant to Section 9 of these Investment Conditions

The purpose of the equity and equity index certificate selection for the UCITS sub-fund is to replicate the STOXX® Global Select Dividend 100 (price index) (hereinafter referred to as the "Underlying Index") while maintaining an appropriate diversification of risk.

§ 2 Depository

1. The Company shall appoint a credit institution as Custodian Bank for the UCITS sub-fund; the Custodian Bank shall act independently of the Company and exclusively in the interests of the shareholders.

2. The tasks and duties of the Custodian Bank are governed by the custodian agreement concluded with the Company, in accordance with the KAGB, the Articles of Incorporation and the Investment Conditions.
3. The Custodian Bank may outsource custodial tasks to another company (sub-custodian) pursuant to Section 73 KAGB. Please refer to the Sales Prospectus for details.
4. The Custodian Bank shall be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for the loss of a financial instrument pursuant to Section 72 Paragraph 1 Sentence 1 held in custody by the Custodian Bank or by a sub-custodian to whom the custody of financial instruments has been transferred according to Section 73 Paragraph 1 KAGB. The Custodian Bank is not liable if it can prove that the loss is due to external events whose consequences were unavoidable despite all reasonable countermeasures. Further claims arising out of the provisions of civil law on the basis of contracts or torts are not affected. The Custodian Bank shall also be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for all other losses that they incur if the Custodian Bank fails to meet its obligations under the provisions of the KAGB, whether negligently or intentionally. The Custodian Bank's liability remains unaffected by any transfer of custody tasks referred to in Paragraph 3, sentence 1.

§ 3 Investment principles

1. The Company may only acquire such assets on behalf of the UCITS sub-fund that are designed to replicate a certain security index ("Security Index") approved by the Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin) while still maintaining appropriate diversification of risk. The Security Index is approved specifically if
 - a) its composition is sufficiently diversified,
 - b) it represents an adequate benchmark for the market to which it relates; and
 - c) it has been published in an appropriate manner.
2. The UCITS sub-fund may only acquire securities included in the Underlying Index or introduced to it following a change thereto ("Index Securities"), securities that are issued on these Index Securities or on the Underlying Index, and derivatives on securities, money market instruments, investment fund units pursuant to Section 9, recognised financial indices, interest rates, foreign exchange rates or currencies in which the UCITS sub-fund may invest as provided for in the Investment Conditions. When replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in Index Securities over investments in any other assets mentioned in Sentence 1 above that are approved for use in

replicating indices. The Underlying Index may be replicated using securities, derivatives that indirectly replicate the index only for purposes of maintaining the investment restrictions listed in Section 10 Paragraph 7 Sentence 1. Outside the limit laid down in Section 10 Paragraph 7 Sentence 1 the Company, for the account of the UCITS sub-fund, may also invest up to 5 percent of the value of the UCITS sub-fund in basic forms of derivatives as defined in Section 7 para. 2, particularly future contracts on securities in the meaning of Section 4, money market instruments in the meaning of Section 5, investment fund units in the meaning of Section 9, recognised financial indices, interest rates, exchange rates or currencies which are not contained in the Underlying Index.

3. In order to replicate the Underlying Index, the duplication percentage may not be less than 95 percent of the total assets in the UCITS sub-fund as defined in the first sentence of Paragraph 2 above. Derivatives shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach provided for in the "ordinance on risk management and risk measurement in the use of derivatives, securities lending and repurchase agreements in investment funds" ("DerivateV") issued pursuant to Section 197 Paragraph 3 of the German Investment Code (KAGB).
4. The duplication percentage reflects the proportion of securities and derivatives according to Section 197 Paragraph 1 KAGB in the UCITS sub-fund that corresponds with the Underlying Index in terms of weighting. The duplication percentage is defined as being equal to 100 less one half of the sum of the differences between the weighting of the securities in the Underlying Index and the applicable weighting of the securities included in the total assets of the UCITS sub-fund, totalled for all securities and applicable values of derivatives according to Section 197 Paragraph 1 KAGB in the UCITS sub-fund and for all securities in the Underlying Index.

$$DG = 100\% - \frac{\sum_{i=1}^n |W_i^I - W_i^F|}{2}$$

DG	=	duplication percentage in %
n	=	number of share types in the Fund and index (upper summation limit)
I	=	index
F	=	Fund
W_i^I	=	weighting of equity i in index I in %
W_i^F	=	weighting of equity i to be included in the equity portion of the Fund in %
Σ	=	sum symbol
i	=	summation index; represents the individual share types of i = 1 (lower summations limit) bis i = n (upper summation limit)

§ 4 Securities

1. The Company may only acquire securities on behalf of the UCITS sub-fund if:
 - a) they are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) they are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in one of these states, provided the choice of such stock exchange or regulated market is permitted by BaFin,¹⁹
 - c) their terms of issue require application for admission to official trading on one of the stock exchanges permitted under a) and b) or for inclusion in one of the regulated markets permitted under a) and b), and admission or inclusion on these markets takes place within one year after their issue,
 - d) they are equities to which the UCITS sub-fund is entitled in an issuer's capital increase from company assets;

¹⁹ The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

- e) they are acquired in exercising subscription rights belonging to the UCITS sub-fund,
 - f) they are financial instruments that meet the criteria listed in Section 193 Paragraph 1 Sentence 1 No. 8 KAGB.
2. Securities may only be acquired in accordance with Paragraph 1 letters a) to c) if additionally the requirements of Section 193 Paragraph 1 Sentence 2 KAGB are met. Subscription rights arising from securities which may be acquired under this Section, Section 4, may also be acquired.

§ 5 Money market instruments

1. The Company may acquire on behalf of the UCITS sub-fund instruments normally dealt in on the money market and interest-bearing securities with a residual term of no more than 397 days at the time of their acquisition or whose interest rate, in accordance with the issue conditions, is regularly – and at least once each 397-day period – adjusted to reflect current market conditions or whose risk profile corresponds to the risk profile of this type of security (money market instruments). The money market instruments may also be denominated in foreign currency. Money market instruments may only be acquired if they
- a) are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market there, provided the choice of such stock exchange or regulated market is permitted by BaFin,²⁰
 - c) are issued or guaranteed by the European Union, the German Federal Government, a special-purpose fund of the German Federal Government, a German federal state, another member state or another central, regional or local authority or by the central bank of a European Union member state, the European Central Bank or the European Investment Bank, a non-EU member state or, in case of a federal state, by one of the members making up the federation, or by a public international body to which one or more EU member states belong,

- d) are issued by a company whose securities are traded on the markets referred to in a) and b),
- e) if they are issued or guaranteed by a credit institution that is subject to supervision that meets the criteria defined by European Union law, or a credit institution that is subject to the prudential rules considered by BaFin as equivalent to those laid down in European Union law, and which complies with such rules, or
- f) are issued by other bodies and comply with the requirements of Section 194 Paragraph 1 Sentence 1 No. 6 KAGB.

2. Money market instruments as defined in Paragraph 1 may only be acquired if they comply with the requirements of Section 194 Paragraphs 2 and 3 KAGB.

§ 6 Bank accounts

The Company may also hold, on behalf of the UCITS sub-fund, bank accounts containing deposits with a maturity not exceeding twelve months. The accounts, which must be in the form of blocked accounts, may be maintained at a credit institution that has its registered office in a member state of the European Union or another state that is a party to the Agreement on the European Economic Area. These accounts may also be maintained by a credit institution that has its registered office in a non-member state, provided that it is subject to the prudential rules considered by BaFin as equivalent to those laid down in the law of the European Union. The bank accounts may also be denominated in foreign currency.

§ 7 Derivatives

1. Unless specified otherwise in Paragraph 8, in managing the UCITS sub-fund, the Company may acquire derivatives in accordance with Section 197 Paragraph 1 Sentence 1 KAGB and financial instruments with derivative components in accordance with Section 197 Paragraph 1 Sentence 2 KAGB. It may – depending on the type and extent of derivatives and financial instruments with derivative components used – use either the simple or qualified approach within the meaning of DerivateV provided for in Section 197 Paragraph 3 KAGB when calculating the market risk limits established under Section 197 Paragraph 2 KAGB on the use of derivatives and financial instruments with derivative components; details are discussed in the Sales Prospectus.
2. If the Company uses the simple approach, it may only make regular use of the following basic forms of derivatives, financial instruments with a derivative component or combinations of these derivatives, financial instruments with a derivative component or combinations of underlying securities

²⁰ The list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB is published on the BaFin website. www.bafin.de

permitted under Section 197 Paragraph 1 Sentence 1 KAGB in the UCITS sub-fund. Complex derivatives based on permitted underlying securities pursuant to Section 197 Paragraph 1 sentence 1 KAGB may only be used for a negligible proportion. The weighted market risk attributable to the UCITS sub-fund, to be calculated as provided for in Section 16 DerivateV, may at no time exceed the value of the UCITS sub-fund. The basic forms of derivatives are:

- a) Forward contracts on the underlying values pursuant to Section 197 Paragraph 1 KAGB with the exception of investment units pursuant to Section 196 KAGB;
 - b) Options or warrants on the underlying securities pursuant to Section 197 Paragraph 1 KAGB with the exception of investment fund units pursuant to Section 196 KAGB and on futures contracts as defined in a), if they have the following characteristics:
 - aa) exercising is possible either during the entire term or at the end of the term and
 - bb) at the time of being exercised, the option value is linearly based on the positive or negative difference between the underlying price and the market price of the underlying security and becomes nil if the difference has the other leading sign;
 - c) Interest rate swaps, currency swaps or interest rate/currency swaps;
 - d) Options on swaps according to letter c), to the extent that they display the characteristics described in letter b) under letters aa) and bb) (swaptions);
 - e) Credit default swaps related to single underlying instruments (Single Name Credit Default Swaps).
3. If the Company uses the qualified approach, it may invest, subject to a suitable risk management system, in any financial instruments with a derivative component or derivatives that are derived from an underlying security that is permitted under Section 197 Paragraph 1 Sentence 1 KAGB.
- The potential risk amount for the market risk ("risk exposure") attributable to the UCITS sub-fund may at no time exceed two times the potential risk amount for the market risk of the associated benchmark assets pursuant to Section 9 DerivateV. Alternatively, the risk exposure may at no time exceed 20 percent of the value of the UCITS sub-fund.
4. In these transactions, the Company may under no circumstances deviate from the investment principles and limits listed in the Articles of Incorporation, these Investment Conditions or in the Sales Prospectus.
 5. The Company will use the derivatives and financial instruments with a derivative component for the purpose of efficient portfolio management and to produce

additional returns, when and to the extent that it considers this to be in the interests of the investors.

No transactions with derivatives may be undertaken for purposes of hedging.

6. In calculating the market risk limit for the use of derivatives and financial instruments with a derivative component, the company may at any time switch between the simple and the qualified approach pursuant to § 6 Sentence 3 DerivateV. The change does not require the approval of BaFin. However, the company must report the change to BaFin without delay and announce it in the next semi-annual or annual report.
7. The Company will observe the guidelines of DerivateV when derivatives and financial instruments with derivative components are used.
8. In derogation of Paragraph 1, the Company may – subject to a suitable risk management system – only use futures contracts that are based on the Underlying Index and futures contracts that are based on individual stocks of the Underlying Index as well as warrants that are based on the Underlying Index and warrants that are based on individual stocks of the Underlying Index for the UCITS sub-fund. Outside the limit laid down in Section 10 Paragraph 7 Sentence 1 the Company, for the account of the UCITS sub-fund, may also invest up to 5 percent of the value of the UCITS sub-fund in basic forms of derivatives as defined in Section 7 para. 2, particularly future contracts and warrants on securities in the meaning of Section 4, money market instruments in the meaning of Section 5, investment fund units in the meaning of Section 9, recognised financial indices, interest rates, exchange rates or currencies which are not contained in the Underlying Index.

§ 8 Other investment instruments

The Company may on behalf of the UCITS sub-fund acquire other investment instruments up to 10 percent of the value of the UCITS sub-fund pursuant to Section 198 KAGB.

§ 9 Investment fund units

1. The Company may, on behalf of the UCITS sub-fund, acquire units in investment funds pursuant to Directive 2009/65/EC (UCITS). Units in other domestic investment funds and joint-stock investment companies with variable capital and units in EU alternative investment funds and foreign open-ended alternative investment funds may be acquired if they meet the requirements of § 196 Para. 1 sentence 2 KAGB.
2. For account of the UCITS sub-fund, the company may only acquire units of domestic investment funds and joint-stock investment companies with variable capital, open-ended EU AIF and foreign open-ended AIF if, in accordance with the investment conditions or

the Articles of Incorporation of the investment management company, the joint-stock investment company with variable capital, the EU investment fund, the EU management company, the foreign AIF or the foreign AIF management company, a total not exceeding 10 percent of the value of their assets may be invested in units of other domestic investment funds, joint-stock investment companies with variable capital, open-ended EU investment funds or foreign open-ended AIFs.

§ 10 Issuer and investment limits

1. The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and these Investment Conditions.
2. The Company may invest up to 20 percent of the assets of the UCITS sub-fund in securities from a single issuer (debtor).
3. The limit specified in Paragraph 2 may be increased to up to 35 percent of the value of the UCITS sub-fund for securities from a single issuer. An investment up to the limit specified in Sentence 1 above is permissible only for one individual issuer (debtor).
4. For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.
5. The Company may invest no more than 5 percent of the value of the UCITS sub-fund in bank accounts and money market instruments as defined in Sections 5 and 6.
6. The Company may invest no more than 10 percent of the value of the UCITS sub-fund in units of investment funds pursuant to Section 3 Paragraph 2 and Section 9. When doing so, the Company may acquire on behalf of the UCITS sub-fund no more than 25 percent of issued units of another open-ended domestic, EU or foreign investment fund that invests in assets in accordance with the principle of risk diversification as defined in Sections 192 to 198 KAGB.
7. The Company must invest a minimum of 95 percent of the value of the UCITS sub-fund in assets based on the Underlying Index pursuant to Section 3 Paragraph 2 Sentence 1. At least 70 percent of the value of the UCITS sub-fund shall be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds.

§ 11 Loans

Short-term borrowing by the Company on the account of the UCITS sub-fund of amounts of up to

10 percent of the value of the UCITS sub-fund is permissible if the terms of the borrowing are at market rates and the Custodian Bank approves the borrowing.

SHARE CLASSES

§ 12 Share classes

1. Share classes as defined in Section 20 of the Articles of Incorporation may be formed for the UCITS sub-fund; these differ with respect to appropriation of income, issue premiums, redemption fees, management fees, minimum investment amount, currency of the share value, or a combination of these characteristics. The creation of share classes is permitted at any time and is at the discretion of the Company.
2. The net asset value per share is calculated separately for each share class by allocating the costs of launching new share classes, the distributions (including any taxes that may be payable from the fund's assets), the management fee including income adjustment if applicable, exclusively to this share class.
3. The existing share classes are listed individually in the Sales Prospectus and in the annual and semi-annual reports. The structural characteristics defining the share classes (appropriation of income, issue premiums, redemption fees, management fees, currency of the share value, minimum investment amount, or a combination of these characteristics) are described in detail in the Sales Prospectus and in the annual and semi-annual reports.

ISSUE AND REDEMPTION OF SHARES/EXPENSES

§ 13 Issue and redemption of shares, fees

1. The Company indicates the issue premiums and redemption fees charged for each share class in the Sales Prospectus, the Key Information Document and in the annual and semi-annual reports.
2. For the calculation of share issue and redemption prices, the market values of the assets (net asset value) belonging to the UCITS sub-fund less borrowings undertaken and other liabilities (net asset value) is determined and divided by the number of shares in circulation (share value). If special share classes for the UCITS sub-fund are introduced in accordance with Section 12, then the net asset value per share and the issue and redemption prices for each share class shall be determined separately. The assets are valued in accordance with Sections 168 and 169 KAGB and the German Capital Investment Accounting and Valuation Ordinance ("KARBV").

3. The issue price corresponds to the net asset value per share at the issue date, plus any issue premium pursuant to Paragraph 4. The redemption price corresponds to the net asset value per share at the redemption date, plus any redemption fees pursuant to Paragraph 5.
4. Depending on the share class, the issue premium per share is up to 2 percent of the net asset value per share. The Company is free to charge a lower issue premium for one or more share classes, or all of them.
5. Depending on the share class, the redemption fee per share is up to 1 percent of the net asset value per share. The Company is free to charge a lower redemption fee for one or more share classes, or all of them. The Management Company shall receive the redemption fee.
6. The settlement date for issue and redemption orders is no later than the next valuation date following the receipt of the issue or redemption order. If the Company suspends the redemption of shares in accordance with Section 11 paragraph 6 of the Articles of Incorporation, the settlement date for such redemption orders is the valuation day following the resumption.
7. Issue and redemption prices will be determined on each exchange trading day. On public holidays under the KAGB that are stock exchange days and 24 and 31 December every year, the Company and the Custodian Bank may interrupt their daily price calculation; details are discussed in the Sales Prospectus.
8. The Company applies the Dual Pricing method when determining the issue and redemption prices. This means that, deviating from paragraph 2 sentence 1, a modified net asset value per share must be calculated in addition to the net asset value. For this purpose, for each issue and redemption of shares, the net asset value per share is adjusted by a factor that reflects liquidity costs. The Company explains the procedure used to calculate the modified net asset value per share in the Sales Prospectus.
9. The Company may charge a redemption fee (Rückgabegebühr). The redemption fee is calculated on the basis of gross redemptions and amounts to up to 2 per cent of gross redemptions. The Sales Prospectus contains a description of the option and the conditions for a redemption fee.

§ 14 Expenses and services included

1. For managing the UCITS sub-fund, the Management Company receives from the assets of the UCITS sub-fund a fee of up to 0.45 percent per annum depending on the share class, based on the net asset value of the UCITS sub-fund determined each exchange trading day. The Management Company is free to charge a lower management fee for one or more share classes, or all of them. The management fee

will be paid in advance in monthly instalments out of the UCITS sub-fund. The Company indicates the management fee charged for each share class in the Sales Prospectus and in the annual and semi-annual reports.

2. The management fee specified in Paragraph 1 shall cover services rendered by the Management Company for the UCITS sub-fund, including the expenses of the Custodian Bank, legally required printing, mailings, and publications associated with the UCITS sub-fund, and for annual report audits conducted by auditors of the Company.
3. The following expenses are not covered by Paragraph 1:
 - a) Expenses resulting from the purchase and sale of assets (transaction costs),
 - b) Customary bank custody fees, including the customary bank charges for the custody of foreign securities abroad and related taxes, if applicable,
 - c) Customary expenses related to day-to-day account management,
 - d) Expenses incurred in the assertion and enforcement of the legal claims of the UCITS sub-fund,
 - e) Expenses for providing information to investors of the UCITS sub-fund by means of a durable medium, with the exception of expenses for providing information in the case of fund mergers and with the exception of information on measures connected with violations of investment limits or errors in calculating the net asset value per share.

Such expenses may be charged to the UCITS sub-fund in addition to the management fee charged in accordance with Paragraph 1.

4. The Company has to publish in the annual report and in the semi-annual report the amount of the issue premiums and redemption fees that have been charged to the UCITS sub-fund during the reporting period for the purchase and redemption of shares as defined in Section 9. When units are purchased that are managed, directly or indirectly, by the Management Company itself or by any other company with which the Management Company is affiliated through a significant direct or indirect equity interest, the Management Company or the other company may not levy issue premiums or redemption fees for the purchase or redemption. The Company publishes in the annual report and in the semi-annual report the fees charged as management fees for the units held in the UCITS sub-fund when such fees are charged by the Management Company, by another investment management company, a joint-stock investment company or another company with which the Management Company is affiliated through a significant direct or indirect equity interest, or by a foreign investment company, including its management company.

APPROPRIATION OF INCOME, TERM AND FINANCIAL YEAR

§ 15 Distribution

1. For distributing share classes, the Company distributes, net of costs, the interest, dividends and other income from investment fund shares received for account of the UCITS sub-fund, taking into account the appropriate income netting. Capital gains and other income - taking into account the appropriate income equalisation - can also be used for distributions.
2. The final distribution takes place within four months of the financial year-end. In addition, the Company may carry out interim distributions during the year.
3. The interim distribution amount is at the discretion of the Company. The Company is not obliged to distribute all distributable income pursuant to Paragraph 1 accumulated up to the date of the interim distribution; it may carry ordinary income forward to the next distribution date.
4. Interim distributions are intended to minimise any discrepancy between the performance of the UCITS sub-fund and that of the Underlying Index.
5. Distributable income pursuant to Paragraph 1 may be carried forward for distribution in subsequent financial years if the amount of the income carried forward does not exceed 15 percent of the respective value of the UCITS sub-fund at the end of the financial year. Income from short financial years may be carried forward in its entirety.
6. In the interests of maintaining equity, some income, or in exceptional cases, all income, may be set aside for accumulation in the UCITS sub-fund.
7. If no share classes are created, the income will be distributed.

§ 16 Reinvestment

For reinvesting share classes, the Company invests the interest, dividends and other income of the UCITS sub-fund, taking into account the appropriate income netting, as well as the realised capital gains that have accrued for account of the sub-fund during the financial year in the UCITS sub-fund, net of costs.

§ 17 Financial year and accounting

1. The financial year of the UCITS sub-fund begins on 1 March of each calendar year and ends on the last day of February.
2. The company publishes an annual financial statement with a management report no later than four months after the end of the financial year in accordance with § 120 Para. 1, 2 and

6 Sentence 3 in conjunction with § 123 Para. 1 No. 1 KAGB.

3. The Company publishes a semi-annual report no later than two months after the end of the first half of the financial year in accordance with Section 122 Paragraph 1 Sentence 4 in conjunction with Section 103 and Section 107 Paragraph 1 Sentence 2 KAGB.

§ 18 Liquidation of the sub-fund

1. The Company may liquidate the UCITS sub-fund pursuant to Section 19 of the Articles of Incorporation. This liquidation resolution shall take effect six months after its publication in the Bundesanzeiger. The shareholders must be informed by the Company immediately by means of a durable medium as defined in Section 167 KAGB of the announcement of a termination in accordance with Sentence 2.
2. The Company must prepare a liquidation report for the period ending on the date on which its right to manage lapses pursuant to Section 117 Paragraph 8 Sentence 4, 100 Paragraph 1 KAGB; this liquidation report must fulfil the requirements of an annual report in accordance with Section 120 Paragraph 1.
3. Net liquidation proceeds not collected by shareholders upon completion of the liquidation proceedings may be deposited with an appropriate depository for the benefit of the entitled shareholders.

§ 19 Change of the external investment management company and the depository

1. The company may transfer the management and disposal rights over the company to another external investment management company. The transfer is subject to the prior approval of BaFin.
2. The approved transfer shall be published in the Bundesanzeiger and in the annual financial statements or the semi-annual report as well as in the electronic medium mentioned in the prospectus. The transfer shall take effect no earlier than three months after its publication in the Bundesanzeiger.
3. The company may change the depository for the UCITS sub-fund. The change must be approved by BaFin.

§ 20 Changes to the Investment Conditions

1. The Company is entitled to change the Investment Conditions.
2. Amendments to the Investment Conditions require the prior approval of BaFin.
3. All planned amendments shall be published in the Bundesanzeiger and, in addition, in a financial or daily newspaper with sufficient circulation or in the electronic information

media designated in the Sales Prospectus. The planned changes and their effective dates must be stated in any publication made in accordance with Sentence 1 above. In the event of disadvantageous amendments to costs as defined in Section 162 Paragraph 2 (11) KAGB or disadvantageous amendments related to significant investor rights as well as in case of amendments of the investment principles of the UCITS sub-fund as defined in Section 163 Paragraph 3 KAGB, investors must be informed simultaneously with the publication pursuant to Sentence 1 of the significant contents of the proposed amendments to the Investment Conditions and the background thereto by means of a durable medium and in an understandable way. Additionally, in case of amendments of the latest investment principles, investors have to be informed about their rights according to Section 163 Paragraph 3 KAGB.

4. The amendments enter into force at the earliest on the day after their publication in the Bundesanzeiger; amendments to costs and to the investment principles, however, do not enter into force until four weeks after the corresponding publication.

§ 21 Place of performance

The place of performance is the registered office of the Company.

§ 22 Name

The rights of shareholders who acquired shares originally named "iShares DJ STOXX Global Select Dividend 100 (DE)" or "iShares STOXX Global Select Dividend 100 (DE)" remain unaffected.

§ 23 Dispute resolution procedure

1. The Company has undertaken to participate in dispute resolution proceedings before a consumer arbitration board. In the event of disputes, consumers may call upon the ombudsman's office for investment funds of the BVI Bundesverband Investment und Asset Management e.V. (BVI) as the competent consumer arbitration body. The Company participates in dispute resolution proceedings before this arbitration board.
2. The contact details are: Office of the Ombudsstelle of the BVI Bundesverband Investment und Asset Management e.V., Unter den Linden 42, 10117 Berlin, www.ombudsstelle-investmentfonds.de.

Investment Conditions

governing the legal relationship between the shareholders and

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, Munich, (hereinafter referred to as the "**Company**")

externally managed by

BlackRock Asset Management Deutschland AG, Munich, (hereinafter referred to as the "**Management Company**")

for the UCITS-compliant securities sub-fund

iShares STOXX Europe 600 Health Care UCITS ETF (DE), (hereinafter referred to as the "**UCITS sub-fund**")

These investment conditions are valid only in combination with the Articles of Incorporation of the Company.

INVESTMENT POLICIES AND RESTRICTIONS

§ 1 Assets and investment objective

The Company may acquire the following assets for the UCITS sub-fund:

- a) securities pursuant to Section 4 of these Investment Conditions,
- b) money market instruments pursuant to Section 5 of these Investment Conditions,
- c) bank accounts pursuant to Section 6 of these Investment Conditions,
- d) derivatives pursuant to Section 7 of these Investment Conditions,
- e) other investment instruments pursuant to Section 8 of these Investment Conditions,
- f) Investment fund units pursuant to Section 9 of these Investment Conditions

The purpose of the equity and equity index certificate selection for the UCITS sub-fund is to replicate the STOXX Europe 600 Health Care (price index) (hereinafter referred to as the "Underlying Index") while maintaining an appropriate diversification of risk.

§ 2 Depository

1. The Company shall appoint a credit institution as Custodian Bank for the UCITS sub-fund; the Custodian Bank shall act independently of the Company and exclusively in the interests of the shareholders.
2. The tasks and duties of the Custodian Bank are governed by the custodian agreement

concluded with the Company, in accordance with the KAGB, the Articles of Incorporation and the Investment Conditions.

3. The Custodian Bank may outsource custodial tasks to another company (sub-custodian) pursuant to Section 73 KAGB. Please refer to the Sales Prospectus for details.
4. The Custodian Bank shall be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for the loss of a financial instrument pursuant to Section 72 Paragraph 1 Sentence 1 held in custody by the Custodian Bank or by a sub-custodian to whom the custody of financial instruments has been transferred according to Section 73 Paragraph 1 KAGB. The Custodian Bank is not liable if it can prove that the loss is due to external events whose consequences were unavoidable despite all reasonable countermeasures. Further claims arising out of the provisions of civil law on the basis of contracts or torts are not affected. The Custodian Bank shall also be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for all other losses that they incur if the Custodian Bank fails to meet its obligations under the provisions of the KAGB, whether negligently or intentionally. The Custodian Bank's liability remains unaffected by any transfer of custody tasks referred to in Paragraph 3, sentence 1.

§ 3 Investment principles

1. The Company may only acquire such assets on behalf of the UCITS sub-fund that are designed to replicate a certain security index ("Security Index") approved by the Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin) while still maintaining appropriate diversification of risk. The Security Index is approved specifically if
 - a) its composition is sufficiently diversified,
 - b) it represents an adequate benchmark for the market to which it relates; and
 - c) it has been published in an appropriate manner.
2. The UCITS sub-fund may only acquire securities included in the Security Index or introduced to it following a change thereto ("Index Securities"), securities that are issued on these Index Securities or on the Underlying Index, and derivatives on securities, money market instruments, investment fund units pursuant to Section 9, recognised financial indices, interest rates, foreign exchange rates or currencies in which the UCITS sub-fund may invest as provided for in the Investment Conditions. When replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in Index Securities over investments in any other assets mentioned in Sentence 1 above that are approved for use in replicating indices. The Underlying Index may be replicated using securities, derivatives that

indirectly replicate the index only for purposes of maintaining the investment restrictions listed in Section 10 Paragraph 7.

3. In order to replicate the Security Index, the duplication percentage may not be less than 95 percent of the total assets in the UCITS sub-fund as defined in the first sentence of Paragraph 2 above. Derivatives shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach provided for in the "ordinance on risk management and risk measurement in the use of derivatives, securities lending and repurchase agreements in investment funds" ("DerivateV") issued pursuant to Section 197 Paragraph 3 of the German Investment Code (KAGB).
4. The duplication percentage reflects the proportion of securities and derivatives according to Section 197 Paragraph 1 KAGB in the UCITS Fund that corresponds with the Security Index in terms of weighting. The duplication percentage is defined as being equal to 100 less one half of the sum of the differences between the weighting of the securities in the index and the applicable weighting of the securities included in the total assets of the UCITS sub-fund, totalled for all securities and applicable values of derivatives according to Section 197 Paragraph 1 KAGB in the UCITS sub-fund and for all securities in the index.

$$DG = 100\% - \frac{\sum_{i=1}^n |w_i^I - w_i^F|}{2}$$

DG	=	duplication percentage in %
n	=	number of share types in the Fund and index (upper summation limit)
I	=	index
F	=	Fund
w_i^I	=	weighting of equity i in index I in %
w_i^F	=	weighting of equity i to be included in the equity portion of the Fund in %
$\sum$	=	sum symbol
i	=	summation index; represents the individual share types of i = 1 (lower summations limit) bis i = n (upper summation limit)

§ 4 Securities

1. The Company may only acquire securities on behalf of the UCITS sub-fund if:
 - a) they are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) they are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in one of these states, provided the choice of such stock exchange or regulated market is permitted by BaFin,²¹
 - c) their terms of issue require application for admission to official trading on one of the stock exchanges permitted under a) and b) or for inclusion in one of the regulated markets permitted under a) and b), and admission or inclusion on these markets takes place within one year after their issue,
 - d) they are equities to which the UCITS sub-fund is entitled in an issuer's capital increase from company assets;
 - e) they are acquired in exercising subscription rights belonging to the UCITS sub-fund,
 - f) they are financial instruments that meet the criteria listed in Section 193 Paragraph 1 Sentence 1 No. 8 KAGB.
2. Securities may only be acquired in accordance with Paragraph 1 letters a) to c) if additionally the requirements of Section 193 Paragraph 1 Sentence 2 KAGB are met. Subscription rights arising from securities which may be acquired under this Section, Section 4, may also be acquired.

§ 5 Money market instruments

1. The Company may acquire on behalf of the UCITS sub-fund instruments normally dealt in on the money market and interest-bearing securities with a residual term of no more than 397 days at the time of their acquisition or whose interest rate, in accordance with the issue conditions, is regularly – and at least once each 397-day period – adjusted to reflect current market conditions or whose risk profile corresponds to the risk profile of this type of security (money market instruments). The money market instruments may also be denominated in foreign currency. Money

²¹ The list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB is published on the BaFin website. www.bafin.de

market instruments may only be acquired if they

- a) are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market there, provided the choice of such stock exchange or regulated market is permitted by BaFin,²²
 - c) are issued or guaranteed by the European Union, the German Federal Government, a special-purpose fund of the German Federal Government, a German federal state, another member state or another central, regional or local authority or by the central bank of a European Union member state, the European Central Bank or the European Investment Bank, a non-EU member state or, in case of a federal state, by one of the members making up the federation, or by a public international body to which one or more EU member states belong,
 - d) are issued by a company whose securities are traded on the markets referred to in a) and b),
 - e) if they are issued or guaranteed by a credit institution that is subject to supervision that meets the criteria defined by European Union law, or a credit institution that is subject to the prudential rules considered by BaFin as equivalent to those laid down in European Union law, and which complies with such rules, or
 - f) are issued by other bodies and comply with the requirements of Section 194 Paragraph 1 Sentence 1 No. 6 KAGB.
2. Money market instruments as defined in Paragraph 1 may only be acquired if they comply with the requirements of Section 194 Paragraphs 2 and 3 KAGB.

§ 6 Bank accounts

The Company may also hold, on behalf of the UCITS sub-fund, bank accounts containing deposits with a maturity not exceeding twelve months. The accounts, which must be in the form of blocked accounts, may be maintained at a credit institution that has its registered office in a member state of the European Union or another state that is a party to the Agreement on the European Economic Area.

These accounts may also be maintained by a credit institution that has its registered office in a non-member state, provided that it is subject to the prudential rules considered by BaFin as equivalent to those laid down in the law of the European Union. The bank accounts may also be denominated in foreign currency.

§ 7 Derivatives

1. Unless specified otherwise in Paragraph 8, in managing the UCITS sub-fund, the Company may acquire derivatives in accordance with Section 197 Paragraph 1 Sentence 1 KAGB and financial instruments with derivative components in accordance with Section 197 Paragraph 1 Sentence 2 KAGB. It may – depending on the type and extent of derivatives and financial instruments with derivative components used – use either the simple or qualified approach within the meaning of DerivateV provided for in Section 197 Paragraph 3 KAGB when calculating the market risk limits established under Section 197 Paragraph 2 KAGB on the use of derivatives and financial instruments with derivative components; details are discussed in the Sales Prospectus.
2. If the Company uses the simple approach, it may only make regular use of the following basic forms of derivatives, financial instruments with a derivative component or combinations of these derivatives, financial instruments with a derivative component or combinations of underlying securities permitted under Section 197 Paragraph 1 Sentence 1 KAGB in the UCITS sub-fund. Complex derivatives based on permitted underlying securities pursuant to Section 197 Paragraph 1 sentence 1 KAGB may only be used for a negligible proportion. The weighted market risk attributable to the UCITS sub-fund, to be calculated as provided for in Section 16 DerivateV, may at no time exceed the value of the UCITS sub-fund. The basic forms of derivatives are:
 - a) Forward contracts on the underlying values pursuant to Section 197 Paragraph 1 KAGB with the exception of investment units pursuant to Section 196 KAGB;
 - b) Options or warrants on the underlying securities pursuant to Section 197 Paragraph 1 KAGB with the exception of investment fund units pursuant to Section 196 KAGB and on futures contracts as defined in a), if they have the following characteristics:
 - aa) exercising is possible either during the entire term or at the end of the term and
 - bb) at the time of being exercised, the option value is linearly based on the positive or negative difference between the underlying price and the

²² The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

market price of the underlying security and becomes nil if the difference has the other leading sign;

- c) Interest rate swaps, currency swaps or interest rate/currency swaps;
 - d) Options on swaps according to letter c), to the extent that they display the characteristics described in letter b) under letters aa) and bb) (swaptions);
 - e) Credit default swaps related to single underlying instruments (Single Name Credit Default Swaps).
3. If the Company uses the qualified approach, it may invest, subject to a suitable risk management system, in any financial instruments with a derivative component or derivatives that are derived from an underlying security that is permitted under Section 197 Paragraph 1 Sentence 1 KAGB.

The potential risk amount for the market risk ("risk exposure") attributable to the UCITS sub-fund may at no time exceed two times the potential risk amount for the market risk of the associated benchmark assets pursuant to Section 9 DerivateV. Alternatively, the risk exposure may at no time exceed 20 percent of the value of the UCITS sub-fund.

- 4. In these transactions, the Company may under no circumstances deviate from the investment principles and limits listed in the Articles of Incorporation, these Investment Conditions or in the Sales Prospectus.
- 5. The Company will use the derivatives and financial instruments with a derivative component for the purpose of efficient portfolio management and to produce additional returns, when and to the extent that it considers this to be in the interests of the investors.

No transactions with derivatives may be undertaken for purposes of hedging.

- 6. In calculating the market risk limit for the use of derivatives and financial instruments with a derivative component, the company may at any time switch between the simple and the qualified approach pursuant to § 6 Sentence 3 DerivateV. The change does not require the approval of BaFin. However, the company must report the change to BaFin without delay and announce it in the next semi-annual or annual report.
- 7. The Company will observe the guidelines of DerivateV when derivatives and financial instruments with derivative components are used.
- 8. In derogation of Paragraph 1, the Company may – subject to a suitable risk management system – only use futures contracts that are based on the Underlying Index and futures contracts that are based on individual stocks of the Underlying Index as well as warrants that are based on the Underlying Index and warrants that are based on individual stocks of the Underlying Index for the UCITS sub-fund.

§ 8 Other investment instruments

The Company may on behalf of the UCITS sub-fund acquire other investment instruments up to 10 percent of the value of the UCITS sub-fund pursuant to Section 198 KAGB.

§ 9 Investment fund units

- 1. The Company may, on behalf of the UCITS sub-fund, acquire units in investment funds pursuant to Directive 2009/65/EC (UCITS). Units in other domestic investment funds and joint-stock investment companies with variable capital and units in EU alternative investment funds and foreign open-ended alternative investment funds may be acquired if they meet the requirements of § 196 Para. 1 sentence 2 KAGB.
- 2. For account of the UCITS sub-fund, the company may only acquire units of domestic investment funds and joint-stock investment companies with variable capital, open-ended EU AIF and foreign open-ended AIF if, in accordance with the investment conditions or the Articles of Incorporation of the investment management company, the joint-stock investment company with variable capital, the EU investment fund, the EU management company, the foreign AIF or the foreign AIF management company, a total not exceeding 10 percent of the value of their assets may be invested in units of other domestic investment funds, joint-stock investment companies with variable capital, open-ended EU investment funds or foreign open-ended AIFs.

§ 10 Issuer and investment limits

- 1. The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and these Investment Conditions.
- 2. The Company may invest up to 20 percent of the assets of the UCITS sub-fund in securities from a single issuer (debtor).
- 3. The limit specified in Paragraph 2 may be increased to up to 35 percent of the value of the UCITS sub-fund for securities from a single issuer. An investment up to the limit specified in Sentence 1 above is permissible only for one individual issuer (debtor).
- 4. For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.
- 5. The Company may invest no more than 5 percent of the value of the UCITS sub-fund in bank accounts and money market instruments as defined in Sections 5 and 6.

6. The Company may invest no more than 10 percent of the value of the UCITS sub-fund in units of investment funds pursuant to Section 3 Paragraph 2 and Section 9. When doing so, the Company may acquire on behalf of the UCITS sub-fund no more than 25 percent of issued units of another open-ended domestic, EU or foreign investment fund that invests in assets in accordance with the principle of risk diversification as defined in Sections 192 to 198 KAGB.
7. A minimum of 95 percent of the UCITS sub-fund must be invested in assets based on the Security Index pursuant to Section 3 Paragraph 2 Sentence 1. At least 70 percent of the value of the UCITS sub-fund shall be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds.

§ 11 Loans

Short-term borrowing by the Company on the account of the UCITS sub-fund of amounts of up to 10 percent of the value of the UCITS sub-fund is permissible if the terms of the borrowing are at market rates and the Custodian Bank approves the borrowing.

SHARE CLASSES

§ 12 Share classes

1. Share classes as defined in Section 20 of the Articles of Incorporation may be formed for the UCITS sub-fund; these differ with respect to appropriation of income, issue premiums, redemption fees, management fees, minimum investment amount, or a combination of these characteristics. The creation of share classes is permitted at any time and is at the discretion of the Company.
2. The net asset value per share is calculated separately for each share class by allocating the costs of launching new share classes, the distributions (including any taxes that may be payable from the fund's assets), the management fee including income adjustment if applicable, exclusively to this share class.
3. The existing share classes are listed individually in the Sales Prospectus and in the annual and semi-annual reports. The structural characteristics defining the share classes (appropriation of income, issue premiums, redemption fees, management fees, currency, minimum investment amount, or a combination of these characteristics) are described in detail in the Sales Prospectus and in the annual and semi-annual reports.

ISSUE AND REDEMPTION OF SHARES/EXPENSES

§ 13 Issue and redemption of shares, fees

1. The Company indicates the issue premiums and redemption fees charged for each share class in the Sales Prospectus, the Key Information Document and in the annual and semi-annual reports.
2. For the calculation of share issue and redemption prices, the market values of the assets (net asset value) belonging to the UCITS sub-fund less borrowings undertaken and other liabilities (net asset value) is determined and divided by the number of shares in circulation (share value). If special share classes for the UCITS sub-fund are introduced in accordance with Section 12, then the net asset value per share and the issue and redemption prices for each share class shall be determined separately. The assets are valued in accordance with Sections 168 and 169 KAGB and the German Capital Investment Accounting and Valuation Ordinance ("KARBV").
3. The issue price corresponds to the net asset value per share at the issue date, plus any issue premium pursuant to Paragraph 4. The redemption price corresponds to the net asset value per share at the redemption date, plus any redemption fees pursuant to Paragraph 5.
4. Depending on the share class, the issue premium per share is up to 2 percent of the net asset value per share. The Company is free to charge a lower issue premium for one or more share classes, or all of them.
5. Depending on the share class, the redemption fee per share is up to 1 percent of the net asset value per share. The Company is free to charge a lower redemption fee for one or more share classes, or all of them. The Management Company shall receive the redemption fee.
6. The settlement date for issue and redemption orders is no later than the next valuation date following the receipt of the issue or redemption order. If the Company suspends the redemption of shares in accordance with Section 11 paragraph 6 of the Articles of Incorporation, the settlement date for such redemption orders is the valuation day following the resumption.
7. Issue and redemption prices will be determined on each exchange trading day. On public holidays under the KAGB that are stock exchange days and 24 and 31 December every year, the Company and the Custodian Bank may interrupt their daily price calculation; details are discussed in the Sales Prospectus.
8. The Company applies the Dual Pricing method when determining the issue and redemption prices. This means that, deviating from paragraph 2 sentence 1, a modified net asset value per share must be calculated in addition to the net asset value. For this purpose, for each issue and redemption of shares, the net asset value per share is adjusted by a factor

that reflects liquidity costs. The Company explains the procedure used to calculate the modified net asset value per share in the Sales Prospectus.

9. The Company may charge a redemption fee (Rückgabegebühr). The redemption fee is calculated on the basis of gross redemptions and amounts to up to 2 per cent of gross redemptions. The Sales Prospectus contains a description of the option and the conditions for a redemption fee.

§ 14 Expenses and services included

1. For managing the UCITS sub-fund, the Management Company receives from the assets of the UCITS sub-fund a fee of up to 0.45 percent per annum depending on the share class, based on the net asset value of the UCITS sub-fund determined each exchange trading day. The Management Company is free to charge a lower management fee for one or more share classes, or all of them. The management fee will be paid in advance in monthly instalments out of the UCITS sub-fund. The Company indicates the management fee charged for each share class in the Sales Prospectus and in the annual and semi-annual reports.
2. The management fee specified in Paragraph 1 shall cover services rendered by the Management Company for the UCITS sub-fund, including the expenses of the Custodian Bank, legally required printing, mailings, and publications associated with the UCITS sub-fund, and for annual report audits conducted by auditors of the Company.
3. The following expenses are not covered by Paragraph 1:
 - a) Expenses resulting from the purchase and sale of assets (transaction costs),
 - b) Customary bank custody fees, including the customary bank charges for the custody of foreign securities abroad and related taxes, if applicable,
 - c) Customary expenses related to day-to-day account management,
 - d) Expenses incurred in the assertion and enforcement of the legal claims of the UCITS sub-fund,
 - e) Expenses for providing information to investors of the UCITS sub-fund by means of a durable medium, with the exception of expenses for providing information in the case of fund mergers and with the exception of information on measures connected with violations of investment limits or errors in calculating the net asset value per share.

Such expenses may be charged to the UCITS sub-fund in addition to the management fee charged in accordance with Paragraph 1.

4. The Company has to publish in the annual report and in the semi-annual report the

amount of the issue premiums and redemption fees that have been charged to the UCITS sub-fund during the reporting period for the purchase and redemption of shares as defined in Section 9. When units are purchased that are managed, directly or indirectly, by the Management Company itself or by any other company with which the Management Company is affiliated through a significant direct or indirect equity interest, the Management Company or the other company may not levy issue premiums or redemption fees for the purchase or redemption. The Company publishes in the annual report and in the semi-annual report the fees charged as management fees for the units held in the UCITS sub-fund when such fees are charged by the Management Company, by another investment management company, a joint-stock investment company or another company with which the Management Company is affiliated through a significant direct or indirect equity interest, or by a foreign investment company, including its management company.

APPROPRIATION OF INCOME, TERM AND FINANCIAL YEAR

§ 15 Distribution

1. For distributing share classes, the Company distributes, net of costs, the interest, dividends and other income from investment fund shares received for account of the UCITS sub-fund, taking into account the appropriate income netting. Capital gains and other income - taking into account the appropriate income equalisation - can also be used for distributions.
2. The final distribution takes place within four months of the financial year-end. In addition, the Company may carry out interim distributions during the year.
3. The interim distribution amount is at the discretion of the Company. The Company is not obliged to distribute all distributable income pursuant to Paragraph 1 accumulated up to the date of the interim distribution; it may carry ordinary income forward to the next distribution date.
4. Interim distributions are intended to minimise any discrepancy between the performance of the UCITS sub-fund and that of the Underlying Index.
5. Distributable income pursuant to Paragraph 1 may be carried forward for distribution in subsequent financial years if the amount of the income carried forward does not exceed 15 percent of the respective value of the UCITS sub-fund at the end of the financial year. Income from short financial years may be carried forward in its entirety.
6. In the interests of maintaining equity, some income, or in exceptional cases, all income,

may be set aside for accumulation in the UCITS sub-fund.

7. If no share classes are created, the income will be distributed.

§ 16 Reinvestment

For reinvesting share classes, the Company invests the interest, dividends and other income of the UCITS sub-fund, taking into account the appropriate income netting, as well as the realised capital gains that have accrued for account of the sub-fund during the financial year in the UCITS sub-fund, net of costs.

§ 17 Financial year and accounting

1. The financial year of the UCITS sub-fund begins on 1 March of each calendar year and ends on the last day of February.
2. The company publishes an annual financial statement with a management report no later than four months after the end of the financial year in accordance with § 120 Para. 1, 2 and 6 Sentence 3 in conjunction with § 123 Para. 1 No. 1 KAGB.
3. The Company publishes a semi-annual report no later than two months after the end of the first half of the financial year in accordance with Section 122 Paragraph 1 Sentence 4 in conjunction with Section 103 and Section 107 Paragraph 1 Sentence 2 KAGB.

§ 18 Liquidation of the sub-fund

1. The Company may liquidate the UCITS sub-fund pursuant to Section 19 of the Articles of Incorporation. This liquidation resolution shall take effect six months after its publication in the Bundesanzeiger. The shareholders must be informed by the Company immediately by means of a durable medium as defined in Section 167 KAGB of the announcement of a termination in accordance with Sentence 2.
2. The Company must prepare a liquidation report for the period ending on the date on which its right to manage lapses pursuant to Section 117 Paragraph 8 Sentence 4, 100 Paragraph 1 KAGB; this liquidation report must fulfil the requirements of an annual report in accordance with Section 120 Paragraph 1.
3. Net liquidation proceeds not collected by shareholders upon completion of the liquidation proceedings may be deposited with an appropriate depository for the benefit of the entitled shareholders.

§ 19 Change of the external investment management company and the depository

1. The company may transfer the management and disposal rights over the company to another external investment management

company. The transfer is subject to the prior approval of BaFin.

2. The approved transfer shall be published in the Bundesanzeiger and in the annual financial statements or the semi-annual report. Investors must be informed immediately by means of a durable medium of the announcement of a transfer in accordance with sentence 1. The transfer shall take effect no earlier than three months after its publication in the Bundesanzeiger.
3. The company may change the depository for the UCITS sub-fund. The change must be approved by BaFin.

§ 20 Changes to the Investment Conditions

1. The Company is entitled to change the Investment Conditions.
2. Amendments to the Investment Conditions require the prior approval of BaFin.
3. All planned amendments shall be published in the Bundesanzeiger and, in addition, in a financial or daily newspaper with sufficient circulation or in the electronic information media designated in the Sales Prospectus. The planned changes and their effective dates must be stated in any publication made in accordance with Sentence 1 above. In the event of amendments to costs detrimental to investors as defined in Section 162 Paragraph 2 (11) KAGB, amendments to the investment principles of the UCITS Fund as defined in Section 163 Paragraph 3 KAGB or amendments related to significant investor rights, investors must be informed simultaneously with the publication pursuant to Sentence 1 of the significant contents of the proposed amendments to the Investment Conditions and the background thereto, as well as information on their rights pursuant to Section 163 Paragraph 3 KAGB by means of a durable medium and in an understandable way in accordance with Section 163 Paragraph 4 KAGB.
4. The amendments enter into force at the earliest on the day after their publication in the Bundesanzeiger; amendments to costs and to the investment principles, however, do not enter into force until three months after the corresponding publication. With the consent of the BaFin, an earlier date may be determined, insofar as this concerns a change in costs that benefits the investors.

§ 21 Place of performance

The place of performance is the registered office of the Company.

§ 22 Name

The rights of shareholders who acquired shares originally named "iShares STOXX Europe 600 Health Care (DE)" remain unaffected.

Investment Conditions

governing the legal relationship between the shareholders and

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, Munich, (hereinafter referred to as the "**Company**")

externally managed by

BlackRock Asset Management Deutschland AG, Munich, (hereinafter referred to as the "**Management Company**")

for the UCITS-compliant securities sub-fund

iShares STOXX Europe 600 Industrial Goods & Services UCITS ETF (DE), (hereinafter referred to as the "**UCITS sub-fund**")

These investment conditions are valid only in combination with the Articles of Incorporation of the Company.

INVESTMENT POLICIES AND RESTRICTIONS

§ 1 Assets and investment objective

The Company may acquire the following assets for the UCITS sub-fund:

- a) securities pursuant to Section 4 of these Investment Conditions,
- b) money market instruments pursuant to Section 5 of these Investment Conditions,
- c) bank accounts pursuant to Section 6 of these Investment Conditions,
- d) derivatives pursuant to Section 7 of these Investment Conditions,
- e) other investment instruments pursuant to Section 8 of these Investment Conditions,
- f) Investment fund units pursuant to Section 9 of these Investment Conditions

The purpose of the equity and equity index certificate selection for the UCITS sub-fund is to replicate the STOXX Europe 600 Industrial Goods & Services (price index) (hereinafter referred to as the "Underlying Index") while maintaining an appropriate diversification of risk.

§ 2 Depository

1. The Company shall appoint a credit institution as Custodian Bank for the UCITS sub-fund; the Custodian Bank shall act independently of the Company and exclusively in the interests of the shareholders.
2. The tasks and duties of the Custodian Bank are governed by the custodian agreement

concluded with the Company, in accordance with the KAGB, the Articles of Incorporation and the Investment Conditions.

3. The Custodian Bank may outsource custodial tasks to another company (sub-custodian) pursuant to Section 73 KAGB. Please refer to the Sales Prospectus for details.
4. The Custodian Bank shall be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for the loss of a financial instrument pursuant to Section 72 Paragraph 1 Sentence 1 held in custody by the Custodian Bank or by a sub-custodian to whom the custody of financial instruments has been transferred according to Section 73 Paragraph 1 KAGB. The Custodian Bank is not liable if it can prove that the loss is due to external events whose consequences were unavoidable despite all reasonable countermeasures. Further claims arising out of the provisions of civil law on the basis of contracts or torts are not affected. The Custodian Bank shall also be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for all other losses that they incur if the Custodian Bank fails to meet its obligations under the provisions of the KAGB, whether negligently or intentionally. The Custodian Bank's liability remains unaffected by any transfer of custody tasks referred to in Paragraph 3, sentence 1.

§ 3 Investment principles

1. The Company may only acquire such assets on behalf of the UCITS sub-fund that are designed to replicate a certain security index ("Security Index") approved by the Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin) while still maintaining appropriate diversification of risk. The Security Index is approved specifically if
 - a) its composition is sufficiently diversified,
 - b) it represents an adequate benchmark for the market to which it relates; and
 - c) it has been published in an appropriate manner.
2. The UCITS sub-fund may only acquire securities included in the Security Index or introduced to it following a change thereto ("Index Securities"), securities that are issued on these Index Securities or on the Underlying Index, and derivatives on securities, money market instruments, investment fund units pursuant to Section 9, recognised financial indices, interest rates, foreign exchange rates or currencies in which the UCITS sub-fund may invest as provided for in the Investment Conditions. When replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in Index Securities over investments in any other assets mentioned in Sentence 1 above that are approved for use in replicating indices. The Underlying Index may be replicated using securities, derivatives that

indirectly replicate the index only for purposes of maintaining the investment restrictions listed in Section 10 Paragraph 7.

3. In order to replicate the Security Index, the duplication percentage may not be less than 95 percent of the total assets in the UCITS sub-fund as defined in the first sentence of Paragraph 2 above. Derivatives shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach provided for in the "ordinance on risk management and risk measurement in the use of derivatives, securities lending and repurchase agreements in investment funds" ("DerivateV") issued pursuant to Section 197 Paragraph 3 of the German Investment Code (KAGB).
4. The duplication percentage reflects the proportion of securities and derivatives according to Section 197 Paragraph 1 KAGB in the UCITS Fund that corresponds with the Security Index in terms of weighting. The duplication percentage is defined as being equal to 100 less one half of the sum of the differences between the weighting of the securities in the index and the applicable weighting of the securities included in the total assets of the UCITS sub-fund, totalled for all securities and applicable values of derivatives according to Section 197 Paragraph 1 KAGB in the UCITS sub-fund and for all securities in the index.

$$DG = 100\% - \frac{\sum_{i=1}^n |w_i^I - w_i^F|}{2}$$

DG	=	duplication percentage in %
n	=	number of share types in the Fund and index (upper summation limit)
I	=	index
F	=	Fund
w_i^I	=	weighting of equity i in index I in %
w_i^F	=	weighting of equity i to be included in the equity portion of the Fund in %
$\sum$	=	sum symbol
i	=	summation index; represents the individual share types of i = 1 (lower summations limit) bis i = n (upper summation limit)

§ 4 Securities

1. The Company may only acquire securities on behalf of the UCITS sub-fund if:
 - a) they are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) they are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in one of these states, provided the choice of such stock exchange or regulated market is permitted by BaFin,²³
 - c) their terms of issue require application for admission to official trading on one of the stock exchanges permitted under a) and b) or for inclusion in one of the regulated markets permitted under a) and b), and admission or inclusion on these markets takes place within one year after their issue,
 - d) they are equities to which the UCITS sub-fund is entitled in an issuer's capital increase from company assets;
 - e) they are acquired in exercising subscription rights belonging to the UCITS sub-fund,
 - f) they are financial instruments that meet the criteria listed in Section 193 Paragraph 1 Sentence 1 No. 8 KAGB.
2. Securities may only be acquired in accordance with Paragraph 1 letters a) to c) if additionally the requirements of Section 193 Paragraph 1 Sentence 2 KAGB are met. Subscription rights arising from securities which may be acquired under this Section, Section 4, may also be acquired.

§ 5 Money market instruments

1. The Company may acquire on behalf of the UCITS sub-fund instruments normally dealt in on the money market and interest-bearing securities with a residual term of no more than 397 days at the time of their acquisition or whose interest rate, in accordance with the issue conditions, is regularly – and at least once each 397-day period – adjusted to reflect current market conditions or whose risk profile corresponds to the risk profile of this type of security (money market instruments). The money market instruments may also be denominated in foreign currency. Money

²³ The list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB is published on the BaFin website. www.bafin.de

market instruments may only be acquired if they

- a) are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market there, provided the choice of such stock exchange or regulated market is permitted by BaFin,²⁴
 - c) are issued or guaranteed by the European Union, the German Federal Government, a special-purpose fund of the German Federal Government, a German federal state, another member state or another central, regional or local authority or by the central bank of a European Union member state, the European Central Bank or the European Investment Bank, a non-EU member state or, in case of a federal state, by one of the members making up the federation, or by a public international body to which one or more EU member states belong,
 - d) are issued by a company whose securities are traded on the markets referred to in a) and b),
 - e) if they are issued or guaranteed by a credit institution that is subject to supervision that meets the criteria defined by European Union law, or a credit institution that is subject to the prudential rules considered by BaFin as equivalent to those laid down in European Union law, and which complies with such rules, or
 - f) are issued by other bodies and comply with the requirements of Section 194 Paragraph 1 Sentence 1 No. 6 KAGB.
2. Money market instruments as defined in Paragraph 1 may only be acquired if they comply with the requirements of Section 194 Paragraphs 2 and 3 KAGB.

§ 6 Bank accounts

The Company may also hold, on behalf of the UCITS sub-fund, bank accounts containing deposits with a maturity not exceeding twelve months. The accounts, which must be in the form of blocked accounts, may be maintained at a credit institution that has its registered office in a member state of the European Union or another state that is a party to the Agreement on the European Economic Area.

These accounts may also be maintained by a credit institution that has its registered office in a non-member state, provided that it is subject to the prudential rules considered by BaFin as equivalent to those laid down in the law of the European Union. The bank accounts may also be denominated in foreign currency.

§ 7 Derivatives

1. Unless specified otherwise in Paragraph 8, in managing the UCITS sub-fund, the Company may acquire derivatives in accordance with Section 197 Paragraph 1 Sentence 1 KAGB and financial instruments with derivative components in accordance with Section 197 Paragraph 1 Sentence 2 KAGB. It may – depending on the type and extent of derivatives and financial instruments with derivative components used – use either the simple or qualified approach within the meaning of DerivateV provided for in Section 197 Paragraph 3 KAGB when calculating the market risk limits established under Section 197 Paragraph 2 KAGB on the use of derivatives and financial instruments with derivative components; details are discussed in the Sales Prospectus.
2. If the Company uses the simple approach, it may only make regular use of the following basic forms of derivatives, financial instruments with a derivative component or combinations of these derivatives, financial instruments with a derivative component or combinations of underlying securities permitted under Section 197 Paragraph 1 Sentence 1 KAGB in the UCITS sub-fund. Complex derivatives based on permitted underlying securities pursuant to Section 197 Paragraph 1 Sentence 1 KAGB may only be used for a negligible proportion. The weighted market risk attributable to the UCITS sub-fund, to be calculated as provided for in Section 16 DerivateV, may at no time exceed the value of the UCITS sub-fund. The basic forms of derivatives are:
 - a) Forward contracts on the underlying values pursuant to Section 197 Paragraph 1 KAGB with the exception of investment units pursuant to Section 196 KAGB;
 - b) Options or warrants on the underlying securities pursuant to Section 197 Paragraph 1 KAGB with the exception of investment fund units pursuant to Section 196 KAGB and on futures contracts as defined in a), if they have the following characteristics:
 - aa) exercising is possible either during the entire term or at the end of the term and
 - bb) at the time of being exercised, the option value is linearly based on the positive or negative difference between the underlying price and the

²⁴ The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

market price of the underlying security and becomes nil if the difference has the other leading sign;

- c) Interest rate swaps, currency swaps or interest rate/currency swaps;
 - d) Options on swaps according to letter c), to the extent that they display the characteristics described in letter b) under letters aa) and bb) (swaptions);
 - e) Credit default swaps related to single underlying instruments (Single Name Credit Default Swaps).
3. If the Company uses the qualified approach, it may invest, subject to a suitable risk management system, in any financial instruments with a derivative component or derivatives that are derived from an underlying security that is permitted under Section 197 Paragraph 1 Sentence 1 KAGB.

The potential risk amount for the market risk ("risk exposure") attributable to the UCITS sub-fund may at no time exceed two times the potential risk amount for the market risk of the associated benchmark assets pursuant to Section 9 DerivateV. Alternatively, the risk exposure may at no time exceed 20 percent of the value of the UCITS sub-fund.

- 4. In these transactions, the Company may under no circumstances deviate from the investment principles and limits listed in the Articles of Incorporation, these Investment Conditions or in the Sales Prospectus.
- 5. The Company will use the derivatives and financial instruments with a derivative component for the purpose of efficient portfolio management and to produce additional returns, when and to the extent that it considers this to be in the interests of the investors.

No transactions with derivatives may be undertaken for purposes of hedging.

- 6. In calculating the market risk limit for the use of derivatives and financial instruments with a derivative component, the company may at any time switch between the simple and the qualified approach pursuant to § 6 Sentence 3 DerivateV. The change does not require the approval of BaFin. However, the company must report the change to BaFin without delay and announce it in the next semi-annual or annual report.
- 7. The Company will observe the guidelines of DerivateV when derivatives and financial instruments with derivative components are used.
- 8. In derogation of Paragraph 1, the Company may – subject to a suitable risk management system – only use futures contracts that are based on the Underlying Index and futures contracts that are based on individual stocks of the Underlying Index as well as warrants that are based on the Underlying Index and warrants that are based on individual stocks of the Underlying Index for the UCITS sub-fund.

§ 8 Other investment instruments

The Company may on behalf of the UCITS sub-fund acquire other investment instruments up to 10 percent of the value of the UCITS sub-fund pursuant to Section 198 KAGB.

§ 9 Investment fund units

- 1. The Company may, on behalf of the UCITS sub-fund, acquire units in investment funds pursuant to Directive 2009/65/EC (UCITS). Units in other domestic investment funds and joint-stock investment companies with variable capital and units in EU alternative investment funds and foreign open-ended alternative investment funds may be acquired if they meet the requirements of § 196 Para. 1 sentence 2 KAGB.
- 2. For account of the UCITS sub-fund, the company may only acquire units of domestic investment funds and joint-stock investment companies with variable capital, open-ended EU AIF and foreign open-ended AIF if, in accordance with the investment conditions or the Articles of Incorporation of the investment management company, the joint-stock investment company with variable capital, the EU investment fund, the EU management company, the foreign AIF or the foreign AIF management company, a total not exceeding 10 percent of the value of their assets may be invested in units of other domestic investment funds, joint-stock investment companies with variable capital, open-ended EU investment funds or foreign open-ended AIFs.

§ 10 Issuer and investment limits

- 1. The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and these Investment Conditions.
- 2. The Company may invest up to 20 percent of the assets of the UCITS sub-fund in securities from a single issuer (debtor).
- 3. The limit specified in Paragraph 2 may be increased to up to 35 percent of the value of the UCITS sub-fund for securities from a single issuer. An investment up to the limit specified in Sentence 1 above is permissible only for one individual issuer (debtor).
- 4. For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.
- 5. The Company may invest no more than 5 percent of the value of the UCITS sub-fund in bank accounts and money market instruments as defined in Sections 5 and 6.

6. The Company may invest no more than 10 percent of the value of the UCITS sub-fund in units of investment funds pursuant to Section 3 Paragraph 2 and Section 9. When doing so, the Company may acquire on behalf of the UCITS sub-fund no more than 25 percent of issued units of another open-ended domestic, EU or foreign investment fund that invests in assets in accordance with the principle of risk diversification as defined in Sections 192 to 198 KAGB.
7. A minimum of 95 percent of the UCITS sub-fund must be invested in assets based on the Security Index pursuant to Section 3 Paragraph 2 Sentence 1. At least 85 percent of the value of the UCITS sub-fund shall be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds.

§ 11 Loans

Short-term borrowing by the Company on the account of the UCITS sub-fund of amounts of up to 10 percent of the value of the UCITS sub-fund is permissible if the terms of the borrowing are at market rates and the Custodian Bank approves the borrowing.

SHARE CLASSES

§ 12 Share classes

1. Share classes as defined in Section 20 of the Articles of Incorporation may be formed for the UCITS sub-fund; these differ with respect to appropriation of income, issue premiums, redemption fees, management fees, minimum investment amount, currency, net asset value per share, or a combination of these characteristics. The creation of share classes is permitted at any time and is at the discretion of the Company.
2. The net asset value per share is calculated separately for each share class by allocating the costs of launching new share classes, the distributions (including any taxes that may be payable from the fund's assets), the management fee including income adjustment if applicable, exclusively to this share class.
3. The existing share classes are listed individually in the Sales Prospectus and in the annual and semi-annual reports. The structural characteristics defining the share classes (appropriation of income, issue premiums, redemption fees, management fees, currency, minimum investment amount, or a combination of these characteristics) are described in detail in the Sales Prospectus and in the annual and semi-annual reports.

ISSUE AND REDEMPTION OF SHARES/EXPENSES

§ 13 Issue and redemption of shares, fees

1. The Company indicates the issue premiums and redemption fees charged for each share class in the Sales Prospectus, the Key Information Document and in the annual and semi-annual reports.
2. For the calculation of share issue and redemption prices, the market values of the assets (net asset value) belonging to the UCITS sub-fund less borrowings undertaken and other liabilities (net asset value) is determined and divided by the number of shares in circulation (share value). If special share classes for the UCITS sub-fund are introduced in accordance with Section 12, then the net asset value per share and the issue and redemption prices for each share class shall be determined separately. The assets are valued in accordance with Sections 168 and 169 KAGB and the German Capital Investment Accounting and Valuation Ordinance ("KARBV").
3. The issue price corresponds to the net asset value per share at the issue date, plus any issue premium pursuant to Paragraph 4. The redemption price corresponds to the net asset value per share at the redemption date, plus any redemption fees pursuant to Paragraph 5.
4. Depending on the share class, the issue premium per share is up to 2 percent of the net asset value per share. The Company is free to charge a lower issue premium for one or more share classes, or all of them.
5. Depending on the share class, the redemption fee per share is up to 1 percent of the net asset value per share. The Company is free to charge a lower redemption fee for one or more share classes, or all of them. The Management Company shall receive the redemption fee.
6. The settlement date for issue and redemption orders is no later than the next valuation date following the receipt of the issue or redemption order. If the Company suspends the redemption of shares in accordance with Section 11 paragraph 6 of the Articles of Incorporation, the settlement date for such redemption orders is the valuation day following the resumption.
7. Issue and redemption prices will be determined on each exchange trading day. On public holidays under the KAGB that are stock exchange days and 24 and 31 December every year, the Company and the Custodian Bank may interrupt their daily price calculation; details are discussed in the Sales Prospectus.
8. The Company applies the Dual Pricing method when determining the issue and redemption prices. This means that, deviating from paragraph 2 sentence 1, a modified net asset value per share must be calculated in addition to the net asset value. For this purpose, for each issue and redemption of shares, the net asset value per share is adjusted by a factor

that reflects liquidity costs. The Company explains the procedure used to calculate the modified net asset value per share in the Sales Prospectus.

9. The Company may charge a redemption fee (Rückgabegebühr). The redemption fee is calculated on the basis of gross redemptions and amounts to up to 2 per cent of gross redemptions. The Sales Prospectus contains a description of the option and the conditions for a redemption fee.

§ 14 Expenses and services included

1. For managing the UCITS sub-fund, the Management Company receives from the assets of the UCITS sub-fund a fee of up to 0.45 percent per annum depending on the share class, based on the net asset value of the UCITS sub-fund determined each exchange trading day. The Management Company is free to charge a lower management fee for one or more share classes, or all of them. The management fee will be paid in advance in monthly instalments out of the UCITS sub-fund. The Company indicates the management fee charged for each share class in the Sales Prospectus and in the annual and semi-annual reports.
2. The management fee specified in Paragraph 1 shall cover services rendered by the Management Company for the UCITS sub-fund, including the expenses of the Custodian Bank, legally required printing, mailings, and publications associated with the UCITS sub-fund, and for annual report audits conducted by auditors of the Company.
3. The following expenses are not covered by Paragraph 1:
 - a) Expenses resulting from the purchase and sale of assets (transaction costs),
 - b) Customary bank custody fees, including the customary bank charges for the custody of foreign securities abroad and related taxes, if applicable,
 - c) Customary expenses related to day-to-day account management,
 - d) Expenses incurred in the assertion and enforcement of the legal claims of the UCITS sub-fund,
 - e) Expenses for providing information to investors of the UCITS sub-fund by means of a durable medium, with the exception of expenses for providing information in the case of fund mergers and with the exception of information on measures connected with violations of investment limits or errors in calculating the net asset value per share.

Such expenses may be charged to the UCITS sub-fund in addition to the management fee charged in accordance with Paragraph 1.

4. The Company has to publish in the annual report and in the semi-annual report the

amount of the issue premiums and redemption fees that have been charged to the UCITS sub-fund during the reporting period for the purchase and redemption of shares as defined in Section 9. When units are purchased that are managed, directly or indirectly, by the Management Company itself or by any other company with which the Management Company is affiliated through a significant direct or indirect equity interest, the Management Company or the other company may not levy issue premiums or redemption fees for the purchase or redemption. The Company publishes in the annual report and in the semi-annual report the fees charged as management fees for the units held in the UCITS sub-fund when such fees are charged by the Management Company, by another investment management company, a joint-stock investment company or another company with which the Management Company is affiliated through a significant direct or indirect equity interest, or by a foreign investment company, including its management company.

APPROPRIATION OF INCOME, TERM AND FINANCIAL YEAR

§ 15 Distribution

1. For distributing share classes, the Company distributes, net of costs, the interest, dividends and other income from investment fund shares received for account of the UCITS sub-fund, taking into account the appropriate income netting. Capital gains and other income - taking into account the appropriate income equalisation - can also be used for distributions.
2. The final distribution takes place within four months of the financial year-end. In addition, the Company may carry out interim distributions during the year.
3. The interim distribution amount is at the discretion of the Company. The Company is not obliged to distribute all distributable income pursuant to Paragraph 1 accumulated up to the date of the interim distribution; it may carry ordinary income forward to the next distribution date.
4. Interim distributions are intended to minimise any discrepancy between the performance of the UCITS sub-fund and that of the Underlying Index.
5. Distributable income pursuant to Paragraph 1 may be carried forward for distribution in subsequent financial years if the amount of the income carried forward does not exceed 15 percent of the respective value of the UCITS sub-fund at the end of the financial year. Income from short financial years may be carried forward in its entirety.
6. In the interests of maintaining equity, some income, or in exceptional cases, all income,

may be set aside for accumulation in the UCITS sub-fund.

7. If no share classes are created, the income will be distributed.

§ 16 Reinvestment

For reinvesting share classes, the Company invests the interest, dividends and other income of the UCITS sub-fund, taking into account the appropriate income netting, as well as the realised capital gains that have accrued for account of the sub-fund during the financial year in the UCITS sub-fund, net of costs.

§ 17 Financial year and accounting

1. The financial year of the UCITS sub-fund begins on 1 March of each calendar year and ends on the last day of February.
2. The company publishes an annual financial statement with a management report no later than four months after the end of the financial year in accordance with § 120 Para. 1, 2 and 6 Sentence 3 in conjunction with § 123 Para. 1 No. 1 KAGB.
3. The Company publishes a semi-annual report no later than two months after the end of the first half of the financial year in accordance with Section 122 Paragraph 1 Sentence 4 in conjunction with Section 103 and Section 107 Paragraph 1 Sentence 2 KAGB.

§ 18 Liquidation of the sub-fund

1. The Company may liquidate the UCITS sub-fund pursuant to Section 19 of the Articles of Incorporation. This liquidation resolution shall take effect six months after its publication in the Bundesanzeiger. The shareholders must be informed by the Company immediately by means of a durable medium as defined in Section 167 KAGB of the announcement of a termination in accordance with Sentence 2.
2. The Company must prepare a liquidation report for the period ending on the date on which its right to manage lapses pursuant to Section 117 Paragraph 8 Sentence 4, 100 Paragraph 1 KAGB; this liquidation report must fulfil the requirements of an annual report in accordance with Section 120 Paragraph 1.
3. Net liquidation proceeds not collected by shareholders upon completion of the liquidation proceedings may be deposited with an appropriate depository for the benefit of the entitled shareholders.

§ 19 Change of the external investment management company and the depository

1. The company may transfer the management and disposal rights over the company to another external investment management

company. The transfer is subject to the prior approval of BaFin.

2. The approved transfer shall be published in the Bundesanzeiger and in the annual financial statements or the semi-annual report. Investors must be informed immediately by means of a durable medium of the announcement of a transfer in accordance with sentence 1. The transfer shall take effect no earlier than three months after its publication in the Bundesanzeiger.
3. The company may change the depository for the UCITS sub-fund. The change must be approved by BaFin.

§ 20 Changes to the Investment Conditions

1. The Company is entitled to change the Investment Conditions.
2. Amendments to the Investment Conditions require the prior approval of BaFin.
3. All planned amendments shall be published in the Bundesanzeiger and, in addition, in a financial or daily newspaper with sufficient circulation or in the electronic information media designated in the Sales Prospectus. The planned changes and their effective dates must be stated in any publication made in accordance with Sentence 1 above. In the event of amendments to costs detrimental to investors as defined in Section 162 Paragraph 2 (11) KAGB, amendments to the investment principles of the UCITS Fund as defined in Section 163 Paragraph 3 KAGB or amendments related to significant investor rights, investors must be informed simultaneously with the publication pursuant to Sentence 1 of the significant contents of the proposed amendments to the Investment Conditions and the background thereto, as well as information on their rights pursuant to Section 163 Paragraph 3 KAGB by means of a durable medium and in an understandable way in accordance with Section 163 Paragraph 4 KAGB.
4. The amendments enter into force at the earliest on the day after their publication in the Bundesanzeiger; amendments to costs and to the investment principles, however, do not enter into force until three months after the corresponding publication. With the consent of the BaFin, an earlier date may be determined, insofar as this concerns a change in costs that benefits the investors.

§ 21 Place of performance

The place of performance is the registered office of the Company.

§ 22 Name

The rights of shareholders who acquired shares originally named "iShares STOXX Europe 600

Industrial Goods & Services (DE)" remain unaffected.

Investment Conditions

governing the legal relationship between the shareholders and

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, Munich, (hereinafter referred to as the "**Company**")

externally managed by

BlackRock Asset Management Deutschland AG, Munich, (hereinafter referred to as the "**Management Company**")

for the UCITS-compliant securities sub-fund

iShares STOXX Europe 600 Insurance UCITS ETF (DE), (hereinafter referred to as the "**UCITS sub-fund**")

These investment conditions are valid only in combination with the Articles of Incorporation of the Company.

INVESTMENT POLICIES AND RESTRICTIONS

§ 1 Assets and investment objective

The Company may acquire the following assets for the UCITS sub-fund:

- a) securities pursuant to Section 4 of these Investment Conditions,
- b) money market instruments pursuant to Section 5 of these Investment Conditions,
- c) bank accounts pursuant to Section 6 of these Investment Conditions,
- d) derivatives pursuant to Section 7 of these Investment Conditions,
- e) other investment instruments pursuant to Section 8 of these Investment Conditions,
- f) Investment fund units pursuant to Section 9 of these Investment Conditions

The purpose of the equity and equity index certificate selection for the UCITS sub-fund is to replicate the STOXX Europe 600 Insurance (price index) (hereinafter referred to as the "Underlying Index") while maintaining an appropriate diversification of risk.

§ 2 Depository

1. The Company shall appoint a credit institution as Custodian Bank for the UCITS sub-fund; the Custodian Bank shall act independently of the Company and exclusively in the interests of the shareholders.

2. The tasks and duties of the Custodian Bank are governed by the custodian agreement concluded with the Company, in accordance with the KAGB, the Articles of Incorporation and the Investment Conditions.
3. The Custodian Bank may outsource custodial tasks to another company (sub-custodian) pursuant to Section 73 KAGB. Please refer to the Sales Prospectus for details.
4. The Custodian Bank shall be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for the loss of a financial instrument pursuant to Section 72 Paragraph 1 Sentence 1 held in custody by the Custodian Bank or by a sub-custodian to whom the custody of financial instruments has been transferred according to Section 73 Paragraph 1 KAGB. The Custodian Bank is not liable if it can prove that the loss is due to external events whose consequences were unavoidable despite all reasonable countermeasures. Further claims arising out of the provisions of civil law on the basis of contracts or torts are not affected. The Custodian Bank shall also be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for all other losses that they incur if the Custodian Bank fails to meet its obligations under the provisions of the KAGB, whether negligently or intentionally. The Custodian Bank's liability remains unaffected by any transfer of custody tasks referred to in Paragraph 3, sentence 1.

§ 3 Investment principles

1. The Company may only acquire such assets on behalf of the UCITS sub-fund that are designed to replicate a certain security index ("Security Index") approved by the Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin) while still maintaining appropriate diversification of risk. The Security Index is approved specifically if
 - a) its composition is sufficiently diversified,
 - b) it represents an adequate benchmark for the market to which it relates; and
 - c) it has been published in an appropriate manner.
2. The UCITS sub-fund may only acquire securities included in the Security Index or introduced to it following a change thereto ("Index Securities"), securities that are issued on these Index Securities or on the Underlying Index, and derivatives on securities, money market instruments, investment fund units pursuant to Section 9, recognised financial indices, interest rates, foreign exchange rates or currencies in which the UCITS sub-fund may invest as provided for in the Investment Conditions. When replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in Index Securities over investments in any other assets mentioned in Sentence 1 above that are approved for use in

replicating indices. The Underlying Index may be replicated using securities, derivatives that indirectly replicate the index only for purposes of maintaining the investment restrictions listed in Section 10 Paragraph 7.

3. In order to replicate the Security Index, the duplication percentage may not be less than 95 percent of the total assets in the UCITS sub-fund as defined in the first sentence of Paragraph 2 above. Derivatives shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach provided for in the "ordinance on risk management and risk measurement in the use of derivatives, securities lending and repurchase agreements in investment funds" ("DerivateV") issued pursuant to Section 197 Paragraph 3 of the German Investment Code (KAGB).
4. The duplication percentage reflects the proportion of securities and derivatives according to Section 197 Paragraph 1 KAGB in the UCITS Fund that corresponds with the Security Index in terms of weighting. The duplication percentage is defined as being equal to 100 less one half of the sum of the differences between the weighting of the securities in the index and the applicable weighting of the securities included in the total assets of the UCITS sub-fund, totalled for all securities and applicable values of derivatives according to Section 197 Paragraph 1 KAGB in the UCITS sub-fund and for all securities in the index.

$$DG = 100\% - \frac{\sum_{i=1}^n |w_i^I - w_i^F|}{2}$$

DG	=	duplication percentage in %
n	=	number of share types in the Fund and index (upper summation limit)
I	=	index
F	=	Fund
w_i^I	=	weighting of equity i in index I in %
w_i^F	=	weighting of equity i to be included in the equity portion of the Fund in %
$\sum$	=	sum symbol
i	=	summation index; represents the individual share types of i = 1 (lower summations limit) bis i = n (upper summation limit)

§ 4 Securities

1. The Company may only acquire securities on behalf of the UCITS sub-fund if:
 - a) they are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) they are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in one of these states, provided the choice of such stock exchange or regulated market is permitted by BaFin,²⁵
 - c) their terms of issue require application for admission to official trading on one of the stock exchanges permitted under a) and b) or for inclusion in one of the regulated markets permitted under a) and b), and admission or inclusion on these markets takes place within one year after their issue,
 - d) they are equities to which the UCITS sub-fund is entitled in an issuer's capital increase from company assets;
 - e) they are acquired in exercising subscription rights belonging to the UCITS sub-fund,
 - f) they are financial instruments that meet the criteria listed in Section 193 Paragraph 1 Sentence 1 No. 8 KAGB.
2. Securities may only be acquired in accordance with Paragraph 1 letters a) to c) if additionally the requirements of Section 193 Paragraph 1 Sentence 2 KAGB are met. Subscription rights arising from securities which may be acquired under this Section, Section 4, may also be acquired.

§ 5 Money market instruments

1. The Company may acquire on behalf of the UCITS sub-fund instruments normally dealt in on the money market and interest-bearing securities with a residual term of no more than 397 days at the time of their acquisition or whose interest rate, in accordance with the issue conditions, is regularly – and at least once each 397-day period – adjusted to reflect current market conditions or whose risk profile corresponds to the risk profile of this type of security (money market instruments). The money market instruments may also be denominated in foreign currency. Money

²⁵ The list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB is published on the BaFin website. www.bafin.de

market instruments may only be acquired if they

- a) are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market there, provided the choice of such stock exchange or regulated market is permitted by BaFin,²⁶
 - c) are issued or guaranteed by the European Union, the German Federal Government, a special-purpose fund of the German Federal Government, a German federal state, another member state or another central, regional or local authority or by the central bank of a European Union member state, the European Central Bank or the European Investment Bank, a non-EU member state or, in case of a federal state, by one of the members making up the federation, or by a public international body to which one or more EU member states belong,
 - d) are issued by a company whose securities are traded on the markets referred to in a) and b),
 - e) if they are issued or guaranteed by a credit institution that is subject to supervision that meets the criteria defined by European Union law, or a credit institution that is subject to the prudential rules considered by BaFin as equivalent to those laid down in European Union law, and which complies with such rules, or
 - f) are issued by other bodies and comply with the requirements of Section 194 Paragraph 1 Sentence 1 No. 6 KAGB.
2. Money market instruments as defined in Paragraph 1 may only be acquired if they comply with the requirements of Section 194 Paragraphs 2 and 3 KAGB.

§ 6 Bank accounts

The Company may also hold, on behalf of the UCITS sub-fund, bank accounts containing deposits with a maturity not exceeding twelve months. The accounts, which must be in the form of blocked accounts, may be maintained at a credit institution that has its registered office in a member state of the European Union or another state that is a party to the Agreement on the European Economic Area.

These accounts may also be maintained by a credit institution that has its registered office in a non-member state, provided that it is subject to the prudential rules considered by BaFin as equivalent to those laid down in the law of the European Union. The bank accounts may also be denominated in foreign currency.

§ 7 Derivatives

1. Unless specified otherwise in Paragraph 8, in managing the UCITS sub-fund, the Company may acquire derivatives in accordance with Section 197 Paragraph 1 Sentence 1 KAGB and financial instruments with derivative components in accordance with Section 197 Paragraph 1 Sentence 2 KAGB. It may – depending on the type and extent of derivatives and financial instruments with derivative components used – use either the simple or qualified approach within the meaning of DerivateV provided for in Section 197 Paragraph 3 KAGB when calculating the market risk limits established under Section 197 Paragraph 2 KAGB on the use of derivatives and financial instruments with derivative components; details are discussed in the Sales Prospectus.
2. If the Company uses the simple approach, it may only make regular use of the following basic forms of derivatives, financial instruments with a derivative component or combinations of these derivatives, financial instruments with a derivative component or combinations of underlying securities permitted under Section 197 Paragraph 1 Sentence 1 KAGB in the UCITS sub-fund. Complex derivatives based on permitted underlying securities pursuant to Section 197 Paragraph 1 sentence 1 KAGB may only be used for a negligible proportion. The weighted market risk attributable to the UCITS sub-fund, to be calculated as provided for in Section 16 DerivateV, may at no time exceed the value of the UCITS sub-fund. The basic forms of derivatives are:
 - a) Forward contracts on the underlying values pursuant to Section 197 Paragraph 1 KAGB with the exception of investment units pursuant to Section 196 KAGB;
 - b) Options or warrants on the underlying securities pursuant to Section 197 Paragraph 1 KAGB with the exception of investment fund units pursuant to Section 196 KAGB and on futures contracts as defined in a), if they have the following characteristics:
 - aa) exercising is possible either during the entire term or at the end of the term and
 - bb) at the time of being exercised, the option value is linearly based on the positive or negative difference between the underlying price and the

²⁶ The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

market price of the underlying security and becomes nil if the difference has the other leading sign;

- c) Interest rate swaps, currency swaps or interest rate/currency swaps;
 - d) Options on swaps according to letter c), to the extent that they display the characteristics described in letter b) under letters aa) and bb) (swaptions);
 - e) Credit default swaps related to single underlying instruments (Single Name Credit Default Swaps).
3. If the Company uses the qualified approach, it may invest, subject to a suitable risk management system, in any financial instruments with a derivative component or derivatives that are derived from an underlying security that is permitted under Section 197 Paragraph 1 Sentence 1 KAGB.
- The potential risk amount for the market risk ("risk exposure") attributable to the UCITS sub-fund may at no time exceed two times the potential risk amount for the market risk of the associated benchmark assets pursuant to Section 9 DerivateV. Alternatively, the risk exposure may at no time exceed 20 percent of the value of the UCITS sub-fund.
4. In these transactions, the Company may under no circumstances deviate from the investment principles and limits listed in the Articles of Incorporation, these Investment Conditions or in the Sales Prospectus.
5. The Company will use the derivatives and financial instruments with a derivative component for the purpose of efficient portfolio management and to produce additional returns, when and to the extent that it considers this to be in the interests of the investors.
- No transactions with derivatives may be undertaken for purposes of hedging.
6. In calculating the market risk limit for the use of derivatives and financial instruments with a derivative component, the company may at any time switch between the simple and the qualified approach pursuant to § 6 Sentence 3 DerivateV. The change does not require the approval of BaFin. However, the company must report the change to BaFin without delay and announce it in the next semi-annual or annual report.
7. The Company will observe the guidelines of DerivateV when derivatives and financial instruments with derivative components are used.
8. In derogation of Paragraph 1, the Company may – subject to a suitable risk management system – only use futures contracts that are based on the Underlying Index and futures contracts that are based on individual stocks of the Underlying Index as well as warrants that are based on the Underlying Index and warrants that are based on individual stocks of the Underlying Index for the UCITS sub-fund.

§ 8 Other investment instruments

The Company may on behalf of the UCITS sub-fund acquire other investment instruments up to 10 percent of the value of the UCITS sub-fund pursuant to Section 198 KAGB.

§ 9 Investment fund units

1. The Company may, on behalf of the UCITS sub-fund, acquire units in investment funds pursuant to Directive 2009/65/EC (UCITS). Units in other domestic investment funds and joint-stock investment companies with variable capital and units in EU alternative investment funds and foreign open-ended alternative investment funds may be acquired if they meet the requirements of § 196 Para. 1 sentence 2 KAGB.
2. For account of the UCITS sub-fund, the company may only acquire units of domestic investment funds and joint-stock investment companies with variable capital, open-ended EU AIF and foreign open-ended AIF if, in accordance with the investment conditions or the Articles of Incorporation of the investment management company, the joint-stock investment company with variable capital, the EU investment fund, the EU management company, the foreign AIF or the foreign AIF management company, a total not exceeding 10 percent of the value of their assets may be invested in units of other domestic investment funds, joint-stock investment companies with variable capital, open-ended EU investment funds or foreign open-ended AIFs.

§ 10 Issuer and investment limits

1. The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and these Investment Conditions.
2. The Company may invest up to 20 percent of the assets of the UCITS sub-fund in securities from a single issuer (debtor).
3. The limit specified in Paragraph 2 may be increased to up to 35 percent of the value of the UCITS sub-fund for securities from a single issuer. An investment up to the limit specified in Sentence 1 above is permissible only for one individual issuer (debtor).
4. For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.
5. The Company may invest no more than 5 percent of the value of the UCITS sub-fund in bank accounts and money market instruments as defined in Sections 5 and 6.

6. The Company may invest no more than 10 percent of the value of the UCITS sub-fund in units of investment funds pursuant to Section 3 Paragraph 2 and Section 9. When doing so, the Company may acquire on behalf of the UCITS sub-fund no more than 25 percent of issued units of another open-ended domestic, EU or foreign investment fund that invests in assets in accordance with the principle of risk diversification as defined in Sections 192 to 198 KAGB.
7. A minimum of 95 percent of the UCITS sub-fund must be invested in assets based on the Security Index pursuant to Section 3 Paragraph 2 Sentence 1. At least 85 percent of the value of the UCITS sub-fund shall be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds.

§ 11 Loans

Short-term borrowing by the Company on the account of the UCITS sub-fund of amounts of up to 10 percent of the value of the UCITS sub-fund is permissible if the terms of the borrowing are at market rates and the Custodian Bank approves the borrowing.

SHARE CLASSES

§ 12 Share classes

1. Share classes as defined in Section 20 of the Articles of Incorporation may be formed for the UCITS sub-fund; these differ with respect to appropriation of income, issue premiums, redemption fees, management fees, minimum investment amount, currency, net asset value per share, or a combination of these characteristics. The creation of share classes is permitted at any time and is at the discretion of the Company.
2. The net asset value per share is calculated separately for each share class by allocating the costs of launching new share classes, the distributions (including any taxes that may be payable from the fund's assets), the management fee including income adjustment if applicable, exclusively to this share class.
3. The existing share classes are listed individually in the Sales Prospectus and in the annual and semi-annual reports. The structural characteristics defining the share classes (appropriation of income, issue premiums, redemption fees, management fees, currency, minimum investment amount, or a combination of these characteristics) are described in detail in the Sales Prospectus and in the annual and semi-annual reports.

ISSUE AND REDEMPTION OF SHARES/EXPENSES

§ 13 Issue and redemption of shares, fees

1. The Company indicates the issue premiums and redemption fees charged for each share class in the Sales Prospectus, the Key Information Document and in the annual and semi-annual reports.
2. For the calculation of share issue and redemption prices, the market values of the assets (net asset value) belonging to the UCITS sub-fund less borrowings undertaken and other liabilities (net asset value) is determined and divided by the number of shares in circulation (share value). If special share classes for the UCITS sub-fund are introduced in accordance with Section 12, then the net asset value per share and the issue and redemption prices for each share class shall be determined separately. The assets are valued in accordance with Sections 168 and 169 KAGB and the German Capital Investment Accounting and Valuation Ordinance ("KARBV").
3. The issue price corresponds to the net asset value per share at the issue date, plus any issue premium pursuant to Paragraph 4. The redemption price corresponds to the net asset value per share at the redemption date, plus any redemption fees pursuant to Paragraph 5.
4. Depending on the share class, the issue premium per share is up to 2 percent of the net asset value per share. The Company is free to charge a lower issue premium for one or more share classes, or all of them.
5. Depending on the share class, the redemption fee per share is up to 1 percent of the net asset value per share. The Company is free to charge a lower redemption fee for one or more share classes, or all of them. The Management Company shall receive the redemption fee.
6. The settlement date for issue and redemption orders is no later than the next valuation date following the receipt of the issue or redemption order. If the Company suspends the redemption of shares in accordance with Section 11 paragraph 6 of the Articles of Incorporation, the settlement date for such redemption orders is the valuation day following the resumption.
7. Issue and redemption prices will be determined on each exchange trading day. On public holidays under the KAGB that are stock exchange days and 24 and 31 December every year, the Company and the Custodian Bank may interrupt their daily price calculation; details are discussed in the Sales Prospectus.
8. The Company applies the Dual Pricing method when determining the issue and redemption prices. This means that, deviating from paragraph 2 sentence 1, a modified net asset value per share must be calculated in addition to the net asset value. For this purpose, for each issue and redemption of shares, the net asset value per share is adjusted by a factor

that reflects liquidity costs. The Company explains the procedure used to calculate the modified net asset value per share in the Sales Prospectus.

9. The Company may charge a redemption fee (Rückgabegebühr). The redemption fee is calculated on the basis of gross redemptions and amounts to up to 2 per cent of gross redemptions. The Sales Prospectus contains a description of the option and the conditions for a redemption fee.

§ 14 Expenses and services included

1. For managing the UCITS sub-fund, the Management Company receives from the assets of the UCITS sub-fund a fee of up to 0.45 percent per annum depending on the share class, based on the net asset value of the UCITS sub-fund determined each exchange trading day. The Management Company is free to charge a lower management fee for one or more share classes, or all of them. The management fee will be paid in advance in monthly instalments out of the UCITS sub-fund. The Company indicates the management fee charged for each share class in the Sales Prospectus and in the annual and semi-annual reports.
2. The management fee specified in Paragraph 1 shall cover services rendered by the Management Company for the UCITS sub-fund, including the expenses of the Custodian Bank, legally required printing, mailings, and publications associated with the UCITS sub-fund, and for annual report audits conducted by auditors of the Company.
3. The following expenses are not covered by Paragraph 1:
 - a) Expenses resulting from the purchase and sale of assets (transaction costs),
 - b) Customary bank custody fees, including the customary bank charges for the custody of foreign securities abroad and related taxes, if applicable,
 - c) Customary expenses related to day-to-day account management,
 - d) Expenses incurred in the assertion and enforcement of the legal claims of the UCITS sub-fund,
 - e) Expenses for providing information to investors of the UCITS sub-fund by means of a durable medium, with the exception of expenses for providing information in the case of fund mergers and with the exception of information on measures connected with violations of investment limits or errors in calculating the net asset value per share.

Such expenses may be charged to the UCITS sub-fund in addition to the management fee charged in accordance with Paragraph 1.

4. The Company has to publish in the annual report and in the semi-annual report the

amount of the issue premiums and redemption fees that have been charged to the UCITS sub-fund during the reporting period for the purchase and redemption of shares as defined in Section 9. When units are purchased that are managed, directly or indirectly, by the Management Company itself or by any other company with which the Management Company is affiliated through a significant direct or indirect equity interest, the Management Company or the other company may not levy issue premiums or redemption fees for the purchase or redemption. The Company publishes in the annual report and in the semi-annual report the fees charged as management fees for the units held in the UCITS sub-fund when such fees are charged by the Management Company, by another investment management company, a joint-stock investment company or another company with which the Management Company is affiliated through a significant direct or indirect equity interest, or by a foreign investment company, including its management company.

APPROPRIATION OF INCOME, TERM AND FINANCIAL YEAR

§ 15 Distribution

1. For distributing share classes, the Company distributes, net of costs, the interest, dividends and other income from investment fund shares received for account of the UCITS sub-fund, taking into account the appropriate income netting. Capital gains and other income - taking into account the appropriate income equalisation - can also be used for distributions.
2. The final distribution takes place within four months of the financial year-end. In addition, the Company may carry out interim distributions during the year.
3. The interim distribution amount is at the discretion of the Company. The Company is not obliged to distribute all distributable income pursuant to Paragraph 1 accumulated up to the date of the interim distribution; it may carry ordinary income forward to the next distribution date.
4. Interim distributions are intended to minimise any discrepancy between the performance of the UCITS sub-fund and that of the Underlying Index.
5. Distributable income pursuant to Paragraph 1 may be carried forward for distribution in subsequent financial years if the amount of the income carried forward does not exceed 15 percent of the respective value of the UCITS sub-fund at the end of the financial year. Income from short financial years may be carried forward in its entirety.
6. In the interests of maintaining equity, some income, or in exceptional cases, all income,

may be set aside for accumulation in the UCITS sub-fund.

7. If no share classes are created, the income will be distributed.

§ 16 Reinvestment

For reinvesting share classes, the Company invests the interest, dividends and other income of the UCITS sub-fund, taking into account the appropriate income netting, as well as the realised capital gains that have accrued for account of the sub-fund during the financial year in the UCITS sub-fund, net of costs.

§ 17 Financial year and accounting

1. The financial year of the UCITS sub-fund begins on 1 March of each calendar year and ends on the last day of February.
2. The company publishes an annual financial statement with a management report no later than four months after the end of the financial year in accordance with § 120 Para. 1, 2 and 6 Sentence 3 in conjunction with § 123 Para. 1 No. 1 KAGB.
3. The Company publishes a semi-annual report no later than two months after the end of the first half of the financial year in accordance with Section 122 Paragraph 1 Sentence 4 in conjunction with Section 103 and Section 107 Paragraph 1 Sentence 2 KAGB.

§ 18 Liquidation of the sub-fund

1. The Company may liquidate the UCITS sub-fund pursuant to Section 19 of the Articles of Incorporation. This liquidation resolution shall take effect six months after its publication in the Bundesanzeiger. The shareholders must be informed by the Company immediately by means of a durable medium as defined in Section 167 KAGB of the announcement of a termination in accordance with Sentence 2.
2. The Company must prepare a liquidation report for the period ending on the date on which its right to manage lapses pursuant to Section 117 Paragraph 8 Sentence 4, 100 Paragraph 1 KAGB; this liquidation report must fulfil the requirements of an annual report in accordance with Section 120 Paragraph 1.
3. Net liquidation proceeds not collected by shareholders upon completion of the liquidation proceedings may be deposited with an appropriate depository for the benefit of the entitled shareholders.

§ 19 Change of the external investment management company and the depository

1. The company may transfer the management and disposal rights over the company to another external investment management

company. The transfer is subject to the prior approval of BaFin.

2. The approved transfer shall be published in the Bundesanzeiger and in the annual financial statements or the semi-annual report. Investors must be informed immediately by means of a durable medium of the announcement of a transfer in accordance with sentence 1. The transfer shall take effect no earlier than three months after its publication in the Bundesanzeiger.
3. The company may change the depository for the UCITS sub-fund. The change must be approved by BaFin.

§ 20 Changes to the Investment Conditions

1. The Company is entitled to change the Investment Conditions.
2. Amendments to the Investment Conditions require the prior approval of BaFin.
3. All planned amendments shall be published in the Bundesanzeiger and, in addition, in a financial or daily newspaper with sufficient circulation or in the electronic information media designated in the Sales Prospectus. The planned changes and their effective dates must be stated in any publication made in accordance with Sentence 1 above. In the event of amendments to costs detrimental to investors as defined in Section 162 Paragraph 2 (11) KAGB, amendments to the investment principles of the UCITS Fund as defined in Section 163 Paragraph 3 KAGB or amendments related to significant investor rights, investors must be informed simultaneously with the publication pursuant to Sentence 1 of the significant contents of the proposed amendments to the Investment Conditions and the background thereto, as well as information on their rights pursuant to Section 163 Paragraph 3 KAGB by means of a durable medium and in an understandable way in accordance with Section 163 Paragraph 4 KAGB.
4. The amendments enter into force at the earliest on the day after their publication in the Bundesanzeiger; amendments to costs and to the investment principles, however, do not enter into force until three months after the corresponding publication. With the consent of the BaFin, an earlier date may be determined, insofar as this concerns a change in costs that benefits the investors.

§ 21 Place of performance

The place of performance is the registered office of the Company.

§ 22 Name

The rights of shareholders who acquired shares originally named "iShares STOXX Europe 600 Insurance (DE)" remain unaffected.

Investment Conditions

governing the legal relationship between the shareholders and

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, Munich, (hereinafter referred to as the "**Company**")

externally managed by

BlackRock Asset Management Deutschland AG, Munich, (hereinafter referred to as the "**Management Company**")

for the UCITS-compliant securities sub-fund

iShares STOXX Europe 600 Media UCITS ETF (DE), (hereinafter referred to as the "**UCITS sub-fund**")

These investment conditions are valid only in combination with the Articles of Incorporation of the Company.

INVESTMENT POLICIES AND RESTRICTIONS

§ 1 Assets and investment objective

The Company may acquire the following assets for the UCITS sub-fund:

- a) securities pursuant to Section 4 of these Investment Conditions,
- b) money market instruments pursuant to Section 5 of these Investment Conditions,
- c) bank accounts pursuant to Section 6 of these Investment Conditions,
- d) derivatives pursuant to Section 7 of these Investment Conditions,
- e) other investment instruments pursuant to Section 8 of these Investment Conditions,
- f) Investment fund units pursuant to Section 9 of these Investment Conditions

The purpose of the equity and equity index certificate selection for the UCITS sub-fund is to replicate the STOXX Europe 600 Media (price index) (hereinafter referred to as the "Underlying Index") while maintaining an appropriate diversification of risk.

§ 2 Depository

1. The Company shall appoint a credit institution as Custodian Bank for the UCITS sub-fund; the Custodian Bank shall act independently of the Company and exclusively in the interests of the shareholders.

2. The tasks and duties of the Custodian Bank are governed by the custodian agreement concluded with the Company, in accordance with the KAGB, the Articles of Incorporation and the Investment Conditions.
3. The Custodian Bank may outsource custodial tasks to another company (sub-custodian) pursuant to Section 73 KAGB. Please refer to the Sales Prospectus for details.
4. The Custodian Bank shall be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for the loss of a financial instrument pursuant to Section 72 Paragraph 1 Sentence 1 held in custody by the Custodian Bank or by a sub-custodian to whom the custody of financial instruments has been transferred according to Section 73 Paragraph 1 KAGB. The Custodian Bank is not liable if it can prove that the loss is due to external events whose consequences were unavoidable despite all reasonable countermeasures. Further claims arising out of the provisions of civil law on the basis of contracts or torts are not affected. The Custodian Bank shall also be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for all other losses that they incur if the Custodian Bank fails to meet its obligations under the provisions of the KAGB, whether negligently or intentionally. The Custodian Bank's liability remains unaffected by any transfer of custody tasks referred to in Paragraph 3, sentence 1.

§ 3 Investment principles

1. The Company may only acquire such assets on behalf of the UCITS sub-fund that are designed to replicate a certain security index ("Security Index") approved by the Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin) while still maintaining appropriate diversification of risk. The Security Index is approved specifically if
 - a) its composition is sufficiently diversified,
 - b) it represents an adequate benchmark for the market to which it relates; and
 - c) it has been published in an appropriate manner.
2. The UCITS sub-fund may only acquire securities included in the Security Index or introduced to it following a change thereto ("Index Securities"), securities that are issued on these Index Securities or on the Underlying Index, and derivatives on securities, money market instruments, investment fund units pursuant to Section 9, recognised financial indices, interest rates, foreign exchange rates or currencies in which the UCITS sub-fund may invest as provided for in the Investment Conditions. When replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in Index Securities over investments in any other assets mentioned in Sentence 1 above that are approved for use in

replicating indices. The Underlying Index may be replicated using securities, derivatives that indirectly replicate the index only for purposes of maintaining the investment restrictions listed in Section 10 Paragraph 7.

3. In order to replicate the Security Index, the duplication percentage may not be less than 95 percent of the total assets in the UCITS sub-fund as defined in the first sentence of Paragraph 2 above. Derivatives shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach provided for in the "ordinance on risk management and risk measurement in the use of derivatives, securities lending and repurchase agreements in investment funds" ("DerivateV") issued pursuant to Section 197 Paragraph 3 of the German Investment Code (KAGB).
4. The duplication percentage reflects the proportion of securities and derivatives according to Section 197 Paragraph 1 KAGB in the UCITS Fund that corresponds with the Security Index in terms of weighting. The duplication percentage is defined as being equal to 100 less one half of the sum of the differences between the weighting of the securities in the index and the applicable weighting of the securities included in the total assets of the UCITS sub-fund, totalled for all securities and applicable values of derivatives according to Section 197 Paragraph 1 KAGB in the UCITS sub-fund and for all securities in the index.

$$DG = 100\% - \frac{\sum_{i=1}^n |W_i^I - W_i^F|}{2}$$

DG	=	duplication percentage in %
n	=	number of share types in the Fund and index (upper summation limit)
I	=	index
F	=	Fund
W_i^I	=	weighting of equity i in index I in %
W_i^F	=	weighting of equity i to be included in the equity portion of the Fund in %
$\sum$	=	sum symbol
i	=	summation index; represents the individual share types of i = 1 (lower summations limit) bis i = n (upper summation limit)

§ 4 Securities

1. The Company may only acquire securities on behalf of the UCITS sub-fund if:
 - a) they are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) they are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in one of these states, provided the choice of such stock exchange or regulated market is permitted by BaFin,²⁷
 - c) their terms of issue require application for admission to official trading on one of the stock exchanges permitted under a) and b) or for inclusion in one of the regulated markets permitted under a) and b), and admission or inclusion on these markets takes place within one year after their issue,
 - d) they are equities to which the UCITS sub-fund is entitled in an issuer's capital increase from company assets;
 - e) they are acquired in exercising subscription rights belonging to the UCITS sub-fund,
 - f) they are financial instruments that meet the criteria listed in Section 193 Paragraph 1 Sentence 1 No. 8 KAGB.
2. Securities may only be acquired in accordance with Paragraph 1 letters a) to c) if additionally the requirements of Section 193 Paragraph 1 Sentence 2 KAGB are met. Subscription rights arising from securities which may be acquired under this Section, Section 4, may also be acquired.

§ 5 Money market instruments

1. The Company may acquire on behalf of the UCITS sub-fund instruments normally dealt in on the money market and interest-bearing securities with a residual term of no more than 397 days at the time of their acquisition or whose interest rate, in accordance with the issue conditions, is regularly – and at least once each 397-day period – adjusted to reflect current market conditions or whose risk profile corresponds to the risk profile of this type of security (money market instruments). The money market instruments may also be denominated in foreign currency. Money

²⁷ The list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB is published on the BaFin website. www.bafin.de

market instruments may only be acquired if they

- a) are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market there, provided the choice of such stock exchange or regulated market is permitted by BaFin,²⁸
 - c) are issued or guaranteed by the European Union, the German Federal Government, a special-purpose fund of the German Federal Government, a German federal state, another member state or another central, regional or local authority or by the central bank of a European Union member state, the European Central Bank or the European Investment Bank, a non-EU member state or, in case of a federal state, by one of the members making up the federation, or by a public international body to which one or more EU member states belong,
 - d) are issued by a company whose securities are traded on the markets referred to in a) and b),
 - e) if they are issued or guaranteed by a credit institution that is subject to supervision that meets the criteria defined by European Union law, or a credit institution that is subject to the prudential rules considered by BaFin as equivalent to those laid down in European Union law, and which complies with such rules, or
 - f) are issued by other bodies and comply with the requirements of Section 194 Paragraph 1 Sentence 1 No. 6 KAGB.
2. Money market instruments as defined in Paragraph 1 may only be acquired if they comply with the requirements of Section 194 Paragraphs 2 and 3 KAGB.

§ 6 Bank accounts

The Company may also hold, on behalf of the UCITS sub-fund, bank accounts containing deposits with a maturity not exceeding twelve months. The accounts, which must be in the form of blocked accounts, may be maintained at a credit institution that has its registered office in a member state of the European Union or another state that is a party to the Agreement on the European Economic Area.

These accounts may also be maintained by a credit institution that has its registered office in a non-member state, provided that it is subject to the prudential rules considered by BaFin as equivalent to those laid down in the law of the European Union. The bank accounts may also be denominated in foreign currency.

§ 7 Derivatives

1. Unless specified otherwise in Paragraph 8, in managing the UCITS sub-fund, the Company may acquire derivatives in accordance with Section 197 Paragraph 1 Sentence 1 KAGB and financial instruments with derivative components in accordance with Section 197 Paragraph 1 Sentence 2 KAGB. It may – depending on the type and extent of derivatives and financial instruments with derivative components used – use either the simple or qualified approach within the meaning of DerivateV provided for in Section 197 Paragraph 3 KAGB when calculating the market risk limits established under Section 197 Paragraph 2 KAGB on the use of derivatives and financial instruments with derivative components; details are discussed in the Sales Prospectus.
2. If the Company uses the simple approach, it may only make regular use of the following basic forms of derivatives, financial instruments with a derivative component or combinations of these derivatives, financial instruments with a derivative component or combinations of underlying securities permitted under Section 197 Paragraph 1 Sentence 1 KAGB in the UCITS sub-fund. Complex derivatives based on permitted underlying securities pursuant to Section 197 Paragraph 1 sentence 1 KAGB may only be used for a negligible proportion. The weighted market risk attributable to the UCITS sub-fund, to be calculated as provided for in Section 16 DerivateV, may at no time exceed the value of the UCITS sub-fund. The basic forms of derivatives are:
 - a) Forward contracts on the underlying values pursuant to Section 197 Paragraph 1 KAGB with the exception of investment units pursuant to Section 196 KAGB;
 - b) Options or warrants on the underlying securities pursuant to Section 197 Paragraph 1 KAGB with the exception of investment fund units pursuant to Section 196 KAGB and on futures contracts as defined in a), if they have the following characteristics:
 - aa) exercising is possible either during the entire term or at the end of the term and
 - bb) at the time of being exercised, the option value is linearly based on the positive or negative difference between the underlying price and the

²⁸ The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

market price of the underlying security and becomes nil if the difference has the other leading sign;

- c) Interest rate swaps, currency swaps or interest rate/currency swaps;
 - d) Options on swaps according to letter c), to the extent that they display the characteristics described in letter b) under letters aa) and bb) (swaptions);
 - e) Credit default swaps related to single underlying instruments (Single Name Credit Default Swaps).
3. If the Company uses the qualified approach, it may invest, subject to a suitable risk management system, in any financial instruments with a derivative component or derivatives that are derived from an underlying security that is permitted under Section 197 Paragraph 1 Sentence 1 KAGB.

The potential risk amount for the market risk ("risk exposure") attributable to the UCITS sub-fund may at no time exceed two times the potential risk amount for the market risk of the associated benchmark assets pursuant to Section 9 DerivateV. Alternatively, the risk exposure may at no time exceed 20 percent of the value of the UCITS sub-fund.

- 4. In these transactions, the Company may under no circumstances deviate from the investment principles and limits listed in the Articles of Incorporation, these Investment Conditions or in the Sales Prospectus.
- 5. The Company will use the derivatives and financial instruments with a derivative component for the purpose of efficient portfolio management and to produce additional returns, when and to the extent that it considers this to be in the interests of the investors.

No transactions with derivatives may be undertaken for purposes of hedging.

- 6. In calculating the market risk limit for the use of derivatives and financial instruments with a derivative component, the company may at any time switch between the simple and the qualified approach pursuant to § 6 Sentence 3 DerivateV. The change does not require the approval of BaFin. However, the company must report the change to BaFin without delay and announce it in the next semi-annual or annual report.
- 7. The Company will observe the guidelines of DerivateV when derivatives and financial instruments with derivative components are used.
- 8. In derogation of Paragraph 1, the Company may – subject to a suitable risk management system – only use futures contracts that are based on the Underlying Index and futures contracts that are based on individual stocks of the Underlying Index as well as warrants that are based on the Underlying Index and warrants that are based on individual stocks of the Underlying Index for the UCITS sub-fund.

§ 8 Other investment instruments

The Company may on behalf of the UCITS sub-fund acquire other investment instruments up to 10 percent of the value of the UCITS sub-fund pursuant to Section 198 KAGB.

§ 9 Investment fund units

- 1. The Company may, on behalf of the UCITS sub-fund, acquire units in investment funds pursuant to Directive 2009/65/EC (UCITS). Units in other domestic investment funds and joint-stock investment companies with variable capital and units in EU alternative investment funds and foreign open-ended alternative investment funds may be acquired if they meet the requirements of § 196 Para. 1 sentence 2 KAGB.
- 2. For account of the UCITS sub-fund, the company may only acquire units of domestic investment funds and joint-stock investment companies with variable capital, open-ended EU AIF and foreign open-ended AIF if, in accordance with the investment conditions or the Articles of Incorporation of the investment management company, the joint-stock investment company with variable capital, the EU investment fund, the EU management company, the foreign AIF or the foreign AIF management company, a total not exceeding 10 percent of the value of their assets may be invested in units of other domestic investment funds, joint-stock investment companies with variable capital, open-ended EU investment funds or foreign open-ended AIFs.

§ 10 Issuer and investment limits

- 1. The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and these Investment Conditions.
- 2. The Company may invest up to 20 percent of the assets of the UCITS sub-fund in securities from a single issuer (debtor).
- 3. The limit specified in Paragraph 2 may be increased to up to 35 percent of the value of the UCITS sub-fund for securities from a single issuer. An investment up to the limit specified in Sentence 1 above is permissible only for one individual issuer (debtor).
- 4. For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.
- 5. The Company may invest no more than 5 percent of the value of the UCITS sub-fund in bank accounts and money market instruments as defined in Sections 5 and 6.

6. The Company may invest no more than 10 percent of the value of the UCITS sub-fund in units of investment funds pursuant to Section 3 Paragraph 2 and Section 9. When doing so, the Company may acquire on behalf of the UCITS sub-fund no more than 25 percent of issued units of another open-ended domestic, EU or foreign investment fund that invests in assets in accordance with the principle of risk diversification as defined in Sections 192 to 198 KAGB.
7. A minimum of 95 percent of the UCITS sub-fund must be invested in assets based on the Security Index pursuant to Section 3 Paragraph 2 Sentence 1. At least 85 percent of the value of the UCITS sub-fund shall be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds.

§ 11 Loans

Short-term borrowing by the Company on the account of the UCITS sub-fund of amounts of up to 10 percent of the value of the UCITS sub-fund is permissible if the terms of the borrowing are at market rates and the Custodian Bank approves the borrowing.

SHARE CLASSES

§ 12 Share classes

1. Share classes as defined in Section 20 of the Articles of Incorporation may be formed for the UCITS sub-fund; these differ with respect to appropriation of income, issue premiums, redemption fees, management fees, minimum investment amount, currency, net asset value per share, or a combination of these characteristics. The creation of share classes is permitted at any time and is at the discretion of the Company.
2. The net asset value per share is calculated separately for each share class by allocating the costs of launching new share classes, the distributions (including any taxes that may be payable from the fund's assets), the management fee including income adjustment if applicable, exclusively to this share class.
3. The existing share classes are listed individually in the Sales Prospectus and in the annual and semi-annual reports. The structural characteristics defining the share classes (appropriation of income, issue premiums, redemption fees, management fees, currency, minimum investment amount, or a combination of these characteristics) are described in detail in the Sales Prospectus and in the annual and semi-annual reports.

ISSUE AND REDEMPTION OF SHARES/EXPENSES

§ 13 Issue and redemption of shares, fees

1. The Company indicates the issue premiums and redemption fees charged for each share class in the Sales Prospectus, the Key Information Document and in the annual and semi-annual reports.
2. For the calculation of share issue and redemption prices, the market values of the assets (net asset value) belonging to the UCITS sub-fund less borrowings undertaken and other liabilities (net asset value) is determined and divided by the number of shares in circulation (share value). If special share classes for the UCITS sub-fund are introduced in accordance with Section 12, then the net asset value per share and the issue and redemption prices for each share class shall be determined separately. The assets are valued in accordance with Sections 168 and 169 KAGB and the German Capital Investment Accounting and Valuation Ordinance ("KARBV").
3. The issue price corresponds to the net asset value per share at the issue date, plus any issue premium pursuant to Paragraph 4. The redemption price corresponds to the net asset value per share at the redemption date, plus any redemption fees pursuant to Paragraph 5.
4. Depending on the share class, the issue premium per share is up to 2 percent of the net asset value per share. The Company is free to charge a lower issue premium for one or more share classes, or all of them.
5. Depending on the share class, the redemption fee per share is up to 1 percent of the net asset value per share. The Company is free to charge a lower redemption fee for one or more share classes, or all of them. The Management Company shall receive the redemption fee.
6. The settlement date for issue and redemption orders is no later than the next valuation date following the receipt of the issue or redemption order. If the Company suspends the redemption of shares in accordance with Section 11 paragraph 6 of the Articles of Incorporation, the settlement date for such redemption orders is the valuation day following the resumption.
7. Issue and redemption prices will be determined on each exchange trading day. On public holidays under the KAGB that are stock exchange days and 24 and 31 December every year, the Company and the Custodian Bank may interrupt their daily price calculation; details are discussed in the Sales Prospectus.
8. The Company applies the Dual Pricing method when determining the issue and redemption prices. This means that, deviating from paragraph 2 sentence 1, a modified net asset value per share must be calculated in addition to the net asset value. For this purpose, for each issue and redemption of shares, the net asset value per share is adjusted by a factor

that reflects liquidity costs. The Company explains the procedure used to calculate the modified net asset value per share in the Sales Prospectus.

9. The Company may charge a redemption fee (Rückgabegebühr). The redemption fee is calculated on the basis of gross redemptions and amounts to up to 2 per cent of gross redemptions. The Sales Prospectus contains a description of the option and the conditions for a redemption fee.

§ 14 Expenses and services included

1. For managing the UCITS sub-fund, the Management Company receives from the assets of the UCITS sub-fund a fee of up to 0.45 percent per annum depending on the share class, based on the net asset value of the UCITS sub-fund determined each exchange trading day. The Management Company is free to charge a lower management fee for one or more share classes, or all of them. The management fee will be paid in advance in monthly instalments out of the UCITS sub-fund. The Company indicates the management fee charged for each share class in the Sales Prospectus and in the annual and semi-annual reports.
2. The management fee specified in Paragraph 1 shall cover services rendered by the Management Company for the UCITS sub-fund, including the expenses of the Custodian Bank, legally required printing, mailings, and publications associated with the UCITS sub-fund, and for annual report audits conducted by auditors of the Company.
3. The following expenses are not covered by Paragraph 1:
 - a) Expenses resulting from the purchase and sale of assets (transaction costs),
 - b) Customary bank custody fees, including the customary bank charges for the custody of foreign securities abroad and related taxes, if applicable,
 - c) Customary expenses related to day-to-day account management,
 - d) Expenses incurred in the assertion and enforcement of the legal claims of the UCITS sub-fund,
 - e) Expenses for providing information to investors of the UCITS sub-fund by means of a durable medium, with the exception of expenses for providing information in the case of fund mergers and with the exception of information on measures connected with violations of investment limits or errors in calculating the net asset value per share.

Such expenses may be charged to the UCITS sub-fund in addition to the management fee charged in accordance with Paragraph 1.

4. The Company has to publish in the annual report and in the semi-annual report the

amount of the issue premiums and redemption fees that have been charged to the UCITS sub-fund during the reporting period for the purchase and redemption of shares as defined in Section 9. When units are purchased that are managed, directly or indirectly, by the Management Company itself or by any other company with which the Management Company is affiliated through a significant direct or indirect equity interest, the Management Company or the other company may not levy issue premiums or redemption fees for the purchase or redemption. The Company publishes in the annual report and in the semi-annual report the fees charged as management fees for the units held in the UCITS sub-fund when such fees are charged by the Management Company, by another investment management company, a joint-stock investment company or another company with which the Management Company is affiliated through a significant direct or indirect equity interest, or by a foreign investment company, including its management company.

APPROPRIATION OF INCOME, TERM AND FINANCIAL YEAR

§ 15 Distribution

1. For distributing share classes, the Company distributes, net of costs, the interest, dividends and other income from investment fund shares received for account of the UCITS sub-fund, taking into account the appropriate income netting. Capital gains and other income - taking into account the appropriate income equalisation - can also be used for distributions.
2. The final distribution takes place within four months of the financial year-end. In addition, the Company may carry out interim distributions during the year.
3. The interim distribution amount is at the discretion of the Company. The Company is not obliged to distribute all distributable income pursuant to Paragraph 1 accumulated up to the date of the interim distribution; it may carry ordinary income forward to the next distribution date.
4. Interim distributions are intended to minimise any discrepancy between the performance of the UCITS sub-fund and that of the Underlying Index.
5. Distributable income pursuant to Paragraph 1 may be carried forward for distribution in subsequent financial years if the amount of the income carried forward does not exceed 15 percent of the respective value of the UCITS sub-fund at the end of the financial year. Income from short financial years may be carried forward in its entirety.
6. In the interests of maintaining equity, some income, or in exceptional cases, all income,

may be set aside for accumulation in the UCITS sub-fund.

7. If no share classes are created, the income will be distributed.

§ 16 Reinvestment

For reinvesting share classes, the Company invests the interest, dividends and other income of the UCITS sub-fund, taking into account the appropriate income netting, as well as the realised capital gains that have accrued for account of the sub-fund during the financial year in the UCITS sub-fund, net of costs.

§ 17 Financial year and accounting

1. The financial year of the UCITS sub-fund begins on 1 March of each calendar year and ends on the last day of February.
2. The company publishes an annual financial statement with a management report no later than four months after the end of the financial year in accordance with § 120 Para. 1, 2 and 6 Sentence 3 in conjunction with § 123 Para. 1 No. 1 KAGB.
3. The Company publishes a semi-annual report no later than two months after the end of the first half of the financial year in accordance with Section 122 Paragraph 1 Sentence 4 in conjunction with Section 103 and Section 107 Paragraph 1 Sentence 2 KAGB.

§ 18 Liquidation of the sub-fund

1. The Company may liquidate the UCITS sub-fund pursuant to Section 19 of the Articles of Incorporation. This liquidation resolution shall take effect six months after its publication in the Bundesanzeiger. The shareholders must be informed by the Company immediately by means of a durable medium as defined in Section 167 KAGB of the announcement of a termination in accordance with Sentence 2.
2. The Company must prepare a liquidation report for the period ending on the date on which its right to manage lapses pursuant to Section 117 Paragraph 8 Sentence 4, 100 Paragraph 1 KAGB; this liquidation report must fulfil the requirements of an annual report in accordance with Section 120 Paragraph 1.
3. Net liquidation proceeds not collected by shareholders upon completion of the liquidation proceedings may be deposited with an appropriate depository for the benefit of the entitled shareholders.

§ 19 Change of the external investment management company and the depository

1. The company may transfer the management and disposal rights over the company to another external investment management

company. The transfer is subject to the prior approval of BaFin.

2. The approved transfer shall be published in the Bundesanzeiger and in the annual financial statements or the semi-annual report. Investors must be informed immediately by means of a durable medium of the announcement of a transfer in accordance with sentence 1. The transfer shall take effect no earlier than three months after its publication in the Bundesanzeiger.
3. The company may change the depository for the UCITS sub-fund. The change must be approved by BaFin.

§ 20 Changes to the Investment Conditions

1. The Company is entitled to change the Investment Conditions.
2. Amendments to the Investment Conditions require the prior approval of BaFin.
3. All planned amendments shall be published in the Bundesanzeiger and, in addition, in a financial or daily newspaper with sufficient circulation or in the electronic information media designated in the Sales Prospectus. The planned changes and their effective dates must be stated in any publication made in accordance with Sentence 1 above. In the event of amendments to costs detrimental to investors as defined in Section 162 Paragraph 2 (11) KAGB, amendments to the investment principles of the UCITS Fund as defined in Section 163 Paragraph 3 KAGB or amendments related to significant investor rights, investors must be informed simultaneously with the publication pursuant to Sentence 1 of the significant contents of the proposed amendments to the Investment Conditions and the background thereto, as well as information on their rights pursuant to Section 163 Paragraph 3 KAGB by means of a durable medium and in an understandable way in accordance with Section 163 Paragraph 4 KAGB.
4. The amendments enter into force at the earliest on the day after their publication in the Bundesanzeiger; amendments to costs and to the investment principles, however, do not enter into force until three months after the corresponding publication. With the consent of the BaFin, an earlier date may be determined, insofar as this concerns a change in costs that benefits the investors.

§ 21 Place of performance

The place of performance is the registered office of the Company.

§ 22 Name

The rights of shareholders who acquired shares originally named "iShares STOXX Europe 600 Media (DE)" remain unaffected.

Investment Conditions

governing the legal relationship between the shareholders and

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, Munich, (hereinafter referred to as the "**Company**")

externally managed by

BlackRock Asset Management Deutschland AG, Munich, (hereinafter referred to as the "**Management Company**")

for the UCITS-compliant securities sub-fund

iShares STOXX Europe 600 Oil & Gas UCITS ETF (DE), (hereinafter referred to as the "**UCITS sub-fund**")

These investment conditions are valid only in combination with the Articles of Incorporation of the Company.

INVESTMENT POLICIES AND RESTRICTIONS

§ 1 Assets and investment objective

The Company may acquire the following assets for the UCITS sub-fund:

- a) securities pursuant to Section 4 of these Investment Conditions,
- b) money market instruments pursuant to Section 5 of these Investment Conditions,
- c) bank accounts pursuant to Section 6 of these Investment Conditions,
- d) derivatives pursuant to Section 7 of these Investment Conditions,
- e) other investment instruments pursuant to Section 8 of these Investment Conditions,
- f) Investment fund units pursuant to Section 9 of these Investment Conditions

The purpose of the equity and equity index certificate selection for the UCITS sub-fund is to replicate the STOXX Europe 600 Oil & Gas (price index) (hereinafter referred to as the "Underlying Index") while maintaining an appropriate diversification of risk.

§ 2 Depository

1. The Company shall appoint a credit institution as Custodian Bank for the UCITS sub-fund; the Custodian Bank shall act independently of the Company and exclusively in the interests of the shareholders.

2. The tasks and duties of the Custodian Bank are governed by the custodian agreement concluded with the Company, in accordance with the KAGB, the Articles of Incorporation and the Investment Conditions.
3. The Custodian Bank may outsource custodial tasks to another company (sub-custodian) pursuant to Section 73 KAGB. Please refer to the Sales Prospectus for details.
4. The Custodian Bank shall be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for the loss of a financial instrument pursuant to Section 72 Paragraph 1 Sentence 1 held in custody by the Custodian Bank or by a sub-custodian to whom the custody of financial instruments has been transferred according to Section 73 Paragraph 1 KAGB. The Custodian Bank is not liable if it can prove that the loss is due to external events whose consequences were unavoidable despite all reasonable countermeasures. Further claims arising out of the provisions of civil law on the basis of contracts or torts are not affected. The Custodian Bank shall also be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for all other losses that they incur if the Custodian Bank fails to meet its obligations under the provisions of the KAGB, whether negligently or intentionally. The Custodian Bank's liability remains unaffected by any transfer of custody tasks referred to in Paragraph 3, sentence 1.

§ 3 Investment principles

1. The Company may only acquire such assets on behalf of the UCITS sub-fund that are designed to replicate a certain security index ("Security Index") approved by the Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin) while still maintaining appropriate diversification of risk. The Security Index is approved specifically if
 - a) its composition is sufficiently diversified,
 - b) it represents an adequate benchmark for the market to which it relates; and
 - c) it has been published in an appropriate manner.
2. The UCITS sub-fund may only acquire securities included in the Security Index or introduced to it following a change thereto ("Index Securities"), securities that are issued on these Index Securities or on the Underlying Index, and derivatives on securities, money market instruments, investment fund units pursuant to Section 9, recognised financial indices, interest rates, foreign exchange rates or currencies in which the UCITS sub-fund may invest as provided for in the Investment Conditions. When replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in Index Securities over investments in any other assets mentioned in Sentence 1 above that are approved for use in

replicating indices. The Underlying Index may be replicated using securities, derivatives that indirectly replicate the index only for purposes of maintaining the investment restrictions listed in Section 10 Paragraph 7.

3. In order to replicate the Security Index, the duplication percentage may not be less than 95 percent of the total assets in the UCITS sub-fund as defined in the first sentence of Paragraph 2 above. Derivatives shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach provided for in the "ordinance on risk management and risk measurement in the use of derivatives, securities lending and repurchase agreements in investment funds" ("DerivateV") issued pursuant to Section 197 Paragraph 3 of the German Investment Code (KAGB).
4. The duplication percentage reflects the proportion of securities and derivatives according to Section 197 Paragraph 1 KAGB in the UCITS Fund that corresponds with the Security Index in terms of weighting. The duplication percentage is defined as being equal to 100 less one half of the sum of the differences between the weighting of the securities in the index and the applicable weighting of the securities included in the total assets of the UCITS sub-fund, totalled for all securities and applicable values of derivatives according to Section 197 Paragraph 1 KAGB in the UCITS sub-fund and for all securities in the index.

$$DG = 100\% - \frac{\sum_{i=1}^n |W_i^I - W_i^F|}{2}$$

DG	=	duplication percentage in %
n	=	number of share types in the Fund and index (upper summation limit)
I	=	index
F	=	Fund
W_i^I	=	weighting of equity i in index I in %
W_i^F	=	weighting of equity i to be included in the equity portion of the Fund in %
$\sum$	=	sum symbol
i	=	summation index; represents the individual share types of i = 1 (lower summations limit) bis i = n (upper summation limit)

§ 4 Securities

1. The Company may only acquire securities on behalf of the UCITS sub-fund if:
 - a) they are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) they are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in one of these states, provided the choice of such stock exchange or regulated market is permitted by BaFin,²⁹
 - c) their terms of issue require application for admission to official trading on one of the stock exchanges permitted under a) and b) or for inclusion in one of the regulated markets permitted under a) and b), and admission or inclusion on these markets takes place within one year after their issue,
 - d) they are equities to which the UCITS sub-fund is entitled in an issuer's capital increase from company assets;
 - e) they are acquired in exercising subscription rights belonging to the UCITS sub-fund,
 - f) they are financial instruments that meet the criteria listed in Section 193 Paragraph 1 Sentence 1 No. 8 KAGB.
2. Securities may only be acquired in accordance with Paragraph 1 letters a) to c) if additionally the requirements of Section 193 Paragraph 1 Sentence 2 KAGB are met. Subscription rights arising from securities which may be acquired under this Section, Section 4, may also be acquired.

§ 5 Money market instruments

1. The Company may acquire on behalf of the UCITS sub-fund instruments normally dealt in on the money market and interest-bearing securities with a residual term of no more than 397 days at the time of their acquisition or whose interest rate, in accordance with the issue conditions, is regularly – and at least once each 397-day period – adjusted to reflect current market conditions or whose risk profile corresponds to the risk profile of this type of security (money market instruments). The money market instruments may also be denominated in foreign currency. Money

²⁹ The list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB is published on the BaFin website. www.bafin.de

market instruments may only be acquired if they

- a) are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market there, provided the choice of such stock exchange or regulated market is permitted by BaFin,³⁰
 - c) are issued or guaranteed by the European Union, the German Federal Government, a special-purpose fund of the German Federal Government, a German federal state, another member state or another central, regional or local authority or by the central bank of a European Union member state, the European Central Bank or the European Investment Bank, a non-EU member state or, in case of a federal state, by one of the members making up the federation, or by a public international body to which one or more EU member states belong,
 - d) are issued by a company whose securities are traded on the markets referred to in a) and b),
 - e) if they are issued or guaranteed by a credit institution that is subject to supervision that meets the criteria defined by European Union law, or a credit institution that is subject to the prudential rules considered by BaFin as equivalent to those laid down in European Union law, and which complies with such rules, or
 - f) are issued by other bodies and comply with the requirements of Section 194 Paragraph 1 Sentence 1 No. 6 KAGB.
2. Money market instruments as defined in Paragraph 1 may only be acquired if they comply with the requirements of Section 194 Paragraphs 2 and 3 KAGB.

§ 6 Bank accounts

The Company may also hold, on behalf of the UCITS sub-fund, bank accounts containing deposits with a maturity not exceeding twelve months. The accounts, which must be in the form of blocked accounts, may be maintained at a credit institution that has its registered office in a member state of the European Union or another state that is a party to the Agreement on the European Economic Area.

These accounts may also be maintained by a credit institution that has its registered office in a non-member state, provided that it is subject to the prudential rules considered by BaFin as equivalent to those laid down in the law of the European Union. The bank accounts may also be denominated in foreign currency.

§ 7 Derivatives

1. Unless specified otherwise in Paragraph 8, in managing the UCITS sub-fund, the Company may acquire derivatives in accordance with Section 197 Paragraph 1 Sentence 1 KAGB and financial instruments with derivative components in accordance with Section 197 Paragraph 1 Sentence 2 KAGB. It may – depending on the type and extent of derivatives and financial instruments with derivative components used – use either the simple or qualified approach within the meaning of DerivateV provided for in Section 197 Paragraph 3 KAGB when calculating the market risk limits established under Section 197 Paragraph 2 KAGB on the use of derivatives and financial instruments with derivative components; details are discussed in the Sales Prospectus.
2. If the Company uses the simple approach, it may only make regular use of the following basic forms of derivatives, financial instruments with a derivative component or combinations of these derivatives, financial instruments with a derivative component or combinations of underlying securities permitted under Section 197 Paragraph 1 Sentence 1 KAGB in the UCITS sub-fund. Complex derivatives based on permitted underlying securities pursuant to Section 197 Paragraph 1 sentence 1 KAGB may only be used for a negligible proportion. The weighted market risk attributable to the UCITS sub-fund, to be calculated as provided for in Section 16 DerivateV, may at no time exceed the value of the UCITS sub-fund. The basic forms of derivatives are:
 - a) Forward contracts on the underlying values pursuant to Section 197 Paragraph 1 KAGB with the exception of investment units pursuant to Section 196 KAGB;
 - b) Options or warrants on the underlying securities pursuant to Section 197 Paragraph 1 KAGB with the exception of investment fund units pursuant to Section 196 KAGB and on futures contracts as defined in a), if they have the following characteristics:
 - aa) exercising is possible either during the entire term or at the end of the term and
 - bb) at the time of being exercised, the option value is linearly based on the positive or negative difference between the underlying price and the

³⁰ The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

market price of the underlying security and becomes nil if the difference has the other leading sign;

- c) Interest rate swaps, currency swaps or interest rate/currency swaps;
 - d) Options on swaps according to letter c), to the extent that they display the characteristics described in letter b) under letters aa) and bb) (swaptions);
 - e) Credit default swaps related to single underlying instruments (Single Name Credit Default Swaps).
3. If the Company uses the qualified approach, it may invest, subject to a suitable risk management system, in any financial instruments with a derivative component or derivatives that are derived from an underlying security that is permitted under Section 197 Paragraph 1 Sentence 1 KAGB.
- The potential risk amount for the market risk ("risk exposure") attributable to the UCITS sub-fund may at no time exceed two times the potential risk amount for the market risk of the associated benchmark assets pursuant to Section 9 DerivateV. Alternatively, the risk exposure may at no time exceed 20 percent of the value of the UCITS sub-fund.
4. In these transactions, the Company may under no circumstances deviate from the investment principles and limits listed in the Articles of Incorporation, these Investment Conditions or in the Sales Prospectus.
5. The Company will use the derivatives and financial instruments with a derivative component for the purpose of efficient portfolio management and to produce additional returns, when and to the extent that it considers this to be in the interests of the investors.
- No transactions with derivatives may be undertaken for purposes of hedging.
6. In calculating the market risk limit for the use of derivatives and financial instruments with a derivative component, the company may at any time switch between the simple and the qualified approach pursuant to § 6 Sentence 3 DerivateV. The change does not require the approval of BaFin. However, the company must report the change to BaFin without delay and announce it in the next semi-annual or annual report.
7. The Company will observe the guidelines of DerivateV when derivatives and financial instruments with derivative components are used.
8. In derogation of Paragraph 1, the Company may – subject to a suitable risk management system – only use futures contracts that are based on the Underlying Index and futures contracts that are based on individual stocks of the Underlying Index as well as warrants that are based on the Underlying Index and warrants that are based on individual stocks of the Underlying Index for the UCITS sub-fund.

§ 8 Other investment instruments

The Company may on behalf of the UCITS sub-fund acquire other investment instruments up to 10 percent of the value of the UCITS sub-fund pursuant to Section 198 KAGB.

§ 9 Investment fund units

1. The Company may, on behalf of the UCITS sub-fund, acquire units in investment funds pursuant to Directive 2009/65/EC (UCITS). Units in other domestic investment funds and joint-stock investment companies with variable capital and units in EU alternative investment funds and foreign open-ended alternative investment funds may be acquired if they meet the requirements of § 196 Para. 1 sentence 2 KAGB.
2. For account of the UCITS sub-fund, the company may only acquire units of domestic investment funds and joint-stock investment companies with variable capital, open-ended EU AIF and foreign open-ended AIF if, in accordance with the investment conditions or the Articles of Incorporation of the investment management company, the joint-stock investment company with variable capital, the EU investment fund, the EU management company, the foreign AIF or the foreign AIF management company, a total not exceeding 10 percent of the value of their assets may be invested in units of other domestic investment funds, joint-stock investment companies with variable capital, open-ended EU investment funds or foreign open-ended AIFs.

§ 10 Issuer and investment limits

1. The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and these Investment Conditions.
2. The Company may invest up to 20 percent of the assets of the UCITS sub-fund in securities from a single issuer (debtor).
3. The limit specified in Paragraph 2 may be increased to up to 35 percent of the value of the UCITS sub-fund for securities from a single issuer. An investment up to the limit specified in Sentence 1 above is permissible only for one individual issuer (debtor).
4. For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.
5. The Company may invest no more than 5 percent of the value of the UCITS sub-fund in bank accounts and money market instruments as defined in Sections 5 and 6.

6. The Company may invest no more than 10 percent of the value of the UCITS sub-fund in units of investment funds pursuant to Section 3 Paragraph 2 and Section 9. When doing so, the Company may acquire on behalf of the UCITS sub-fund no more than 25 percent of issued units of another open-ended domestic, EU or foreign investment fund that invests in assets in accordance with the principle of risk diversification as defined in Sections 192 to 198 KAGB.
7. A minimum of 95 percent of the UCITS sub-fund must be invested in assets based on the Security Index pursuant to Section 3 Paragraph 2 Sentence 1. At least 75 percent of the value of the UCITS sub-fund shall be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds.

§ 11 Loans

Short-term borrowing by the Company on the account of the UCITS sub-fund of amounts of up to 10 percent of the value of the UCITS sub-fund is permissible if the terms of the borrowing are at market rates and the Custodian Bank approves the borrowing.

SHARE CLASSES

§ 12 Share classes

1. Share classes as defined in Section 20 of the Articles of Incorporation may be formed for the UCITS sub-fund; these differ with respect to appropriation of income, issue premiums, redemption fees, management fees, minimum investment amount, currency, net asset value per share, or a combination of these characteristics. The creation of share classes is permitted at any time and is at the discretion of the Company.
2. The net asset value per share is calculated separately for each share class by allocating the costs of launching new share classes, the distributions (including any taxes that may be payable from the fund's assets), the management fee including income adjustment if applicable, exclusively to this share class.
3. The existing share classes are listed individually in the Sales Prospectus and in the annual and semi-annual reports. The structural characteristics defining the share classes (appropriation of income, issue premiums, redemption fees, management fees, currency, minimum investment amount, or a combination of these characteristics) are described in detail in the Sales Prospectus and in the annual and semi-annual reports.

ISSUE AND REDEMPTION OF SHARES/EXPENSES

§ 13 Issue and redemption of shares, fees

1. The Company indicates the issue premiums and redemption fees charged for each share class in the Sales Prospectus, the Key Information Document and in the annual and semi-annual reports.
2. For the calculation of share issue and redemption prices, the market values of the assets (net asset value) belonging to the UCITS sub-fund less borrowings undertaken and other liabilities (net asset value) is determined and divided by the number of shares in circulation (share value). If special share classes for the UCITS sub-fund are introduced in accordance with Section 12, then the net asset value per share and the issue and redemption prices for each share class shall be determined separately. The assets are valued in accordance with Sections 168 and 169 KAGB and the German Capital Investment Accounting and Valuation Ordinance ("KARBV").
3. The issue price corresponds to the net asset value per share at the issue date, plus any issue premium pursuant to Paragraph 4. The redemption price corresponds to the net asset value per share at the redemption date, plus any redemption fees pursuant to Paragraph 5.
4. Depending on the share class, the issue premium per share is up to 2 percent of the net asset value per share. The Company is free to charge a lower issue premium for one or more share classes, or all of them.
5. Depending on the share class, the redemption fee per share is up to 1 percent of the net asset value per share. The Company is free to charge a lower redemption fee for one or more share classes, or all of them. The Management Company shall receive the redemption fee.
6. The settlement date for issue and redemption orders is no later than the next valuation date following the receipt of the issue or redemption order. If the Company suspends the redemption of shares in accordance with Section 11 paragraph 6 of the Articles of Incorporation, the settlement date for such redemption orders is the valuation day following the resumption.
7. Issue and redemption prices will be determined on each exchange trading day. On public holidays under the KAGB that are stock exchange days and 24 and 31 December every year, the Company and the Custodian Bank may interrupt their daily price calculation; details are discussed in the Sales Prospectus.
8. The Company applies the Dual Pricing method when determining the issue and redemption prices. This means that, deviating from paragraph 2 sentence 1, a modified net asset value per share must be calculated in addition to the net asset value. For this purpose, for each issue and redemption of shares, the net asset value per share is adjusted by a factor

that reflects liquidity costs. The Company explains the procedure used to calculate the modified net asset value per share in the Sales Prospectus.

9. The Company may charge a redemption fee (Rückgabegebühr). The redemption fee is calculated on the basis of gross redemptions and amounts to up to 2 per cent of gross redemptions. The Sales Prospectus contains a description of the option and the conditions for a redemption fee.

§ 14 Expenses and services included

1. For managing the UCITS sub-fund, the Management Company receives from the assets of the UCITS sub-fund a fee of up to 0.45 percent per annum depending on the share class, based on the net asset value of the UCITS sub-fund determined each exchange trading day. The Management Company is free to charge a lower management fee for one or more share classes, or all of them. The management fee will be paid in advance in monthly instalments out of the UCITS sub-fund. The Company indicates the management fee charged for each share class in the Sales Prospectus and in the annual and semi-annual reports.
2. The management fee specified in Paragraph 1 shall cover services rendered by the Management Company for the UCITS sub-fund, including the expenses of the Custodian Bank, legally required printing, mailings, and publications associated with the UCITS sub-fund, and for annual report audits conducted by auditors of the Company.
3. The following expenses are not covered by Paragraph 1:
 - a) Expenses resulting from the purchase and sale of assets (transaction costs),
 - b) Customary bank custody fees, including the customary bank charges for the custody of foreign securities abroad and related taxes, if applicable,
 - c) Customary expenses related to day-to-day account management,
 - d) Expenses incurred in the assertion and enforcement of the legal claims of the UCITS sub-fund,
 - e) Expenses for providing information to investors of the UCITS sub-fund by means of a durable medium, with the exception of expenses for providing information in the case of fund mergers and with the exception of information on measures connected with violations of investment limits or errors in calculating the net asset value per share.

Such expenses may be charged to the UCITS sub-fund in addition to the management fee charged in accordance with Paragraph 1.

4. The Company has to publish in the annual report and in the semi-annual report the

amount of the issue premiums and redemption fees that have been charged to the UCITS sub-fund during the reporting period for the purchase and redemption of shares as defined in Section 9. When units are purchased that are managed, directly or indirectly, by the Management Company itself or by any other company with which the Management Company is affiliated through a significant direct or indirect equity interest, the Management Company or the other company may not levy issue premiums or redemption fees for the purchase or redemption. The Company publishes in the annual report and in the semi-annual report the fees charged as management fees for the units held in the UCITS sub-fund when such fees are charged by the Management Company, by another investment management company, a joint-stock investment company or another company with which the Management Company is affiliated through a significant direct or indirect equity interest, or by a foreign investment company, including its management company.

APPROPRIATION OF INCOME, TERM AND FINANCIAL YEAR

§ 15 Distribution

1. For distributing share classes, the Company distributes, net of costs, the interest, dividends and other income from investment fund shares received for account of the UCITS sub-fund, taking into account the appropriate income netting. Capital gains and other income - taking into account the appropriate income equalisation - can also be used for distributions.
2. The final distribution takes place within four months of the financial year-end. In addition, the Company may carry out interim distributions during the year.
3. The interim distribution amount is at the discretion of the Company. The Company is not obliged to distribute all distributable income pursuant to Paragraph 1 accumulated up to the date of the interim distribution; it may carry ordinary income forward to the next distribution date.
4. Interim distributions are intended to minimise any discrepancy between the performance of the UCITS sub-fund and that of the Underlying Index.
5. Distributable income pursuant to Paragraph 1 may be carried forward for distribution in subsequent financial years if the amount of the income carried forward does not exceed 15 percent of the respective value of the UCITS sub-fund at the end of the financial year. Income from short financial years may be carried forward in its entirety.
6. In the interests of maintaining equity, some income, or in exceptional cases, all income,

may be set aside for accumulation in the UCITS sub-fund.

7. If no share classes are created, the income will be distributed.

§ 16 Reinvestment

For reinvesting share classes, the Company invests the interest, dividends and other income of the UCITS sub-fund, taking into account the appropriate income netting, as well as the realised capital gains that have accrued for account of the sub-fund during the financial year in the UCITS sub-fund, net of costs.

§ 17 Financial year and accounting

1. The financial year of the UCITS sub-fund begins on 1 March of each calendar year and ends on the last day of February.
2. The company publishes an annual financial statement with a management report no later than four months after the end of the financial year in accordance with § 120 Para. 1, 2 and 6 Sentence 3 in conjunction with § 123 Para. 1 No. 1 KAGB.
3. The Company publishes a semi-annual report no later than two months after the end of the first half of the financial year in accordance with Section 122 Paragraph 1 Sentence 4 in conjunction with Section 103 and Section 107 Paragraph 1 Sentence 2 KAGB.

§ 18 Liquidation of the sub-fund

1. The Company may liquidate the UCITS sub-fund pursuant to Section 19 of the Articles of Incorporation. This liquidation resolution shall take effect six months after its publication in the Bundesanzeiger. The shareholders must be informed by the Company immediately by means of a durable medium as defined in Section 167 KAGB of the announcement of a termination in accordance with Sentence 2.
2. The Company must prepare a liquidation report for the period ending on the date on which its right to manage lapses pursuant to Section 117 Paragraph 8 Sentence 4, 100 Paragraph 1 KAGB; this liquidation report must fulfil the requirements of an annual report in accordance with Section 120 Paragraph 1.
3. Net liquidation proceeds not collected by shareholders upon completion of the liquidation proceedings may be deposited with an appropriate depository for the benefit of the entitled shareholders.

§ 19 Change of the external investment management company and the depository

1. The company may transfer the management and disposal rights over the company to another external investment management

company. The transfer is subject to the prior approval of BaFin.

2. The approved transfer shall be published in the Bundesanzeiger and in the annual financial statements or the semi-annual report. Investors must be informed immediately by means of a durable medium of the announcement of a transfer in accordance with sentence 1. The transfer shall take effect no earlier than three months after its publication in the Bundesanzeiger.
3. The company may change the depository for the UCITS sub-fund. The change must be approved by BaFin.

§ 20 Changes to the Investment Conditions

1. The Company is entitled to change the Investment Conditions.
2. Amendments to the Investment Conditions require the prior approval of BaFin.
3. All planned amendments shall be published in the Bundesanzeiger and, in addition, in a financial or daily newspaper with sufficient circulation or in the electronic information media designated in the Sales Prospectus. The planned changes and their effective dates must be stated in any publication made in accordance with Sentence 1 above. In the event of amendments to costs detrimental to investors as defined in Section 162 Paragraph 2 (11) KAGB, amendments to the investment principles of the UCITS Fund as defined in Section 163 Paragraph 3 KAGB or amendments related to significant investor rights, investors must be informed simultaneously with the publication pursuant to Sentence 1 of the significant contents of the proposed amendments to the Investment Conditions and the background thereto, as well as information on their rights pursuant to Section 163 Paragraph 3 KAGB by means of a durable medium and in an understandable way in accordance with Section 163 Paragraph 4 KAGB.
4. The amendments enter into force at the earliest on the day after their publication in the Bundesanzeiger; amendments to costs and to the investment principles, however, do not enter into force until three months after the corresponding publication. With the consent of the BaFin, an earlier date may be determined, insofar as this concerns a change in costs that benefits the investors.

§ 21 Place of performance

The place of performance is the registered office of the Company.

§ 22 Name

The rights of shareholders who acquired shares originally named "iShares STOXX Europe 600 Oil & Gas (DE)" remain unaffected.

Investment Conditions

governing the legal relationship between the shareholders and

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, Munich, (hereinafter referred to as the "**Company**")

externally managed by

BlackRock Asset Management Deutschland AG, Munich, (hereinafter referred to as the "**Management Company**")

for the UCITS-compliant securities sub-fund

iShares STOXX Europe 600 Personal & Household Goods UCITS ETF (DE), (hereinafter referred to as the "**UCITS sub-fund**")

These investment conditions are valid only in combination with the Articles of Incorporation of the Company.

INVESTMENT POLICIES AND RESTRICTIONS

§ 1 Assets and investment objective

The Company may acquire the following assets for the UCITS sub-fund:

- a) securities pursuant to Section 4 of these Investment Conditions,
- b) money market instruments pursuant to Section 5 of these Investment Conditions,
- c) bank accounts pursuant to Section 6 of these Investment Conditions,
- d) derivatives pursuant to Section 7 of these Investment Conditions,
- e) other investment instruments pursuant to Section 8 of these Investment Conditions,
- f) Investment fund units pursuant to Section 9 of these Investment Conditions

The purpose of the equity and equity index certificate selection for the UCITS sub-fund is to replicate the STOXX Europe 600 Personal & Household Goods (price index) (hereinafter referred to as the "Underlying Index") while maintaining an appropriate diversification of risk.

§ 2 Depository

1. The Company shall appoint a credit institution as Custodian Bank for the UCITS sub-fund; the Custodian Bank shall act independently of the Company and exclusively in the interests of the shareholders.

2. The tasks and duties of the Custodian Bank are governed by the custodian agreement concluded with the Company, in accordance with the KAGB, the Articles of Incorporation and the Investment Conditions.
3. The Custodian Bank may outsource custodial tasks to another company (sub-custodian) pursuant to Section 73 KAGB. Please refer to the Sales Prospectus for details.
4. The Custodian Bank shall be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for the loss of a financial instrument pursuant to Section 72 Paragraph 1 Sentence 1 held in custody by the Custodian Bank or by a sub-custodian to whom the custody of financial instruments has been transferred according to Section 73 Paragraph 1 KAGB. The Custodian Bank is not liable if it can prove that the loss is due to external events whose consequences were unavoidable despite all reasonable countermeasures. Further claims arising out of the provisions of civil law on the basis of contracts or torts are not affected. The Custodian Bank shall also be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for all other losses that they incur if the Custodian Bank fails to meet its obligations under the provisions of the KAGB, whether negligently or intentionally. The Custodian Bank's liability remains unaffected by any transfer of custody tasks referred to in Paragraph 3, sentence 1.

§ 3 Investment principles

1. The Company may only acquire such assets on behalf of the UCITS sub-fund that are designed to replicate a certain security index ("Security Index") approved by the Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin) while still maintaining appropriate diversification of risk. The Security Index is approved specifically if
 - a) its composition is sufficiently diversified,
 - b) it represents an adequate benchmark for the market to which it relates; and
 - c) it has been published in an appropriate manner.
2. The UCITS sub-fund may only acquire securities included in the Security Index or introduced to it following a change thereto ("Index Securities"), securities that are issued on these Index Securities or on the Underlying Index, and derivatives on securities, money market instruments, investment fund units pursuant to Section 9, recognised financial indices, interest rates, foreign exchange rates or currencies in which the UCITS sub-fund may invest as provided for in the Investment Conditions. When replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in Index Securities over investments in any other assets mentioned in Sentence 1 above that are approved for use in

replicating indices. The Underlying Index may be replicated using securities, derivatives that indirectly replicate the index only for purposes of maintaining the investment restrictions listed in Section 10 Paragraph 7.

3. In order to replicate the Security Index, the duplication percentage may not be less than 95 percent of the total assets in the UCITS sub-fund as defined in the first sentence of Paragraph 2 above. Derivatives shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach provided for in the "ordinance on risk management and risk measurement in the use of derivatives, securities lending and repurchase agreements in investment funds" ("DerivateV") issued pursuant to Section 197 Paragraph 3 of the German Investment Code (KAGB).
4. The duplication percentage reflects the proportion of securities and derivatives according to Section 197 Paragraph 1 KAGB in the UCITS Fund that corresponds with the Security Index in terms of weighting. The duplication percentage is defined as being equal to 100 less one half of the sum of the differences between the weighting of the securities in the index and the applicable weighting of the securities included in the total assets of the UCITS sub-fund, totalled for all securities and applicable values of derivatives according to Section 197 Paragraph 1 KAGB in the UCITS sub-fund and for all securities in the index.

$$DG = 100\% - \frac{\sum_{i=1}^n |W_i^I - W_i^F|}{2}$$

DG	=	duplication percentage in %
n	=	number of share types in the Fund and index (upper summation limit)
I	=	index
F	=	Fund
W_i^I	=	weighting of equity i in index I in %
W_i^F	=	weighting of equity i to be included in the equity portion of the Fund in %
$\sum$	=	sum symbol
i	=	summation index; represents the individual share types of i = 1 (lower summations limit) bis i = n (upper summation limit)

§ 4 Securities

1. The Company may only acquire securities on behalf of the UCITS sub-fund if:
 - a) they are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) they are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in one of these states, provided the choice of such stock exchange or regulated market is permitted by BaFin,³¹
 - c) their terms of issue require application for admission to official trading on one of the stock exchanges permitted under a) and b) or for inclusion in one of the regulated markets permitted under a) and b), and admission or inclusion on these markets takes place within one year after their issue,
 - d) they are equities to which the UCITS sub-fund is entitled in an issuer's capital increase from company assets;
 - e) they are acquired in exercising subscription rights belonging to the UCITS sub-fund,
 - f) they are financial instruments that meet the criteria listed in Section 193 Paragraph 1 Sentence 1 No. 8 KAGB.
2. Securities may only be acquired in accordance with Paragraph 1 letters a) to c) if additionally the requirements of Section 193 Paragraph 1 Sentence 2 KAGB are met. Subscription rights arising from securities which may be acquired under this Section, Section 4, may also be acquired.

§ 5 Money market instruments

1. The Company may acquire on behalf of the UCITS sub-fund instruments normally dealt in on the money market and interest-bearing securities with a residual term of no more than 397 days at the time of their acquisition or whose interest rate, in accordance with the issue conditions, is regularly – and at least once each 397-day period – adjusted to reflect current market conditions or whose risk profile corresponds to the risk profile of this type of security (money market instruments). The money market instruments may also be denominated in foreign currency. Money

³¹ The list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB is published on the BaFin website. www.bafin.de

market instruments may only be acquired if they

- a) are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market there, provided the choice of such stock exchange or regulated market is permitted by BaFin,³²
 - c) are issued or guaranteed by the European Union, the German Federal Government, a special-purpose fund of the German Federal Government, a German federal state, another member state or another central, regional or local authority or by the central bank of a European Union member state, the European Central Bank or the European Investment Bank, a non-EU member state or, in case of a federal state, by one of the members making up the federation, or by a public international body to which one or more EU member states belong,
 - d) are issued by a company whose securities are traded on the markets referred to in a) and b),
 - e) if they are issued or guaranteed by a credit institution that is subject to supervision that meets the criteria defined by European Union law, or a credit institution that is subject to the prudential rules considered by BaFin as equivalent to those laid down in European Union law, and which complies with such rules, or
 - f) are issued by other bodies and comply with the requirements of Section 194 Paragraph 1 Sentence 1 No. 6 KAGB.
2. Money market instruments as defined in Paragraph 1 may only be acquired if they comply with the requirements of Section 194 Paragraphs 2 and 3 KAGB.

§ 6 Bank accounts

The Company may also hold, on behalf of the UCITS sub-fund, bank accounts containing deposits with a maturity not exceeding twelve months. The accounts, which must be in the form of blocked accounts, may be maintained at a credit institution that has its registered office in a member state of the European Union or another state that is a party to the Agreement on the European Economic Area.

These accounts may also be maintained by a credit institution that has its registered office in a non-member state, provided that it is subject to the prudential rules considered by BaFin as equivalent to those laid down in the law of the European Union. The bank accounts may also be denominated in foreign currency.

§ 7 Derivatives

1. Unless specified otherwise in Paragraph 8, in managing the UCITS sub-fund, the Company may acquire derivatives in accordance with Section 197 Paragraph 1 Sentence 1 KAGB and financial instruments with derivative components in accordance with Section 197 Paragraph 1 Sentence 2 KAGB. It may – depending on the type and extent of derivatives and financial instruments with derivative components used – use either the simple or qualified approach within the meaning of DerivateV provided for in Section 197 Paragraph 3 KAGB when calculating the market risk limits established under Section 197 Paragraph 2 KAGB on the use of derivatives and financial instruments with derivative components; details are discussed in the Sales Prospectus.
2. If the Company uses the simple approach, it may only make regular use of the following basic forms of derivatives, financial instruments with a derivative component or combinations of these derivatives, financial instruments with a derivative component or combinations of underlying securities permitted under Section 197 Paragraph 1 Sentence 1 KAGB in the UCITS sub-fund. Complex derivatives based on permitted underlying securities pursuant to Section 197 Paragraph 1 sentence 1 KAGB may only be used for a negligible proportion. The weighted market risk attributable to the UCITS sub-fund, to be calculated as provided for in Section 16 DerivateV, may at no time exceed the value of the UCITS sub-fund. The basic forms of derivatives are:
 - a) Forward contracts on the underlying values pursuant to Section 197 Paragraph 1 KAGB with the exception of investment units pursuant to Section 196 KAGB;
 - b) Options or warrants on the underlying securities pursuant to Section 197 Paragraph 1 KAGB with the exception of investment fund units pursuant to Section 196 KAGB and on futures contracts as defined in a), if they have the following characteristics:
 - aa) exercising is possible either during the entire term or at the end of the term and
 - bb) at the time of being exercised, the option value is linearly based on the positive or negative difference between the underlying price and the

³² The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

market price of the underlying security and becomes nil if the difference has the other leading sign;

- c) Interest rate swaps, currency swaps or interest rate/currency swaps;
 - d) Options on swaps according to letter c), to the extent that they display the characteristics described in letter b) under letters aa) and bb) (swaptions);
 - e) Credit default swaps related to single underlying instruments (Single Name Credit Default Swaps).
3. If the Company uses the qualified approach, it may invest, subject to a suitable risk management system, in any financial instruments with a derivative component or derivatives that are derived from an underlying security that is permitted under Section 197 Paragraph 1 Sentence 1 KAGB.
- The potential risk amount for the market risk ("risk exposure") attributable to the UCITS sub-fund may at no time exceed two times the potential risk amount for the market risk of the associated benchmark assets pursuant to Section 9 DerivateV. Alternatively, the risk exposure may at no time exceed 20 percent of the value of the UCITS sub-fund.
4. In these transactions, the Company may under no circumstances deviate from the investment principles and limits listed in the Articles of Incorporation, these Investment Conditions or in the Sales Prospectus.
5. The Company will use the derivatives and financial instruments with a derivative component for the purpose of efficient portfolio management and to produce additional returns, when and to the extent that it considers this to be in the interests of the investors.
- No transactions with derivatives may be undertaken for purposes of hedging.
6. In calculating the market risk limit for the use of derivatives and financial instruments with a derivative component, the company may at any time switch between the simple and the qualified approach pursuant to § 6 Sentence 3 DerivateV. The change does not require the approval of BaFin. However, the company must report the change to BaFin without delay and announce it in the next semi-annual or annual report.
7. The Company will observe the guidelines of DerivateV when derivatives and financial instruments with derivative components are used.
8. In derogation of Paragraph 1, the Company may – subject to a suitable risk management system – only use futures contracts that are based on the Underlying Index and futures contracts that are based on individual stocks of the Underlying Index as well as warrants that are based on the Underlying Index and warrants that are based on individual stocks of the Underlying Index for the UCITS sub-fund.

§ 8 Other investment instruments

The Company may on behalf of the UCITS sub-fund acquire other investment instruments up to 10 percent of the value of the UCITS sub-fund pursuant to Section 198 KAGB.

§ 9 Investment fund units

1. The Company may, on behalf of the UCITS sub-fund, acquire units in investment funds pursuant to Directive 2009/65/EC (UCITS). Units in other domestic investment funds and joint-stock investment companies with variable capital and units in EU alternative investment funds and foreign open-ended alternative investment funds may be acquired if they meet the requirements of § 196 Para. 1 sentence 2 KAGB.
2. For account of the UCITS sub-fund, the company may only acquire units of domestic investment funds and joint-stock investment companies with variable capital, open-ended EU AIF and foreign open-ended AIF if, in accordance with the investment conditions or the Articles of Incorporation of the investment management company, the joint-stock investment company with variable capital, the EU investment fund, the EU management company, the foreign AIF or the foreign AIF management company, a total not exceeding 10 percent of the value of their assets may be invested in units of other domestic investment funds, joint-stock investment companies with variable capital, open-ended EU investment funds or foreign open-ended AIFs.

§ 10 Issuer and investment limits

1. The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and these Investment Conditions.
2. The Company may invest up to 20 percent of the assets of the UCITS sub-fund in securities from a single issuer (debtor).
3. The limit specified in Paragraph 2 may be increased to up to 35 percent of the value of the UCITS sub-fund for securities from a single issuer. An investment up to the limit specified in Sentence 1 above is permissible only for one individual issuer (debtor).
4. For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.
5. The Company may invest no more than 5 percent of the value of the UCITS sub-fund in bank accounts and money market instruments as defined in Sections 5 and 6.

6. The Company may invest no more than 10 percent of the value of the UCITS sub-fund in units of investment funds pursuant to Section 3 Paragraph 2 and Section 9. When doing so, the Company may acquire on behalf of the UCITS sub-fund no more than 25 percent of issued units of another open-ended domestic, EU or foreign investment fund that invests in assets in accordance with the principle of risk diversification as defined in Sections 192 to 198 KAGB.
7. A minimum of 95 percent of the UCITS sub-fund must be invested in assets based on the Security Index pursuant to Section 3 Paragraph 2 Sentence 1. At least 85 percent of the value of the UCITS sub-fund shall be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds.

§ 11 Loans

Short-term borrowing by the Company on the account of the UCITS sub-fund of amounts of up to 10 percent of the value of the UCITS sub-fund is permissible if the terms of the borrowing are at market rates and the Custodian Bank approves the borrowing.

SHARE CLASSES

§ 12 Share classes

1. Share classes as defined in Section 20 of the Articles of Incorporation may be formed for the UCITS sub-fund; these differ with respect to appropriation of income, issue premiums, redemption fees, management fees, minimum investment amount, currency, net asset value per share, or a combination of these characteristics. The creation of share classes is permitted at any time and is at the discretion of the Company.
2. The net asset value per share is calculated separately for each share class by allocating the costs of launching new share classes, the distributions (including any taxes that may be payable from the fund's assets), the management fee including income adjustment if applicable, exclusively to this share class.
3. The existing share classes are listed individually in the Sales Prospectus and in the annual and semi-annual reports. The structural characteristics defining the share classes (appropriation of income, issue premiums, redemption fees, management fees, currency, minimum investment amount, or a combination of these characteristics) are described in detail in the Sales Prospectus and in the annual and semi-annual reports.

ISSUE AND REDEMPTION OF SHARES/EXPENSES

§ 13 Issue and redemption of shares, fees

1. The Company indicates the issue premiums and redemption fees charged for each share class in the Sales Prospectus, the Key Information Document and in the annual and semi-annual reports.
2. For the calculation of share issue and redemption prices, the market values of the assets (net asset value) belonging to the UCITS sub-fund less borrowings undertaken and other liabilities (net asset value) is determined and divided by the number of shares in circulation (share value). If special share classes for the UCITS sub-fund are introduced in accordance with Section 12, then the net asset value per share and the issue and redemption prices for each share class shall be determined separately. The assets are valued in accordance with Sections 168 and 169 KAGB and the German Capital Investment Accounting and Valuation Ordinance ("KARBV").
3. The issue price corresponds to the net asset value per share at the issue date, plus any issue premium pursuant to Paragraph 4. The redemption price corresponds to the net asset value per share at the redemption date, plus any redemption fees pursuant to Paragraph 5.
4. Depending on the share class, the issue premium per share is up to 2 percent of the net asset value per share. The Company is free to charge a lower issue premium for one or more share classes, or all of them.
5. Depending on the share class, the redemption fee per share is up to 1 percent of the net asset value per share. The Company is free to charge a lower redemption fee for one or more share classes, or all of them. The Management Company shall receive the redemption fee.
6. The settlement date for issue and redemption orders is no later than the next valuation date following the receipt of the issue or redemption order. If the Company suspends the redemption of shares in accordance with Section 11 paragraph 6 of the Articles of Incorporation, the settlement date for such redemption orders is the valuation day following the resumption.
7. Issue and redemption prices will be determined on each exchange trading day. On public holidays under the KAGB that are stock exchange days and 24 and 31 December every year, the Company and the Custodian Bank may interrupt their daily price calculation; details are discussed in the Sales Prospectus.
8. The Company applies the Dual Pricing method when determining the issue and redemption prices. This means that, deviating from paragraph 2 sentence 1, a modified net asset value per share must be calculated in addition to the net asset value. For this purpose, for each issue and redemption of shares, the net asset value per share is adjusted by a factor

that reflects liquidity costs. The Company explains the procedure used to calculate the modified net asset value per share in the Sales Prospectus.

9. The Company may charge a redemption fee (Rückgabegebühr). The redemption fee is calculated on the basis of gross redemptions and amounts to up to 2 per cent of gross redemptions. The Sales Prospectus contains a description of the option and the conditions for a redemption fee.

§ 14 Expenses and services included

1. For managing the UCITS sub-fund, the Management Company receives from the assets of the UCITS sub-fund a fee of up to 0.45 percent per annum depending on the share class, based on the net asset value of the UCITS sub-fund determined each exchange trading day. The Management Company is free to charge a lower management fee for one or more share classes, or all of them. The management fee will be paid in advance in monthly instalments out of the UCITS sub-fund. The Company indicates the management fee charged for each share class in the Sales Prospectus and in the annual and semi-annual reports.
2. The management fee specified in Paragraph 1 shall cover services rendered by the Management Company for the UCITS sub-fund, including the expenses of the Custodian Bank, legally required printing, mailings, and publications associated with the UCITS sub-fund, and for annual report audits conducted by auditors of the Company.
3. The following expenses are not covered by Paragraph 1:
 - a) Expenses resulting from the purchase and sale of assets (transaction costs),
 - b) Customary bank custody fees, including the customary bank charges for the custody of foreign securities abroad and related taxes, if applicable,
 - c) Customary expenses related to day-to-day account management,
 - d) Expenses incurred in the assertion and enforcement of the legal claims of the UCITS sub-fund,
 - e) Expenses for providing information to investors of the UCITS sub-fund by means of a durable medium, with the exception of expenses for providing information in the case of fund mergers and with the exception of information on measures connected with violations of investment limits or errors in calculating the net asset value per share.

Such expenses may be charged to the UCITS sub-fund in addition to the management fee charged in accordance with Paragraph 1.

4. The Company has to publish in the annual report and in the semi-annual report the

amount of the issue premiums and redemption fees that have been charged to the UCITS sub-fund during the reporting period for the purchase and redemption of shares as defined in Section 9. When units are purchased that are managed, directly or indirectly, by the Management Company itself or by any other company with which the Management Company is affiliated through a significant direct or indirect equity interest, the Management Company or the other company may not levy issue premiums or redemption fees for the purchase or redemption. The Company publishes in the annual report and in the semi-annual report the fees charged as management fees for the units held in the UCITS sub-fund when such fees are charged by the Management Company, by another investment management company, a joint-stock investment company or another company with which the Management Company is affiliated through a significant direct or indirect equity interest, or by a foreign investment company, including its management company.

APPROPRIATION OF INCOME, TERM AND FINANCIAL YEAR

§ 15 Distribution

1. For distributing share classes, the Company distributes, net of costs, the interest, dividends and other income from investment fund shares received for account of the UCITS sub-fund, taking into account the appropriate income netting. Capital gains and other income - taking into account the appropriate income equalisation - can also be used for distributions.
2. The final distribution takes place within four months of the financial year-end. In addition, the Company may carry out interim distributions during the year.
3. The interim distribution amount is at the discretion of the Company. The Company is not obliged to distribute all distributable income pursuant to Paragraph 1 accumulated up to the date of the interim distribution; it may carry ordinary income forward to the next distribution date.
4. Interim distributions are intended to minimise any discrepancy between the performance of the UCITS sub-fund and that of the Underlying Index.
5. Distributable income pursuant to Paragraph 1 may be carried forward for distribution in subsequent financial years if the amount of the income carried forward does not exceed 15 percent of the respective value of the UCITS sub-fund at the end of the financial year. Income from short financial years may be carried forward in its entirety.
6. In the interests of maintaining equity, some income, or in exceptional cases, all income,

may be set aside for accumulation in the UCITS sub-fund.

7. If no share classes are created, the income will be distributed.

§ 16 Reinvestment

For reinvesting share classes, the Company invests the interest, dividends and other income of the UCITS sub-fund, taking into account the appropriate income netting, as well as the realised capital gains that have accrued for account of the sub-fund during the financial year in the UCITS sub-fund, net of costs.

§ 17 Financial year and accounting

1. The financial year of the UCITS sub-fund begins on 1 March of each calendar year and ends on the last day of February.
2. The company publishes an annual financial statement with a management report no later than four months after the end of the financial year in accordance with § 120 Para. 1, 2 and 6 Sentence 3 in conjunction with § 123 Para. 1 No. 1 KAGB.
3. The Company publishes a semi-annual report no later than two months after the end of the first half of the financial year in accordance with Section 122 Paragraph 1 Sentence 4 in conjunction with Section 103 and Section 107 Paragraph 1 Sentence 2 KAGB.

§ 18 Liquidation of the sub-fund

1. The Company may liquidate the UCITS sub-fund pursuant to Section 19 of the Articles of Incorporation. This liquidation resolution shall take effect six months after its publication in the Bundesanzeiger. The shareholders must be informed by the Company immediately by means of a durable medium as defined in Section 167 KAGB of the announcement of a termination in accordance with Sentence 2.
2. The Company must prepare a liquidation report for the period ending on the date on which its right to manage lapses pursuant to Section 117 Paragraph 8 Sentence 4, 100 Paragraph 1 KAGB; this liquidation report must fulfil the requirements of an annual report in accordance with Section 120 Paragraph 1.
3. Net liquidation proceeds not collected by shareholders upon completion of the liquidation proceedings may be deposited with an appropriate depository for the benefit of the entitled shareholders.

§ 19 Change of the external investment management company and the depository

1. The company may transfer the management and disposal rights over the company to another external investment management

company. The transfer is subject to the prior approval of BaFin.

2. The approved transfer shall be published in the Bundesanzeiger and in the annual financial statements or the semi-annual report. Investors must be informed immediately by means of a durable medium of the announcement of a transfer in accordance with sentence 1. The transfer shall take effect no earlier than three months after its publication in the Bundesanzeiger.
3. The company may change the depository for the UCITS sub-fund. The change must be approved by BaFin.

§ 20 Changes to the Investment Conditions

1. The Company is entitled to change the Investment Conditions.
2. Amendments to the Investment Conditions require the prior approval of BaFin.
3. All planned amendments shall be published in the Bundesanzeiger and, in addition, in a financial or daily newspaper with sufficient circulation or in the electronic information media designated in the Sales Prospectus. The planned changes and their effective dates must be stated in any publication made in accordance with Sentence 1 above. In the event of amendments to costs detrimental to investors as defined in Section 162 Paragraph 2 (11) KAGB, amendments to the investment principles of the UCITS Fund as defined in Section 163 Paragraph 3 KAGB or amendments related to significant investor rights, investors must be informed simultaneously with the publication pursuant to Sentence 1 of the significant contents of the proposed amendments to the Investment Conditions and the background thereto, as well as information on their rights pursuant to Section 163 Paragraph 3 KAGB by means of a durable medium and in an understandable way in accordance with Section 163 Paragraph 4 KAGB.
4. The amendments enter into force at the earliest on the day after their publication in the Bundesanzeiger; amendments to costs and to the investment principles, however, do not enter into force until three months after the corresponding publication. With the consent of the BaFin, an earlier date may be determined, insofar as this concerns a change in costs that benefits the investors.

§ 21 Place of performance

The place of performance is the registered office of the Company.

§ 22 Name

The rights of shareholders who acquired shares originally named "iShares STOXX Europe 600

Personal & Household Goods (DE)" remain unaffected.

Investment Conditions

governing the legal relationship between the shareholders and

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, Munich, (hereinafter referred to as the "**Company**")

externally managed by

BlackRock Asset Management Deutschland AG, Munich, (hereinafter referred to as the "**Management Company**")

for the UCITS-compliant securities sub-fund

iShares STOXX Europe 600 Real Estate UCITS ETF (DE), (hereinafter referred to as the "**UCITS sub-fund**")

These investment conditions are valid only in combination with the Articles of Incorporation of the Company.

INVESTMENT POLICIES AND RESTRICTIONS

§ 1 Assets and investment objective

The Company may acquire the following assets for the UCITS sub-fund:

- a) securities pursuant to Section 4 of these Investment Conditions,
- b) money market instruments pursuant to Section 5 of these Investment Conditions,
- c) bank accounts pursuant to Section 6 of these Investment Conditions,
- d) derivatives pursuant to Section 7 of these Investment Conditions,
- e) other investment instruments pursuant to Section 8 of these Investment Conditions,
- f) Investment fund units pursuant to Section 9 of these Investment Conditions

The purpose of the equity and equity index certificate selection for the UCITS sub-fund is to replicate the STOXX Europe 600 Real Estate(price index) (hereinafter referred to as the "Underlying Index") while maintaining an appropriate diversification of risk.

§ 2 Depository

1. The Company shall appoint a credit institution as Custodian Bank for the UCITS sub-fund; the Custodian Bank shall act independently of the Company and exclusively in the interests of the shareholders.

2. The tasks and duties of the Custodian Bank are governed by the custodian agreement concluded with the Company, in accordance with the KAGB, the Articles of Incorporation and the Investment Conditions.
3. The Custodian Bank may outsource custodial tasks to another company (sub-custodian) pursuant to Section 73 KAGB. Please refer to the Sales Prospectus for details.
4. The Custodian Bank shall be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for the loss of a financial instrument pursuant to Section 72 Paragraph 1 Sentence 1 held in custody by the Custodian Bank or by a sub-custodian to whom the custody of financial instruments has been transferred according to Section 73 Paragraph 1 KAGB. The Custodian Bank is not liable if it can prove that the loss is due to external events whose consequences were unavoidable despite all reasonable countermeasures. Further claims arising out of the provisions of civil law on the basis of contracts or torts are not affected. The Custodian Bank shall also be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for all other losses that they incur if the Custodian Bank fails to meet its obligations under the provisions of the KAGB, whether negligently or intentionally. The Custodian Bank's liability remains unaffected by any transfer of custody tasks referred to in Paragraph 3, sentence 1.

§ 3 Investment principles

1. The Company may only acquire such assets on behalf of the UCITS sub-fund that are designed to replicate a certain security index ("Security Index") approved by the Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin) while still maintaining appropriate diversification of risk. The Security Index is approved specifically if
 - a) its composition is sufficiently diversified,
 - b) it represents an adequate benchmark for the market to which it relates; and
 - c) it has been published in an appropriate manner.
2. The UCITS sub-fund may only acquire securities included in the Security Index or introduced to it following a change thereto ("Index Securities"), securities that are issued on these Index Securities or on the Underlying Index, and derivatives on securities, money market instruments, investment fund units pursuant to Section 9, recognised financial indices, interest rates, foreign exchange rates or currencies in which the UCITS sub-fund may invest as provided for in the Investment Conditions. When replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in Index Securities over investments in any other assets mentioned in Sentence 1 above that are approved for use in

replicating indices. The Underlying Index may be replicated using securities, derivatives that indirectly replicate the index only for purposes of maintaining the investment restrictions listed in Section 10 Paragraph 7.

3. In order to replicate the Security Index, the duplication percentage may not be less than 95 percent of the total assets in the UCITS sub-fund as defined in the first sentence of Paragraph 2 above. Derivatives shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach provided for in the "ordinance on risk management and risk measurement in the use of derivatives, securities lending and repurchase agreements in investment funds" ("DerivateV") issued pursuant to Section 197 Paragraph 3 of the German Investment Code (KAGB).
4. The duplication percentage reflects the proportion of securities and derivatives according to Section 197 Paragraph 1 KAGB in the UCITS Fund that corresponds with the Security Index in terms of weighting. The duplication percentage is defined as being equal to 100 less one half of the sum of the differences between the weighting of the securities in the index and the applicable weighting of the securities included in the total assets of the UCITS sub-fund, totalled for all securities and applicable values of derivatives according to Section 197 Paragraph 1 KAGB in the UCITS sub-fund and for all securities in the index.

$$DG = 100\% - \frac{\sum_{i=1}^n |W_i^I - W_i^F|}{2}$$

DG = duplication percentage in %

n = number of share types in the Fund and index (upper summation limit)

I = index

F = Fund

W_i^I = weighting of equity i in index I in %

W_i^F = weighting of equity i to be included in the equity portion of the Fund in %

$\sum$ = sum symbol

i = summation index; represents the individual share types of i = 1 (lower summations limit) bis i = n (upper summation limit)

§ 4 Securities

1. The Company may only acquire securities on behalf of the UCITS sub-fund if:
 - a) they are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) they are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in one of these states, provided the choice of such stock exchange or regulated market is permitted by BaFin,³³
 - c) their terms of issue require application for admission to official trading on one of the stock exchanges permitted under a) and b) or for inclusion in one of the regulated markets permitted under a) and b), and admission or inclusion on these markets takes place within one year after their issue,
 - d) they are equities to which the UCITS sub-fund is entitled in an issuer's capital increase from company assets;
 - e) they are acquired in exercising subscription rights belonging to the UCITS sub-fund,
 - f) they are financial instruments that meet the criteria listed in Section 193 Paragraph 1 Sentence 1 No. 8 KAGB.
2. Securities may only be acquired in accordance with Paragraph 1 letters a) to c) if additionally the requirements of Section 193 Paragraph 1 Sentence 2 KAGB are met. Subscription rights arising from securities which may be acquired under this Section, Section 4, may also be acquired.

§ 5 Money market instruments

1. The Company may acquire on behalf of the UCITS sub-fund instruments normally dealt in on the money market and interest-bearing securities with a residual term of no more than 397 days at the time of their acquisition or whose interest rate, in accordance with the issue conditions, is regularly – and at least once each 397-day period – adjusted to reflect current market conditions or whose risk profile corresponds to the risk profile of this type of security (money market instruments). The money market instruments may also be denominated in foreign currency. Money

³³ The list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB is published on the BaFin website. www.bafin.de

market instruments may only be acquired if they

- a) are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market there, provided the choice of such stock exchange or regulated market is permitted by BaFin,³⁴
 - c) are issued or guaranteed by the European Union, the German Federal Government, a special-purpose fund of the German Federal Government, a German federal state, another member state or another central, regional or local authority or by the central bank of a European Union member state, the European Central Bank or the European Investment Bank, a non-EU member state or, in case of a federal state, by one of the members making up the federation, or by a public international body to which one or more EU member states belong,
 - d) are issued by a company whose securities are traded on the markets referred to in a) and b),
 - e) if they are issued or guaranteed by a credit institution that is subject to supervision that meets the criteria defined by European Union law, or a credit institution that is subject to the prudential rules considered by BaFin as equivalent to those laid down in European Union law, and which complies with such rules, or
 - f) are issued by other bodies and comply with the requirements of Section 194 Paragraph 1 Sentence 1 No. 6 KAGB.
2. Money market instruments as defined in Paragraph 1 may only be acquired if they comply with the requirements of Section 194 Paragraphs 2 and 3 KAGB.

§ 6 Bank accounts

The Company may also hold, on behalf of the UCITS sub-fund, bank accounts containing deposits with a maturity not exceeding twelve months. The accounts, which must be in the form of blocked accounts, may be maintained at a credit institution that has its registered office in a member state of the European Union or another state that is a party to the Agreement on the European Economic Area.

These accounts may also be maintained by a credit institution that has its registered office in a non-member state, provided that it is subject to the prudential rules considered by BaFin as equivalent to those laid down in the law of the European Union. The bank accounts may also be denominated in foreign currency.

§ 7 Derivatives

1. Unless specified otherwise in Paragraph 8, in managing the UCITS sub-fund, the Company may acquire derivatives in accordance with Section 197 Paragraph 1 Sentence 1 KAGB and financial instruments with derivative components in accordance with Section 197 Paragraph 1 Sentence 2 KAGB. It may – depending on the type and extent of derivatives and financial instruments with derivative components used – use either the simple or qualified approach within the meaning of DerivateV provided for in Section 197 Paragraph 3 KAGB when calculating the market risk limits established under Section 197 Paragraph 2 KAGB on the use of derivatives and financial instruments with derivative components; details are discussed in the Sales Prospectus.
2. If the Company uses the simple approach, it may only make regular use of the following basic forms of derivatives, financial instruments with a derivative component or combinations of these derivatives, financial instruments with a derivative component or combinations of underlying securities permitted under Section 197 Paragraph 1 Sentence 1 KAGB in the UCITS sub-fund. Complex derivatives based on permitted underlying securities pursuant to Section 197 Paragraph 1 sentence 1 KAGB may only be used for a negligible proportion. The weighted market risk attributable to the UCITS sub-fund, to be calculated as provided for in Section 16 DerivateV, may at no time exceed the value of the UCITS sub-fund. The basic forms of derivatives are:
 - a) Forward contracts on the underlying values pursuant to Section 197 Paragraph 1 KAGB with the exception of investment units pursuant to Section 196 KAGB;
 - b) Options or warrants on the underlying securities pursuant to Section 197 Paragraph 1 KAGB with the exception of investment fund units pursuant to Section 196 KAGB and on futures contracts as defined in a), if they have the following characteristics:
 - aa) exercising is possible either during the entire term or at the end of the term and
 - bb) at the time of being exercised, the option value is linearly based on the positive or negative difference between the underlying price and the

³⁴ The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

market price of the underlying security and becomes nil if the difference has the other leading sign;

- c) Interest rate swaps, currency swaps or interest rate/currency swaps;
 - d) Options on swaps according to letter c), to the extent that they display the characteristics described in letter b) under letters aa) and bb) (swaptions);
 - e) Credit default swaps related to single underlying instruments (Single Name Credit Default Swaps).
3. If the Company uses the qualified approach, it may invest, subject to a suitable risk management system, in any financial instruments with a derivative component or derivatives that are derived from an underlying security that is permitted under Section 197 Paragraph 1 Sentence 1 KAGB.

The potential risk amount for the market risk ("risk exposure") attributable to the UCITS sub-fund may at no time exceed two times the potential risk amount for the market risk of the associated benchmark assets pursuant to Section 9 DerivateV. Alternatively, the risk exposure may at no time exceed 20 percent of the value of the UCITS sub-fund.

- 4. In these transactions, the Company may under no circumstances deviate from the investment principles and limits listed in the Articles of Incorporation, these Investment Conditions or in the Sales Prospectus.
- 5. The Company will use the derivatives and financial instruments with a derivative component for the purpose of efficient portfolio management and to produce additional returns, when and to the extent that it considers this to be in the interests of the investors.

No transactions with derivatives may be undertaken for purposes of hedging.

- 6. In calculating the market risk limit for the use of derivatives and financial instruments with a derivative component, the company may at any time switch between the simple and the qualified approach pursuant to § 6 Sentence 3 DerivateV. The change does not require the approval of BaFin. However, the company must report the change to BaFin without delay and announce it in the next semi-annual or annual report.
- 7. The Company will observe the guidelines of DerivateV when derivatives and financial instruments with derivative components are used.
- 8. In derogation of Paragraph 1, the Company may – subject to a suitable risk management system – only use futures contracts that are based on the Underlying Index and futures contracts that are based on individual stocks of the Underlying Index as well as warrants that are based on the Underlying Index and warrants that are based on individual stocks of the Underlying Index for the UCITS sub-fund.

§ 8 Other investment instruments

The Company may on behalf of the UCITS sub-fund acquire other investment instruments up to 10 percent of the value of the UCITS sub-fund pursuant to Section 198 KAGB.

§ 9 Investment fund units

- 1. The Company may, on behalf of the UCITS sub-fund, acquire units in investment funds pursuant to Directive 2009/65/EC (UCITS). Units in other domestic investment funds and joint-stock investment companies with variable capital and units in EU alternative investment funds and foreign open-ended alternative investment funds may be acquired if they meet the requirements of § 196 Para. 1 sentence 2 KAGB.
- 2. For account of the UCITS sub-fund, the company may only acquire units of domestic investment funds and joint-stock investment companies with variable capital, open-ended EU AIF and foreign open-ended AIF if, in accordance with the investment conditions or the Articles of Incorporation of the investment management company, the joint-stock investment company with variable capital, the EU investment fund, the EU management company, the foreign AIF or the foreign AIF management company, a total not exceeding 10 percent of the value of their assets may be invested in units of other domestic investment funds, joint-stock investment companies with variable capital, open-ended EU investment funds or foreign open-ended AIFs.

§ 10 Issuer and investment limits

- 1. The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and these Investment Conditions.
- 2. The Company may invest up to 20 percent of the assets of the UCITS sub-fund in securities from a single issuer (debtor).
- 3. The limit specified in Paragraph 2 may be increased to up to 35 percent of the value of the UCITS sub-fund for securities from a single issuer. An investment up to the limit specified in Sentence 1 above is permissible only for one individual issuer (debtor).
- 4. For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.
- 5. The Company may invest no more than 5 percent of the value of the UCITS sub-fund in bank accounts and money market instruments as defined in Sections 5 and 6.

6. The Company may invest no more than 10 percent of the value of the UCITS sub-fund in units of investment funds pursuant to Section 3 Paragraph 2 and Section 9. When doing so, the Company may acquire on behalf of the UCITS sub-fund no more than 25 percent of issued units of another open-ended domestic, EU or foreign investment fund that invests in assets in accordance with the principle of risk diversification as defined in Sections 192 to 198 KAGB.
7. A minimum of 95 percent of the UCITS sub-fund must be invested in assets based on the Security Index pursuant to Section 3 Paragraph 2 Sentence 1.

§ 11 Loans

Short-term borrowing by the Company on the account of the UCITS sub-fund of amounts of up to 10 percent of the value of the UCITS sub-fund is permissible if the terms of the borrowing are at market rates and the Custodian Bank approves the borrowing.

SHARE CLASSES

§ 12 Share classes

1. Share classes as defined in Section 20 of the Articles of Incorporation may be formed for the UCITS sub-fund; these differ with respect to appropriation of income, issue premiums, redemption fees, management fees, minimum investment amount, currency, net asset value per share, or a combination of these characteristics. The creation of share classes is permitted at any time and is at the discretion of the Company.
2. The net asset value per share is calculated separately for each share class by allocating the costs of launching new share classes, the distributions (including any taxes that may be payable from the fund's assets), the management fee including income adjustment if applicable, exclusively to this share class.
3. The existing share classes are listed individually in the Sales Prospectus and in the annual and semi-annual reports. The structural characteristics defining the share classes (appropriation of income, issue premiums, redemption fees, management fees, currency, minimum investment amount, or a combination of these characteristics) are described in detail in the Sales Prospectus and in the annual and semi-annual reports.

ISSUE AND REDEMPTION OF SHARES/EXPENSES

§ 13 Issue and redemption of shares, fees

1. The Company indicates the issue premiums and redemption fees charged for each share

class in the Sales Prospectus, the Key Information Document and in the annual and semi-annual reports.

2. For the calculation of share issue and redemption prices, the market values of the assets (net asset value) belonging to the UCITS sub-fund less borrowings undertaken and other liabilities (net asset value) is determined and divided by the number of shares in circulation (share value). If special share classes for the UCITS sub-fund are introduced in accordance with Section 12, then the net asset value per share and the issue and redemption prices for each share class shall be determined separately. The assets are valued in accordance with Sections 168 and 169 KAGB and the German Capital Investment Accounting and Valuation Ordinance ("KARBV").
3. The issue price corresponds to the net asset value per share at the issue date, plus any issue premium pursuant to Paragraph 4. The redemption price corresponds to the net asset value per share at the redemption date, plus any redemption fees pursuant to Paragraph 5.
4. Depending on the share class, the issue premium per share is up to 2 percent of the net asset value per share. The Company is free to charge a lower issue premium for one or more share classes, or all of them.
5. Depending on the share class, the redemption fee per share is up to 1 percent of the net asset value per share. The Company is free to charge a lower redemption fee for one or more share classes, or all of them. The Management Company shall receive the redemption fee.
6. The settlement date for issue and redemption orders is no later than the next valuation date following the receipt of the issue or redemption order. If the Company suspends the redemption of shares in accordance with Section 11 paragraph 6 of the Articles of Incorporation, the settlement date for such redemption orders is the valuation day following the resumption.
7. Issue and redemption prices will be determined on each exchange trading day. On public holidays under the KAGB that are stock exchange days and 24 and 31 December every year, the Company and the Custodian Bank may interrupt their daily price calculation; details are discussed in the Sales Prospectus.
8. The Company applies the Dual Pricing method when determining the issue and redemption prices. This means that, deviating from paragraph 2 sentence 1, a modified net asset value per share must be calculated in addition to the net asset value. For this purpose, for each issue and redemption of shares, the net asset value per share is adjusted by a factor that reflects liquidity costs. The Company explains the procedure used to calculate the modified net asset value per share in the Sales Prospectus.

9. The Company may charge a redemption fee (Rückgabegebühr). The redemption fee is calculated on the basis of gross redemptions and amounts to up to 2 per cent of gross redemptions. The Sales Prospectus contains a description of the option and the conditions for a redemption fee.

§ 14 Expenses and services included

1. For managing the UCITS sub-fund, the Management Company receives from the assets of the UCITS sub-fund a fee of up to 0.45 percent per annum depending on the share class, based on the net asset value of the UCITS sub-fund determined each exchange trading day. The Management Company is free to charge a lower management fee for one or more share classes, or all of them. The management fee will be paid in advance in monthly instalments out of the UCITS sub-fund. The Company indicates the management fee charged for each share class in the Sales Prospectus and in the annual and semi-annual reports.
2. The management fee specified in Paragraph 1 shall cover services rendered by the Management Company for the UCITS sub-fund, including the expenses of the Custodian Bank, legally required printing, mailings, and publications associated with the UCITS sub-fund, and for annual report audits conducted by auditors of the Company.
3. The following expenses are not covered by Paragraph 1:
 - a) Expenses resulting from the purchase and sale of assets (transaction costs),
 - b) Customary bank custody fees, including the customary bank charges for the custody of foreign securities abroad and related taxes, if applicable,
 - c) Customary expenses related to day-to-day account management,
 - d) Expenses incurred in the assertion and enforcement of the legal claims of the UCITS sub-fund,
 - e) Expenses for providing information to investors of the UCITS sub-fund by means of a durable medium, with the exception of expenses for providing information in the case of fund mergers and with the exception of information on measures connected with violations of investment limits or errors in calculating the net asset value per share.

Such expenses may be charged to the UCITS sub-fund in addition to the management fee charged in accordance with Paragraph 1.
4. The Company has to publish in the annual report and in the semi-annual report the amount of the issue premiums and redemption fees that have been charged to the UCITS sub-fund during the reporting period for the purchase and redemption of shares as defined in Section 9. When units are purchased that

are managed, directly or indirectly, by the Management Company itself or by any other company with which the Management Company is affiliated through a significant direct or indirect equity interest, the Management Company or the other company may not levy issue premiums or redemption fees for the purchase or redemption. The Company publishes in the annual report and in the semi-annual report the fees charged as management fees for the units held in the UCITS sub-fund when such fees are charged by the Management Company, by another investment management company, a joint-stock investment company or another company with which the Management Company is affiliated through a significant direct or indirect equity interest, or by a foreign investment company, including its management company.

APPROPRIATION OF INCOME, TERM AND FINANCIAL YEAR

§ 15 Distribution

1. For distributing share classes, the Company distributes, net of costs, the interest, dividends and other income from investment fund shares received for account of the UCITS sub-fund, taking into account the appropriate income netting. Capital gains and other income - taking into account the appropriate income equalisation - can also be used for distributions.
2. The final distribution takes place within four months of the financial year-end. In addition, the Company may carry out interim distributions during the year.
3. The interim distribution amount is at the discretion of the Company. The Company is not obliged to distribute all distributable income pursuant to Paragraph 1 accumulated up to the date of the interim distribution; it may carry ordinary income forward to the next distribution date.
4. Interim distributions are intended to minimise any discrepancy between the performance of the UCITS sub-fund and that of the Underlying Index.
5. Distributable income pursuant to Paragraph 1 may be carried forward for distribution in subsequent financial years if the amount of the income carried forward does not exceed 15 percent of the respective value of the UCITS sub-fund at the end of the financial year. Income from short financial years may be carried forward in its entirety.
6. In the interests of maintaining equity, some income, or in exceptional cases, all income, may be set aside for accumulation in the UCITS sub-fund.
7. If no share classes are created, the income will be distributed.

§ 16 Reinvestment

For reinvesting share classes, the Company invests the interest, dividends and other income of the UCITS sub-fund, taking into account the appropriate income netting, as well as the realised capital gains that have accrued for account of the sub-fund during the financial year in the UCITS sub-fund, net of costs.

§ 17 Financial year and accounting

1. The financial year of the UCITS sub-fund begins on 1 March of each calendar year and ends on the last day of February.
2. The company publishes an annual financial statement with a management report no later than four months after the end of the financial year in accordance with § 120 Para. 1, 2 and 6 Sentence 3 in conjunction with § 123 Para. 1 No. 1 KAGB.
3. The Company publishes a semi-annual report no later than two months after the end of the first half of the financial year in accordance with Section 122 Paragraph 1 Sentence 4 in conjunction with Section 103 and Section 107 Paragraph 1 Sentence 2 KAGB.

§ 18 Liquidation of the sub-fund

1. The Company may liquidate the UCITS sub-fund pursuant to Section 19 of the Articles of Incorporation. This liquidation resolution shall take effect six months after its publication in the Bundesanzeiger. The shareholders must be informed by the Company immediately by means of a durable medium as defined in Section 167 KAGB of the announcement of a termination in accordance with Sentence 2.
2. The Company must prepare a liquidation report for the period ending on the date on which its right to manage lapses pursuant to Section 117 Paragraph 8 Sentence 4, 100 Paragraph 1 KAGB; this liquidation report must fulfil the requirements of an annual report in accordance with Section 120 Paragraph 1.
3. Net liquidation proceeds not collected by shareholders upon completion of the liquidation proceedings may be deposited with an appropriate depository for the benefit of the entitled shareholders.

§ 19 Change of the external investment management company and the depository

1. The company may transfer the management and disposal rights over the company to another external investment management company. The transfer is subject to the prior approval of BaFin.
2. The approved transfer shall be published in the Bundesanzeiger and in the annual financial statements or the semi-annual report.

Investors must be informed immediately by means of a durable medium of the announcement of a transfer in accordance with sentence 1. The transfer shall take effect no earlier than three months after its publication in the Bundesanzeiger.

3. The company may change the depository for the UCITS sub-fund. The change must be approved by BaFin.

§ 20 Changes to the Investment Conditions

1. The Company is entitled to change the Investment Conditions.
2. Amendments to the Investment Conditions require the prior approval of BaFin.
3. All planned amendments shall be published in the Bundesanzeiger and, in addition, in a financial or daily newspaper with sufficient circulation or in the electronic information media designated in the Sales Prospectus. The planned changes and their effective dates must be stated in any publication made in accordance with Sentence 1 above. In the event of amendments to costs detrimental to investors as defined in Section 162 Paragraph 2 (11) KAGB, amendments to the investment principles of the UCITS Fund as defined in Section 163 Paragraph 3 KAGB or amendments related to significant investor rights, investors must be informed simultaneously with the publication pursuant to Sentence 1 of the significant contents of the proposed amendments to the Investment Conditions and the background thereto, as well as information on their rights pursuant to Section 163 Paragraph 3 KAGB by means of a durable medium and in an understandable way in accordance with Section 163 Paragraph 4 KAGB.
4. The amendments enter into force at the earliest on the day after their publication in the Bundesanzeiger; amendments to costs and to the investment principles, however, do not enter into force until three months after the corresponding publication. With the consent of the BaFin, an earlier date may be determined, insofar as this concerns a change in costs that benefits the investors.

§ 21 Place of performance

The place of performance is the registered office of the Company.

§ 22 Name

The rights of shareholders who acquired shares originally named "iShares STOXX Europe 600 Real Estate (DE)" remain unaffected.

Investment Conditions

governing the legal relationship between the shareholders and

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, Munich, (hereinafter referred to as the "**Company**")

externally managed by

BlackRock Asset Management Deutschland AG, Munich, (hereinafter referred to as the "**Management Company**")

for the UCITS-compliant securities sub-fund

iShares STOXX Europe 600 Retail UCITS ETF (DE), (hereinafter referred to as the "**UCITS sub-fund**")

These investment conditions are valid only in combination with the Articles of Incorporation of the Company.

INVESTMENT POLICIES AND RESTRICTIONS

§ 1 Assets and investment objective

The Company may acquire the following assets for the UCITS sub-fund:

- a) securities pursuant to Section 4 of these Investment Conditions,
- b) money market instruments pursuant to Section 5 of these Investment Conditions,
- c) bank accounts pursuant to Section 6 of these Investment Conditions,
- d) derivatives pursuant to Section 7 of these Investment Conditions,
- e) other investment instruments pursuant to Section 8 of these Investment Conditions,
- f) Investment fund units pursuant to Section 9 of these Investment Conditions

The purpose of the equity and equity index certificate selection for the UCITS sub-fund is to replicate the STOXX Europe 600 Retail(price index) (hereinafter referred to as the "Underlying Index") while maintaining an appropriate diversification of risk.

§ 2 Depositary

1. The Company shall appoint a credit institution as Custodian Bank for the UCITS sub-fund; the Custodian Bank shall act independently of the Company and exclusively in the interests of the shareholders.

2. The tasks and duties of the Custodian Bank are governed by the custodian agreement concluded with the Company, in accordance with the KAGB, the Articles of Incorporation and the Investment Conditions.
3. The Custodian Bank may outsource custodial tasks to another company (sub-custodian) pursuant to Section 73 KAGB. Please refer to the Sales Prospectus for details.
4. The Custodian Bank shall be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for the loss of a financial instrument pursuant to Section 72 Paragraph 1 Sentence 1 held in custody by the Custodian Bank or by a sub-custodian to whom the custody of financial instruments has been transferred according to Section 73 Paragraph 1 KAGB. The Custodian Bank is not liable if it can prove that the loss is due to external events whose consequences were unavoidable despite all reasonable countermeasures. Further claims arising out of the provisions of civil law on the basis of contracts or torts are not affected. The Custodian Bank shall also be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for all other losses that they incur if the Custodian Bank fails to meet its obligations under the provisions of the KAGB, whether negligently or intentionally. The Custodian Bank's liability remains unaffected by any transfer of custody tasks referred to in Paragraph 3, sentence 1.

§ 3 Investment principles

1. The Company may only acquire such assets on behalf of the UCITS sub-fund that are designed to replicate a certain security index ("Security Index") approved by the Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin) while still maintaining appropriate diversification of risk. The Security Index is approved specifically if
 - a) its composition is sufficiently diversified,
 - b) it represents an adequate benchmark for the market to which it relates; and
 - c) it has been published in an appropriate manner.
2. The UCITS sub-fund may only acquire securities included in the Security Index or introduced to it following a change thereto ("Index Securities"), securities that are issued on these Index Securities or on the Underlying Index, and derivatives on securities, money market instruments, investment fund units pursuant to Section 9, recognised financial indices, interest rates, foreign exchange rates or currencies in which the UCITS sub-fund may invest as provided for in the Investment Conditions. When replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in Index Securities over investments in any other assets mentioned in Sentence 1 above that are approved for use in

replicating indices. The Underlying Index may be replicated using securities, derivatives that indirectly replicate the index only for purposes of maintaining the investment restrictions listed in Section 10 Paragraph 7.

3. In order to replicate the Security Index, the duplication percentage may not be less than 95 percent of the total assets in the UCITS sub-fund as defined in the first sentence of Paragraph 2 above. Derivatives shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach provided for in the "ordinance on risk management and risk measurement in the use of derivatives, securities lending and repurchase agreements in investment funds" ("DerivateV") issued pursuant to Section 197 Paragraph 3 of the German Investment Code (KAGB).
4. The duplication percentage reflects the proportion of securities and derivatives according to Section 197 Paragraph 1 KAGB in the UCITS Fund that corresponds with the Security Index in terms of weighting. The duplication percentage is defined as being equal to 100 less one half of the sum of the differences between the weighting of the securities in the index and the applicable weighting of the securities included in the total assets of the UCITS sub-fund, totalled for all securities and applicable values of derivatives according to Section 197 Paragraph 1 KAGB in the UCITS sub-fund and for all securities in the index.

$$DG = 100\% - \frac{\sum_{i=1}^n |W_i^I - W_i^F|}{2}$$

DG	=	duplication percentage in %
n	=	number of share types in the Fund and index (upper summation limit)
I	=	index
F	=	Fund
W_i^I	=	w e i g h t i n g o f e q u i t y i i n i n d e x I i n %
W_i^F	=	w e i g h t i n g o f e q u i t y i t o b e i n c l u d e d i n t h e e q u i t y p o r t i o n o f t h e F u n d i n %
$\sum$	=	s u m s y m b o l
		s u m m a t i o n i n d e x ; r e p r e s e n t s t h e i n d i v i d u a l s h a r e
i	=	t y p e s o f i = 1 (l o w e r s u m m a t i o n s l i m i t) b i s i = n (u p p e r s u m m a t i o n l i m i t)

§ 4 Securities

1. The Company may only acquire securities on behalf of the UCITS sub-fund if:
 - a) they are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) they are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in one of these states, provided the choice of such stock exchange or regulated market is permitted by BaFin,³⁵
 - c) their terms of issue require application for admission to official trading on one of the stock exchanges permitted under a) and b) or for inclusion in one of the regulated markets permitted under a) and b), and admission or inclusion on these markets takes place within one year after their issue,
 - d) they are equities to which the UCITS sub-fund is entitled in an issuer's capital increase from company assets;
 - e) they are acquired in exercising subscription rights belonging to the UCITS sub-fund,
 - f) they are financial instruments that meet the criteria listed in Section 193 Paragraph 1 Sentence 1 No. 8 KAGB.
2. Securities may only be acquired in accordance with Paragraph 1 letters a) to c) if additionally the requirements of Section 193 Paragraph 1 Sentence 2 KAGB are met. Subscription rights arising from securities which may be acquired under this Section, Section 4, may also be acquired.

§ 5 Money market instruments

1. The Company may acquire on behalf of the UCITS sub-fund instruments normally dealt in on the money market and interest-bearing securities with a residual term of no more than 397 days at the time of their acquisition or whose interest rate, in accordance with the issue conditions, is regularly – and at least once each 397-day period – adjusted to reflect current market conditions or whose risk profile corresponds to the risk profile of this type of security (money market instruments). The money market instruments may also be denominated in foreign currency. Money

³⁵ The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

market instruments may only be acquired if they

- a) are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market there, provided the choice of such stock exchange or regulated market is permitted by BaFin,³⁶
 - c) are issued or guaranteed by the European Union, the German Federal Government, a special-purpose fund of the German Federal Government, a German federal state, another member state or another central, regional or local authority or by the central bank of a European Union member state, the European Central Bank or the European Investment Bank, a non-EU member state or, in case of a federal state, by one of the members making up the federation, or by a public international body to which one or more EU member states belong,
 - d) are issued by a company whose securities are traded on the markets referred to in a) and b),
 - e) if they are issued or guaranteed by a credit institution that is subject to supervision that meets the criteria defined by European Union law, or a credit institution that is subject to the prudential rules considered by BaFin as equivalent to those laid down in European Union law, and which complies with such rules, or
 - f) are issued by other bodies and comply with the requirements of Section 194 Paragraph 1 Sentence 1 No. 6 KAGB.
2. Money market instruments as defined in Paragraph 1 may only be acquired if they comply with the requirements of Section 194 Paragraphs 2 and 3 KAGB.

§ 6 Bank accounts

The Company may also hold, on behalf of the UCITS sub-fund, bank accounts containing deposits with a maturity not exceeding twelve months. The accounts, which must be in the form of blocked accounts, may be maintained at a credit institution that has its registered office in a member state of the European Union or another state that is a party to the Agreement on the European Economic Area.

These accounts may also be maintained by a credit institution that has its registered office in a non-member state, provided that it is subject to the prudential rules considered by BaFin as equivalent to those laid down in the law of the European Union. The bank accounts may also be denominated in foreign currency.

§ 7 Derivatives

1. Unless specified otherwise in Paragraph 8, in managing the UCITS sub-fund, the Company may acquire derivatives in accordance with Section 197 Paragraph 1 Sentence 1 KAGB and financial instruments with derivative components in accordance with Section 197 Paragraph 1 Sentence 2 KAGB. It may – depending on the type and extent of derivatives and financial instruments with derivative components used – use either the simple or qualified approach within the meaning of DerivateV provided for in Section 197 Paragraph 3 KAGB when calculating the market risk limits established under Section 197 Paragraph 2 KAGB on the use of derivatives and financial instruments with derivative components; details are discussed in the Sales Prospectus.
2. If the Company uses the simple approach, it may only make regular use of the following basic forms of derivatives, financial instruments with a derivative component or combinations of these derivatives, financial instruments with a derivative component or combinations of underlying securities permitted under Section 197 Paragraph 1 Sentence 1 KAGB in the UCITS sub-fund. Complex derivatives based on permitted underlying securities pursuant to Section 197 Paragraph 1 sentence 1 KAGB may only be used for a negligible proportion. The weighted market risk attributable to the UCITS sub-fund, to be calculated as provided for in Section 16 DerivateV, may at no time exceed the value of the UCITS sub-fund. The basic forms of derivatives are:
 - a) Forward contracts on the underlying values pursuant to Section 197 Paragraph 1 KAGB with the exception of investment units pursuant to Section 196 KAGB;
 - b) Options or warrants on the underlying securities pursuant to Section 197 Paragraph 1 KAGB with the exception of investment fund units pursuant to Section 196 KAGB and on futures contracts as defined in a), if they have the following characteristics:
 - aa) exercising is possible either during the entire term or at the end of the term and
 - bb) at the time of being exercised, the option value is linearly based on the positive or negative difference between the underlying price and the

³⁶ The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

market price of the underlying security and becomes nil if the difference has the other leading sign;

- c) Interest rate swaps, currency swaps or interest rate/currency swaps;
 - d) Options on swaps according to letter c), to the extent that they display the characteristics described in letter b) under letters aa) and bb) (swaptions);
 - e) Credit default swaps related to single underlying instruments (Single Name Credit Default Swaps).
3. If the Company uses the qualified approach, it may invest, subject to a suitable risk management system, in any financial instruments with a derivative component or derivatives that are derived from an underlying security that is permitted under Section 197 Paragraph 1 Sentence 1 KAGB.
- The potential risk amount for the market risk ("risk exposure") attributable to the UCITS sub-fund may at no time exceed two times the potential risk amount for the market risk of the associated benchmark assets pursuant to Section 9 DerivateV. Alternatively, the risk exposure may at no time exceed 20 percent of the value of the UCITS sub-fund.
4. In these transactions, the Company may under no circumstances deviate from the investment principles and limits listed in the Articles of Incorporation, these Investment Conditions or in the Sales Prospectus.
5. The Company will use the derivatives and financial instruments with a derivative component for the purpose of efficient portfolio management and to produce additional returns, when and to the extent that it considers this to be in the interests of the investors.
- No transactions with derivatives may be undertaken for purposes of hedging.
6. In calculating the market risk limit for the use of derivatives and financial instruments with a derivative component, the company may at any time switch between the simple and the qualified approach pursuant to § 6 Sentence 3 DerivateV. The change does not require the approval of BaFin. However, the company must report the change to BaFin without delay and announce it in the next semi-annual or annual report.
7. The Company will observe the guidelines of DerivateV when derivatives and financial instruments with derivative components are used.
8. In derogation of Paragraph 1, the Company may – subject to a suitable risk management system – only use futures contracts that are based on the Underlying Index and futures contracts that are based on individual stocks of the Underlying Index as well as warrants that are based on the Underlying Index and warrants that are based on individual stocks of the Underlying Index for the UCITS sub-fund.

§ 8 Other investment instruments

The Company may on behalf of the UCITS sub-fund acquire other investment instruments up to 10 percent of the value of the UCITS sub-fund pursuant to Section 198 KAGB.

§ 9 Investment fund units

1. The Company may, on behalf of the UCITS sub-fund, acquire units in investment funds pursuant to Directive 2009/65/EC (UCITS). Units in other domestic investment funds and joint-stock investment companies with variable capital and units in EU alternative investment funds and foreign open-ended alternative investment funds may be acquired if they meet the requirements of § 196 Para. 1 sentence 2 KAGB.
2. For account of the UCITS sub-fund, the company may only acquire units of domestic investment funds and joint-stock investment companies with variable capital, open-ended EU AIF and foreign open-ended AIF if, in accordance with the investment conditions or the Articles of Incorporation of the investment management company, the joint-stock investment company with variable capital, the EU investment fund, the EU management company, the foreign AIF or the foreign AIF management company, a total not exceeding 10 percent of the value of their assets may be invested in units of other domestic investment funds, joint-stock investment companies with variable capital, open-ended EU investment funds or foreign open-ended AIFs.

§ 10 Issuer and investment limits

1. The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and these Investment Conditions.
2. The Company may invest up to 20 percent of the assets of the UCITS sub-fund in securities from a single issuer (debtor).
3. The limit specified in Paragraph 2 may be increased to up to 35 percent of the value of the UCITS sub-fund for securities from a single issuer. An investment up to the limit specified in Sentence 1 above is permissible only for one individual issuer (debtor).
4. For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.
5. The Company may invest no more than 5 percent of the value of the UCITS sub-fund in bank accounts and money market instruments as defined in Sections 5 and 6.

6. The Company may invest no more than 10 percent of the value of the UCITS sub-fund in units of investment funds pursuant to Section 3 Paragraph 2 and Section 9. When doing so, the Company may acquire on behalf of the UCITS sub-fund no more than 25 percent of issued units of another open-ended domestic, EU or foreign investment fund that invests in assets in accordance with the principle of risk diversification as defined in Sections 192 to 198 KAGB.
7. A minimum of 95 percent of the UCITS sub-fund must be invested in assets based on the Security Index pursuant to Section 3 Paragraph 2 Sentence 1. At least 85 percent of the value of the UCITS sub-fund shall be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds.

§ 11 Loans

Short-term borrowing by the Company on the account of the UCITS sub-fund of amounts of up to 10 percent of the value of the UCITS sub-fund is permissible if the terms of the borrowing are at market rates and the Custodian Bank approves the borrowing.

SHARE CLASSES

§ 12 Share classes

1. Share classes as defined in Section 20 of the Articles of Incorporation may be formed for the UCITS sub-fund; these differ with respect to appropriation of income, issue premiums, redemption fees, management fees, minimum investment amount, currency, net asset value per share, or a combination of these characteristics. The creation of share classes is permitted at any time and is at the discretion of the Company.
2. The net asset value per share is calculated separately for each share class by allocating the costs of launching new share classes, the distributions (including any taxes that may be payable from the fund's assets), the management fee including income adjustment if applicable, exclusively to this share class.
3. The existing share classes are listed individually in the Sales Prospectus and in the annual and semi-annual reports. The structural characteristics defining the share classes (appropriation of income, issue premiums, redemption fees, management fees, currency, minimum investment amount, or a combination of these characteristics) are described in detail in the Sales Prospectus and in the annual and semi-annual reports.

ISSUE AND REDEMPTION OF SHARES/EXPENSES

§ 13 Issue and redemption of shares, fees

1. The Company indicates the issue premiums and redemption fees charged for each share class in the Sales Prospectus, the Key Information Document and in the annual and semi-annual reports.
2. For the calculation of share issue and redemption prices, the market values of the assets (net asset value) belonging to the UCITS sub-fund less borrowings undertaken and other liabilities (net asset value) is determined and divided by the number of shares in circulation (share value). If special share classes for the UCITS sub-fund are introduced in accordance with Section 12, then the net asset value per share and the issue and redemption prices for each share class shall be determined separately. The assets are valued in accordance with Sections 168 and 169 KAGB and the German Capital Investment Accounting and Valuation Ordinance ("KARBV").
3. The issue price corresponds to the net asset value per share at the issue date, plus any issue premium pursuant to Paragraph 4. The redemption price corresponds to the net asset value per share at the redemption date, plus any redemption fees pursuant to Paragraph 5.
4. Depending on the share class, the issue premium per share is up to 2 percent of the net asset value per share. The Company is free to charge a lower issue premium for one or more share classes, or all of them.
5. Depending on the share class, the redemption fee per share is up to 1 percent of the net asset value per share. The Company is free to charge a lower redemption fee for one or more share classes, or all of them. The Management Company shall receive the redemption fee.
6. The settlement date for issue and redemption orders is no later than the next valuation date following the receipt of the issue or redemption order. If the Company suspends the redemption of shares in accordance with Section 11 paragraph 6 of the Articles of Incorporation, the settlement date for such redemption orders is the valuation day following the resumption.
7. Issue and redemption prices will be determined on each exchange trading day. On public holidays under the KAGB that are stock exchange days and 24 and 31 December every year, the Company and the Custodian Bank may interrupt their daily price calculation; details are discussed in the Sales Prospectus.
8. The Company applies the Dual Pricing method when determining the issue and redemption prices. This means that, deviating from paragraph 2 sentence 1, a modified net asset value per share must be calculated in addition to the net asset value. For this purpose, for each issue and redemption of shares, the net asset value per share is adjusted by a factor

that reflects liquidity costs. The Company explains the procedure used to calculate the modified net asset value per share in the Sales Prospectus.

9. The Company may charge a redemption fee (Rückgabegebühr). The redemption fee is calculated on the basis of gross redemptions and amounts to up to 2 per cent of gross redemptions. The Sales Prospectus contains a description of the option and the conditions for a redemption fee.

§ 14 Expenses and services included

1. For managing the UCITS sub-fund, the Management Company receives from the assets of the UCITS sub-fund a fee of up to 0.45 percent per annum depending on the share class, based on the net asset value of the UCITS sub-fund determined each exchange trading day. The Management Company is free to charge a lower management fee for one or more share classes, or all of them. The management fee will be paid in advance in monthly instalments out of the UCITS sub-fund. The Company indicates the management fee charged for each share class in the Sales Prospectus and in the annual and semi-annual reports.
2. The management fee specified in Paragraph 1 shall cover services rendered by the Management Company for the UCITS sub-fund, including the expenses of the Custodian Bank, legally required printing, mailings, and publications associated with the UCITS sub-fund, and for annual report audits conducted by auditors of the Company.
3. The following expenses are not covered by Paragraph 1:
 - a) Expenses resulting from the purchase and sale of assets (transaction costs),
 - b) Customary bank custody fees, including the customary bank charges for the custody of foreign securities abroad and related taxes, if applicable,
 - c) Customary expenses related to day-to-day account management,
 - d) Expenses incurred in the assertion and enforcement of the legal claims of the UCITS sub-fund,
 - e) Expenses for providing information to investors of the UCITS sub-fund by means of a durable medium, with the exception of expenses for providing information in the case of fund mergers and with the exception of information on measures connected with violations of investment limits or errors in calculating the net asset value per share.

Such expenses may be charged to the UCITS sub-fund in addition to the management fee charged in accordance with Paragraph 1.

4. The Company has to publish in the annual report and in the semi-annual report the

amount of the issue premiums and redemption fees that have been charged to the UCITS sub-fund during the reporting period for the purchase and redemption of shares as defined in Section 9. When units are purchased that are managed, directly or indirectly, by the Management Company itself or by any other company with which the Management Company is affiliated through a significant direct or indirect equity interest, the Management Company or the other company may not levy issue premiums or redemption fees for the purchase or redemption. The Company publishes in the annual report and in the semi-annual report the fees charged as management fees for the units held in the UCITS sub-fund when such fees are charged by the Management Company, by another investment management company, a joint-stock investment company or another company with which the Management Company is affiliated through a significant direct or indirect equity interest, or by a foreign investment company, including its management company.

APPROPRIATION OF INCOME, TERM AND FINANCIAL YEAR

§ 15 Distribution

1. For distributing share classes, the Company distributes, net of costs, the interest, dividends and other income from investment fund shares received for account of the UCITS sub-fund, taking into account the appropriate income netting. Capital gains and other income - taking into account the appropriate income equalisation - can also be used for distributions.
2. The final distribution takes place within four months of the financial year-end. In addition, the Company may carry out interim distributions during the year.
3. The interim distribution amount is at the discretion of the Company. The Company is not obliged to distribute all distributable income pursuant to Paragraph 1 accumulated up to the date of the interim distribution; it may carry ordinary income forward to the next distribution date.
4. Interim distributions are intended to minimise any discrepancy between the performance of the UCITS sub-fund and that of the Underlying Index.
5. Distributable income pursuant to Paragraph 1 may be carried forward for distribution in subsequent financial years if the amount of the income carried forward does not exceed 15 percent of the respective value of the UCITS sub-fund at the end of the financial year. Income from short financial years may be carried forward in its entirety.
6. In the interests of maintaining equity, some income, or in exceptional cases, all income,

may be set aside for accumulation in the UCITS sub-fund.

7. If no share classes are created, the income will be distributed.

§ 16 Reinvestment

For reinvesting share classes, the Company invests the interest, dividends and other income of the UCITS sub-fund, taking into account the appropriate income netting, as well as the realised capital gains that have accrued for account of the sub-fund during the financial year in the UCITS sub-fund, net of costs.

§ 17 Financial year and accounting

1. The financial year of the UCITS sub-fund begins on 1 March of each calendar year and ends on the last day of February.
2. The company publishes an annual financial statement with a management report no later than four months after the end of the financial year in accordance with § 120 Para. 1, 2 and 6 Sentence 3 in conjunction with § 123 Para. 1 No. 1 KAGB.
3. The Company publishes a semi-annual report no later than two months after the end of the first half of the financial year in accordance with Section 122 Paragraph 1 Sentence 4 in conjunction with Section 103 and Section 107 Paragraph 1 Sentence 2 KAGB.

§ 18 Liquidation of the sub-fund

1. The Company may liquidate the UCITS sub-fund pursuant to Section 19 of the Articles of Incorporation. This liquidation resolution shall take effect six months after its publication in the Bundesanzeiger. The shareholders must be informed by the Company immediately by means of a durable medium as defined in Section 167 KAGB of the announcement of a termination in accordance with Sentence 2.
2. The Company must prepare a liquidation report for the period ending on the date on which its right to manage lapses pursuant to Section 117 Paragraph 8 Sentence 4, 100 Paragraph 1 KAGB; this liquidation report must fulfil the requirements of an annual report in accordance with Section 120 Paragraph 1.
3. Net liquidation proceeds not collected by shareholders upon completion of the liquidation proceedings may be deposited with an appropriate depository for the benefit of the entitled shareholders.

§ 19 Change of the external investment management company and the depository

1. The company may transfer the management and disposal rights over the company to another external investment management

company. The transfer is subject to the prior approval of BaFin.

2. The approved transfer shall be published in the Bundesanzeiger and in the annual financial statements or the semi-annual report. Investors must be informed immediately by means of a durable medium of the announcement of a transfer in accordance with sentence 1. The transfer shall take effect no earlier than three months after its publication in the Bundesanzeiger.
3. The company may change the depository for the UCITS sub-fund. The change must be approved by BaFin.

§ 20 Changes to the Investment Conditions

1. The Company is entitled to change the Investment Conditions.
2. Amendments to the Investment Conditions require the prior approval of BaFin.
3. All planned amendments shall be published in the Bundesanzeiger and, in addition, in a financial or daily newspaper with sufficient circulation or in the electronic information media designated in the Sales Prospectus. The planned changes and their effective dates must be stated in any publication made in accordance with Sentence 1 above. In the event of amendments to costs detrimental to investors as defined in Section 162 Paragraph 2 (11) KAGB, amendments to the investment principles of the UCITS Fund as defined in Section 163 Paragraph 3 KAGB or amendments related to significant investor rights, investors must be informed simultaneously with the publication pursuant to Sentence 1 of the significant contents of the proposed amendments to the Investment Conditions and the background thereto, as well as information on their rights pursuant to Section 163 Paragraph 3 KAGB by means of a durable medium and in an understandable way in accordance with Section 163 Paragraph 4 KAGB.
4. The amendments enter into force at the earliest on the day after their publication in the Bundesanzeiger; amendments to costs and to the investment principles, however, do not enter into force until three months after the corresponding publication. With the consent of the BaFin, an earlier date may be determined, insofar as this concerns a change in costs that benefits the investors.

§ 21 Place of performance

The place of performance is the registered office of the Company.

§ 22 Name

The rights of shareholders who acquired shares originally named "iShares STOXX Europe 600 Retail (DE)" remain unaffected.

Investment Conditions

governing the legal relationship between the shareholders and

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, Munich, (hereinafter referred to as the "**Company**")

externally managed by

BlackRock Asset Management Deutschland AG, Munich, (hereinafter referred to as the "**Management Company**")

for the UCITS-compliant securities sub-fund

iShares STOXX Europe 600 Technology UCITS ETF (DE), (hereinafter referred to as the "**UCITS sub-fund**")

These investment conditions are valid only in combination with the Articles of Incorporation of the Company.

INVESTMENT POLICIES AND RESTRICTIONS

§ 1 Assets and investment objective

The Company may acquire the following assets for the UCITS sub-fund:

- a) securities pursuant to Section 4 of these Investment Conditions,
- b) money market instruments pursuant to Section 5 of these Investment Conditions,
- c) bank accounts pursuant to Section 6 of these Investment Conditions,
- d) derivatives pursuant to Section 7 of these Investment Conditions,
- e) other investment instruments pursuant to Section 8 of these Investment Conditions,
- f) Investment fund units pursuant to Section 9 of these Investment Conditions

The purpose of the equity and equity index certificate selection for the UCITS sub-fund is to replicate the STOXX Europe 600 Technology(price index) (hereinafter referred to as the "Underlying Index") while maintaining an appropriate diversification of risk.

§ 2 Depository

1. The Company shall appoint a credit institution as Custodian Bank for the UCITS sub-fund; the Custodian Bank shall act independently of the Company and exclusively in the interests of the shareholders.

2. The tasks and duties of the Custodian Bank are governed by the custodian agreement concluded with the Company, in accordance with the KAGB, the Articles of Incorporation and the Investment Conditions.
3. The Custodian Bank may outsource custodial tasks to another company (sub-custodian) pursuant to Section 73 KAGB. Please refer to the Sales Prospectus for details.
4. The Custodian Bank shall be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for the loss of a financial instrument pursuant to Section 72 Paragraph 1 Sentence 1 held in custody by the Custodian Bank or by a sub-custodian to whom the custody of financial instruments has been transferred according to Section 73 Paragraph 1 KAGB. The Custodian Bank is not liable if it can prove that the loss is due to external events whose consequences were unavoidable despite all reasonable countermeasures. Further claims arising out of the provisions of civil law on the basis of contracts or torts are not affected. The Custodian Bank shall also be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for all other losses that they incur if the Custodian Bank fails to meet its obligations under the provisions of the KAGB, whether negligently or intentionally. The Custodian Bank's liability remains unaffected by any transfer of custody tasks referred to in Paragraph 3, sentence 1.

§ 3 Investment principles

1. The Company may only acquire such assets on behalf of the UCITS sub-fund that are designed to replicate a certain security index ("Security Index") approved by the Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin) while still maintaining appropriate diversification of risk. The Security Index is approved specifically if
 - a) its composition is sufficiently diversified,
 - b) it represents an adequate benchmark for the market to which it relates; and
 - c) it has been published in an appropriate manner.
2. The UCITS sub-fund may only acquire securities included in the Security Index or introduced to it following a change thereto ("Index Securities"), securities that are issued on these Index Securities or on the Underlying Index, and derivatives on securities, money market instruments, investment fund units pursuant to Section 9, recognised financial indices, interest rates, foreign exchange rates or currencies in which the UCITS sub-fund may invest as provided for in the Investment Conditions. When replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in Index Securities over investments in any other assets mentioned in Sentence 1 above that are approved for use in

replicating indices. The Underlying Index may be replicated using securities, derivatives that indirectly replicate the index only for purposes of maintaining the investment restrictions listed in Section 10 Paragraph 7.

3. In order to replicate the Security Index, the duplication percentage may not be less than 95 percent of the total assets in the UCITS sub-fund as defined in the first sentence of Paragraph 2 above. Derivatives shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach provided for in the "ordinance on risk management and risk measurement in the use of derivatives, securities lending and repurchase agreements in investment funds" ("DerivateV") issued pursuant to Section 197 Paragraph 3 of the German Investment Code (KAGB).
4. The duplication percentage reflects the proportion of securities and derivatives according to Section 197 Paragraph 1 KAGB in the UCITS Fund that corresponds with the Security Index in terms of weighting. The duplication percentage is defined as being equal to 100 less one half of the sum of the differences between the weighting of the securities in the index and the applicable weighting of the securities included in the total assets of the UCITS sub-fund, totalled for all securities and applicable values of derivatives according to Section 197 Paragraph 1 KAGB in the UCITS sub-fund and for all securities in the index.

$$DG = 100\% - \frac{\sum_{i=1}^n |w_i^I - w_i^F|}{2}$$

DG	=	duplication percentage in %
n	=	number of share types in the Fund and index (upper summation limit)
I	=	index
F	=	Fund
w_i^I	=	weighting of equity i in index I in %
w_i^F	=	weighting of equity i to be included in the equity portion of the Fund in %
$\sum$	=	sum symbol
		summation index; represents the individual share
i	=	types of i = 1 (lower summations limit) bis i = n (upper summation limit)

§ 4 Securities

1. The Company may only acquire securities on behalf of the UCITS sub-fund if:
 - a) they are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) they are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in one of these states, provided the choice of such stock exchange or regulated market is permitted by BaFin,³⁷
 - c) their terms of issue require application for admission to official trading on one of the stock exchanges permitted under a) and b) or for inclusion in one of the regulated markets permitted under a) and b), and admission or inclusion on these markets takes place within one year after their issue,
 - d) they are equities to which the UCITS sub-fund is entitled in an issuer's capital increase from company assets;
 - e) they are acquired in exercising subscription rights belonging to the UCITS sub-fund,
 - f) they are financial instruments that meet the criteria listed in Section 193 Paragraph 1 Sentence 1 No. 8 KAGB.
2. Securities may only be acquired in accordance with Paragraph 1 letters a) to c) if additionally the requirements of Section 193 Paragraph 1 Sentence 2 KAGB are met. Subscription rights arising from securities which may be acquired under this Section, Section 4, may also be acquired.

§ 5 Money market instruments

1. The Company may acquire on behalf of the UCITS sub-fund instruments normally dealt in on the money market and interest-bearing securities with a residual term of no more than 397 days at the time of their acquisition or whose interest rate, in accordance with the issue conditions, is regularly – and at least once each 397-day period – adjusted to reflect current market conditions or whose risk profile corresponds to the risk profile of this type of security (money market instruments). The money market instruments may also be denominated in foreign currency. Money

³⁷ The list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB is published on the BaFin website. www.bafin.de

market instruments may only be acquired if they

- a) are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market there, provided the choice of such stock exchange or regulated market is permitted by BaFin,³⁸
 - c) are issued or guaranteed by the European Union, the German Federal Government, a special-purpose fund of the German Federal Government, a German federal state, another member state or another central, regional or local authority or by the central bank of a European Union member state, the European Central Bank or the European Investment Bank, a non-EU member state or, in case of a federal state, by one of the members making up the federation, or by a public international body to which one or more EU member states belong,
 - d) are issued by a company whose securities are traded on the markets referred to in a) and b),
 - e) if they are issued or guaranteed by a credit institution that is subject to supervision that meets the criteria defined by European Union law, or a credit institution that is subject to the prudential rules considered by BaFin as equivalent to those laid down in European Union law, and which complies with such rules, or
 - f) are issued by other bodies and comply with the requirements of Section 194 Paragraph 1 Sentence 1 No. 6 KAGB.
2. Money market instruments as defined in Paragraph 1 may only be acquired if they comply with the requirements of Section 194 Paragraphs 2 and 3 KAGB.

§ 6 Bank accounts

The Company may also hold, on behalf of the UCITS sub-fund, bank accounts containing deposits with a maturity not exceeding twelve months. The accounts, which must be in the form of blocked accounts, may be maintained at a credit institution that has its registered office in a member state of the European Union or another state that is a party to the Agreement on the European Economic Area.

These accounts may also be maintained by a credit institution that has its registered office in a non-member state, provided that it is subject to the prudential rules considered by BaFin as equivalent to those laid down in the law of the European Union. The bank accounts may also be denominated in foreign currency.

§ 7 Derivatives

1. Unless specified otherwise in Paragraph 8, in managing the UCITS sub-fund, the Company may acquire derivatives in accordance with Section 197 Paragraph 1 Sentence 1 KAGB and financial instruments with derivative components in accordance with Section 197 Paragraph 1 Sentence 2 KAGB. It may – depending on the type and extent of derivatives and financial instruments with derivative components used – use either the simple or qualified approach within the meaning of DerivateV provided for in Section 197 Paragraph 3 KAGB when calculating the market risk limits established under Section 197 Paragraph 2 KAGB on the use of derivatives and financial instruments with derivative components; details are discussed in the Sales Prospectus.
2. If the Company uses the simple approach, it may only make regular use of the following basic forms of derivatives, financial instruments with a derivative component or combinations of these derivatives, financial instruments with a derivative component or combinations of underlying securities permitted under Section 197 Paragraph 1 Sentence 1 KAGB in the UCITS sub-fund. Complex derivatives based on permitted underlying securities pursuant to Section 197 Paragraph 1 sentence 1 KAGB may only be used for a negligible proportion. The weighted market risk attributable to the UCITS sub-fund, to be calculated as provided for in Section 16 DerivateV, may at no time exceed the value of the UCITS sub-fund. The basic forms of derivatives are:
 - a) Forward contracts on the underlying values pursuant to Section 197 Paragraph 1 KAGB with the exception of investment units pursuant to Section 196 KAGB;
 - b) Options or warrants on the underlying securities pursuant to Section 197 Paragraph 1 KAGB with the exception of investment fund units pursuant to Section 196 KAGB and on futures contracts as defined in a), if they have the following characteristics:
 - aa) exercising is possible either during the entire term or at the end of the term and
 - bb) at the time of being exercised, the option value is linearly based on the positive or negative difference between the underlying price and the

³⁸ The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

market price of the underlying security and becomes nil if the difference has the other leading sign;

- c) Interest rate swaps, currency swaps or interest rate/currency swaps;
 - d) Options on swaps according to letter c), to the extent that they display the characteristics described in letter b) under letters aa) and bb) (swaptions);
 - e) Credit default swaps related to single underlying instruments (Single Name Credit Default Swaps).
3. If the Company uses the qualified approach, it may invest, subject to a suitable risk management system, in any financial instruments with a derivative component or derivatives that are derived from an underlying security that is permitted under Section 197 Paragraph 1 Sentence 1 KAGB.
- The potential risk amount for the market risk ("risk exposure") attributable to the UCITS sub-fund may at no time exceed two times the potential risk amount for the market risk of the associated benchmark assets pursuant to Section 9 DerivateV. Alternatively, the risk exposure may at no time exceed 20 percent of the value of the UCITS sub-fund.
4. In these transactions, the Company may under no circumstances deviate from the investment principles and limits listed in the Articles of Incorporation, these Investment Conditions or in the Sales Prospectus.
5. The Company will use the derivatives and financial instruments with a derivative component for the purpose of efficient portfolio management and to produce additional returns, when and to the extent that it considers this to be in the interests of the investors.
- No transactions with derivatives may be undertaken for purposes of hedging.
6. In calculating the market risk limit for the use of derivatives and financial instruments with a derivative component, the company may at any time switch between the simple and the qualified approach pursuant to § 6 Sentence 3 DerivateV. The change does not require the approval of BaFin. However, the company must report the change to BaFin without delay and announce it in the next semi-annual or annual report.
7. The Company will observe the guidelines of DerivateV when derivatives and financial instruments with derivative components are used.
8. In derogation of Paragraph 1, the Company may – subject to a suitable risk management system – only use futures contracts that are based on the Underlying Index and futures contracts that are based on individual stocks of the Underlying Index as well as warrants that are based on the Underlying Index and warrants that are based on individual stocks of the Underlying Index for the UCITS sub-fund.

§ 8 Other investment instruments

The Company may on behalf of the UCITS sub-fund acquire other investment instruments up to 10 percent of the value of the UCITS sub-fund pursuant to Section 198 KAGB.

§ 9 Investment fund units

1. The Company may, on behalf of the UCITS sub-fund, acquire units in investment funds pursuant to Directive 2009/65/EC (UCITS). Units in other domestic investment funds and joint-stock investment companies with variable capital and units in EU alternative investment funds and foreign open-ended alternative investment funds may be acquired if they meet the requirements of § 196 Para. 1 sentence 2 KAGB.
2. For account of the UCITS sub-fund, the company may only acquire units of domestic investment funds and joint-stock investment companies with variable capital, open-ended EU AIF and foreign open-ended AIF if, in accordance with the investment conditions or the Articles of Incorporation of the investment management company, the joint-stock investment company with variable capital, the EU investment fund, the EU management company, the foreign AIF or the foreign AIF management company, a total not exceeding 10 percent of the value of their assets may be invested in units of other domestic investment funds, joint-stock investment companies with variable capital, open-ended EU investment funds or foreign open-ended AIFs.

§ 10 Issuer and investment limits

1. The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and these Investment Conditions.
2. The Company may invest up to 20 percent of the assets of the UCITS sub-fund in securities from a single issuer (debtor).
3. The limit specified in Paragraph 2 may be increased to up to 35 percent of the value of the UCITS sub-fund for securities from a single issuer. An investment up to the limit specified in Sentence 1 above is permissible only for one individual issuer (debtor).
4. For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.
5. The Company may invest no more than 5 percent of the value of the UCITS sub-fund in bank accounts and money market instruments as defined in Sections 5 and 6.

6. The Company may invest no more than 10 percent of the value of the UCITS sub-fund in units of investment funds pursuant to Section 3 Paragraph 2 and Section 9. When doing so, the Company may acquire on behalf of the UCITS sub-fund no more than 25 percent of issued units of another open-ended domestic, EU or foreign investment fund that invests in assets in accordance with the principle of risk diversification as defined in Sections 192 to 198 KAGB.
7. A minimum of 95 percent of the UCITS sub-fund must be invested in assets based on the Security Index pursuant to Section 3 Paragraph 2 Sentence 1. At least 85 percent of the value of the UCITS sub-fund shall be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds.

§ 11 Loans

Short-term borrowing by the Company on the account of the UCITS sub-fund of amounts of up to 10 percent of the value of the UCITS sub-fund is permissible if the terms of the borrowing are at market rates and the Custodian Bank approves the borrowing.

SHARE CLASSES

§ 12 Share classes

1. Share classes as defined in Section 20 of the Articles of Incorporation may be formed for the UCITS sub-fund; these differ with respect to appropriation of income, issue premiums, redemption fees, management fees, minimum investment amount, currency, net asset value per share, or a combination of these characteristics. The creation of share classes is permitted at any time and is at the discretion of the Company.
2. The net asset value per share is calculated separately for each share class by allocating the costs of launching new share classes, the distributions (including any taxes that may be payable from the fund's assets), the management fee including income adjustment if applicable, exclusively to this share class.
3. The existing share classes are listed individually in the Sales Prospectus and in the annual and semi-annual reports. The structural characteristics defining the share classes (appropriation of income, issue premiums, redemption fees, management fees, currency, minimum investment amount, or a combination of these characteristics) are described in detail in the Sales Prospectus and in the annual and semi-annual reports.

ISSUE AND REDEMPTION OF SHARES/EXPENSES

§ 13 Issue and redemption of shares, fees

1. The Company indicates the issue premiums and redemption fees charged for each share class in the Sales Prospectus, the Key Information Document and in the annual and semi-annual reports.
2. For the calculation of share issue and redemption prices, the market values of the assets (net asset value) belonging to the UCITS sub-fund less borrowings undertaken and other liabilities (net asset value) is determined and divided by the number of shares in circulation (share value). If special share classes for the UCITS sub-fund are introduced in accordance with Section 12, then the net asset value per share and the issue and redemption prices for each share class shall be determined separately. The assets are valued in accordance with Sections 168 and 169 KAGB and the German Capital Investment Accounting and Valuation Ordinance ("KARBV").
3. The issue price corresponds to the net asset value per share at the issue date, plus any issue premium pursuant to Paragraph 4. The redemption price corresponds to the net asset value per share at the redemption date, plus any redemption fees pursuant to Paragraph 5.
4. Depending on the share class, the issue premium per share is up to 2 percent of the net asset value per share. The Company is free to charge a lower issue premium for one or more share classes, or all of them.
5. Depending on the share class, the redemption fee per share is up to 1 percent of the net asset value per share. The Company is free to charge a lower redemption fee for one or more share classes, or all of them. The Management Company shall receive the redemption fee.
6. The settlement date for issue and redemption orders is no later than the next valuation date following the receipt of the issue or redemption order. If the Company suspends the redemption of shares in accordance with Section 11 paragraph 6 of the Articles of Incorporation, the settlement date for such redemption orders is the valuation day following the resumption.
7. Issue and redemption prices will be determined on each exchange trading day. On public holidays under the KAGB that are stock exchange days and 24 and 31 December every year, the Company and the Custodian Bank may interrupt their daily price calculation; details are discussed in the Sales Prospectus.
8. The Company applies the Dual Pricing method when determining the issue and redemption prices. This means that, deviating from paragraph 2 sentence 1, a modified net asset value per share must be calculated in addition to the net asset value. For this purpose, for each issue and redemption of shares, the net asset value per share is adjusted by a factor

that reflects liquidity costs. The Company explains the procedure used to calculate the modified net asset value per share in the Sales Prospectus.

9. The Company may charge a redemption fee (Rückgabegebühr). The redemption fee is calculated on the basis of gross redemptions and amounts to up to 2 per cent of gross redemptions. The Sales Prospectus contains a description of the option and the conditions for a redemption fee.

§ 14 Expenses and services included

1. For managing the UCITS sub-fund, the Management Company receives from the assets of the UCITS sub-fund a fee of up to 0.45 percent per annum depending on the share class, based on the net asset value of the UCITS sub-fund determined each exchange trading day. The Management Company is free to charge a lower management fee for one or more share classes, or all of them. The management fee will be paid in advance in monthly instalments out of the UCITS sub-fund. The Company indicates the management fee charged for each share class in the Sales Prospectus and in the annual and semi-annual reports.
2. The management fee specified in Paragraph 1 shall cover services rendered by the Management Company for the UCITS sub-fund, including the expenses of the Custodian Bank, legally required printing, mailings, and publications associated with the UCITS sub-fund, and for annual report audits conducted by auditors of the Company.
3. The following expenses are not covered by Paragraph 1:
 - a) Expenses resulting from the purchase and sale of assets (transaction costs),
 - b) Customary bank custody fees, including the customary bank charges for the custody of foreign securities abroad and related taxes, if applicable,
 - c) Customary expenses related to day-to-day account management,
 - d) Expenses incurred in the assertion and enforcement of the legal claims of the UCITS sub-fund,
 - e) Expenses for providing information to investors of the UCITS sub-fund by means of a durable medium, with the exception of expenses for providing information in the case of fund mergers and with the exception of information on measures connected with violations of investment limits or errors in calculating the net asset value per share.

Such expenses may be charged to the UCITS sub-fund in addition to the management fee charged in accordance with Paragraph 1.

4. The Company has to publish in the annual report and in the semi-annual report the

amount of the issue premiums and redemption fees that have been charged to the UCITS sub-fund during the reporting period for the purchase and redemption of shares as defined in Section 9. When units are purchased that are managed, directly or indirectly, by the Management Company itself or by any other company with which the Management Company is affiliated through a significant direct or indirect equity interest, the Management Company or the other company may not levy issue premiums or redemption fees for the purchase or redemption. The Company publishes in the annual report and in the semi-annual report the fees charged as management fees for the units held in the UCITS sub-fund when such fees are charged by the Management Company, by another investment management company, a joint-stock investment company or another company with which the Management Company is affiliated through a significant direct or indirect equity interest, or by a foreign investment company, including its management company.

APPROPRIATION OF INCOME, TERM AND FINANCIAL YEAR

§ 15 Distribution

1. For distributing share classes, the Company distributes, net of costs, the interest, dividends and other income from investment fund shares received for account of the UCITS sub-fund, taking into account the appropriate income netting. Capital gains and other income - taking into account the appropriate income equalisation - can also be used for distributions.
2. The final distribution takes place within four months of the financial year-end. In addition, the Company may carry out interim distributions during the year.
3. The interim distribution amount is at the discretion of the Company. The Company is not obliged to distribute all distributable income pursuant to Paragraph 1 accumulated up to the date of the interim distribution; it may carry ordinary income forward to the next distribution date.
4. Interim distributions are intended to minimise any discrepancy between the performance of the UCITS sub-fund and that of the Underlying Index.
5. Distributable income pursuant to Paragraph 1 may be carried forward for distribution in subsequent financial years if the amount of the income carried forward does not exceed 15 percent of the respective value of the UCITS sub-fund at the end of the financial year. Income from short financial years may be carried forward in its entirety.
6. In the interests of maintaining equity, some income, or in exceptional cases, all income,

may be set aside for accumulation in the UCITS sub-fund.

7. If no share classes are created, the income will be distributed.

§ 16 Reinvestment

For reinvesting share classes, the Company invests the interest, dividends and other income of the UCITS sub-fund, taking into account the appropriate income netting, as well as the realised capital gains that have accrued for account of the sub-fund during the financial year in the UCITS sub-fund, net of costs.

§ 17 Financial year and accounting

1. The financial year of the UCITS sub-fund begins on 1 March of each calendar year and ends on the last day of February.
2. The company publishes an annual financial statement with a management report no later than four months after the end of the financial year in accordance with § 120 Para. 1, 2 and 6 Sentence 3 in conjunction with § 123 Para. 1 No. 1 KAGB.
3. The Company publishes a semi-annual report no later than two months after the end of the first half of the financial year in accordance with Section 122 Paragraph 1 Sentence 4 in conjunction with Section 103 and Section 107 Paragraph 1 Sentence 2 KAGB.

§ 18 Liquidation of the sub-fund

1. The Company may liquidate the UCITS sub-fund pursuant to Section 19 of the Articles of Incorporation. This liquidation resolution shall take effect six months after its publication in the Bundesanzeiger. The shareholders must be informed by the Company immediately by means of a durable medium as defined in Section 167 KAGB of the announcement of a termination in accordance with Sentence 2.
2. The Company must prepare a liquidation report for the period ending on the date on which its right to manage lapses pursuant to Section 117 Paragraph 8 Sentence 4, 100 Paragraph 1 KAGB; this liquidation report must fulfil the requirements of an annual report in accordance with Section 120 Paragraph 1.
3. Net liquidation proceeds not collected by shareholders upon completion of the liquidation proceedings may be deposited with an appropriate depository for the benefit of the entitled shareholders.

§ 19 Change of the external investment management company and the depository

1. The company may transfer the management and disposal rights over the company to another external investment management

company. The transfer is subject to the prior approval of BaFin.

2. The approved transfer shall be published in the Bundesanzeiger and in the annual financial statements or the semi-annual report. Investors must be informed immediately by means of a durable medium of the announcement of a transfer in accordance with sentence 1. The transfer shall take effect no earlier than three months after its publication in the Bundesanzeiger.
3. The company may change the depository for the UCITS sub-fund. The change must be approved by BaFin.

§ 20 Changes to the Investment Conditions

1. The Company is entitled to change the Investment Conditions.
2. Amendments to the Investment Conditions require the prior approval of BaFin.
3. All planned amendments shall be published in the Bundesanzeiger and, in addition, in a financial or daily newspaper with sufficient circulation or in the electronic information media designated in the Sales Prospectus. The planned changes and their effective dates must be stated in any publication made in accordance with Sentence 1 above. In the event of amendments to costs detrimental to investors as defined in Section 162 Paragraph 2 (11) KAGB, amendments to the investment principles of the UCITS Fund as defined in Section 163 Paragraph 3 KAGB or amendments related to significant investor rights, investors must be informed simultaneously with the publication pursuant to Sentence 1 of the significant contents of the proposed amendments to the Investment Conditions and the background thereto, as well as information on their rights pursuant to Section 163 Paragraph 3 KAGB by means of a durable medium and in an understandable way in accordance with Section 163 Paragraph 4 KAGB.
4. The amendments enter into force at the earliest on the day after their publication in the Bundesanzeiger; amendments to costs and to the investment principles, however, do not enter into force until three months after the corresponding publication. With the consent of the BaFin, an earlier date may be determined, insofar as this concerns a change in costs that benefits the investors.

§ 21 Place of performance

The place of performance is the registered office of the Company.

§ 22 Name

The rights of shareholders who acquired shares originally named "iShares STOXX Europe 600 Technology (DE)" remain unaffected.

Investment Conditions

governing the legal relationship between the shareholders and

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, Munich, (hereinafter referred to as the "**Company**")

externally managed by

BlackRock Asset Management Deutschland AG, Munich, (hereinafter referred to as the "**Management Company**")

for the UCITS-compliant securities sub-fund

iShares STOXX Europe 600 Telecommunications UCITS ETF (DE), (hereinafter referred to as the "**UCITS sub-fund**")

These investment conditions are valid only in combination with the Articles of Incorporation of the Company.

INVESTMENT POLICIES AND RESTRICTIONS

§ 1 Assets and investment objective

The Company may acquire the following assets for the UCITS sub-fund:

- a) securities pursuant to Section 4 of these Investment Conditions,
- b) money market instruments pursuant to Section 5 of these Investment Conditions,
- c) bank accounts pursuant to Section 6 of these Investment Conditions,
- d) derivatives pursuant to Section 7 of these Investment Conditions,
- e) other investment instruments pursuant to Section 8 of these Investment Conditions,
- f) Investment fund units pursuant to Section 9 of these Investment Conditions

The purpose of the equity and equity index certificate selection for the UCITS sub-fund is to replicate the STOXX Europe 600 Telecommunications (price index) (hereinafter referred to as the "Underlying Index") while maintaining an appropriate diversification of risk.

§ 2 Depository

1. The Company shall appoint a credit institution as Custodian Bank for the UCITS sub-fund; the Custodian Bank shall act independently of the Company and exclusively in the interests of the shareholders.

2. The tasks and duties of the Custodian Bank are governed by the custodian agreement concluded with the Company, in accordance with the KAGB, the Articles of Incorporation and the Investment Conditions.
3. The Custodian Bank may outsource custodial tasks to another company (sub-custodian) pursuant to Section 73 KAGB. Please refer to the Sales Prospectus for details.
4. The Custodian Bank shall be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for the loss of a financial instrument pursuant to Section 72 Paragraph 1 Sentence 1 held in custody by the Custodian Bank or by a sub-custodian to whom the custody of financial instruments has been transferred according to Section 73 Paragraph 1 KAGB. The Custodian Bank is not liable if it can prove that the loss is due to external events whose consequences were unavoidable despite all reasonable countermeasures. Further claims arising out of the provisions of civil law on the basis of contracts or torts are not affected. The Custodian Bank shall also be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for all other losses that they incur if the Custodian Bank fails to meet its obligations under the provisions of the KAGB, whether negligently or intentionally. The Custodian Bank's liability remains unaffected by any transfer of custody tasks referred to in Paragraph 3, sentence 1.

§ 3 Investment principles

1. The Company may only acquire such assets on behalf of the UCITS sub-fund that are designed to replicate a certain security index ("Security Index") approved by the Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin) while still maintaining appropriate diversification of risk. The Security Index is approved specifically if
 - a) its composition is sufficiently diversified,
 - b) it represents an adequate benchmark for the market to which it relates; and
 - c) it has been published in an appropriate manner.
2. The UCITS sub-fund may only acquire securities included in the Security Index or introduced to it following a change thereto ("Index Securities"), securities that are issued on these Index Securities or on the Underlying Index, and derivatives on securities, money market instruments, investment fund units pursuant to Section 9, recognised financial indices, interest rates, foreign exchange rates or currencies in which the UCITS sub-fund may invest as provided for in the Investment Conditions. When replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in Index Securities over investments in any other assets mentioned in Sentence 1 above that are approved for use in

replicating indices. The Underlying Index may be replicated using securities, derivatives that indirectly replicate the index only for purposes of maintaining the investment restrictions listed in Section 10 Paragraph 7.

3. In order to replicate the Security Index, the duplication percentage may not be less than 95 percent of the total assets in the UCITS sub-fund as defined in the first sentence of Paragraph 2 above. Derivatives shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach provided for in the "ordinance on risk management and risk measurement in the use of derivatives, securities lending and repurchase agreements in investment funds" ("DerivateV") issued pursuant to Section 197 Paragraph 3 of the German Investment Code (KAGB).
4. The duplication percentage reflects the proportion of securities and derivatives according to Section 197 Paragraph 1 KAGB in the UCITS Fund that corresponds with the Security Index in terms of weighting. The duplication percentage is defined as being equal to 100 less one half of the sum of the differences between the weighting of the securities in the index and the applicable weighting of the securities included in the total assets of the UCITS sub-fund, totalled for all securities and applicable values of derivatives according to Section 197 Paragraph 1 KAGB in the UCITS sub-fund and for all securities in the index.

$$DG = 100\% - \frac{\sum_{i=1}^n |W_i^I - W_i^F|}{2}$$

DG	=	duplication percentage in %
n	=	number of share types in the Fund and index (upper summation limit)
I	=	index
F	=	Fund
W_i^I	=	weighting of equity i in index I in %
W_i^F	=	weighting of equity i to be included in the equity portion of the Fund in %
$\sum$	=	sum symbol
i	=	summation index; represents the individual share types of i = 1 (lower summations limit) bis i = n (upper summation limit)

§ 4 Securities

1. The Company may only acquire securities on behalf of the UCITS sub-fund if:
 - a) they are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) they are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in one of these states, provided the choice of such stock exchange or regulated market is permitted by BaFin,³⁹
 - c) their terms of issue require application for admission to official trading on one of the stock exchanges permitted under a) and b) or for inclusion in one of the regulated markets permitted under a) and b), and admission or inclusion on these markets takes place within one year after their issue,
 - d) they are equities to which the UCITS sub-fund is entitled in an issuer's capital increase from company assets;
 - e) they are acquired in exercising subscription rights belonging to the UCITS sub-fund,
 - f) they are financial instruments that meet the criteria listed in Section 193 Paragraph 1 Sentence 1 No. 8 KAGB.
2. Securities may only be acquired in accordance with Paragraph 1 letters a) to c) if additionally the requirements of Section 193 Paragraph 1 Sentence 2 KAGB are met. Subscription rights arising from securities which may be acquired under this Section, Section 4, may also be acquired.

§ 5 Money market instruments

1. The Company may acquire on behalf of the UCITS sub-fund instruments normally dealt in on the money market and interest-bearing securities with a residual term of no more than 397 days at the time of their acquisition or whose interest rate, in accordance with the issue conditions, is regularly – and at least once each 397-day period – adjusted to reflect current market conditions or whose risk profile corresponds to the risk profile of this type of security (money market instruments). The money market instruments may also be denominated in foreign currency. Money

³⁹ The list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB is published on the BaFin website. www.bafin.de

market instruments may only be acquired if they

- a) are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market there, provided the choice of such stock exchange or regulated market is permitted by BaFin,⁴⁰
 - c) are issued or guaranteed by the European Union, the German Federal Government, a special-purpose fund of the German Federal Government, a German federal state, another member state or another central, regional or local authority or by the central bank of a European Union member state, the European Central Bank or the European Investment Bank, a non-EU member state or, in case of a federal state, by one of the members making up the federation, or by a public international body to which one or more EU member states belong,
 - d) are issued by a company whose securities are traded on the markets referred to in a) and b),
 - e) if they are issued or guaranteed by a credit institution that is subject to supervision that meets the criteria defined by European Union law, or a credit institution that is subject to the prudential rules considered by BaFin as equivalent to those laid down in European Union law, and which complies with such rules, or
 - f) are issued by other bodies and comply with the requirements of Section 194 Paragraph 1 Sentence 1 No. 6 KAGB.
2. Money market instruments as defined in Paragraph 1 may only be acquired if they comply with the requirements of Section 194 Paragraphs 2 and 3 KAGB.

§ 6 Bank accounts

The Company may also hold, on behalf of the UCITS sub-fund, bank accounts containing deposits with a maturity not exceeding twelve months. The accounts, which must be in the form of blocked accounts, may be maintained at a credit institution that has its registered office in a member state of the European Union or another state that is a party to the Agreement on the European Economic Area.

These accounts may also be maintained by a credit institution that has its registered office in a non-member state, provided that it is subject to the prudential rules considered by BaFin as equivalent to those laid down in the law of the European Union. The bank accounts may also be denominated in foreign currency.

§ 7 Derivatives

1. Unless specified otherwise in Paragraph 8, in managing the UCITS sub-fund, the Company may acquire derivatives in accordance with Section 197 Paragraph 1 Sentence 1 KAGB and financial instruments with derivative components in accordance with Section 197 Paragraph 1 Sentence 2 KAGB. It may – depending on the type and extent of derivatives and financial instruments with derivative components used – use either the simple or qualified approach within the meaning of DerivateV provided for in Section 197 Paragraph 3 KAGB when calculating the market risk limits established under Section 197 Paragraph 2 KAGB on the use of derivatives and financial instruments with derivative components; details are discussed in the Sales Prospectus.
2. If the Company uses the simple approach, it may only make regular use of the following basic forms of derivatives, financial instruments with a derivative component or combinations of these derivatives, financial instruments with a derivative component or combinations of underlying securities permitted under Section 197 Paragraph 1 Sentence 1 KAGB in the UCITS sub-fund. Complex derivatives based on permitted underlying securities pursuant to Section 197 Paragraph 1 sentence 1 KAGB may only be used for a negligible proportion. The weighted market risk attributable to the UCITS sub-fund, to be calculated as provided for in Section 16 DerivateV, may at no time exceed the value of the UCITS sub-fund. The basic forms of derivatives are:
 - a) Forward contracts on the underlying values pursuant to Section 197 Paragraph 1 KAGB with the exception of investment units pursuant to Section 196 KAGB;
 - b) Options or warrants on the underlying securities pursuant to Section 197 Paragraph 1 KAGB with the exception of investment fund units pursuant to Section 196 KAGB and on futures contracts as defined in a), if they have the following characteristics:
 - aa) exercising is possible either during the entire term or at the end of the term and
 - bb) at the time of being exercised, the option value is linearly based on the positive or negative difference between the underlying price and the

⁴⁰ The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

market price of the underlying security and becomes nil if the difference has the other leading sign;

- c) Interest rate swaps, currency swaps or interest rate/currency swaps;
 - d) Options on swaps according to letter c), to the extent that they display the characteristics described in letter b) under letters aa) and bb) (swaptions);
 - e) Credit default swaps related to single underlying instruments (Single Name Credit Default Swaps).
3. If the Company uses the qualified approach, it may invest, subject to a suitable risk management system, in any financial instruments with a derivative component or derivatives that are derived from an underlying security that is permitted under Section 197 Paragraph 1 Sentence 1 KAGB.
- The potential risk amount for the market risk ("risk exposure") attributable to the UCITS sub-fund may at no time exceed two times the potential risk amount for the market risk of the associated benchmark assets pursuant to Section 9 DerivateV. Alternatively, the risk exposure may at no time exceed 20 percent of the value of the UCITS sub-fund.
4. In these transactions, the Company may under no circumstances deviate from the investment principles and limits listed in the Articles of Incorporation, these Investment Conditions or in the Sales Prospectus.
5. The Company will use the derivatives and financial instruments with a derivative component for the purpose of efficient portfolio management and to produce additional returns, when and to the extent that it considers this to be in the interests of the investors.
- No transactions with derivatives may be undertaken for purposes of hedging.
6. In calculating the market risk limit for the use of derivatives and financial instruments with a derivative component, the company may at any time switch between the simple and the qualified approach pursuant to § 6 Sentence 3 DerivateV. The change does not require the approval of BaFin. However, the company must report the change to BaFin without delay and announce it in the next semi-annual or annual report.
7. The Company will observe the guidelines of DerivateV when derivatives and financial instruments with derivative components are used.
8. In derogation of Paragraph 1, the Company may – subject to a suitable risk management system – only use futures contracts that are based on the Underlying Index and futures contracts that are based on individual stocks of the Underlying Index as well as warrants that are based on the Underlying Index and warrants that are based on individual stocks of the Underlying Index for the UCITS sub-fund.

§ 8 Other investment instruments

The Company may on behalf of the UCITS sub-fund acquire other investment instruments up to 10 percent of the value of the UCITS sub-fund pursuant to Section 198 KAGB.

§ 9 Investment fund units

1. The Company may, on behalf of the UCITS sub-fund, acquire units in investment funds pursuant to Directive 2009/65/EC (UCITS). Units in other domestic investment funds and joint-stock investment companies with variable capital and units in EU alternative investment funds and foreign open-ended alternative investment funds may be acquired if they meet the requirements of § 196 Para. 1 sentence 2 KAGB.
2. For account of the UCITS sub-fund, the company may only acquire units of domestic investment funds and joint-stock investment companies with variable capital, open-ended EU AIF and foreign open-ended AIF if, in accordance with the investment conditions or the Articles of Incorporation of the investment management company, the joint-stock investment company with variable capital, the EU investment fund, the EU management company, the foreign AIF or the foreign AIF management company, a total not exceeding 10 percent of the value of their assets may be invested in units of other domestic investment funds, joint-stock investment companies with variable capital, open-ended EU investment funds or foreign open-ended AIFs.

§ 10 Issuer and investment limits

1. The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and these Investment Conditions.
2. The Company may invest up to 20 percent of the assets of the UCITS sub-fund in securities from a single issuer (debtor).
3. The limit specified in Paragraph 2 may be increased to up to 35 percent of the value of the UCITS sub-fund for securities from a single issuer. An investment up to the limit specified in Sentence 1 above is permissible only for one individual issuer (debtor).
4. For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.
5. The Company may invest no more than 5 percent of the value of the UCITS sub-fund in bank accounts and money market instruments as defined in Sections 5 and 6.

6. The Company may invest no more than 10 percent of the value of the UCITS sub-fund in units of investment funds pursuant to Section 3 Paragraph 2 and Section 9. When doing so, the Company may acquire on behalf of the UCITS sub-fund no more than 25 percent of issued units of another open-ended domestic, EU or foreign investment fund that invests in assets in accordance with the principle of risk diversification as defined in Sections 192 to 198 KAGB.
7. A minimum of 95 percent of the UCITS sub-fund must be invested in assets based on the Security Index pursuant to Section 3 Paragraph 2 Sentence 1. At least 85 percent of the value of the UCITS sub-fund shall be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds.

§ 11 Loans

Short-term borrowing by the Company on the account of the UCITS sub-fund of amounts of up to 10 percent of the value of the UCITS sub-fund is permissible if the terms of the borrowing are at market rates and the Custodian Bank approves the borrowing.

SHARE CLASSES

§ 12 Share classes

1. Share classes as defined in Section 20 of the Articles of Incorporation may be formed for the UCITS sub-fund; these differ with respect to appropriation of income, issue premiums, redemption fees, management fees, minimum investment amount, currency, net asset value per share, or a combination of these characteristics. The creation of share classes is permitted at any time and is at the discretion of the Company.
2. The net asset value per share is calculated separately for each share class by allocating the costs of launching new share classes, the distributions (including any taxes that may be payable from the fund's assets), the management fee including income adjustment if applicable, exclusively to this share class.
3. The existing share classes are listed individually in the Sales Prospectus and in the annual and semi-annual reports. The structural characteristics defining the share classes (appropriation of income, issue premiums, redemption fees, management fees, currency, minimum investment amount, or a combination of these characteristics) are described in detail in the Sales Prospectus and in the annual and semi-annual reports.

ISSUE AND REDEMPTION OF SHARES/EXPENSES

§ 13 Issue and redemption of shares, fees

1. The Company indicates the issue premiums and redemption fees charged for each share class in the Sales Prospectus, the Key Information Document and in the annual and semi-annual reports.
2. For the calculation of share issue and redemption prices, the market values of the assets (net asset value) belonging to the UCITS sub-fund less borrowings undertaken and other liabilities (net asset value) is determined and divided by the number of shares in circulation (share value). If special share classes for the UCITS sub-fund are introduced in accordance with Section 12, then the net asset value per share and the issue and redemption prices for each share class shall be determined separately. The assets are valued in accordance with Sections 168 and 169 KAGB and the German Capital Investment Accounting and Valuation Ordinance ("KARBV").
3. The issue price corresponds to the net asset value per share at the issue date, plus any issue premium pursuant to Paragraph 4. The redemption price corresponds to the net asset value per share at the redemption date, plus any redemption fees pursuant to Paragraph 5.
4. Depending on the share class, the issue premium per share is up to 2 percent of the net asset value per share. The Company is free to charge a lower issue premium for one or more share classes, or all of them.
5. Depending on the share class, the redemption fee per share is up to 1 percent of the net asset value per share. The Company is free to charge a lower redemption fee for one or more share classes, or all of them. The Management Company shall receive the redemption fee.
6. The settlement date for issue and redemption orders is no later than the next valuation date following the receipt of the issue or redemption order. If the Company suspends the redemption of shares in accordance with Section 11 paragraph 6 of the Articles of Incorporation, the settlement date for such redemption orders is the valuation day following the resumption.
7. Issue and redemption prices will be determined on each exchange trading day. On public holidays under the KAGB that are stock exchange days and 24 and 31 December every year, the Company and the Custodian Bank may interrupt their daily price calculation; details are discussed in the Sales Prospectus.
8. The Company applies the Dual Pricing method when determining the issue and redemption prices. This means that, deviating from paragraph 2 sentence 1, a modified net asset value per share must be calculated in addition to the net asset value. For this purpose, for each issue and redemption of shares, the net asset value per share is adjusted by a factor

that reflects liquidity costs. The Company explains the procedure used to calculate the modified net asset value per share in the Sales Prospectus.

9. The Company may charge a redemption fee (Rückgabegebühr). The redemption fee is calculated on the basis of gross redemptions and amounts to up to 2 per cent of gross redemptions. The Sales Prospectus contains a description of the option and the conditions for a redemption fee.

§ 14 Expenses and services included

1. For managing the UCITS sub-fund, the Management Company receives from the assets of the UCITS sub-fund a fee of up to 0.45 percent per annum depending on the share class, based on the net asset value of the UCITS sub-fund determined each exchange trading day. The Management Company is free to charge a lower management fee for one or more share classes, or all of them. The management fee will be paid in advance in monthly instalments out of the UCITS sub-fund. The Company indicates the management fee charged for each share class in the Sales Prospectus and in the annual and semi-annual reports.
2. The management fee specified in Paragraph 1 shall cover services rendered by the Management Company for the UCITS sub-fund, including the expenses of the Custodian Bank, legally required printing, mailings, and publications associated with the UCITS sub-fund, and for annual report audits conducted by auditors of the Company.
3. The following expenses are not covered by Paragraph 1:
 - a) Expenses resulting from the purchase and sale of assets (transaction costs),
 - b) Customary bank custody fees, including the customary bank charges for the custody of foreign securities abroad and related taxes, if applicable,
 - c) Customary expenses related to day-to-day account management,
 - d) Expenses incurred in the assertion and enforcement of the legal claims of the UCITS sub-fund,
 - e) Expenses for providing information to investors of the UCITS sub-fund by means of a durable medium, with the exception of expenses for providing information in the case of fund mergers and with the exception of information on measures connected with violations of investment limits or errors in calculating the net asset value per share.

Such expenses may be charged to the UCITS sub-fund in addition to the management fee charged in accordance with Paragraph 1.

4. The Company has to publish in the annual report and in the semi-annual report the

amount of the issue premiums and redemption fees that have been charged to the UCITS sub-fund during the reporting period for the purchase and redemption of shares as defined in Section 9. When units are purchased that are managed, directly or indirectly, by the Management Company itself or by any other company with which the Management Company is affiliated through a significant direct or indirect equity interest, the Management Company or the other company may not levy issue premiums or redemption fees for the purchase or redemption. The Company publishes in the annual report and in the semi-annual report the fees charged as management fees for the units held in the UCITS sub-fund when such fees are charged by the Management Company, by another investment management company, a joint-stock investment company or another company with which the Management Company is affiliated through a significant direct or indirect equity interest, or by a foreign investment company, including its management company.

APPROPRIATION OF INCOME, TERM AND FINANCIAL YEAR

§ 15 Distribution

1. For distributing share classes, the Company distributes, net of costs, the interest, dividends and other income from investment fund shares received for account of the UCITS sub-fund, taking into account the appropriate income netting. Capital gains and other income - taking into account the appropriate income equalisation - can also be used for distributions.
2. The final distribution takes place within four months of the financial year-end. In addition, the Company may carry out interim distributions during the year.
3. The interim distribution amount is at the discretion of the Company. The Company is not obliged to distribute all distributable income pursuant to Paragraph 1 accumulated up to the date of the interim distribution; it may carry ordinary income forward to the next distribution date.
4. Interim distributions are intended to minimise any discrepancy between the performance of the UCITS sub-fund and that of the Underlying Index.
5. Distributable income pursuant to Paragraph 1 may be carried forward for distribution in subsequent financial years if the amount of the income carried forward does not exceed 15 percent of the respective value of the UCITS sub-fund at the end of the financial year. Income from short financial years may be carried forward in its entirety.
6. In the interests of maintaining equity, some income, or in exceptional cases, all income,

may be set aside for accumulation in the UCITS sub-fund.

7. If no share classes are created, the income will be distributed.

§ 16 Reinvestment

For reinvesting share classes, the Company invests the interest, dividends and other income of the UCITS sub-fund, taking into account the appropriate income netting, as well as the realised capital gains that have accrued for account of the sub-fund during the financial year in the UCITS sub-fund, net of costs.

§ 17 Financial year and accounting

1. The financial year of the UCITS sub-fund begins on 1 March of each calendar year and ends on the last day of February.
2. The company publishes an annual financial statement with a management report no later than four months after the end of the financial year in accordance with § 120 Para. 1, 2 and 6 Sentence 3 in conjunction with § 123 Para. 1 No. 1 KAGB.
3. The Company publishes a semi-annual report no later than two months after the end of the first half of the financial year in accordance with Section 122 Paragraph 1 Sentence 4 in conjunction with Section 103 and Section 107 Paragraph 1 Sentence 2 KAGB.

§ 18 Liquidation of the sub-fund

1. The Company may liquidate the UCITS sub-fund pursuant to Section 19 of the Articles of Incorporation. This liquidation resolution shall take effect six months after its publication in the Bundesanzeiger. The shareholders must be informed by the Company immediately by means of a durable medium as defined in Section 167 KAGB of the announcement of a termination in accordance with Sentence 2.
2. The Company must prepare a liquidation report for the period ending on the date on which its right to manage lapses pursuant to Section 117 Paragraph 8 Sentence 4, 100 Paragraph 1 KAGB; this liquidation report must fulfil the requirements of an annual report in accordance with Section 120 Paragraph 1.
3. Net liquidation proceeds not collected by shareholders upon completion of the liquidation proceedings may be deposited with an appropriate depository for the benefit of the entitled shareholders.

§ 19 Change of the external investment management company and the depository

1. The company may transfer the management and disposal rights over the company to another external investment management

company. The transfer is subject to the prior approval of BaFin.

2. The approved transfer shall be published in the Bundesanzeiger and in the annual financial statements or the semi-annual report. Investors must be informed immediately by means of a durable medium of the announcement of a transfer in accordance with sentence 1. The transfer shall take effect no earlier than three months after its publication in the Bundesanzeiger.
3. The company may change the depository for the UCITS sub-fund. The change must be approved by BaFin.

§ 20 Changes to the Investment Conditions

1. The Company is entitled to change the Investment Conditions.
2. Amendments to the Investment Conditions require the prior approval of BaFin.
3. All planned amendments shall be published in the Bundesanzeiger and, in addition, in a financial or daily newspaper with sufficient circulation or in the electronic information media designated in the Sales Prospectus. The planned changes and their effective dates must be stated in any publication made in accordance with Sentence 1 above. In the event of amendments to costs detrimental to investors as defined in Section 162 Paragraph 2 (11) KAGB, amendments to the investment principles of the UCITS Fund as defined in Section 163 Paragraph 3 KAGB or amendments related to significant investor rights, investors must be informed simultaneously with the publication pursuant to Sentence 1 of the significant contents of the proposed amendments to the Investment Conditions and the background thereto, as well as information on their rights pursuant to Section 163 Paragraph 3 KAGB by means of a durable medium and in an understandable way in accordance with Section 163 Paragraph 4 KAGB.
4. The amendments enter into force at the earliest on the day after their publication in the Bundesanzeiger; amendments to costs and to the investment principles, however, do not enter into force until three months after the corresponding publication. With the consent of the BaFin, an earlier date may be determined, insofar as this concerns a change in costs that benefits the investors.

§ 21 Place of performance

The place of performance is the registered office of the Company.

§ 22 Name

The rights of shareholders who acquired shares originally named "iShares STOXX Europe 600 Telecommunications (DE)" remain unaffected.

Investment Conditions

governing the legal relationship between the shareholders and

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, Munich, (hereinafter referred to as the "**Company**")

externally managed by

BlackRock Asset Management Deutschland AG, Munich, (hereinafter referred to as the "**Management Company**")

for the UCITS-compliant securities sub-fund

iShares STOXX Europe 600 Travel & Leisure UCITS ETF (DE), (hereinafter referred to as the "**UCITS sub-fund**")

These investment conditions are valid only in combination with the Articles of Incorporation of the Company.

INVESTMENT POLICIES AND RESTRICTIONS

§ 1 Assets and investment objective

The Company may acquire the following assets for the UCITS sub-fund:

- a) securities pursuant to Section 4 of these Investment Conditions,
- b) money market instruments pursuant to Section 5 of these Investment Conditions,
- c) bank accounts pursuant to Section 6 of these Investment Conditions,
- d) derivatives pursuant to Section 7 of these Investment Conditions,
- e) other investment instruments pursuant to Section 8 of these Investment Conditions,
- f) Investment fund units pursuant to Section 9 of these Investment Conditions

The purpose of the equity and equity index certificate selection for the UCITS sub-fund is to replicate the STOXX Europe 600 Travel & Leisure (price index) (hereinafter referred to as the "Underlying Index") while maintaining an appropriate diversification of risk.

§ 2 Depository

1. The Company shall appoint a credit institution as Custodian Bank for the UCITS sub-fund; the Custodian Bank shall act independently of the Company and exclusively in the interests of the shareholders.

2. The tasks and duties of the Custodian Bank are governed by the custodian agreement concluded with the Company, in accordance with the KAGB, the Articles of Incorporation and the Investment Conditions.
3. The Custodian Bank may outsource custodial tasks to another company (sub-custodian) pursuant to Section 73 KAGB. Please refer to the Sales Prospectus for details.
4. The Custodian Bank shall be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for the loss of a financial instrument pursuant to Section 72 Paragraph 1 Sentence 1 held in custody by the Custodian Bank or by a sub-custodian to whom the custody of financial instruments has been transferred according to Section 73 Paragraph 1 KAGB. The Custodian Bank is not liable if it can prove that the loss is due to external events whose consequences were unavoidable despite all reasonable countermeasures. Further claims arising out of the provisions of civil law on the basis of contracts or torts are not affected. The Custodian Bank shall also be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for all other losses that they incur if the Custodian Bank fails to meet its obligations under the provisions of the KAGB, whether negligently or intentionally. The Custodian Bank's liability remains unaffected by any transfer of custody tasks referred to in Paragraph 3, sentence 1.

§ 3 Investment principles

1. The Company may only acquire such assets on behalf of the UCITS sub-fund that are designed to replicate a certain security index ("Security Index") approved by the Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin) while still maintaining appropriate diversification of risk. The Security Index is approved specifically if
 - a) its composition is sufficiently diversified,
 - b) it represents an adequate benchmark for the market to which it relates; and
 - c) it has been published in an appropriate manner.
2. The UCITS sub-fund may only acquire securities included in the Security Index or introduced to it following a change thereto ("Index Securities"), securities that are issued on these Index Securities or on the Underlying Index, and derivatives on securities, money market instruments, investment fund units pursuant to Section 9, recognised financial indices, interest rates, foreign exchange rates or currencies in which the UCITS sub-fund may invest as provided for in the Investment Conditions. When replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in Index Securities over investments in any other assets mentioned in Sentence 1 above that are approved for use in

replicating indices. The Underlying Index may be replicated using securities, derivatives that indirectly replicate the index only for purposes of maintaining the investment restrictions listed in Section 10 Paragraph 7.

3. In order to replicate the Security Index, the duplication percentage may not be less than 95 percent of the total assets in the UCITS sub-fund as defined in the first sentence of Paragraph 2 above. Derivatives shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach provided for in the "ordinance on risk management and risk measurement in the use of derivatives, securities lending and repurchase agreements in investment funds" ("DerivateV") issued pursuant to Section 197 Paragraph 3 of the German Investment Code (KAGB).
4. The duplication percentage reflects the proportion of securities and derivatives according to Section 197 Paragraph 1 KAGB in the UCITS Fund that corresponds with the Security Index in terms of weighting. The duplication percentage is defined as being equal to 100 less one half of the sum of the differences between the weighting of the securities in the index and the applicable weighting of the securities included in the total assets of the UCITS sub-fund, totalled for all securities and applicable values of derivatives according to Section 197 Paragraph 1 KAGB in the UCITS sub-fund and for all securities in the index.

$$DG = 100\% - \frac{\sum_{i=1}^n |W_i^I - W_i^F|}{2}$$

DG	=	duplication percentage in %
n	=	number of share types in the Fund and index (upper summation limit)
I	=	index
F	=	Fund
W_i^I	=	weighting of equity i in index I in %
W_i^F	=	weighting of equity i to be included in the equity portion of the Fund in %
$\sum$	=	sum symbol
		summation index; represents the individual share
i	=	types of i = 1 (lower summations limit) bis i = n (upper summation limit)

§ 4 Securities

1. The Company may only acquire securities on behalf of the UCITS sub-fund if:
 - a) they are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) they are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in one of these states, provided the choice of such stock exchange or regulated market is permitted by BaFin,⁴¹
 - c) their terms of issue require application for admission to official trading on one of the stock exchanges permitted under a) and b) or for inclusion in one of the regulated markets permitted under a) and b), and admission or inclusion on these markets takes place within one year after their issue,
 - d) they are equities to which the UCITS sub-fund is entitled in an issuer's capital increase from company assets;
 - e) they are acquired in exercising subscription rights belonging to the UCITS sub-fund,
 - f) they are financial instruments that meet the criteria listed in Section 193 Paragraph 1 Sentence 1 No. 8 KAGB.
2. Securities may only be acquired in accordance with Paragraph 1 letters a) to c) if additionally the requirements of Section 193 Paragraph 1 Sentence 2 KAGB are met. Subscription rights arising from securities which may be acquired under this Section, Section 4, may also be acquired.

§ 5 Money market instruments

1. The Company may acquire on behalf of the UCITS sub-fund instruments normally dealt in on the money market and interest-bearing securities with a residual term of no more than 397 days at the time of their acquisition or whose interest rate, in accordance with the issue conditions, is regularly – and at least once each 397-day period – adjusted to reflect current market conditions or whose risk profile corresponds to the risk profile of this type of security (money market instruments). The money market instruments may also be denominated in foreign currency. Money

⁴¹ The list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB is published on the BaFin website. www.bafin.de

market instruments may only be acquired if they

- a) are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market there, provided the choice of such stock exchange or regulated market is permitted by BaFin,⁴²
 - c) are issued or guaranteed by the European Union, the German Federal Government, a special-purpose fund of the German Federal Government, a German federal state, another member state or another central, regional or local authority or by the central bank of a European Union member state, the European Central Bank or the European Investment Bank, a non-EU member state or, in case of a federal state, by one of the members making up the federation, or by a public international body to which one or more EU member states belong,
 - d) are issued by a company whose securities are traded on the markets referred to in a) and b),
 - e) if they are issued or guaranteed by a credit institution that is subject to supervision that meets the criteria defined by European Union law, or a credit institution that is subject to the prudential rules considered by BaFin as equivalent to those laid down in European Union law, and which complies with such rules, or
 - f) are issued by other bodies and comply with the requirements of Section 194 Paragraph 1 Sentence 1 No. 6 KAGB.
2. Money market instruments as defined in Paragraph 1 may only be acquired if they comply with the requirements of Section 194 Paragraphs 2 and 3 KAGB.

§ 6 Bank accounts

The Company may also hold, on behalf of the UCITS sub-fund, bank accounts containing deposits with a maturity not exceeding twelve months. The accounts, which must be in the form of blocked accounts, may be maintained at a credit institution that has its registered office in a member state of the European Union or another state that is a party to the Agreement on the European Economic Area.

These accounts may also be maintained by a credit institution that has its registered office in a non-member state, provided that it is subject to the prudential rules considered by BaFin as equivalent to those laid down in the law of the European Union. The bank accounts may also be denominated in foreign currency.

§ 7 Derivatives

1. Unless specified otherwise in Paragraph 8, in managing the UCITS sub-fund, the Company may acquire derivatives in accordance with Section 197 Paragraph 1 Sentence 1 KAGB and financial instruments with derivative components in accordance with Section 197 Paragraph 1 Sentence 2 KAGB. It may – depending on the type and extent of derivatives and financial instruments with derivative components used – use either the simple or qualified approach within the meaning of DerivateV provided for in Section 197 Paragraph 3 KAGB when calculating the market risk limits established under Section 197 Paragraph 2 KAGB on the use of derivatives and financial instruments with derivative components; details are discussed in the Sales Prospectus.
2. If the Company uses the simple approach, it may only make regular use of the following basic forms of derivatives, financial instruments with a derivative component or combinations of these derivatives, financial instruments with a derivative component or combinations of underlying securities permitted under Section 197 Paragraph 1 Sentence 1 KAGB in the UCITS sub-fund. Complex derivatives based on permitted underlying securities pursuant to Section 197 Paragraph 1 sentence 1 KAGB may only be used for a negligible proportion. The weighted market risk attributable to the UCITS sub-fund, to be calculated as provided for in Section 16 DerivateV, may at no time exceed the value of the UCITS sub-fund. The basic forms of derivatives are:
 - a) Forward contracts on the underlying values pursuant to Section 197 Paragraph 1 KAGB with the exception of investment units pursuant to Section 196 KAGB;
 - b) Options or warrants on the underlying securities pursuant to Section 197 Paragraph 1 KAGB with the exception of investment fund units pursuant to Section 196 KAGB and on futures contracts as defined in a), if they have the following characteristics:
 - aa) exercising is possible either during the entire term or at the end of the term and
 - bb) at the time of being exercised, the option value is linearly based on the positive or negative difference between the underlying price and the

⁴² The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

market price of the underlying security and becomes nil if the difference has the other leading sign;

- c) Interest rate swaps, currency swaps or interest rate/currency swaps;
 - d) Options on swaps according to letter c), to the extent that they display the characteristics described in letter b) under letters aa) and bb) (swaptions);
 - e) Credit default swaps related to single underlying instruments (Single Name Credit Default Swaps).
3. If the Company uses the qualified approach, it may invest, subject to a suitable risk management system, in any financial instruments with a derivative component or derivatives that are derived from an underlying security that is permitted under Section 197 Paragraph 1 Sentence 1 KAGB.
- The potential risk amount for the market risk ("risk exposure") attributable to the UCITS sub-fund may at no time exceed two times the potential risk amount for the market risk of the associated benchmark assets pursuant to Section 9 DerivateV. Alternatively, the risk exposure may at no time exceed 20 percent of the value of the UCITS sub-fund.
4. In these transactions, the Company may under no circumstances deviate from the investment principles and limits listed in the Articles of Incorporation, these Investment Conditions or in the Sales Prospectus.
5. The Company will use the derivatives and financial instruments with a derivative component for the purpose of efficient portfolio management and to produce additional returns, when and to the extent that it considers this to be in the interests of the investors.
- No transactions with derivatives may be undertaken for purposes of hedging.
6. In calculating the market risk limit for the use of derivatives and financial instruments with a derivative component, the company may at any time switch between the simple and the qualified approach pursuant to § 6 Sentence 3 DerivateV. The change does not require the approval of BaFin. However, the company must report the change to BaFin without delay and announce it in the next semi-annual or annual report.
7. The Company will observe the guidelines of DerivateV when derivatives and financial instruments with derivative components are used.
8. In derogation of Paragraph 1, the Company may – subject to a suitable risk management system – only use futures contracts that are based on the Underlying Index and futures contracts that are based on individual stocks of the Underlying Index as well as warrants that are based on the Underlying Index and warrants that are based on individual stocks of the Underlying Index for the UCITS sub-fund.

§ 8 Other investment instruments

The Company may on behalf of the UCITS sub-fund acquire other investment instruments up to 10 percent of the value of the UCITS sub-fund pursuant to Section 198 KAGB.

§ 9 Investment fund units

1. The Company may, on behalf of the UCITS sub-fund, acquire units in investment funds pursuant to Directive 2009/65/EC (UCITS). Units in other domestic investment funds and joint-stock investment companies with variable capital and units in EU alternative investment funds and foreign open-ended alternative investment funds may be acquired if they meet the requirements of § 196 Para. 1 sentence 2 KAGB.
2. For account of the UCITS sub-fund, the company may only acquire units of domestic investment funds and joint-stock investment companies with variable capital, open-ended EU AIF and foreign open-ended AIF if, in accordance with the investment conditions or the Articles of Incorporation of the investment management company, the joint-stock investment company with variable capital, the EU investment fund, the EU management company, the foreign AIF or the foreign AIF management company, a total not exceeding 10 percent of the value of their assets may be invested in units of other domestic investment funds, joint-stock investment companies with variable capital, open-ended EU investment funds or foreign open-ended AIFs.

§ 10 Issuer and investment limits

1. The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and these Investment Conditions.
2. The Company may invest up to 20 percent of the assets of the UCITS sub-fund in securities from a single issuer (debtor).
3. The limit specified in Paragraph 2 may be increased to up to 35 percent of the value of the UCITS sub-fund for securities from a single issuer. An investment up to the limit specified in Sentence 1 above is permissible only for one individual issuer (debtor).
4. For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.
5. The Company may invest no more than 5 percent of the value of the UCITS sub-fund in bank accounts and money market instruments as defined in Sections 5 and 6.

6. The Company may invest no more than 10 percent of the value of the UCITS sub-fund in units of investment funds pursuant to Section 3 Paragraph 2 and Section 9. When doing so, the Company may acquire on behalf of the UCITS sub-fund no more than 25 percent of issued units of another open-ended domestic, EU or foreign investment fund that invests in assets in accordance with the principle of risk diversification as defined in Sections 192 to 198 KAGB.
7. A minimum of 95 percent of the UCITS sub-fund must be invested in assets based on the Security Index pursuant to Section 3 Paragraph 2 Sentence 1. At least 85 percent of the value of the UCITS sub-fund shall be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds.

§ 11 Loans

Short-term borrowing by the Company on the account of the UCITS sub-fund of amounts of up to 10 percent of the value of the UCITS sub-fund is permissible if the terms of the borrowing are at market rates and the Custodian Bank approves the borrowing.

SHARE CLASSES

§ 12 Share classes

1. Share classes as defined in Section 20 of the Articles of Incorporation may be formed for the UCITS sub-fund; these differ with respect to appropriation of income, issue premiums, redemption fees, management fees, minimum investment amount, currency, net asset value per share, or a combination of these characteristics. The creation of share classes is permitted at any time and is at the discretion of the Company.
2. The net asset value per share is calculated separately for each share class by allocating the costs of launching new share classes, the distributions (including any taxes that may be payable from the fund's assets), the management fee including income adjustment if applicable, exclusively to this share class.
3. The existing share classes are listed individually in the Sales Prospectus and in the annual and semi-annual reports. The structural characteristics defining the share classes (appropriation of income, issue premiums, redemption fees, management fees, currency, minimum investment amount, or a combination of these characteristics) are described in detail in the Sales Prospectus and in the annual and semi-annual reports.

ISSUE AND REDEMPTION OF SHARES/EXPENSES

§ 13 Issue and redemption of shares, fees

1. The Company indicates the issue premiums and redemption fees charged for each share class in the Sales Prospectus, the Key Information Document and in the annual and semi-annual reports.
2. For the calculation of share issue and redemption prices, the market values of the assets (net asset value) belonging to the UCITS sub-fund less borrowings undertaken and other liabilities (net asset value) is determined and divided by the number of shares in circulation (share value). If special share classes for the UCITS sub-fund are introduced in accordance with Section 12, then the net asset value per share and the issue and redemption prices for each share class shall be determined separately. The assets are valued in accordance with Sections 168 and 169 KAGB and the German Capital Investment Accounting and Valuation Ordinance ("KARBV").
3. The issue price corresponds to the net asset value per share at the issue date, plus any issue premium pursuant to Paragraph 4. The redemption price corresponds to the net asset value per share at the redemption date, plus any redemption fees pursuant to Paragraph 5.
4. Depending on the share class, the issue premium per share is up to 2 percent of the net asset value per share. The Company is free to charge a lower issue premium for one or more share classes, or all of them.
5. Depending on the share class, the redemption fee per share is up to 1 percent of the net asset value per share. The Company is free to charge a lower redemption fee for one or more share classes, or all of them. The Management Company shall receive the redemption fee.
6. The settlement date for issue and redemption orders is no later than the next valuation date following the receipt of the issue or redemption order. If the Company suspends the redemption of shares in accordance with Section 11 paragraph 6 of the Articles of Incorporation, the settlement date for such redemption orders is the valuation day following the resumption.
7. Issue and redemption prices will be determined on each exchange trading day. On public holidays under the KAGB that are stock exchange days and 24 and 31 December every year, the Company and the Custodian Bank may interrupt their daily price calculation; details are discussed in the Sales Prospectus.
8. The Company applies the Dual Pricing method when determining the issue and redemption prices. This means that, deviating from paragraph 2 sentence 1, a modified net asset value per share must be calculated in addition to the net asset value. For this purpose, for each issue and redemption of shares, the net asset value per share is adjusted by a factor

that reflects liquidity costs. The Company explains the procedure used to calculate the modified net asset value per share in the Sales Prospectus.

9. The Company may charge a redemption fee (Rückgabegebühr). The redemption fee is calculated on the basis of gross redemptions and amounts to up to 2 per cent of gross redemptions. The Sales Prospectus contains a description of the option and the conditions for a redemption fee.

§ 14 Expenses and services included

1. For managing the UCITS sub-fund, the Management Company receives from the assets of the UCITS sub-fund a fee of up to 0.45 percent per annum depending on the share class, based on the net asset value of the UCITS sub-fund determined each exchange trading day. The Management Company is free to charge a lower management fee for one or more share classes, or all of them. The management fee will be paid in advance in monthly instalments out of the UCITS sub-fund. The Company indicates the management fee charged for each share class in the Sales Prospectus and in the annual and semi-annual reports.
2. The management fee specified in Paragraph 1 shall cover services rendered by the Management Company for the UCITS sub-fund, including the expenses of the Custodian Bank, legally required printing, mailings, and publications associated with the UCITS sub-fund, and for annual report audits conducted by auditors of the Company.
3. The following expenses are not covered by Paragraph 1:
 - a) Expenses resulting from the purchase and sale of assets (transaction costs),
 - b) Customary bank custody fees, including the customary bank charges for the custody of foreign securities abroad and related taxes, if applicable,
 - c) Customary expenses related to day-to-day account management,
 - d) Expenses incurred in the assertion and enforcement of the legal claims of the UCITS sub-fund,
 - e) Expenses for providing information to investors of the UCITS sub-fund by means of a durable medium, with the exception of expenses for providing information in the case of fund mergers and with the exception of information on measures connected with violations of investment limits or errors in calculating the net asset value per share.

Such expenses may be charged to the UCITS sub-fund in addition to the management fee charged in accordance with Paragraph 1.

4. The Company has to publish in the annual report and in the semi-annual report the

amount of the issue premiums and redemption fees that have been charged to the UCITS sub-fund during the reporting period for the purchase and redemption of shares as defined in Section 9. When units are purchased that are managed, directly or indirectly, by the Management Company itself or by any other company with which the Management Company is affiliated through a significant direct or indirect equity interest, the Management Company or the other company may not levy issue premiums or redemption fees for the purchase or redemption. The Company publishes in the annual report and in the semi-annual report the fees charged as management fees for the units held in the UCITS sub-fund when such fees are charged by the Management Company, by another investment management company, a joint-stock investment company or another company with which the Management Company is affiliated through a significant direct or indirect equity interest, or by a foreign investment company, including its management company.

APPROPRIATION OF INCOME, TERM AND FINANCIAL YEAR

§ 15 Distribution

1. For distributing share classes, the Company distributes, net of costs, the interest, dividends and other income from investment fund shares received for account of the UCITS sub-fund, taking into account the appropriate income netting. Capital gains and other income - taking into account the appropriate income equalisation - can also be used for distributions.
2. The final distribution takes place within four months of the financial year-end. In addition, the Company may carry out interim distributions during the year.
3. The interim distribution amount is at the discretion of the Company. The Company is not obliged to distribute all distributable income pursuant to Paragraph 1 accumulated up to the date of the interim distribution; it may carry ordinary income forward to the next distribution date.
4. Interim distributions are intended to minimise any discrepancy between the performance of the UCITS sub-fund and that of the Underlying Index.
5. Distributable income pursuant to Paragraph 1 may be carried forward for distribution in subsequent financial years if the amount of the income carried forward does not exceed 15 percent of the respective value of the UCITS sub-fund at the end of the financial year. Income from short financial years may be carried forward in its entirety.
6. In the interests of maintaining equity, some income, or in exceptional cases, all income,

may be set aside for accumulation in the UCITS sub-fund.

7. If no share classes are created, the income will be distributed.

§ 16 Reinvestment

For reinvesting share classes, the Company invests the interest, dividends and other income of the UCITS sub-fund, taking into account the appropriate income netting, as well as the realised capital gains that have accrued for account of the sub-fund during the financial year in the UCITS sub-fund, net of costs.

§ 17 Financial year and accounting

1. The financial year of the UCITS sub-fund begins on 1 March of each calendar year and ends on the last day of February.
2. The company publishes an annual financial statement with a management report no later than four months after the end of the financial year in accordance with § 120 Para. 1, 2 and 6 Sentence 3 in conjunction with § 123 Para. 1 No. 1 KAGB.
3. The Company publishes a semi-annual report no later than two months after the end of the first half of the financial year in accordance with Section 122 Paragraph 1 Sentence 4 in conjunction with Section 103 and Section 107 Paragraph 1 Sentence 2 KAGB.

§ 18 Liquidation of the sub-fund

1. The Company may liquidate the UCITS sub-fund pursuant to Section 19 of the Articles of Incorporation. This liquidation resolution shall take effect six months after its publication in the Bundesanzeiger. The shareholders must be informed by the Company immediately by means of a durable medium as defined in Section 167 KAGB of the announcement of a termination in accordance with Sentence 2.
2. The Company must prepare a liquidation report for the period ending on the date on which its right to manage lapses pursuant to Section 117 Paragraph 8 Sentence 4, 100 Paragraph 1 KAGB; this liquidation report must fulfil the requirements of an annual report in accordance with Section 120 Paragraph 1.
3. Net liquidation proceeds not collected by shareholders upon completion of the liquidation proceedings may be deposited with an appropriate depository for the benefit of the entitled shareholders.

§ 19 Change of the external investment management company and the depository

1. The company may transfer the management and disposal rights over the company to another external investment management

company. The transfer is subject to the prior approval of BaFin.

2. The approved transfer shall be published in the Bundesanzeiger and in the annual financial statements or the semi-annual report. Investors must be informed immediately by means of a durable medium of the announcement of a transfer in accordance with sentence 1. The transfer shall take effect no earlier than three months after its publication in the Bundesanzeiger.
3. The company may change the depository for the UCITS sub-fund. The change must be approved by BaFin.

§ 20 Changes to the Investment Conditions

1. The Company is entitled to change the Investment Conditions.
2. Amendments to the Investment Conditions require the prior approval of BaFin.
3. All planned amendments shall be published in the Bundesanzeiger and, in addition, in a financial or daily newspaper with sufficient circulation or in the electronic information media designated in the Sales Prospectus. The planned changes and their effective dates must be stated in any publication made in accordance with Sentence 1 above. In the event of amendments to costs detrimental to investors as defined in Section 162 Paragraph 2 (11) KAGB, amendments to the investment principles of the UCITS Fund as defined in Section 163 Paragraph 3 KAGB or amendments related to significant investor rights, investors must be informed simultaneously with the publication pursuant to Sentence 1 of the significant contents of the proposed amendments to the Investment Conditions and the background thereto, as well as information on their rights pursuant to Section 163 Paragraph 3 KAGB by means of a durable medium and in an understandable way in accordance with Section 163 Paragraph 4 KAGB.
4. The amendments enter into force at the earliest on the day after their publication in the Bundesanzeiger; amendments to costs and to the investment principles, however, do not enter into force until three months after the corresponding publication. With the consent of the BaFin, an earlier date may be determined, insofar as this concerns a change in costs that benefits the investors.

§ 21 Place of performance

The place of performance is the registered office of the Company.

§ 22 Name

The rights of shareholders who acquired shares originally named "iShares STOXX Europe 600 Travel & Leisure (DE)" remain unaffected.

Investment Conditions

governing the legal relationship between the shareholders and

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, Munich, (hereinafter referred to as the "**Company**")

externally managed by

BlackRock Asset Management Deutschland AG, Munich, (hereinafter referred to as the "**Management Company**")

for the UCITS-compliant securities sub-fund

iShares STOXX Europe 600 Utilities UCITS ETF (DE), (hereinafter referred to as the "**UCITS sub-fund**")

These investment conditions are valid only in combination with the Articles of Incorporation of the Company.

INVESTMENT POLICIES AND RESTRICTIONS

§ 1 Assets and investment objective

The Company may acquire the following assets for the UCITS sub-fund:

- a) securities pursuant to Section 4 of these Investment Conditions,
- b) money market instruments pursuant to Section 5 of these Investment Conditions,
- c) bank accounts pursuant to Section 6 of these Investment Conditions,
- d) derivatives pursuant to Section 7 of these Investment Conditions,
- e) other investment instruments pursuant to Section 8 of these Investment Conditions,
- f) Investment fund units pursuant to Section 9 of these Investment Conditions

The purpose of the equity and equity index certificate selection for the UCITS sub-fund is to replicate the STOXX Europe 600 Utilities (price index) (hereinafter referred to as the "Underlying Index") while maintaining an appropriate diversification of risk.

§ 2 Depository

1. The Company shall appoint a credit institution as Custodian Bank for the UCITS sub-fund; the Custodian Bank shall act independently of the Company and exclusively in the interests of the shareholders.

2. The tasks and duties of the Custodian Bank are governed by the custodian agreement concluded with the Company, in accordance with the KAGB, the Articles of Incorporation and the Investment Conditions.
3. The Custodian Bank may outsource custodial tasks to another company (sub-custodian) pursuant to Section 73 KAGB. Please refer to the Sales Prospectus for details.
4. The Custodian Bank shall be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for the loss of a financial instrument pursuant to Section 72 Paragraph 1 Sentence 1 held in custody by the Custodian Bank or by a sub-custodian to whom the custody of financial instruments has been transferred according to Section 73 Paragraph 1 KAGB. The Custodian Bank is not liable if it can prove that the loss is due to external events whose consequences were unavoidable despite all reasonable countermeasures. Further claims arising out of the provisions of civil law on the basis of contracts or torts are not affected. The Custodian Bank shall also be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for all other losses that they incur if the Custodian Bank fails to meet its obligations under the provisions of the KAGB, whether negligently or intentionally. The Custodian Bank's liability remains unaffected by any transfer of custody tasks referred to in Paragraph 3, sentence 1.

§ 3 Investment principles

1. The Company may only acquire such assets on behalf of the UCITS sub-fund that are designed to replicate a certain security index ("Security Index") approved by the Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin) while still maintaining appropriate diversification of risk. The Security Index is approved specifically if
 - a) its composition is sufficiently diversified,
 - b) it represents an adequate benchmark for the market to which it relates; and
 - c) it has been published in an appropriate manner.
2. The UCITS sub-fund may only acquire securities included in the Security Index or introduced to it following a change thereto ("Index Securities"), securities that are issued on these Index Securities or on the Underlying Index, and derivatives on securities, money market instruments, investment fund units pursuant to Section 9, recognised financial indices, interest rates, foreign exchange rates or currencies in which the UCITS sub-fund may invest as provided for in the Investment Conditions. When replicating the Underlying Index, within the meaning of a direct duplication of the index, priority shall be given to investments in Index Securities over investments in any other assets mentioned in Sentence 1 above that are approved for use in

replicating indices. The Underlying Index may be replicated using securities, derivatives that indirectly replicate the index only for purposes of maintaining the investment restrictions listed in Section 10 Paragraph 7.

3. In order to replicate the Security Index, the duplication percentage may not be less than 95 percent of the total assets in the UCITS sub-fund as defined in the first sentence of Paragraph 2 above. Derivatives shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach provided for in the "ordinance on risk management and risk measurement in the use of derivatives, securities lending and repurchase agreements in investment funds" ("DerivateV") issued pursuant to Section 197 Paragraph 3 of the German Investment Code (KAGB).
4. The duplication percentage reflects the proportion of securities and derivatives according to Section 197 Paragraph 1 KAGB in the UCITS Fund that corresponds with the Security Index in terms of weighting. The duplication percentage is defined as being equal to 100 less one half of the sum of the differences between the weighting of the securities in the index and the applicable weighting of the securities included in the total assets of the UCITS sub-fund, totalled for all securities and applicable values of derivatives according to Section 197 Paragraph 1 KAGB in the UCITS sub-fund and for all securities in the index.

$$DG = 100\% - \frac{\sum_{i=1}^n |W_i^I - W_i^F|}{2}$$

DG	=	duplication percentage in %
n	=	number of share types in the Fund and index (upper summation limit)
I	=	index
F	=	Fund
W_i^I	=	weighting of equity i in index I in %
W_i^F	=	weighting of equity i to be included in the equity portion of the Fund in %
$\sum$	=	sum symbol
i	=	summation index; represents the individual share types of i = 1 (lower summations limit) bis i = n (upper summation limit)

§ 4 Securities

1. The Company may only acquire securities on behalf of the UCITS sub-fund if:
 - a) they are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) they are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in one of these states, provided the choice of such stock exchange or regulated market is permitted by BaFin,⁴³
 - c) their terms of issue require application for admission to official trading on one of the stock exchanges permitted under a) and b) or for inclusion in one of the regulated markets permitted under a) and b), and admission or inclusion on these markets takes place within one year after their issue,
 - d) they are equities to which the UCITS sub-fund is entitled in an issuer's capital increase from company assets;
 - e) they are acquired in exercising subscription rights belonging to the UCITS sub-fund,
 - f) they are financial instruments that meet the criteria listed in Section 193 Paragraph 1 Sentence 1 No. 8 KAGB.
2. Securities may only be acquired in accordance with Paragraph 1 letters a) to c) if additionally the requirements of Section 193 Paragraph 1 Sentence 2 KAGB are met. Subscription rights arising from securities which may be acquired under this Section, Section 4, may also be acquired.

§ 5 Money market instruments

1. The Company may acquire on behalf of the UCITS sub-fund instruments normally dealt in on the money market and interest-bearing securities with a residual term of no more than 397 days at the time of their acquisition or whose interest rate, in accordance with the issue conditions, is regularly – and at least once each 397-day period – adjusted to reflect current market conditions or whose risk profile corresponds to the risk profile of this type of security (money market instruments). The money market instruments may also be denominated in foreign currency. Money

⁴³ The list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB is published on the BaFin website. www.bafin.de

market instruments may only be acquired if they

- a) are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market there, provided the choice of such stock exchange or regulated market is permitted by BaFin,⁴⁴
 - c) are issued or guaranteed by the European Union, the German Federal Government, a special-purpose fund of the German Federal Government, a German federal state, another member state or another central, regional or local authority or by the central bank of a European Union member state, the European Central Bank or the European Investment Bank, a non-EU member state or, in case of a federal state, by one of the members making up the federation, or by a public international body to which one or more EU member states belong,
 - d) are issued by a company whose securities are traded on the markets referred to in a) and b),
 - e) if they are issued or guaranteed by a credit institution that is subject to supervision that meets the criteria defined by European Union law, or a credit institution that is subject to the prudential rules considered by BaFin as equivalent to those laid down in European Union law, and which complies with such rules, or
 - f) are issued by other bodies and comply with the requirements of Section 194 Paragraph 1 Sentence 1 No. 6 KAGB.
2. Money market instruments as defined in Paragraph 1 may only be acquired if they comply with the requirements of Section 194 Paragraphs 2 and 3 KAGB.

§ 6 Bank accounts

The Company may also hold, on behalf of the UCITS sub-fund, bank accounts containing deposits with a maturity not exceeding twelve months. The accounts, which must be in the form of blocked accounts, may be maintained at a credit institution that has its registered office in a member state of the European Union or another state that is a party to the Agreement on the European Economic Area.

These accounts may also be maintained by a credit institution that has its registered office in a non-member state, provided that it is subject to the prudential rules considered by BaFin as equivalent to those laid down in the law of the European Union. The bank accounts may also be denominated in foreign currency.

§ 7 Derivatives

1. Unless specified otherwise in Paragraph 8, in managing the UCITS sub-fund, the Company may acquire derivatives in accordance with Section 197 Paragraph 1 Sentence 1 KAGB and financial instruments with derivative components in accordance with Section 197 Paragraph 1 Sentence 2 KAGB. It may – depending on the type and extent of derivatives and financial instruments with derivative components used – use either the simple or qualified approach within the meaning of DerivateV provided for in Section 197 Paragraph 3 KAGB when calculating the market risk limits established under Section 197 Paragraph 2 KAGB on the use of derivatives and financial instruments with derivative components; details are discussed in the Sales Prospectus.
2. If the Company uses the simple approach, it may only make regular use of the following basic forms of derivatives, financial instruments with a derivative component or combinations of these derivatives, financial instruments with a derivative component or combinations of underlying securities permitted under Section 197 Paragraph 1 Sentence 1 KAGB in the UCITS sub-fund. Complex derivatives based on permitted underlying securities pursuant to Section 197 Paragraph 1 sentence 1 KAGB may only be used for a negligible proportion. The weighted market risk attributable to the UCITS sub-fund, to be calculated as provided for in Section 16 DerivateV, may at no time exceed the value of the UCITS sub-fund. The basic forms of derivatives are:
 - a) Forward contracts on the underlying values pursuant to Section 197 Paragraph 1 KAGB with the exception of investment units pursuant to Section 196 KAGB;
 - b) Options or warrants on the underlying securities pursuant to Section 197 Paragraph 1 KAGB with the exception of investment fund units pursuant to Section 196 KAGB and on futures contracts as defined in a), if they have the following characteristics:
 - aa) exercising is possible either during the entire term or at the end of the term and
 - bb) at the time of being exercised, the option value is linearly based on the positive or negative difference between the underlying price and the

⁴⁴ The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

market price of the underlying security and becomes nil if the difference has the other leading sign;

- c) Interest rate swaps, currency swaps or interest rate/currency swaps;
 - d) Options on swaps according to letter c), to the extent that they display the characteristics described in letter b) under letters aa) and bb) (swaptions);
 - e) Credit default swaps related to single underlying instruments (Single Name Credit Default Swaps).
3. If the Company uses the qualified approach, it may invest, subject to a suitable risk management system, in any financial instruments with a derivative component or derivatives that are derived from an underlying security that is permitted under Section 197 Paragraph 1 Sentence 1 KAGB.
- The potential risk amount for the market risk ("risk exposure") attributable to the UCITS sub-fund may at no time exceed two times the potential risk amount for the market risk of the associated benchmark assets pursuant to Section 9 DerivateV. Alternatively, the risk exposure may at no time exceed 20 percent of the value of the UCITS sub-fund.
4. In these transactions, the Company may under no circumstances deviate from the investment principles and limits listed in the Articles of Incorporation, these Investment Conditions or in the Sales Prospectus.
5. The Company will use the derivatives and financial instruments with a derivative component for the purpose of efficient portfolio management and to produce additional returns, when and to the extent that it considers this to be in the interests of the investors.
- No transactions with derivatives may be undertaken for purposes of hedging.
6. In calculating the market risk limit for the use of derivatives and financial instruments with a derivative component, the company may at any time switch between the simple and the qualified approach pursuant to § 6 Sentence 3 DerivateV. The change does not require the approval of BaFin. However, the company must report the change to BaFin without delay and announce it in the next semi-annual or annual report.
7. The Company will observe the guidelines of DerivateV when derivatives and financial instruments with derivative components are used.
8. In derogation of Paragraph 1, the Company may – subject to a suitable risk management system – only use futures contracts that are based on the Underlying Index and futures contracts that are based on individual stocks of the Underlying Index as well as warrants that are based on the Underlying Index and warrants that are based on individual stocks of the Underlying Index for the UCITS sub-fund.

§ 8 Other investment instruments

The Company may on behalf of the UCITS sub-fund acquire other investment instruments up to 10 percent of the value of the UCITS sub-fund pursuant to Section 198 KAGB.

§ 9 Investment fund units

1. The Company may, on behalf of the UCITS sub-fund, acquire units in investment funds pursuant to Directive 2009/65/EC (UCITS). Units in other domestic investment funds and joint-stock investment companies with variable capital and units in EU alternative investment funds and foreign open-ended alternative investment funds may be acquired if they meet the requirements of § 196 Para. 1 sentence 2 KAGB.
2. For account of the UCITS sub-fund, the company may only acquire units of domestic investment funds and joint-stock investment companies with variable capital, open-ended EU AIF and foreign open-ended AIF if, in accordance with the investment conditions or the Articles of Incorporation of the investment management company, the joint-stock investment company with variable capital, the EU investment fund, the EU management company, the foreign AIF or the foreign AIF management company, a total not exceeding 10 percent of the value of their assets may be invested in units of other domestic investment funds, joint-stock investment companies with variable capital, open-ended EU investment funds or foreign open-ended AIFs.

§ 10 Issuer and investment limits

1. The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and these Investment Conditions.
2. The Company may invest up to 20 percent of the assets of the UCITS sub-fund in securities from a single issuer (debtor).
3. The limit specified in Paragraph 2 may be increased to up to 35 percent of the value of the UCITS sub-fund for securities from a single issuer. An investment up to the limit specified in Sentence 1 above is permissible only for one individual issuer (debtor).
4. For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.
5. The Company may invest no more than 5 percent of the value of the UCITS sub-fund in bank accounts and money market instruments as defined in Sections 5 and 6.

6. The Company may invest no more than 10 percent of the value of the UCITS sub-fund in units of investment funds pursuant to Section 3 Paragraph 2 and Section 9. When doing so, the Company may acquire on behalf of the UCITS sub-fund no more than 25 percent of issued units of another open-ended domestic, EU or foreign investment fund that invests in assets in accordance with the principle of risk diversification as defined in Sections 192 to 198 KAGB.
7. A minimum of 95 percent of the UCITS sub-fund must be invested in assets based on the Security Index pursuant to Section 3 Paragraph 2 Sentence 1. At least 70 percent of the value of the UCITS sub-fund shall be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds.

§ 11 Loans

Short-term borrowing by the Company on the account of the UCITS sub-fund of amounts of up to 10 percent of the value of the UCITS sub-fund is permissible if the terms of the borrowing are at market rates and the Custodian Bank approves the borrowing.

SHARE CLASSES

§ 12 Share classes

1. Share classes as defined in Section 20 of the Articles of Incorporation may be formed for the UCITS sub-fund; these differ with respect to appropriation of income, issue premiums, redemption fees, management fees, minimum investment amount, currency, net asset value per share, or a combination of these characteristics. The creation of share classes is permitted at any time and is at the discretion of the Company.
2. The net asset value per share is calculated separately for each share class by allocating the costs of launching new share classes, the distributions (including any taxes that may be payable from the fund's assets), the management fee including income adjustment if applicable, exclusively to this share class.
3. The existing share classes are listed individually in the Sales Prospectus and in the annual and semi-annual reports. The structural characteristics defining the share classes (appropriation of income, issue premiums, redemption fees, management fees, currency, minimum investment amount, or a combination of these characteristics) are described in detail in the Sales Prospectus and in the annual and semi-annual reports.

ISSUE AND REDEMPTION OF SHARES/EXPENSES

§ 13 Issue and redemption of shares, fees

1. The Company indicates the issue premiums and redemption fees charged for each share class in the Sales Prospectus, the Key Information Document and in the annual and semi-annual reports.
2. For the calculation of share issue and redemption prices, the market values of the assets (net asset value) belonging to the UCITS sub-fund less borrowings undertaken and other liabilities (net asset value) is determined and divided by the number of shares in circulation (share value). If special share classes for the UCITS sub-fund are introduced in accordance with Section 12, then the net asset value per share and the issue and redemption prices for each share class shall be determined separately. The assets are valued in accordance with Sections 168 and 169 KAGB and the German Capital Investment Accounting and Valuation Ordinance ("KARBV").
3. The issue price corresponds to the net asset value per share at the issue date, plus any issue premium pursuant to Paragraph 4. The redemption price corresponds to the net asset value per share at the redemption date, plus any redemption fees pursuant to Paragraph 5.
4. Depending on the share class, the issue premium per share is up to 2 percent of the net asset value per share. The Company is free to charge a lower issue premium for one or more share classes, or all of them.
5. Depending on the share class, the redemption fee per share is up to 1 percent of the net asset value per share. The Company is free to charge a lower redemption fee for one or more share classes, or all of them. The Management Company shall receive the redemption fee.
6. The settlement date for issue and redemption orders is no later than the next valuation date following the receipt of the issue or redemption order. If the Company suspends the redemption of shares in accordance with Section 11 paragraph 6 of the Articles of Incorporation, the settlement date for such redemption orders is the valuation day following the resumption.
7. Issue and redemption prices will be determined on each exchange trading day. On public holidays under the KAGB that are stock exchange days and 24 and 31 December every year, the Company and the Custodian Bank may interrupt their daily price calculation; details are discussed in the Sales Prospectus.
8. The Company applies the Dual Pricing method when determining the issue and redemption prices. This means that, deviating from paragraph 2 sentence 1, a modified net asset value per share must be calculated in addition to the net asset value. For this purpose, for each issue and redemption of shares, the net asset value per share is adjusted by a factor

that reflects liquidity costs. The Company explains the procedure used to calculate the modified net asset value per share in the Sales Prospectus.

9. The Company may charge a redemption fee (Rückgabegebühr). The redemption fee is calculated on the basis of gross redemptions and amounts to up to 2 per cent of gross redemptions. The Sales Prospectus contains a description of the option and the conditions for a redemption fee.

§ 14 Expenses and services included

1. For managing the UCITS sub-fund, the Management Company receives from the assets of the UCITS sub-fund a fee of up to 0.45 percent per annum depending on the share class, based on the net asset value of the UCITS sub-fund determined each exchange trading day. The Management Company is free to charge a lower management fee for one or more share classes, or all of them. The management fee will be paid in advance in monthly instalments out of the UCITS sub-fund. The Company indicates the management fee charged for each share class in the Sales Prospectus and in the annual and semi-annual reports.
2. The management fee specified in Paragraph 1 shall cover services rendered by the Management Company for the UCITS sub-fund, including the expenses of the Custodian Bank, legally required printing, mailings, and publications associated with the UCITS sub-fund, and for annual report audits conducted by auditors of the Company.
3. The following expenses are not covered by Paragraph 1:
 - a) Expenses resulting from the purchase and sale of assets (transaction costs),
 - b) Customary bank custody fees, including the customary bank charges for the custody of foreign securities abroad and related taxes, if applicable,
 - c) Customary expenses related to day-to-day account management,
 - d) Expenses incurred in the assertion and enforcement of the legal claims of the UCITS sub-fund,
 - e) Expenses for providing information to investors of the UCITS sub-fund by means of a durable medium, with the exception of expenses for providing information in the case of fund mergers and with the exception of information on measures connected with violations of investment limits or errors in calculating the net asset value per share.

Such expenses may be charged to the UCITS sub-fund in addition to the management fee charged in accordance with Paragraph 1.

4. The Company has to publish in the annual report and in the semi-annual report the

amount of the issue premiums and redemption fees that have been charged to the UCITS sub-fund during the reporting period for the purchase and redemption of shares as defined in Section 9. When units are purchased that are managed, directly or indirectly, by the Management Company itself or by any other company with which the Management Company is affiliated through a significant direct or indirect equity interest, the Management Company or the other company may not levy issue premiums or redemption fees for the purchase or redemption. The Company publishes in the annual report and in the semi-annual report the fees charged as management fees for the units held in the UCITS sub-fund when such fees are charged by the Management Company, by another investment management company, a joint-stock investment company or another company with which the Management Company is affiliated through a significant direct or indirect equity interest, or by a foreign investment company, including its management company.

APPROPRIATION OF INCOME, TERM AND FINANCIAL YEAR

§ 15 Distribution

1. For distributing share classes, the Company distributes, net of costs, the interest, dividends and other income from investment fund shares received for account of the UCITS sub-fund, taking into account the appropriate income netting. Capital gains and other income - taking into account the appropriate income equalisation - can also be used for distributions.
2. The final distribution takes place within four months of the financial year-end. In addition, the Company may carry out interim distributions during the year.
3. The interim distribution amount is at the discretion of the Company. The Company is not obliged to distribute all distributable income pursuant to Paragraph 1 accumulated up to the date of the interim distribution; it may carry ordinary income forward to the next distribution date.
4. Interim distributions are intended to minimise any discrepancy between the performance of the UCITS sub-fund and that of the Underlying Index.
5. Distributable income pursuant to Paragraph 1 may be carried forward for distribution in subsequent financial years if the amount of the income carried forward does not exceed 15 percent of the respective value of the UCITS sub-fund at the end of the financial year. Income from short financial years may be carried forward in its entirety.
6. In the interests of maintaining equity, some income, or in exceptional cases, all income,

may be set aside for accumulation in the UCITS sub-fund.

7. If no share classes are created, the income will be distributed.

§ 16 Reinvestment

For reinvesting share classes, the Company invests the interest, dividends and other income of the UCITS sub-fund, taking into account the appropriate income netting, as well as the realised capital gains that have accrued for account of the sub-fund during the financial year in the UCITS sub-fund, net of costs.

§ 17 Financial year and accounting

1. The financial year of the UCITS sub-fund begins on 1 March of each calendar year and ends on the last day of February.
2. The company publishes an annual financial statement with a management report no later than four months after the end of the financial year in accordance with § 120 Para. 1, 2 and 6 Sentence 3 in conjunction with § 123 Para. 1 No. 1 KAGB.
3. The Company publishes a semi-annual report no later than two months after the end of the first half of the financial year in accordance with Section 122 Paragraph 1 Sentence 4 in conjunction with Section 103 and Section 107 Paragraph 1 Sentence 2 KAGB.

§ 18 Liquidation of the sub-fund

1. The Company may liquidate the UCITS sub-fund pursuant to Section 19 of the Articles of Incorporation. This liquidation resolution shall take effect six months after its publication in the Bundesanzeiger. The shareholders must be informed by the Company immediately by means of a durable medium as defined in Section 167 KAGB of the announcement of a termination in accordance with Sentence 2.
2. The Company must prepare a liquidation report for the period ending on the date on which its right to manage lapses pursuant to Section 117 Paragraph 8 Sentence 4, 100 Paragraph 1 KAGB; this liquidation report must fulfil the requirements of an annual report in accordance with Section 120 Paragraph 1.
3. Net liquidation proceeds not collected by shareholders upon completion of the liquidation proceedings may be deposited with an appropriate depository for the benefit of the entitled shareholders.

§ 19 Change of the external investment management company and the depository

1. The company may transfer the management and disposal rights over the company to another external investment management

company. The transfer is subject to the prior approval of BaFin.

2. The approved transfer shall be published in the Bundesanzeiger and in the annual financial statements or the semi-annual report. Investors must be informed immediately by means of a durable medium of the announcement of a transfer in accordance with sentence 1. The transfer shall take effect no earlier than three months after its publication in the Bundesanzeiger.
3. The company may change the depository for the UCITS sub-fund. The change must be approved by BaFin.

§ 20 Changes to the Investment Conditions

1. The Company is entitled to change the Investment Conditions.
2. Amendments to the Investment Conditions require the prior approval of BaFin.
3. All planned amendments shall be published in the Bundesanzeiger and, in addition, in a financial or daily newspaper with sufficient circulation or in the electronic information media designated in the Sales Prospectus. The planned changes and their effective dates must be stated in any publication made in accordance with Sentence 1 above. In the event of amendments to costs detrimental to investors as defined in Section 162 Paragraph 2 (11) KAGB, amendments to the investment principles of the UCITS Fund as defined in Section 163 Paragraph 3 KAGB or amendments related to significant investor rights, investors must be informed simultaneously with the publication pursuant to Sentence 1 of the significant contents of the proposed amendments to the Investment Conditions and the background thereto, as well as information on their rights pursuant to Section 163 Paragraph 3 KAGB by means of a durable medium and in an understandable way in accordance with Section 163 Paragraph 4 KAGB.
4. The amendments enter into force at the earliest on the day after their publication in the Bundesanzeiger; amendments to costs and to the investment principles, however, do not enter into force until three months after the corresponding publication. With the consent of the BaFin, an earlier date may be determined, insofar as this concerns a change in costs that benefits the investors.

§ 21 Place of performance

The place of performance is the registered office of the Company.

§ 22 Name

The rights of shareholders who acquired shares originally named "iShares STOXX Europe 600 Utilities (DE)" remain unaffected.

Investment Conditions

governing the legal relationship between the shareholders and

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, Munich, (hereinafter referred to as the "**Company**")

externally managed by

BlackRock Asset Management Deutschland AG, Munich, (hereinafter referred to as the "**Management Company**")

for the UCITS-compliant securities sub-fund

iShares MSCI Brazil UCITS ETF (DE), (hereinafter referred to as "**UCITS sub-fund**")

These investment conditions are valid only in combination with the Articles of Incorporation of the Company.

INVESTMENT POLICIES AND RESTRICTIONS

§ 1 Assets and investment objective

The Company may acquire the following assets for the UCITS sub-fund:

- a) securities pursuant to Section 4 of these Investment Conditions,
- b) money market instruments pursuant to Section 5 of these Investment Conditions,
- c) bank accounts pursuant to Section 6 of these Investment Conditions,
- d) derivatives pursuant to Section 7 of these Investment Conditions,
- e) other investment instruments pursuant to Section 8 of these Investment Conditions,
- f) Investment fund units pursuant to Section 9 of these Investment Conditions

The purpose of the selection of equities, depository receipts (particularly American Depositary Receipts (ADRs) and Global Depositary Receipts (GDRs), contracts for difference (CFDs), participation certificates, equity index certificates and certificates on individual equities for the UCITS sub-fund is to replicate the MSCI Brazil (hereinafter referred to as the "Underlying Index") while maintaining an appropriate diversification of risk.

§ 2 Depository

1. The Company shall appoint a credit institution as Custodian Bank for the UCITS sub-fund; the Custodian Bank shall act independently of the Company and exclusively in the interests of the shareholders.

2. The tasks and duties of the Custodian Bank are governed by the custodian agreement concluded with the Company, in accordance with the KAGB, the Articles of Incorporation and the Investment Conditions.
3. The Custodian Bank may outsource custodial tasks to another company (sub-custodian) pursuant to Section 73 KAGB. Please refer to the Sales Prospectus for details.
4. The Custodian Bank shall be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for the loss of a financial instrument pursuant to Section 72 Paragraph 1 Sentence 1 held in custody by the Custodian Bank or by a sub-custodian to whom the custody of financial instruments has been transferred according to Section 73 Paragraph 1 KAGB. The Custodian Bank is not liable if it can prove that the loss is due to external events whose consequences were unavoidable despite all reasonable countermeasures. Further claims arising out of the provisions of civil law on the basis of contracts or torts are not affected. The Custodian Bank shall also be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for all other losses that they incur if the Custodian Bank fails to meet its obligations under the provisions of the KAGB, whether negligently or intentionally. The Custodian Bank's liability remains unaffected by any transfer of custody tasks referred to in Paragraph 3, sentence 1.

§ 3 Investment principles

1. The Company may only acquire such assets on behalf of the UCITS sub-fund that are designed to replicate a certain security index ("Security Index") approved by the Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin) while still maintaining appropriate diversification of risk. The Security Index is approved specifically if
 - a) its composition is sufficiently diversified,
 - b) it represents an adequate benchmark for the market to which it relates; and
 - c) it has been published in an appropriate manner.
2. The UCITS sub-fund may only acquire securities included in the Underlying Index or introduced to it following a change thereto ("Index Securities"), securities that are issued on these Index Securities or on the Underlying Index, and derivatives on securities, money market instruments, investment fund units pursuant to Section 9, recognised financial indices, interest rates, foreign exchange rates or currencies in which the UCITS sub-fund may invest as provided for in the Investment Conditions. When replicating the Underlying Index, within the meaning of a direct duplication of the Underlying Index, priority shall be given to investments in Index Securities over investments in any other assets mentioned in Sentence 1 above that are approved for use in replicating indices. The

Underlying Index may be replicated using securities, derivatives that indirectly replicate the index only for purposes of maintaining the investment restrictions listed in Section 10 Paragraph 7 Sentence 1. Outside the limit laid down in Section 10 Paragraph 7 Sentence 1 the Company, for the account of the UCITS sub-fund, may also invest up to 5 percent of the value of the UCITS sub-fund in basic forms of derivatives as defined in Section 7 para. 2, particularly future contracts on securities in the meaning of Section 4, money market instruments in the meaning of Section 5, investment fund units in the meaning of Section 9, recognised financial indices, interest rates, exchange rates or currencies which are not contained in the Underlying Index.

3. In order to replicate the Underlying Index, the duplication percentage may not be less than 95 percent of the total assets in the UCITS sub-fund as defined in the first sentence of Paragraph 2 above. Derivatives shall be included in the calculation of the duplication percentage with their weighted market risk using the simple approach provided for in the "ordinance on risk management and risk measurement in the use of derivatives, securities lending and repurchase agreements in investment funds" ("DerivateV") issued pursuant to Section 197 Paragraph 3 of the German Investment Code (KAGB).
4. The duplication percentage reflects the proportion of securities and derivatives according to Section 197 Paragraph 1 KAGB in the UCITS sub-fund that corresponds with the Underlying Index in terms of weighting. The duplication percentage is defined as being equal to 100 less one half of the sum of the differences between the weighting of the securities in the Underlying Index and the applicable weighting of the securities included in the total assets of the UCITS sub-fund, totalled for all securities and applicable values of derivatives according to Section 197 Paragraph 1 KAGB in the UCITS sub-fund and for all securities in the Underlying Index.

$$DG = 100\% - \frac{\sum_{i=1}^n |W_i^I - W_i^F|}{2}$$

DG	=	duplication percentage in %
n	=	number of share types in the Fund and index (upper summation limit)
I	=	index
F	=	Fund
W_i^I	=	weighting of equity i in index I in %
W_i^F	=	weighting of equity i to be included in the equity portion of the Fund in %
Σ	=	sum symbol
i	=	summation index; represents the individual share types of i = 1 (lower summations limit) bis i = n (upper summation limit)

§ 4 Securities

1. The Company may only acquire securities on behalf of the UCITS sub-fund if:
 - a) they are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) they are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in one of these states, provided the choice of such stock exchange or regulated market is permitted by BaFin,⁴⁵
 - c) their terms of issue require application for admission to official trading on one of the stock exchanges permitted under a) and b) or for inclusion in one of the regulated markets permitted under a) and b), and admission or inclusion on these markets takes place within one year after their issue,

⁴⁵ The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

- d) they are equities to which the UCITS sub-fund is entitled in an issuer's capital increase from company assets,
 - e) they are acquired in exercising subscription rights belonging to the UCITS sub-fund,
 - f) they are financial instruments that meet the criteria listed in Section 193 Paragraph 1 Sentence 1 No. 8 KAGB.
2. Securities may only be acquired in accordance with Paragraph 1 letters a) to c) if additionally the requirements of Section 193 Paragraph 1 Sentence 2 KAGB are met. Subscription rights arising from securities which may be acquired under this Section, Section 4, may also be acquired.

§ 5 Money market instruments

1. The Company may acquire on behalf of the UCITS sub-fund instruments normally dealt in on the money market and interest-bearing securities with a residual term of no more than 397 days at the time of their acquisition or whose interest rate, in accordance with the issue conditions, is regularly – and at least once each 397-day period – adjusted to reflect current market conditions or whose risk profile corresponds to the risk profile of this type of security (money market instruments). The money market instruments may also be denominated in foreign currency. Money market instruments may only be acquired if they
- a) are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market there, provided the choice of such stock exchange or regulated market is permitted by BaFin,⁴⁶
 - c) are issued or guaranteed by the European Union, the German Federal Government, a special-purpose fund of the German Federal Government, a German federal state, another member state or another central, regional or local authority or by the central bank of a European Union member state, the European Central Bank or the European Investment Bank, a non-EU member state or, in case of a federal state, by one of the members making up the federation, or by a public international

body to which one or more EU member states belong,

- d) are issued by a company whose securities are traded on the markets referred to in a) and b),
 - e) if they are issued or guaranteed by a credit institution that is subject to supervision that meets the criteria defined by European Union law, or a credit institution that is subject to the prudential rules considered by BaFin as equivalent to those laid down in European Union law, and which complies with such rules, or
 - f) are issued by other bodies and comply with the requirements of Section 194 Paragraph 1 Sentence 1 No. 6 KAGB.
2. Money market instruments as defined in Paragraph 1 may only be acquired if they comply with the requirements of Section 194 Paragraphs 2 and 3 KAGB.

§ 6 Bank accounts

The Company may also hold, on behalf of the UCITS sub-fund, bank accounts containing deposits with a maturity not exceeding twelve months. The accounts, which must be in the form of blocked accounts, may be maintained at a credit institution that has its registered office in a member state of the European Union or another state that is a party to the Agreement on the European Economic Area. These accounts may also be maintained by a credit institution that has its registered office in a non-member state, provided that it is subject to the prudential rules considered by BaFin as equivalent to those laid down in the law of the European Union. The bank accounts may also be denominated in foreign currency.

§ 7 Derivatives

1. Unless specified otherwise in Paragraph 8, in managing the UCITS sub-fund, the Company may acquire derivatives in accordance with Section 197 Paragraph 1 Sentence 1 KAGB and financial instruments with derivative components in accordance with Section 197 Paragraph 1 Sentence 2 KAGB. It may – depending on the type and extent of derivatives and financial instruments with derivative components used – use either the simple or qualified approach within the meaning of DerivateV provided for in Section 197 Paragraph 3 KAGB when calculating the market risk limits established under Section 197 Paragraph 2 KAGB on the use of derivatives and financial instruments with derivative components; details are discussed in the Sales Prospectus.
2. If the Company uses the simple approach, it may only make regular use of the following basic forms of derivatives, financial instruments with a derivative component or combinations of these derivatives, financial

⁴⁶ The list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB is published on the BaFin website. www.bafin.de

instruments with a derivative component or combinations of underlying securities permitted under Section 197 Paragraph 1 Sentence 1 KAGB in the UCITS sub-fund. Complex derivatives based on permitted underlying securities pursuant to Section 197 Paragraph 1 Sentence 1 KAGB may only be used for a negligible proportion. The weighted market risk attributable to the UCITS sub-fund, to be calculated as provided for in Section 16 DerivateV, may at no time exceed the value of the UCITS sub-fund.

The basic forms of derivatives are:

- a) Forward contracts on the underlying values pursuant to Section 197 Paragraph 1 KAGB with the exception of investment units pursuant to Section 196 KAGB;
 - b) Options or warrants on the underlying securities pursuant to Section 197 Paragraph 1 KAGB with the exception of investment fund units pursuant to Section 196 KAGB and on futures contracts as defined in a), if they have the following characteristics:
 - aa) exercising is possible either during the entire term or at the end of the term and
 - bb) at the time of being exercised, the option value is linearly based on the positive or negative difference between the underlying price and the market price of the underlying security and becomes nil if the difference has the other leading sign;
 - c) Interest rate swaps, currency swaps or interest rate/currency swaps;
 - d) Options on swaps according to letter c), to the extent that they display the characteristics described in letter b) under letters aa) and bb) (swaptions);
 - e) Credit default swaps related to single underlying instruments (Single Name Credit Default Swaps).
3. If the Company uses the qualified approach, it may invest, subject to a suitable risk management system, in any financial instruments with a derivative component or derivatives that are derived from an underlying security that is permitted under Section 197 Paragraph 1 Sentence 1 KAGB.

The potential risk amount for the market risk ("risk exposure") attributable to the UCITS sub-fund may at no time exceed two times the potential risk amount for the market risk of the associated benchmark assets pursuant to Section 9 DerivateV. Alternatively, the risk exposure may at no time exceed 20 percent of the value of the UCITS sub-fund.

4. In these transactions, the Company may under no circumstances deviate from the investment principles and limits listed in the Articles of Incorporation, these Investment Conditions or in the Sales Prospectus.
5. The Company will use the derivatives and financial instruments with a derivative

component for the purpose of efficient portfolio management and to produce additional returns, when and to the extent that it considers this to be in the interests of the investors.

No derivatives transactions may be made for purposes of hedging.

6. In calculating the market risk limit for the use of derivatives and financial instruments with a derivative component, the company may at any time switch between the simple and the qualified approach pursuant to § 6 Sentence 3 DerivateV. The change does not require the approval of BaFin. However, the company must report the change to BaFin without delay and announce it in the next semi-annual or annual report.
7. The Company will observe the guidelines of DerivateV when derivatives and financial instruments with derivative components are used.
8. In derogation of Paragraph 1, the Company may – subject to a suitable risk management system – only use futures contracts that are based on the Underlying Index and futures contracts that are based on individual stocks of the Underlying Index as well as warrants that are based on the Underlying Index and warrants that are based on individual stocks of the Underlying Index for the UCITS sub-fund. Outside the limit laid down in Section 10 Paragraph 7 Sentence 1 the Company, for the account of the UCITS sub-fund, may also invest up to 5 percent of the value of the UCITS sub-fund in basic forms of derivatives as defined in Section 7 para. 2, particularly future contracts and warrants on securities in the meaning of Section 4, money market instruments in the meaning of Section 5, investment fund units in the meaning of Section 9, recognised financial indices, interest rates, exchange rates or currencies which are not contained in the Underlying Index.

§ 8 Other investment instruments

The Company may on behalf of the UCITS sub-fund acquire other investment instruments up to 10 percent of the value of the UCITS sub-fund pursuant to Section 198 KAGB.

§ 9 Investment fund units

1. The Company may, on behalf of the UCITS sub-fund, acquire units in investment funds pursuant to Directive 2009/65/EC (UCITS). Units in other domestic investment funds and joint-stock investment companies with variable capital and units in EU alternative investment funds and foreign open-ended alternative investment funds may be acquired if they meet the requirements of § 196 Para. 1 sentence 2 KAGB.
2. For account of the UCITS sub-fund, the company may only acquire units of domestic investment funds and joint-stock investment

companies with variable capital, open-ended EU AIF and foreign open-ended AIF if, in accordance with the investment conditions or the Articles of Incorporation of the investment management company, the joint-stock investment company with variable capital, the EU investment fund, the EU management company, the foreign AIF or the foreign AIF management company, a total not exceeding 10 percent of the value of their assets may be invested in units of other domestic investment funds, joint-stock investment companies with variable capital, open-ended EU investment funds or foreign open-ended AIFs.

§ 10 Issuer and investment limits

1. The Company must comply with the limitations and restrictions specified in the KAGB, the Articles of Incorporation and these Investment Conditions.
2. The Company may invest up to 20 percent of the assets of the UCITS sub-fund in securities from a single issuer (debtor).
3. The limit specified in Paragraph 2 may be increased to up to 35 percent of the value of the UCITS sub-fund for securities from a single issuer. An investment up to the limit specified in Sentence 1 above is permissible only for one individual issuer (debtor).
4. For assets based on the Underlying Index, the market price of the index securities shall be attributed to the respective issuer limits on a pro rata basis. The same applies for assets based on a single index security or on a basket of index securities. Derivatives pursuant to Section 197 Paragraph 1 KAGB shall be attributed to the issuer limits in accordance with Sections 23 and 24 DerivateV.
5. The Company may invest no more than 5 percent of the value of the UCITS sub-fund in bank accounts and money market instruments as defined in Sections 5 and 6.
6. The Company may invest no more than 10 percent of the value of the UCITS sub-fund in units of investment funds pursuant to Section 3 Paragraph 2 and Section 9. When doing so, the Company may acquire on behalf of the UCITS sub-fund no more than 25 percent of issued units of another open-ended domestic, EU or foreign investment fund that invests in assets in accordance with the principle of risk diversification as defined in Sections 192 to 198 KAGB.
7. The Company must invest a minimum of 95 percent of the value of the UCITS sub-fund in assets based on the Underlying Index pursuant to Section 3 Paragraph 2 Sentence 1. At least 51 percent of the value of the UCITS sub-fund shall be invested in shares that are permitted for official trading on a stock exchange or another organised market or involved in these and that are not units in investment funds.

§ 11 Loans

Short-term borrowing by the Company on the account of the UCITS sub-fund of amounts of up to 10 percent of the value of the UCITS sub-fund is permissible if the terms of the borrowing are at market rates and the Custodian Bank approves the borrowing.

SHARE CLASSES

§ 12 Share classes

1. Share classes as defined in Section 20 of the Articles of Incorporation may be formed for the UCITS sub-fund; these particularly differ with respect to appropriation of income, issue premiums, redemption fees, management fees, minimum investment amount, currency of the share value, or a combination of these characteristics. The creation of share classes is permitted at any time and is at the discretion of the Company.
2. The net asset value per share is calculated separately for each share class by allocating the costs of launching new share classes, the distributions (including any taxes that may be payable from the fund's assets), the management fee including income adjustment if applicable, exclusively to this share class.
3. The existing share classes are listed individually in the Sales Prospectus and in the annual and semi-annual reports. The structural characteristics defining the share classes (particularly appropriation of income, issue premiums, redemption fees, management fees, currency of the share value, minimum investment amount, or a combination of these characteristics) are described in detail in the Sales Prospectus and in the annual and semi-annual reports.

ISSUE AND REDEMPTION OF SHARES/EXPENSES

§ 13 Issue and redemption of shares, fees

1. The Company indicates the issue premiums and redemption fees charged for each share class in the Sales Prospectus, the Key Information Document and in the annual and semi-annual reports.
2. For the calculation of share issue and redemption prices, the market values of the assets (net asset value) belonging to the UCITS sub-fund less borrowings undertaken and other liabilities (net asset value) is determined and divided by the number of shares in circulation (share value). If special share classes for the UCITS sub-fund are introduced in accordance with Section 12, then the net asset value per share and the issue and redemption prices for each share class shall be determined separately. The assets are valued

in accordance with Sections 168 and 169 KAGB and the German Capital Investment Accounting and Valuation Ordinance ("KARBV").

3. The issue price corresponds to the net asset value per share at the issue date, plus any issue premium pursuant to Paragraph 4. The redemption price corresponds to the net asset value per share at the redemption date, plus any redemption fees pursuant to Paragraph 5.
4. Depending on the share class, the issue premium per share is up to 2 percent of the net asset value per share. The Company is free to charge a lower issue premium for one or more share classes, or all of them.
5. Depending on the share class, the redemption fee per share is up to 1 percent of the net asset value per share. The Company is free to charge a lower redemption fee for one or more share classes, or all of them. The Management Company shall receive the redemption fee.
6. The settlement date for issue and redemption orders is no later than the next valuation date following the receipt of the issue or redemption order. If the Company suspends the redemption of shares in accordance with Section 11 paragraph 6 of the Articles of Incorporation, the settlement date for such redemption orders is the valuation day following the resumption.
7. Issue and redemption prices will be determined on each exchange trading day. On public holidays under the KAGB that are stock exchange days and 24 and 31 December every year, the Company and the Custodian Bank may interrupt their daily price calculation; details are discussed in the Sales Prospectus.
8. The Company applies the Dual Pricing method when determining the issue and redemption prices. This means that, deviating from paragraph 2 sentence 1, a modified net asset value per share must be calculated in addition to the net asset value. For this purpose, for each issue and redemption of shares, the net asset value per share is adjusted by a factor that reflects liquidity costs. The Company explains the procedure used to calculate the modified net asset value per share in the Sales Prospectus.
9. The Company may charge a redemption fee (Rückgabegebühr). The redemption fee is calculated on the basis of gross redemptions and amounts to up to 2 per cent of gross redemptions. The Sales Prospectus contains a description of the option and the conditions for a redemption fee.

§ 14 Expenses and services included

1. For managing the UCITS sub-fund, the Management Company receives from the assets of the UCITS sub-fund a fee of up to 0.55 percent per annum depending on the share class, based on the net asset value of

the UCITS sub-fund determined each exchange trading day. The Management Company is free to charge a lower management fee for one or more share classes, or all of them. The management fee will be paid in advance in monthly instalments out of the UCITS sub-fund. The Company indicates the management fee charged for each share class in the Sales Prospectus and in the annual and semi-annual reports.

2. The management fee specified in Paragraph 1 shall cover services rendered by the Management Company for the UCITS sub-fund, including the expenses of the Custodian Bank, legally required printing, mailings, and publications associated with the UCITS sub-fund, and for annual report audits conducted by auditors of the Company.
3. The following expenses are not covered by Paragraph 1:
 - a) Expenses resulting from the purchase and sale of assets (transaction costs),
 - b) Customary bank custody fees, including the customary bank charges for the custody of foreign securities abroad and related taxes, if applicable,
 - c) Customary expenses related to day-to-day account management,
 - d) Expenses incurred in the assertion and enforcement of the legal claims of the UCITS sub-fund,
 - e) Expenses for providing information to investors of the UCITS sub-fund by means of a durable medium, with the exception of expenses for providing information in the case of fund mergers and with the exception of information on measures connected with violations of investment limits or errors in calculating the net asset value per share.

Such expenses may be charged to the UCITS sub-fund in addition to the management fee charged in accordance with Paragraph 1.

4. The Company has to publish in the annual report and in the semi-annual report the amount of the issue premiums and redemption fees that have been charged to the UCITS sub-fund during the reporting period for the purchase and redemption of shares as defined in Section 9. When units are purchased that are managed, directly or indirectly, by the Management Company itself or by any other company with which the Management Company is affiliated through a significant direct or indirect equity interest, the Management Company or the other company may not levy issue premiums or redemption fees for the purchase or redemption. The Company publishes in the annual report and in the semi-annual report the fees charged as management fees for the units held in the UCITS sub-fund when such fees are charged by the Management Company, by another investment management company, a joint-stock investment company or another company with which the Management

Company is affiliated through a significant direct or indirect equity interest, or by a foreign investment company, including its management company.

APPROPRIATION OF INCOME, TERM AND FINANCIAL YEAR

§ 15 Distribution

1. For distributing share classes, the Company distributes, net of costs, the interest, dividends and other income from investment fund shares received for account of the UCITS sub-fund, taking into account the appropriate income netting. Capital gains and other income - taking into account the appropriate income equalisation - can also be used for distributions. In addition, bank accounts in accordance with Section 1 lit. c) available on the day of distribution may also be distributed from the UCITS sub-fund (contribution from the UCITS sub-fund/distribution of assets).
2. The final distribution takes place within four months of the financial year-end. In addition, the Company may carry out interim distributions during the year.
3. The interim distribution amount is at the discretion of the Company. The Company is not obliged to distribute all distributable income pursuant to Paragraph 1 accumulated up to the date of the interim distribution; it may carry ordinary income forward to the next distribution date.
4. Interim distributions are intended to minimise any discrepancy between the performance of the UCITS sub-fund and that of the Underlying Index.
5. Distributable income pursuant to Paragraph 1 may be carried forward for distribution in subsequent financial years if the amount of the income carried forward does not exceed 15 percent of the respective value of the UCITS sub-fund at the end of the financial year. Income from short financial years may be carried forward in its entirety.
6. In the interests of maintaining equity, some income, or in exceptional cases, all income, may be set aside for accumulation in the UCITS sub-fund.

§ 16 Reinvestment

1. For reinvesting share classes, the Company invests the interest, dividends and other income of the UCITS sub-fund, taking into account the appropriate income netting, as well as the realised capital gains that have accrued for account of the sub-fund during the financial year in the UCITS sub-fund, net of costs.
2. If no share classes are created, the income will be accumulated.

§ 17 Financial year and accounting

1. The financial year of the UCITS sub-fund begins on 1 March of each calendar year and ends on the last day of February.
2. The company publishes an annual financial statement with a management report no later than four months after the end of the financial year in accordance with § 120 Para. 1, 2 and 6 Sentence 3 in conjunction with § 123 Para. 1 No. 1 KAGB.
3. The Company publishes a semi-annual report no later than two months after the end of the first half of the financial year in accordance with Section 122 Paragraph 1 Sentence 4 in conjunction with Section 103 and Section 107 Paragraph 1 Sentence 2 KAGB.

§ 18 Liquidation of the sub-fund

1. The Company may liquidate the UCITS sub-fund pursuant to Section 19 of the Articles of Incorporation. This liquidation resolution shall take effect six months after its publication in the Bundesanzeiger. The shareholders must be informed by the Company immediately by means of a durable medium as defined in Section 167 KAGB of the announcement of a termination in accordance with Sentence 2.
2. The Company must prepare a liquidation report for the period ending on the date on which its right to manage lapses pursuant to Section 117 Paragraph 8 Sentence 4, 100 Paragraph 1 KAGB; this liquidation report must fulfil the requirements of an annual report in accordance with Section 120 Paragraph 1.
3. Net liquidation proceeds not collected by shareholders upon completion of the liquidation proceedings may be deposited with an appropriate depository for the benefit of the entitled shareholders.

§ 19 Change of the external investment management company and the depository

1. The company may transfer the management and disposal rights over the company to another external investment management company. The transfer is subject to the prior approval of BaFin.
2. The approved transfer shall be published in the Bundesanzeiger and in the annual financial statements or the semi-annual report as well as in the electronic medium mentioned in the prospectus. The transfer shall take effect no earlier than three months after its publication in the Bundesanzeiger.
3. The company may change the depository for the UCITS sub-fund. The change must be approved by BaFin.

§ 20 Changes to the Investment Conditions

1. The Company is entitled to change the Investment Conditions.
2. Amendments to the Investment Conditions require the prior approval of BaFin.
3. All planned amendments shall be published in the Bundesanzeiger and, in addition, in a financial or daily newspaper with sufficient circulation or in the electronic information media designated in the Sales Prospectus. The planned changes and their effective dates must be stated in any publication made in accordance with Sentence 1 above. In the event of disadvantageous amendments to costs as defined in Section 162 Paragraph 2 (11) KAGB or disadvantageous amendments related to significant investor rights as well as in case of amendments of the investment principles of the UCITS sub-fund as defined in Section 163 Paragraph 3 KAGB, investors must be informed simultaneously with the publication pursuant to Sentence 1 of the significant contents of the proposed amendments to the Investment Conditions and the background thereto by means of a durable medium and in an understandable way. Additionally, in case of amendments of the latest investment principles, investors have to be informed about their rights according to Section 163 Paragraph 3 KAGB.
4. The amendments enter into force at the earliest on the day after their publication in the Bundesanzeiger; amendments to costs and to the investment principles, however, do not enter into force until four weeks after the corresponding publication.

§ 21 Place of performance

The place of performance is the registered office of the Company.

§ 22 Dispute resolution procedure

1. The Company has undertaken to participate in dispute resolution proceedings before a consumer arbitration board. In the event of disputes, consumers may call upon the ombudsman's office for investment funds of the BVI Bundesverband Investment und Asset Management e.V. (BVI) as the competent consumer arbitration body. The Company participates in dispute resolution proceedings before this arbitration board.
2. The contact details are: Office of the Ombudsstelle of the BVI Bundesverband Investment und Asset Management e.V., Unter den Linden 42, 10117 Berlin, www.ombudsstelle-investmentfonds.de.

Investment Conditions

governing the legal relationship between the shareholders and

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, Munich, (hereinafter referred to as the "**Company**")

externally managed by

BlackRock Asset Management Deutschland AG, Munich, (hereinafter referred to as the "**Management Company**")

for the UCITS-compliant sub-fund

iShares Brazil LTN BRL Govt Bond UCITS ETF (DE), (hereinafter referred to as "**UCITS sub-fund**")

These investment conditions are valid only in combination with the Articles of Incorporation of the Company.

INVESTMENT POLICIES AND RESTRICTIONS

§ 1 Assets

1. The Company may acquire the following assets for the UCITS sub-fund:
 - a) securities pursuant to Section 5 of these Investment Conditions,
 - b) money market instruments pursuant to Section 6 of these Investment Conditions,
 - c) bank accounts pursuant to Section 7 of these Investment Conditions,
 - d) derivatives pursuant to Section 8 of these Investment Conditions.
2. The acquisition of investment fund units pursuant to Section 196 KAGB and other investment instruments pursuant to Section 198 KAGB is excluded.
3. The Company will not enter into any securities lending or repurchase agreement transactions on behalf of the UCITS sub-fund.

§ 2 Depository

1. The Company shall appoint a credit institution as Custodian Bank for the UCITS sub-fund; the Custodian Bank shall act independently of the Company and exclusively in the interests of the shareholders.
2. The tasks and duties of the Custodian Bank are governed by the custodian agreement concluded with the Company, in accordance with the KAGB, the Articles of Incorporation and the Investment Conditions.

3. The Custodian Bank may outsource custodial tasks to another company (sub-custodian) pursuant to Section 73 KAGB. Please refer to the Sales Prospectus for details.
4. The Custodian Bank shall be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for the loss of a financial instrument pursuant to Section 72 Paragraph 1 Sentence 1 held in custody by the Custodian Bank or by a sub-custodian to whom the custody of financial instruments has been transferred according to Section 73 Paragraph 1 KAGB. The Custodian Bank is not liable if it can prove that the loss is due to external events whose consequences were unavoidable despite all reasonable countermeasures. Further claims arising out of the provisions of civil law on the basis of contracts or torts are not affected. The Custodian Bank shall also be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for all other losses that they incur if the Custodian Bank fails to meet its obligations under the provisions of the KAGB, whether negligently or intentionally. The Custodian Bank's liability remains unaffected by any transfer of custody tasks referred to in Paragraph 3, sentence 1.

§ 3 Fund management

1. The Company shall acquire and manage the assets in its own name for the collective account of the investors with the necessary expertise, diligence, care and conscientiousness. In performing its duties, it acts independently of the Depository and exclusively in the interests of the investors.
2. The Company has the right to use the money deposited with it by the investors to acquire assets, resell these assets and invest the proceeds in other assets; the Company is furthermore authorised to undertake all other legal actions arising out of management of the assets.
3. The Company may not grant loans for the collective account of the investors, nor may it enter into guarantees or surety obligations; it may not sell assets as defined in Sections 193 and 194 KAGB that are not part of the UCITS Fund at the time the transaction is concluded. Section 197 KAGB remains unaffected.

§ 4 Investment Principles

1. The UCITS sub-fund must consist predominantly of securities and money market instruments from the J.P. Morgan Brazilian Zero-Coupon (LTN) Bond Index. In this respect, the UCITS sub-fund generally aims to achieve a performance equivalent to the J.P. Morgan Brazilian Zero-Coupon (LTN) Bond Index. The securities in the J.P. Morgan Brazilian Zero-Coupon (LTN) Bond Index are all issued by a single issuer, the State of Brazil. Thus, the UCITS sub-fund does not meet the requirements of section 209 KAGB for a

securities-index UCITS fund. Nevertheless, the UCITS sub-fund aims to reflect the performance of the J.P. Morgan Brazilian Zero-Coupon (LTN) Bond Index as accurately as possible.

2. For the account of the UCITS sub-fund, the Company may invest more than 35 percent of the value of the UCITS sub-fund in securities and money market instruments issued by the State of Brazil. The money market instruments held on behalf of the UCITS sub-fund must come from at least six different issues, with no more than 30 percent of the value of the UCITS sub-fund held in one issue. The UCITS sub-fund is not a money market fund. The UCITS sub-fund is therefore not subject to the requirements of the BaFin or Regulation (EU) 2017/1131 of the European Parliament and of the Council of 14 June 2017 on money market funds with regard to the quality, maturity, liquidity and other characteristics of securities that can be purchased by money market funds. Under normal circumstances, the UCITS sub-fund's investments may be more vulnerable to credit, interest rate and valuation risk, as well as to other risks relevant to the UCITS sub-fund's investments, compared to investments in a money market fund, due to the lack of requirements for separate credit quality, no maturity limit of the securities and no specific valuation requirements and possible measures to be taken in stressful situations. The UCITS sub-fund does not seek to maintain a stable net asset value of US\$1.00 per share. Likewise, the UCITS sub-fund does not pursue the goal of achieving a return in line with a money market rate.
3. Up to 10 percent of the value of the UCITS sub-fund may be held in securities in accordance with Section 5. The bank accounts held for the UCITS sub-fund must be taken into account.
4. Up to 10 percent of the value of the UCITS sub-fund may be held in bank accounts in accordance with Section 7 sentence 1. The securities held for the UCITS sub-fund are to be taken into account.

§ 5 Securities

1. The Company may only acquire securities on behalf of the UCITS sub-fund if:
 - a) they are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,

- b) they are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in one of these states, provided the choice of such stock exchange or regulated market is permitted by Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin),⁴⁷
- c) their terms of issue require application for admission to trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or admission to trading or inclusion in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, and admission or inclusion of these securities takes place within one year after their issue,
- d) their terms of issue require application for admission to trading on a stock exchange or admission to trading or inclusion in another regulated market outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, provided the choice of such stock exchange or regulated market is permitted by BaFin and admission or inclusion of these securities takes place within one year after their issue,
- e) they are equities to which the UCITS sub-fund is entitled in capital increase from company assets,
- f) they are acquired in exercising subscription rights belonging to the UCITS sub-fund,
- g) they are shares in closed-ended funds that meet the criteria set out in Section 193 paragraph 1 sentence 1 no. 7 KAGB,
- h) they are financial instruments that meet the criteria listed in Section 193 Paragraph 1 Sentence 1 No. 8 KAGB.

2. Securities may only be acquired in accordance with Paragraph 1 letters a) to c) if additionally the requirements of Section 193 Paragraph 1 Sentence 2 KAGB are met. Subscription rights arising from securities which may be acquired under this Section, Section 4, may also be acquired.

§ 6 Money market instruments

1. The Company may acquire on behalf of the UCITS sub-fund instruments normally dealt in on the money market and interest-bearing securities with a residual term of no more than 397 days at the time of their acquisition for the UCITS sub-fund or whose interest rate, in accordance with the issue conditions, is

⁴⁷ The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

regularly – and at least once each 397-day period – adjusted to reflect current market conditions or whose risk profile corresponds to the risk profile of this type of security (money market instruments). The money market instruments may also be denominated in foreign currency. Money market instruments may only be acquired if they

- a) are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market there, provided the choice of such stock exchange or regulated market is permitted by BaFin,⁴⁸
 - c) are issued or guaranteed by the European Union, the German Federal Government, a special-purpose fund of the German Federal Government, a German federal state, another member state or another central, regional or local authority or by the central bank of a European Union member state, the European Central Bank or the European Investment Bank, a non-EU member state or, in case of a federal state, by one of the members making up the federation, or by a public international body to which one or more EU member states belong,
 - d) are issued by a company whose securities are traded on the markets referred to in a) and b),
 - e) if they are issued or guaranteed by a credit institution that is subject to supervision that meets the criteria defined by European Union law, or a credit institution that is subject to the prudential rules considered by BaFin as equivalent to those laid down in European Union law, and which complies with such rules, or
 - f) are issued by other bodies and comply with the requirements of Section 194 Paragraph 1 Sentence 1 No. 6 KAGB.
2. Money market instruments as defined in Paragraph 1 may only be acquired if they comply with the requirements of Section 194 Paragraphs 2 and 3 KAGB.

§ 7 Bank accounts

The Company may also hold, on behalf of the UCITS sub-fund, bank accounts containing deposits with a

maturity not exceeding twelve months. The accounts, which must be in the form of blocked accounts, may be maintained at a credit institution that has its registered office in a member state of the European Union or another state that is a party to the Agreement on the European Economic Area. These accounts may also be maintained by a credit institution that has its registered office in a non-member state, provided that it is subject to the prudential rules considered by BaFin as equivalent to those laid down in the law of the European Union. The bank accounts may also be denominated in foreign currency.

§ 8 Derivatives

1. In managing the UCITS sub-fund, the Company may acquire derivatives in accordance with Section 197 Paragraph 1 Sentence 1 KAGB and financial instruments with derivative components in accordance with Section 197 Paragraph 1 Sentence 2 KAGB. It may – depending on the type and extent of derivatives and financial instruments with derivative components used – use either the simple or qualified approach within the meaning of the “ordinance on risk management and risk measurement in the use of derivatives, securities lending and repurchase agreements in investment funds” (“DerivateV”) issued pursuant to Section 197 Paragraph 3 of the German Investment Code (KAGB) when calculating the market risk limits established under Section 197 Paragraph 2 KAGB on the use of derivatives and financial instruments with derivative components; details are discussed in the Sales Prospectus.
2. If the Company uses the simple approach, it may only make regular use of the following basic forms of derivatives and financial instruments with a derivative component or combinations of these derivatives, financial instruments with a derivative component as well as underlying securities permitted under Section 197 Paragraph 1 Sentence 1 KAGB in the UCITS sub-fund. Complex derivatives based on permitted underlying securities pursuant to Section 197 Paragraph 1 Sentence 1 KAGB may only be used for a negligible proportion. The weighted market risk attributable to the UCITS sub-fund, to be calculated as provided for in Section 16 DerivateV, may at no time exceed the value of the UCITS sub-fund.
The basic forms of derivatives are:
 - a) Forward contracts on the underlying values pursuant to Section 197 Paragraph 1 KAGB with the exception of investment units pursuant to Section 196 KAGB;
 - b) Options or warrants on the underlying securities pursuant to Section 197 Paragraph 1 KAGB with the exception of investment fund units pursuant to Section 196 KAGB and on futures contracts as

⁴⁸ The “list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB” is published on the BaFin website. www.bafin.de

defined in a), if they have the following characteristics:

- aa) exercising is possible either during the entire term or at the end of the term and
 - bb) at the time of being exercised, the option value is linearly based on the positive or negative difference between the underlying price and the market price of the underlying security and becomes nil if the difference has the other leading sign;
 - c) Interest rate swaps, currency swaps or interest rate/currency swaps;
 - d) Options on swaps according to letter c), to the extent that they display the characteristics described in letter b) under letters aa) and bb) (swaptions);
 - e) Credit default swaps related to single underlying instruments (Single Name Credit Default Swaps).
3. If the Company uses the qualified approach, it may invest, subject to a suitable risk management system, in any financial instruments with a derivative component or derivatives that are derived from an underlying security that is permitted under Section 197 Paragraph 1 Sentence 1 KAGB.
- The potential risk amount for the market risk ("risk exposure") attributable to the UCITS sub-fund may at no time exceed two times the potential risk amount for the market risk of the associated benchmark assets pursuant to Section 9 DerivateV. Alternatively, the risk exposure may at no time exceed 20 percent of the value of the UCITS sub-fund.
4. In these transactions, the Company may under no circumstances deviate from the investment principles and limits listed in the Articles of Incorporation, these Investment Conditions or in the Sales Prospectus.
5. The Company will use the derivatives and financial instruments with a derivative component for the purpose of efficient portfolio management and to produce additional returns, when and to the extent that it considers this to be in the interests of the investors.
- No derivatives transactions may be made for purposes of hedging.
6. In calculating the market risk limit for the use of derivatives and financial instruments with a derivative component, the company may at any time switch between the simple and the qualified approach pursuant to § 6 Sentence 3 DerivateV. The change does not require the approval of BaFin. However, the company must report the change to BaFin without delay and announce it in the next semi-annual or annual report.
7. The Company will observe the guidelines of DerivateV when derivatives and financial instruments with derivative components are used.

§ 9 Issuer and investment limits

1. in its management of assets, the Company must comply with the limitations and restrictions specified in the KAGB, the DerivateV and these Investment Conditions.
2. Securities and money market instruments, including retired securities and money market instruments of the same issuer, may be purchased up to 5 percent of the value of the UCITS sub-fund; however, up to 10 percent of the value of the UCITS sub-fund may be invested in these values if the total value of the securities and money market instruments of these issuers does not exceed 40 percent of the value of the UCITS sub-fund. The issuers of securities and money market instruments shall also be taken into account within the limits specified in sentence 1 if the securities and money market instruments issued by them are acquired indirectly via other securities included in the UCITS sub-fund which are linked to their performance.
3. The Company may invest up to 35 percent of the value of the UCITS sub-fund in bonds, promissory notes or money market instruments issued or guaranteed by the German Federal Government, a German state, the European Union, a member state of the European Union or its local authorities, a third country or an international organisation to which at least one Member State of the European Union is a member.
4. The Company may invest up to 25 percent of the value of the UCITS sub-fund per issuer in
 - a) Covered bonds (Pfandbriefe) and municipal bonds, as well as bonds issued by credit institutions domiciled in a Member State of the European Union or in another State party to the Agreement on the European Economic Area before 8 July 2022, if the credit institutions are subject to special public supervision on the basis of statutory provisions for the protection of the holders of these bonds and which are subject to the issue of the bonds are invested in assets which, during the entire term of the bonds, sufficiently cover the liabilities arising from them and which, in the event of default by the issuer, are primarily intended for the repayments due and the payment of interest,
 - b) Covered bonds within the meaning of Article 3 no. 1 of Directive (EU) 2019/2162 of the European Parliament and of the Council of 27 November 2019 on the issue of covered bonds and on public supervision of covered bonds and amending Directives 2009/65/EC and 2014/59/EU (OJ 2019 L 2019, p. OJ L 328 of 18 December 2019, p. 29), issued after 7 July 2022.

If the Company invests more than 5 percent of the value of the UCITS sub-fund in bonds of the same issuer in accordance with sentence 1, the total value of these bonds may

not exceed 80 percent of the value of the UCITS sub-fund.

5. The limit in paragraph 3 may be exceeded for securities and money market instruments of the State of Brazil as issuer in accordance with Section 206 Paragraph 2 KAGB. In this case, the securities and money market instruments held on behalf of the UCITS sub-fund must come from at least six different issues, with no more than 30 percent of the value of the UCITS sub-fund being held in one issue.
6. The Company may only invest up to 20 percent of the value of the UCITS sub-fund in bank deposits with the same credit institution in accordance with Section 195 KAGB.
7. The Company shall ensure that a combination of:
 - a) securities or money market instruments issued by the same entity,
 - b) deposits with this institution, and
 - c) credited amounts for the counterparty risk of transactions entered into with this entity,
 does not exceed 20 percent of the value of the UCITS sub-fund. Sentence 1 shall apply to the issuers and guarantors referred to in paragraphs 3 and 4 with the proviso that the Company shall ensure that a combination of the assets and imputed amounts referred to in sentence 1 does not exceed 35 percent of the value of the UCITS sub-fund. The respective individual upper limits remain unaffected in both cases.
8. The debt securities, promissory notes and money market instruments referred to in paragraphs 3 and 4 shall not be taken into account for the purposes of applying the 40 percent limits referred to in paragraph 2. The limits specified in paragraphs 2 to 4 and paragraphs 6 to 7 may not be cumulated, by way of derogation from the provision in paragraph 7.

§ 10 Loans

Short-term borrowing by the Company on behalf of all the investors of amounts of up to 10 percent of the value of the UCITS sub-fund is permissible if the terms of the borrowing are at market rates and the Depository approves the borrowing.

SHARE CLASSES

§ 11 Share classes

1. Share classes as defined in Section 20 of the Articles of Incorporation may be formed for the UCITS sub-fund; these differ with respect to appropriation of income, issue premiums, redemption fees, management fees, minimum investment amount, currency of the share value, or a combination of these characteristics. The creation of share classes is

permitted at any time and is at the discretion of the Company.

2. The net asset value per share is calculated separately for each share class by allocating the costs of launching new share classes, the distributions (including any taxes that may be payable from the fund's assets), the management fee including income adjustment if applicable, exclusively to this share class.
3. The existing share classes are listed individually in the Sales Prospectus and in the annual and semi-annual reports. The structural characteristics defining the share classes (particularly appropriation of income, issue premiums, redemption fees, management fees, currency of the share value, minimum investment amount, or a combination of these characteristics) are described in detail in the Sales Prospectus and in the annual and semi-annual reports.

ISSUE AND REDEMPTION OF SHARES/EXPENSES

§ 12 Issue and redemption of shares, fees

1. The Company indicates the issue premiums and redemption fees charged for each share class in the Sales Prospectus, the Key Information Document and in the annual and semi-annual reports.
2. For the calculation of share issue and redemption prices, the market values of the assets (net asset value) belonging to the UCITS sub-fund less borrowings undertaken and other liabilities (net asset value) is determined and divided by the number of shares in circulation (share value). If special share classes for the UCITS sub-fund are introduced in accordance with Section 12, then the net asset value per share and the issue and redemption prices for each share class shall be determined separately. The assets are valued in accordance with Sections 168 and 169 KAGB and the German Capital Investment Accounting and Valuation Ordinance ("KARBV").
3. The issue price corresponds to the net asset value per share at the issue date, plus any issue premium pursuant to Paragraph 4. The redemption price corresponds to the net asset value per share at the redemption date, plus any redemption fees pursuant to Paragraph 5.
4. Depending on the share class, the issue premium per share is up to 2 percent of the net asset value per share. The Company is free to charge a lower issue premium for one or more share classes, or all of them.
5. Depending on the share class, the redemption fee per share is up to 1 percent of the net asset value per share. The Company is free to charge a lower redemption fee for one or more share classes, or all of them. The Management Company shall receive the redemption fee.

6. The settlement date for issue and redemption orders is no later than the next valuation date following the receipt of the issue or redemption order. If the Company suspends the redemption of shares in accordance with Section 11 paragraph 6 of the Articles of Incorporation, the settlement date for such redemption orders is the valuation day following the resumption.
7. Issue and redemption prices will be determined on each exchange trading day. On public holidays under the KAGB that are stock exchange days and 24 and 31 December every year, the Company and the Custodian Bank may interrupt their daily price calculation; details are discussed in the Sales Prospectus.
8. The Company applies the Dual Pricing method when determining the issue and redemption prices. This means that, deviating from paragraph 2 sentence 1, a modified net asset value per share must be calculated in addition to the net asset value. For this purpose, for each issue and redemption of shares, the net asset value per share is adjusted by a factor that reflects liquidity costs. The Company explains the procedure used to calculate the modified net asset value per share in the Sales Prospectus.
9. The Company may charge a redemption fee (Rückgabegebühr). The redemption fee is calculated on the basis of gross redemptions and amounts to up to 2 per cent of gross redemptions. The Sales Prospectus contains a description of the option and the conditions for a redemption fee.

§ 13 Expenses and services included

1. For managing the UCITS sub-fund, the Management Company receives from the assets of the UCITS sub-fund a fee of up to 0.55 percent per annum depending on the share class, based on the net asset value of the UCITS sub-fund determined each exchange trading day. The Management Company is free to charge a lower management fee for one or more share classes, or all of them. The management fee will be paid in advance in monthly instalments out of the UCITS sub-fund. The Company indicates the management fee charged for each share class in the Sales Prospectus and in the annual and semi-annual reports.
2. The management fee specified in Paragraph 1 shall cover services rendered by the Management Company for the UCITS sub-fund, including the expenses of the Custodian Bank, legally required printing, mailings, and publications associated with the UCITS sub-fund, and for annual report audits conducted by auditors of the Company.
3. The following expenses are not covered by Paragraph 1:
 - a) Expenses resulting from the purchase and sale of assets (transaction costs),

- b) Customary bank account and custody fees, including the customary bank charges for the custody of foreign assets abroad
- c) Expenses incurred in the assertion and enforcement of the legal claims by the Company on behalf of the UCITS sub-fund and the defence against claims brought against the Company in relation to the UCITS sub-fund,
- d) Expenses for creating and using a durable medium provided for by contract or law, with the exception of expenses for providing information in the case of fund mergers and with the exception of information on measures connected with violations of investment limits or errors in calculating the net asset value per share;
- e) Taxes, in particular VAT, incurred in connection with the expenses referred to in points (a) to (d) above and to be reimbursed by the UCITS sub-fund.

Such expenses may be charged to the UCITS sub-fund in addition to the management fee charged in accordance with Paragraph 1.

APPROPRIATION OF INCOME, TERM AND FINANCIAL YEAR

§ 14 Distribution

1. For distributing share classes, the Company distributes pro rata per share class, net of costs, the interest, dividends and other income received for account of the UCITS sub-fund, taking into account pro rata per share class the appropriate income netting. Capital gains and other income - taking into account the appropriate income equalisation - can also be used for pro rata distributions. In addition, bank accounts in accordance with Section 1 lit. c) available on the day of distribution may also be distributed from the UCITS sub-fund (contribution from the UCITS sub-fund/distribution of assets).
2. The final distribution takes place within four months of the financial year-end. In addition, the Company may carry out interim distributions during the year.
3. The interim distribution amount is at the discretion of the Company. The Company is not obliged to distribute all distributable income pursuant to Paragraph 1 accumulated up to the date of the interim distribution; it may carry ordinary income forward to the next distribution date.
4. Distributable income pursuant to Paragraph 1 may be carried forward for distribution in subsequent financial years if the amount of the income carried forward does not exceed 15 percent of the respective value of the UCITS sub-fund at the end of the financial year. Income from short financial years may be carried forward in its entirety.
5. In the interests of maintaining equity, some income, or in exceptional cases, all income,

may be set aside for accumulation in the UCITS sub-fund.

§ 15 Reinvestment

1. For reinvesting share classes, the Company invests pro rata per share class the interest, dividends and other income of the UCITS sub-fund, taking into account pro rata per share class the appropriate income netting, as well as the realised capital gains that have accrued for account of the sub-fund during the financial year in the UCITS sub-fund, net of costs.
2. If no share classes are created, the income will be accumulated.

§ 16 Financial year and accounting

1. The financial year of the UCITS sub-fund begins on 1 March of each calendar year and ends on the last day of February.
2. The company publishes an annual financial statement with a management report no later than four months after the end of the financial year in accordance with § 120 Para. 1, 2 and 5 Sentence 3 in conjunction with § 123 Para. 1 No. 1 KAGB.
3. The Company publishes a semi-annual report no later than two months after the end of the first half of the financial year in accordance with Section 122 Paragraph 1 Sentence 4 in conjunction with Section 103 and Section 107 Paragraph 1 Sentence 2 KAGB.

§ 17 Liquidation of the sub-fund

1. The Company may liquidate the UCITS sub-fund pursuant to Section 19 of the Articles of Incorporation. This liquidation resolution shall take effect six months after its publication in the Bundesanzeiger. The shareholders must be informed by the Company immediately by means of a durable medium as defined in Section 167 KAGB of the announcement of a termination in accordance with Sentence 2.
2. The Company must prepare a liquidation report for the period ending on the date on which its right to manage lapses pursuant to Section 117 Paragraph 8 Sentence 4, 100 Paragraph 1 KAGB; this liquidation report must fulfil the requirements of an annual report in accordance with Section 120 Paragraph 1.
3. Net liquidation proceeds not collected by shareholders upon completion of the liquidation proceedings may be deposited with an appropriate depository for the benefit of the entitled shareholders.

§ 18 Change of the external investment management company and the depository

1. The company may transfer the management and disposal rights over the company to another external investment management

company. The transfer is subject to the prior approval of BaFin.

2. The approved transfer shall be published in the Bundesanzeiger and in the annual financial statements or the semi-annual report as well as in the electronic medium mentioned in the prospectus. The transfer shall take effect no earlier than three months after its publication in the Bundesanzeiger.
3. The company may change the depository for the UCITS sub-fund. The change must be approved by BaFin.

§ 19 Changes to the Investment Conditions

1. The Company is entitled to change the Investment Conditions.
2. Amendments to the Investment Conditions require the prior approval of BaFin.
3. All planned amendments shall be published in the Bundesanzeiger and, in addition, in a financial or daily newspaper with sufficient circulation or in the electronic information media designated in the Sales Prospectus. The planned changes and their effective dates must be stated in any publication made in accordance with Sentence 1 above. In the event of disadvantageous amendments to costs as defined in Section 162 Paragraph 2 (11) KAGB or disadvantageous amendments related to significant investor rights as well as in case of amendments of the investment principles of the UCITS sub-fund as defined in Section 163 Paragraph 3 KAGB, investors must be informed simultaneously with the publication pursuant to Sentence 1 of the significant contents of the proposed amendments to the Investment Conditions and the background thereto by means of a durable medium and in an understandable way. Additionally, in case of amendments of the latest investment principles, investors have to be informed about their rights according to Section 163 Paragraph 3 KAGB.
4. The amendments enter into force at the earliest on the day after their publication in the Bundesanzeiger; amendments to costs and to the investment principles, however, do not enter into force until four weeks after the corresponding publication.

§ 20 Place of performance

The place of performance is the registered office of the Company.

§ 21 Dispute resolution procedure

1. The Company has undertaken to participate in dispute resolution proceedings before a consumer arbitration board. In the event of disputes, consumers may call upon the ombudsman's office for investment funds of the BVI Bundesverband Investment und Asset Management e.V. (BVI) as the competent

consumer arbitration body. The Company participates in dispute resolution proceedings before this arbitration board.

2. The contact details are: Office of the Ombudsstelle of the BVI Bundesverband Investment und Asset Management e.V., Unter den Linden 42, 10117 Berlin, www.ombudsstelle-investmentfonds.de.

Investment Conditions

governing the legal relationship between the shareholders and

iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen, Munich, (hereinafter referred to as the "**Company**")

externally managed by

BlackRock Asset Management Deutschland AG, Munich, (hereinafter referred to as the "**Management Company**")

for the UCITS-compliant sub-fund

iShares Brazil BRL Govt Bond UCITS ETF (DE), (hereinafter referred to as "**UCITS sub-fund**")

These investment conditions are valid only in combination with the Articles of Incorporation of the Company.

INVESTMENT POLICIES AND RESTRICTIONS

§ 1 Assets

1. The Company may acquire the following assets for the UCITS sub-fund:
 - a) securities pursuant to Section 5 of these Investment Conditions,
 - b) money market instruments pursuant to Section 6 of these Investment Conditions,
 - c) bank accounts pursuant to Section 7 of these Investment Conditions,
 - d) derivatives pursuant to Section 8 of these Investment Conditions.
2. The acquisition of investment fund units pursuant to Section 196 KAGB and other investment instruments pursuant to Section 198 KAGB is excluded.
3. The Company will not enter into any securities lending or repurchase agreement transactions on behalf of the UCITS sub-fund.

§ 2 Depository

1. The Company shall appoint a credit institution as Custodian Bank for the UCITS sub-fund; the Custodian Bank shall act independently of the Company and exclusively in the interests of the shareholders.
2. The tasks and duties of the Custodian Bank are governed by the custodian agreement concluded with the Company, in accordance with the KAGB, the Articles of Incorporation and the Investment Conditions.
3. The Custodian Bank may outsource custodial tasks to another company (sub-custodian) pursuant to Section 73 KAGB. Please refer to the Sales Prospectus for details.

4. The Custodian Bank shall be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for the loss of a financial instrument pursuant to Section 72 Paragraph 1 Sentence 1 held in custody by the Custodian Bank or by a sub-custodian to whom the custody of financial instruments has been transferred according to Section 73 Paragraph 1 KAGB. The Custodian Bank is not liable if it can prove that the loss is due to external events whose consequences were unavoidable despite all reasonable countermeasures. Further claims arising out of the provisions of civil law on the basis of contracts or torts are not affected. The Custodian Bank shall also be liable to the Company (for account of the UCITS sub-fund) or to the shareholders for all other losses that they incur if the Custodian Bank fails to meet its obligations under the provisions of the KAGB, whether negligently or intentionally. The Custodian Bank's liability remains unaffected by any transfer of custody tasks referred to in Paragraph 3, sentence 1.

§ 3 Fund management.

1. The Company shall acquire and manage the assets in its own name for the collective account of the investors with the necessary expertise, diligence, care and conscientiousness. In performing its duties, it acts independently of the Depository and exclusively in the interests of the investors.
2. The Company has the right to use the money deposited with it by the investors to acquire assets, resell these assets and invest the proceeds in other assets; the Company is furthermore authorised to undertake all other legal actions arising out of management of the assets.
3. The Company may not grant loans for the collective account of the investors, nor may it enter into guarantees or surety obligations; it may not sell assets as defined in Sections 193 and 194 KAGB that are not part of the UCITS Fund at the time the transaction is concluded. Section 197 KAGB remains unaffected.

§ 4 Investment Principles

1. The UCITS sub-fund must consist predominantly of securities and money market instruments from the J.P. Morgan GBI-EM Brazil Custom Index. In this respect, the UCITS sub-fund generally aims to achieve a performance equivalent to the J.P. Morgan GBI-EM Brazil Custom Index. The securities in the J.P. Morgan GBI-EM Brazil Custom Index are all issued by a single issuer, the State of Brazil. Thus, the UCITS sub-fund does not meet the requirements of section 209 KAGB for a securities-index UCITS fund. Nevertheless, the UCITS sub-fund aims to reflect the performance of the J.P. Morgan GBI-EM Brazil Custom Index as accurately as possible.
2. For the account of the UCITS sub-fund, the Company may invest more than 35 percent of the value of the UCITS sub-fund in securities

and money market instruments issued by the State of Brazil. The money market instruments held on behalf of the UCITS sub-fund must come from at least six different issues, with no more than 30 percent of the value of the UCITS sub-fund held in one issue. The UCITS sub-fund is not a money market fund. The UCITS sub-fund is therefore not subject to the requirements of the BaFin or Regulation (EU) 2017/1131 of the European Parliament and of the Council of 14 June 2017 on money market funds with regard to the quality, maturity, liquidity and other characteristics of securities that can be purchased by money market funds. Under normal circumstances, the UCITS sub-fund's investments may be more vulnerable to credit, interest rate and valuation risk, as well as to other risks relevant to the UCITS sub-fund's investments, compared to investments in a money market fund, due to the lack of requirements for separate credit quality, no maturity limit of the securities and no specific valuation requirements and possible measures to be taken in stressful situations. The UCITS sub-fund does not seek to maintain a stable net asset value of US\$1.00 per share. Likewise, the UCITS sub-fund does not pursue the goal of achieving a return in line with a money market rate.

3. Up to 10 percent of the value of the UCITS sub-fund may be held in securities in accordance with Section 5. The bank accounts held for the UCITS sub-fund must be taken into account.
4. Up to 10 percent of the value of the UCITS sub-fund may be held in bank accounts in accordance with Section 7 sentence 1. The securities held for the UCITS sub-fund are to be taken into account.

§ 5 Securities

1. The Company may only acquire securities on behalf of the UCITS sub-fund if:
 - a) they are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) they are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in one of these states, provided the choice of such stock exchange or regulated market is

permitted by Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin),⁴⁹

- c) their terms of issue require application for admission to trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or admission to trading or inclusion in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, and admission or inclusion of these securities takes place within one year after their issue,
- d) their terms of issue require application for admission to trading on a stock exchange or admission to trading or inclusion in another regulated market outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, provided the choice of such stock exchange or regulated market is permitted by BaFin and admission or inclusion of these securities takes place within one year after their issue,
- e) they are equities to which the UCITS sub-fund is entitled in capital increase from company assets,
- f) they are acquired in exercising subscription rights belonging to the UCITS sub-fund,
- g) they are shares in closed-ended funds that meet the criteria set out in Section 193 paragraph 1 sentence 1 no. 7 KAGB,
- h) they are financial instruments that meet the criteria listed in Section 193 Paragraph 1 Sentence 1 No. 8 KAGB.

2. Securities may only be acquired in accordance with Paragraph 1 letters a) to c) if additionally the requirements of Section 193 Paragraph 1 Sentence 2 KAGB are met. Subscription rights arising from securities which may be acquired under this Section, Section 4, may also be acquired.

§ 6 Money market instruments

1. The Company may acquire on behalf of the UCITS sub-fund instruments normally dealt in on the money market and interest-bearing securities with a residual term of no more than 397 days at the time of their acquisition for the UCITS sub-fund or whose interest rate, in accordance with the issue conditions, is regularly – and at least once each 397-day period – adjusted to reflect current market conditions or whose risk profile corresponds to the risk profile of this type of security (money market instruments). The money market instruments may also be denominated in foreign currency.

⁴⁹ The "list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB" is published on the BaFin website. www.bafin.de

Money market instruments may only be acquired if they

- a) are admitted for trading on a stock exchange in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market in a member state of the European Union or in another state that is a party to the Agreement on the European Economic Area,
 - b) are admitted for trading exclusively on a stock exchange outside the member states of the European Union or outside other states that are party to the Agreement on the European Economic Area, or they are admitted for trading or included in another regulated market there, provided the choice of such stock exchange or regulated market is permitted by BaFin,⁵⁰
 - c) are issued or guaranteed by the European Union, the German Federal Government, a special-purpose fund of the German Federal Government, a German federal state, another member state or another central, regional or local authority or by the central bank of a European Union member state, the European Central Bank or the European Investment Bank, a non-EU member state or, in case of a federal state, by one of the members making up the federation, or by a public international body to which one or more EU member states belong,
 - d) are issued by a company whose securities are traded on the markets referred to in a) and b),
 - e) if they are issued or guaranteed by a credit institution that is subject to supervision that meets the criteria defined by European Union law, or a credit institution that is subject to the prudential rules considered by BaFin as equivalent to those laid down in European Union law, and which complies with such rules, or
 - f) are issued by other bodies and comply with the requirements of Section 194 Paragraph 1 Sentence 1 No. 6 KAGB.
2. Money market instruments as defined in Paragraph 1 may only be acquired if they comply with the requirements of Section 194 Paragraphs 2 and 3 KAGB.

§ 7 Bank accounts

The Company may also hold, on behalf of the UCITS sub-fund, bank accounts containing deposits with a maturity not exceeding twelve months. The accounts, which must be in the form of blocked accounts, may be maintained at a credit institution that has its registered office in a member state of

the European Union or another state that is a party to the Agreement on the European Economic Area. These accounts may also be maintained by a credit institution that has its registered office in a non-member state, provided that it is subject to the prudential rules considered by BaFin as equivalent to those laid down in the law of the European Union. The bank accounts may also be denominated in foreign currency.

§ 8 Derivatives

1. In managing the UCITS sub-fund, the Company may acquire derivatives in accordance with Section 197 Paragraph 1 Sentence 1 KAGB and financial instruments with derivative components in accordance with Section 197 Paragraph 1 Sentence 2 KAGB. It may – depending on the type and extent of derivatives and financial instruments with derivative components used – use either the simple or qualified approach within the meaning of the “ordinance on risk management and risk measurement in the use of derivatives, securities lending and repurchase agreements in investment funds” (“DerivateV”) issued pursuant to Section 197 Paragraph 3 of the German Investment Code (KAGB) when calculating the market risk limits established under Section 197 Paragraph 2 KAGB on the use of derivatives and financial instruments with derivative components; details are discussed in the Sales Prospectus.
2. If the Company uses the simple approach, it may only make regular use of the following basic forms of derivatives and financial instruments with a derivative component or combinations of these derivatives, financial instruments with a derivative component as well as underlying securities permitted under Section 197 Paragraph 1 Sentence 1 KAGB in the UCITS sub-fund. Complex derivatives based on permitted underlying securities pursuant to Section 197 Paragraph 1 Sentence 1 KAGB may only be used for a negligible proportion. The weighted market risk attributable to the UCITS sub-fund, to be calculated as provided for in Section 16 DerivateV, may at no time exceed the value of the UCITS sub-fund.

The basic forms of derivatives are:

- a) Forward contracts on the underlying values pursuant to Section 197 Paragraph 1 KAGB with the exception of investment units pursuant to Section 196 KAGB;
- b) Options or warrants on the underlying securities pursuant to Section 197 Paragraph 1 KAGB with the exception of investment fund units pursuant to Section 196 KAGB and on futures contracts as defined in a), if they have the following characteristics:

⁵⁰ The “list of approved stock exchanges and other organised markets according to Section 193 para. 1 no. 2 and 4 KAGB” is published on the BaFin website. www.bafin.de

- aa) exercising is possible either during the entire term or at the end of the term and
 - bb) at the time of being exercised, the option value is linearly based on the positive or negative difference between the underlying price and the market price of the underlying security and becomes nil if the difference has the other leading sign;
 - c) Interest rate swaps, currency swaps or interest rate/currency swaps;
 - d) Options on swaps according to letter c), to the extent that they display the characteristics described in letter b) under letters aa) and bb) (swaptions);
 - e) Credit default swaps related to single underlying instruments (Single Name Credit Default Swaps).
3. If the Company uses the qualified approach, it may invest, subject to a suitable risk management system, in any financial instruments with a derivative component or derivatives that are derived from an underlying security that is permitted under Section 197 Paragraph 1 Sentence 1 KAGB.
- The potential risk amount for the market risk ("risk exposure") attributable to the UCITS sub-fund may at no time exceed two times the potential risk amount for the market risk of the associated benchmark assets pursuant to Section 9 DerivateV. Alternatively, the risk exposure may at no time exceed 20 percent of the value of the UCITS sub-fund.
4. In these transactions, the Company may under no circumstances deviate from the investment principles and limits listed in the Articles of Incorporation, these Investment Conditions or in the Sales Prospectus.
5. The Company will use the derivatives and financial instruments with a derivative component for the purpose of efficient portfolio management and to produce additional returns, when and to the extent that it considers this to be in the interests of the investors.
- No derivatives transactions may be made for purposes of hedging.
6. In calculating the market risk limit for the use of derivatives and financial instruments with a derivative component, the company may at any time switch between the simple and the qualified approach pursuant to § 6 Sentence 3 DerivateV. The change does not require the approval of BaFin. However, the company must report the change to BaFin without delay and announce it in the next semi-annual or annual report.
7. The Company will observe the guidelines of DerivateV when derivatives and financial instruments with derivative components are used.

§ 9 Issuer and investment limits

1. In its management of assets, the Company must comply with the limitations and restrictions specified in the KAGB, the DerivateV and these Investment Conditions.
2. Securities and money market instruments, including retired securities and money market instruments of the same issuer, may be purchased up to 5 percent of the value of the UCITS sub-fund; however, up to 10 percent of the value of the UCITS sub-fund may be invested in these values if the total value of the securities and money market instruments of these issuers does not exceed 40 percent of the value of the UCITS sub-fund. The issuers of securities and money market instruments shall also be taken into account within the limits specified in sentence 1 if the securities and money market instruments issued by them are acquired indirectly via other securities included in the UCITS sub-fund which are linked to their performance.
3. The Company may invest up to 35 percent of the value of the UCITS sub-fund in bonds, promissory notes or money market instruments issued or guaranteed by the German Federal Government, a German state, the European Union, a member state of the European Union or its local authorities, a third country or an international organisation to which at least one Member State of the European Union is a member.
4. The Company may invest up to 25 percent of the value of the UCITS sub-fund per issuer in
 - a) Covered bonds (Pfandbriefe) and municipal bonds, as well as bonds issued by credit institutions domiciled in a Member State of the European Union or in another State party to the Agreement on the European Economic Area before 8 July 2022, if the credit institutions are subject to special public supervision on the basis of statutory provisions for the protection of the holders of these bonds and which are subject to the issue of the bonds are invested in assets which, during the entire term of the bonds, sufficiently cover the liabilities arising from them and which, in the event of default by the issuer, are primarily intended for the repayments due and the payment of interest,
 - b) Covered bonds within the meaning of Article 3 no. 1 of Directive (EU) 2019/2162 of the European Parliament and of the Council of 27 November 2019 on the issue of covered bonds and on public supervision of covered bonds and amending Directives 2009/65/EC and 2014/59/EU (OJ 2019 L 2019, p. OJ L 328 of 18 December 2019, p. 29), issued after 7 July 2022.

If the Company invests more than 5 percent of the value of the UCITS sub-fund in bonds of the same issuer in accordance with sentence 1, the total value of these bonds may

not exceed 80 percent of the value of the UCITS sub-fund.

5. The limit in paragraph 3 may be exceeded for securities and money market instruments of the State of Brazil as issuer in accordance with Section 206 Paragraph 2 KAGB. In this case, the securities and money market instruments held on behalf of the UCITS sub-fund must come from at least six different issues, with no more than 30 percent of the value of the UCITS sub-fund being held in one issue.
6. The Company may only invest up to 20 percent of the value of the UCITS sub-fund in bank deposits with the same credit institution in accordance with Section 195 KAGB.
7. The Company shall ensure that a combination of:
 - a) securities or money market instruments issued by the same entity,
 - b) deposits with this institution, and
 - c) credited amounts for the counterparty risk of transactions entered into with this entity,

does not exceed 20 percent of the value of the UCITS sub-fund. Sentence 1 shall apply to the issuers and guarantors referred to in paragraphs 3 and 4 with the proviso that the Company shall ensure that a combination of the assets and imputed amounts referred to in sentence 1 does not exceed 35 percent of the value of the UCITS sub-fund. The respective individual upper limits remain unaffected in both cases.

8. The debt securities, promissory notes and money market instruments referred to in paragraphs 3 and 4 shall not be taken into account for the purposes of applying the 40 percent limits referred to in paragraph 2. The limits specified in paragraphs 2 to 4 and paragraphs 6 to 7 may not be cumulated, by way of derogation from the provision in paragraph 7.

§ 10 Loans

Short-term borrowing by the Company on behalf of all the investors of amounts of up to 10 percent of the value of the UCITS sub-fund is permissible if the terms of the borrowing are at market rates and the Depository approves the borrowing.

SHARE CLASSES

§ 11 Share classes

1. Share classes as defined in Section 20 of the Articles of Incorporation may be formed for the UCITS sub-fund; these differ with respect to appropriation of income, issue premiums, redemption fees, management fees, minimum investment amount, currency of the share value, or a combination of these characteristics. The creation of share classes is permitted

at any time and is at the discretion of the Company.

2. The net asset value per share is calculated separately for each share class by allocating the costs of launching new share classes, the distributions (including any taxes that may be payable from the fund's assets), the management fee including income adjustment if applicable, exclusively to this share class.
3. The existing share classes are listed individually in the Sales Prospectus and in the annual and semi-annual reports. The structural characteristics defining the share classes (particularly appropriation of income, issue premiums, redemption fees, management fees, currency of the share value, minimum investment amount, or a combination of these characteristics) are described in detail in the Sales Prospectus and in the annual and semi-annual reports.

ISSUE AND REDEMPTION OF SHARES/EXPENSES

§ 12 Issue and redemption of shares and fees

1. The Company indicates the issue premiums and redemption fees charged for each share class in the Sales Prospectus, the Key Information Document, and in the annual and semi-annual reports.
2. For the calculation of share issue and redemption prices, the market values of the assets (net asset value) belonging to the UCITS sub-fund less borrowings undertaken and other liabilities (net asset value) is determined and divided by the number of shares in circulation (share value). If special share classes for the UCITS sub-fund are introduced in accordance with Section 11, then the net asset value per share and the issue and redemption prices for each share class shall be determined separately. The assets are valued in accordance with Sections 168 and 169 KAGB and the German Capital Investment Accounting and Valuation Ordinance ("KARBV").
3. The issue price corresponds to the net asset value per share at the issue date, plus any issue premium pursuant to Paragraph 4. The redemption price corresponds to the net asset value per share at the redemption date, plus any redemption fees pursuant to Paragraph 5.
4. Depending on the share class, the issue premium per share is up to 2 percent of the net asset value per share. The Company is free to charge a lower issue premium for one or more share classes, or all of them.
5. Depending on the share class, the redemption fee per share is up to 1 percent of the net asset value per share. The Company is free to charge a lower redemption fee for one or more share classes, or all of them. The Management Company shall receive the redemption fee.

6. The settlement date for issue and redemption orders shall be no later than the second valuation day following the receipt of the relevant subscription or redemption order. Where the Company suspends the redemption of shares in accordance with Section 11 (6) of the Articles of Association, the settlement date for such redemption orders shall be the valuation day following the resumption of redemptions.
7. The net asset value, the share value and the issue and redemption prices are determined Monday to Friday, except on public holidays in Germany and except on 24 and 31 December ("Valuation Days"). In addition, the issue and redemption price may also be dispensed with on public holidays in Brazil, which are not stock exchange trading days; the details are regulated in the sales prospectus.
8. In determining the issue and redemption prices, the Company applies the dual pricing method. This means that, in deviation from paragraph 2, sentence 1, a modified net asset value per share must be calculated in addition to the net asset value. For this purpose, upon each issue and redemption of shares, the net asset value per share is adjusted by a factor reflecting liquidity costs. The Company describes the methodology used to calculate the modified net asset value per share in the Sales Prospectus.
9. The Company may charge a redemption fee. The redemption fee is calculated on the basis of the gross redemption amount and may amount to up to 2 percent of the gross redemption amount. The Sales Prospectus contains a description of the possibility and the conditions under which a redemption fee may be charged.

§ 13 Expenses and services included

1. For managing the UCITS sub-fund, the Management Company receives from the assets of the UCITS sub-fund a fee of up to 0.45 percent per annum depending on the share class, based on the net asset value of the UCITS sub-fund determined each exchange trading day. The Management Company is free to charge a lower management fee for one or more share classes, or all of them. The management fee will be paid in advance in monthly instalments out of the UCITS sub-fund. The Company indicates the management fee charged for each share class in the Sales Prospectus and in the annual and semi-annual reports.
2. The management fee specified in Paragraph 1 shall cover services rendered by the Management Company for the UCITS sub-fund, including the expenses of the Custodian Bank, legally required printing, mailings, and publications associated with the UCITS sub-fund, and for annual report audits conducted by auditors of the Company.
3. The following expenses are not covered by Paragraph 1:

- a) Expenses resulting from the purchase and sale of assets (transaction costs),
- b) Customary bank account and custody fees, including the customary bank charges for the custody of foreign assets abroad
- c) Expenses incurred in the assertion and enforcement of the legal claims by the Company on behalf of the UCITS sub-fund and the defence against claims brought against the Company in relation to the UCITS sub-fund,
- d) Expenses for creating and using a durable medium provided for by contract or law, with the exception of expenses for providing information in the case of fund mergers and with the exception of information on measures connected with violations of investment limits or errors in calculating the net asset value per share;
- e) Costs for legal and tax advice with regard to the UCITS sub-fund;
- f) Taxes, in particular VAT, incurred in connection with the expenses referred to in points (a) to (e) above and to be reimbursed by the UCITS sub-fund.

Such expenses may be charged to the UCITS sub-fund in addition to the management fee charged in accordance with Paragraph 1.

APPROPRIATION OF INCOME, TERM AND FINANCIAL YEAR

§ 14 Distribution

1. For distributing share classes, the Company distributes pro rata per share class, net of costs, the interest, dividends and other income received for account of the UCITS sub-fund, taking into account pro rata per share class the appropriate income netting. Capital gains and other income - taking into account the appropriate income equalisation - can also be used for pro rata distributions. In addition, bank accounts in accordance with Section 1 lit. c) available on the day of distribution may also be distributed from the UCITS sub-fund (contribution from the UCITS sub-fund/distribution of assets).
2. The final distribution takes place within four months of the financial year-end. In addition, the Company may carry out interim distributions during the year.
3. The interim distribution amount is at the discretion of the Company. The Company is not obliged to distribute all distributable income pursuant to Paragraph 1 accumulated up to the date of the interim distribution; it may carry ordinary income forward to the next distribution date.
4. Distributable income pursuant to Paragraph 1 may be carried forward for distribution in subsequent financial years if the amount of the income carried forward does not exceed 15

percent of the respective value of the UCITS sub-fund at the end of the financial year. Income from short financial years may be carried forward in its entirety.

5. In the interests of maintaining equity, some income, or in exceptional cases, all income, may be set aside for accumulation in the UCITS sub-fund.

§ 15 Reinvestment

1. For reinvesting share classes, the Company invests pro rata per share class the interest, dividends and other income of the UCITS sub-fund, taking into account pro rata per share class the appropriate income netting, as well as the realised capital gains that have accrued for account of the sub-fund during the financial year in the UCITS sub-fund, net of costs.
2. If no share classes are created, the income will be accumulated.

§ 16 Financial year and accounting

1. The financial year of the UCITS sub-fund begins on 1 March of each calendar year and ends on the last day of February.
2. The company publishes an annual financial statement with a management report no later than four months after the end of the financial year in accordance with § 120 Para. 1, 2 and 5 Sentence 3 in conjunction with § 123 Para. 1 No. 1 KAGB.
3. The Company publishes a semi-annual report no later than two months after the end of the first half of the financial year in accordance with Section 122 Paragraph 1 Sentence 4 in conjunction with Section 103 and Section 107 Paragraph 1 Sentence 2 KAGB.

§ 17 Liquidation of the sub-fund

1. The Company may liquidate the UCITS sub-fund pursuant to Section 19 of the Articles of Incorporation. This liquidation resolution shall take effect six months after its publication in the Bundesanzeiger. The shareholders must be informed by the Company immediately by means of a durable medium as defined in Section 167 KAGB of the announcement of a termination in accordance with Sentence 2.
2. The Company must prepare a liquidation report for the period ending on the date on which its right to manage lapses pursuant to Section 117 Paragraph 8 Sentence 4, 100 Paragraph 1 KAGB; this liquidation report must fulfil the requirements of an annual report in accordance with Section 120 Paragraph 1.
3. Net liquidation proceeds not collected by shareholders upon completion of the liquidation proceedings may be deposited with an appropriate depository for the benefit of the entitled shareholders.

§ 18 Change of the external investment management company and the depository

1. The company may transfer the management and disposal rights over the company to another external investment management company. The transfer is subject to the prior approval of BaFin.
2. The approved transfer shall be published in the Bundesanzeiger and in the annual financial statements or the semi-annual report as well as in the electronic medium mentioned in the prospectus. The transfer shall take effect no earlier than three months after its publication in the Bundesanzeiger.
3. The company may change the depository for the UCITS sub-fund. The change must be approved by BaFin.

§ 19 Changes to the Investment Conditions

1. The Company is entitled to change the Investment Conditions.
2. Amendments to the Investment Conditions require the prior approval of BaFin.
3. All planned amendments shall be published in the Bundesanzeiger and, in addition, in a financial or daily newspaper with sufficient circulation or in the electronic information media designated in the Sales Prospectus. The planned changes and their effective dates must be stated in any publication made in accordance with Sentence 1 above. In the event of disadvantageous amendments to costs as defined in Section 162 Paragraph 2 (11) KAGB or disadvantageous amendments related to significant investor rights as well as in case of amendments of the investment principles of the UCITS sub-fund as defined in Section 163 Paragraph 3 KAGB, investors must be informed simultaneously with the publication pursuant to Sentence 1 of the significant contents of the proposed amendments to the Investment Conditions and the background thereto by means of a durable medium and in an understandable way. Additionally, in case of amendments of the latest investment principles, investors have to be informed about their rights according to Section 163 Paragraph 3 KAGB.
4. The amendments enter into force at the earliest on the day after their publication in the Bundesanzeiger; amendments to costs and to the investment principles, however, do not enter into force until four weeks after the corresponding publication. With the consent of the BaFin, an earlier effective date may be determined insofar as the amendment to the fees is to the benefit of the investors.

§ 20 Place of performance

The place of performance is the registered office of the Company.

§ 21 Dispute resolution procedure

1. The Company has undertaken to participate in dispute resolution proceedings before a consumer arbitration board.⁵¹ In the event of disputes, consumers may call upon the ombudsman's office for investment funds of the BVI Bundesverband Investment und Asset Management e.V. (BVI) as the competent consumer arbitration body. The Company participates in dispute resolution proceedings before this arbitration board.
2. The contact details are: Office of the Ombudsstelle of the BVI Bundesverband Investment und Asset Management e.V., Unter den Linden 42, 10117 Berlin, www.ombudsstelle-investmentfonds.de.⁵²

⁵¹ § 36 Paragraph 1 Nr. 1 VSBG.

⁵² § 36 Paragraph 1 Nr. 2 VSBG.

IV. Articles of Incorporation

Articles of Incorporation of iShares (DE) I Investmentaktiengesellschaft mit Teilgesellschaftsvermögen

I. General provisions

§ 1 Company name, registered office

1. The name of the Company is

**iShares (DE) I
Investmentaktiengesellschaft mit
Teilgesellschaftsvermögen**

The legal form may be shortened to InvAG and the supplementary term to TGV.

2. The registered office of the Company is in Munich, Germany.
3. The Company is an externally managed Investment Stock Corporation with variable capital within the meaning of Section 108 Paragraph 1 in conjunction with Section 1 Paragraph 13 KAGB. It is structured in the form of an umbrella construction.

§ 2 Purpose of the Company

1. The exclusive object of the Company is to invest and manage its own funds for the benefit of the shareholders, in accordance with its fixed investment strategy and the principle of risk diversification for collective investment, in accordance with Sections 162 to 213 of the German Investment Code (Kapitalanlagegesetzbuch - "KAGB"), and with the respectively applicable Investment Conditions.
2. The Company may grant loans on securities, money market instruments and investment units and enter into securities repurchase agreements for account of a sub-fund, subject to the investment conditions as defined in Article 16 Paragraph 2(c) and the provisions of these Articles of Incorporation.

§ 3 External management

1. The Company appoints a capital management company as external management company (hereinafter "external capital management company"). In addition to carrying out general management activities, the external capital management company is responsible for the

investment and management of the Investment Stock Corporation's assets.

2. The external capital management company may outsource individual activities to third parties.

§ 4 Depository

The Company shall appoint a credit institution as Custodian Bank for each sub-fund; the Custodian Bank shall act independently of the Company and the external capital management company and exclusively in the interests of the shareholders.

§ 5 Notices

Notices of the Company are published in the Bundesanzeiger (German Federal Gazette) as well as in the electronic information media designated in the Sales Prospectus of the sub-funds, unless otherwise expressly provided for by law.

II. Investment principles

§ 6 Management of assets

1. In accordance with Sections 162 to 213 KAGB and the relevant investment conditions as defined in Article 16 Paragraph 2(c), the Company's assets shall be invested exclusively in assets as defined in Sections 193 to 198 KAGB.
2. The Company acquires and manages the assets in its own name. In performing its duties, it acts independently of the Custodian Bank and exclusively in the interests of the shareholders.
3. The Company has the right to use the money deposited with it by the shareholders to acquire assets, resell them and invest the proceeds in other assets. The Company is furthermore authorised to undertake all other legal actions arising out of the management of the assets.
4. In its management of the Company, the limitations and restrictions specified in the KAGB and in the respect Investment Conditions pursuant to Article 16 Paragraph 2(c) must be adhered to.
5. The Company may not sell assets that are not part of the assets of the Company at the time the transaction is concluded. Section 197 KAGB remains unaffected.
6. The Company is the sole owner of the assets.

§ 7 Investment principles

The Company shall draw up special investment conditions as defined in Article 16 Paragraph 2(c) for each sub-fund. The Company stipulates in accordance with the Articles of Incorporation and the relevant legal provisions in the respective

investment conditions as defined in Article 16 Paragraph 2(c) which assets may be acquired for each sub-fund and establishes therein investment limits for individual assets as well as investment principles.

§ 8 Borrowing

Depending on the form of the investment conditions for a sub-fund, short-term borrowing by the Company for account of the sub-fund of amounts of up to 10 percent of the value of the sub-fund is permissible if the terms of the borrowing are at market rates, such action is provided for in the Investment Conditions, and the Custodian Bank approves the borrowing.

III.

Shareholders' capital, redemption of shares and appropriation of income

§ 9 Shareholders' Capital, Shares

1. The shareholders' capital is divided into company shares and investment shares.
2. The shareholders' capital corresponds to the value of the assets of the Company. The value of the assets of the Company corresponds to the total of the respective market values of the assets belonging to the sub-funds, less borrowings undertaken and other liabilities.
3. The initial shareholders' capital (initial capital) of the Company is EUR 300,000.00 (in words: three hundred thousand euro) and is divided into 3,000 registered company shares, which exclusively represent rights to the sub-fund "iShares I Founder Shares". The company shares are issued as no-par shares.
4. The Company shall issue investment shares for each additional sub-fund. Investment shares shall be issued in the form of bearer shares. The investment shares do not include the right to participation in the general shareholders' meeting of the Company or grant voting rights. The investment shares may also be made out in fractional amounts. The holders of fractional amounts of an investment share may exercise the rights represented by the investment share in proportion to its fractional amount.
5. The shareholders' capital may not fall below a minimum of EUR 50,000 (in words: fifty thousand euro) (minimum share capital), nor may it exceed EUR 50,000,300,000.00 (in words: fifty billion three hundred thousand euro) (maximum share capital). The amount of the shareholders' capital must correspond to the value of the assets of the Company.
6. The shares of the Company may represent different rights. If the Company issues more than one sub-fund, the shares of the respective sub-fund shall represent rights exclusively to the sub-fund for which they were issued.

7. Shareholders are not entitled to physical certificates for their shares.

8. Shares may be issued only in return for full payment of the issue price. Contributions in kind are permitted provided it is a case of a permitted merger as defined in Section 190 Paragraphs 1 and 2 KAGB or a conversion into a feeder fund as defined in Section 180 Paragraph 4 KAGB. In all other respects, contributions in kind are not permitted.

§ 10 Issue of shares

1. The Management Board is authorised to increase the shareholders' capital through the issue of new company shares and/or investment shares in return for one-time or multiple investments up to the maximum authorised share capital. The Management Board is authorised to temporarily suspend or terminate the issue of shares.
2. Investment shareholders have no subscription rights to new shares under Section 186 German Stock Corporation Act (Aktiengesetz). Company shareholders only have subscription rights to new shares if new company shares are issued.
3. Shares may be acquired from the Company, the Custodian Bank, or from or through third parties.
4. The Management Board is authorised to set the extent of shareholder rights and the terms of issue for shares. In particular, the Management Board is authorised to designate the sub-funds of the Company to which the new shares shall represent rights. In addition, the Management Board is authorised to set the structural characteristics of the shares, in particular with respect to appropriation of income, issue premiums, management fees, minimum investment amount, currency of the share value, the amount of the share value, entering into currency hedging transactions, or a combination of these characteristics.
5. The issue of shares increases the shareholders' capital.

§ 11 Redemption of shares

1. Investors may demand that the Company redeem the shares, unless otherwise stipulated below or in the investment conditions. The Company is obliged to redeem the shares at the applicable redemption price for the account of the relevant sub-fund. The collection point is the Custodian Bank.
2. The redemption of shares shall take place on each exchange trading day, unless otherwise stipulated in these Articles of Incorporation or in the respective investment conditions of the sub-funds. For the purposes of these Articles of Incorporation, exchange trading days are days on which the Frankfurt Stock Exchange is open

for business. No redemptions are transacted on public holidays under the KAGB that are stock exchange days and 24 and 31 December each year; details are discussed in the Sales Prospectus. The Custodian Bank is the redemption agent.

3. The redemption price is equal to the prorated net asset value on the redemption date of the sub-fund of the Company to which rights are represented by the shares, less the redemption fee set in accordance with Article 14 Paragraph 2. To the extent provided for in the respective investment conditions, additional fees may apply as liquidity management tools.
4. The obligation to redeem shares exists only if the redemption does not cause the assets of the Company to fall below the minimum capital pursuant to Section 9 Paragraph 5.
5. The redemption of company shares is only possible with the approval of all company shareholders. Company shares may not be redeemed if the redemption causes the investments attributed to the company shares to fall below EUR 50,000 (in words: fifty thousand euro).
6. With the approval of the Supervisory Board, the Management Board has the right to suspend creation and redemption of the shares pursuant to Section 98 Paragraph 2 KAGB in exceptional circumstances when suspension appears necessary to protect the interests of the shareholders.
7. The Company shall inform shareholders of the suspension and resumption of the redemption by way of a notice in the Bundesanzeiger and, in addition, in a financial or daily newspaper with sufficient circulation or in the electronic information media designated in the Sales Prospectus. Shareholders shall be informed of the suspension and the resumption of redemption of shares immediately after the announcement in the Bundesanzeiger by means of a durable medium.
8. Should it not be possible to satisfy all claims by shareholders for redemption of their shares, such claims shall be addressed in the order in which they were asserted, with claims asserted on the same day to be prorated.
9. The Management Board is authorised to set the procedural technical details for the redemption of shares. These details shall be published in the investment conditions of the respective sub-fund as defined in Article 14 Paragraph 2 letter (c).
10. The redemption of shares decreases the shareholders' capital.

§ 12 Spin-off of illiquid assets

In the interest of the shareholders, the Company may spin off illiquid assets of a sub-fund.

§ 13 Liquidity management tools

1. The Company uses at least two of the following liquidity management tools. In the investment conditions of the sub-funds, it determines which liquidity management tools are to be used for the respective sub-fund:
 - (a) Redemption Gate

The Company may temporarily and partially restrict shareholders' right to redeem their shares, allowing shareholders to redeem only a certain portion of their shares.
 - (b) Extension of notice period

The Company may extend the redemption period.
 - (c) Redemption fee

The Company may charge a redemption fee within a predetermined range, which is paid by the shareholders when redeeming shares to the sub-fund, taking into account the liquidity costs, and which ensures that shareholders who remain in the relevant sub-fund are not unduly disadvantaged.
 - (d) Swing Pricing or Dual Pricing

The Company may use swing pricing or dual pricing. Swing pricing is a predetermined mechanism in which the net asset value of the shares of a sub-fund is adjusted by applying a factor ("swing factor") that takes into account the liquidity costs. Dual pricing is a pre-determined mechanism whereby the issue and redemption prices for the shares of a sub-fund are set by adjusting the net asset value per share by a factor that reflects the liquidity costs.
 - (e) Anti-dilution levy

The Company may levy an anti-dilution fee paid by a shareholder upon issuance or redemption of shares to a sub-fund, which compensates the sub-fund for the liquidity costs incurred as a result of the size of this transaction and which ensures that other shareholders are not unfairly disadvantaged.
 - (f) Redemption in kind

The Company may transfer assets held by or for a sub-fund to a professional investor in lieu of the redemption price payment to execute redemptions of shares.
2. In addition to those mentioned in Paragraph 1, the Company may also use other instruments to manage the liquidity of the sub-funds. The

conditions for the use of such instruments are set out in the respective investment conditions.

§ 14 Issue premium and redemption fee

1. An issue premium of up to 5% of the share price may be set for the issue of shares. The Management Board is authorised to establish the amount of the issue premium in the respective investment conditions for each sub-fund, pursuant to Article 16 Paragraph 2 (c).
2. A fee of up to 5% of the share price may be set for the redemption of shares. The Management Board is authorised to establish the amount of the redemption fee in the respective investment conditions for each sub-fund, pursuant to Article 16 Paragraph 2 (c).

§ 15 Appropriation of income

The Management Board shall decide for each sub-fund whether the income shall be distributed or reinvested, whether the portion of the issue price attributed to income may also be used for distributions (income netting procedure), whether it is expected to distribute capital gains realised and whether interim distributions may be made.

IV.

Sub-funds, mergers and share classes

§ 16 Creation of sub-funds

1. The Company forms multiple sub-funds, which differ at least in their names.
2. The Management Board may, with the consent of the Supervisory Board, decide to form additional sub-funds at any time. When creating sub-funds of the Company, the following principles shall be observed:
 - (a) When acquiring and administering assets on behalf of a sub-fund of the Company, the Company shall adhere to the investment principles and investment limits provided for by law and these Articles of Incorporation.
 - (b) The Management Board shall, with the consent of the Supervisory Board, establish the investment principles, investment limits and special investment objectives for each sub-fund of the Company.
 - (c) Special investment conditions shall be drawn up for each sub-fund. These shall include the particulars in (b) as well as other specific information, and shall be laid down for each sub-fund of the Company in a separate document. Each of these documents shall be referred to as the investment conditions of the respective sub-fund.
3. The Management Board is authorised to issue shares in accordance with Article 10 which, in terms of the distribution of earnings and assets,

solely represent rights to the sub-fund for which they are issued. Shares which, in terms of the distribution of earnings and assets, represent rights to the more than one sub-fund of the Company may not be issued.

4. Each sub-fund is separate from the other sub-funds of the Company in terms of assets and of legal liability. With regard to the relationship between the shareholders, each sub-fund shall be regarded as an independent Company sub-fund. This shall also apply in the event of the Company's insolvency or the winding-up of a sub-fund.
5. Only the sub-fund in question shall be liable for the liabilities of the particular sub-fund.
6. The value of any share shall be calculated separately for each sub-fund of the Company in accordance with the respective investment conditions.
7. The Company may appoint a different Custodian Bank for each sub-fund.

§ 17 Change in investment policy

The Management Board may, with the consent of the Supervisory Board, decide at any time to change the investment policies or a characteristic feature of a sub-fund of the Company in adherence to the statutory regulations and the provisions in these Articles of Incorporation. The respective investment conditions as defined in Article 16 Paragraph 2 (c) shall be adapted accordingly.

§ 18 Merger of sub-funds of the Company

1. In accordance with Sections 181 to 191 KAGB, the Company may
 - (a) merge the Company into another investment stock corporation with variable capital, a sub-fund of another investment stock corporation with variable capital, an investment fund or an EU UCITS;
 - (b) merge an investment stock corporation with variable capital, a sub-fund of another investment stock corporation with variable capital, an investment fund or an EU UCITS into the Company;
 - (c) merge a sub-fund of another investment stock corporation with variable capital, an investment fund or an EU UCITS into a sub-fund of the Company;
 - (d) merge a sub-fund of the Company into a sub-fund of another investment stock corporation with variable capital, an investment fund or an EU UCITS;
 - (e) merge a sub-fund of the Company into another sub-fund of the Company.

In the cases referred to under a) and b), the merger is governed by the provisions of the German Reorganization Act

(Umwandlungsgesetz), unless otherwise provide for through a corresponding application of Sections 167, 182, 188 and 189, Paragraphs 2 to 5, and Section 190 KAGB. The Company or a sub-fund may only be merged with a non-UCITS investment fund if the acquiring or newly formed investment fund remains a UCITS. In addition, the merger of an EU UCITS into the Company or a sub-fund of the Company may take place in accordance with the provisions of Article 2, Paragraph 1p (iii) of the Directive 2009/65/EC.

2. In the cases that fall within the scope of Paragraph 1 a) to d), the merger requires the approval of the general meeting. The resolution on the approval of the merger requires 75 percent of the votes made in the general meeting. In the cases of Paragraph 1e, the Management Board may decide on the merger.
3. The merger requires the approval of the competent supervisory authority. Sections 181 to 190 KAGB provide details on the process.

§ 19 Liquidation of Sub-funds

1. A sub-fund of the Company may be liquidated by way of resolution by the Management Board with the consent of the Supervisory Board or Custodian Bank. The Management Board's resolution must be announced in accordance with Article 5 and becomes effective six months after its announcement. The resolution pursuant to sentence 1 shall be included in the next annual financial statements or semi-annual report.
2. In the event of a resolution to liquidate pursuant to Paragraph 1, the Custodian Bank shall assume responsibility for the liquidation of the sub-fund while safeguarding the interests of the investors pursuant to section 100 Paragraph 2 KAGB. In this case, the Custodian Bank is entitled to remuneration for its liquidation activities as well as reimbursement of its expenses necessary for the liquidation. Investment limits no longer have to be complied with as part of the liquidation.
3. Shareholders of the relevant sub-fund shall be immediately informed of any termination by the Company pursuant to Paragraph 1 sentence 2 using a durable medium in accordance with Section 167 KAGB. For details, please refer to the investment conditions of each sub-fund.

§ 20 Creation of share classes

1. The Management Board may create classes of shares, with the approval of the Supervisory Board, for particular sub-funds or for all of them.
2. The share classes may differ, in particular, with respect to appropriation of income, issue premiums, redemption fees, management fees, minimum investment amount, currency of

account, share value, hedging transactions, or a combination of these characteristics. The Investment Conditions establish definitively which features the different share classes may have.

3. The shares of a share class have identical features.
4. The value of the share shall be calculated separately for each share class.

§ 21 Liquidation of Share Classes

A share class of a sub-fund of the Company may be liquidated by way of resolution by the Management Board with the consent of the Supervisory Board. Article 19 is applicable accordingly.

V. Costs

§ 22 Expenses for formation and launch of sub-funds and the creation of share classes

1. Formation expenses are charged to the Management Company.
2. Expenses related to the launch of sub-funds are charged to the external capital investment company.
3. Expenses related to the creation of share classes are charged to the external capital investment company.
4. The regulations of Paragraphs 1-3 are incorporated into the external management contract between Company and the external investment management company. The sub-fund iShares I Founder Shares, in which the company shares are exclusively denominated, has subsidiary liability.

§ 23 Ongoing expenses

1. The investment conditions detail the manner, the amount and the calculation basis for any fees and expense reimbursements to be made from the individual sub-funds to the management company, the Custodian Bank and to third parties.
2. With the exception of the performance fee, the fees to the external investment management company, the Custodian Bank and third parties established in the investment conditions may not exceed 8 percent of the net asset value of the respective sub-fund annually.
3. Overheads and other expenses that according to the investment conditions can be charged to the sub-funds but cannot be attributed to individual sub-funds shall be charged pro-rata to the sub-funds existing at the time they are incurred. The share to be borne by the

respective sub-fund of the Company is determined as the proportion of the value of the assets belonging to the sub-fund of the Company to the value of the assets of the entire Company.

4. For details, please refer to the Investment Conditions of each sub-fund.
5. In the annual report and in the semi-annual report of the respective sub-fund for each reporting period, the Company publishes the total amount of issue premiums and redemption fees charged to the Company or one of its sub-funds for the acquisition and redemption of units in accordance with Section 196 KAGB, as well as the fees charged as management fees for the units held by the Company on the account of its sub-funds when such fees are charged by the external investment management company, by another investment management company, or by a company with which the external investment management company or the Company is affiliated through a significant direct or indirect equity interest, or by a foreign investment company, including its management company.

VI.

Constitution of the Company

A. The Management Board

§ 24 Number of Management Board Members

The Management Board shall consist of at least two persons. The Supervisory Board appoints the members of the Management Board and determines the number of members on it.

§ 25 Management and representation

1. The Management Board has all the rights and obligations attributed to it by law, the Articles of Incorporation or in any other way.
2. The Company shall be represented jointly by two Management Board members or by one Management Board member together with one authorised representative. The members of the Board of Directors may be released from the prohibition on multiple representation pursuant to Section 181 Alternative 2 of the German Civil Code (BGB). The application of Section 112 of the German Stock Corporation Act (Aktiengesetz) remains unaffected.

B. The Supervisory Board

§ 26 Number of Supervisory Board Members, Terms of Office

1. The Supervisory Board shall consist of three members. The Supervisory Board must include at least one member who is independent of the company shareholders, the companies affiliated with them and the Company's business partners. The terms of office of the Supervisory

Board members shall continue up to the conclusion of the general meeting during which the duties pertaining to the fourth financial year after the beginning of the term of office are discharged; the calculation shall not include the financial year in which the Supervisory Board was elected.

2. Any member of the Supervisory Board may resign his office at any time by means of written declaration to the chairman of the Supervisory Board, while the chairman may submit his resignation by means of written declaration to a deputy chairman of the Supervisory Board, with three months' notice even without substantial cause. The right to resignation for substantial cause remains unaffected.
3. Supervisory Board members may be removed prior to the end of their term in office by simple majority of the shareholders' capital represented at the general meeting. A new Supervisory Board member must be elected without delay to replace a departing member. The term of office of the new Supervisory Board member ends with the remaining term of the departing Supervisory Board member.

§ 27 Chairman, Deputy Chairman

1. The Supervisory Board shall select a chairman and a deputy chairman from among its members. The election applies to the term of office of the person elected. The election is conducted under the chairmanship of the oldest member of the Supervisory Board.
2. The duty of the chairman of the Supervisory Board is to lead the Supervisory Board; he is authorised to express declarations of intent by the Supervisory Board in its name.
3. When directed by the Supervisory Board, the members of the Management Board are obliged to attend the meetings of the Supervisory Board.

§ 28 Duties and powers of the Supervisory Board

1. The Supervisory Board has all the rights and obligations attributed to it by law, the Articles of Incorporation or in any other way, in particular through the rules of internal procedure.
2. The Supervisory Board is authorised to make changes to these Articles of Incorporation provided they only relate to version updates.

§ 29 Rules of internal procedure and resolutions

1. The Supervisory Board may issue rules of internal procedure. The following provisions apply to resolutions; the rules of internal procedure may also include supplementary

provisions on convocations and quorum requirements.

2. The Supervisory Board's resolutions are generally taken in meetings. Resolutions may be passed even without convening a meeting, by casting votes in writing, by fax, by telephone or through the use of electronic media, or by way of combined resolution if ordered by the chairman of the Supervisory Board or, absent the chairman, his deputy. Individual Supervisory Board members have no right to object to this procedure. The written form is upheld even when using modern communication methods, specifically fax or the Internet. A vote taken by telephone includes any vote taken by means of teleconferencing or videoconferencing.
3. The Supervisory Board is quorate in meetings if the Supervisory Board members have been properly invited at their last known address and three Supervisory Board members take part in the resolutions. A member also takes part in the resolutions if he abstains from the vote.
4. Absent Supervisory Board members can participate in the passing of resolutions by passing written votes through other members of the Supervisory Board. In addition, absent Supervisory Board members may cast their vote during the meeting or subsequently, within a reasonable period stipulated by the chairman of the meeting, verbally, by telephone, in writing, by fax, or through the use of electronic media.

§ 30 Fee

Supervisory Board members are entitled to an attendance fee and reimbursement of their outlay, insofar as these could be considered necessary in the circumstances. The general meeting may decide that Supervisory Board members also receive a fee. Any VAT incurred shall be borne by the Company.

C. General and Special Meetings

§ 31 Place and date

1. The annual general meeting shall take place within the first eight months of each financial year.
2. The general meeting shall take place at the registered office of the Company or in a German or non-German city with at least 200,000 inhabitants. Only London or San Francisco can be considered as non-German venue.

§ 32 Notice of meeting

1. The annual general meeting shall be convened by the Management Board or, in the case of Section 111 Paragraph 3 AktG, by the Supervisory Board.

2. Unless the law provides for a shorter period, the general meeting shall be convened no later than thirty days before the day by the close of which the shareholders have to be registered before the meeting in accordance with Section 33. The day of the convocation and the last day of the legal registration period (Section 33) are not to be included in this.
3. The application of Section 121 Paragraphs 4 and 6 Aktiengesetz shall remain unaffected.

§ 33 Participation

Only those company shareholders who registered no later than the seventh day before the date of the annual general meeting in text form in the German or English language are entitled to participate in the annual general meeting and to exercise their vote.

§ 34 Presiding at the General Meeting

1. The chairman of the Supervisory Board or his deputy shall preside at the annual general meeting; absent both of them, a Supervisory Board member appointed by the members present shall preside. If a Supervisory Board is not present, the general meeting shall elect a chair for the meeting.
2. The chairman of the meeting shall conduct proceedings and determine the order of business as well as the form and method of voting.

§ 35 Voting rights

At the general meeting, each company share represents one vote.

§ 36 Resolutions, amendments to the Articles of Incorporation

1. Resolutions at the annual general meeting are passed by way of a simple majority of the votes cast and, where a majority of capital is required, by way of a simple majority of the shareholders' capital represented, unless another form of majority is expressly provided for by law. This also applies for changes to the Articles of Incorporation and changes to the capital.
2. If, in an election, a simple majority of votes is not obtained in the first round, a shortlisted election shall be held between those persons who have received the two highest numbers of votes. The highest number of votes shall decide the shortlisted election, in the event of a tie it shall be decided by lots drawn by the chairman.
3. Amendments to the Articles of Incorporation require the approval of BaFin.

VII. Annual Financial Statements and

Appropriation of Earnings, Semi-Annual Report

§ 37 Financial year

The financial year of the Company begins on 1 March of each calendar year and ends on the last day of February.

§ 38 Annual financial statements

1. Within the first four months after the end of the financial year, the Management Board must prepare the annual financial statements and the management report for the preceding financial year and, upon preparation, present it without delay to the Supervisory Board and the auditor. At the same time, the Management Board must provide to the Supervisory Board a proposal, to be submitted to the annual general meeting, on the appropriation of retained earnings of the Company and the proportion of retained earnings attributable to each of the sub-funds.
2. The Supervisory Board must review the annual financial statements and the management report and the proposal on the appropriation of retained earnings and report to the general meeting in writing on the results of the review. It must direct its report to the Management Board and the auditor within one month after having received the documents; the application of Section 171 Paragraph 3 Sentence 2 AktG shall remain unaffected.
3. The annual financial statements and the management report shall be audited by the auditor. The auditor is elected by the general meeting on the proposal of the Supervisory Board and is appointed by the Supervisory Board.
4. Approval by the Supervisory Board of the annual financial statements denotes their formal approval. If the Management Board and Supervisory Board elect to leave the formal approval of the annual financial statements to the general meeting, or if the Supervisory Board has not approved the annual financial statements, the Management Board must immediately convene a general meeting to formally approve the annual financial statements.
5. The annual financial statements shall be published in the Bundesanzeiger no later than four months after the end of the financial year. In addition, the annual financial statements can be obtained from the Company and other locations listed in the Sales Prospectus and the Key Investor Information.

§ 39 Net retained earnings

Shareholders are not entitled to a distribution of retained earnings.

§ 40 Semi-Annual Report

1. The Management Board must prepare a semi-annual report for the middle of the financial year.
2. The semi-annual report shall be published in the Bundesanzeiger no later than two months after the reporting date. In addition, the semi-annual report can be obtained from the Company and other locations listed in the Sales Prospectus and in the Key Investor Information.



BlackRock Asset Management Deutschland AG

Lenbachplatz 1 80333 Munich

Tel: +49 (0)89 42729 5858

Fax: +49 (0)89 42729 5958

Email: info@iShares.de